

Delhivery (DELHIVERY)

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Call: Aug 2022

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Date: August 16, 2022

BSE Limited

Floor 25, P J Towers,

Dalal Street,

Mumbai -400 001

India

Scrip Code: 543529 National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G,

Sandra Kurla Complex,

Sandra (E), Mumbai -400 051

India

Symbol: DELHIVERY

Sub: Transcript of Earnings Call pertaining to the Unaudited Financial Results for the quarter ended June 30, 2022

Dear Sir,

This is in continuation to our earlier letter dated August 09, 2022 regarding audio recording of the analysts/investors Earnings Conference Call held on August 09, 2022 at 04:00 P.M. (1ST) on the performance of the Unaudited Financial Results of the Company for the quarter ended on June 30, 2022. Please find attached herewith the transcript of the above investor and analyst call.

The same is also available on the website of the Company at <https://www.delhivery.com/investor-relations/>.

You are requested to take the same on your record.

Thanking you,

Yours faithfully,

For Delhivery Limi ""

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Sunil Kumar Bansal '---:._

Company Secretary & Compliance Officer

-----<Member-s--hip-No--F4K-H-t-----

Place: Gurugram

Encl: As above

Delhivery Limited

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"Delhivery Limited Q1 FY23 Earnings Conference
Call"

August 09, 2022

MANAGEMENT : MR. SAHIL BARUA – MD & CHIEF EXECUTIVE OFFICER
MR. SANDEEP BARASIA – ED & CHIEF BUSINESS OFFICER
MR. AMIT AGARWAL - CHIEF FINANCIAL OFFICER
MR. VARUN BAKSHI - HEAD, INVESTOR RELATIONS
MODERATORS : MR. GAURAV RATERIA – MORGAN STANLEY

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Moderator: Ladies and gentlemen, good day and welcome to Q1 FY23 Earnings Conference Call of Delhivery Limited hosted by Morgan Stanley India Company Private Limited.

Before we start, we would like to point out that some of the statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this call is meant for investors and analysts only. If there are any representatives from the media, they are requested to drop off this call immediately.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gaurav Rateria from Morgan Stanley. Thank you and over to you, sir.

Gaurav Rateria: Thank you Neerav. Hello, everyone. This is Gaurav Rateria from Morgan Stanley. Thank you all for joining us for Delhivery's Earnings Call to discuss Fiscal 23 First Quarter Results.

To discuss the results, I am pleased to welcome, Mr. Sahil Barua – the MD & CEO; Mr. Sandeep Barasia – ED & Chief Business Officer; Mr. Amit Agarwal - CFO and Mr. Varun Bakshi - the Head of Investor Relations.

I thank the management team for providing us the opportunity to host this call. I now invite Mr. Sahil Barua to take us through key financial highlights for the quarter post which we will open the floor for Q&A. With that, over to you, Sahil.

Sahil Barua: Thank you, Gaurav and thank you all for joining. A very good evening to you and welcome to our Second Earnings Call. So, the agenda for this call is to walk through our earnings presentation in about 20 minutes and then we will open up to questions. For those of you who are joining for the first time, a brief background on Delhivery. The objective behind Delhivery is to build the operating system for commerce in India which means we essentially provide the infrastructure, the services and the technology that allow buyers and sellers to transact with each other in the real world. These buyers and sellers maybe businesses transacting with businesses, businesses transacting with consumers or consumers transacting with consumers, both within the borders of India or from India to abroad or abroad to India.

A quick snapshot of our performance in Q1 FY23:

We continue to be India's largest integrated logistics platform. In Q1 FY23, we registered Rs. 1,746 crores of revenue from services which represents a 30% growth over our revenues for the same quarter in the previous financial year. Q1 FY23 adjusted EBITDA margin stands at

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negative 12.5%. We delivered 152 million parcels in our Express business in Q1 FY23 and have delivered close to about 1.6 billion packages since our inception in 2011.

In Q1 FY23, in our part-truckload business, we delivered close to 240,000 tons of freight and have shipped close to 2.5 million tons of freight since FY19. We run one of the largest networks in the country and operate close to about 18.9 million square feet of logistics infrastructure across the country. This includes automated sortation centers, trucking terminals, air terminals and fulfillment centers across India. We have about 29,000 active customers who work with us across multiple business lines which include express parcel shipping, part-truckload shipping, full-truckload shipping, supply chain services and warehousing and cross border logistics. 54% of our revenue comes from customers who used two to more of our services and we cover 18,435 pin codes across the length and breadth of the country as defined by the Indian post.

A quick snapshot of our key operating metrics:

For Q1 FY23, which is the column on the extreme right, between the end of FY22, since our last Earnings Call and the end of Q1 FY23, we have expanded our pin code reach from 18,074 pin codes to 18,435 pin codes. Our overall customer base has expanded from 23,600 customers to

over 29,000 customers as of the end of Q1 FY23. As discussed earlier, we have expanded our overall logistics infrastructure from 18.15 million square feet to 18.9 million square feet as of the end of Q1 FY23. We continue to have the largest number of gateways, automated sort centers and processing centers among logistics companies in India. We operate 96 gateways across the country, 21 automated sortation centers, 189 processing centers, nearly 3,000 express delivery centers, about 240 freight services centers and we have an overall team size of close to about 60,000 people across the country.

Moving to the next slide, key milestone for Q1 FY23:

The first is one that we had referred to in our communication with shareholders earlier in this quarter which is the completion of the operational integration of SpotOn. To refresh everyone's memories, SpotOn was a part-truck load freight business that we acquired earlier in FY22. The integration was planned in 3 phases which I will talk about in more detail through the call which began in quarter 3 of the last financial year and the final phase of the integration was scheduled for Quarter 1 of this year. We have expanded total infrastructure to nearly 18.9 million square feet and commissioned and taken live our automated mega facility at Tauru Bilaspur in Haryana which is now fully operational. We also launched guaranteed same day delivery service aimed at direct-to-consumer e-commerce customers across the country. We have also launched our consumer-to-consumer shipping application, the Delhivery App for consumers to book and track consignments in real time. Our client roster has grown in Quarter 1 as well. We have on-boarded over 500 new customers in our Express Parcel business and our Supply Chain Services business continues to see robust demand for our integrated services. We have onboarded two of the world's largest auto manufacturers, a major multi-brand retailer, a global electronics major and one of India's largest paint companies in our Supply Chain Services business and on the Delhivery Limited

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technology front, we have been awarded two US patents for our Data Sciences work for Addfix and UAID which are our proprietary systems. That is the quick snapshot of Quarter 1.

I will begin with the quick update on the SpotOn integration:

The integration of Delhivery and SpotOn as I had pointed out was carried out in three phases. It required us to assimilate over 2000 members of the SpotOn team. About 5,500 customers were serviced by SpotOn prior to the integration. An infrastructure of about 2.5 million square feet which was spread across 350 operating facilities was to be brought into the combined Delhivery and SpotOn network. As part of Phase -1 which was in quarter 3 of the last financial year and completed successfully in December 2021, our first aim was to integrate clients and team, restructuring customer contracts for all of the 5,500 Spot On customers ensuring parity with Delhivery and integrating the SpotOn team of over 2000 people into our organization. As part of Phase -2 which was completed during Quarter 4 of the last financial year in March 2022, we completed integration of client-facing and operation system, which was a full integration of our technology system, essentially setting us up for moving all operations to a single integrated network in Phase -3. Phase -3 was begun in Quarter 1 which was the final integration of operations which included both the infrastructure and the network operations of both companies. The decision

to complete the integration in Quarter 1 was based on certain factors in our business. First of all, on business cyclicity, where Quarter 1 volumes in the financial year are typically lower than quarter 2 to quarter 4. The second was in line with our annual CAPEX cycle. Delhivery typically commissions new infrastructure which goes live in quarter 2 and quarter 3 of the financial year and so integrating prior to the commissioning of new infrastructure would allow us to bet in this infrastructure with the combined volumes. The third factor was avoiding the monsoon and making sure that we were essentially not disrupted by the rains across different parts of the country and the fourth was the avoidance of the e-commerce peak season which typically hits us in quarter 3 of the financial year.

In Quarter 1 while we started the operational integration, the overall process of integrating the infrastructure and the network took longer than we originally expected. This was due to a couple of reasons, first was higher than forecasted volumes which created bottlenecks for some of our key facilities as the automated gateways in both Tauru and Bhiwandi, but also add some of the facilities where both Delhivery and SpotOn had not established sufficient infrastructure to service incremental customer demand which included locations like Chennai and Pune. As a consequence, we made the choice to pause volumes from a selection of key accounts and some accounts who had either specific business processes or specific requirements for freight handling until operational parameters were conclusively stabilized. Operational service levels have returned to pre-integration levels within a few weeks of beginning the integration and have remained stable since.

Moving to the next slide, the impact of the integration which I will talk about in more detail as we go through the financials, first of all has risen from service stability. Service stabilization

took us 4 weeks longer than originally expected at the start of the quarter, largely due to the Delhivery Limited
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automated gateways at Gurgaon and Bhiwandi having a temporary effect on service procession. There were higher than normal service -related claims from customers that has to be settled during Quarter 1 which have cost higher revenue provisions during the quarter and the temporary period of disruption for our pickup in Delhivery business partners due to a change in the serviceability as they moved from the SpotOn network to the combined Delhivery and SpotOn network. The proactive reduction in volumes along with the reduction from select clients also affected us overall in Q1 FY23 and we made the decision to maintain capacity across our three key resources which are staffing, fleet and infrastructure to ensure service stability through the period and as a consequence, we see slightly higher unit costs which were elevated during Q1 FY23 compared to Q4 FY22. In addition, there are one-time transition costs of the integration which we expect will normalize over FY23 for instance due to commercial or contractual reasons, we have had to run a certain amount of redundant infrastructure and certain software licenses and there are certain administrative costs from the SpotOn entity that has continued in Quarter 1. We also paid one-time compensation to key business partners and channel partners in Quarter 1 to support them through our integration period outside of which there has been substantial technology and development costs both in Q4 FY22 and Q1 FY23 as we have integrated Delhivery and SpotOn systems. The overall impact is what you see in slides to follow. As you can see on the left-hand side, overall revenue between Q1 FY22 and Q1 FY23 has grown by about 30% year-on-year from Rs. 1,344 crores to about Rs. 1,746 crores. The composition of the business has changed slightly owing to the integration

effect or the PTL business. PTL which

was 23% of the business in Q1 FY22 is 15% of the business in Q1 FY23.

Express Parcel revenues have grown by 34% from Rs. 785 crores in Q1 FY22 to Rs. 1,051 crores as of Q1 FY23. This is despite seasonality in the express business where Quarter 1 of the financial year is typically depressed and the exit of Shopee from the Indian market in Q4 FY 22. Express parcel shipments grew strongly through this period. We have seen 50% growth year-on-year with Q1 FY22 volumes of 102 million growing to 152 million for Q1 FY23. Part-truck load freight revenues have decreased by 16% between Q1 FY22 and Q1 FY23 owing to the reasons I spoke about earlier where we proactively shut down some client volumes for a period of time and some clients chose to proactively cut volumes as well through this period. Overall freight tonnage decreased from 279,000 tons of freight to about 234,000 tons of freight in Q1 FY23.

Moving to the next slide, our other business lines, which are the Truck-load business, the Supply Chain Services business and the Cross Border Services business continued to show robust growth in line with our original plan. The FTL business has grown from Rs. 55 crores of revenues in Q1 FY22 to over double that in Q1 FY23 registering nearly Rs. 122 crores of freight value transacted. In the Supply Chain Services business as well, we have seen about 120% growth year-on-year with Q1 FY22 having Rs. 106 crores of revenue which has grown to nearly Rs. 240 crores of revenue for Q1 FY23 and revenue from Cross Border Services excluding traded goods has grown from Rs. 51 crores of revenue in Q1 FY22 to Rs. 78 crores in Q1 FY23 as our integration with FedEx has stabilized.

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In terms of adjusted EBITDA, Q1 FY23 which is the third column in the table, our revenue from customers as discussed stands at Rs. 1,746 crores. We are broadly neutral at the service EBITDA level. We pay final adjusted EBITDA of negative Rs. 217 crores or -12.5%. Compared to Q1 FY22, where we had an adjusted EBITDA margin of negative 4%, so a decline in the adjusted EBITDA by about negative 8.5% and compared to quarter 4 where we made an adjusted EBITDA of Rs. 81 crores, a change of about Rs. 300 crores.

Moving to the next slide, this is a quick bridge on the change in adjusted EBITDA from Q4 FY22 to Q1 FY23:

At the top of the table is the Q4 FY22 adjusted EBITDA of Rs. 81 crores. In Quarter 1 of the year, we typically add, as I had discussed manpower fleet and infrastructure capacity in anticipation of higher volumes between quarter 2 and quarter 4, we added close to Rs. 21 crores of cost (B1) in this period which is 2,500 additional staff, 30 trucks and 85 trailers which is in line with our sort of larger objective of movement of trailers and about 740,000 square feet of transportation infrastructure. As I had discussed, we chose to continue and retain existing capacity of fleet, of manpower and of infrastructure in anticipation of service recovery to ensure that service levels stayed stable and to make sure that as volumes went up, client experience was

not affected. The overall cost of the underutilization of this existing capacity is to the extent of Rs. 150 crores (B2) in Q1 FY23 and in addition, our annual inflation cycle which comes from wage hikes and rent escalations has added up to Rs. 17 crores (B3). So, the net impact of B1, B2, B3 is Rs. 188 crores. In addition, the exit of Shopee which gave us 22 million parcels in Q4 FY22 has an impact along with reduced revenues in the part-truck load business of close to about Rs. 60 crores, leading to a total reduction in service EBITDA of Rs. 188 plus 60 which is Rs. 248 crores and a minor increase in corporate cost leading to a total impact of Rs. 252 crores. Excluding one-time integration costs which include one-time provisions for heightened claims from customers and

Rs. 6 crores in payments to vendors as support for Quarter 1, the adjusted EBITDA prior to the integration cost stands at negative Rs. 171 crores and including one-time integration cost which we do not expect will continue into quarter 2 and beyond at negative Rs. 217 crores.

The next slide shows a comparison versus prior periods. In steady state, in Q3 FY22 and Q4 FY22, the business had achieved adjusted EBITDA margins of close to 4% which in Q1 FY23 affected by the SpotOn integration stand at negative 12.5%. The next slide is the detailed breakup of the adjusted EBITDA. Total revenue from customers for Q1 FY23 was Rs. 1,746 crores, total expenses stood at Rs. 2,206 crores. After adjusting for noncash expenses and adjusting for lease adjustments due to AS 116 and one-time operating expenses such as our IPO expenses and a noncash nonoperating cost, the adjusted EBITDA stands at negative Rs. 217 crores as discussed as compared to Rs. 81 crores for Q4 FY22 and negative Rs. 58 crores for Q1 FY22. The adjusted cash PAT for the same period stands at negative Rs. 187 crores, or negative 10% compared to 5% in Q3 FY22 and 6.6% in Q4 FY22. The adjusted cash PAT bridge is the same as the adjusted EBITDA bridge with more or less the same adjustment.

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Finally, in the previous Earnings Call, there were a number of initiatives that we had outlined for FY23, this is the quick update on where we stand on each of those. The first was the integration of the Delhivery and SpotOn network, so all three phases of the integration between Delhivery and SpotOn have now been completed. Customers and teams have been integrated, technology systems have been integrated and operationally from an infrastructure and network operations standpoint, both networks stand fully integrated and as discussed service level are stabilized as of the end of Q1 FY23 and remained robust. We continue to integrate the networks and grow volume and so we continue to realize network synergies and we will launch our economy PTL service through FY23. We are in the process of expanding our overall infrastructure by about 4 million square feet, about 740,000 square feet has been commissioned and delivered.

We continue to expand our tractor-trailer fleet to its full size of 150 TTs and have expanded our automated sortation capacity by 35% in this period in advance of peak season volumes. We continue to introduce new automation across our major sort center and our hub have moved fully to system directed mid-mile operations as expected with the integration of Delhivery and SpotOn. We continue to expand usage of electric vehicles across our entire network and continue to pilot LNG and EVs in our mid-mile operations. Our cross-border express products now stand fully integrated with Delhivery and FedEx now code sharing airway bills seamlessly. Our Supply Chain Services business as discussed continues to show robust growth, we have grown by nearly 120% between Quarter 1 of last year and Quarter 1 of this year with the focus on key industry verticals like auto, chemicals, consumer durables and retail. We have launched the Delhivery Direct to Consumer Academy and are in the process of launching our unified client portal and our merchant panel for small and medium businesses to access all of our products. We launched the Delhivery Direct consumer-to-consumer shipping app and are in the process of launching our Orion truckload price discovery and booking application and are in the process of launching our platform service for global third-party developers along with SaaS offering in select international markets.

So, that is the brief summary of financial performance of FY23. With that, I will pause and we are happy to take questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abhishek Par

ekh from HSBC. Please go ahead.

Abhishek Parekh: I had a couple of questions, the first one was, we are seeing some sequential pressure in global e-commerce volumes, do you see something similar or at least a deceleration happening in the Indian e-commerce space over the short term and the next 2 to 3 years? That is the first one and number two, there have been some questions around the viability of the social commerce model and the category we have significant dependence on social commerce platform's volume, is this

something that the company sort of worried about over the short to medium term?
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Sahil Barua: Good questions, let me begin with the first one which is are we seeing a slowdown in e-commerce generally in India, the short answer to that is not yet, if you look at our volumes, they have grown 50% a year between Quarter 1 of last year and Quarter 1 of this year from 100 million shipments to 150 million shipments, even adjusting for share gain that we have had in this period. I think that does represent growth in the market overall. If you remember in our previous earnings call, one of the things that we had pointed out is that while individual players were likely to see turbulence in e-commerce through this financial year, we are pretty confident that the broad trend for e-commerce continues to be positive and when you look at the underlying reason, it is simply the fact that e-commerce in India is heavily underpenetrated. Penetration in India is less than 7% whereas comparable penetration for example in a place like China would be north of 20%, so we expect that there will continue to be a secular shift towards e-commerce going forward. Individual players may certainly continue to face turbulence and from a Delhivery standpoint, as we discussed we don't have a significant dependence on any single client and so in that sense, there is no impact on our overall volumes as you can see. Outside of that, I think your second question was around social commerce. I think the way we look at it is that a variety of players will experiment with different models in e-commerce; however, the broad trend towards buying online will continue. Even players who sort of have been bracketed under social commerce have sort of pivoted to being a mix of social commerce and more traditional big-box commerce and I think irrespective of the model that different players will follow, the demand from consumers will continue and given that we are the largest player and the most efficient player in the country, our volumes will continue to remain stable. So, we don't see a large risk going forward.

Moderator: Thank you. The next question is from the line of Hitesh from CLSA India. Please go ahead.

Hitesh: My first question is on, due to the fact that you have gained some market share in the e-commerce space, can you talk about how much the industry has grown during this quarter? And my second question is on profitability, right, I understand this is a weak quarter because of integration issues and also your volumes, but how should we look at profitability over next 2 quarters when the integration benefit starts coming and volumes scaleup, so if you can give us some guidance on how margins could scaleup from here?

Sahil Barua: Let me begin with market share and e-commerce, I think again, I will direct you first to the overall growth and volumes from Quarter 1 of last year to Quarter 1 of this year which is from a 100 million shipments that we did last year to 150 million shipment this year, so I think we certainly have gained market share in this period because the industry has not grown by 50% in a year. Between quarter 4 of last year and Quarter 1 of this year, it is a little difficult to say because of the outside impact that Shopee's exit had on the market overall. I think when you include Shopee, it is safe to say that the

market has not grown between Q4 FY22 and Q1 FY23

whereas when you look at our volume, adjusted for Shopee we have remained broadly at the same 152 million mark. So, when you adjust for that I think we have gained some share in the market between quarter 4 and Quarter 1. To your second question in terms of profitability, I think while we are still in the process of regaining volumes and our service levels have remained

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stable, we have seen recovery of volumes from all of our major customers. The overall recovery will play out to quarter 2 as well and so we remained optimistic about this, but the way to think about our business is pretty simple, as I had mentioned in the slide that we presented earlier, the biggest impact really on profitability has been B2 which is underutilization of existing capacity which is Rs. 150 crores and the revenue led reduction in service EBITDA which is Rs. 60 crores, so first of all and obviously the Rs. 46 crores of one-time integration cost. So first half obviously we do not expect the one-time integration costs to persist through the year. The second is, as volumes come back, the underutilization of existing capacity should disappear and the network should automatically become more efficient. One thing that I should point out is that this existing capacity itself will shrink a little bit going forward because we do continue to carry infrastructure, we do continue to carry certain contracts from Spot On's sort of previous days which we haven't yet fully deprecated. If you can go to the KPI slide, one of the things that you will see here is that the number of gateways have declined from 123 as of the FY22 to 96 as of Q1 FY23 and similarly the number of freight service centers have declined from 267 as of the end of financial 22 to 237 as of Q1 FY23 and so as these contracts become available for renewal or for termination, we will continue to sort of consolidate the combined Delhivery and SpotOn

network and continue to sort of realize synergy going forward, so that sort of how the excess capacity will get observed.

Hitesh: On the pricing front, we are seeing some stability on the e-commerce pricing where it is kind of not gone down much, right, so should we expect the pricing to remain now stable or you will still because you have the lowest price in the industry or you will continue to prioritize market share over pricing in the e-commerce segment?

Sahil Barua: Pricing is the strategic decision that we take at an account level. The difference in pricing that exist between any two quarters could also be because of the change of mix, for instance for the change of the distance that parcels travel. In this case, there is obviously a big difference because of the disappearance of Shopee between quarter 4 and Quarter 1. We evaluate pricing at every customer level and depending on the customer's ambition for growth going forward and what our market projections for each individual customer are but suffice to say I don't think we will be taking any significant pricing actions during the rest of the year.

Moderator: Thank you. The next question is from Mukesh Saraf from Spark Capital from Webcast. Slide 12 inflation impact of 17 Cr, could you let us know which segment this impact has primarily been felt in as there would usually be passed through fuel hikes to customers? Would this cost be subsequently passed through with a lag? Supply chain revenue has grown to Rs. 236 Cr in the quarter, what is the total warehouse space square feet for this segment as of June end, what is the target for space addition in FY23 and FY24? Is there a split between transportation and warehousing for this Rs. 236 Cr or is this entirely warehousing?

Sahil Barua: Let me start with the question on inflation, the overall inflation of Rs. 17 crores includes inflation due to wage hikes, inflation due to renegotiation

of rental contracts and inflation due to fuel. In

the part-truck load business, you are right, the hike in fuel is essentially passthrough to customers

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entirely and so to that effect, it doesn't have any impact on profitability directly, so majority of this comes from wage hikes and rent escalation. Given that we run an integrated network, it affects all of our businesses sort of in a conjoint fashion because our part-truck load business and our express business share the same people, they share the same fleet and they share the same infrastructure. There was a question on would these costs be passthrough with the lag, we discussed this earlier. Fuel inflation is typically passthrough with the max lag of 15 days to customers which is in line with sort of regular industry norms. Your question on supply chain, the revenue of Rs. 236 crores is a combination of transportation and warehousing revenues. The target for space addition in FY23 is likely to be close to about 1.67 million square feet, however, I should point out that this is a projection at this point in time based on the pipeline that we have and the contract that we have agreed and sort of as we get closer to real time commissioning of these and availability of space, this number may change a little bit, but I would invite Amit, who is our CFO to comment on question two as well. Amit, if you are on the line.

Amit Agarwal: So, our Supply Chain Services business did Rs. 236 crores of revenue in Quarter 1 of FY23. Out of this, nearly 40% of revenue was attributable to the warehousing services and remaining was attributable to transportation, but I want to point out that nearly 90-95% of revenue in segment is combined on track of warehousing and transportation, it is not a separate service contract, they are integrated contracts. Sahil pointed out that we intent to add about 1.7 million square feet this fiscal year based on our pipeline. Out of this, we have added about 0.5 million square feet of space in Quarter 1 based on the contracts that we have converted and expansion with the existing customers and the remaining capacity will be added as and when we get very close to the finalization of the contracts with the customers.

Moderator: Thank you. The next question is from the line of Lokesh Garg from Credit Suisse. Please go ahead.

Lokesh Garg: Just wanted to have your perspective on the competitive scenario that you have faced in the industry, obviously there are express parcel companies which are competing which you know, but there are traditional courier companies also which you said have not pivoted to the e-commerce business. Over a period of time, is it possible that they combined with shipment marketplaces type companies can actually for a combined together can pivot to provide e-commerce parcel services that you do and thus could ride up the ladder and be more competitive with you and is that already happening and your perspective around that?

Sahil Barua: Yes, our perspective on this is pretty simple which is that shipment marketplaces have a limited strategic value to the market as a whole. Any player who is the significant shipper is better served by having direct relationships with logistics companies, however, many they choose to have because the shipment volumes are large enough to ensure both appropriate price discovery as well as appropriate service discovery and they don't really need the services of an intermediary. This has been something that is specific to India by the way. This is something that has been across the world, whether you look at the US where customers continue to have direct

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or elsewhere. The other piece is, I don't think that the reason why traditional courier companies

have been unable to penetrate the market is the absence of shipment marketplaces. I think the reality is that they have not been able to address this market because the underlying models that they have are not robust enough to service the needs of e-commerce, whether it is picking up from a widely distributed set of merchants of variety of different sizes, whether it is investing in infrastructure to go out and build automated sortation centers or running line haul, these are not sort of physical capabilities that are dependent on shipment marketplaces in any way. So, if the question is - can sort of traditional players work with aggregators and gain market share, I say that opportunity is probably extremely limited because that is an opportunity that has presented itself to traditional courier companies from before the time that Delhivery began as a company and they failed to capitalize on it and the existence of our marketplace doesn't make it more viable.

Lokesh Garg: I had the second question which is related to the three new businesses or segments or services that you have started, one is basically same day delivery, other is C2C and third is Economy PTL, now what is the relevant size that we have either in terms of total parcel opportunity or percentage growth opportunity that you can highlight to us or some of services and in Economy PTL, I have an additional question as to Economy PTL essentially is a slower PTL service, today Delhivery network runs all express, right, it is a single speed network, by integrating our slow service, are we bit of confusing the network?

Sahil Barua: That is a very good question and let me answer the later question quickly on Economy PTL, so the way to think about how Delhivery is constructed and why we run an integrated network, is think of us as essentially building a pipe and then figuring out the optimal combination of boards that need to go through that pipe and so in some senses for us, it is a question of being able to identify what is the appropriate truck, on which to place a part-truck load shipment that belongs to the Economy PTL segment. So, we actually see the Economy PTL as the way for us to take up utilization of the express network. To give you an example, let us say, we have a truck which is ready to depart from Delhi to Bombay which is 80% full. If we happen to have Economy PTL loads which are available and can ride on that truck, then they essentially get to ride for free. As long as Economy PTL is not set up as a completely standalone capability, but is set up subservient into the integrated network which is the express network as you pointed out, is actually a margin accretive business which delivered the better quality of service to those customers. The second thing is that the Economy PTL business typically tends to have larger LR sizes or larger weight per LR that is tendered to logistics companies and so in that sense the handling costs are significantly lower for us and so again it becomes margin accretive. The size of the Economy PTL business is, the easiest way to think about it is about two thirds to three quarters of the overall part-truck load freight market in India because traditionally the Indian PTL market has been an economy out of slow PTL market, increasingly go with an improvement in highways with an increase in truck sizes with the presence of players like us, the market is shifting from Economy PTL towards an Express PTL, so for us Economy PTL is an interesting capability that we will offer to certain kinds of shippers, we will use to drive up utilization of our network, especially in key geographies, but it is not really a standalone capability. In terms
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of consumer-to-consumer at this point in time, it is hard to judge exactly how large that market is because this is the market that again historically is one that has been sta

rved of supply. There

aren't too many options for consumers to really ship intercity from the comfort of their home, they still traditionally have to walk up to a traditional retail outlet and ship whereas now they have the ability to do that from their home. Our volume growth has been pretty robust, in peak I think including both our direct consumer-to-consumer network as well as our franchise network, we hit close to about a million and a half orders in a month and that continues to grow, however, I don't have an exact market size for how big it will be. It is an interesting capability for us to add and rides on our existing business and has high margins. And your last question was on the same day delivery that again is the capability that we have added for specific customers. We already provided same day delivery services, so intracity shipping is already same day delivery. In this case, all that we have done is to open up some of our Delhivery centers or some of our intermediate processing centers as micro fulfillment locations where it is possible

for certain directive consumer brands to stock fast moving inventory with us and for us to deliver within 4 to 6 hours in a tight catchment area, but again it is a service that we already provide.

Lokesh Garg: Sir, if I am allowed I have one more question which is basically, the total parcel that you are carrying obviously originates from, bulk of them originate from obviously e-commerce platform, the two large ones in terms of the new upcoming ones such as social commerce and all that, I wanted to just check in yourself this number, are there meaningful number of parcels now originating from omnichannel merchants, meaning these merchants are not traditionally online, but are now becoming online because the lead avatar and you are enabling them to do so, you took one example in the last quarter called probably Tupperware, so are there a significant proportion of parcels which are originating from these, and the question is important because these are not affected by e-commerce funding situation, these are sort of running on its own scheme as you said online buying scheme?

Sahil Barua: I will ask Sandeep to answer this question.

Sandeep Barasia: So, when we look at bucket D2C and SME segment together that actually includes mostly companies that are not necessarily just e-commerce, but also traditional brands that are now starting to actually go online, so again most likely to be unaffected by any funding issues plus people who actually are asking us to pick up from store rather than pick up from warehouse, I cannot tell you exactly what number, what is the volume of shipments that we pick up from store versus pick up from warehouse, but is there an increasing salience of shipments coming from nontraditional e-commerce - absolutely and just odd thing to say nontraditional e-commerce, but that is definitely growing and even on e-commerce bulk of our shipments do not come from the two large platforms. We don't actually have a degree of concentration in our business, because we work across all the large platforms including some of the vertical players who are actually quite scaled up as well and quite well funded. So, yes, but to your base question, absolutely D2C and SME and omnichannel are clearly becoming a greater salience in overall business.

Moderator: Thank you. The next question is from the line of Vijit Jain from Citi. Please go ahead.

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Vijit Jain: Sir, I have two questions on the e-commerce business, one, in the same day delivery offering, is there a significant pricing differential for parcels that exists between that in conventional offering? And the second question is related to the price hike that you took with the aggregators earlier this quarter, I am just wondering to address the aggregators, do you need to do more than that over the next year,

does it include ramping up same presence to onboard the long tail or do you need to build or offer channel integrations, just your thoughts on how you are addressing aggregators?

Sahil Barua: On same day delivery pricing, yes, same day delivery is charged at a premium to regular delivery and especially same day delivery originating out of micro-fulfillment centers is charged at a premium to regular delivery. The premium varies depending on the volume and depending on the specific city in which we are operating because costs for this are different across for instance metros versus non-metro cities and we have 15 cities that we are currently operational. To your second question, I will go back to my earlier answer which is that we don't particularly see anything that we have to do differently for clients above a certain size. Customers above a certain size are better served working directly with not just Delhivery, but other logistics companies as well and typically the systems that they have will be capable of allowing them to manage more than one logistics partner. It also is more effective because logistics partners whether Delhivery or others have the ability to provide greater customization of services when working directly with these customers, so we don't think that we have to add any capabilities. Those are capabilities that logistics companies have. As far as the aggregators go, there are good sales channel, not just for us, but for all other logistics companies in the market or merchants who are below a certain size, but after merchants cross a certain size threshold, Delhivery and other logistics companies across the country typically will see customers approaching us directly and to integrate directly.

Vijit Jain: And my second question is, just a bit comment about the impact of Shopee in 1Q, I think you mentioned 22 million parcels and about Rs. 60 crores impacted service EBITDA, did I understand that right, so it basically translates to Rs. 27 per parcel of service EBITDA impact from Shopee?

Sahil Barua: The overall impact that you saw on the slide on Rs. 60 crores also includes some impact due to revenue loss in the part-truck load business at constant service EBITDA margin, but broadly for Shopee, I think the numbers will be closer to about Rs. 40 to Rs. 50 crores in terms of revenue led reduction.

Vijit Jain: And one final question, just a housekeeping question from my side, could you give the number for the CAPEX for the quarter and FCF for the quarter?

Sahil Barua: Amit, can you take that please?

Amit Agarwal: So, the total use of cash in this quarter was about Rs. 215 crores, out of this about Rs. 75 crores was attributable to cash flow from operations. About Rs. 225 crores was CAPEX and excluding Delhivery Limited
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the IPO proceeds there was about net draw down and some receipt of money from a particular investor related to tax indemnity was about Rs. 85 crores. So, adjusting all these things, total use of cash in the quarter was Rs. 215 crores.

Moderator: Thank you. The next question is from the line of Ankit Jain from Mirae Assets from Webcast. Couple of questions, any sense on possible loss of revenue in PTL business for the quarter due to integration? Two, reason behind yield power parcel further coming off in express parcel business to around 69 versus 72 in FY22, any impact on service EBITDA in core express business as the result of the same? And third, nature of one-time provision cost of 40 Cr?

Sahil Barua: Ankit, just on the first question, when you are talking about possible loss of revenue, do you mean permanent loss of revenue or only in the quarter?

Moderator: No sir, for that quarter.

Sahil Barua: For the quarter, if you can go to slide number 3, so if you look at the graph at the bottom right, what you will see is that part-truck load freight revenues have dropped from Rs. 4

82 crores in

Q4 FY22 to Rs. 260 crores in Q1 FY23, so the net impact has been close to about Rs. 223 crores between quarter 4 and Quarter 1. A bulk of this was related to the integration related issues earlier in the quarter and we are seeing volume recovery and we are seeing revenue recovery and expect this to continue through this quarter and forward. The second question, in terms of yield per parcel, the yield per parcel is driven by a mix of clients, it is driven by a mix of distances that packages are traveling and so as that shifts the yield naturally shifts across quarters, for example, we are likely to see an increase in yield again in quarter 3 during the Diwali period, but that is just the natural cyclical in the business. In terms of impact on service EBITDA in the core express business, again if I can direct you to the table that we had put up on the adjusted EBITDA, so our express and our part-truck load businesses that mentioned share the same resources, whether it is infrastructure, whether it is staffing or whether it is fleet. So, our mid-mile stability is for example, are our trucks are running at combination of express as well as PTL and so it decline in the PTL volumes that are flowing through the network will have a natural impact on overall transportation EBITDA and therefore if you would do an allocation would also affect express service EBITDA in that period. So, the impact from the core express business has come from the integration rather than a change in yield. The express business is designed, so that the margins are constant irrespective of the change in mix of the network. So, had our bigger volumes remained at the quarter 4 levels even with the decline in the express yield because of the change in mix, the margins would have remained constant or would have grown with time. In terms of the nature of one-time provisions of Rs. 40 crores, these are largely claims which are related to two specific outcomes; one is, through this period there were express damages that were created in our network as the Delhivery and the SpotOn network were combined and the second was extraordinary package losses or package delays owing to integration issues coming out of the Tauru and Bhiwandi where we have essentially provided these as discounts that to our customers which are one-time integration expense.

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Moderator: Thank you. The next question is from the line of Saurabh Thakkar from Motilal Oswal. Please go ahead.

Saurabh Duggal: Congratulations on integration of SpotOn, sir, my questions have been answered previously, just wanted to clarify on Q-on-Q and Y-o-Y basis, if we remove the SpotOn integration, what would be the EBITDA and margin? And the second question would be what would be the contribution of SpotOn on the overall FY23 revenues and FY24 revenues and margins?

Sahil Barua: So broadly to your question, if you remove the integration impact on this slide, the costs that disappear are the Rs. 150 crores cost which is underutilization of existing capacity. Obviously, the Rs. 46 crores which are the one-time integration costs and a portion of the revenue led reduction in service EBITDA which we expect will be likely in the range of about Rs. 20 to Rs. 25 crores, so 150 plus 46 is 196 plus about 25, so essentially we would have been at an adjusted EBITDA breakeven had we shown 0 growth between quarter 4 and Quarter 1, so if our Quarter 1 volumes in TPL had remained exactly the same as quarter 4 and we take into account the disappearance of Shopee with overall express parcel volume being at 150 million, we should have been had broadly a breakeven in Q1 FY23. The other way to think about it is that the cost which would have persisted would have been the Rs. 21 crores capacity addition during Quarter 1, the inflation impact of Rs. 17 crores and a part of the revenue led reduction in servi

ce EBITDA

to the extent of Shopee's disappearance which would have been close to about Rs. 40 -Rs. 45 crores. To your second question in terms of how much the Spot On from, what I can tell you is that overall part-truck load business if you go back 2 slides back please, the overall part-truck load business was at about a quarter of our revenues in Q1 FY22 and Q4 FY22 as you can see which has declined to 15% as of Q1 FY23 owing to the integration and so our expectation would be that as volumes recover, first of all it would form similar percentage of our overall revenues as it has in FY22.

Moderator: Thank you. The next question is from the line of Shashank Savla from Somerset Capital. Please go ahead.

Shashank Savla: My question was more on the breakdown of the margins between the different segments, I know you don't provide an exact number, but given that a lot of the extra cost have been related to the part-truck load business, I wanted to understand if the margin trend in the other businesses is improving over time as your business is getting bigger and bigger?

Sahil Barua: Shashank, broadly the answer is yes, as you can see and as I pointed out earlier, we run an integrated network where the substantially the biggest cost that I have shared between the two networks are the mid mile costs which are the trucking terminals and the hub and outside of that line haul or the trucking network itself, we don't break that down between express and part-truck load and so obviously when there is a decline in the part-truck load volumes, we decided to continue running the trucking network with the same capacities to ensure fast service recovery and to ensure express was not affected and so there would have been a margin impact on both express as well as PTL. As PTL volumes have recovered, margins have also recovered across

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both the express as well as the PTL service lines and they will continue to improve as PTL volumes continue to grow.

Shashank Savla: And the bottlenecks and the one-off costs which you mentioned, is there any impact in the second quarter as well from that?

Sahil Barua: In terms of the service level, service levels have remained stable more or less since the end of Q1 FY23 and have remained robust. We had not seen any sort of bottlenecks across the network.

I think there continue to be one or two smaller locations where the Delhivery and the SpotOn networks have not been fully integrated and because of the least terms, we continue to carry redundant facilities which will be integrated, so one location for example, specifically will be Chennai where both Delhivery and SpotOn operate, subscale facilities and therefore substandard to the size of the business that we intent to run and that integration will take a period of time, but outside of that we don't see these bottlenecks continuing across the network and other than that I think your question was do we expect the one-time expenses from Quarter 1 to continue through the rest of the year.

Shashank Savla: I was just trying to understand is there any ongoing impact in the second quarter as well from the one-offs or the issues you mentioned in the first quarter?

Sahil Barua: I think a large percentage of the claims have been settled with customers in quarter 1, some of them will be settled in quarter 2 and post that we don't expect there to be significant sort of persistence of the one-time integration cost. Those will not continue. As volumes recover they will be impacting utilization....

Amit Agarwal: The provisions for them have been made in the quarter one itself.

Sahil Barua: Yes.

Shashank Savla: And finally, is there any guidance which you are willing to provide in terms of any targets for what your revenue growth or profit EBITDA margin targets would be for this year or next year?

Sahil Barua: I think it is still too early for

us to provide annual guidance at this point. It is important for us to see how the next quarter plays out as well and then obviously we are entering the peak season, so we will have a much better sense of how the year will play out. In terms of what the economics of the business will generally look like, I think you can look at our quarter 3 and our quarter 4 results and our financials for the previous financial year. In that sense, our business is not very difficult to model. We have retained the same capacity and thus volumes go up, that is what our margin trend should look like.

Moderator: Thank you. The next question is from the line of Alok Deshpande from Edelweiss Securities. Please go ahead.

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Alok Deshpande: Couple of questions from my side, first, I know that you have quantified the Shopee impact, but generally speaking over the last 2 or 3 years, what is the typical trend of shipment volumes from quarter 4 to Quarter 1, so like you mentioned it is just for the Shopee volumes could have been

the similar number of 150 million shipments, but historically, how does this trend move from quarter 4 to Quarter 1? That is question number one.

Sahil Barua: Broadly flat, Alok in line with the schemes where the 150 million odd that we did excluding Shopee for quarter 4 has remained flat and Quarter 1, what is different this time I should point out though is that the industry has de-grown between quarter 4 and Quarter 1 because of the Shopee impact.

Alok Deshpande: And even historically would these flat volumes be more because of Delhivery getting more market share because from an industry perspective, I would think that Q1 would be lower than Q4, is that a fair assumption?

Sandeep Barasiad: No, there is no reason to assume that because Q1 actually tends to be fairly not consequential quarter in January, right because there is no sale, no festive reasons; April, May, June is actually quite drag in India in all sense, right because if you have your year end sales that happens in March, your next round of sales start with end of season sale for fashion which is in July followed by Republic Day. Even your Prime Day happens in July, Flipkart Founder's Day happens in Q2; April, May, June tends to be very soft as cool down days in India, there is not much going on in April, May, June, so there is not really that much activating April, May, June. So, it tends to be more or less flat here. Last couple of years, not a good example simply because 2 years ago it would have been impacted by COVID, but in general, it is flat or slightly below Q4.

Alok Deshpande: And the second question is on, there is a statement in your filing which says that some part of this impact on margins and volumes will continue in the next quarter also that is quarter 2, now are we looking at very small part of this integration process carrying on in Q2 or are we looking at our impact which is sort of similar to Q1?

Sahil Barua: I think we have seen recovery of volumes in Q2 overall as two things have happened, one is that our claims were settled with more customers and started trading; b) I think our service levels have stabilized and as our confidence in the automated facility has increased towards the end of Quarter 1, we also have started admitting larger volumes into the network and so volume recovery has continued through July and into August so far. That said, like I said it is still early, the volume recovery is continuing, we are satisfied with where we are at. It is still a little early to predict exactly what will happen in Q2 because we will have to see how volumes grow in August and sort of the later part of September when we are approaching the festive season. It is also quarter-end in September. So, we will see what the impact of that will be. So, there will be some impact, which will continue from underutilization, but we expect

Q2 to be better than Q1,
yes.

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Alok Deshpande: Any sense on whether we are guiding on FY23 overall, no margin number, but are we confident of having adjusted EBITDA positive FY23, any sense on that?

Sahil Barua: It is too early to say right now Alok. We have to look at how the rest of the year will play out and we have to see sort of how volumes play out with the rest of the year. As long as there are no further systemic shocks, I think we should be doing fine, but it is still early.

Moderator: Thank you. The next question is from the line of Abhishek from DSP Investment Managers. Please go ahead.

Abhishek: Sir, I had just one question, just referring to the bridge that you all have given and for the PTL segment what revenues we have seen almost about Rs. 223 crores decline on a sequential basis, corresponding impact of that of almost Rs. 150 crores except provision it include Rs. 140 crores of provision, it is almost about Rs. 190 crores is that a high number because just for a corresponding revenue decline Rs. 223 crores sequentially, seeing an EBITDA impact of almost about Rs. 150 crores except provision and with provision 190, is that a high number or is there something else that we have to look at, just your thoughts?

Sahil Barua: I think the way you have to look at our business and we had pointed this out last time as well is that we are an extremely high incremental margin business and therefore when volumes drop sharply, it is not unusual to actually see that the drop in the PTL revenues is causing that extent of capacity underutilization. The other thing to point out is that the capacity underutilization cost that you are seeing Rs. 150 crores also as I had pointed out include certain facilities that are redundant and some contracts on the SpotOn side which will sunset through this year. So, to some extent, that Rs. 150 crores is also impacted by that and you have seen we have already started the process of deprecating certain facilities, consolidating facilities between Delhivery and SpotOn, we made progress on that in Q1 that will continue through Q2 and our hope is that a bulk of that will get consummated through Q2 and early part of Q3.

Abhishek: So, to that extent we should also see a very sharp recovery when these revenues come back to may be 4Q levels or a little higher than that, that was my point I was making?

Sahil Barua: Sure.

Abhishek: Other thing is also, obviously, we have seen increasing corporate overheads as a percentage of

revenue is a little higher because of the underutilization, but should this normalize to your earlier numbers of less than 7-8% as things normalize over the course of the year, is that a fair assumption to know?

Sahil Barua: Yes.

Abhishek: So, there is no change in that kind of the overhead absorption, is that your confident that you are going to maintain those 6% to 7% kind of a number?

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Sahil Barua: Yes, absolutely.

Abhishek: Just the other thing in terms of starting the same day delivery service, I just wanted to get an understanding, will that also mean that at some point in time we will also have to kind of get into own freighters or anything on that sort, if you could be able to provide daily service on a...

Sahil Barua: Not at all, as we discussed in the last call as well, I think we are one of the largest shippers of airways, domestically on passenger belly. I think as passenger traffic has recovered and freight sizes are increasing, the capacity that is available to shippers like us will be increasing as well and we are a priority partner for all of the airlines in India, so we don't see the need for us to go out and invest in freighters. Certain segments of the market may remain un-addressable for us by virtue of not having freighters, but those are segments of the market that we

don't feel are

large enough or attractive enough for us to be really be in.

Abhishek: And just one last question, in terms of you have mentioned about some of the customer you had mentioned couple of names I guess those are referring to the third-party part of the business, right?

Sahil Barua: Yes, that is right, that is the supply chain services business, that is correct.

Abhishek: And how has been the pricing and your expected yield in that because since now you are a much formidable player in gaining in terms of revenues, how has been the yield experience as far as new wins are concerned from the earlier one?

Sandeep Barasia: Supply chain services yield one client versus another client and not really comparable because the kind of movements and the kind of work we do for the client might be very different from the client and also the requirements from warehousing and what are the requirement from warehousing, actually there is a lot, the degree of primary and secondary movement there is a lot, so they are not strictly comparable, but as I think earlier question was asked and Sahil pointed to that the other business is actually moving in overall margin performance, Supply chain is experiencing the same thing at an overall level, so we are being able to price better, we are able to get a better margin out of that business, but you can't really, it is not like a parcel where you can actually compare one parcel versus another parcel, but the quality of the contract is definitely improving as we get more and more contracts.

Moderator: Thank you. The next question is from the line of Abhijit Mitra from ICICI Securities. Please go ahead.

Abhijit Mitra: Sahil, just go back to that bridge between Rs. 21 crores and negative Rs. 217 crores just to sort of check my understanding, so the negative Rs. 150 crores of underutilization of the existing capacity essentially has four components, right, so you have capacity creation in such a future demand in the typical of Q1 looking into Q2, Q3, Q4, so that would be probably recurring every Q1; second is your redundant capacities of SpotOn, what you will sort of gradually taper down

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inclusive of employees, I guess, I think employees also I can see a flow in trend, third is normalcy of volumes in PTL, this looks like a one month impact, you are expecting normalcy in June, but the customer volume has slowed to sort of resume and then fourth, impact on account of sudden drop in Shopee volumes, so these are the four impacts and depending on normalization of each of those four things you will sort of see this Rs. 150 crores play out over the rest of the year?

Sahil Barua: That is correct. The incremental capacity additions that you are referred to as the first of the four is the Rs. 21 crores that we have pointed out here, that is the typical sort of normal capacity addition that will happen in Quarter 1, so underutilization of existing capacity which is the Rs. 150 crores is as you had pointed out the excess capacity that was created for two reasons, one is continuing to have redundant infrastructure between Delhivery and SpotOn and the second is that as volumes dropped sharply, we decided to continue to keep that capacity to stabilize service levels faster and which has sort of played out because service levels have been stable since the end of Quarter 1 and remained robust throughout, so that will normalize through this year. The third of this is the inflation impact which is again an annual cost that we have taken and the final one which is the revenue led reduction is because of Shopee that is correct.

Abhijit Mitra: And just to sort of focus would be it on the KPI, I think there is a slide where you have beautifully

depicted the KPIs, so there is one item which is revenue per square feet, so here my sense is you have taken only the warehousing revenue, is it true,

is my understanding right? You have not taken the transportation part within the supply chain?

Amit Agarwal: Yes, you are right. This is only the warehousing revenue.

Abhijit Mitra: Here you are actually breaking it up into warehousing and transportation, right?

Amit Agarwal: So, the transportation revenue per square feet corresponds to the revenue divided by the square feet of the transportation infrastructure we operate and warehousing revenue attributes to the warehousing revenue divided by the warehousing square feet we have.

Abhijit Mitra: So, warehousing component within the supply chain business?

Amit Agarwal: Yes.

Moderator: Thank you. The next question is from the line of Aditya Mongia from Kotak Securities from Webcast. Given the majority market share and express parcel the Delhivery has, what is the end game for Delhivery's market share within 3PL players over the next 2 years and what 3PL market share does it make sense for Delhivery start going pricing, any sense of timelines for the same to start reflecting in the financials? What is your stand on prospects of utilizing your PTL infrastructure capacity towards growing slow PTL business? Would that not be returned or margin dilutive versus deploying such capacity to grow express PTL business faster?

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Sandeep Barasia: Let me answer the first question and then Sahil may come back with the further detailed portion.

On express parcel, we are the largest player in the market, we have been the largest market share and we have been gaining share in the market, I think it is hard to say about the logical end point of market share is for us because while customers need a redundant partner, it is not clear whether there is any three partners and four partners and whether at some point we thought customers will have 20% shares or 25% shares each partner, but we are breaking that and we have customers who actually give us 70, 80, 90% share of volume and we have customers who give us 35-40% share of volume. So, I think our objective is going to be continue driving down cost and improving service level and then tactically pricing into the market to see how much of that we want to gain from a share perspective and how much of that we want to invest towards and how much we want to keep as margin and we will continue doing that over the next few years and, I don't think we have in mind a logical point that 30% share we will start pricing up or 35% share we will start pricing up. I think it is clear opportunity for us to gain share, we will continue to gain share. We clearly see opportunity to further rationalize cost and bring efficiency into the system and as long as we see that there is no reason for us to not gain share. At one point we start pricing up, I don't know whether it is a question of whether we need to price our parcel to actually make money or make margins, it is actually how much more efficiency we can push into the systems so there is still more we can push through the pipe efficiently before we have to start actually pricing up. I think the benefit of this is there is going to be a point at which our pricing ability versus competitors will actually be very differentiated and then you see that your share gain for us and there is no limit how high that can be. At least we are not setting a limit for ourselves. I think that way we have to focus on. I don't think in the short term, the game is of having to increase prices. We can get margin through reducing cost and putting more through the pipe and that is what we will do. How and when we will start reflecting in the financial, I think as Sahil mentioned couple of times today already we are an integrated network with high incremental margins, I think both PTL, Express PTL and Express Parcel have to play in tandem for that to start reflecting effectively in our margins. Sahil, you want to talk

about part -truck load

and how we want to....

Sahil Barua: Yes it is a good question on utilizing the PTL infrastructure capacity, I think I would just point out one thing which is there is not the PTL infrastructure capacity, it is the combined capacity that we have created in mid mile operations which is the hubs as well as the trucking network and the way to think about how we will grow the Economy PTL business is the way we think about it is that it is not I will repeat, double bold and underline that it is not a standalone capability that we intent to build, so the objective is not to go out and compete with the traditional Economy PTL players where there is a sort of fairly fragmented and large space and to build an independent Economy PTL business. There are certain locations which our express network services where it is possible for us to drive up utilization of the vehicles by developing an Economy PTL business because in those locations an express PTL business may not exist at all and some locations where for example, the average utilization provides us enough space to go and develop specific accounts in specific verticals which we are aware of and sometimes the

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same shippers end up having a combination of Express PTL and Economy PTL requirements which our intention is to serve.

Moderator: Thank you. The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: Sir, my first question is, if you just take a step back and look at on the PTL side in Q1 FY22 we did 2,79,000 tons that number after SpotOn is now 2,39,000 tons, so while I understand there is an integration issue, but how come the volumes are even below what we used to do pre -SpotOn, sir if you could just help understand that better because and without SpotOn we could have done similar number if not more, that would be my first question?

Sahil Barua : Just to be clear that 2,79,000 tons for FY22 will be proforma, so that will also include SpotOn, the Delhivery standalone volumes are now 279,000 tons, so in that sense when you compare the Delhivery job business to Q1 FY23, the business has grown in the same period. The reason for the decline is essentially us cutting out volumes in specific locations, the few highest volume locations from which we cut out volumes for where we have the largest automated gateways to allow the network to stabilize which we re out of our gateway in Tauru and out of our gateway in Bhiwandi and therefore also cutting out certain locations which connect into these major location, so for example, Pune connects via Bhiwandi and so making sure that we provide a standard service quality and cut volume, so that is why you see the cut in volumes in Q1 FY23.

Pulkit Patni: And related question on realization, once the integration of SpotOn is fully complete, is there a possibility we could have higher realization given that some of this also is realignment of clients, etc., or do we expect realizations to be?

Sahil Barua: I think his question was do we expect realizations in the part -truck load business to remain broadly constant. I think again realization in the part -truck load business and I am answering this for the benefit of everybody else on the call is again a mix of all of the different clients who form the part -truck load business. It is a combination of a mix of our corporate, our retail and our small and medium businesses and as those percentages change, the realization of the part -truck load business changes as well. That said, pricing in the part -truck load business is something that is sort of well discovered, it is a market that has existed for a long period of time and so to that extent what we do is to follow market pricing. Our approach will be similar to what we did in Express, which is to be the most efficient player and therefore over a period of time, either

we have margins which are supernormal compared to other competitors in this space or to pass on pricing benefits to customers.

Moderator: Thank you. I now hand the conference over to Mr. Gaurav Retaria from Morgan Stanley.

Gaurav Rateria: May be I can just chip in one question here, on the PTL volumes, where are we now versus the normalized volumes, by when we expect to get back to the 4Q levels and the related question is

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that for fiscal 23, would PTL volume would remain constant or it has still potential to grow because we have lost out some time now?

Sahil Barua: I think Gaurav, it is still early to say, we have as I mentioned since progress levels have been completely stable since the end of Q1 FY23 and the operational issues at Tauru and Bhiwandi have been sort of conclusively resolved, so that remains stable into quarter 2 so far. We don't anticipate any disruption coming from this. The reason I am not yet going to provide a forecast on what our volumes will be for the year or what our recovery will be is that one of the hypothesis we had is that as the Delhivery and SpotOn network combined and as we discovered efficiency by combining the two networks and additional capacity, we might be able to grow faster than we had originally planned as well, but at this point in time, let me put it this way, the operational issues are behind us, we settled claims with our key customers in Quarter 1. Whatever few claims were left will be settled through quarter 2. We are seeing volume recovery through quarter 2 and we are quite satisfied with where we are at and we will see sort of at the end of this quarter how the rest of the financial year will play out.

Gaurav Rateria: Second question was on the synergy benefit on integration and upgradation of the network on trailers, when does that really start to flow into the margin, any quantification of integration related benefit that we can say?

Sahil Barua: As I pointed out in our previous earnings call also Gaurav, our aim was by the end of this financial year to first of all to take the combined PTL business post -integration to the pre -integration margins that SpotOn had, so that continues to remain our target. There is no change in that target, the integration issues of Quarter 1 notwithstanding and then to start discovering synergies because I think that is the period that it will take for us to eliminate all redundant infrastructure to ensure that there is complete consolidation of facilities and teams, so that process is underway. That continues to remain our target which is to get the business to pre -

integration SpotOn standalone margins in this financial year and then to start discovering synergies. In terms of tractor trailers, we continue to enter tractor trailers across our network. As you have seen, we have inducted close to about 30 tractors and 85 trailers in Quarter 1. We will continue to do that and as volumes are going up, those tractor trailers are utilizing relatively less efficient 32-foot single axle and 32-foot multi axle vehicles and so that movement will continue through the year and the difference in costing for example, in line haul between the tractor trailer operations and the 32-foot single and multi-axle trucks can be as high as 25%, so we expect to continue to see those efficiencies as tractor trailers come in.

Gaurav Rateria: Those are all the questions I had, so on behalf of Morgan Stanley, I thank the management team of Delhivery for the detailed insights and their time. Thanks everyone else for joining the call.

Over to you, Neerav.

Moderator: Thank you very much. On behalf of Morgan Stanley, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Dec 2022

Date: November 21, 2022
BSE Limited
Floor 25, P J Towers,
Dalal Street,
Mumbai – 400 001
India

Scrip Code: 543529 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
India

Symbol: DELHIVERY

Sub: Transcript of Earnings Call pertaining to the Unaudited Financial Results for the quarter and half-year ended September 30, 2022

Dear Sir / Ma'am,
This is in continuation to our earlier letter dated November 14, 2022 regarding audio recording of the analysts/investors Earnings Conference Call held on November 14, 2022 at 04:30 P.M. (IST) on the performance of the Unaudited Financial Results of the Company for the quarter and half -year ended on September 30, 2022.

Please find attached herewith the transcript of the above investor and analyst call.
The same is also available on the website of the Company at [https://www.delhivery.com/investor - relations/](https://www.delhivery.com/investor-relations/) .

You are requested to take the same on your record.

Thanking you,
Yours faithfully,
For Delhivery Limited

Sunil Kumar Bansal
Company Secretary & Compliance Officer
Membership No: F4810
Place: Gurugram
Encl: As above

Delhivery Limited Earnings Call
Hosted by Citi Equities Team
November 14, 2022

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“Delhivery Limited Q2 FY23 Earnings Conference Call”
November 14, 2022

Management : MR. SAHIL BARUA, MD & CHIEF EXECUTIVE OFFICER
MR. SANDEEP BARASIA, ED & CHIEF BUSINESS OFFICER
MR. AMIT AGARWAL, CHIEF FINANCIAL OFFICER
MR. VARUN BAKSHI, HEAD, INVESTOR RELATIONS
Moderator : MR. RISHI IYER, CITI EQUITIES TEAM

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Moderator: Ladies and gentlemen, on behalf of the Citi Equities team, I welcome you all to the 2nd Quarter FY23 Earnings Conference Call of Delhivery Limited. From Delhivery's management team we are joined today by Mr. Sahil Barua, the MD & Chief Executive Officer; Mr. Sandeep Barasia, ED & Chief Business Officer; Mr. Amit Agarwal, Chief Financial Officer; and Mr. Varun Bakshi, the Head of Investor Relations.

Before we start, we would like to point out that some of the statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this call is meant for investors and analysts only. If there are any representatives from the media, we request you to drop off this call immediately.

As a reminder, all participant lines will be on a listen-only mode; and participants can use the raise-hand feature to ask any questions post the opening remarks. Please ensure your name is visible, as first name, last name, followed by your organization name, for us to be able to identify you before we take your questions.

I thank the management team for providing us the opportunity to host this call. I now invite Mr. Sahil Barua to take us through the key highlights for the quarter, post which we open the floor for Q&A. With that, over to you Sahil.

Sahil: Thank you Rishi and thank you to the Citi team for organizing this. Just a quick check that I'm perfectly audible.

Moderator: Yes sir, we can hear you.

Sahil: Excellent, thank you. Thank you all for joining our earnings presentation for quarter 2 fiscal '23 today. I'll start with a quick 15 to 20 minute presentation on quarter 2 and then we'll open the floor for questions.

For those of you who've joined fresh, if we can move to the first slide, just a quick refresh on Delhivery. The aim of Delhivery is to build the operating system for commerce in India, which means we essentially provide the logistics infrastructure technology and services that enable buyers and sellers to transact with each other in the physical world.

These buyers and sellers who are customers of Delhivery could be businesses transacting with businesses, businesses transacting with consumers, or consumers transacting with consumers within India, or from India to the world, or the world to India.

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In terms of a quick snapshot of quarter 2, Delhivery continues to be India's largest integrated logistics platform. We recorded revenues of about 1,796 crores in quarter 2 of financial '23, which represents a 9.3% year-on-year growth rate over quarter 2 in financial year '22. Adjusted EBITDA margins have improved to negative 7%, which is an improvement of about 547 basis points from quarter 1 financial '23.

We delivered about 161 million packages in our express delivery network, which represents a 19% growth year-on-year from quarter 2 in financial '22. We remain the leading independent express player in India and have delivered close to about 1.7 billion packages since our inception.

Our Part truckload business continues to be one of the largest PTL businesses in India. We recorded 20% quarter-on-quarter growth from quarter 1 when we had seen our decline in volumes vs. quarter 4 due to our integration with SpotOn. We've delivered close to about 2.7 million tons since our inception in financial '19.

We continue to be one of the largest players from an infrastructure and reach

standpoint across the country. We operate close to about 18.5 million square feet of logistics infrastructure, which includes trucking terminals, automated sortation centers and gateways, freight service stations, collection points and delivery centers. Over 28,000 customers depend on Delhivery's network for a variety of different services.

Over half our revenue today comes from customers who use two or more of our services; and we cover 18,454 pin codes across the country of India, based on the definition of pin codes provided by the Indian Post.

In terms of a quick snapshot on operating metrics, our pin code reach has increased to 18,454 pin codes at the end of quarter 2, as I mentioned. We continue to service 220 countries from both an imports and an exports standpoint, through our global partnership with FedEx and Aramex. Over 28,000 customers, as I mentioned, use one or more of Delhivery's various services.

From an infrastructure standpoint we operate close to about 18.5 million square feet of infrastructure across the country. The key change from financial '22 and from quarter 1 financial '23 to quarter 2, is that our integration with SpotOn and consolidation of infrastructure between Delhivery and SpotOn, as we have mentioned, is underway and continues as per plan.

We've seen a reduction in total number of gateways from 123 at the end of financial '22 to 96 as of quarter 2 fiscal '23; and a reduction in the total freight service centers that we operated as independent networks, from 267 as of financial '22 to 188 as of quarter 2 financial '23. These are the two lines that are highlighted in red on your screen.

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And the team size overall has reduced from a total team size of 60,373 to close to about 56,500 people as of quarter 2 fiscal '23. We expect this integration and the benefits of consolidation to continue through the rest of this financial year.

Moving to the next slide, some highlights since the last earnings call. Our Express Parcel business continues to remain robust. We remain the largest independent express logistics company in India. We saw 19% growth in volumes year-on-year in quarter 2 of this year. But more importantly, in the festive season towards the end of the quarter, we saw an 80% growth in festive and daily volumes versus the rest of the quarter.

We continue to have a unique capability and a dominant position in fulfillment of

Heavy Goods, with a 30% growth in volume over the previous quarter in quarter 1. We also continue to regain market share in the Part Truckload business post our integration with SpotOn. We are today one of the largest PTL freight networks in the country. We saw a 20% growth in volumes in quarter 2 compared to quarter 1.

More importantly, network service levels have remained stable across all business lines and above 90% as clients measure us. The integration issues and operational issues that sprang from our integration with SpotOn in quarter 1 have been conclusively resolved as of quarter 2. And the network footprint rationalization is underway as per plan and as you can see in the numbers I've shared earlier.

While our core businesses which are Express and PTL continue to maintain position and grow rapidly, we're also seeing momentum across our newer businesses. Our Supply Chain Services business and our Full Truckload business have shown significant growth since the same quarter last year. Client acquisition momentum in the SCS business continues to be robust with large enterprises trusting us to run their entire supply chain operations.

And we continue to also see strong growth in our cross-border, express and freight businesses, despite a global slowdown and a decline in air and ocean freight yields.

A quick snapshot of what volumes in the Express business look like. This represents three-day average pickup volumes over the last quarter, July -August -September. As you can see towards the end of September, we saw a seasonal spike in volumes as part of the e-commerce sales season. This spike was about 2.3x of quarter 2 financial '22 and 1.9x of quarter 2 financial '23, the average volumes that we saw prior to the peak. We expect to continue to see growth in quarter 3 and some growth in quarter 4 as well.

In terms of financial performance, as you can see on the bars on the left, revenues from services have grown from Rs 1,644 crores in quarter 2 fiscal '22 to Rs 1,796 crores in quarter 2 fiscal '23.

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Express and PTL continue to be the dominant revenue lines, together following close to 79% of revenues in quarter 2. And on newer businesses which have grown rapidly, continue to form 21% of our overall revenues.

The bars on the top right represent the Express business. We've seen a 17% growth in revenues year on year, from Rs 960 crores in quarter 2 of financial '22 to Rs 1,125 crores in quarter 2 fiscal '23, and a 19% growth in volumes from quarter 2 fiscal '22 to quarter 2 fiscal '23.

The PTL business has grown from quarter 1 financial '23, which is when we faced operational issues due to the integration of SpotOn. However, we've grown on the back of improved service levels from Rs 259 crores in PTL revenues to Rs 293 crores in quarter 2 fiscal '23. And we've also seen an increase in volumes from 239,000 metric tons of freight, to 286,000 metric tons of freight in quarter 2 fiscal '23.

Our newer businesses, as I mentioned, continue to do well. Supply Chain Services has more than doubled the number of active engagements versus September '21, which is the same time last year. We continue to win accounts across a number of industries, which include Quick Commerce, Baby Products, the Auto Industry, Electric Vehicles, Agri Tools.

We have leading enterprises who work with us across a number of verticals already, which include Auto, Consumer Durables, Consumer Electronics, FMCG, and Industrial Products Companies across India.

Our Truckload Services platform has also nearly doubled from the same time last year. We continue to add new accounts across a variety of different verticals. The key ones, obviously, being Pharmaceuticals, Paints, the Tyre and Auto Industry and Consumer Electronics. More importantly, we are seeing

product-led growth in this business this year, as a significant portion of truck placement and supply is now transacting digitally via our supply side applications and via our marketplace, which reduces both the cost of Supply and Goods pricing transparency and improves service quality in the Truckload exchange.

And finally on the Cross-Border side, we continue to gain customers both for our Express and our Freight businesses, independently and through our partnership with FedEx. We won key accounts across industries, such as Industrial Engineering, Electrical Equipment, Renewables and FMCG.

We've also launched a new key project which integrates our domestic PTL and FTL trucking solutions with international ocean and air freight solutions, essentially providing a complete door-to-door delivery service. This is targeted at

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critical sectors like Pharma, Auto and Engineering. We've a strong position established on intra-Asia air freight and also our FedEx partnership continues to scale for Express Parcel exports.

In terms of revenues, as I mentioned, newer businesses continue to contribute a meaningful portion of our revenue. They are today about 21% of total revenue. The FTL business has grown about 90% year-on-year from quarter 2 fiscal '22 to fiscal '23. Supply Chain Services has grown 60% from Rs 112 crores in quarter 2 fiscal '22 to about Rs 180 crores in fiscal '23. And Cross-Border has grown about 33% from quarter 2 fiscal '22 from Rs 80 crores to about Rs 100 crores.

The decline from quarter 1 to quarter 2 in the FTL and Supply Chain Services business is a reflection of seasonality in our underlying customers' businesses.

Now while revenues have grown, more importantly, economics have improved sharply in quarter 2, compared to quarter 1. As we discussed on our last earnings call, quarter 1 earnings were affected by our integration with SpotOn, where we continued to run a relatively underutilized network to allow service to recover and to settle claims with customers.

Service EBITDA, however, for quarter 2 stands at Rs 86 crores and Service EBITDA margins have improved from -0.3% in quarter 1 fiscal '23 to nearly 5% in quarter 2 fiscal '23, which is a strong reflection of the massive underlying operating leverage in the combined network between delivery and SpotOn. Overall, at an adjusted EBITDA level, this has improved from Rs -217 crores in quarter 1 fiscal '23 to Rs -125 crores in quarter 2 fiscal '23.

I think the important thing for us to note is that we are pleased to see that post-integration of the Delhivery and SpotOn networks, the operating leverages that existed in a pre-integrated Delhivery standalone network continue in the combined network, as we've integrated successfully.

The key driver of the movement in adjusted EBITDA, as I've mentioned, is essentially the massive incremental gross margins that exist in our transportation business. Quarter 1 fiscal '23 adjusted EBITDA stood at Rs -217 crores. Of this, Rs 46 crores that we've mentioned in our last earnings call was a one-time integration expense related to provisions and vendor payments as part of the SpotOn integration. So excluding that, quarter 1 fiscal '23 adjusted EBITDA stood at Rs -171 crores.

The incremental revenue and transportation generated in quarter 2, which includes both eCommerce, Express and PTL, stands at Rs 107 crores and the incremental gross profit in our transportation business stands at Rs 53 crores, which gives us an incremental gross margin across transportation of approximately 50%. And as I've

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mentioned, it reflects the massive operating leverage that exists in the combined Delhivery and SpotOn network.

This is what has led to a total improvement

in adjusted EBITDA, from Rs -217 crores in quarter 1, to Rs -125 crores in quarter 2. And as volumes continue to come into the Delhivery network, from here on we expect incremental gross margins to behave predictably and profitability to continue to improve.

This is just a quick graphical representation of the same point. In quarter 1 fiscal '23 adjusted EBITDA had dropped a -12.5% owing to one-time costs and integration costs. This has improved to -7%. As volumes continue to come into the network, we expect adjusted EBITDAs to continue to improve.

As a quick bridge, if you focus on the column in the middle, which is quarter 2 fiscal '23, total revenue from customers increased to Rs 1,796 crores, compared to Rs 1,746 crores in quarter 1 fiscal '23. More importantly, total expenses, total

absolute expenses reduced from Rs 2,206 crores in quarter 1 to Rs 2,158 crores in quarter 2.

The major adjustment is simply for non-cash recurring costs, which add up to Rs 221 crores. That includes Rs 142 crores of depreciation and amortization expenses and Rs 79 crores of ESOP expenses, effectively giving us an adjusted EBITDA of Rs -125 crores, a negative 7%.

In terms of cash PAT, the picture is stronger. Cash PAT for quarter 1 stood at -10.4%, as of quarter 2 fiscal '23, adjusted cash PAT has improved to -1.7%, with an adjusted cash PAT loss of Rs 32 crores in this period. The cash PAT bridge looks exactly the same as the adjusted EBITDA bridge. Losses after tax for quarter 2 fiscal '23 stood at Rs -254 crores, compared to Rs -400 crores for quarter 1 and Rs -600 crores for the same quarter last year.

The major adjustment, again, is for non-cash recurring costs, which are depreciation and amortization and ESOP expenses. The adjusted cash PAT therefore stands at Rs -32 crores, or -1.7%.

That covers the presentation. In terms of a quick summary, this quarter has been one of consolidation for Delhivery. We continue to be, as I've mentioned, the leading player, the leading independent express player in the country. We've delivered over 161 million packages in the last quarter; and we continue to maintain our strong market position.

The PTL business, this was a quarter of recovery. Volumes have grown by 20% compared to quarter 1. Service quality has improved and integration issues are now
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behind us. We've gained market share and we still are one of the largest PTL players in the country. Expect to continue to gain share.

Most importantly from an economics standpoint, Service EBITDA has recovered sharply in quarter 2 to 4.8%. Our incremental gross margins are at 50% and the operating leverage in the combined business post-integration remains intact. With industry-leading service quality with the size of our network and our reach, we will continue to evaluate the strategic option to use our incremental gross margin to gain share across all the industries that we operate in.

And finally, our newer businesses continue to see strong demand from customers across various industries. We've seen massive year-on-year growth across Truckload, Supply Chain Services and the Cross-Border businesses.

We remain optimistic about the rest of the financial year and financial year '24. With that I'll pause and hand back to the Citi team for questions. Thank you.

Moderator: Thanks Sahil. As a reminder, participants can use a raise-hand feature to ask a question. We'll take the first question from Mukesh Saraf of Spark Capital.
Operator, kindly unmute their line.

Mukesh: Good evening and thank you for the opportunity. My first question is on the Express Parcel growth of 19% this quarter. Could you indicate some sense on how the industry has been? Have we maintained market share or have we gained market share? Or which range in market share are we there on the Express Parcel?

Sahil: Thanks Mukesh. We believe that we have continued to retain the market share that we had as of last year. I think our position as we look at each of our individual client accounts remains intact. Depending on which clients, obviously see different levels of growth over the year, our consolidated market share position may change accordingly. We obviously have larger share with some customers and less share of wallet with some customers.

But overall, our competitive position on the Express industry remains intact. We continue to have the same costs and technology advantages that we had as of last year, and continue to exercise that to defend market share.

Mukesh: Alright, would you be able to comment on say a large eCommerce platform such as Meesho which have on media been kind of commenting that that growth has been significant, or much higher maybe than say 40 -50% kind of number? Any wallet share shifts in such large accounts?

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Sahil: None that we have seen. We continue to maintain market share with each of our individual accounts. And overall, Mukesh as I've mentioned, we saw massive growth in volumes with seasonality.

Mukesh: Right. Thanks for that. And secondly on the PTL business, we'll see on average you've done probably about 3,200 tons a day. And last year same quarter you were about 4.5 thousand tons and in the fourth quarter you were up towards the 5 thousand tons. Could you give some sense on what rate we exited second quarter and probably some indication of how October, November have been?

Sahil: So we're currently at a rate which is close to about 3400 to 3600 metric tons of freight a day. I should add some context over here. On the PTL business, our first vote of call was really stabilizing service issues post the integration on quarter 1. I think we successfully navigated better in quarter 2 and service levels in fact, are better than they were in a pre-integration world. Not just in terms of network speed and reach, but also in terms of quality metrics, which includes shortage deliveries, damage deliveries and so on. So this has actually been a pretty good quarter from the service level standpoint.

Also, the other sort of exercise that we undertook post-integration was to take a look at all of the individual client accounts that we had, both with Delhivery and with SpotOn. We evaluate accounts which were unprofitable for Delhivery and SpotOn and either we renegotiate pricing or eventually stop services. And also to get out of certain accounts where we need to provide highly bespoke services, where it made more sense for us to focus on a standard PTL product.

Mukesh: Sure. And just last one if I may squeeze. We did get some sense from the industry participants that some of the large eCommerce platforms are looking to split the services across first mile, mid mile and last mile between different vendors, while Delhivery does provide end-to-end logistics. Do you think this is any way is happening and will this impact Delhivery's positioning in the market?

Sahil: Not at all. Because when we establish the fact that we are the lowest cost operator in this space, we are not just the lowest cost when bundled, we are also the lowest cost at each individual leg of the transaction. Our first-mile cost is the lowest, our mid-mile cost is the lowest, and our last-mile cost is the lowest. So this is actually a structural advantage. And I think it makes more sense to outsource to Delhivery. Essentially what I'm saying is it's impossible to unbundle Delhivery.

Mukesh: Right. Got that. Thanks a lot Sahil. I'll get back in the queue.

Sahil: Thank you.

Moderator: The next question is from Gaurav from Morgan Stanley. Please go ahead.
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Gaurav: Hi, thank you for taking my question. First question again is on the Express Parcel

business. How should we think about recovery from here, going by the commentary you made on the festive season it appears that we're likely to be under 20% growth for the next two quarters. So how should we think about transition from 20% number to like 30% like we have been doing sustainably for last several, several years? How should we think about that?

Sahil: I think in the Express business it's a pretty simple answer. We monitor our share of wallet with every single account that we work with. We also manage our overall client portfolio to make sure we're not unnecessarily concentrated with any single account. We will maintain our share of wallet with every single account that we have. And depending on the underlying growth that each of these accounts will see in the market, our consolidated market share will change as a consequence of that.

The other important thing to note is that ultimately we are the highest quality network. We are the largest network from a reach standpoint. And we also have the lowest cost structure. Our incremental gross margins I've shared with you. And so our ability to use our gross margins to protect our share if we have to is also in some senses unlimited. So that's sort of the way I would think about it. We will essentially maintain our leadership in this space.

Gaurav: Got it. Secondly...

Sandeep: If I can add, we will periodically go back and look at what we believe is the market size and scale and what our share is with each player. And obviously we triangulate it through various sources. It's not something that is given to us, or we don't have a Nielsen in our industry as such.

And as Sahil said, I think we will make adjustments. And if we feel like that there's any account where we feel like our share position has changed, then we will actually do what we need to do to defend our share under any circumstance.

Gaurav: That's very helpful. You had given a number a couple of quarters back, I think that your market share in the overall Express Parcel business is around 21 to 22% or even higher than that. Where do we stand as of now as per your broad estimate?

Sahil: Not significantly changed at all.

Gaurav: Got it. Last question on the 50% incremental gross margin. Should we think about going forward, that kind of a ratio holding up or that kind of a correlation holding up? Is it also the fact that we created a lot of capacity this year and that is why the incremental gross margin is very high? So how should we think about the more like a sustainable incremental gross margin in this business of transportation?

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Sahil: That's actually a very good question, Gaurav. In fact, today as I look at the network, our incremental gross margins could have been higher, which means we continue to carry a little bit of capacity that is underutilized in different segments. Obviously when you look at capacity, it's a complicated sort of decision because there are different points of capacity.

As an example, the automated sort stations continue to be quite heavily capacity utilized. The hubs and the line haul network are still running slightly underutilized. And the last-mile network can probably absorb another 30% volumes overall. So the capacity answer is sort of split across different legs for Delhivery.

So one, I think our overall incremental gross margins could increase from here. The second is, this is based on historical precedent. Obviously as we start getting the capacity utilizations of close to 85 to 90% and have to reinvest, we see incremental gross margins at that point coming down to maybe about 45% or so. But there's basically massive underlying operating leverage in our business.

Q: That's very helpful. Thank you so much.

Moderator: The next question is from Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit: Thank you for taking my question. My first question is when I look at the slide where you talk about your key operating metrics; and between Q1 and Q2 we've seen some reduction in capacity. Now while this is clearly for better integration of SpotOn, just want to understand, does it in any way also indicate our thoughts about growth? Because for a company which is in a high growth sector to actually cut capacity at this stage, how should one look at this in terms of growth for us say over the next few quarters going forward? That would be my question, number one.

Sahil: Sure. You should not view this in any way as compromising our estimates of growth going forward. This is the number of freight service centers that we run. If you look at the overall infrastructure that we run as of the end of financial '22, we had 18.15 million square feet of infrastructure. That has risen 18.46 as of quarter 2.

On a growth team continuously re-evaluates the structure of the underlying network and decides what is best for us to consolidate. Let me give you an example Pulkit. As an example, even today, because of Delhivery and SpotOn having independent hubs in Pune, we continue to run two hubs in Pune. Over the next 18 months, those two hubs will be consolidated into a single hub.

Now while that may not reduce our overall infrastructure footprint, because we may continue to operate the same space, what it does is bring massive efficiencies to the operation in Pune. Because essentially we can eliminate several of the costs that we

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have to duplicate between the two facilities. And also the inter-hub connections that we have to run at this point, because we run two facilities.

So essentially, all of this consolidation is to drive better efficiency. As our volumes go up, we make automated decisions on how to expand the network and nothing will change on that front.

Pulkit: That's useful. My second question is on competition. I think somebody did touch upon this. Whether it is Flipkart or Amazon who are talking about doing logistics for third party, Meesho in an interview mentioned that they don't look at this as a cost center. It's a profit center.

I mean just wanted to get your thoughts that in the last say six odd months, do you think that the competition metrics have changed for us in any way? Or you think this was something which was anyways in works and really doesn't change much? Because I think it has implications in terms of our ASPs and that's why I wanted to get a better understanding of this aspect.

Sahil: Certainly. I think it's a very topical question. Let me begin with competition. I think the state of competition that you refer to is a state of competition that has existed for several years. It's been pretty much the same players arguing for pretty much the same strategies for nearly half a decade now.

And so in terms of either competitive intensity or in terms of sort of various competitor player strategies, nothing has fundamentally changed in the market. The Express market is a competitive market. But to be clear, it is not determined purely by one factor, which is price. It is determined by the reach of the network. It is determined by the quality of delivery and the speed of delivery. There are several auxiliary service metrics that customers use to decide.

And finally, with all of these being a hygiene factor, there's the question of price. As we've mentioned, Delhivery has a strategic competitive advantage, which is that our cost structure is significantly lower than either our listed or our unlisted peers. And certainly lower than captive arms of eCommerce companies.

More importantly, we'

re actually designed to service third parties, as opposed to being fundamentally designed to serve first parties and then trying to externalize. So I think nothing weakens our competitive advantages in any way. Different players obviously will try different strategies over the next couple of years. It's a large market.

But from our standpoint, we have the lead in cost structure. We have a massive balance sheet. We have a fully invested -in network and an experienced team. So in
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that regard, for us competitive intensity is something that we watch, but not something that gives us any sleepless nights.

Pulkit: Good point. Maybe I'll take the liberty of asking one more. Can you give us a sense of the PTL freight tonnage. When should we expect this to get back above the 400,000 quarterly run rate?

Sahil: Certainly. I think on PTL, as I mentioned, the first and most important thing for us to do was to put the operational issues of the SpotOn integration conclusively behind us. And as I mentioned, I think we're quite happy with where we are now. Overall, if I look at service quality across the network, which includes both service speed as well as quality metrics, we are trending at levels that are ahead of where we were even pre -integration in quarter 3 and quarter 4 of last year. That really was step number one.

Step number two for us was then to take a long hard look at all of the different customers that both Delhivery and SpotOn serviced. While it would have been easy for us to simply show volume growth, I think we went ahead and looked at each of the accounts individually, looked at accounts which made sense for us from a gross margin and an EBITDA standpoint.

And also looked at the kinds of loads that we were transacting and whether they required any special services or any special handling that doesn't necessarily fit well into the Delhivery scheme of things.

And I think if you think about it, we took a leaf out of the page of Old Dominion and studied it quite carefully. And that's going to be our approach going forward. So internally, a target for us right now is not immediately to figure out how to get to a specific volume number, but to get the unit economics to where we need them to be.

As I've mentioned, we are now within a sharp recovery to 4.8% in service EBITDA. We continue to grow that over the next couple of quarters. Be quite selective about the clients that we onboard and make sure we continue to operate with the same service quality that we're at right now.

Pulkit: Good point. Thank you so much Sahil for those answers.

Moderator: Thank you. We'll take the next question from Aditya Mongia from Kotak Securities.

Aditya: Thank you for the opportunity. The first question that I had was more linked to the Part Truckload business. Now on a QoQ basis, it seems as if there has been some reduction on the per tonne revenue, or the yield number. Just wanted to get a sense
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of whether we today are starting to offer more discounts which will become lesser over time or is that something else which is maybe more seasonal, associated with this QoQ movement?

Sahil: No, so we are not offering any additional discounts. The optimal change in the yield

that you can see per kg is due to one, there is an Ind -AS adjustment that we have made. The second is that first, SpotOn earlier, a certain percentage of the revenue was being recognized on pickup volumes. Delhivery, however, operates on a conservative approach where we recognize based on closures. And that has also led to a change in the overall yields.

I think as you see quarter 3 and beyond, you will see yields normalize to where they were in the quarter 1 timeframe, which is somewhere betw

een 10 and 11 rupees a kilogram.

Aditya: Sure, that clarifies. And the second question that I had was on the Express parcel segment. Now as both of us understand there is a moderation in the industry growth, maybe from high 20s to high teens in this point of time. I wanted to get a sense of how much of this would, in your opinion, be more cyclical in nature and how much of it, in your opinion, could be actually structural from here on ?

Just trying to get a sense of when things normalize. Will we completely go back to where they were? Or will there be a middle ground achieved?

Sahil: I think when you look at the underlying market for eCommerce in India sort of over the medium or long arc of time, the underlying growth in eCommerce volumes is undeniable. I think the reason why growth in this year perhaps looks moderated when viewed externally is really because a lot of growth was pulled forward during the COVID period. And this is a sort of growth that otherwise would naturally have manifested later.

I think the endpoint for eCommerce remains pretty much exactly the same. It is a growing convenience category. We continue to see penetration in tier 2, tier 3, tier 4 cities and beyond. As an example, our Heavy Goods business which is seeing a 30% growth from quarter 1 to quarter 2 represents sort of a pretty interesting and widening array of categories that are available online.

Now whether a specific quarter or a specific year in eCommerce will be distorted, like COVID, as an example, where eCommerce companies saw 40/50% growth rates, or a year like this year where Shopee has exited the market and growth therefore looks somewhat moderated or muted.

I think overall, our view is that the structural shift to eCommerce will remain intact. More importantly, from our standpoint, it is somewhat irrelevant because we will
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continue to maintain share with all of the accounts that we have. And as I mentioned, our structural cost advantages are not dependent merely on scale. They're not dependent on Delhivery growing at 30% a year.

The underlying cost advantages that we have make us the most efficient player at 161 million packages a quarter. That will continue whether we are doing 161 million packages, 200 million packages or 140 million packages, whatever, going forward.

And so from our standpoint, irrespective of how the growth curve pans out in the short term, in the long term our competitive advantages remain intact.

Aditya: Just one last question from my side...

Sandeep: I'm sorry. Aditya, if I could just add on top of that, Sandeep here.

Aditya: Sure, sure.

Sandeep: If you go back and look at eCommerce over the last 11, 12 years, you will find that this story has played out before, because you've had periods where the long term trajectory continues to hold. But you've had periods where when discounting -- for

the first time when aggressive discounting became sort of less popular, you had a couple of years of soft and then came back, even became a truly a convenience category.

So I think you'll have those cycles. In today's funding environment you'll have some cycles on individual players feeling some pressure and things like that. But as Sahil said, as a channel the penetration is still so low of eCommerce. And there's no reason to believe that the long term growth in eCommerce should be any different.

Aditya: Understood. But just one last question from my side. And thanks Sandeep for that part. The question is more on this 50% gross margin thesis that one is thinking through. If I kind of extrapolate this argument from your current revenue piece and am going to more towards let's say 3Q/4Q, it seems as if that can help you at an adjusted EBITDA margin level lead to high single digit levels. Is this something that you believe

can happen, let's say by the end of the fourth quarter, that the company starts reporting 10%, at least for that kind of 23, 24, 2500 kind of type top-line? A decent marked improvement in the adjusted EBITDA margin?

Sahil: Actually, can I ask you to please go to the adjusted EBITDA slide?

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Sahil: So this is just a quick snapshot of how our adjusted EBITDA was trending prior to this and services EBITDA obviously before this. So one is we purely know how to get to where we were in quarter 3 and quarter 4, as you've mentioned. Because there's sort of a sense of predictability because the incremental gross margin is at 50%. As volumes come in both in the Express and the PTL business, we expect overall that the company's adjusted EBITDA will continue to improve.

So far in quarter 3 I think we're quite satisfied with where we are; and we expect this to continue. But when will we get to exactly 10% adjusted EBITDA I think is a function of the choices we make in terms of the customers we onboard in PTL and how soon we bring PTL volumes back. But the important thing to note I think is that it's a relatively predictable business from here on.

Aditya: Good, if I have more questions I'll come back into the queue. Thank you.

Moderator: We'll take the next question from Alok Deshpande. Alok, you can proceed with your question. Yeah.

Alok: Yeah, okay. So I just wanted to refer to a couple of statements that you had mentioned in your Q2 business update, which had come out a few days back. So one was you mentioned that while the festive season sale surge and shipment volume will spill over to Q3, we anticipate moderate growth in shipment volumes for the rest of the financial year.

Now this moderate growth that we are talking about, is it more because of how much higher base in the H2 of last year? Or is it a general sequential growth which you think will be quite moderate in nature? So I was just...

Sahil: Certainly. So I think Alok, the big change, that's an important question, actually. We should have called it out. The big change, obviously, when you look at H2 of last year is that H2 volumes were somewhat distorted by the presence of Shopee in the market. And so overall volumes, not just for Delhivery, but overall for the eCommerce industry were significantly higher.

And with Shopee disappearing, while some of that volume has obviously been retained and has gotten spread out across other eCommerce companies, some of

that volume has basically simply disappeared. And so that's really the reason.

I think if you look at our growth in volumes, overall we've seen about a 6, 7% growth in quarter 2 over quarter 1. We would expect a similar range or maybe slightly higher or slightly lower than that in quarter 3 over quarter 2. And overall

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for the year that falls somewhere in between sort of an 18 to 30% kind of growth rate overall.

Alok: When you say 18 to 20%, that is including Shopee last year, right? Or are you saying like to like?

Sahil: Including Shopee last year overall.

Alok: Understood. And my second question was regarding PTL. You mentioned that you're currently doing about 3, 3.5 thousand odd sort of tons a day. As this number sort of starts creeping up towards slightly higher levels in Q4 or so, do you think that at an overall level at a group level, the adjusted EBITDA can go in green, based on this?

Sahil: Yes, of course. Absolutely. See, it's an extremely important component of our business. When we say that we run an integrated network, that means our mid mile and our linehaul are sort of for them, PTL and Express are indistinguishable. And therefore growth and volumes and either of the two obviously improves unit economics

in both, it improves utilization at the hubs; it improves utilization of the vehicles that we're transacting.

More importantly, it allows us to make one of the big strategic shifts that only integrated players can really pull off, which is a shift away from more inefficient truck sizes to far more efficient truck sizes that we use across our network. And so, in fact, the faster PTL volumes recover, the better it is obviously for our mid mile utilization.

Alok: Sure, sure. Thanks Sahil for that. That is very helpful. Thanks a lot.

Moderator: We'll take the next question from Sachin Dixit, Sachin, go ahead.

Sachin: Hey hi. Congratulations on the results. I had a quick question with regards to the steady state service EBITA margins. While I do understand that Delhivery is decently dominant in terms of the Express Parcel business and as well as the PTL business being growing since the integration, but it remains a cost line item for most of the clients. And who might not be happy with giving you an insane amount of margins. So where do you think the service EBITDA margins stabilize and how is the journey doing?

Sahil: Sachin, actually the point that you make is precisely the point that we believe is our strategic advantage, which is that this is a cost for our customers. Our objective is not just to state that we're building the highest quality transportation player in India. We're also building the lowest cost transportation player in India. And in the

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Express Parcel industry I think if you were to do a benchmarking, you would find that we have the lowest cost structure out of our competitors.

And so the fact that our customers are extremely price sensitive is, in fact, a competitive advantage for Delhivery. And as I've mentioned, with our incremental gross margins, our ability to use our gross margins to drive up market share in the underlying industries that we're in is massive. We have done this in the Express

Parcel space. We evaluate every one of our customer contracts continuously and make sure efficiencies are passed on to them. And essentially we get rewarded for that in the form of excess market share.

So the risk that you're pointing out, we actually think of as the fundamental opportunity at Delhivery. Because when you think about it, direct costs of logistics in India have to reduce. And only large integrated players would have the ability to reduce it, which is sort of what the core of our business is all about.

In terms of service EBITDA margins, as I mentioned, if you were to look at the overall incremental margins that we're generating, it is possible to actually model out what margins for Delhivery will look like going forward. In our experience so far, the service EBITDA margins for our transportation businesses can reach levels of close to about 17 to 20%, based on the utilization of the network, without service degradation.

Obviously, as we continue to introduce more trailers, as we continue to introduce more automation across our hubs, there is the opportunity to fundamentally disrupt that cost structure further as well.

Sachin: Sure, thank you. And can you also give some understanding on how the Supply Chain Services business is going on and how are you acquiring customers there?

Sahil: Sure. In the Supply Chain Services business essentially it is an end-to-end fulfillment services business that we run. Where, as an example, one of India's large consumer durables players came to us and said, look, we want to focus on manufacturing and running sort of our retail footprint. Whereas we want you to run the entire supply chain. So we handle warehousing; we handle inventory management; we handle primary distribution, secondary distribution across the country for them.

So the typical engagement will include warehousing,

Full Truckload Freight, Part

Truckload Freight and Express delivery as well. The margins that we see in that business, or all the transportation businesses, are equal to or higher than the margins that we see on the transportation businesses standalone.

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And then on warehousing, we take a strategic call account by account as to what kind of margins or pricing we want to offer the customers. Typically these are long-term contracts to run either entire regions or the entire supply chain for the customers that we have.

The reason customers choose us is very simple. One is the underlying philosophy of our business model is it allows our customers to variabilize the supply chain costs. And obviously, at the same time have access to the highest quality transportation partner in the country. And to centralize procurement of logistics with a single partner. So you don't need to run multiple sort of 40/50 different partners helping you with either trucking or with express delivery, or with warehousing.

So it brings predictability; it brings transparency; it brings speed. Our focus, obviously, is on sectors like, for instance, where obviously supply chain complexity is high. So obviously eCommerce is one of them, consumer durables, consumer electronics, auto and auto spare parts, FMCG, pharma, some parts of industrial goods. These are sort of the industries that we remain highly focused on.

Sandeep: If I may, and what happened over the last six months is that the number of industries that we serve has widened. The number of use cases that we have proven out that this model works and actually have increased. And so we now actually have a much larger scope that we can actually go after in the market and more success examples that we can share with the customers.

The other thing that you should also note is that the Supply Chain Services revenue as we report it includes a decent chunk of Part Truckload and Full Truckload, not just warehousing. We just don't double count it. It is actually reported within Supply Chain Services.

So our underlying Part Truckload volume that we probably handle is actually significantly higher, as well as the underlying Full Truckload volume.

Sachin: That sounds perfect. Just one final question on this ONDC that the government is pushing. What are Delhivery's plans to participate or not participate? How do you think of? Just last question.

Sahil: We are discussing integration with ONDC. And I think we are basically well being together and will be a logistics partner of choice for all of the sellers on the ONDC platform. But as of now, I think the platform itself is still maturing; and as it gains traction, I think some of our plans with regards to ONDC will become a little clearer.

From our standpoint though, our services are easily accessible. We'll integrate with ONDC and if it succeeds, we're happy to be sort of big partners.

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Kapil: We have already submitted our application to ONDC and as Sahil mentioned, as the platform picks up, you'll see the app on the platform very soon.

Sachin: Got it, thank you.

Moderator: The next question is from Abhishek Ghosh.

Abhishek: Hi, am I audible?

Sahil: Yes Abhishek.

Moderator: Yes you are.

Abhishek: Hi, thanks for the opportunity. And just since we are on the Supply Chain business, I think just one observation. QoQ we have seen a decline in revenues, about a miss about 20/25 odd percent. Any change in accounting? Because we usually thought this is a seasonably strong quarter. How should we look at it, any thoughts there?

Sahil: Yeah sure. It's basically just underlying seasonality for a couple of our customers for whom quarter 2 is not

historically sort of a strong quarter. As an example, in consumer durables, one of our customers has significant seasonality in quarter 2. And that's what has affected overall revenues for the quarter. But that will rebound in quarter 3 and quarter 4 as ship outs increase.

No change in accounting standards. It's an underlying sort of reflection of the customer mix that we have.

Abhishek: Is dependence on one particular client a little higher? Over a period should we see this thing going up because the market opportunity is quite high and your market shares are pretty low. So how should one look at it?

Sahil: Obviously. That's actually the right observation. We do expect over time the impact of this seasonality from a single customer to reduce. I think the other thing and also Supply Chain Services is that revenue, while accounts begin, the full sort of impact of that new growth takes typically anywhere from about two to six months to reflect. Because that's sort of the period that we take to stabilize operations, to grow operations across various different warehouses.

Because typically these customers will either be shifting from in-house operations or from a different third-party partner to Delhivery. So it takes a little bit of time for these

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accounts to reach their full potential. Even the set up time for us could be anywhere from sort of 30 to 90 days for different customers.

So I think the growth that we've seen in customer name accounts in quarter 1 and quarter 2. It's hard seeing the revenue impact of that in quarter 3, quarter 4 and beyond.

Abhishek: That's helpful. The other thing is, on the Express Parcel business, while there is just about a percent or so increase in realization in the current quarter, how should one read this? Are we toward the end of the cost benefit being passed on, or was there a product mix impact this quarter? Any thoughts on what realization shipment as well as the Express Parcel business is concerned?

Sahil: Yes, sure. See the realization overall is a function of basically towards three different things. One is it's a function of the customer mix. The second is it's a function of the distances that we are shipping. The third is, it's a function of the COD versus pre-pay ratio and sort of the extent of returns that the network is handling, and the speed choices that various customers make.

There's no underlying change in our pricing philosophy in quarter 2 versus quarter 1. That said, we evaluate every customer account differently. We have target gross margins and target EBITDA margins for every account that we operate. And as we continue to gain efficiency, we proactively pass those benefits on to our customers. One of our stated strategies is to commoditize the space that we're in. We believe that every customer should have access to low-cost, high-quality logistics. That's the foundational idea of Delhivery. And we will continue to sort of exercise that judgment with our customers.

In terms of the question about whether we're close to the end of the cost curve, I'd have to say the answer to that is no. Because as I've mentioned, incremental gross margins right now are at 50%. Our belief is that incremental gross margins actually could be higher as utilization of the network continues to improve.

So we're not necessarily at the end of that cost curve. We still have underutilized capacity at the last mile, for example, and in certain sections of our mid mile and hub operations. As volumes scale up, that will get utilized. The other benefit, of course, when running an integrated network is that because our mid mile and our hub operations do not distinguish between PTL Freight and Express, growth in either of those businesses contributes to an improvement in economics in the other.

So as PTL

volumes go up, Express becomes more efficient. As Express volumes go up, PTL becomes more efficient, because we're able to run more docks across our hubs. We're able to run larger trucks. We're able to run better frequencies. And we expect that to continue.

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So over the next couple of quarters I think we will introduce more tractor-trailers across all of the critical routes. We will increase utilization of the trucks. And as that happens, overall cost, of course, will continue to come down. And at an account-to-account level, we will make the call on how much we want to pass on to our customers.

Abhishek: And just one more question. If you look at the PTL business and it's already visible,

you're almost about 20 -25% down or maybe a little higher on a number of shipments from the last peak that you had done. Did this end in some business loss because of the integration and other things?

How difficult it is now to get back those customers? And you know the – because somebody would have got that share in the meanwhile. Are you having to discount rates? You mentioned you're not discounting. What are the challenges?

Should we – is there a change in the medium term growth rates for this business, given the volume integration issue? Just some thoughts there, because once a customer goes away, to get him back you have to offer him something extra. Because it's a customer experience. Just from that perspective your thoughts.

Sahil: Absolutely. I think the first thing is we looked at all of the accounts that we currently are active with. And fortunately, accounts representing nearly 90% of our revenue pre integration are active with us and are working with us.

Some of the accounts that are not active with us include retail partners where we felt that the loads that were being tendered into our network were not appropriate for our network. And there are certain customers, like I've mentioned, who continue to operate other parts of their requirements with us, but where we felt that the PTL requirements were not ones that fits with Delhivery network. And we've consciously decided not to continue with some of those accounts.

I think the important thing that customers look for is service quality, which includes not just network speed and reach, but also quality in terms of shortages and damage and potential claims. As I've mentioned, what we're particularly happy about is the fact that service quality as of now is better than we were at pre-integration levels. Which means the integration not only has been conclusively completed, but, in fact, some of the service gains that we expected to see have played out as of now.

Obviously we continue to remain quite watchful, because it's only been a couple of months since the integration has stabilized. But that's the leading indicator of share gain. While customers are price sensitive in this market, I think it is important to recognize that freight as a percentage of value of goods shipped is not very large. And so customers are sensitive to quality of service.

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The second thing is that different logistics companies at different points in time are affected by operational constraints. I wish I could sit here and tell you that there are no further operational constraints which will ever affect Delhivery going forward. But as an example, if you happen to build your hub in a part of the Bhiwandi which goes underwater when it rains in Bombay, you are bound to have service issues. And at that point in time, customers will select an alternative.

Customers are also understanding of the fact that they have to shift loads across different logistics partners when various networks have issues in specific locations. That's why they run

redundant partners and that's why it's not exactly a winner - take-all market. But it is possible for somebody to build a dominant scale. And that's really what we're going after.

Long answer to your question. No, we don't have to offer discounts to regain customers. Our service quality is what gets us those customers, along with our reach. We're becoming more selective about the kinds of customers we want to admit, to make sure we can maintain that service quality and the margins that we want to generate. And overall I think we are going to seize recovery in this business over the next couple of quarters.

Abhishek: Good Sahil, thank you so much and wish you all the best. Thank you so much.

Sahil: Thank you.

Moderator: The next question is from Abhijit Mitra. Please go ahead.

Abhijit: Hi, am I audible?

Moderator: Yes Abhijit, if you can speak up a bit, please. Thanks.

Abhijit: Yeah, sure, thanks. I have 3 questions. Based on the slide 5, the number of customers dropped by almost 1000 -1100 on a QoQ basis. How do you sort of – I mean what are your thoughts on this and how do you see these numbers will likely move ahead? And that was question number one.

Question number two is again on the supply chain slide. Dropping revenues is something which you can understand. But on quarterly basis if we look at revenue/sqft which you have reported, it is down QoQ. Why should square footage under management drop in a supply chain business QoQ? That was the second question.

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And third is I think prior to the IPO, there thought process that growth in express parcel is more structured. But what we are seeing now is that the penetration as well as the growth, in US growth is coming down and our market is also showing signals of slowdown so it's all connected? Will you like to consider that was indeed a COVID bump that is coming out of this and globally there's a slowdown sort of in the overall market.

Sahil: Certainly. Thanks Abhijit. Let me sort of answer these very quickly. One is in terms of number of customers, as I mentioned, in the PTL business, specifically. We have become more selective about the various kinds of shippers we allow to move goods through us. I think one of the things that we evaluated as part of the integration was how many different customers were tendering loads that weren't necessarily transit worthy. Or which didn't necessarily fit the delivery Express, PTL product form either a sort of handling standpoint, operational standpoint or from a margin standpoint.

And so it's a sort of exercise that we undertake on a regular basis. As a standalone company, Delhivery will do this anyway every quarter. I think the first time we did it, once we had integrated Delhivery and SpotOn, post the integration, it was in quarter 1; and therefore, there were accounts that we decided proactively that we could not continue. This is a quarterly exercise that we'll continue for the combined business. So not very worried about this at this point.

As I've mentioned, the customers who are active with us represented over 90% of the revenue that we made in the PTL business, as Delhivery and SpotOn separately, pre-integration.

In terms of revenue per square foot in Supply Chain Services, this is also driven by the fact that if ship outs, for instance, happen to be lower in a specific quarter, while the square foot area continues to be active, since we bill only on ship outs, whenever there's a quarter where ship outs happen to be lower, since we aren't booking any revenue, the revenue per square foot in that quarter will appear to be slightly lower.

So I think this is the same seasonality impact that you're seeing. We have maintained the same amount of overall warehousing space. Also on top of that, there are new starts that are bu

ilt in over here, where it takes a little bit of time for the revenue to come in. So as an example, when you're starting a new warehouse for a customer, typically inventory would start arriving and will take anywhere from sort of 15 days to 60 days to arrive. Whereas billing on outbound will begin with a little bit of a lag or a delay.

So in that sense this isn't something that I think is particularly alarming. And especially if you sort of look at it from as FY20 all the way to quarter 2 FY23 the trend is sort of pretty secular.

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Your third question was around eCommerce growth structurally. I think it's a very good question. There are some differences though in dynamics between the US and India. In the US you're fundamentally talking about, first of all, a significantly more penetrated market from an eCommerce standpoint.

I think when you look at India overall, as I've mentioned, with the medium or long arc of time, it's hard to argue that eCommerce will not become a significant portion of consumption. New categories will come in. We do continue to see, by the way, growth in tier 2, tier 3, tier 4 cities and beyond. We also see increasing frequency in the metros.

Like I mentioned, I think this certainly was a bump during the COVID period. There's absolutely no doubt. And if you look at the end-state today in the absence of COVID, perhaps the growth would have looked more uniform over fiscal '20, '21, '22. Instead of which it's sort of bunched up in '21, '22, and therefore, looks a little lower in this financial year.

But I don't fundamentally believe that there is a structural alteration in people's desire to purchase online. Or the eCommerce companies' ability to sort of create new categories and bring greater assortment to people. One of the easy ways to look at it is to see sort of the expansion, to some extent, to some of the direct-to-consumer brands and the sort of speed at which these D2C companies have been able to grow.

I think overall, while this year may look bumpy, when looked at overall, the medium time period over the last few years, I think growth in eCommerce has been solid. We don't see any structural reasons for that to not continue.

And the last piece that I would point out is why we are a little more sort of insulated from small periods of no growth in eCommerce is as I mentioned, because of our cost structure. Our competitors struggle with periods of low growth because typically in those periods they do not have the ability to reduce pricing, if they want to continue to grow.

Low growth periods are good for us because, as I mentioned, even at 161 million shipments, we have a profitable Express business and high incrementally gross margins. We have the ability to continue to improve our cost structure. We have the ability to continue to pass those benefits on to customers and gain more market share at that point in time.

So in that sense, we're a little more insulated from any short-term events that happen in eCommerce than anyone else. But again, as I mentioned, structurally I don't think there is any reason to believe that eCommerce is sort of not going to grow quickly in India going forward as well.

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Abhijit: Thanks.

Sahil: Thank you Abhijit.

Moderator: Thanks Sahil. We have reached the top of the hour. But we have received a few questions on the chat window. If you can take a couple of them pretty quickly before closing this call. The first one is what has been adjusted while arriving at adjusted EBITDA versus EBITDA?

Sahil: As you can see in the middle column, in quarter 2 fiscal '23 total expenses were at 2,158 crores. This included 221 crores of non-cash recurring costs, which includes depreciation and amortization and ESOP expenses. These are the two costs that are excluded when calculating adjusted EBITDA. The ones that have made their impact. There are obviously minor adjustments which are for finance cost on borrowings and some adjustments due to Ind-As. Rishi, should I just read out the rest of the questions and answer them?

Moderator: Sure. Just this next one is on the ESOP expense roadmap for the next five years, if you can share some color around that.

Sahil: Amit, our CFO is on the call. Amit, would you like to answer this please?

Amit: We have a total of about 43 million ungranted stock options, which will be granted and it will be cost in our PnL over next five to six years. We also have unvested but granted 30.2 million stock options.

Now the stock option accounting is done based on a model where the price of share at the time of grant is taken. And for these 30.2 million shares, we'll just show you the schedule for the cost that is expected over the next four or five years. And for the remaining 43.45 million shares, the costing will be based on the prevalent share price at the time of the grant.

The important thing to note here is that a significant majority of these 43.45 million shares, and the nearly 22.2 million shares, will vest only if the company achieves a stock price of 800 rupees a share, 1,000 rupees a share and 1,200 rupees a share. So that's an important part that you should note.

So the costing which is expected for the options that have already been granted, based on time-based performance, is Rs 469 crores over next five years, including the current year. And for the performance based stock options are just Rs 97 crores over the next five years. So a total of about Rs 566 crores is expected, based on the grants that have happened so far.

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Sahil: Thank you Amit. The next question that I can see says what is the timeline for Delhivery to become EBITDA positive? As I've mentioned, the service EBITDA has seen a strong rebound from -0.3% to 4.8%. And adjusted EBITDA has improved from -12.5% to 7%. I think our incremental margins, as I've mentioned, to close to about 50%.

Even if you don't assume an improvement, I think it's quite easy to model out what incremental revenues we'll need to target EBITDA levels, and that are sort of based on volume recovery. My sense is that it's quite easy to model out over the next couple of quarters when we turn EBITDA positive. To some extent, obviously, it depends on how quickly we decide to increase the tap on the LTL side.

Which is linked to the next question which is what is the economic benefit expected from the SpotOn acquisition? And in what timeframe is the full benefit from SpotOn expected to be realized? The economic benefit from the SpotOn acquisition for us was clear, which is we are ultimately building an integrated hub and mid-mile operation, which is shared across our Express and our Part Truckload Freight business. SpotOn was one of the leading players, one of the leading independent players in the PTL Freight business. They were larger than Delhivery, though we were growing faster.

I think bringing these two networks together has given us operational heft, has given us scale. The integration issues of quarter 1 notwithstanding. And more importantly, as I look at our service levels today, and I look at the size of our network today, I think it provides a better service to all of the customers than

Delhivery and SpotOn had standalone.

More importantly, as I've mentioned, because we share our hub and mid-mile operations across these two businesses, which is a complicated thing to build, but I think what I've stated, we have built it out. Any increase in volumes in either of these businesses ultimately is accretive to both of them. So as volumes in the Express bus

iness increase, we see cost advantages in the PTL business, and also actually, frankly, better speeds.

And as we see volumes increase in the PTL business, we see cost advantages in our Express business and speed improving in our Express business. It also allows us to deploy a larger fleet of tractor-trailer operations across the entire country, which brings down our line-haul cost, improves overall speed of the network; allows us to do more dynamic routing; and therefore, improve customer experience.

The question on timeframe, I think, as I've mentioned, we had intended to begin rationalizing the consolidated footprint of Delhivery and SpotOn by quarter 2. That has already begun, as is reflected in the reduction in overall freight service centers
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and reduction in gateways that happened in quarter 1. I think that process will continue over the next couple of quarters.

Our intention was to discover the benefits of synergy value between Delhivery and SpotOn, going into the next financial year. And so far I think we're on target for that.

The next question is from Anuja, which is could we comment on plans to use more EV fleets or any other significant ESG initiatives that could be financially material? We already do use electric vehicles, CNG vehicles, and NG vehicles across our network.

In the first and last-mile operations it's actually been reasonably prevalent in different cities for several years now. These are cargo vehicles that we use for pickup and drop-off operations. We have also begun trials of LNG trucks and EVs in our mid-mile operations, which are our long-haul trucks.

Our belief is that in the long run, the benefits of electric vehicles will accrue only by using these for mid-mile operations, as opposed to sort of electric bikes. And so that's where our focus has been. Obviously this de-risks us from increases in fuel costs. And so as these experiments and trials mature, I think we will introduce more and more EVs. So as an example, we're working with Volvo which is one of our trucking partners to experiment with electric vehicles in our mid mile.

From an ESG standpoint, the other area, obviously, is we continue to introduce sort of out across all of our major gateways. That's sort of the other big ESG initiative that we're running internally.

Next question I believe I've already answered, which is context around growth in October. Sorry, growth in October relative to Q2. So volumes are – first of all, just to be clear, the volumes that Delhivery reports in any quarter are based on shipments delivered, not shipments picked up. And so do expect that October will be a high month as well, because a significant number of shipments that were picked up towards the last week of September will be recognized as delivered in October.

I think overall volumes in quarter 3 remain in line with our expectations overall. The festive peak of September was a big high point. And then volumes sort of returned to normal, starting going again towards the end of the year. We don't see any fundamental change in industry structure overall.

How should we think about capex and lease additions going forward, considering

the revised growth expectations? I think as I've mentioned, right now we continue to consolidate infrastructure between Delhivery and SpotOn. That remains the Delhivery Limited Earnings Call
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major focus. There are still a couple of cities where we continue to run redundant infrastructure because we had lease lock-ins. We will continue to sort of combine those facilities, as an example, like Pune as an example. Similar situation in Chennai and a couple of other places.

From a capex standpoint, I think typically our capex has come in at close to about between 5.5 and 6.5

% of revenue. Over time we expect that to stabilize at between about 3 and 3.5% of revenue, which will include both new capex for new sortation centers and new gateways that have been built, as well as maintenance capex for existing sortation centers and gateways.

Great. I think that answers the questions that we have on chat, Rishi.

Moderator: Thank you once again Sahil, Sandeep, Amit, Varun and the entire Delhivery team. You spent well over an hour answering these questions. And also for the opportunity to host you on this call. We would also like to thank all the investors and analysts for your interest in the company. And we think this an engaging session. We can conclude the earnings call here. Have a good day.

Sahil: Thank you. Thank you all for joining. Thank you Citi team for hosting us.

END

Call: Feb 2023

Date: February 16, 2023
BSE Limited
Floor 25, P J Towers,
Dalal Street,
Mumbai – 400 001
India

Scrip Code: 543529 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
India

Symbol: DELHIVERY

Sub: Transcript of Earnings Call pertaining to the Unaudited Financial Results for the quarter ended December 31 , 2022

Dear Sir,
This is in continuation to our earlier letter dated February 11, 2023, regarding audio /video recording of the analysts/investors Earnings Conference Call held on February 11, 2023 at 04:00 P.M. (IST) on the performance of the Unaudited Financial Results of the Company for the quarter ended on December 31, 2022.

Please find attached herewith the transcript of the above investor and analyst call.
The same is also available on the website of the Company at <https://www.delhivery.com/investor-relations/>.

You are requested to take the same on your record.

Thanking you,
Yours faithfully,
For Delhivery Limited

Sunil Kumar Bansal
Company Secretary & Compliance Officer
Membership No: F4810
Place: Gurugram
Encl: As above

SUNIL
KUMAR BANSAL Digitally signed by
SUNIL KUMAR BANSAL Date: 2023.02.16
18:08:37 +05'30'
Delhivery Ltd
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February 11, 2023

Page 1
“Delhivery Limited Q3 FY23 Earnings Conference Call”
February 11, 2023

Management : MR. SAHIL BARUA, MD & CHIEF EXECUTIVE OFFICER
MR. SANDEEP BARASIA, ED & CHIEF BUSINESS OFFICER
MR. AMIT AGARWAL, CHIEF FINANCIAL OFFICER
MR. VARUN BAKSHI, HEAD, INVESTOR RELATIONS
Moderator : MR. VIJIT JAIN, CITI EQUITIES TEAM

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Page 2 Vijit: Ladies and gentlemen, good day and welcome to the Q3FY23 Earnings Conference Call of Delhivery Limited, hosted by Citi Research. I'm Vijit Jain.

So before we start, Delhivery would like to point out that some of the statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this call is meant for investors and analysts only. If there are any representatives from the media, they're requested to drop off this call immediately.

To discuss the results, I'm pleased to welcome Mr. Sahil Barua, the MD and Chief Executive Officer; Mr. Sandeep Barasia, ED and Chief Business Officer; Mr. Amit Agarwal, Chief Financial Officer; and Mr. Varun Bakshi, the Head of Investor Relations.

As a reminder, all participants will be on the listen-only mode and participants can use the raise-hand feature to ask any questions post the opening remarks. I thank the management team for providing us the opportunity to host this call.

I now invite Mr. Sahil Barua to take us through key highlights for the quarter, post which we'll open up for Q&A. With that, over to you, Sahil.

Sahil: Thank you, Viji. Good evening everyone and thank you for joining our earnings presentation for quarter 3 and for giving us the time. Welcome to the call. Just a quick check, Apar if I am audible?

Apar: Yes Sahil, you are audible, loud and clear.

Sahil: Great. Thank you all. So, as always, I'll spend about 15 to 20 minutes walking through a summary and highlights of quarter three, and then we'd be very happy to take questions from everyone.

Apar, if you can move two slides forward to the summary of quarter 3, yeah. Before we get into the slides I think some context on quarter 3. Our objectives as a management team really were to achieve two major milestones in quarter 3. The first was to continue on the operational and financial integration of SpotOn, which was a PTL network that we acquired last year, as you would remember. And the second was to maintain and grow market share in our two critical tr

ansportation
verticals and set us up well for quarter 4 and beyond.

So I'm pleased to announce that in quarter 3 we have been able to achieve both of these objectives; and we have seen continued sequential improvement in the profitability in the transportation business and in the company overall. And we saw growth in e-commerce volumes that have persisted so far into January and February

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Page 3 and similarly in the PTL business growth that has set us up well for quarter 4 and beyond.

Moving on to the numbers for quarter 3. We delivered about 1,822 crores of revenue in Q3FY23, which was growth of about 1.5% over quarter 2 when we did close to about 1,780 crores of revenue. Our adjusted EBITDA margin, importantly, continued to improve. If you will remember from our last earnings call, we had incremental gross margins of 50% in quarter 2. The incremental gross margin trend for the business has continued into quarter 3; and operating leverage in the business has remained intact, while service standards have improved. As a consequence, we've seen adjusted EBITDA margins improved from minus 7% in quarter 2 to minus 3.7% in quarter 3.

We delivered about 170 million shipments, which is about 5.6% growth quarter-on-quarter in our e-commerce express delivery business, which is the number that I referred to in quarter 2 as well. We continue to have a leading market share as an independent third-party logistics player in this space. We've seen our overall share of market and share of wallet with customers persist into the New Year as well.

We delivered 258,000 tons of part truckload freight in Q3FY23. We delivered about

3 million tons, since fiscal '19. More importantly, in December, or in October, November, December -- in the month of December we delivered about 98,000 tons of PTL freight. That trajectory has continued into the New Year as well.

We continue to operate one of the largest networks in the country. We operate about 18 million square feet of logistics infrastructure. The integration of Delhivery and SpotOn's facilities continues as per plan, which I'll talk about in the next slide. 26,000 customers continue to depend on Delhivery for multiple services, with over 58% of our revenue coming from customers who use two or more of our services across business lines; and we've expanded reach marginally between quarter 2 and quarter 3. We continue to cover the entire country with 18,510 pincodes under direct coverage of Delhivery.

Moving to the next slide, just a quick snapshot of metrics as usual. As you can see, at the end of financial '22, we were in 18,074 pincodes. That has expanded to 18,510 pincodes as of quarter 3. This is a regular operational expansion that we expect will continue in quarter 4 and beyond. Through our partnerships with FedEx, Aramex and other global players, we continue to allow Indian customers of ours to access the rest of the world. We have about 26,845 active customers who continue to buy services from us across business lines.

On the infrastructure side, as you can see, the integration of SpotOn infrastructure into Delhivery has continued in quarter 3. We had 18.9 million square feet of real estate spread across 96 gateways; 21 automated sort centers; 189 processing Delhivery Ltd

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Page 4 centers; about 3,000 delivery centers; and 237 freight service centers. This has now been consolidated to 17.9 million square feet of real estate in Q3FY23 as per plan, with 92 gateways; 22 automated sort centers; 172 processing centers; 2,750 express delivery centers; and 150 freight service centers. And our team size continues to remain about 52,800 people across the country.

Moving on, key highlights for Q3FY23. I think the first is really that adjusted EBITDA improvements have continued quarter

-on-quarter post the SpotOn

integration. As you saw on the previous slide, network footprint optimization has continued in quarter 3. We are more or less now completely done with the footprint optimization that began in quarter 1 when we began to operationally integrate Delhivery and SpotOn. There are a few locations that are still awaiting final optimization, which we expect will happen over quarter 4 and the first half of the next financial year.

We also continued to revise pricing across low-margin customers. This is something that we expect will continue into Q4 and will continue into the early part of the next financial year as well, which has had an impact both on yield, as well as on profitability. And we continue to drive capacity utilization across our operations, especially in the mid-mile operation.

On the PTL business, specifically, I think we are entering the crucial March end period with excellent operational and business momentum. As you can see, tonnage continues to remain below the numbers that we were at in Q4FY22. However, as of December and January, we have done 96,000 tons of freight at network service levels, which are above service levels that the network has delivered at any point in the past. Our network service levels, as experienced by customers, continue to be in the 95% range.

More importantly, network quality has improved significantly. This was an issue that we were dealing with immediately post the integration. Short shipments have dropped from 0.2% when the integration began to nearly 0.05% as of January; and network speed has returned to pre-integration levels or better. So the PTL business is set up extremely well for quarter 4 and beyond.

The supply chain services business pipeline continues to expand. We continue to add new clients that are key verticals that we operate in, which are auto and auto

spare parts; healthcare; home furnishing; beauty and personal care; and consumer electronics. And we have also expanded existing contracts in the auto, industrial and consumer segments. This is a business that has stayed somewhat flat sequentially, owing to seasonality in the underlying business, but has grown 33% from the same time last year.

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Page 5 We also completed the acquisition of Algorhythm Technologies in January 2023. Algorhythm has a suite of supply chain software products, which will enhance our SCS offering with inventory management and transport optimization solutions. So that's a quick snapshot of quarter 3.

Moving into the specific numbers. Revenue from services in quarter 3 stood at 1,822 crores, compared to 1,796 crores in quarter 2. Sequentially from the last year, this is lower by about 170 crores, driven largely by the PTL business. Express continues to be our major business, forming 66% of revenues; PTL is today 15% of revenues; and our newer businesses, which our supply chain services, truckload services and cross border form the remainder, which is about 20%.

On express parcel, between quarter 2 financial '23 and quarter 3, we've seen growth quarter-on-quarter of about 7%. We closed the quarter at about 1,200 crores of revenue in Q3FY23. We delivered close to 170 million shipments in Q3FY23. This is despite the fact that the high season in e-commerce this year was earlier than in the previous year. This year the high season was in quarter 2. So we've seen a 6% growth sequentially.

On the PTL side, revenues have declined from quarter 3 of last year and from quarter 2 of this year. We closed quarter 3 at 277 crores of revenue versus 293 crores in the previous quarter. Freight tonnage has been at 258,000 tons for quarter 3 versus 286,000 tons for quarter 2. However, December, as I had mentioned, was 96,000 tons of freight. January has continued in the same vein and we see similar momentum in February as well.

This is a quick snapshot of week-wise volumes in the part truckload business. The way to read this chart is, at the bottom is the period of every month from November to February. The red bars are November, the black bars are December, the gray bars are January, and the yellow bar is February so far. As you can see, we've seen a consistent increase in PTL volumes in every comparable week from the last -- for the last 3.5 months; and February is trending well above November, December and January.

This is being driven primarily by massive improvements in service quality across the network, which is a natural consequence of the operational integration being complete between Delhivery and SpotOn. So an increase in network speed, an increase in service precision, and an improvement in service quality, as evidenced by the reduction in network shortages. So we've seen January, as an example, trend at about 10% to 15% higher than November in general. And so far, we see February trending at 15% to 20% higher than January.

For the other businesses, the truckload business has grown to 102 crores of revenue in Q3FY23 versus 103 crores in Q2FY23. This was driven by underlying
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Page 6 seasonality in the truckload business. The business has grown 33% over the last year. The supply chain services business has grown to 178 crores in Q3FY23, more or less flat versus quarter 2; but 33% again higher than the same period last year. This has been driven both by expansion of existing accounts, as well as new accounts, as I had mentioned earlier.

The cross border services businesses declined year-on-year and sequentially from

96 crores of revenue to 66 crores of revenue. However, this has been driven by a compression of yields in both the air freight and the ocean freight markets globally. Volumes in the ocean freight business have grown significantly over this financial year. And there has been a shift away from air freight volumes toward ocean freight volumes in the same period.

On the adjusted EBITDA front, I think this is where the most positive news for the quarter is. Revenues have grown, as I mentioned, from 1,796 crores in Q2FY23 to 1,824 crores in quarter 3. Service EBITDA in the same period, however, has grown from 86 crores to 139 crores. So service EBITDA margins have improved from 4.8% in Q2FY23 to 7.6% in Q3FY23, which is a reflection of the underlying operating leverage in the business. Our incremental gross margins in the transportation business especially continue to be high.

Corporate overheads, as we discussed last time, we continue to exercise control over central costs. Corporate overheads have remained more or less constant between quarter 1 and quarter 3. As a percentage of revenue, they've dropped from 12% to 11.3% as of quarter 3. We foresee corporate costs remaining broadly constant going forward as well.

What this has led to is a massive improvement in adjusted EBITDA. As of Q1FY23 when we began the integration, adjusted EBITDA stood at negative 12.5%. As of Q3FY23, owing to improvements in gross margin in the transportation business, as well as operating leverage on the fixed costs, we've seen adjusted EBITDA improved to a -67 crores or -3.7% as of quarter 3.

Moving to the next slide. The key driver of adjusted EBITDA continues to be massive incremental gross margins in the transportation business. Our Q2FY23 adjusted EBITDA stood at -125 crores. Our incremental revenues in the transportation business in quarter 3 stood at 59 crores. The incremental gross profit that we've seen in transportation is 58 crores.

Of this 58 crores, approximately half of it comes from improvements in the gross margin or operating leverage. In addition, we had three specific programs that began in quarter 3 once the operational integration with SpotOn was complete. One of which was

revising pricing and rationalizing business with less profitable customers. I had alluded to this on our previous earnings call. The second is Delhivery Ltd

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Page 7 improving capacity utilization, deploying more of our tractor-trailers across high-density routes across the country. And the third is ongoing cost optimization measures, including improvement in weight capture. All of which have had an influence both on yield, as well as on profitability.

The network footprint has continued to be optimized as well. We've seen a decrease in transport fixed cost by 3 crores. Net result of this is an improvement in adjusted EBITDA from -125 crores to -67 crores for quarter 3.

This is a quick snapshot of how various costs have trended as a percentage of revenue. The two bars that are highlighted are Q1FY23 and Q3FY23. As you can see, total freight, handling and servicing costs between quarter 1 and quarter 3, while revenues have increased, our costs have actually reduced on an absolute basis, from 1,453 crores in quarter 1 to 1,409 crores in quarter 3. Therefore, total freight, handling and servicing cost as a percentage of revenue has declined by nearly 6%, from 83.2% in quarter 1 to 77.4% in quarter 3.

We've seen an improvement across all key cost elements. Line haul, which is our trucking expense, has reduced from 37% in quarter one, to 33.4% in quarter 3. We've seen manpower expenses also reduce with improvements in productivity and higher loads. Manpower expenses have dropped from 13.8% to 11.7%. In addition, most of the fixed costs of the business have also scaled as volumes have grown between quarter 1 and quarter 3. So overall, the profitability trend has been positive in quarter 2 and in quarter 3. And going forward, we expect this trend to

continue.

So a quick snapshot of adjusted EBITDA. As of quarter 1, as I have mentioned, we were at -12.5%. As volumes have grown across the integrated network in quarter 2 and quarter 3, we've seen sequential improvements in adjusted EBITDA, from -12.5% in quarter 1, to -7% in quarter 2, to negative 3.7% in quarter 3. So nearly a 50% improvement in adjusted EBITDA quarter -on-quarter. As operating leverage in the business continues with higher volumes, we expect this trend to continue.

A quick bridge on adjusted EBITDA. I've walked through this before, so I'll do this quite quickly. In quarter 3, total revenue from customers stood at 1,824 crores, total expenses stood at 2,126 crores. There are three categories of expenses that are added back. The first is, 5 crores of finance cost on borrowings. The second is lease adjustments due to AS 116, where we expense the leases versus capitalizing them, which has a net impact of 5 crores. And an add-back of non-cash recurring costs, which include depreciation and amortization, which stood at 157 crores for quarter 3; and ESOP expenses which have declined from 95 crores in quarter 3 last year, to 67 crores this year. The net impact of this is that adjusted EBITDA has improved to -67 crores, compared to -125 crores in quarter 2.

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Page 8 A similar graph on the cash PAT side. Overall cash PAT has turned green again. We were at 5% and 6.6% cash PAT last year at about the same time. In quarter 1, cash PAT had dropped to -10.4%. Again, the same story of operating leverage plays out. We've seen cash PAT improve from -10.4% to -1.7% in the previous quarter, which has now improved to positive 1.8% as of Q3FY23.

The cash PAT bridge follows the same logic as the adjusted EBITDA bridge. Profit after tax for the company improved from quarter 2 to quarter 3 from -254 crores to -196 crores. Adding back non-cash recording costs principally gives us the adjusted cash PAT of 34 crores for this quarter.

With that, I'd like to end the call.

Again, I'll just quickly summarize. Quarter 3, from a management team standpoint, has been a positive quarter in terms of improvement in profitability, consolidating market share on the e-commerce side and stabilizing the part truckload business. We've seen improvement as a logistics business -- service quality, reach, speed are the three major metrics that we look at. We have seen improvements across all of these. We are well-positioned in quarter 4. The momentum from the end of quarter 3 has continued. And we're confident about quarter 4 and the financial year ahead.

With that, I'll pause. Thank you for listening to me. And we're happy to take questions.

Vijit: Thank you, Sahil. Operator, can we have the first question from Sachin Salgaonkar? Thank you.

Sachin: Hey, Vijit! Hi, guys, this is Sachin here. I have three questions. Firstly, Sahil, just wanted to understand the 6% Q-o-Q shipment growth in 3Q. It looks like even adjusted for Shopee, this appears to be slower than historical trend. So just wanted to understand any specific drivers which impacted this quarter.

Sahil: Sure, Sachin, do you want to go through all three questions? I can note all three.

Sachin: No. Why don't you answer this, then I'll ask the next one?

Sahil: Yeah, sure. I think this year was a little atypical between quarter 2 and quarter 3, because the sale impact came in, in quarter two this year; whereas last year, the sale impact came in, in quarter 3. From our standpoint, as we look at the market, we've done 170 million shipments odd in quarter 3. Our momentum going into quarter 4 continues to be similar to what we saw in quarter 3, in terms of shipment volumes. In the sense that our share of wallet with customers has grown in this period. That

is broadly a summary of volumes from quarter 3.

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Page 9 Sachin: Got it. And just to extend that further. Any thoughts on outlook for shipments for 2023? And I'm asking that because we are seeing the impact from funding winter where the e-commerce, social commerce, D2C companies are not as aggressive and everyone is focusing on their cost control.

Sahil: Absolutely, Sachin. I think we've spoken about this before. Our view has always been that while individual players in the e-commerce marketplace may go through ups and downs based on their respective funding situations, the broad arc of e-commerce continues to remain positive. It is a growing category. We continue to see new categories coming into the market. We continue to see new buyers coming into the market and that's not just in e-commerce alone. You'll see this across all consumer Internet businesses.

I think the reality is that the last year was slower than people expected, partly because a lot of growth had been pulled forward during the COVID period; but I don't think that fundamentally alters the path for e-commerce in the country.

The other thing worth remembering also is, if you look at the new participants in the e-commerce marketplace, I think you will find that they are not necessarily affected by funding situations in the private markets. The new entrants in the e-commerce space, as an example, include the likes of Reliance, Unilever, for instance, Dabur, for instance, which are also entering with direct-to-consumer brands.

And so, our view on e-commerce continues to remain positive. I think, in any given quarter, there will always be volatility based on how individual players and their ability to raise capital, but for e-commerce as a category, we remain unconcerned.

Sachin: Yeah. So, 2022, as you rightly indicated, was a bit slower than expected. What your sense of 2023? Should we see a 25 - 30% shipment growth? Or do we see a downside risk out there? Generally, as an industry, I'm asking.

Sahil: So it's a tough question to answer. Last time when

we spoke about this on the earnings call, I had signaled that we would see about a 5% to 8% growth in shipment volumes in quarter 3. It turned out that we were at about 6%, more or less on track. But as I look forward, our sense is that, at the conservative end, e-commerce volumes should be expected to grow in sort of the 15% to 20% range. That said, I think if some of the inflationary pressures ease, and depending on how individual players react, you could see growth rates which are higher than that as well.

Sachin: Got it. And if there is a slowdown there should be an impact on your operational leverage on the negative side or directionally the kind of results what you shared in the 3Q those kind of results from an operational leverage will continue?

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Sahil: They will absolutely continue. From our standpoint, what's important to note is that the further improvements in operating leverage in our business, because we are an integrated network, will actually come from growth in PTL volumes. And so as a management team, as we look at the business towards the end of quarter 3 and how quarter 4 has begun I think what is satisfactory is the growth in PTL volumes.

As the PTL volumes continue to grow, our overall unit economics will get significantly better. And the fundamental reason is because our mid-mile utilizations of the hubs and the trucks will improve drastically as volumes go up. So we're not as dependent on what happens to e-commerce volumes necessarily.

And from a margin perspective, it doesn't make any difference.

For us also, I should point out that any volatility in an underlying market which places pressure on our competitors is ultimately good for us. We have always maintained that our objective is to commoditize the space. We are the lowest-cost player. We have the highest-gross margins in this space and the ability to absorb pressures in the market. And if it is necessary, we will exercise whatever steps we have to maintain or grow market share.

Sachin: Thanks, Sahil. Last question from me, your thoughts on competition on both PTL and express. Is it increasing, decreasing or status quo?

Sahil: I think on the PTL space, the good thing in India, not just for Delhivery, but for all players, listed or unlisted, is the fact that it's a highly fragmented and unorganized market. The top 10 players in PTL, the organized players in PTL in India today, will form less than 20% of the market. And so there is significant headroom for growth without any of us trying to claw each other's eyes out. As long as we continue to deliver high-quality service across a wide network and at costs that customers are used to seeing, there's almost, in some senses, no limit to the headroom for growth, not just for Delhivery, but for other PTL players as well.

And so, our job remains pretty simple, which is essentially to continue to deliver service quality, to continue to deliver precision, and to continue to add new customers. So competitive intensity on the PTL side is not even a factor.

Coming to the e-commerce space, I think obviously, when volumes go up and down, individual players, again, like I had mentioned, see different levels of strain on their businesses. For us, we realized long back and when we set up the business, it was part of our strategy, that an integrated network is the only way to go. The lowest-cost player in a space generally is not the one that faces the pressure in the market.

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Page 11 And so from our standpoint, even if e-commerce were to stay absolutely flat next year, or de-grow should it, which is very unlikely, for us, strategically nothing will change. Our financials will not change, our strategy in no way will change. If anything, I think it will increase

competitive intensity in our favor, which seems to be what we have seen in January and February as well. Our numbers suggest that we have gained share in this quarter.

Sachin: Got it.

Operator: Thank you. The next question will be from Hitesh Goel. Hitesh, please go ahead.

Vijit: Just a housekeeping thing, please keep your questions limited to two per person. Thank you.

Hitesh: Sure. Thank you. I have only one question. On the PTL side, just wanted to understand the unit economics. So I understand that the volume growth or mid-mile utilization will go up and that could reduce your costs -- unit cost per Kg. But when I see your yield versus competitors, that is quite low, right? So that is also an important element to improve profitability. So can you give us some sense and how should we look at the PTL yields? Can that go up further from here? Or you want to become the lowest-cost operator in the PTL itself, that will give you profitability? How should we think about that?

Sahil: Good question, Hitesh. I think there are two separate questions for me to unpack here really. The first is what is the strategy and the second is, really, what are the economics. On the strategy, again, in PTL, exactly as we did in express. Delhivery exists to be the lowest-cost and most efficient player in any market that we are in. And so, that will be our strategy in PTL as well.

Now, unlike the express or the e-commerce space, whether we will continue to pass efficiency gains in our PTL business back to customers or not, is a decision that we will take based on how various market participants operate. So our pricing strategy may be different in PTL compared to express; but strategically, the cost objective of the business will remain the same.

Now, why we believe we have that ability is very simple. We run the biggest trucks. We run the largest hubs, we run the most efficient hubs. And that's a significant portion of the cost in PTL.

In terms of yields — so that answers the question on what our strategy will be. In terms of the yield, it's misleading to look at yield across different PTL players, because the yield depends on the distances that you are traveling, the yield depends on where the business is coming from. There are PTL players, as an example, where

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Page 12 a significant portion of their business comes from retail customers. Retail customers typically may pay rates which are anywhere from 14 to 20 rupees per kilogram.

Equivalently, if you have Delhivery as an example, we do a significant portion of our business from large enterprises, where rates are not 14 to 20 rupees per kilo; but the difference is that you're typically carrying more predictable and larger loads. So yield by itself cannot really be compared across different PTL players.

In terms of how the unit economics work, the PTL business is actually a fairly simple business. There are fundamentally two large costs. The first is pickup and delivery costs, which typically will range for most players between about 15% to 20% of yield; and there is line haul, which is the trucking cost, which will typically be anywhere from 35% to 40% depending on the specifics of the load that they carry. Outside of which, there are the costs of handling the load, which is the manpower costs, which will again typically be in the range of about 5% to 7% for most players.

Effectively, our view is that this creates a gross margin opportunity between 25 and 30% in the PTL business. And then depending on the underlying infrastructure strategy, could yield EBITDA margins in the range of anywhere from 14% at the lower end to 20% at the upper end.

Hitesh: Okay. Just a follow-up there, can you give me the mix of your small enterprises and large enterprises?

Sahil: Hitesh, I'm sorry, I didn't catch that fully. You

said a list of small enterprises?

Hitesh: The revenue mix between the large enterprises and SMEs that you pointed out.

Sahil: We do not declare that, Hitesh publicly, number one. And the second thing is that this is a mix which changes practically every month, because we continue to be in a customer acquisition mode and different segments of customers have different sales cycles. And so, really, any quarter is not going to be an indication of what our mix will be two quarters hence. So this is unfortunately information that we don't put out publicly.

Operator: Thank you. The next question will be from Gaurav Rateria. Gaurav, please go ahead.

Gaurav : Hi. Am I audible?

Sahil: Yeah, Gaurav. Please go ahead.

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Page 13 Gaurav: Yeah. I'll list down all my questions, and you can take the top two questions. If you have time, you can take the third one as well. The first question is, basically on slide 10. If we look at your services EBITDA margins is 7.6% compare, it to fiscal '22, which was 10.4%, it's a 300 basis point lower. On a similar revenue scale, much reduced infrastructure that you have right now, rationalized infrastructure and a lower cost structure. So what explains the lower services EBITDA margins compared to fiscal '22 on a similar revenue scale? That's question number one.

Question number two is, on the cost side, your incremental GM is 50% on transportation business. For how long you can sustain this? Post which there should be a normalization back to 25, 30% incremental margin on gross margins.

And last question is on the pricing side. On the express parcel yield strategy, do you think the current market situation is ripe for kind of disrupting the market, given the private players will be struggling to raise money; and you can actually try and gain more market share by using your pricing lever, which may not necessarily dip into your unit economics but may help you to gain a significant amount of market share? Thank you.

Sahil: Thanks, Gaurav. Let me answer all three of the questions. I think they're all important. The first one is on the decline in service EBITDA year-on-year, there's actually a pretty simple answer to that. One of the major reasons for the change in service EBITDA is, we do a larger proportion of our trucking now on 46-foot container trucks compared to the same time last year when it was much, much smaller.

You remember that one of the big investments that we have made through this financial year, and that we expect to continue to make, is expanding our fleet of 46-foot container trucks. So essentially, when the volumes are lower, which they are in this quarter compared to the same time last year, you'll see that our line-haul costs, but effectively our line-haul utilization on a network level is lower.

The good news, though, is that the capacities that we have are larger. And so as the business continues to grow, the incremental margins, which sort of link to question number two, the incremental margins will remain high, because these trucks will essentially be able to absorb the excess load that's coming in. This is a key part of our strategy going forward. We will continue to actually expand our fleet of tractor-trailers.

On the fully utilized trucks, Gaurav, as we've mentioned in the past, we continue to see unit economics that are superior by anywhere from 15% to 35% on other truck form factors that the rest of the industry uses.

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Page 14 To your second question on incremental margins, we continue to see 50% incremental margins across the network. Across different pieces of the network, we are seeing capacity utilizations, as load has come back, start to hit the levels of 80, 85% thereabouts. That said, I think we still have

some distance to go before the incremental margin starts returning to normalized levels. Because we have, as we mentioned, this year expanded our overall fleet of tractor-trailers; and we continue to run our mega facilities in Tauru, Bhiwandi and Bangalore and have expanded some capacity.

So I think it will still persist for a while. We are probably at least a quarter or two away before margins start normalizing. At which point, again, we'll consider whether or not to expand capacity.

Your third question was on pricing. I think it's a good question, and it's sort of -- I think it's an answer that has never really set in stone, Gaurav. We look at market conditions; we look at our competitors; we look at who's financing them and what kind of runway they have before we make a decision. Fundamentally, because as a market leader, I don't really see any use to us setting fire to our own profit pool.

At this point in time, our competitors do not have a current or a future ability to meet our cost structure. Their inability to meet our cost structure is not driven by a lack of volume. It is driven by an underlying structure of the network, and so our costs are not achievable. In that situation, we really don't have any need to price any lower than we are at this point in time.

What is important, though, like in some sense, is like a nuclear deterrent is that we have the ability to do it. And should we feel the need to defend our market share in any given customer account, or if we see a customer performing exceptionally well for us and growing volumes at the margins that we expect, we are more than happy to pass those efficiency gains on to customers proactively.

So I think it's a good question. It's one where as a management team, I think we will look quarter-on-quarter, customer-by-customer at the incremental margins that we are generating and then decide whether or not to pull a pricing lever.

Operator: Thank you. We'll take the next question from Mukesh Saraf, please. Thank you.

Mukesh: Yeah, hi. Good evening, and thank you for the opportunity. Two questions, largely. So first is on the PTL business. Last quarter I think you had mentioned that you had exited around, say, about 3,500 tons per day on an average. We have done close to 2,980 -odd tons this time around on average for the quarter. And December is, in fact, higher. So it seems like this October or November, one of them have been weak, or probably both have been quite weak. So any sense on that? Could you give Delhivery Ltd
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Page 15 some sense if there was some one-time disruption or something of that sort in that month?

Second, on the express parcel business, growth is largely flattish on the number of shipments. Could you give some sense on your market shares that you have in this 3Q? Because industry probably, in the commentary we are hearing from the large players, the likes of Meesho seem to be much higher. So some sense on that would be helpful.

Sahil: Sure. I can start with the first one. On PTL volumes, the start of October was muted for the quarter. The reason for this was, if you remember, on September 24th there was unseasonal rain in Gurgaon. And as a precautionary measure at our Tauru facility, we had taken down the total amount of load that was being transacted both with Tauru as an origin, as well as with Tauru as a cross-docking or destination location.

Given our experiences, when we did the integration in April, I think the conservative call, and in retrospect the right call for the business, was really to inform customers early and to tell them that we had seen an unseasonal rain situation in Tauru which could cause delays. And as a consequence, we would take down loads for a period of time.

We continued to watch that through the September peak and the first part of October. And when we were c

onfident that network delays would not occur, we decided to go ahead and re-admit loads into the network, which is also why loads recovered pretty quickly going into November, as well as December. So it was a conservative call at that time.

On the second question, in terms of volume growth, I think we saw an overall growth of 9 million shipments between quarter 2 and in quarter 3, in absolute terms, which is about 6% growth. We monitored our share of wallet with all of our customers, individually, as well as collectively. It's sort of an estimate that we have because there really aren't published sources of market share data.

Going into January and February as well, as I look at our numbers, I am pretty confident that we have gained share in the market; and we will continue to gain

share in the market. Our share of wallet with key customers has increased in this period. We expect it to continue to increase over this quarter and through next financial year.

Vijit: So I do see some questions on the chat panel. Maybe I can take the first one there. This is from Aditya from Macquarie. He has three questions. Could you provide some broad flavor on your express parcel volume mix versus, say, one year ago?

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Page 16 How do you see your volume mix for the year ahead? And what does that mean for your blended yields?

Sahil: Sure. Also, very quickly, we do not declare a break up of our express parcel volume mix by customer, obviously. It's sensitive data. But that said, let me put it this way, we find our customer volume mix highly satisfactory. Unlike other players in the industry, we are not heavily dependent on any single customer. This is something that we have discussed before. It's something that our management team looks at very carefully. The added advantage, of course, that we have is that, express itself is 66% of our business. And so, our overall contribution from any single customer is not particularly significant. So that's one of the things that we manage carefully.

Obviously, on top of that, we are a very large player when it comes to independent players who are not the three marketplaces. We have a high share of wallet with all of these customers; and we continue to maintain that. So across the marketplaces, I think we are a significant and important third-party partner to all of them. And for anybody who's not a marketplace, we are usually partner of choice.

Vijit: Okay. Great. Thanks, Sahil. The next question he's asked is, how has the recent uptick in PTL volumes improved your service margin in Jan?

Sahil: I can't comment on margins for January, unfortunately. But what I can tell you is that operating leverage in the business, you've now seen two quarters where operating leverage has played out. And I think as long as volumes continue to come in, the operating leverage in the business will continue. There will be, obviously, depending on where the volume is coming from and where it's going to, the 50% may vary a little bit if it's going into underutilized versus overutilized locations; and we don't micro-optimize that. But the broad underlying trend of operating leverage will continue.

Vijit: Sahil, and the last question he has asked is, tactically, what are your top three process level KPIs/priorities?

Sahil: In a logistics business, service quality and cost per shipment. There are no top three, there are only two. As long as we deliver high-quality service, as long as we continue to improve efficiencies internally, market share is a direct consequence. It's as simple as that. As I've mentioned multiple times, the strategy behind Delhivery is very simple. We are here to commoditize our space. This is one of the rare industries where it is possible to deliver the lowest cost and the highest quality of service at the same time. We believe that we

have the model that allows us to do that. And so, these are the two KPIs that we track at all points in time.

Vijit: Great. Thanks, Sahil. We'll take the next question on the line from Soham Joshi. Soham, you can go ahead, please.

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Soham: Yeah. Congratulations for two things, Sahil. I mean, first of all is numbers and second is the entrepreneurship spirit that you guys are supporting like down, but not out. That is amazing, Sahil, I mean, they were superb.

Now the two questions I want to ask is, now, as you have said that we had a pull ahead of e-commerce for 2020 and 2021. So will we compromise our margins for going ahead? And ultimately, will it affect our bottom line? Is it the case which you are seeing going forward?

Sahil: Sure. So I think that's a good question. And it's similar to the question asked earlier. I think, as I mentioned, we already are the lowest -cost player in the market; and our pricing, to a large extent, does reflect our cost advantages. So we do not anticipate that we will pass on broad -based pricing incentives to customers at this point, nor is there any demand for it at this point. So we have no reason to make sort of big pricing changes or to compromise our gross margins in any way. In fact, we will — we need to protect our gross margins.

Soham: Okay. One, just one small question. Even if we have a moderate growth volume, for say 2023 because somewhat various slowdown in e-commerce, will this push back all the plans for starting the two new truck terminals which you had acquired from Welspun and GMR in Mumbai and Bangalore? I mean we were supposed to get operationalized in 2023. So now will we push it to 2024 or 2025? And what is the plan for that too?

Sahil: A great question, Soham. And that's why the PTL business recovery is so important. Our decision to move to these larger facilities is not underpinned by e-commerce. Because, as you can imagine, e-commerce, the shipment volume and count may be high, but the tonnage is very low. So the movement to the larger facilities and the larger truck sizes is really driven by the freight business. We have seen the recovery in the PTL business. We are seeing it continue into January and February. So we will move into our Bombay facility, the Welspun one facility during sometime towards the end of quarter 2 or the early part of quarter 3 of this year, actually, probably the early part of quarter 3, conservatively. The Bangalore facility is only scheduled to arrive in the next financial year.

Soham: Okay. And one last question for Transition Robotics. I mean, what is the way -- I mean, are we seeing the revenues growing from the Transition Robotics? Is government coming with the revenue guideline for drone logistics? What is the way? When the revenue will start reflecting in P&L?

Sahil: Sure. I think it's a good question. Transition Robotics, essentially, what we have built, Soham, is the capability to deliver using a fixed wing aircraft up to a 4 kg Delhivery Ltd
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Page 18 payload over a 40 -kilometer distance. In India, so far, what we have been doing is really testing out the drone capabilities that we have. Transferring the technology because drones have to be manufactured in India for them to be used in India. And then we will have the capability to deliver.

We have tested. We've done trials so far, obviously, with the approval of the regulator, both national and local. And as the policy from DGCA becomes clearer, then we will decide what we want to do. We are evaluating other possible revenue streams for the IP that we have created. And we will look at other markets to see whether this IP can be monetized. I think that is something that we will do in fiscal '24.

Vijit: Great. Thanks. We'll take the next question from Aditya Mongia.

Aditya: Yeah, sure. I hope I am audible to you all.

Sahil: Yeah, Aditya. Please go ahead.

Aditya: Great. First of all, congratulations on kind of improving the cost structure quite meaningfully in the matter of a quarter. The question that I had was, firstly, on this lost shipment expense that appears to spike up every second quarter. So it happened in the first quarter. It's happened this time around also that almost 2% of your – say

2.7% of your sales has been expensed as line item.

Also, you have seen service levels become better than the SpotOn in 2Q and then 3Q, the start has been weak. I'm just trying to get a sense of A) what are the learnings from this kind of volatility that has happened in your service levels and on your lost shipment expense? And b), should we be expecting any such spikes incrementally unknown?

Sahil: Sure. Let me address the loss and damage very quickly, Aditya. I think in quarter 3, there is a 12 crore write-off that we have taken. It's a conservative provision that we have made in quarter 3 for one of our customers who is not in the transportation segment. So it doesn't affect the PTL and the express businesses in any way. This is a conservative provision that we have made for one of our customers in the supply chain services business. We're moderately confident actually that we will be able to reverse this provision. But in the interest of being conservative, we've made that in quarter 3.

Going forward, claims are ultimately linked to underlying quality of service, whether it is short deliveries, whether it is damages or service quality-related claims that customers may place. Usually, their claims are a lagging financial metric. So when service quality improves in any given quarter, the reduction in claims is seen typically about three months down the line.

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I think I'm pretty comfortable. And Amit and I -- with our CFO and I were discussing this earlier -- I think we're pretty comfortable with the fact that claims will revert to their FY22 levels or below, with the improvement in service levels that we have seen. We already have some early indicators to show that claims are reducing across the entire network. We will, of course, continue to follow a conservative policy of provisioning, which is what we have done in quarter 3 this year. So hopefully that answers the question claims.

What is the other question? I'm sorry, your other question was service quality, yeah. On service quality...

Aditya: Essentially, one would have thought that probably there will be one quarter of problem. And then once you already come back to better than previous quarter levels and I think that was your comments in 2Q. In 3Q, there won't be any surprises. But if I take away the Jan data point and think about October and November, you were still falling below the pre-SpotOn service levels. The question basically is, you're seeing improvement in Jan and Feb. Should we be extrapolating that improvement in volumes or can service levels again kind of be volatile from there?

Sahil: Sure. I don't expect service levels to be volatile unless, of course, we happen to be in a season where there is snow and where there is rain. We are in an operational business. I think the one thing that you should absolutely weigh very carefully is that, Delhivery does not alter its service levels. One of the practices in the logistics industry, of course, is to change the expected date of delivery and to demonstrate a higher service level in response to network events. Our service level is on a constant base. And so in the event that there are weather-related or political disruptions that affect our ability to deliver, we still report service failure as service failure on the original promise that we have with customers.

As I

've mentioned, in September end when we saw rain in Tauru, there were obviously consequent delays throughout North India which affected service levels in October. Even one week of service levels being affected in an entire month has the ability to drag the average for the month and the average for the quarter down. In an operations business, Aditya, service is only as good as whatever you did last week or last month. And none of our customers cares about what service level we offered to them in September or October as long as we're doing well beyond.

And so I think the recent history of the last 3.5 months or so is quite important to look at. There are structural changes that we have made. A couple of the important structural changes that we have made are, of course, to bolster the infrastructure across our key hubs as these hubs have gotten consolidated. There is a significant improvement in service quality as you consolidate locations. That's number one.

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The larger tractor -trailers also improve service level with time. The reason is that, because we have more fixed capacity versus ad -hoc capacity, typically, we would buy, pre -tractor -trailer, anywhere from 15% to 20% of our trucking requirements in the spot market. Today, we see that having come down to between 9 and 11%. Now, spot market trucks run at significant delays compared to our own network, for obvious reasons. As that comes down, we see service quality improve. And so we should expect that to continue.

Apart from which, our technology systems and our monitoring have been significantly upgraded in the last four months. To give you one example, in the express space, for instance, we have seen misrouting of parcels reduced by nearly 40% with a new data science tool that we launched in the later part of last quarter.

That said, on a service quality basis, Aditya, whether it's Delhivery or any other logistics network in the country, I can assure you that absolutely nobody can give you a picture of exactly what their service quality will look like on a consistent basis in any given month. It depends on the weather. It depends -- yesterday the Prime Minister was in Bombay. That would certainly have affected service levels in Bombay yesterday. So there are events that affect service quality. Our ability to deal with one -time events, whether they are weather, whether they are any other form of disruptions, I think is significantly improved compared to where we were last year.

Aditya: Got that. The second question that I had was, Sahil, to you. It is actually -- so if one of the captives who are there in the market want to basically potentially replicate Delhivery. Okay? Now, if you were to be putting the hat of a consultant and kind of guiding them on steps and timelines to become a Delhivery, and just -- and then I'm just talking about express parcel to start with kind of putting that PTL machine part on top -- what would be your advice to them here?

Sahil: I mean, may I begin on a lighter note simply by saying that imitation is the sincerest form of flattery. And so if there are captives who would insist on becoming Delhivery, I think that speaks -- we are quite proud of that fact and quite happy to hear that's the case.

My advice to captives trying to become Delhivery is one word, which is don't. It's not possible. There is a reason that captives cannot approach the efficiencies that third -party logistics companies have. They are subject to internal volatilities. They are subject to internal processes. They're ultimately, apart from everything else culturally, have never been run as profit centers. There are multiple reasons that are well understood across multiple industries as to why captives cannot be externalized easily.

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Page 21 If you happen to be a captive for a large marketplace and 85% or 90% of your volume comes from the marketplace, it's worth asking whether you're building capacity for average or for peak. If you build capacity for peak, you're never going to make money. If you build capacity for averages, when you have the peak, whose volumes are you going to jettison? So the entire idea of a captive player somehow magically turning into a highly profitable and efficient third -party logistics partner, frankly, is ludicrous.

The second question is that, if you look at the business model between Delhivery and the captives, while we may appear to be doing the same thing in the sense that we move boxes, nothing could be further from the truth. Unless a captive logistics player for a marketplace suddenly decides that it is their business to deliver automotive spare parts from an automotive manufacturing company to its dealers - which is a completely inexplicable shift and strategy -- they are never going to be able to achieve either the service quality, the scale or the efficiencies that Delhivery is able to achieve.

So the entire idea behind the captives externalizing fully and taking on not just Delhivery -- here I've said multiple times, I don't speak just for ourselves, I speak for the entire industry, whether it's Blue Dart, us, Ecom Express, Safexpress, whoever it is -- our threats come from our own ability to service our customers and not from a misguided attempt from a marketplace to become a third-party logistics company.

Aditya: Now, there is a third question that I have on the chat box. Do I have to speak that out or whichever way you say?

Sahil: I'm afraid I've lost it, so you might as well.

Aditya: No, I have a limitation of two, that's all, I can speak it out, that's fine. See the question relates to your line-haul expenses, okay. They appear to be down as a proportion of sales, probably even Y-o-Y. And the truckload revenues have only gone up, which should have been better than 2 with this happening. I'm just trying to kind of understand what exactly is happening over here that is leading to an improvement. Is there a fixed cost element of this and the benefits that are happening, at least on a Q-on-Q basis? And is the pieces of tractor-trailers and tonnage share been growing over there so significant?

Amit: So I'll take this question, Aditya. One part is related to business mix, where you can see that in cross-border business, there has been a decline from 96 crores of revenue, 66 crores of revenue. This business has a significantly high proportion of line-haul cost as a percentage of revenue. That has led to reduction. That's one part.

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Page 22 The important part is that, for about 58 crores higher revenue that we have generated, in 59 crores higher revenue we have generated in our express parcel and PTL business put together combined in quarter 3 versus quarter 2, not meaningful incremental line-haul cost was incurred for this revenue. Now that is getting driven from improved utilization of trucks and a higher portion of tractor-trailers in the network.

Vijit: Thank you. We'll take the next question from Alok Deora. Alok, please go ahead.

Alok: Hi. Am I audible?

Sahil: Yes, Alok. Please go ahead.

Alok: Thanks for the opportunity. So just had two questions. So one is, if you could also indicate how or what's your growth outlook in the part truckload segment for FY24? So I think you mentioned about 15 to 20% that's for the e-commerce side. Any view on the PTL segment, what we are targeting or for the industry what we are looking at?

Sahil: Sure, Alok. On the PTL side, in general, what we have seen so far is that, the market grows anywhere between about 10 and 12% a year. Now there are two broad shifts that are happening

g, though, in the PTL space that are worth noting. One of them is that there is a very significant shift that is happening away from unorganized players towards organized players. Organized players have historically been a very small minority of the total market. As I've mentioned, the top 10 players will form less than 20% of the market.

By way of comparison, in the United States the top 10 players will form 70% of the market. So I think that's one big shift that is positive for all organized players, not just for Delhivery.

And the second is that, there has been a shift from non-express part truckload to express part truckload. As the quality of roads has improved; as the average form factor of trucking has improved; as people have invested in Grade A infrastructure and automation, again, not just Delhivery, multiple players in this space, there has been a shift from non-express to express.

And once again, what that means is that, organized large-scale players who have the ability to invest and build capacity will continue to gain share. And so in some senses, for all of us, again, not just Delhivery, whether it's Delhivery or VRL or TCI or Safexpress, whoever it is, for all of us, the headroom for growth is massive. We are not limited by growth in the market.

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Page 23 On the e-commerce and express side, obviously, growth in the market is one of the factors that influences our ability to grow. But on the PTL side, I think we are limited only by our ability to build capacity, maintain service quality and cost, and obviously, our business development capabilities. So I think our outlook for growth in PTL is very positive. We've seen a pretty significant movement. If you look at it even from November to February, so far, we've seen growth in volumes, which is north of 30% and industry growth is nowhere near 30% in this four-month period.

So I think not just Delhivery, multiple players in this space ultimately have the opportunity to go and grow significantly faster than industry and gain share. We are gaining share at the expense of the unorganized market. And I think that trend will continue, not just next year, but will continue into the midterm.

Alok: Sure. Thanks for the elaborate answer. And also on the express, you mentioned that during one of the questions that you in express, you are looking at a 15% to 20% growth for the industry. But express is not really all the criteria which would kind of lead to the operational efficiency, changing the operational efficiency. So even if the growth was much lower than what it is then 5 to 10%, then also it would not impact. Could you just elaborate a little more on that? Because I'm sure we would not be expecting a single-digit growth rate in that segment, right?

Sahil: We don't expect it, obviously, but Alok, but the reality is that ultimately, in the e-commerce marketplace any given quarter anything could happen. Our expectation is that the underlying market conservatively will support a 15 to 20% growth. Our numbers in terms of new customers coming into the market, new categories seems to suggest that.

That said, what I meant was, when I was talking about our economics is, when you look at our business as a whole, because we run an integrated mid-mile between express and part truckload, that is the one that is most sensitive to utilization. On the express business, outside of the mid-mile, which it shares with the PTL business, on the first mile, as well as at the last mile, our capacity utilizations are significantly higher; and we have developed the ability over the years to maintain and run those at consistently high capacity utilizations.

And so a decline in volumes is not necessarily going to immediately translate into a drop in our -- or a reduction in our cost-per-shipment because we will adjust cap

acities accordingly. It's also variable. The mid-mile is where the bulk of the cost obviously sits. And if express volume drops, it doesn't cause a major change in utilization of the trucks.

Let me give you an example. The average weight of an express parcel is approximately, let's call it, I don't know, in any given month, it's probably somewhere between 800 grams and a kilogram. Now, if you deliver 170 million

Page 24 shipments in a given quarter, you're talking about 170,000 tons of freight. By comparison, even in our lowest quarter, which was quarter 3, our total PTL tonnage was 258,000 tons of freight. So it is already about in a ratio of 60:40.

And as the PTL business grows, the relative share that the PTL business has in mid-mile will be larger. And so even if express volumes drop, our utilization of the mid-mile will not drop. And so, in that sense, the express unit economics are impervious to changes in express volumes. We have variabilized the first and the last mile. And at the mid-mile, we have the ability to absorb the decline in volumes. By the way, to all of the questions that were asked earlier, that is also the fundamental difference between an integrated network and a stand-alone network.

Vijit: Thanks, Sahil. Once again I'll just remind participants to limit themselves to just two questions. We'll take the next question from Shri. Please go ahead. We can't hear you, Shri. Can you please unmute yourself?

Sahil: I can actually read out Mr. Shri's question. The first one is, again, on captive e-commerce logistics companies, what will be the impact on our share? I think I've already answered that question. And I think there's a specific question he's asked about B2C customers and long-tail customers.

Again, I'll just point out that for a captive logistics company, which is used to servicing large fulfillment centers and warehouse uses, it will be interesting to see how they manage to service a small long-tail customer who wants to ship one parcel in a week. And again, on behalf of not just Delhivery but the entire third-party logistics industry, I can assure you that this is a harder problem than it sounds, looks better on Excel than it does in real life.

Question two is on slide #12 of presentation. What is the vehicle rental cost? Amit, would you like to comment on this?

Amit: So the vehicle rental cost is a combination of intra-city vehicle that is hired to either pick up goods from customer doorstep or to deliver goods to the consignee; and to deliver goods to the consignee and for movement of goods between the various facilities of Delhivery; plus it also includes payments to agents and vendors who do deliveries for us on a per-parcel basis.

This expense should typically be looked in combination with the line-haul expense to calculate the total fleet expenses for us, primarily because some change in network design or mix of shipments, whether being picked from the interiors of cities versus the outskirts of cities could have an impact on where the proportion of cost is lying in.

Page 25 Vijit: Thank you. We'll take the next question from Sachin Dixit. Sachin, please go ahead.

Sachin: Hi. Congratulations on a decent set of results. I have the first question on the lines of the improvement in adjusted EBITDA? So of the 58 CR gross profit that we are seeing, almost 29 CR seems to have come in from improvement in, say, realization from customers or from cost optimization. I wanted to understand how sustainable is it? Like can this realization upward move or cost optimization continue quarter-over-quarter over the next fiscal year?

Sahil: So there are two factors here. One of them is just underlying -- of the 58 crores, as you pointed out, 29 crores is from

just basic operating leverage, which is greater utilization and greater productivity of our staff. I think as I mentioned, we still have spare capacity in a number of locations. And as volumes continue to go up, I think

that increase in utilization is natural and should continue.

Now obviously, all locations across the network are not at exactly the same capacity utilization. And so some locations we may have to expand some capacity. But broadly, the incremental gross margin trend we expect through this quarter -- and we have no reason to believe into the next quarter -- it will not reverse. Eventually, as capacity utilization across the entire network sort of gets to 80, 85% kind of levels, our overall incremental gross margin will converge to the business' natural gross margin, which will be close to the 26 to 30% kind of range. But we expect that to continue.

On the cost optimization, I think you asked an important question. We have seen about 29 crore of improvement in the last quarter, come even from cost optimization measures. This has included two or three things. One of them actually has been prevention of revenue leakage, which comes from weights. Logistics companies all over the planet have this issue. We are increasingly directing a larger and larger percentage of our consignments through automated weighing machines.

One of the advantages that we have because we do dynamic routing is, we have the ability to route consignments through weight -capturing locations. And so that has also had an impact on our yield. We are more accurately capturing yield. We are also more accurately capturing shipment densities.

Another piece that I think will continue into the next financial year on cost optimization is, we continue to get better at filling our trucks. The axle of every truck has a payload capacity which is what we are trying to optimize apart from just the volumetric capacity of the container, which is a unique advantage that we have as an integrated network. I think we will continue to deploy our algorithms and our technology on truck filling. And as we get better, there will be some natural improvement that comes through that as well.

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And finally, there's obviously an element of engineering and design. As an example, in Bombay, as we consolidate multiple transportation facilities, whether it's our sortation center or our hub or our service centers or our return processing centers into a single large facility -- as an example, at Welspun one -- we will see improvement in economics for that facility as well. So cost optimization measures in an operational business are -- I gave you an all answer, but they are sort of never - ending for us.

Sachin: And on the realization piece?

Sahil: On the realization piece, I think what's important to understand is that we will not, we are not in the business of increasing prices. We have the cost structure that allows us to pass on efficiency gains to customers while maintaining extremely healthy gross margins at a business line level and at a client level. So we will not push up realizations because we have no need to. We will, in fact, use that to bolster our competitive position and to make sure that we maintain or grow market share.

Sachin: Understood. And quickly, on the second question, can you explain the seasonality that you talked about in supply chain services, how should we think of it? I mean, last year same quarter, we did not see a similar sort of seasonality happening.

Sahil: Yeah, sure, happy to. In different businesses that are our clients in this business, we see a certain amount of seasonality. As an example, one of our large customers is a consumer durables company. Now, we would expect the consumer durables company to see significant outflow in this quarter and quarter 1 as opposed to quarter 2 and quarter 3. So there's a natural seasonality then.

The second thing that's also, that I should point out in the supply chain services, business is that it also depends on the stage of every customer. Last year you saw growth because our pace of acquisition on a smaller base was larger. And so even

though seasonality existed, given the fact that we were coming off of a smaller base, it looked like the seasonality didn't exist. Whereas in this year, overall client starts are still happening, we will still continue to see new client warehouses coming in, in quarter 4 and quarter 1 and so on.

And so to some extent, in any given pair of quarters, that seasonality is kind of not easy to read into. The way I would put it is this, it depends on customer mix. Individual customers, depending on which business we are in, have their seasonality. Our businesses overall seasonality depends on the mix of customers that we have.

Sachin: Got it. One final question, if I can squeeze in?

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Page 27 Vijit: Sorry, can you please jump back into the queue, Sachin?

Sachin: Sure. Okay.

Vijit: Thank you. We'll take the next question from Vikram Kotak. Thank you. Vikram, can you please go ahead? Okay. So we'll just -- in the interest of time, we'll just read out some questions on the chat.

The next question I can see on the chat, which was not answered is, ESOP expense, can you share how it will fare in future, a road map? And I'll just combine a couple of questions. Why has PTL tonnage declined Q-o-Q? This, you've already answered, I suppose? And then the next question is, what will be the impact of Shopee in Q4? So ESOP expense, can you share how it will fare in future, a road map? And then the second question will be what will be the impact of Shopee in Q4?

Sahil: I think I can answer the second one very quickly, which is Shopee has ceased to exist in the Indian market. And so they will have zero impact on our Q4, because they're not there, overall. I think when you adjust for Shopee volumes from last year's Q4, versus this year's Q4, you will see growth in our volumes year-on-year. Amit, you may want to answer the ESOP question.

Amit: Yes. So there is a detail that has been added in the presentation that was uploaded, which shows what our granted and granted stock options are and out of which how much invested, which basically means has been costed for in the P&L and what is not. Corresponding to these grants, there is a cost schedule as well that has been given where the expected cost of time-based stock options that have been granted will cost about 143 crores in FY24.

And corresponding to the performance-based stock options, which are linked to company achieving a stock price of 800 rupees a share, 1,000 rupees a share and 1,200 rupees a share in about six to eight years timeframe from listing has a 94 crores of cost corresponding to it. This is the total cost corresponding to the -- of 477 crores and 204 crores for time-based options and performance-based options, based on the grants done so far.

The right-hand table also lays down the schedule of costing that is done based on accounting principles, where year one has about 42.5% of costing in that year one. You can see nearly 75% that's accounted for in the first two years for stock option grants.

Vijit: Great. Thanks, Amit. The next question I'll read out from the chat. It's from Mukesh Saraf. On the margin improvement in 3Q, would it be fair to assume that a good portion of that would have come from the PTL business? The reason is that,

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Page 28 I see the number of freight service centers come off to 150. Is the overlap that

SpotOn and Delhivery had in its system now entirely out of the system?

Amit: So the freight

service centers and the fixed infrastructure cost improvement was called out in one of our slides at about 3 crore apiece. If you look at it, where we had explained the walk from -125 crore in quarter 2 to -67 crore in quarter 3. So total reduction in network optimization is 3 crore. The remaining bit of it is 58 crore improvement is coming in from the operating leverage in the business and additional efforts being undertaken on improving the profitability of the business.

Vijit: Thanks, Amit. The next question is, any thoughts on the management on a potential buyback, given the return to cash profitability again this quarter, large cash balance and stock price significantly below IPO price? I also saw a question related to that, if you can comment on Q-o-Q cash and cash equivalents.

Sahil: So I can take that, Amit. On Q-o-Q cash balance, our cash -- as I had mentioned, our cash PAT actually was positive this quarter. Overall, apart from that, we've continued to have over 5,000 crores of cash on the balance sheet. So we are adequately capitalized.

On the buyback, I don't think it would be appropriate for us to comment on any such sort of moves on this call. And at this point in time, I think we have a massive growth opportunity ahead of us. Our service quality has remained consistent. Our costs have been in line. We continue to improve profitability. We continue to gain market share. I think investors should be looking at us to deliver growth and profitability going forward.

Vijit: Thanks, Sahil. The next question is, what is the pricing differential between you and the next best competitor in PTL? I guess you can answer that on a like-to-like basis.

Sahil: It's hard, again, because it depends on every single account and what our strategic objectives for each of those accounts are. What I can tell you is that we do not offer a discounted pricing compared to anybody else in the market of any size in the PTL space. I think PTL pricing is something that is well understood and has persisted in the market for a period of time.

Our objective, as I had mentioned, will remain the same. We will continue to establish cost leadership in the PTL space as well. We believe that an integrated network and a network at our scale will be significantly more efficient than a network of any other size. Most PTL networks in the country are significantly smaller than ours, especially when you add our SCS volumes and our express volumes as well. That allows us to be more efficient.

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Page 29 Now whether we will, whether that will ultimately manifest as higher gross margins because we will maintain market prices, or pass some efficiency gains on to specific customers will depend on our relationship with those customers.

Vijit: Thanks. The next question is rental expense as a percentage of revenue has increased from 2 to 4%, despite number of gateways and total infra going down? What explains this?

Amit: I'll take this, Vijit. So the rent expense should be looked in conjunction with what is expensed plus what is amortized under Ind AS 116. If you add the cash payout or the rent paid out against the capitalized leases to the rent as well, then the total rent for the quarter has increased on a year-on-year basis from 118 crores rupees about 134 crores rupees.

Out of this, primarily the rent is getting increased on two counts. One is an annual inflation in rent, which typically ranges between 6 and 9% for our facilities. And the remaining bit is about expansion of offices that were undertaken in the early part of the previous calendar year, because of expansion in teams. But as Sahil has

called out, there is no expansion of management cost and hence, do not see any expansion of overheads related to offices either.

Vijit: Thanks, Amit. The next question is, you mentioned Jan/Feb — this is from Lavina

Quadros. You mentioned Jan/Feb you gained market share in express parcel. On 3Q, did we gain share?

Sahil: I think our share in quarter 3 towards the end would have increased, but we would broadly have remained constant prior to that. Post the end of, towards the end of Q3, as the service improvements and network speed have become more apparent, and as we have had strategic discussions with a number of customers, I think it's quite evident that we have gained share.

Vijit: Thank you. The next question is from Mr. Pugazh Manohar. I hope I spell your name right, pronouncing your name right? Sorry, can you go ahead, please? I see you have also raised your hand. Pugazh, please go ahead.

Pugazh: So Sahil, yeah, is it audible?

Sahil: Yes. Please go ahead.

Pugazh: Sahil, like just on the margin side, just like I'm a retail investor, so this EBITDA margin, like say five years down the line or like where do we see this EBITDA margin percentage? Or are we anytime closer to any of the competitors, say, like 15%, 20% EBITDA margin? Is there anything that the team is thinking on? In Delhivery Ltd
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Page 30 which financial 5 years, 10, whatever the numbers, what are the number of years, you have any road map or anything that we can think through?

Sahil: Certainly, Mr. Manohar. I think from our standpoint, as we mentioned, if you look at the margins and compared to our competitors, the two businesses that obviously are the most comparable are the express parcel business and the PTL business. On the express parcel business, at the service level, we have always enjoyed margins which are supernormal compared to our competitors as well. It's a business where the money that we generate is used to finance the growth of the other businesses, which are critical to our overall strategy.

And this has happened while we have continued to compress rates, and we have continued to do that in response to improving operational efficiency in our business. So I think there, we are pretty well set overall.

On the LTL side, I think as volumes continue to grow, margins in that business will keep improving. As I had mentioned, the gross margins in the LTL business should look like 25 to 30% sort of range. And then depending on our operational efficiency and operating leverage, which depends on engineering and technology ultimately, we should see EBITDA margins in the range of 16 to 20%.

In our estimation, we expect that we should start seeing gross margins in the range that we expect probably sometime towards the end of the next financial year or early part of the financial year subsequent. But that said, this is highly dependent on sort of volume and mix of volume. But there's nothing structurally in our business that prevents us from achieving those.

The second thing I should point out is given the sensitivity of the PTL business to mid-mile costs, and specifically in mid-mile costs to trucking, since we run a highly efficient fleet of trucks, which is the 46-foot tractor-trailer truck and our ability to actually fill those trucks up to their maximum axle load limit, there is an opportunity for us to gain supernormal margins even by sheer design of our trucking. That's something that we are seeing positive movement on.

So if you look at our line-haul costs, they actually have significantly reduced and our per-unit costs actually are at target levels that we had designed actually for

slightly higher tonnages. So I don't think it will take us five years. I can't comment on exactly when we will get to those target margins. But I don't think that it will take us five years to get there.

Pugazh: Thank you, sir. All the best.

Sahil: Thank you very much.

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Page 31 Vijit: Thank you. I'll

just read out a couple more questions on the chat from Abhisek Banerjee. Number one is, can we share a market share number for Q4FY23 3PL express parcel?

Sahil: Well, Abhisek, we cannot because this is not something where there is a Nielsen or somebody who is doing this. That said, we are the market leader in this space. And obviously, we have a daily relationship with tens of thousands of shippers across the country and a pretty good sense of what is moving out of their warehouses. And I think we're very confident with where we are from a market share standpoint and very confident that we've gained share in this quarter.

Vijit: Right. The next question is, given the new expressways nearing completion, are your efficiencies from using 40-foot tractor-trailers not increasing further? Can you share your experience using the Shirdi-Nagpur expressway?

Sahil: Yes. Absolutely correct. As highway infrastructure has improved, yes, we do see improvement in service time and therefore, improvement in utilization of our vehicles. There are obviously a whole bunch of other externalities which also go away. As an example, wear and tear and damage of the trucks reduces as the quality of expressways increases. So it's a very good question. Yes, we have seen improvement in efficiencies.

I can't comment exactly on Shirdi-Nagpur because that's a fragment of one of the expressways that we will be operating on. But I can tell you that across the last two years, as expressway quality has improved, as even general highway quality has improved, we have seen an improvement in service times. We've seen an improvement in service speed and an improvement in linehaul costs.

Amit: Yes. I'll just add a data point, this is a very important question to our overall strategy. Roughly in about 2015 or '16, I think the average truck for Delhivery would have operated about 10,000 to 12,000 kilometers in a month, which increased to about 17,000 to 18,000 kilometers in 2019, 2020. And today, many of our trucks, if not all, are clocking well above 20,000 to 23,000 kilometers per month.

Vijit: Thanks, Amit. We are almost on time. So maybe we'll just -- if you guys don't mind taking a couple of questions from me, and then we'll close it out.

Sahil: Sure. Please go ahead, Vijit.

Vijit: Thanks. My first question is, just looking at that weekly table that you provided on PTL volumes, if I just look at the February number, just multiply that by 52 weeks, it seems like you're back to 90% of pre-integration volumes there. I'm just wondering if there is some seasonality to be mindful of in that number. And if you
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Page 32 can clarify whether on an account basis, are you pretty much close to 100% pre-integration wallet share, given you did let go of some customers here?

Sahil: Sure. The PTL business, Vijit, does not see seasonality in February. Typically, there is an annual seasonality where March, obviously, is the big month because it's year

end and quarter end, but there's also an intra-quarter seasonality. So there's an intra-month seasonality where the end of the month is significantly larger than the first two weeks of the month. There's an intra-quarter seasonality where the end of the quarter is larger than the averages for the previous months. And then there is, obviously, an intra-year seasonality, which is the end of the year and the end of the quarter.

So February first week meets none of those criteria. It is not the end of a month. It's not the end of a quarter, it's not the end of a financial year. And so, that isn't seasonality that you're seeing. I think what you're seeing is the consequence of consistently delivered high-quality service over the last several months.

We've spoken about this multiple times. When we integrated SpotOn in quarter 1, of course, it was a challenge

period for the company. We had to go back and assure customers that service quality would be maintained. And fortunately, the changes that we've made, which are very real specific changes in operations, infrastructure upgrades, training, more technology and automation in our hubs has led to service levels which are beyond what they were receiving even prior to the integration. And so they rewarded us in that regard with a higher share of wallet and more loads.

And I think one of the questions that was always asked is, would we have to discount to get these customers back? I think the good news -- and we've consistently maintained this -- is that customers react to service, and that's what we're seeing here.

Vijit: Got it. Thanks, Sahil. Sahil, my last question is, this acquisition that you talked about of Algorhythm Tech to build out some more capabilities in the supply chain services business, if you can talk a little bit about the choice between building out these capabilities versus acquiring this company? And how are you looking at M&A in the near future going forward? Specifically, also within PTL, any acquisitions of smaller or regional players still on the table or not in the foreseeable future?

Sahil: Sure. On Algorhythm, very narrowly this was an acquire situation. What we were particularly interested in was the product capability. It added very well on top of our warehouse management system. Because a number of our enterprise customers, not just want us to run warehouses, would also want us to help them optimize Delhivery Ltd
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Page 33 inventory placement and optimize transport selection. And this is a product that enables supply chain planning.

Every acquisition that we make, every single one on the tech side, specifically, the first thing that we weigh off is, what is the cost if we were to do it ourselves, and not just what is the speed to market and so on. And so, very simply put, let me put it this way, our cost to do this ourselves would have been higher than the price that we paid to make the acquisition. None of our tech acquisitions are very large ticket acquisitions in any case. The other thing, obviously, is that, unless it's a special situation like Falcon, where we have a strategic stake, we typically tend to do a complete buyout. That remains sort of our broad M&A strategy.

In terms of the PTL business, in terms of acquisition in general, I think we've been clear. The Indian market is rapidly changing. There's a huge change from unorganized players to organized players. And as that happens, there is an opportunity for us to consolidate the market under us.

And when you think about it, one of the reasons why consolidation has not happened in India so far is that small companies cannot make large acquisitions. You have to be a large player making acquisitions to make it meaningful. We are that large player in the market. We have been, we are, and we will continue to be the natural consolidator in this space.

Our consolidation, though, is driven by very simple factors. One is, is there a geographic or a customer sort of capability that we want to acquire? So as an example, networks, in specific regions that are complementary to us, of course, we will look at those. Networks which operate in specific industries where we want to gain share, of course, we will look at those as well. We, however, are not interested in networks that overlap exactly with ours. We're not interested in paying for revenue because we believe with our service quality and our cost structure, we have the ability to get revenue in any case.

So we will look at acquisitions. Or let me put it this way, I don't think in the logistics space, there are any acquisitions that will happen that will not first pass through or at some point, pass through our team.

Vijit: Got it.

Thanks, Sahil. We are almost on time. So we close this call for now. Thank you to the team at Delhivery for taking the time out and doing this call on behalf of the rest of us. Thank you so much.

Sahil: Thank you all. Thank you for joining.

END

Call: Jun 2023

Date: May 26, 2023
BSE Limited
Floor 25, P J Towers,
Dalal Street,
Mumbai – 400 001
India

Scrip Code: 543529 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
India

Symbol: DELHIVERY

Sub: Transcript of Earnings Call pertaining to the Audited Financial Results for the quarter and year ended March 31, 2023

Dear Sir,
This is in continuation to our earlier letter dated May 20, 2023, regarding audio /video recording of the analysts/investors Earnings Conference Call held on May 20, 2023 at 04:00 P.M. (IST) on the performance of the Audited Financial Results of the Company for the quarter and year ended March 31, 2022.

Please find attached herewith the transcript of the above investor and analyst call.
The same is also available on the website of the Company at [https://www.delhivery.com/investor - relations/](https://www.delhivery.com/investor-relations/) .

You are requested to take the same on your record.

Thanking you .

Yours sincerely ,
For Delhivery Limited

Amit Agarwal
Chief Financial Officer

Place: Gurugram
Encl: As above

Amit
AgarwalDigitally signed
by Amit Agarwal Date: 2023.05.26 11:29:49 +05'30'
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May 21, 2023

Page 1

"Delhivery Limited Q4 FY23 Earnings Conference Call"
May 21, 2023

Management : MR. SAHIL BARUA, MD & CHIEF EXECUTIVE OFFICER
MR. SANDEEP BARASIA, ED & CHIEF BUSINESS OFFICER
MR. AMIT AGARWAL, CHIEF FINANCIAL OFFICER
MR. VARUN BAKSHI, HEAD, INVESTOR RELATIONS
Moderator : MR. VIJIT JAIN, CITI EQUITIES TEAM

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Page 2 Vijit: Good afternoon, everyone. Good day, and welcome to Q4 FY23 Earnings Conference Call of Delhivery Limited hosted by Citi Research. This is Vijit Jain. So before we start, Delhivery would like to point out that some of the statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this call is meant for investors and analysts only. If there are any representatives from the media, they're requested to drop off this call immediately.

To discuss the results, I'm pleased to welcome Mr. Sahil Barua, the MD and CEO; Mr. Sandeep Barasia, ED and Chief Business Officer; Mr. Amit Agarwal, Chief Financial Officer; and Mr. Varun Bakshi, the Head of Investor Relations.

As a reminder, all participants' line will be on listen-only mode and participants can use the Raise Hand feature to ask any question post the opening remarks. I thank the management team for providing us the opportunity to host this call, and I invite Mr. Sahil Barua to take us through the key highlights of the quarter, post which we will open up for Q&A. Over to you, Sahil. Thank you.

Sahil: Thank you, Vijit. Thank you to the Citi team for hosting this, and welcome to all of you to the earnings call and thank you for joining. Before we begin, I'd just like to place on record the company's thanks to Mr. Abhik Mitra and Mr. Sunil Bansal, both of whom were key management personnel of the company who have decided to move on during this quarter.

Apar, if we can begin. So the overall summary for this quarter is that the positive momentum in market share volumes and profitability that we had begun to build up in quarter 2 of this year has continued; and the company has broken even at an adjusted EBITDA level. A quick snapshot of the quarter follows here.

In quarter 4 fiscal '23, we have achieved revenues of 1,860 crores across our business lines, which represents a growth of 2% over quarter 3. Quarter 3 is usually our seasonal high because we have the Diwali festive sales in e-commerce during this period; and therefore, the growth in quarter 4 is heartening to

see over what is
our usual peak quarter.

More importantly, the company has broken even at an adjusted EBITDA margin level. Positive momentum in margins was visible starting quarter 2, continued into quarter 3, and the same forces have continued into quarter 4 as well. The improvement in margins has been driven by increased utilization across the network with increased volumes and a number of cost optimization measures that we'll talk about.

Overall, we did 180 million shipments in our core express parcel business in quarter 4, which represents a 5.6% growth over the seasonally high quarter 3 period. And

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Page 3 adjusting for Shopee volumes from the same period last year represents a growth

of nearly 17%.

The PTL business continues to recover strongly. We delivered about 318,000 metric tons of freight, which represents nearly a 24% growth quarter on quarter from quarter 3 to quarter 4. We continue to cover 18,500 PIN codes. We've expanded the network marginally during this quarter. Customer base has continued to grow. We have over 27,000 active customers. Revenue continues to be well-diversified. 57% of our revenue comes from customers who use more than two of our services; and the company continues to be very adequately capitalized with over 5,500 crores in cash and cash equivalents.

A quick snapshot of the key operating metrics. As I mentioned, we've expanded the network marginally between quarter 3 and quarter 4 to 18,540 PIN codes. Through our partnership with FedEx, we continue to offer seamless express services to the entire world. The number of active customers has grown from 26,845 in quarter 3 to 27,253 as of quarter 4 fiscal '23. Compared to financial '22, which we closed at 23,600, we've gained over 4,000 customers in this financial year.

The consolidation of Delhivery and SpotOn's infrastructure, which was a key theme for this financial year, has now more or less completely played out, as you can see. Infrastructure has remained stable at about 18 million square feet. The total number of gateways and automated sort centers now stands respectively at 94 gateways and 24 automated sort centers, 174 processing centers as well. We are continuing to slowly expand the network in cities that we're present in, in response to higher volumes. So express delivery centers have expanded from 2,750 to 2,880. Freight service centers continue to stand at 140. We continue to be a team size of about 57,000 people, with about 35,000 partner agents and 11,000 vehicles across the country.

Moving forward, the key highlights for the quarter are here. In the core express business, we did 10 million shipments in quarter 4, more than we did in quarter 3. So in quarter 3 we did 170 million shipments and about 180 million shipments in Q4. This is a reflection of our overall market leadership. We've consolidated our position as a market leader in quarter 4. And this represents also a 17% volume growth in quarter 4 year on year, adjusted for Shopee volumes for the same time last year.

The PTL business continues to see robust recovery. We've reached 318,000 metric tons of freight, and had a strong end to the financial year in March. FY24 has also started with strong momentum, both in volume growth and in service quality. Network service levels, as you can see in the table below, have improved from 89% for the same quarter last year, to 93% as measured on internal turnaround times. Of course, on customer turnaround times, this service will appear better. Overall, short

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Page 4 shipments, which is a reflection of network quality, has improved from 0.08% at the same time last year to 0.05% as of this year, and network speed continues to be robust at an average of 4.3 days from order to delivery.

The improvement in pr

ofitability has been driven fundamentally by three factors.

The first is that operating leverage continues to play out in the core transportation business. As volumes have grown, utilization of key infrastructure, key facilities, automated sortation centers, and in the mid-mile of our trucking network continues to improve. We continue, especially in the PTL business, to evaluate customer contracts at a contract-by-contract level and revise pricing with specific customers or in specific lanes as required. We expect this to continue in to quarter 1 and to quarter 2 as well.

And finally, we opened up our internal and our third-party demand to brokers and fleet owners through our Full Truckload Exchange called Orion. Our internal loads are now available on our Axle application to fleet owners and broker partners across the country; and this has led to significant pricing benefits in both long-haul as well as short-haul trucking, and we expect this to continue as well.

This is a quick snapshot of overall performance in quarter 4. As I've mentioned in the bars on the left, overall revenue has grown to 1,860 crores. As you can see, the recovery in the PTL business has continued. It's grown from about 15% of total revenues in quarter 3 to 18% of revenues in quarter 4. It continues to be our fastest-growing business at this point.

The express business continues to be 63% of total revenues. We've seen robust volume growth, and we expect this to continue. The newer businesses, which is the truckload business, the supply chain services business, and the cross-border business, together have seen 6% to 8% growth quarter on quarter and form about 20% of our total revenues.

The bars on the right, on the top you see express parcel. Express parcel revenues between quarter 3 and quarter 4 have remained broadly flat, while shipment volumes have grown from 170 million to 180 million. Yield per parcel has dropped due to a change in two fundamental factors: the first is a change in mix away from heavier shipments towards lighter shipments. We typically see larger heavy volumes in quarter 3 as people are buying refrigerators, consumer durables, suitcases, and heavier items during the period. And the second is a reduction in average parcel weight across the entire network. So this is not due to a pricing change.

On the PTL business, revenues have grown from 277 crores in quarter 3 by about nearly 20% to 328 crores in quarter 4; and freight tonnage has increased from 258,000 tons of freight to 318,000 tons of freight in quarter 4. The truckload

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Page 5 business has grown 8% quarter on quarter from 102 crores of revenue to 110 crores of revenue approximately. And the supply chain services business has also grown 6% quarter on quarter from 178 crores to 188 crores of revenue.

The cross-border services business has declined 14% between quarter 3 and quarter 4, from 66 crores of revenue to 57 crores of revenue. However, it must be pointed out that this was influenced by two factors. Volumes have remained stable. Yields in the air freight business have declined by close to 20%, leading to a decline in revenue overall; and the ocean freight business was affected seasonally by the Chinese New Year.

At an adjusted EBITDA level, I'm pleased to report that the company has broken even in quarter 4. Quarter 1, of course, as you can see in the graph on the left, was affected by our integration with SpotOn where we had temporarily paused a certain amount of PTL volume. However, as volumes have returned to the network, you can see quarter on quarter a continuous improvement in margins, from negative 12.5% to negative 7%, to negative 3.7%, to now 0.3% as of quarter 4. And as volumes continue to come into the network as we continue to grow, we expect this trend to continue.

At a yearly level, for financial

2022, we had an adjusted EBITDA of 1%. For FY23, we will report an adjusted EBITDA of negative 5.6% for the year in sum. Here's a quick snapshot quarter by quarter of service EBITDA as well. Revenue, as I mentioned in the topline, has grown to 1,860 crores versus 2,072 crores in the same quarter last year and 1,746 crores in Q1. Service EBITDA margins for the business have improved from negative .3% in quarter 1 to 11%. We have seen sequential improvement across all four quarters of the year.

Corporate overheads have remained broadly stable, as we've guided earlier, at 200 crores, and as a percentage of revenue, have declined from 12.1% in quarter 1 to 10.7% in quarter 4. And we expect that as the business continues to grow that we will continue to see leverage on corporate overheads. This has led to an adjusted EBITDA, as discussed earlier, of net adjusted EBITDA of 6 crores for quarter 4 and an adjusted EBITDA margin of .3%.

If we look at the individual drivers of profitability on the next slide, quarter 3 fiscal '23 adjusted EBITDA was negative 67 crores. The incremental revenue in the transportation business, which includes both express and PTL, is approximately 29 crores from quarter 3 to quarter 4. The incremental gross profit in the transport business, however, is 41 crores. So I'm pleased to report that the incremental gross margin in the transportation business continues to be robust and over 50%, outside of which there have been continued efforts on cost optimization that have improved gross profits in quarter 4.

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Page 6 The first, as I've mentioned, is the opening up of our internal line-haul demand requirements and sourcing of market fleet through our Axle application. This has enabled fleet owners and brokers to bid competitively for our loads and has led to efficiencies in pricing. The second has been the continued rationalization of business with less profitable customers and the introduction of standardized rate cards, specifically for the SME retail and co-loader segments in PTL.

The third, obviously, is improved capacity utilization across the network with increase in loads. And the fourth is greater coverage and greater coverage through weight capture in both the parcel and the PTL businesses, thereby reducing revenue leakages.

There's also been a decrease in transport fixed costs between quarter 3 and quarter 4 of approximately 9 crores. This leads to a total increase in transport service EBITDA of about 50 crores. There's also been a 17 crores swing in service EBITDA of the non-transport businesses, though quarter 3 was impacted by a 12 crores provision that we had to make in the supply chain services business. And a decline in corporate overheads overall, since quarter three contains our Diwali bonus and incentive payments to staff.

The net result is an increase in quarter 4 FY23 of about 73 crores, leading to a net adjusted EBITDA in quarter 4 of 6 crores versus negative 67 crores for the previous quarter.

Here's a quick snapshot of individual cost elements. Overall freight handling and servicing cost, which is our principal cost, has declined on an absolute basis between quarter 3 and quarter 4, even as revenues grew. Total freight handling and servicing costs have reduced from 1,409 crores to 1,372 crores, thereby reducing from 77.4% of revenue to 73.8% of revenue. Line-haul expenses continue to improve as a percentage of revenue. They've dropped from 33.4% of revenue in quarter 3 to 33.1% of revenue in quarter 4.

We continue to see leverage in other costs as well, be it contractual manpower expenses, rent, security expenses, and losses and damages through the network. We expect this to continue as volumes grow.

Moving on. This is a quick snapshot of an adjusted EBITDA bridge. Total revenue, which is the third column highlighted in

red, is 1,860 crores. The total freight handling and servicing costs stands at 1,372 crores, employee benefit expenses at 357 crores, and other expenses of 117 crores, leading to an overall reported EBITDA of approximately negative 4 crores, or broadly breakeven for quarter 4.

Adding back share-based payment expenses, which are accounting expenses towards ESOPs already granted, that's a 73 crores add back, less the actual lease

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Page 7 rent that we've paid due to capitalization of leases, which is 64 crores, bridges the gap between reported EBITDA and adjusted EBITDA. Adjusted EBITDA therefore stands at 6 crores.

With that, that covers our earnings presentation. The broad summary is that we are very well set up for financial year '24. We've seen a robust recovery in the PTL business as expected. At the start of the year, we pointed out that we expected the SpotOn integration to be completed by quarter 4 and for it to begin reflecting in our economics by quarter 4. That has played out.

Over 27,000 customers continue to trust Delhivery with volumes in the parcel and the PTL businesses, and we expect these businesses to show robust growth going forward. Network service levels remain stable and best-in-class at approximately 93% in the PTL business; and we're looking forward to financial '24 with great optimism. Thank you. With that, we'd like to take questions.

Vijit: Hi, anyone who has a question, please raise your hands, and we'll take your questions. Thank you.

Sachin: Hey, this is Sachin Salgaonkar. Can you guys hear me?

Sahil: Go ahead, Sachin. I can hear you clearly.

Sachin: Sahil, congrats on a good set of numbers. Three questions. Firstly, would like to get your sense on the outlook for the express business. One gets a sense that given that most companies are focusing on their profitability, the shipments are slowing down. So clearly from a two to three year view, things should normalize, but how do you guys look for the next 9 to 12 months in terms of shipments, and any thoughts on yields as well?

Sahil: Sure. Do you want to go through all three questions, and then I can answer them all together?

Sachin: Okay, sure. Second question is on PTL. Clearly, we saw a good recovery. But when we look at the FY22 tonnage numbers of SpotOn plus Delhivery combined, it was close to, I think, 1,579,000 tons. So just wanted to understand the roadway towards that -- i.e., is it going to happen gradually, or could we see now a sharp improvement given that network service levels have materially improved? And last question, we clearly saw some articles about SHEIN coming into India. And, of course, we have seen ONDC picking up. So wanted to understand the opportunity for Delhivery from both these sides.

Sahil: Certainly. Thank you, Sachin, I think the third question is sort of linked to the first one almost. In the near term, the outlook for express, I think you're right that, and Delhivery Ltd
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Page 8 we've called this out before, that there will always be turbulence that individual players in the e-commerce market will face. However, as a category, I think we continue to be firm believers that e-commerce will continue to grow as sort of it becomes both — as it both replaces to some extent offline in some categories as new categories come online. I think that process continues in India. We don't see that abating. But as I've mentioned, I think individual players will likely face turbulence in this market.

I do want to point out that a slowing market and a market in which customers are focused on profitability is an extreme advantage for Delhivery. We are by far the most efficient player in this market, and we price that accordingly to our customers, and we'll continue to do so. And so an environment in which

our customers are counting their costs is one where they are more likely to shift more and more volume to Delhivery.

And as I've mentioned earlier, we do not face pricing pressure from customers, as you can see. Even at our yields, we continue — the express business continues to be highly profitable. So I view this as sort of as a positive. Turbulence is always a good thing for Delhivery overall. We've gained share even between quarter 3 and quarter 4; and I think we'll continue to gain share in this market. We also will continue to expand capacity, obviously. So even as we gain volumes, our ability to

service them, we don't expect to be diminished in any way next year.

In terms of SHEIN, I think it's an interesting announcement, Reliance bringing in SHEIN. They obviously were a fairly high-volume player the last time they were here. I think they significantly improved the sourcing capabilities as well for Reliance. In fact, I think Ajo has been one of the fastest-growing e-commerce platforms in the last 12 months; and I think this certainly bodes well for the market. Apart from which, I think category spending by any single large player always - it's like a high tide which lifts all boats. And so when SHEIN comes in and category spending hopefully comes in because of that, I think other e-commerce companies also stand to benefit.

On ONDC, I think we're integrated. We do service volume through ONDC. Volumes are sort of, at this point in time, quite small, but gradually picking up. I've discussed this before. I think we are quite positive, in general, about ONDC and the possible impact that it has, in terms of directly connecting sellers to buyers without intermediary marketplaces. However, I think there are a number of other issues that will need to be ironed out, which will take some time, which is how do you handle returns and refunds and so on. But broadly, if you ask me, I think both SHEIN and ONDC are positives for the industry.

In terms of PTL volumes, I think we've seen a sharp ramp-up between quarter 3 and quarter 4 already. We do continue to see robust volumes in the first quarter of Delhivery Ltd

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Page 9 this financial year as well. I think the market has now taken note of the fact that the integration issues that plagued us at the start of the last financial year are behind us; and our network service levels, in fact, are higher than they've ever been at any previous point in Delhivery's history.

Whether the uptick in volumes will be extremely sharp through this year or not, I think will depend, to some extent, on our own sales capabilities and our sales spread. And also, at the same time, we have to be careful to make sure that we maintain service levels where they are. So we have to make sure that it's well calibrated with our infra-buildout. So I guess the broad answer is that we'll see. We have seen a sharp uptick so far. We do see robust volumes. I don't see any reason for that trend to reverse. But exactly how long it will take to get back to 1.6 million tons, we'll have to see.

Sachin: Many thanks Sahil. Just one quick follow-up. We also saw a media article about - or rather your press release about your investment into omnichannel SaaS company, Vinculum. Just wanted to understand the rationale out there and any near-term benefits we could see on the back of it. Thanks.

Sahil: Certainly. Yes, we have acquired a minority position in a company called Vinculum. Vinculum provides order management solutions and warehouse management solutions to a number of companies in the consumer internet space, cutting across multiple categories. I think the area of interest for us, obviously, is a direct integration of the order management system with our own warehouse management systems that we offer to both people in the consumer internet space but also in sort of the

broader retail space.

So it opens up the ability for our customers to now use Vinculum's OMS and channel integrations to manage inventory across both online and offline seamlessly. The benefit to us obviously is, it's an enhanced value proposition for direct-to-consumer brands, which we will take to the market. And the second, obviously, is increased transportation volumes through this, our ability to offer differentiated transportation products, whether it is faster delivery, specific kinds of customized return services, for instance, or in the case of larger customers, helping them. As you remember, we had also acquired a company called Algorhythm. So combining Vinculum, Algorhythm, and Delhivery's capabilities, we can also enable smarter placement of inventory, better reordering, and so on. So that is our expectation of the Vinculum arrangement.

Sachin: Thank you Sahil.

Aditya: Hi Sahil, this is Aditya from Macquarie. I had a few questions. So the first one was in terms of your freight cost. So clearly, volumes have improved sequentially, but
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Page 10 freight costs, led by line haul, has come down. Can you help us put more context in this and the path forward?

Sahil: Aditya, I'm sorry, I lost you for just a bit. Would you mind just repeating that for me?

Aditya: No worries. The question was about the fact that you had improved volumes in this quarter, both PTL and express parcel, but clearly, your freight costs have come down and that's been led by low line-haul expenses. Could you provide a bit more context and color around this?

Sahil : Certainly. I think there are a couple of things that are at play here. One is the share of tractor-trailer movements in our overall ton-kilometer usages math has improved. This is something that we've been calling out for the last year or so. That as tractor-trailer penetration increases, our line-haul costs per unit continue to improve. And we'll expect this to continue through the next year as well.

The tractor-trailers are a significantly larger form factor than the traditional trucks that are used in the industry. They're significantly more efficient for us to use. So on a like-for-like basis, as an example, the tractor-trailers will be anywhere, at a bare minimum, from about 15% cheaper to all the way up to 30% on some routes. And so as the penetration of these vehicles increases, as more and more hubs become tractor-trailer capable, we will continue to see improvement in line haul.

The second is a competitive bidding process that we've brought in. As you're aware, we've been building our full truck load freight exchange for the last three or four years now. The idea, really, rather than building a supply-side marketplace, was first to make sure that we have enough full truckload demand and that we have and that we have vendors who are onboarded onto our various applications. So that was the first step that we've been executing so far.

Now that we have a large base of vendors and brokers and fleet partners who are on our applications, it was a natural step for us to take to introduce the bidding process onto that app, which we've done. And as soon as we've done that, there's been a competitive element to the pricing of these trucks, market vehicles that we use, both in intercity, line-haul movements, ad hoc, which form about 10% to 12% of our total movement, and also on intracity as well where we've begun more recently. And so that has led to pricing benefits for the company overall.

Aditya: Sahil, just as you scale your PTL business over the next couple of years, do you think that line haul as a proportion of revenues, we can further optimize this? Or do you think this is a level which is appropriate?

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Page 11 Sahil: No, I thi

nk we will continue to see improvement in line-haul costs. One, because we're still, I think, we still have some distance to go in terms of introduction of tractor-trailers. As overall volumes grow, one of the things that will happen, Aditya, is that hubs which so far have not needed to take tractor-trailers, will start taking them as well. And as an example, two or three of our fastest growing hubs off the top of my head in the last year have been, if I'm not mistaken, Nagpur, Chandigarh, Kanpur, Indore, all of which are starting to become big tractor-trailer hubs for us. And so, as more of the secondary hubs around the country become trailer feasible, we will continue to see improvement overall. That's one.

The second is we also have been experimenting with pilots with road -trains, essentially conjoined trailers, that significantly improves the total haulage on our tractor. That will give us some benefits as well. We're also exploring the option of electric vehicles, basically, alternative fuels in our intercity operations, which I think also will eventually lead to lower costs. But I can't put an exact number to it just yet because it really depends on what loads transact, where on what kinds of trucks. But I don't think we're at the end of the road yet in terms of optimization.

Aditya: And if I can just squeeze one more question, right? So this is more at industry level rather than it being specific to Delhivery. But a couple of years back, the general understanding was that from a volume perspective, that the mix is about say 60:40, roughly 60% captive, 40% third -party logistics. More recently, sense a shift in that mix more towards third -party logistics as you see more growth from your tight consumer brands or more from tier 2, tier 3. Do you think volumes are moving more towards the third-party industry in general?

Sahil: I mean that's not the only reason why volumes should move to the third -party industry. We are also cheaper and as good. So it makes sense over a period of time for volumes to move to the third -party industry. But I think you're right. One of the key factors is the growth outside of the two large marketplaces. And our expectation is that that will continue, because over a period of time as the consumer gets used to transacting on the internet and becomes more discerning, the whole point of the internet is that multiple small companies can now sell to these consumers. And as they do, it's much more efficient for them to work with third -party partners like ourselves, and we have a dominant market share. So it's a good move for us.

The second thing, obviously, I think at some point -- I've been vocal about this; we've spoken about this in the past -- self-logistics is more expensive, period. And so over a period of time, I do expect that as the marketplaces themselves have to take financial considerations into account and shareholder returns into account, you will continue to see more movement towards third -party logistics.

Aditya. Thanks, Sahil. That's very clear.

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Page 12 Vijit: Thank you. Operator, can we take the next question, please.

Mukesh: Yeah, hi, am I audible?

Sahil: Yeah, Mukesh, clearly.

Mukesh: Hi, Sahil. Congrats on the good numbers. Sahil, on the average realizations coming down to 65. You had called out that it's because of seasonality in the mix in terms of the weight of the cargo. Just looking at last, say, 10 quarters, this has been the lowest. Any other reasons for this, in terms of say is it a customer mix change or is there a pricing cut in the industry? Any of these reasons that you're seeing why it is coming down to 65?

Sahil: No, no, Mukesh, none whatsoever. There is no change in our pricing. We are not cutting pricing at this point. The change is largely a couple of things. One, as I had mentioned

, heavy typically goes up in quarter three quite significantly. So you see a lot of consumer durables. You see a lot of bigger items being shipped in e-commerce. And as a consequence of that when that salience comes down, so I think when we did the analysis, about 50% of the total drop in yield is coming nearly from the change in heavy. That's one.

The second is package sizes. Package weights also typically come down in quarter 4 versus quarter 3. So the average package -- I think package weight decline has accounted for about 28% of the difference in yield between quarter 3 and quarter 4. So between the heavy shift and the package weight coming down, 80% is explained by these two factors. And then there are minor factors. One of which is a minor

shift in client mix, but that is sort of an unpredictable thing. It changes quarter on quarter.

And the other also to some extent is some change in distance mix. Typically during the quarter 3 period, distances can be slightly longer than in quarter 4. And so the zone AB mix may go up a little bit in quarter 4, compared to quarter 3. But no pricing change. In general, I think our competitors, at least some of them, if I'm not mistaken, had announced price increases in quarter 3. The Delhivery stated position, obviously, is that we will not be announcing price increases in the express industry. At the yields that we make, we are profitable and our intention is to continue to save our customers money.

Mukesh: Understood, understood. And just in continuation I think sometime middle of last year you had mentioned that the e-commerce industry is slowing down, and you've seen that this year the growth is obviously just about 13%, 14%. Any range that you would like to call out for the coming year in terms of growth? Are you seeing any signs of growth coming back to a stronger trajectory? Any of those?

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Page 13 Sahil: Mukesh, I don't want to become the Cassandra of this industry, in general. But I must say that when I said that three quarters ago, it was generally met with widespread disbelief, but overall it looks like that was sort of the forecast for the industry.

As I had mentioned, Mukesh, I think it's quite public now, even the private players have started — their volumes have now become public in The Economic Times and so on. I think individual players will continue to see headwinds through the year because they have to fundamentally rearchitect some portions of their business. And I think ultimately that will cause a drag on the sector to some extent.

But I think if you look at the news on SHEIN, for instance, I think that is going to drive growth in the market next year. As I had mentioned, Ajio actually has been a pleasant surprise in terms of the rate of growth they saw last year. I think that will continue. Reliance has very clearly said they will be aggressive participants in e-commerce. I think what you're seeing is a shift or rather a shakeup at the top, which will drive growth. My own estimation hasn't changed. I expect e-commerce to continue to grow between 15% and 20% year on year.

Mukesh: Okay, right. Thanks for that. I'll get back in the queue.

Vijit: Operator, can we take the next question from Sohan Joshi please? Sohan, you can go ahead, please.

Sohan: Am I audible, Sahil? Am I audible?

Sahil: Yeah, Sohan. Please go ahead.

Sahil: Yeah. Congratulations, Sahil, for these numbers. Just two questions. This improvement in adjusted EBITDA is on account of PTL volumes going up, hence there was an improvement in mid-mile utilization because we have most of the cost, fixed cost concentrated at the mid-mile. So can we draw a suitable assumption that even if express parcel see a decline in revenue in current year, maybe they're funding winter situation of a thing or slowdown in consumer spend? We may

still

see the continuous improvement at the adjusted EBITDA levels. And what are your estimates for adjusted EBITDA levels for this current year '24?

Sahil: Sure. Sohan, in the interest of not making forward-looking statements, I won't provide an estimate for what adjusted EBITDA will look like for this financial year. But I think if you look at our business, and we've said this before, it is a business that's easy to understand and model out the sequential improvement. And our adjusted EBITDA has been driven by incremental gross margins being quite high. In general, our capacity utilization levels, there is still room for them to grow

through this financial year. So I think we'll continue to see improvement.

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To your earlier question, I think two things. One is, yes, as PTL volumes grow, we will continue to see sequential improvement in adjusted EBITDA. There's no doubt that that will continue. Also, the faster the PTL business grows, the easier it becomes for us to induct, or rather the more feasible it becomes for us to induct more tractor-trailers and to increase the haulage capacity of our trucks. And so the PTL business has that pleasant side effect as it grows.

In terms of the express business, I think even if the market slows down, I should point out that, as I mentioned earlier, we will gain share in these periods. In fact, a slowing market is worse for our competitors by far because we are the most efficient player in this space; and we will defend market share as we need to, overall. So, I don't think a slowing market is going to affect our adjusted EBITDA in any way.

As I had mentioned in the start of the year when we did the SpotOn integration, and there were multiple questions around growth, I had mentioned at the time that the company's primary focus was not getting the growth tap on, but really was making sure the margins were intact. Because there's no point driving fast if you don't know where you're going. So in our case, now we have four sequential quarters of margin improvement. I think it's quite clear as to how the margin improvement will continue. And now turning on the growth tap for us is not going to be very hard.

Sohan: My second question is regarding your capex spend. Now in your press release, you have said that you're going to go aggressive for the capacity expansion, but then even our peers are going for aggressive capacity expansion, like say, Mahindra Logistics starting a new facility, VRL ordering more trucks, TCI is starting a new supply chain service lab. So are we going to keep our capex plan targeted level at 6%? I think we were supposed to keep our capex plan targeted at 6% and then gradually go to bring down at 5% and so on. So are we going to reach that thing, our peers are also making an aggressive investment in capacity expansion. What is your sense? Can you throw some color on that?

Sahil: Sure. I think we will continue with our capex investment plans exactly as we've mentioned in the past. So you're right, we will stay at this -- in this financial year I think we will stay between 6% to 7% of revenue overall, in terms of capex spend. Our competitors -- also we have competitors, with due respect, say that they will aggressively expand capacity, I think each of the participants in this industry has a different definition for the word aggressive.

Our plans remain unaffected by what competitors choose to do, and especially in the PTL space. For example, the market -- the big move in the market is not competition between Delhivery and Mahindra Logistics. The big move is the change from sort of the fragmented, unorganized market to the organized market.

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Page 15 And so there's room enough for all of us to build capacity and to service our customers.

rs. So our capex plans will remain exactly what they are. But if your question is, are we going to accelerate capex plans because Mahindra Logistics and TCI are aggressive, the answer is no. What they do has no bearing on our strategy.

Sohan: That's it from my side. Thanks a lot, thanks Sahil.

Vijit: Hi, can we take the next question from Gaurav Rateria, please. Gaurav, please go ahead.

Gaurav: Am I audible?

Vijit: Yeah, Gaurav, you're audible.

Gaurav: Thank you for taking my question. So I have couple of questions. First, would it be possible to quantify the impact on the PTL volume and revenues due to churning out of the less profitable customers in fiscal '23? And could this be a tailwind to revenue in fiscal '24?

Sahil: Sure. Do you want to go through all your questions or should I go one by one?

Gaurav: Yeah, my second question is the yield reduction that you talked about appears to be more like a seasonal phenomena. However, it is not visible in the Q-on-Q trends in the last year, 4th quarter. So is this something which is more than seasonal and any structural change going on in terms of pattern of demand across different segment which is driving this weight reduction? And third question is, rough math indicates that the adjusted EBITDA for the transportation business could be in high-single digits for the quarter. Is this understanding correct without giving any numbers? And how to understand what would have been the total ROCE for this business and what it could become over the next two, three years? Thank you.

Sahil: Sure. Thanks Gaurav, let me start with the PTL volume question. Yes, the recovery between 318,000 tons of freight that we did for the quarter. So let's say on average, whatever, let's say 110,000 tons, 108,000 tons of freight per month compared to, let's say 140,000 tons of freight on average that we were doing quarter 4 last year. The gap is about 32,000 tons a month. My sense, though I don't have the exact numbers, off the top of my head, my sense is that nearly about a third of that at least would be customers that we have voluntarily churned through the year, and business that we've jettisoned, either because it didn't fit our vision for what the PTL business should be.

So it was either a form factor or a shape or a lane that we didn't wish to service or at a margin that we didn't wish to service. So is that going to be a big tailwind for the next year? I think it certainly is. But as I had mentioned, we do continue to
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Page 16 evaluate all of our contracts. We do continue to evaluate customers on an ongoing basis. I think Delhivery and SpotOn had slightly different ways of doing business and now that's been consolidated. So as we do that, I think there will still be some customers where we are renegotiating.

But the good thing, of course, is with service levels being at 93%, losses and damages being at less than .05% with best-in-class service quality and highest network speed, the negotiations obviously at this point are much easier than they were in quarter 2 of last year. So I do think there's a significant tailwind in the PTL business.

In terms of your yield question, last year's quarter 4 numbers, that's also why we keep calling out Shopee and taking it out, because I think Shopee was a big distortionary factor in quarter 3 and quarter 4 of last year. Because among other things, they were shipping extremely small packages and in high volumes across the country. So I think that's partly why you don't see the change between quarter 3 and quarter 4 in the last financial year. In the last financial year, those two quarters, numbers are contaminated by Shopee. Otherwise, this seasonal trend that you see, as we look through our data over the last 11 years, it's fairly common to see this change from quarter 3 to quarter 4

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The last bit is on adjusted EBITDA for the transport business. I can't provide specific numbers because we don't do segmental reporting. But yes, you would be correct that the transportation business is significantly profitable, which is quite obvious, because those are the businesses that have -- the PTL and express businesses are the businesses that have grown this year, and obviously, the incremental gross margin comes from there. And broadly, I mean you can see that fixed costs have broadly either remained stable or come down.

In terms of the return on capital, our expectation for every business that we run is

that it meets an ROCE hurdle of 30%, and the transportation business has comfortably reached that.

Gaurav: Super useful. Thanks a lot Sahil. At some point in time, it will be great to have some color on segmental breakup on EBITDA or ROCE, just to understand like what stage different businesses are in right now. Thank you.

Sahil: Certainly. Thank you.

Vijit: Thanks. Can we take the next question from Alok Deora, please? Alok, please go ahead.

Alok: Hi, good evening. Congrats on good numbers. So just actually one question I had. So we have seen Amazon increasing capacity and Blue Dart also inducting new planes. So just wanted some color, how do you see this? Is it because there has been

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Page 17 a sharp improvement in the outlook or is it specific to certain segments like e-commerce, for example, where we are seeing a very strong demand outlook, which is why these players are adding capacity? And also one more thing is, how does Amazon adding capacity impacts us?

Sahil: Certainly, I think Amazon adding or not adding capacity makes no difference to anybody other than Amazon. So it's quite irrelevant as far as Delhivery is concerned. Obviously, the self-logistics arms at various points have flirted with the idea of externalizing their services; but unfortunately, strategy is easier to conceptualize than to execute. And I don't think their expanding capacity is going to make any significant difference to the market.

Obviously, if they are expanding capacity because they expect their volumes to go up, I would view that as a big net positive for the industry as a whole. Because if Amazon's volumes are to go up, that means increased spend on the category, that has to mean increased spend which will drive consumers to come into other online businesses as well. So in some senses, I guess the answer is it doesn't really matter.

As far as Blue Dart goes, again, I'm not entirely sure what their outlook and why they brought the planes in; but I'm sure it is to drive growth in their core aviation business, which has limited impact on ecommerce because it costs 50 rupees a kg at the bare minimum to ship on an aircraft, not counting the costs of pickup and delivery which are also significant. And so aviation is simply not a preferred mode of transport for packages that, on average, cost 500 rupees. So I'm guessing that they're seeing this because of increased manufacturing output and are likely going to use the planes for that.

Apart from which, I think they've also begun to fly sorties into Southeast Asia and the Middle East, but again, I'm not super familiar with their strategic rationale. What I can tell you is that bringing in more planes is unlikely to change the e-commerce landscape in any way.

Alok: Sure. And just also wanted to understand, so if you look at these two segments, like e-commerce and the B2B, so in SpotOn when we have this integration hiccup during the first quarter, so some of the customers had gone to other players. So are we seeing them coming back or just some light on that?

Sahil: Sure. The short answer, of course, is yes, we are seeing them coming back. Customers are not unused to the idea of switching networks in the event

that there

is a temporary disruption in any one network. Because the reality is -- I speak not just for Delhivery here -- for any network this is a possibility. There could be a variety of different reasons why somebody's network in a specific lane or an IT system or a bunch of trucks or a hub is incapacitated for some reason, and so customers are amenable to that.

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Page 18 So we have seen customers return. As I mentioned, you've seen a 23%, 23.4% increase in volumes in PTL between quarter 3 and quarter 4. Whatever the number might be, I'm sure the industry has not grown 23.4% between quarter 3 and quarter 4, so we've gained share. That share, obviously, to some extent has meant customers shifting volumes from other providers back to Delhivery.

I think from our standpoint, the way we look at it is at 93% service levels with an average delivery time of 4.3 days across the entire country and less than 0.05% short and damaged deliveries, that's a best-in-class service. And so customers really have no reason to not be working with Delhivery. So we do continue to see both increased share of wallet from customers, new customers coming in who've never worked with us before, and recovery of accounts that had temporarily paused during the integration.

Alok: Just one last question. So I'm not asking anything like a forward-looking in that sense from the company side, but what growth at the industry level we could look at for the B2B segment as well as for the B2C segment? Because I believe that in last couple of quarters the outlook has changed because we have seen some slowdown in some specific areas. So if you were to look at FY 24 and '25, what kind of growth outlook could be there for the industry in these two verticals?

Sahil: Sure. I think if you look at e-commerce in general, while any individual year may go up and down for a variety of different reasons, broadly, if you work your way backwards from what percentage of consumption do you expect e-commerce to be, let's say, five years out and work backwards, an annualized growth rate of between sort of 18 and 25% odd seems broadly par for the course. I think that seems appropriate.

From our standpoint, I think it's quite simple. As the market leader with the cost advantage that we have, our minimum expectation will be to grow at market rates, if not gain share. But, of course, as I've mentioned, our competitive advantages grow larger the larger we get; and so potentially we will grow faster than the market as well in some years.

In terms of the B2B industry, I think growth rate in PTL is driven by a shift from FTL to PTL to some extent, that's one. The second, obviously, growth comes as people are shifting away sort of from -- in our case, the organized space comes from the shift from unorganized and fragmented players to organized players. Generally, it's a sort of a GDP plus-plus kind of growth rate. Our expectation for the PTL business obviously, we've grown 23% in the last quarter, Delhivery standalone was growing anywhere between 60 and 100% a year. SpotOn standalone was growing anywhere between 15 and 30% a year. I think in the near term, as the industry organizes, our expectation will be to grow in mid to high double digits.

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Page 19 Vijit: Thank you. Can we take the next question from Abhijit Mitra, please. And just a reminder to participants, please limit yourself to two questions only. Abhijit, please go ahead.

Abhijit: Yeah, thanks for taking my question. I hope I'm audible.

Sahil: Ye, you are, Abhijit. Please go ahead.

Abhijit: Yeah, I might have missed this point earlier, but the drop in PTL realization is almost 4% Q-on-Q. I mean what are the factors behind that? Because I see some of the other peers also reporting 4, 5% s

equential drop. So is it because the raw material or the ingredient costs have not reduced for the industry, per se? So how to look at this reduction?

Sahil: It's in our case -- I mean I have no idea, I can't speak to our competitors' businesses

or our peers -- but at least in our case, it's largely mix shift. We have four major segments in our PTL business. Which is one is major accounts, which is essentially enterprise accounts; the second is SMEs; the third is retail; and the fourth is aggregators. So as the mix across these four shifts, and at period of high growth the mix will be slightly volatile, there are changes in yield. So in this quarter it happens to have reduced by 4%, that's one.

The second, obviously, is that lane mix also makes a little bit of difference. So in a specific quarter, if for instance you are transacting slightly lower distances because of the kinds of loads you're doing, there's a possibility for the yields to come down. But there's nothing structural. I don't think either -- I don't think any of our competitors has announced in the PTL space any pricing moves. We certainly haven't. Customers aren't asking for it. So it's really just mix.

Abhijit: Got it, got it. That's helpful. The second question is, regarding your unbilled receivables, again, this is the guess by looking at your other financial assets -- it seems to have gone up significantly. And if I add, again, estimated number of unbilled receivables and receivables, the days as a percent -- as the ratio of sales seems to have jumped a lot in this year. How to look at that?

Sahil: Sure. Amit? CFO is on the call.

Amit: This has basically increased because in the last quarter of this year, actually second half of this year, we started integrating the SpotOn's billing system with Delhivery's billing system. Prior to this, both companies had their own billing system. And Delhivery's billing system was not a fully automated billing system, but it is now close to the final stage.

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Page 20 So because of this and couple of remaining modules that are to be built out, we had this extended billing cycle but it took a longer period than we would like. We expect to see a significant improvement in our unbilled days and the collections days both over next two quarters.

Abhijit: Got it. I have other questions. I'll come back in the queue. Thanks.

Vijit: Thank you. Can we take the next question from Alok Deshpande, please? Alok, please go ahead.

Alok: Yeah. Sahil, two questions. First, again, sorry to come back on this question on the yield. But given the fact that you have given the numbers for Shopee for last Q4 also, wasn't the decline in Q4 last year much, much lower in the sense that it was just 3 or 4% for vis-a-vis 7, 8% fall Q-on-Q this year? And will this 65 now, how do we see this going? As we go into Q1, Q2, does it usually bounce back in Q1 and Q2 compared to Q4? That is my first question.

And second question is, see after Q1 when we reorganized the entire SpotOn acquisition, we had Q2, Q3, and Q4 where the benefits of the volumes kicked in and that flowed directly to the adjusted EBITDA. Now is the pace of that slowing down and now going forward in Q1 and Q2 or Q3, I mean will we see the normal operating leverage or the normal pace of operating leverage kicking in?

Sahil: Sure. Both good questions. The first one on yield, look, unless there is any need to make pricing interventions with any customer, which we don't foresee, I don't think there will be any structural shift in yield. One difference between the last financial year and this one is that we've actually gained share in the heavy segment within e-commerce. And so the salience of heavy was larger in Q3, I would say, in this financial year than it was in the previous quarters. Which is why the drop also looks

larger between Q3/Q4 this year than it was last time because we gained a significant amount of share in this sector. It's a capability that is, in some ways, unique to Delhivery, outside of which there's obviously a mix shift between quarter 3 and quarter 4.

More importantly, I think on yield, looking at the aggregate yield, obviously, as simply revenue divided by volume, without the impact of mix, is a bit misleading. What's important and the statement that I'd make is to say that we don't anticipate any sort of significant structural differences on pricing. That said, obviously, as volumes grow as we hit our target gross margin levels with every customer, we evaluate pricing at a customer level, intend to pass those benefits on. But at no point in time are we going to see any change in margins, irrespective of what happens to yield.

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Page 21 So Q1/Q2 short answer, I don't think there's anything structurally that will change. I think the yields will remain where they are. Little bit of it will depend on how the heavy volumes grow in this period.

To your second question which was around PTL, that's actually a very good question. Incremental gross margins actually have showed no sign of slowing down in quarter 4. To be perfectly honest, when we started inducting the tractor - trailers, we had an underlying assumption of how fast we would be able to induct them and how fast hubs would become tractor capable. I'll be honest, we've been pleasantly surprised at the pace at which the tractor -trailers have been inducted and have made a difference.

Our expectation really in the beginning was that we would start seeing some return to a relatively more normal incremental gross margin compared to what we're seeing. But it looks like we still have headroom. So it's difficult to model out because it depends on where the volumes are coming from, where they're going, what transshipment points they're moving through, but at least at this point in time, it does look like the overall incremental gross margin trend is going to continue for the next couple of quarters.

Alok: Sure. Sahil, just one last question on, you give out service EBITDA margin levels at overall level, and I understand that you don't give it on a segmental basis. But just to get some sense, is there any difference of service EBITDA margins that you give between express parcel and PTL just to understand the gap between the 2?

Sahil: We don't declare these at this point. We are evaluating, and at some point I think we'll start providing more color around segmental margins. But at this point we don't. There is a difference between, at this point in time, given the relative volume scale, I think there is a difference in the service EBITDA margins between the express and the PTL business. The express business obviously has significantly higher service EBITDA margins than the PTL business right now.

But over a period of time, these are both fundamentally consolidation, deconsolidation businesses. And one of our advantages, of course, is that we run a fully -integrated network. And so the fully integrated network should deliver in the long term the same EBITDA profile, super normal EBITDA profile in both businesses.

Alok: Sure. Thanks. Very helpful .

Vijit: Thanks. Can we take the next question from Pulkit Patni, please. Pulkit, can you please go ahead?

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Page 22 Pulkit: Thank you for taking my question. Two questions. First is, when I look at your adjusted EBITDA calculation, for a revenue in the range of between 1,800 crores and 2,000 crores, your corporate overheads have been in the 200 crores range. Is there a number for revenue that you can do with similar cost overheads? Any rough sense of that you can give us? Question #1.

Sahil: Su

re. On corporate overheads, I think they are currently at about 10.7% of revenue. As I mentioned, in the long term, we expect corporate overheads to settle somewhere between the 3.5 and 4.5% of revenue kind of range and maybe up to a 5% sort of revenue kind of range. So we expect that this corporate overhead cost will continue to decline from this point.

The 10.7% at this point, of course, is slightly overstated because we're at 1,860 crores versus the 2,000 crores of revenue that we did last year. We didn't feel the need to make any structural changes in corporate overhead for one financial year while we were integrating. But if your question is are we expecting a sharp uptick in corporate overheads through this financial year as revenues grow, the short answer is no.

Pulkit: Understood. Yeah, that was my question. That's helpful. My second question is if you could just give a sense of what our market share is. While we understand you are the largest, but just some numbers would be helpful.

Sahil: This isn't unfortunately tracked by any reliable third-party agency. And obviously I have a vested interest to provide some thoughts. So I'll refrain from doing that because this is one of those cases where maybe even if I say it, you probably shouldn't believe it.

But look, I think we are the market leader in this space among the third-party logistics companies by a stretch. I think easiest way is for you to just maybe order 100 packages online and see how many of them come through Delhivery. And in terms of the self-logistics arms, I think Ekart is perhaps slightly larger than us in terms of overall volumes, but not significantly so. So my sense is between the top three players in this space, which are the two self-logistics arms and Delhivery, we will probably form somewhere between, I don't know, maybe about 75% to 80% of the market.

Pulkit: Got it. That's very useful. Thank you.

Vijit: Thank you. Can we take the next question from Sachin Dixit, please? Sachin, please go ahead.

Sachin: Yeah. Can you hear me now?

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Page 23 Sahil: Yes, Sachin.

Sachin: Hi Sahil, great quarter. I had a question regarding the ESOP expense. So roughly 2 million odd ESOPs were issued in May. And now this has obviously picked up over what we have seen over the last year or so. Can you detail a bit about like who are these granted to, what's the reason for such a large grant?

Sahil: The grant that we make in May is part of our annual performance cycle. It's in line with our overall compensation philosophy. So we've concluded our annual performance cycle at the end of March. And this essentially covers all employees across the organization who are eligible, who meet a certain performance rating and who we feel it's important for us to retain. So it's just a part of our overall retention policy. I think we've issued 1.99 million stock options as part of this cycle, which is in keeping with our historical trends as well. And, in case there's anything you'd like to add.

Amit: Yeah, I'd just like to add, Sahil, we are very comfortably placed with the guidance that we have given that this pool is sufficient for us to last for six years. At current rate of consumption, it will last far more than six, seven years.

Sachin: Understood. The other question is on the depreciation expense. We are noting that to go up as well. Can you explain what's the reason for that?

Amit: So majority of our capex in an annual cycle comes live into 2nd quarter of the year, and you'll typically see the 3rd and the 4th quarters where all of the depreciation in the first year being live there and that depreciation is high in the first year because of the WDV method. So it's a combination of WDV method for depreciation coupled with the depreciation going live by September, sorry, capex going live by September, typically. So second half of the fiscal year is a higher depreciation period.

Sachin: So we should expect this trend to last year over year.

Amit: This is a typical trend. Because first half of the year is the very stable period to typically build capacity before the peak season hits.

Sachin: Understood, thanks. Those are the questions.

Vijit: Can we take the next question from Ankit Agarwal(?), please? Ankit, please go ahead. Ankit, can you hear us?

Ankit: Hi. Can you guys hear me?

Sahil: Yeah, Ankit.
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Ankit: Yeah. Again, wanted to go back to the depreciation question. I just wanted to check, was there any impact of higher number of Volvo trucks being introduced in our fleet this year. Has that led to increasing depreciation cost this year, or this quarter particularly?

Amit: Yes. I mean there is nothing abnormal in the 4th quarter; but there is a constant number of Volvos getting added into our network. I think over last year we have added about 150 odd Volvos into our business, into the company and another about 150 through vendors. The vendors who are on a wet lease model while the company-owned Volvos are on company's books. So 150 of them were inducted in a gradual manner, about 20, 25 per month throughout the year.

Ankit: Got it, but just a follow up on that one. Given that we are gradually moving from an asset-like model to owning more of trucks, so do you think EBIT rather than EBITDA, probably EBITDA reduced by depreciation would be a better metric to look at to gauge profitability of the business going forward?

Amit: I mean the absolute purpose of the business is to generate free cashflows. And so PAT and free cashflow are the right metrics for us to look at. But we are also in a significant growth and investment phase because of which looking at adjusted EBITDA is the metric or EBITDA is the metric. But sure, we do report EBIT and PBT numbers as well.

Ankit: Got it. Thanks. That's all from my side. Thanks.

Vijit: Can we take the next question from Sai(?), please. Sai, please go ahead.

Sai: Yeah, can you hear me, Sahil?

Sahil: Yeah, Sai.

Sai: Yeah. Firstly, congratulations on the results. I would like to ask two questions for you. Firstly, what are the key learnings for you over the past year of ups and downs that can be implemented to make Delhivery a stronger company in the future? And secondly, with both Amazon and Flipkart having started their 3PL operations, how is Delhivery thinking through this risk of this entity scaling up their operations over time?

Sahil: Sure, yeah, a good question. The first one I think the first big learning for us obviously is ultimately with the integration of SpotOn was really that even though we thought we had everything ticked and done, our systems were integrated; customers had been onboarded; contracts had been done appropriately; pricing had
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Page 25 been appropriately done. I think at the end of the day, our training systems needed more work.

I think so going forward, were we to be acquisitive again in the future, I think we're going to be more careful in terms of the acquisition period and the post-merger integration process. I think there are some very good learnings in terms of how to project manage that better. That's one.

The second I think that has come up, especially over the last 12 to 18 months, is as we've dealt with the world, which is increasingly volatile, both in terms of volumes fluctuating up and down, individual players in the market sometimes going boom or bust, and apart from which fundamentally also operating as a logistics company in a changing -weather environment, I think we're also, for instance, learning how to manage risk in our network much better.

So key learning has been as we are building these larger pieces of infrastructure to really think through a larger variety of risks and making sure that the company is risk proof. And I think that's starting to reflect to some extent in the service levels overall. And so these are one – I mean look, it's an operations business, right? You learn something new every day in an operations business.

But if I were to say what are the two big chunky things that we've learned this year, I'd say these are the two. So I think we've improved our M&A muscle significantly, even though we've gone through a painful period in the 1st quarter. And the second is I think we're learning how to take more balanced decisions with risk in mind.

Your second question on Amazon and Flipkart, I think every quarter this does come up, and it's come up from the day we started this business in 2011. What happens if self-logistics does whatever people think it's going to do. But the short answer to that is I don't think self-logistics companies can be externalized as easily. This sounds great on paper. It's an entirely different thing to execute, because self-logistics arms by their very name, they are self-logistics, they are designed to service internal needs. They are designed to service warehouses which run a specific way, customers who have interacted with the brand in a certain way. They're not designed for these purposes.

Not every hub, irrespective of the fact that it might handle packages, operates exactly the same way. It takes a very different kind of system to be able to service on a daily basis 27,000 different kinds of customers with different size warehouses; different processes; different technical systems; different customer expectations; different package sizes; different return policies; different peaks and troughs in their businesses.

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Page 26 So I think the idea that self-logistics can be successfully externalized is one that seems to have infected the consumer internet world across geographies, including India. But if you ask me, there, frankly, is very limited evidence from anywhere on the planet that this actually is a good idea. So in some senses, what Amazon and Flipkart do in terms of externalizing is of no consequence to Delhivery.

Vijit: The next question is from the line of Anshul Agrawal. Anshul, please go ahead. Anshul, can you hear us? Please go ahead.

Anshul: I'm so sorry. I was muted. So am I audible now?

Vijit: Yeah, Anshul, please go ahead.

Sahil: Yeah, Anshul, please go.

Anshul: Sure. Thank you for the opportunity Sahil. How do we judge the utilization levels of our PTL network? And at what juncture do we decide to expand, invest in strengthening or expanding our network? That was my first question.

Sahil: Sure. Utilization across the network, it's a slightly complex beast. One is obviously there is infrastructure utilization. So there are the pickup and delivery stations which are the freight service centers where utilization is essentially how many tons you can move through the location per hour or per minute or per person and so on. Then there is obviously the trucks where utilization is measured to, essentially the combined utilization is on a ton-kilometer basis. So it's a combination of how much you fill up the truck, billable weight versus carrying capacity and also distance utilization.

And then for the hubs, obviously, again, it's a throughput utilization measure. Various parts of our network have various degrees of utilization, as you can imagine. So an aggregate utilization in some senses is a little bit of a meaningless construct because it really depends on each of the individual hubs.

Also it depends on the lifecycle of the hub. So hub which has been around much longer, obviously, would be significantly more utilized

than a hub which has just been expanded. So to give you an example, we just consolidated two of our facilities in Indore into a single facility; and single facility's utilization is at a percentage basis slightly lower than the utilization of the two individual facilities. But it's higher overall capacity, so it's handling more tonnage.

Usually capacity utilizations in the trucking network, unless it's a very sparse lane, will range in the 60% to the 100% sort of level. We do have trucks, of course, which are over 100% utilized, because essentially we are matching loads very well in those trucks. And at the hub level, usually utilizations will vary somewhere between

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Page 27 sort of 80% all the way up to a little over 100% in some hubs. Our decision to expand a hub will usually come when we see a sustained period of near 100% utilization of the hub's theoretical capacity.

I do want to point one thing out, though, very clearly, Anshul, which is as the business has grown, our ability to engineer higher productivity out of our hubs has also significantly improved. So even today, for example, we have hubs which have the ability to do six tons per person per day, and at the same time, we have smaller hubs which may be at 3.5 tons per person per day. And so the first step will be really to take that 3.5 up to 6.

Also, as we introduce more robotics, as our systems become better, the throughput that we are extracting out of our existing hubs is also going up. So to some extent, we are sort of -- there's no other way to say it -- we're really inventing this also as we go along. And as that happens, I think capacity utilization, the definition itself is changing for us. For example, today the capacity utilizations that we see -- to be perfectly frank, if you would ask me this question five years ago, I'm not sure I would have said that these were even possible. So I really don't have a very good answer for how much more it can increase. It depends on the kinds of automation and the kinds of technology systems we build.

Anshul: Thank you. I have another question. Can I go ahead?

Vijit: Yeah, please go ahead.

Anshul: So quickly, so Sahil, considering our trucks are running almost 25,000 kilometers per month, almost 20 hours a day, is there any scope of us improving our asset turns

in the mid-mile or basically trying to understand do we have any other revenue-driven margin levers? I understand cost efficiency that we bring in. But apart from that, do we have any other revenue-driven margin levers?

Sahil: I'm not sure I fully understand the question. When you say revenue-driven margin improvement, do you mean in terms of increasing pricing?

Anshul: Not exactly. So basically, if we improve our asset turns right in any business, if you increase your asset turns, etcetera, you utilize your assets better, that would significantly give you a jump up in margins that's revenue driven. So probably to sum it up, basically, do we see asset turns improving from the current levels?

Sahil: It's a good question. I'm just trying to think through it. We have seen improvement, obviously, already. But, again, I'm not 100% sure that I'd like to make a statement on that. We have seen improvement in asset turns, yes. Will it continue to improve? Yes. But is it a predictable sort of improvement in asset turns? I'm not really -- I don't think I'll comment on that just yet.

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Anshul: Okay. Just one more if I can squeeze in. What are the typical investments/capex that are required to set up a gateway or sortation center?

Amit: So Anshul, the typical set of things that go into a mega gateway are a parcel sortation system. These parcel sortation systems are typically now cross-belt sorters ranging from

speed of about 15,000 packages per hour to 50,000 packages per hour.

And then these are coupled with bag sortation systems, which can sort another 8,000 to 10,000 bags or boxes per hour. We invest in, we don't buy any land building. All of that is leased from the owner of the property. And we do all of the designing of the facility, including automation, furniture, fixture, electrification, and IT enablement of the facility.

Vijit: Thank you. And can we please take the next question from Sneha. Sneha, please go ahead.

Sneha: Yeah. Can you hear me?

Sahil: Yes, Sneha. Please go ahead.

Sneha: Yeah. So just one question from my side. Considering we have been talking about Ajio's growth in recent periods, do we have any updated stats on what customer concentration for our business now looks like?

Sahil: We do. Our top five customers at the time that we listed, formed, if I'm not mistaken, about 44% of our revenue. And as of this quarter, I think that number is less than 40%.

Sneha: Sure. Thanks. That helps. Thank you.

Sahil: I do want to point one thing out though, however, Sneha. I know I called it out before, but I will call it out again, which is that also that customer concentration is also because customers buy multiple services from us. So service time customer concentration is lower, because a single customer may buy PTL and express and supply chain services and so on. So just at an account level, the name account level.

Sneha: Got it. Thank you.

Vijit: Thank you, Sahil. We have time for one last question I guess and that's going to be me. Sahil, my question -- most of my questions were answered, but in general, when you talked about capex plans this year of 6% to 7%, I'm just curious, given what you've called out on growth. And growth in the current fiscal year was also not that very high for the industry. How would you split that capex between what you do
Delhivery Ltd

Page 29 on automation side between Volvo installations and between new locations? Is a bulk of this capex still going to be Volvo in FY24?

Amit: So Vijit, about one-fourth to one-third capex could be in Volvos and trailers. We buy trailers for sure. Buying of Volvos is between us and our partners, but that could be somewhere between one-fourth and one-third of the total capex that we plan to do. About 10% - odd of it would be – 10 to 15% would be in supply chain services business, and out of the remaining bit, about half of it would be attributable to automation, and remaining half to IT equipments and all of the other furniture fixture enablement inside the facility.

Vijit: Got it. So, Amit, these will be still inside existing facilities or new facilities is included?

Amit: These would be including the new facilities. So as we have announced that there is a Bhiwandi mega-facility which will go live this year hopefully sometime in late August or sometime in November. That plus Bangalore mega-facility, which is expected to come in March of 2024. So what will happen is that, for example, in Bhiwandi, we'll be consolidating three of our facilities under one roof. The net area we don't expect to increase by much. But because it's larger facility, there will be new set of automation and the same set of automation will be repurposed into another part of the country.

Vijit: Got it, thanks Amit. Those were my questions. Thank you so much, everyone, for joining this call. I'll hand it back to Sahil for any closing remarks and then we'll close the session.

Sahil: Thank you, Vijit. Thank you to the Citi team for hosting us, and thank you all for joining today's call. I think the summary is it remains the same. I think we've had another good quarter. Our focus was really sequential margin improvement that has continued. And we've consolidated our position in our two core businesses, which is the express parcel business and the PTL business.

Our focus in the next year is going to be to continue to expand thoughtfully, to continue to maintain our service levels at best-in-class levels, and continue to drive improvements in unit economics. And where possible and where necessary, pass those benefits on to customers and keep improving our profitability. I think we're well set for the next financial year. And so far, it's been a good start to the financial year. So hopefully, that will continue. Thank you. Thank you all for joining.

Vijit: Thank you.

Amit: Thank you, everyone.

Delhivery Ltd
Q4 FY23 Earnings Call - Hosted by Citi
May 21, 2023

Page 30 END

Call: Aug 2023

Date: August 11, 2023
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
India

Scrip Code: 543529 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
India

Symbol: DELHIVERY

Sub: Transcript of Earnings Call pertaining to the Unaudited Financial Results for the quarter ended June 30, 2023

Dear Sir,

This is in continuation to our earlier letter dated August 06, 2023, regarding audio/video recording of the Earnings Conference Call held on August 05, 2023 at 04:00 P.M. (IST) on the performance of the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended June 30, 2023.

Please find attached herewith the transcript of the above investor and analyst call.

The same is also available on the website of the Company at <https://www.delhivery.com/investor-relations/>.

You are requested to take the same on your record.

Thank you.

Yours sincerely,

For Delhivery Limited

Vivek Kumar
Company Secretary & Compliance Officer
Membership No: A 20938
Place: Gurugram

Encl: As above

DELHIUErY



Delhivery Limited
Corporate Office: Plot 5, Sector 44, Gurugram -122 002, Haryana, India
Registered Office: N24-N34 , S24-S34 , Air Cargo Logistics Centre-II ,
Opposite Gate 6 Cargo Terminal, IGI Airport, New Delhi -110037
(Formerly known as Delhivery Private Limited) ■
CIN:L63090DL2011PLC221234
+91 124 6225600
corporate @delhivery .com
www.delhivery.com
"Delhivery
Limited
Q1
FY24
Earnings
Conference
Call"
August
5,
2023
Management
:
MR.
SAHIL
BARUA,
MD

&
CHIEF
EXECUTIVE
OFFICER
MR.
SANDEEP
BARASIA,
ED
&
CHIEF
BUSINESS
OFFICER
MR.
AMIT
AGAR WAL,
CHIEF
FINANCIAL
OFFICER
MR.
VARUN
BAKSHI,
HEAD,
INVEST OR
RELA TIONS
Moderator
:
MR.
VIJIT
JAIN,
CITI
EQUITIES
TEAM
1
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
VIJIT
JAIN:
Good
afternoon,
everyone.
Good
day.
And
welcome
to
Q1
FY24
earnings
conference
call
of
Delhivery
Limited,
hosted
by
Citi

Research.
This
is
Vijit
Jain.
Before
we
start,
Delhivery
would
like
to
point
out
that
some
of
the
statements
made
in
today's
call
may
be
forward-looking
in
nature.
And
a
disclaimer
to
this
effect
has
been
included
in
the
earnings
presentation
shared
with
you
earlier .
Kindly
note
that
this
call
is
meant
for
investors
and
analysts
only.
If
there
are
any
representatives
of
the
media,
they

are
requested
to
drop
off
this
call
immediately .
To
discuss
the
results,
I'm
pleased
to
welcome
Mr.
Sahil
Barua,
the
MD
and
Chief
Executive
Officer;
Mr.
Sandeep
Barasia,
ED
and
Chief
Business
Officer;
Mr.
Amit
Agarwal,
Chief
Financial
Officer;
and
Mr.
Varun
Bakshi,
the
head
of
Investor
Relations.
As
a
reminder ,
all
participants'
lines
will
be
on
listen-only
mode.
And
participants
can
use
the
raise-hand
feature

to
ask
any
questions
post
the
opening
remarks.
Thank
the
management
team
for
providing
us
the
opportunity
to
host
this
call.
And
I
invite
Mr.
Sahil
Barua
to
take
us
through
the
key
highlights
of
the
quarter ,
post
which
we'll
open
up
for
Q&A.
Over
to
you,
Sahil.
Thank
you.
SAHIL
BARUA:
Thank
you,
Vijit,
and
the
Citi
team,
for
hosting
us.
Thank
you
all
for

joining
the
sixth
earnings
call
from
Delhivery
this
evening.
Just
a
quick
check,
Vijit
and
Apaar ,
that
I'm
perfectly
audible.
VIJIT
JAIN:
Yes,
Sahil,
you
are
audible.
SAHIL
BARUA:
Great,
excellent.
Thank
you.
So
as
usual,
we
will
begin
with
a
short
15
to
20-minute
presentation
where
I'll
walk
through
the
highlights
of
the
first
quarter
of
the
financial
year.
And
then
we'll
open
up
for

questions.
Apaar ,
if
you
can
begin.
So
before
I
begin,
a
quick
summary
of
this
quarter
is
that
the
positive
growth
momentum
that
we
saw
beginning
in
quarter
1
of
last
financial
year
continues.
Quarter
1
of
financial
'24
is
our
fourth
sequential
quarter
of
revenue
growth.
In
terms
of
quick
statistics,
we
continue
to
be
India's
largest
integrated
logistics
2
Delhivery
Ltd
Q1
FY24

Earnings
Call-
Hosted
by
Citi
August
5,
2023
platform.
We
delivered
Rs.
1,930
crores
of
revenue
in
quarter
1
from
services.
This
represents
a
growth
of
11%
sequentially
from
the
same
quarter
last
year
and
a
4%
growth
from
quarter
4
of
the
last
financial
year.
Do
bear
in
mind
that
in
our
industry ,
quarter
3
and
quarter
4
are
typically
the
high
water
mark
quarters.
And

quarter
1
is
sequentially
usually
our
weakest
quarter
of
the
year.
Despite
this,
we've
actually
seen
strong
revenue
growth
in
Q1.
Adjusted
EBITDA
margin
continues
to
hover
at
the
break-even
point.
We're
at
-1.3%
for
this
quarter .
We've
seen
strong
volume
momentum
in
the
express
business,
with
a
total
of
182
million
shipments
delivered
across
our
express
and
heavy
parcel
business
in
Q1,
which
represents
a

year-on-year
growth
of
19.2%,
at
the
upper
end
of
our
estimate
of
growth
for
the
industry ,
which
was
between
16%
to
20%,
which
I'd
spoken
about
last
year,
and
sequentially ,
versus
quarter
4,
a
growth
of
1.2%.
Our
LTL
business
continues
to
recover
strongly ,
both
in
terms
of
volumes
and
revenues.
We've
delivered
343,000
tons
of
freight
in
quarter
one
of
the
financial
year,
which
represents

a
year
on
year
growth
of
43.7%
versus
the
same
quarter
last
year
and
an
8%
growth
over
the
previous
quarter ,
quarter
4,
which,
again,
typically
is
a
seasonally
high
quarter .
Network
continues
to
be
stable.
We
cover
18,530
PIN
codes
across
the
country .
We
continue
to
have
26,500-plus
active
customers
across
our
various
service
lines.
Over
50%
our
revenue
comes
from
customers
who
use
more

than
two
of
our
services.
And
we
continue
to
operate
over
17
million
square
feet
of
spine
infrastructure
across
the
country .
In
terms
of
quick
statistics
that
present
a
snapshot
of
the
business,
as
you
can
see,
PIN
code
reach
has
remained
stable
throughout
financial
'23
into
quarter
1
of
financial
'24.
We
continue
to
service
18,530
PIN
codes.
We
continue
to
cover
220
countries
through

our
own
network
and
our
partnerships
with
FedEx
and
Aramex.
We
continue
to
have
26,500
active
customers
as
of
this
financial
year,
and
operate
about
17.5
million
square
feet
of
real
estate.
We've
seen
some
expansion
in
quarter
1,
as
is
normal
in
our
business.
Quarter
1
is
the
quarter
in
which
we
expand
infrastructure,
both
in
terms
of
spine,
hub,
and
gateway
infrastructure
and
delivery

stations
in
preparation
for
growth
for
the
rest
of
the
year.
Total
gateways
have
expanded
to
101
as
of
quarter
1
fiscal
'24.
Automated
sort
centers
remain
constant
at
24.
3
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
We've
expanded
the
total
number
of
delivery
centers
from
2,880,
as
of
quarter
4,
to
3,170.
This
includes
both
new
delivery
stations
as

well
as
conversion
of
partner
centers
into
owned
delivery
stations.
So
as
you
can
see,
the
partner
centers
have
declined
from
1,175
to
1,039.
Higher -volume
centers
will
continue
to
be
converted
into
owned
centers
going
forward.
We
continue
to
consolidate
freight
service
centers
as
volumes
have
gone
up.
The
integration
process,
which
began
in
quarter
1
financial
'23,
we
had
237
freight
service
centers,
including
both

delivery
and
spot
on
at
the
time.
This
has
now
been
consolidated
to
128
centers
as
of
quarter
1
financial
'24.
And
we
continue
to
have
a
team
size
which
grows
from
57,000
people
in
quarter
4
to
about
60,300
people
as
of
quarter
1
fiscal
'24.
Move
on
to
the
next
slide.
A
quick
summary
of
the
quarter --
as
I
mentioned,
in
the
express
business,

we've
seen
steady
shipment
volume
growth
in
what
is
a
seasonally
weak
quarter .
We've
seen
seen
19%
growth
in
volumes
year
on
year
in
express
and
heavy
put
together ,
at
about
182
million
shipments
for
the
quarter .
In
PTL,
strong
growth
momentum
has
continued
in
Q1.
The
market
has
obviously
not
grown
43%
a
year.
So
this
represents
significant
share
gain
for
delivery .
We've
also
seen
8%

growth
over
a
seasonally
strong
Q4.
This
is
on
the
back
of
service
levels
that
continue
to
be
consistently
robust.
Growth
serv

ice
levels
continue
to
be
above
90%
despite
the
impact
of
rain
and
other
disruptions.
And
we
continue
to
improve
margins
in
the
PTL
business
through
price
revisions
and
actively
churning
out
lower -margin
customers.
In
the
supply
chain
services
business,
we
won
new
mandates

with
a
number
of
marquee
clients,
which
we
expect
to
start
reflecting
in
financials
in
subsequent
quarters.
This
includes
Havells,
Tata
Motors,
Mamaearth,
and
a
number
of
other
customers.
Over
50%
of
our
outsourced
fleet
in
mid-mile
is
now
sourced
through
our
Orion
Truckload
platform,
an
initiative
that
we
launched
around
quarter
3
of
the
last
financial
year.
And
going
forward,
we
expect
to
launch
intra-city

sourcing
on
the
Orion
platform
as
well.
On
the
OS1
platform
side,
we've
launched
Dispatch
One,
which
is
our
first
SaaS
product
on
the
OS1
platform,
which
we
expect
to
start
rolling
out
to
customers
starting
quarter
3
across
India
and
abroad.
We've
also
consummated
an
investment
in
Vinculum,
which
is
aimed
at
expanding
value
added
services,
which
is
an
integrated
fulfillment
stack
for
D2C
customers

across
the
country .
So
that's
a
quick
snapshot
of
the
quarter .
4
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
Moving
on,
in
terms
of
overall
financials,
in
quarter
1,
we've
grown
from
Rs.
1,860
crores
of
revenue
in
quarter
4
to
Rs.
1,930
crores,
which
represents
a
4%
growth
quarter
on
quarter
and
11%
year
on
year.
Growth
has
been
delivered

both
in
the
express
business
and
in
the
part
truckload
business,
as
you
can
see
on
the
right.
The
express
business
has
grown
to
Rs
1,202
crores
of
revenue,
which
is
a
14%
growth
compared
to
the
same
quarter
last
year.
And
shipment
volumes
have
grown
from
152
million
shipments
for
the
same
quarter
last
year
to
182
million
shipments
in
Q1,
which
is
a
19%

growth
year
on
year.
On
the
PTL
side,
quarter
1
last
year,
of
course,
was
affected
by
integration
issues
with
SpotOn.
We've
grown
revenues
since
by
34%,
from
Rs.
259
crores
to
Rs.
347
crores,
and
overall
volumes
from
239K
to
343K
tons,
which
represents
a
44%
growth
in
volumes
and
8%
over
the
previous
quarter .
The
other
businesses
have
performed
well
as
well.
The
truckload

business
has
grown
from
Rs.
109
crores
in
quarter
4
financial
'23
by
20%
to
Rs.
131
crores
in
quarter
one
financial
'24,
which
is
also
7%
growth
over
the
same
quarter
last
year.
Supply
Chain
Services
has
grown
10%
from
the
previous
quarter ,
from
Rs.
188
crores
to
Rs.
206
crores.
Though
compared
to
the
same
period
last
year,
we've
seen
a
decline.
This
is

driven
by
the
underperformance
of
one
of
our
accounts,
which
has
been
affected
by
low
offtake
of
consumer
durables
in
quarter
1.
Cross-Border
Services
has
de-grown
from
Rs.
57
crores
in
quarter
4
to
Rs.
42
crores
in
quarter
1.
This
is
largely
driven
by
a
change
in
mix
in
the
business
as
more
of
our
business
continues
to
come
from
our
ocean
freight
business
as

opposed
to
our
airfreight
business,
and
as
yields
in
both
air
and
ocean
freight
continue
to
compress.
In
terms
of
adjusted
EBITDA,
quarter
1
financial
'24
stands
at
-1.3%,
which
is
the
bar
on
the
extreme
right.
Quarter
one,
as
you
can
see,
over
the
last
two
financial
years
and
prior
to
this,
is,
seasonally ,
our
weakest
quarter
of
the
year.
So
the
good
news
is

that
overall,
our
performance
in
quarter
1
relative
to
both
financial
'22
and
financial
'23
has
improved
significantly .
In
financial
'22,
quarter
1
adjusted
EBITDA
was
at
-3.8%.
Last
year,
in
the
same
quarter ,
we
were
at
-12.5%.
This
year,
we're
at
-1.3%.
Moving
on,
in
terms
of
an
overall
breakup
in
this
table,
as
you
can
see,
revenues
in
quarter
1
came
in
at
Rs.

1,930
crores.
Overall
service
EBITDA
from
services
came
in
at
Rs.
196
crores,
or
10.2%
of
revenue,
compared
to
-0.3%
for
the
same
quarter
last
year
and
11%
in
quarter
4,
despite
the
fact
that
we've
been
expanding
5
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
the
network
in
quarter
1.
Corporate
overhead
stood
at
Rs.
221
crores,
largely
d

riven
by
inflation
in
wages
and
an
increase
in
some
fixed
costs
of
the
network.
As
a
percentage
of
revenue,
they
grew
from
10.7%
to
11.4%.
And
net
adjusted
EBITDA
therefore
came
in
at
Rs.
-25
crores,
or
-1.3%.
Quarter
4
financial--
this
is
the
EBITDA
bridge
that
we
present
every
quarter .
Quarter
4
financial
'23
adjusted
EBITDA
stood
at
Rs.
6
crores.
Our
incremental
revenue
from

quarter
4
to
quarter
1
stood
at
Rs.
44
crores.
And
incremental
gross
profit
in
the
transport
business
stood
at
Rs.
17
crores
prior
to
certain
specific
items
for
quarter
1.
We
had
about
Rs.
4
crores
of
annual
wage
increments
above
the
gross
margin
line,
which
is
at
the
operational
staff
levels.
We
had
planned
investments
in
the
last
mile,
which
is
the
expansion
of

the
delivery
station
network,
which
led
to
an
increase
of
Rs.
2
crores
and
an
impact
of
uncontrollable
factors
which
are
linked
to
both
security
concerns
in
Manipur
and
the
weather
impact
in
North
India
in
the
second
half
of
the
quarter ,
which
led
to
a
decline
by
Rs.
4
crores.
So
the
total
increase
in
transport
gross
profit
after
adjusting
for
these
stands
at
Rs.

7
crores.
Transport
fixed
costs
have
increased
by
Rs.
13
crores,
which
is
driven
by
an
increase
in
mid-mile
capacity ,
both
in
terms
of
gateway
and
hub
infrastructure
and
in
terms
of
the
trucking
network,
and
annual
wage
increases
of
supervisory
employees,
which
is
typically
done
in
quarter
1
of
the
financial
year.
And
we've
seen
a
total
decrease
in
transport
service
EBITDA,
therefore,
of
Rs.

6
crores.
Following
this,
there's
a
reduction
in
service
EBITDA
of
the
non-transport
businesses
by
Rs.
3
crores,
largely
driven
by
the
supply
chain
services
business,
and
secondly ,
an
increase
in
corporate
costs
of
about
21
crores,
which
is
driven
by
increments
in
salaries
of
Rs.
6
crores,
a
one-time,
milestone-based
payout
to
employees
of
TRI
Robotics,
which
is
a
company
that
we
acquired
in
financial

'22,
of
Rs.
5
crores,
investments
in
our
marketing
program,
which
have
begun
this
financial
year,
of
about
Rs.
3
crores,
and
provisioning
for
ongoing
commercial
disputes
with
certain
vendors--
in
this
case,
GoAir --
of
about
Rs.
2
crores,
which
leads
to
a
total
change
of
Rs.
-30
crores
and
leads
to
quarter
1
financial
'24
adjusted
EBITDA
of
Rs.
-25
crores.
In
terms
of
key

cost
drivers,
as
you
can
see,
not
very
significant
change
between
quarter
4
fiscal
'23
and
quarter
1
fiscal
'24.
Total
freight
handling
and
servicing
costs
have
increased
from
Rs.
1,372
crores
to
Rs.
1,438
crores,
which,
on
an
absolute
basis,
continues
to
be
below
the
same
cost
at
the
same
time
last
year
in
6
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August

5,
2023
quarter
1,
which
was
Rs.
1,453
crores.
As
a
percentage
of
revenue
from
services,
freight
handling
and
servicing
therefore
has
reduced
from
83.2%
last
year
to
74.5%
as
of
quarter
1
fiscal
'24.
The
major
changes--
one
has
been
in
vehicle
rental
expenses,
which
have
reduced
from
20.6%
to
20.1%.
We
expect
this
to
improve
further
as
we
continue
to
source
intra-city
vehicles
through

our Orion platform. Contractual manpower expenses have increased from 11.1%, temporarily , to 12.1%. This is due to the impact of rains, due to us continuing to pay salaries in states that have been affected by security reasons, and annual wage increases. And overall, the net change otherwise is in lost shipment expenses, which continues to improve from 3.2% in quarter 1 financial '23, to 1.7% in

the
previous
quarter ,
to
1.3%
in
this
quarter .
Moving
on,
this
is
the
final
adjusted
EBITDA
bridge.
Total
revenue
from
customers,
as
I
mentioned,
stood
at
Rs.
1,930
crores.
Freight
handling
and
servicing
costs
stood
at
Rs.
1,438
crores,
employee
benefit
expenses
at
Rs.
353
crores,
and
other
expenses
at
Rs.
152
crores,
leading
to
a
reported
EBITDA
of
Rs.
-13
crores.
Adjusting
for
share-based
payment

expenses
and
capitalization
of
the
leases,
this
leads
to
an
overall
adjusted
EBITDA
of
Rs.
-25
crores,
or
-1.3%
of
revenue.
So
to
summarize
the

quarter ,
this
is
our
fourth
sequential
quarter
of
revenue
growth
since
quarter
1
of
last
year.
Express
and
LTL
businesses
have
demonstrated
revenue
growth
and
volume
growth
in
a
seasonally
weak
quarter ,
setting
us
up
well
for
the
rest
of
the

financial
year.
Our
capacity
expansion
plans
have
borne
fruits
in
quarter
1.
We've
expanded
mid-mile
capacity
and
delivery
center
capacity
in
preparation
for
seasonal
volumes
in
Q2,
Q3,
and
Q4.
Margins
remain
stable,
broadly ,
overall.
And
we
expect
to
have
a
great
financial
year
ahead.
With
that,
I'll
pause.
And
happy
to
take
questions.
VIJIT
JAIN:
Thank
you,
Sahil.
Just
a
reminder
to
participants,
if
you

have
any
questions,
please
raise
your
hand.
And
the
operator
will
take
them
up.
Thank
you.
OPERA TOR:
The
first
question
is
from
Sachin
Dixit.
7
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
SACHIN
DIXIT :
Congrats,
Sahil
and
team,
on
having
a
great
quarter .
I
had
a
couple
of
questions,
basically ,
one
regarding
PTL
business.
So
on
PTL,
we
have
been
highlighting

a
weekly
sort
of
trending
in
the
past
couple
of
quarters.
I
understand
this
was
done
due
to
SpotOn
acquisition
integration
issues
getting
over,
and
to
reflect
how
we
are
ramping
up.
We
do
not
see
that
happening
this
quarter .
Do
we
assume
that
the
growth
in
the
PTL
business
has
normalized
now,
or
there
is
something
else
going
on?
SAHIL
BARUA:
Not
at
all
Sachin.

I think the point of demonstrating it in the past was really because there were several questions about the PTL business. And we felt it was necessary to demonstrate the ramp-up of volumes. As you can see, we've had a very strong start to the FY. We've seen an 8% growth in volume in quarter 1 over the previous quarter already , and compared to last year,

44%
in
overall
volumes.
And
the
idea
was
really ,
simply
at
this
point
to
say,
look,
integration
issues
are
behind
us.
And
going
forward,
we
expect
the
trend
of
growth
in
PTL
to
continue.
So
we
don't
really
need
to
demonstrate
weekly
volumes
any
further .
SACHIN
DIXIT :
Understood.
Quickly ,
on
the
employee
expense
side,
that's
the
second
question.
So
I
noticed
that
while
our
employee
expenses

are
going
up
very,
very
mutedly
in
terms
of
rising,
but
we
see
ESOPs
being
granted
at
a
rapid
pace,
right?
So
in
Q1,
if
I
calculate
quickly
from
the
filings,
roughly ,
that
amounts
to
Rs
80
Cr
worth
of
ESOPs
being
granted.
Is
that
how
we
should
look
at
forecasting
our
ESOP
expense,
in
the
sense,
like,
ESOP
should
grow
employees'
expenses
in
terms
of

cash
being
relatively
muted?
SAHIL
BARUA:
Yeah,
I
think
we've
granted
2
million
ESOPs
as
part
of
our
annual
performance
cycle.
Our
annual
performance
cycle
takes
place
at
the
end
of
quarter
4.
And
so
the
grants
are
made
at
the
start
of
quarter
1.
And
then
after
that,
we
don't
have
too
many
grants
which
happens
through
the
year,
except
for
some
exceptional
performance.
So

you're
right.
You
will
see
ESOP
expenses
in
quarter
1.
Our
policy
is
as
per
our
performance
policy .
Wage
increments,
typically
in
our
case,
we
forecast
at
being
usually
between
6%
to
8%
annually .
But
overall,
you
should
not
expect
to
see
significant
wage
inflation
year
on
year
going
forward.
8
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
SACHIN
DIXIT :
Understood,

thanks.
And
just
one
final
thing.
I
hope
the
violence
in
Gurugram
and
the
surroundings
is
not
impacting
business,
or
can
you
give
some
color
on
that?
SAHIL
BARUA:
Certainly .
I
think
the
reality
is
that
both
weather
and
security
situations
do
disrupt
operations
in
various
ways.
We
haven't
fortunately
seen
any
significant
impact
on
our
operations
overall.
That
said,
with
the
shutdown
of
internet,
even

briefly ,
we
had
to
modify
how
we
were
picking
up
and
delivering
consignments.

We
continued
to
remain
operational
throughout.
We've
also
managed
to
continue
to
remain
operational
throughout,
in
all
rain
affected
areas,
throughout
the
end
of
quarter

1.
So
no
major
impact,
per
se.
We
remained
operational
despite
the

internet
connections
(shutdown).
We've
continued
to
pick
up
volumes
overall.

But
we
monitor
the
situation,
on

two
days,
of
course,
where,
in
particularly
violence-prone
areas,
we
did
have
to
suspend
delivery
operations
briefly .
SACHIN
DIXIT :
Understood.
So
thanks
so
much.
And
all
the
best
for
the
year
ahead.
SAHIL
BARUA:
Thank
you.
OPERA TOR:
The
next
question
is
from
Sachin
Salgaonkar .
SACHIN
SALGAONKAR:
Hi,
thank
you
for
the
opportunity .
I
have
three
questions.
First
question,
Sahil
and
team,
I
just
wanted
to
understand

about
what's
happening
on
the
ground
on
e-commerce,
as
well
as,
let's
say,
from
other
operators
like
social
commerce
and
D2C.
The
reason
I'm
asking
is
your
shipment
growth
for
1Q
was
great.
I
just
wanted
to
understand,
should
we
look
at
this
as
a
trend
to
continue?
And
are
we
seeing
improvement
in
the
overall
general
appetite
out
there?
9
Delhivery
Ltd
Q1
FY24
Earnings

Call-
Hosted
by
Citi
August
5,
2023
SAHIL
BARUA:
Sure,
Sachin.
In
general,
these
days,
I'm
quite
careful
when
I'm
making
statements
about
the
e-commerce
market.
But
that
said,
I
think,
look,
our
volume
growth
has
been
solid
in
this
quarter .
We've
been
at
182
million
shipments
overall,
compared
to
152
last
year.
I
think,
if
you
remember ,
our
position
has
consistently
been
that,
while
the

medium
and
long
term
trajectory
for
e-commerce
is
consistent,
we
expect
the
market
to
grow
between,
call
it
16%
and
20%.
And
our
growth
has
been
at
the
upper
end
of
that.
Our
assessment
is
that
that
represents
an
overall
share
gain
in
the
market.
In
terms
of
market
volumes,
quarter
1
is
historically
not
a
very
strong
quarter
for
e-commerce.
In
general,
quarter
2
is

when
the
action
starts
picking
up
about
now.
And
volumes
then
continue
through
quarter
3
and
quarter
4.
So
we
expect
that,
hopefully ,
there'll
be
solid
volume
growth
in
August,
and
then
with
the
Diwali
sales
at
the
end
of
year.
In
terms
of
D2C,
that's
a
particular
segment
of
focus.
I
think
we've
gained
significant
share
in
the
D2C
market
overall.
We've
been
focusing
on

our
value
proposition
for
D2C,
both
increasing
speed,
integrating
fulfillment,
and
launching
a
suite
of
data
services,
which
a
number
of
customers
have
now
started
taking
up.
And
we've
also
been
growing
our
presence
with
smaller
and
the
long
tail
of
e-commerce,
really ,
both
with
the
launch
of
Delhivery
One,
which
is
our
self-serve
portal
which
allows
small
brands
to
really
access
our
services
seamlessly ,
and

also
through
the
growth
of
our
franchise
network
and
the
growth
of
our
delivery
C2C
shipping
app,
which
allows
the
extreme
long
tail
to
start
shipping
through
delivery
immediately ,
without
the
burdens
of
a
long
contract
process
and
a
long
integration
process.
So
that's
been
the
secret
to
our
growth
in
quarter
1.
I
think
we
are
optimistic
about
e-commerce,
as
usual.
Individual
players,
as
I've

mentioned,
and
I
think
as
the
public
continues
to
face
their
independent
struggles
and
their
independent
strategy ,
it
continues
to
evolve.
But
for
us,
we
maintain
consistent
market
share
with
the
larger
players.
We've
gain-shared
with
the
smaller
players.
We
continue
to
launch-value
added
services.
And
so,
irrespective
of
market
outcomes,
I
think
we
are
well-positioned.
SACHIN
SALGAONKAR:
Thanks,
Sahil.
Does
that
mean
you
guys
are

seeing
a
mix
shift
more
in
D2C
versus
e-commerce,
in
the
seasonally
slower
quarter
1
for
e-commerce?
10
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
SAHIL
BARUA:
We've
certainly
seen
a
shift
in
terms
of
client
concentration.
So
our
top
five
client
concentration
has
reduced
overall.
The
definition
of
D2C
is
a
little
bit
vague.
But
I'd
say,
vertical
e-commerce
plus

D2C
plus
SME
is
now
a
larger
percentage
of
our
business.
SACHIN
SALGAONKAR:
Thanks.
My
second
question
is
on
the
supply
chain
business.
And
historically ,
when
we
look
at
the
growth,
the
trends
look
a
bit
volatile.
Case
in
point,
this
quarter ,
we
had
a
-13%
YoY
growth
but
a
10%
QoQ
growth.
So
I
just
wanted
to
get
a
bit
more
re
color
from
you

in
terms
of
understanding
what's
going
on
here.
We
heard
the
comments
in
the
opening
remarks,
about
you
guys
getting
a
bit
more
marquee
customers.
Question
out
here
is,
should
we
see
a
stabilization
of
the
trend
out
here?
Or
any
color
you
could
provide
us
in
terms
of
how
to
look
at
this
business?
SAHIL
BARUA:
No,
I
think
as
far
as
this
business
goes,

Sachin,
one
of
the
things
that
we've
spoken
about
is
that
the
minimum
size
of
this
business
actually
is,
where
it
stabilizes
is
much
larger
than
where
we
are.
This
is
still
sort
of
an
early
business
for
delivery .
These
are
typically
large
contracts
that
will
be
anywhere
from
20,
30
crores
a
year
at
the
minimum,
up
to
nearly
150
crores
a
year.
And
so

when
individual
clients'
businesses
have
their
moments
in
the
year,
that
can
affect
growth
both
upwards
positively
and
negatively
for
us
right
now.
I
think
there
were
disruptions
in
supply
chain
in
general
in
quarter
1,
when
you
consider
the
security
situation,
the
rains,
and
how
it's
affected
consumption.
And
that's
reflected
a
little
bit
in
our
numbers.
The
contracts
are,
I
pointed
out,
whether
it's

Havells,
or
Tata
Motors,
or
Mamaearth,
or
some
of
the
others
that
are
starting
up,
these
are
ones
that
we
expect
will
begin
in
quarter
3,
quarter
4.
We've
signed
these
contracts.
And
now,
we
start
deploying
and
building
the
infrastructure,
which
typically
takes
anywhere
from
about
60
to
90
days.
So
hopefully ,
this
will
hit
us
in
quarter
3
and
quarter
4.
But
this
business

will
continue
to
grow
fast
off
this
base
and
see
some
volatility
for
the
near
future.
SACHIN
SALGAONKAR:
11
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
Thanks,
Sahil,
very
clear .
And
third
question,
perhaps
to
Amit.
Amit,
just
wanted
to
understand
what's
happening
in
depreciation,
as
well
as
other
income.
Depreciation
was
down
31%
QoQ.
Any
one-of fs
out
here?
And
same

for
other
income,
is
it
all
Treasury
income,
or
something
else
out
here?
AMIT
AGAR WAL:
So
on
the
depreciation
and
amortization,
there
were
two
components,
one
related
to
depreciation
of
fixed
assets.
As
you
are
aware,
we
basically
built
most
of
the
capacity
in
first
half
of
the
fiscal
year.
So
quarter
3
and
quarter
4
typically
see
relatively
lower
investments.
And
as
a
result,
the

implication
of
lower
WDV -based
depreciation
is
evident
in
the
quarter
1,
subsequently .
So
that
is
one
of
the
reasons
why
depreciation
was
lower .
I
think
this
number
would
equal
to
about
Rs.
25
crore
attributable
to
this.
And
on
the
amortization,
in
quarter
4
of
FY23,
we
amortized
fully,
the
SpotOn
IT
systems,
which
we
no
longer
use.
So
that
was
an
implication
of
another
about

Rs.
30
crores.
In
other
income,
there
were
two
impacts.
One
was
a
redeployment
of
our
capital
of
about
Rs.
5,500
crores
into
higher -yielding
instruments
and
mark
to
market
gains.
And
another
part
of
about
Rs.
10
to
12
crore,
is
a
classification
where
we
moved
certain
other
expenses
to
where
certain
adjustments
were
made
between
other
income
and
other
expenses.
So
that
was
a
one-of f

item
of
Rs.
10
crore.
SACHIN
SALGAONKAR:
Thanks.
So
just,
if
I
want
to
understand
a
bit
more
clarity
on
depreciation
amortization,
going
ahead,
we
should
see
some
kind
of
a
seasonality
every
year,
where
1Q
is
a
bit
low
and
then
things
start
picking
up
2Q
onwards,
right?
AMIT
AGAR WAL:
Yeah,
this
will
a
bit
depend
on
when
our
mega
facilities
come
live.
So
this

year,
we
expect
our
Bhiwandi
mega-gateway
to
go
live
between
September
or
November .
And
as
a
result,
you
will
see
the
implication
on
depreciation
in
the
subsequent
quarters.
Similarly ,
we
expect
our
mega-gateway
in
Bangalore
to
go
live
in
March
2024.
So
you
may
not
see
the
same
impact
that
you
are
seeing
this
year
in
quarter
1
in
the
next
year
of
quarter
1.
SACHIN

SALGAONKAR:

Got

it.

Thank

you,

and

all

the

best.

12

Delhivery

Ltd

Q1

FY24

Earnings

Call-

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by

Citi

August

5,

2023

OPERA TOR:

Next

question,

we

go

to

Gaurav

Rateria.

GAURA V

RATERIA:

Am

I

audible?

SAHIL

BARUA

:

You

are,

Gaurav .

You

are.

Please

go

ahead.

GAURA V

RATERIA:

Hey,

I

have

three

questions.

The

first

one

is,

we

see

PTL

volume

is

77%

of

what

it

was
at
the
peak
of
4Q
on
a
combined
basis.
So
is
it
fair
to
say
that
if
we
go
back
to
that,
our
transport
service
EBITDA
would
also
revert
back
to
a
similar
number ,
what
it
was
at
that
point
in
time?
SAHIL
BARUA:
Sure.
I
think
that's
a
fair
assumption
in
general,
though
our
expectation--
and
we're
still
figuring
out
our
line-haul
costs,
for

example,
are
coming
in
better
than
they
were
prior
to
the
integration,
which
was,
if
you
remember ,
the
whole
point
of
buying
SpotOn,
which
was
really ,
essentially ,
to
be
able
to
move
more
of
the
volume
to
larger
automated
gateways
and
through
our
trucking
network.
So
potentially ,
at
least
internally ,
we
would
like
the
margins
to
be
at
least
as
much
as
they
were
at
similar

scale
or
higher .
GAURA V
RATERIA:
Yeah,
I
was
doing
some
rough
maths
on
this.
So
if
I
continue
to
assume
50%
incremental
gross
margins
on
transport
business,
then
I
get
to
a
similar
service
EBITDA
margin
for
transport,
what
it
was
at
that
point
in
time
in
the
fourth
quarter
of
fiscal
'22.
So
does
it
mean
that
we
still
have
scope
for
continuing
to
deliver

more
than
50%-plus
incremental
gross
margins
till
the
time
we
get
back
to
a
similar
volume
of
what
it
was
at
the
peak?
SAHIL
BARUA:
So
as
I've
mentioned,
in
general,
that
would
be
true.
But
as
I've
said
previously
as
well,
it
depends
a
little
bit
on
the
mix
of
the
business
in
terms
of
exactly
where
it's
13
Delhivery
Ltd
Q1
FY24
Earnings
Call-

Hosted
by
Citi
August
5,
2023
coming
from.
At
the
moment,
we
do
have
pockets
of
under -utilization
which
continue,
relative
under -utilization,
I
would
say.
And
therefore,
the
incremental
margin
story
continues
to
be
solid.
That
said,
we
are
also
discovering
new
ways
of
improving
productivity ,
even
in
places
which
we
had
thought
historically
were
close
to
high
utilization.
Our
engineering
continues
to
deliver
that.
And
so,

potentially ,
this
could
continue
slightly
longer
than
we
had
previously
expected.
We're
also
discovering
certain
commercial
benefits
on
the
trucking
side
through
our
Orion
platform.
So
the
way
to
put
this
is
that
we
want
to
expect
to
get
to
at
least
the
same
margins
that
we
had
at
the
same
scale.
Also,
bear
in
mind,
one
more
thing,
Gaurav ,
which
is
that
we
have
been

culling
low
margin
customers
and
churning
out
some
of
these
low
margin
customers
or
renegotiating
pricing.
So
hopefully ,
our
expectation
would
be
that
even
that
will
have
some
impact.
GAURA V
RATERIA:
Got
it.
Secondly ,
once
you
get
back
to
normal
volumes
or
same
volumes
on
a
going
forward
basis,
I
think
you
suggested
in
the
past
that
incremental
gross
margins
in
this
business
should
revert
to

more
normalized
level
of
30%.
How
should
one
think
about
incremental
service
EBITDA
margin
in
the
transport
business
on
a
more
normalized
basis?
Should
it
be
between
20,
25%
incremental
margin?
Should
it
be
lower?
I'm
just
trying
to
understand
the
puts
and
takes
here.
SAHIL
BARUA:
At
this
point,
it's
difficult
to
give
exact
commentary
on
where
the
service
EBITDA
margins
will
be.
But
broadly ,

if
you
do
the
math,
yes,
I'd
expect
incremental
service
EBITDA
margins
to
be
in
that
18%
to
22%
kind
of
range.
GAURA V
RATERIA:
Got
it.
Last
question,
I
just
want
to
understand
a
little
better
on
your
sourcing
comment
from
your
own
Orion
platform.
How
exactly
did
it
help
you,
and
what
incremental
levers
do
we
have?
Thank
you.
SAHIL
BARUA:
Sure.
Very
simply
put,

Gaurav ,
it's,
essentially ,
a
freight
exchange.
Orion
is
a
freight
exchange.
It
was
designed
both
for
internal
use
cases
for
our
line
haul
procurement
for
our
supply
chain
services
business
and
also,
externally ,
for
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Ltd
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5,
2023
customers
to
place
trucks
through
the
platform.
So
think
of
it
as
similar
to
what
Full
Truck
Alliance
does

in
China.
Earlier ,
our
line
haul
contracts
were
not
being
sourced
via

Orion.
We
continued
to
source
them
through
our
own
fleet
team.

As
we
placed
our
line
haul
demand
onto
our
Orion
platform,
we've
had
multiple
vendors
bidding
for
routes
as
we've
opened
them
up.

And,
as
a
consequence,
we've
seen
commercial
benefits
come
in
as
vendors
have
given
us
competitive
bids,
and
we've
had

multiple
vendors
bidding.
So
that's
been
one
reason.
The
second
is
that
we've
also
expanded
the
scope
slowly
over
the
last
year.
We
began
by
exposing
our
ad
hoc
or
spot
requirements
of
trucking
onto
the
Orion
platform.
That
was
then
expanded.
The
scope
was
expanded
to
fixed
contracts,
as
well.
And
so
we
started
seeing
benefits
both
on
spot,
as
well
as
fixed
contracts.
By

way
of
context,
spot
contracts
typically
will
be
between
10%
and
14%
of
our
total
trucking.
86%
is
fixed.
So
there
were
benefits
that
came
in
through
that,
as
well.
And,
now,
we're
also
expanding
this
to
intracity
movements,
which
is
where
we
use
a
mix
of
LCVs
and
smaller
LCVs.
GAURA V
RATERIA:
Got
it.
Thank
you.
OPERA TOR:
Next
question
is
from
Sohan
Joshi.
SOHAN
JOSHI:

Hello.
Am
I
audible?
SAHIL
BARUA:
Yes.
Please
go
ahead.
SOHAN
JOSHI:
Two
questions,
Sahil.
Going
ahead,
what
will
be
the
impact
on
realizations?
Because,
as
you
said
in
the
previous
con-call,
individual
players
may
have
some
ups
and
downs
throughout
this
year
due
to
funding
winter ,
and
maybe
some
of
our
15
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Ltd
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Call-
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by
Citi
August
5,
2023
competitors

are
also
raising
funds,
like
Shadowfax
or
Xpressbees.
So
will
it
affect
the
realizations
in
express
parcel
business
going
ahead?
SAHIL
BARUA:
No.
Also,
to
be
clear ,
Sohan--
I
pointed
this
out
before--
what
happens
to
individual
players
or
what
happens
to
the
fundraising
strategies
of
other
players
in
this
market
is
not
germane
to
our
pricing
strategy .
Our
stated
ambition
has
always
been
to
be

the
most
efficient
player
in
the
market,
which
we
are.
When
you
combine
the
fact
that
we
have
an
extremely
attractive
pricing
proposition
that
we
provide
to
all
of
our
customers,
irrespective
of
their
size,
coupled
with
the
fact
that
we
have
the
highest
quality
of
service,
and
we
reach
18,530
pin
codes,
and
we
have
the
operating
leverage
that
we
do,
I
don't
think
that

any
amount
of
capital
raising
or
pressures
to
individual
players
in
e-commerce
has
any
impact
on
pricing
or
market
share
for
us.
The
second
thing
is,
if
required,
we
will
defend
our
market
share
because
we
have
massive
operating
leverage
and
the
operating
margins
to
do
so.
SOHAN
JOSHI:
OK.
My
second
question
is,
in
the
previous
con-call,
we
had
some
talks
about
monetizing
the
IP

of
transition
robotics.

Are
we
through
for
that
plan?

I
mean,
are
we
going
to
see
any
revenue
flowing
from

it
as
well,
in
this
year?

Can
you
throw
some
color
on
it?

SAHIL
BARUA:
Sure.

We
have
begun
to
road
test
our
drones,
as
I'd
mentioned
in
the
last
quarter .

In
fact,
I
think
one
of
our
models
should
now
be
commercially
ready
by
quarter

3.
That
said,
do
bear
in
mind
that
there
are
licensing
requirements
and
so
on
that
we
have
to
meet.
And
even
if
we
were
to
have
monetization
this
year,
it
won't
be
a
significant
portion
of
our
overall
revenues.
SOHAN
JOSHI:
OK.
And
just
one
question,
if
I
may
ask,
any
plans
on
acquisition
on
the
table
going
ahead?
Because
there
were
media
reports
of

Gati,
there
were
media
reports
of
you,
Delhivery ,
entering
into
hyperlocal,
though
you
have
denied
it
in
the
exchange
announcements.

But,
still,
any
plans
for
acquiring
any
company
which
we
can
add
to
our
networks--
any
such
plans?

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SAHIL
BARUA:
Sohan,
I
think
you
answered
your
question.
We've
already
denied
it.
It
would

be
very
strange
if
I
were
to
announce
something
right
now.
But,
no,
as
I
mentioned,
we've
denied
it
officially ,
at
this
point
in
time.
We're
very
happy
with
the
organic
growth
opportunities
that
we
have.
SOHAN
JOSHI:
OK,
OK.
Thanks
a
lot,
Sahil.
That's
it
from
my
end.
Thanks
a
lot.
Good
luck.
Wish
you
good
lu
ck.
SAHIL
BARUA:
Thank
you,
Sohan.
OPERA TOR:
The

next
question
is
from
Mukesh
Saraf.
MUKESH
SARAF:
Yeah.
Hi.
Am
I
audible?
SAHIL
BARUA:
Yeah,
Mukesh.
Please
go
ahead.
MUKESH
SARAF:
So,
firstly ,
if
you
could
just
quickly
give
us
the
market
share,
how
the
movement
in
your
market
share
has
been
in
the
express
business?
Obviously ,
you've
grown
at
close
to
20%,
but
how
the
industry
growth
is
doing.
SAHIL
BARUA:
Mukesh,
I
think,

last
time,
you
put
me
on
the
spot
with
this,
as
well.
I
think
we've
grown
19%
in
volume
terms
versus
last
financial
year.
Now ,
various
people
measured
market
share
in
various
forms,
but
our
assessment
is
that
market
has
grown
at
less
than
the
19%
that
we've
grown
at.
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And
apart
from

that,
we've
seen
significant
increase
in
our
overall
volumes
from
D2C
as
a
category ,
from
vertical
players,
and
from
SME,
which
are
the
ones
that
generally
are
faster -growing
than
the
broader
market.
So
our
assessment,
therefore,
is
that
we've
probably
gained
1
or
2
percentage
points
on
market
share.
MUKESH
SARAF:
Great.
OK.
And,
secondly ,
in
terms
of
this
increase
in
the
fixed
costs,
like
you

mentioned,
you're
planning
expansion
for
the
year.
So
just
understanding,
how
much
of
that
would
have
been
done
in
1Q?
I
mean,
typically ,
say
if
you
have
to
do
X
amount
of
expansion,
1Q
covers
how
much
of
it?
Would
you
have
already
done
70%,
80%
of
what
you
plan
for
the
year
in
1Q
already?
SAHIL
BARUA:
More
or
less,
Mukesh.
The
only
big
expansion

that
will
come
in
will
be
in
quarter
3
when
the
Lonard
facility
in
Bhiwandi
goes
live.
That
said,
even
that
will
not
have
a
full
impact
on
fixed
costs
because
we're
essentially
consolidating
infrastructure.
So
we
operate
our
Bhiwandi
gateway .
We
operate
a
large
service
station.
We
operate
a
large
returns
processing
center ,
all
of
which,
we
have
consolidated
into
the
Lonard
facility .
So
net-net,

the
impact
on
fixed
costs
actually
will
not
be
that
significant,
even
when
Lonard
goes
live.
In
general,
quarter
1
is
where
we
would
have
committed
and
executed
probably
about
60%,
70%,
or
sometimes
even
higher
as
a
percentage
of
our
total
capacity .
Also,
if
you
remember
from
the
last
call,
I'd
mentioned
the
two
specific
cities
where
we
had
expansion
plans
outside
of
Hyderabad,
which

was
the
other
one,
were
going
to
be
Chennai
and
Pune.
And
Chennai
has
gone
live.
So
that's
also
been
consolidated
and
is
already
reflected
in
our
statements.

MUKESH

SARAF:

Sure,

sure.

So

I

mean,

through

the

year,

now,

the

operating

leverage

should

only

play

out,

as

well.

SAHIL

BARUA:

Yes.

MUKESH

SARAF:

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2023

Right.
And
just,
lastly ,
very
quickly ,
I
mean,
how
would
the
debtor
days
differ
for
you
across
businesses?

I
think
you
had
mentioned
it
once
in
the
past,
but
if
you
could
just
recap
that,
across
businesses,
how
does
that
vary?

SAHIL
BARUA:
Sorry ,
can
you
repeat
that
question?
You
said
the
database?

MUKESH
SARAF:
The
debtor
days--
the
DSOs.
SAHIL
BARUA:
Oh,
sorry ,
the
DSOs--

Amit,
you
have
the
exact
statistics.

Can
you
take
this,
please?

AMIT
AGAR WAL:

I'm
sorry .

We
don't
disclose
the
debtor
days
by
line
of
business.

We
will
probably
give
our
debtor
days
at
the
end
of
quarter
2,
but
our
analysis
at
the
end
of
quarter
1

showed
that
we
have
reduced
debtor
days,
on
a
whole
of
business,
by
two
days
in
quarter
1.
And

we
expect
the
momentum
to
continue
to
bring
down
debtor
days
in
quarter
3.

MUKESH
SARAF:

But
very
qualitatively ,
if

you
could
tell
me,
Amit,
across
these
businesses?

AMIT

AGAR WAL:

Typically ,
in
B2C,
the
billing
cycle
is
30
days,
and
the
receivable
days
is
also
30
days.

So
we
bill
by
the
2nd
or
3rd
of
the
month
for
the
previous
month,
and
then
the
bills

come
due
by
4th,
5th
of
the
subsequent
month.

We
do
not
deduct
the
COD
in
hand
from
the
debtor
days.

If
we
were
to
deduct,
we
would
be
pretty
much
zero
working
capital
on
express
business.

But
without
that,
we
would

be
about
a
month,
or
as
you
can
see.

In
B2B
businesses,
like
LTL,
supply
chain
services,
FTL,
the
billing
cycle
being
30

days,
the
credit
period
terms
could
range
from
30
to
60
days,
in
very
exceptional
contracts,
maybe
90
days.
So
you
can
do
the
math
on
what
the
average
receivable
days
of
the
whole
business
will
be.
MUKESH
SARAF:
19
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
All
right,
all
right.
Great.
Thanks
a
lot.
I'll
get
back
to
you.
AMIT

AGAR WAL:
Thanks,
Mukesh.
OPERA TOR:

The
next
question
is
from
Hitesh
Goel.

HITESH
GOEL:
Thanks
for
taking
my
question,
and
congrats
on
a
good
set
of
results.

My
first
question
is
on
when
I
see
the
first
shipment
revenue
for
express
parcel
and
both
for
PTL,
it's
kind
of
declining
for
the
last
two
quarters.

So
is
it
a
yield
issue
because
you're
seeing
the
pricing
in

the
market
has
not
come
down,
or
it's
a
mix
issue?
Can
you
just
talk
about
that?
SAHIL
BARUA:
It's
largely
a
mix
issue,
Hitesh.
So
it's
a
combination
of
both
the
client
mix
changing
in
the
express
parcel
business,
the
salience
of
the
heavy
business
as
it
changes,
basically ,
quarter
on
quarter ,
there
may
be
variations
in
the
overall
yield
and
also
the
zone
mix.

Typically ,
in
quarter
3
is
when
we
see
a
bump
up
in
realization,
both
because
the
salience
of
the
heavy
business
can
go
up,
and
slightly
heavier
products
get
shipped
out
in
quarter
3.
But
per
se,
no
change
overall
in
pricing
strategy
between
quarter
4
and
quarter
1.
So
on
the
express
side,
what
you're
seeing
is
really
just
a
shift
in
mix,
to
some

extent.
HITESH
GOEL:
And
how--
sorry .
Go
ahead,
go
ahead.
You
were
saying
something.
SAHIL
BARUA:
No,
I
was
just
going
to
answer
the
same
question
for
PTL--
same
thing
on
PTL.As
I
mentioned,
it's
a
mix
shift.
In
PTL,
we
have
three
broad
categories
of
customers.
One
is
major
accounts
or
enterprise
customers.
The
second
is
SMEs,
and
the
third
is
retail
and
aggregator
customers.

As
the
mix
across
the
three
varies,
there's
a
natural
variance
that
occurs
in
the
overall
yield
and
outside
of
which,
for
specific
20
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
customers,
there
are
provisions
that
we
take
which
can
affect
the
yield
in
any
given
quarter ,
but
no
change
in
pricing
strategy .
HITESH
GOEL:
Sure.
And
my
other
two
questions

are,
first,
is
also
on
the
network
utilization.
So
how
has
it
increased
or
decreased
as
you
have
set
up
more
infrastructure
over
Q-on-Q
basis?
SAHIL
BARUA:
The
network
utilization
in
quarter
1
is
obviously
slightly
lower
than
network
utilization
in
quarter
4
because
we've
expanded
at
an
overall
level
because
we've
expanded
midmile
facilities
in
preparation
for
the
rest
of
the
year.
And,
obviously ,
we've

increased
the
overall
count
of
delivery
stations
also
in
preparation
for
the
rest
of
the
year.
So
utilization
would
have
dropped
a
little
bit
to
that
extent.
That
said,
at
an
aggregate
level,
network
utilization
doesn't
really
have
any
meaning
because
it's
ultimately
just
an
aggregate
of
utilization
at
each
individual
facility
level.
What
I
can
tell
you
is
that
facility
level
utilizations,
for
us,
in

the
mid-mile
will
typically
vary
anywhere
from
about
70%-odd
at
the
lower
end
to
up
to
about
110%
in
various
locations.
And
in
the
delivery
stations
on
an
average,
my
sense
is
that
we
are,
at
this
point,
probably
close
to
about
60%
to
65%
utilized.
HITESH
GOEL:
OK.
And
you
touched
base
about
on
the
PTL
mix,
right?
So
I
just
want
to
get
more

sense
on
this.
So
what
is
your
mix
between
enterprise
SME
and
retail?
And
when
I
compare
the
yield
of
other
players
in
the
market,
their
yield
is
much
higher
because
I
think
the
mix
is
also
different
because
they're
more
towards
SME
or
retail.
So
can
you
shed
some
light
on
it?
How
should
we
look
at
it?
Because
we
are
closely
monitoring
the
yields

to
understand
the
profitability
in
the
PTL
business.

Is
that
the
right
way
to
look
at
it?

SAHIL
BARUA:
It
really
depends.

I
mean,
I
can't
really
comment
on
what
drives
the
yield

for
other
players
in
the
market.

The
way,
at
least,
we
look
at
it
internally
is
our
yield
is
determined
by
our
own
unit
economics
and
our
own
targets
in
terms
of

cross
21
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
margins
and
EBITDA
margins.
We
do
have,
obviously ,
different
pricing
strategy
for
enterprise
customers
versus
SMEs
versus
retail.
And,
obviously ,
the
pricing
strategy
generally
will
be
that
the
larger
the
customer ,
marginally ,
there
are
discounts
on
price.
So
retail
will
typically
be
highest
yield,
followed
by
SME,
followed
by
major
accounts.
In

terms
of
the
mix,
look,
one
is
we
don't
disclose
the
overall
mix.
And
the
second
is,
at
this
point,
providing
an
exact
breakup
of
the
mix
is
not
a
good
indication
of
the
future
because
our
ambition
is
not
to
grow
at
5%
a
year.
Our
ambition,
ultimately ,
is
there's
\$3-billion-\$5-billion
PTL
market.
And
delivery ,
at
this
point
in
time,
all
things
said
and
done,

we're
a
\$200-
\$250-million
player .
So
there's
a
long
way
to
go.
Our
ambition
will
be
to
gain
share
across
all
segments.
We
do
not
have
a
yield
protection
strategy ,
we
have
a
growth
strategy
and
a
margin
improvement
strategy .
And,
therefore,
I
don't
think
that
our
yield
will
remain
absolutely
predictable
going
forward.
HITESH
GOEL:
OK,
great.
Thanks,
Sahil,
and
all
the
best.
SAHIL
BARUA:

Thank
you.
OPERA TOR:
Next
question
is
from
Pulkit
Patni.
PULKIT
PATNI:
Yeah.
Actually ,
my
question
was
also
on
yield.
But
the
fact
that
you
said
that
your
focus
is
a
growth
strategy
and
not
yield,
I
think
it
partly
answers
maybe
just
an
extension
of
that.
Q1,
FY22,
your
realization
on
the
PTL
business
was
close
to
Rs.
11,000
per
ton,
which
has
come
down
to

Rs
9,900
per
ton
right
now.
And
this
is
happening
at
a
time
when
you
said
that
you
are
taking
out
some
of
the
low-yield
customers.
22
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
So
any
rough
math
as
to,
at
what
yield
level
do
we
think
we
bottom
out,
in
the
sense
that
we
can't
go
below
that?
And
any

numbers
that
you
have
based
on
the
cost
initiatives
that
you
are
undertaking?

SAHIL

BARUA:

Yeah.

Look,

I

think

let's

not

confuse

profitability

and

yield.

Let

me

give

you

an

example.

If

you

pick

up

an

LTL

freight

in

the

city

of

Delhi,

and

you're

delivering

LTL

freight

in

Faridabad,

the

yield

is

naturally

significantly

lower

than

if

you're

picking

it

up

in

Delhi

and

delivering

it
in
Cochin.
And
so
the
overall
yield
that
you
have
is
a
reflection
of
the
mix
of
your
business.
So
we
don't,
frankly ,
waste
a
lot
of
time
comparing
our
yield
to
any
of
our
other
competitors.
We
have
yield
targets
that
we
need
to
reach
for
every
single
load
that
we
carry .
And
we
have
the
systems
which
allow
us
to
price
every
single

load
accurately .
You
know ,
typically ,
players
in
this
space
have
relied
on
rule
of
thumb
guidelines
for
yield.
Because
we
tend
to
take
what
we
think
is
a
more
scientific
and
strategic
look
at
how
to
price
for
every
load.
So
as
we
have
culled
low
margin
customers,
that
may
or
may
not
have
any
sort
of
implication
in
terms
of
yield
remaining
stable,
going
down,

or
going
up.
You
can
have
unprofitable
customers
at
a
Rs.
16
per
kg.
yield.
And
you
can
have
highly
profitable
customers
at
a
Rs.
5
per
kg.
yield,
and
our
ambition,
of
course,
is
to
have
highly
profitable
customers
at
all
yield
points.
So,
I
don't
know
if
that
answers
your
question.
But
there's
no
minimum
yield
also
at
an
aggregated
level,
if
that
makes

any
sense.
If
it's
a
intra-city
load,
typically ,
we
would
argue
that's
sort
of
the
minimum
yield
you
require
is
about
Rs.
5
per
consignment.
And
then
of
course,
it
varies
depending
on
the
distance
that
you're
traveling.
PULKIT
PATNI:
Sure.
Sure.
So
effectively ,
from
Rs
11,000
per
ton
to
Rs
9,900
per
ton,
it's
really
not
any
discounts
on
rural
customers.
It's
just
the
mix

that
has
been
changing
through
this
period.
Or
things
like
distance,
et
cetera.
SAHIL
BARUA:
Absolutely .
OPERA TOR:
23
Delhivery
Ltd
Q1
FY24
Earnings
Ca

Il-
Hosted
by
Citi
August
5,
2023
The
next
question
is
from
Baiju
Joshi.
BAIJU
JOSHI:
Hi.
Am
I
audible?
SAHIL
BARUA:
Yeah.
Hi.
Hi.
Yes.
BAIJU
JOSHI:
Yes.
Thank
you.
Thank
you
for
the
opportunity .
I
have
two
questions
on
behalf

of
Aditya
Suresh.
if
I
may.
First
question
is
on
the
small
disruptions,
like
last
year,
there
were
rains,
and
then
again,
this
year,
there
were
a
couple
of
incidents.
So
just
wanted
to
understand
what
steps
you
can
take
at
your
end
to
tackle
such
disruptions
so
that
these
don't
cascade
into
bigger
issues.
SAHIL
BARUA:
It's
a
good
question.
You
know ,
we've
called
out

before
that
one
of
the
big
macro
risks
that
faces
the
company
is
disruption
through
weather .
At
our
end,
of
course,
we
have
a
fairly
rigorous
process
of
making
sure
that
our
infrastructure,
especially
the
spine
infrastructure,
is
resistant
to
all
forms
of
natural
calamities,
including
rain.
So
our
facilities
are
designed
as
such,
right
from
vehicle
ingress,
to
parking,
to
making
sure
we
have
staff

which
is
available
and
taken
care
of,
to
health
and
safety
measures.
So
we've
seen,
per
se,
no
major
disruption
in
our
spine
network
in
terms
of
the
ability
to
service
our
customers.
That
said,
customers
obviously
do
face
disruptions
in
their
operations
when
it's
raining
heavily .
And
as
a
consequence
of
that,
sometimes
that
may
lead
to
either
a
pileup
of
volumes,
which
means
too

much
volume.
And
in
some
situations,
customer
operations

may
be
shut.

There's
limited
control
that
we
have
on
that.

But
if
your
question
is,
is
the
network
managed
to
be
resistant
to
rain,
the
answer
is
yes.

BAIJU

JOSHI:

Thank
you.

And
secondly ,

can
you
provide
any
update

on
the
the
ONDC
network

and
any
use
cases
that
have
seen
considerable
traction

in
terms
of
volumes?

24

Delhivery
Ltd
Q1
FY24
Earnings
Call-
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by
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August
5,
2023
SAHIL
BARUA:
We
are
not
yet
significant
participants
on
the
ONDC
network.
I
think
ONDC
has
seen
some
traction,
especially
on
the
food
side.
I'm
not
aware
of
what
the
most
recent
numbers
are.
But
the
last,
I'd
heard
numbers
were
in
the
range
of--
weekend
orders
of
food
were
in
the
range
of

some
30k
to
40k
orders
a
day.
Look,
whenever ,
ONDC
plays
out,
we
will
be
meaningful
participants
as
required.
I
think
we
like
the
idea
that
we
have
the
ability
to
publish
a
price
and
a
service
level.
We
also
have
both
the
staffing,
the
technology ,
and
the
underlying
cost
advantage
to
service
any
demand
on
ONDC.
We
are
integrated.
We
continue
to
watch
it.
But

at
this
point,
we
are
not
active
participants.

BAIJU
JOSHI:
Thank
you
very
much.

OPERA TOR:
The
next
question
is

from
Ankita
Shah
ANKIT A
SHAH:
Hello?
Yeah.

Can
you
hear
me?

SAHIL
BARUA:
Yes,
Ankita.
Please
go
ahead.

ANKIT A
SHAH:
Yes,

hi.
So
you
shared
the
approximate
value
utilization
level
on
the
mid-mile
side,
but
on
the
first
and
last
mile,
will
it
be
possible
for
you

to
give
some
color
on
the
utilization
side?
SAHIL
BARUA:
Yeah,
utilization
on
the
last
mile,
as
I'd
mentioned,
Ankita,
is
in
the
range
of
about
60%
to
65%
of
theoretical
capacity .
That
said,
even
in
the
mid
mile
and
in
the
last
mile,
I
do
want
to
point
out
that
one
of
the
jobs
that
our
engineering
teams
perform
is
to
continuously
figure
out
how

we
can
release
additional
capacity .
So
the
110%
in
the
mid
mile,
also,
that
I
pointed
out,
the
reality
is
that
we
probably
25
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
have
the
ability
to
go
to
120,
125%
with
better
engineering,
which
we
continue
to
explore.
So
like
I
said,
I
wouldn't
read
too
much
into
aggregate
utilizations
across
the

network
at
this
point
in
time.
The
way
I
would
put
it
is,
there's
operating
leverage
in
the
business,
which
is
quite
evident.
I
think
we've
spoken
about
it
multiple
times
over
the
last
several
quarters.
And
the
second
is
that,
as
you're
aware,
at
the
gross
margin
level,
our
unit
economics
continue
to
be
highly
positive.
And
so
overall
utilization,
even
if
it
stays
flat,

volume
growth
should
deliver
returns
to
us.
And
if
we
con

tinue
to
see
these
engineering
opportunities
to
increase
productivity ,
we'll
see
an
improvement
in
margins.
But
there
is
a
reason
we
do
not
publish
aggregate
network
utilization.
I'm
aware
that
other
players
in
the
industry
once
in
a
while
do
provide
this
estimate.
But
in
our
view ,
providing
a
network
level
utilization
actually
is
dangerous

and
false.
ANKIT A
SHAH:
OK.
Secondly ,
this
is
for
clarification,
is
there
a
change
in
the
number
of
Q1
'23,
same
quarter
last
year,
volume
numbers
of
PTL
business?
Because
I
think
we've
published
239,000
tons
this
quarter ,
and
the
earlier
presentation
was
mentioning
262,000
tons.
So
just
wanted
to
clarify ,
or
I
can
take
it
offline.
SAHIL
BARUA:
I'll
ask
Amit
to
just
investigate
that

and
come
back
to
you,
but
per
se,
there's
no
change.
ANKIT A
SHAH:
OK.
I'll
take
that
check.
Secondly ,
last
question
from
my
side.
Last
two,
three
years,
if
I
look
at
the
annual
numbers,
there
was
an
increase
in
the
lost
shipments
number .
I
have
seen
a
quarter
on
quarter
basis,
for
Q1
this
year,
this
has
come
down.
But
on
a
full
year
basis,

any
outlook
on
where
this
number
can
be
on
a
yearly
basis,
full
year?
SAHIL
BARUA:
So
as
you
can
see,
the
total
loss
and
damage
expense
as
a
percentage
of
revenue
is
at
1.3%
in
this
quarter .
We
did
see
a
spike
in
quarter
one,
when
we
had
integration
issues.
And
this
was
more
reconciliation
related
loss
and
damages
that
we
had
to
26
Delhivery

Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
bear
in
Q1.
On
a
normalized
basis,
our
expectation
is
that
loss
and
damage
should
be
sub
1%
of
revenue.
And
that's
the
internal
target
that
we're
working
towards.
ANKIT A
SHAH:
OK.
Thank
you.
OPERA TOR:
The
next
question
is
from
Shrinidhi.
SHRINIDHI:
Yeah.
Hi,
I'm
audible?
SAHIL
BARUA:
Yeah.
Hi,
Shrinidhi.
Go
ahead.
SHRINIDHI:
Yeah.

Hi,
Sahil.
Thank
you.
Congratulations
on
a
good
set
of
numbers.
However ,
I
want
to
understand
the
operational
strategy ,
wherein
we
are
basically
integrating
mid-mile
operation
of
express
business
and
PTL
business.
In
that
context,
does
the
company
have
to
be
very
selective
in
terms
of
what
load
it
picks
from
the
retail
customers?
SAHIL
BARUA:
I
think
irrespective
of
our
strategy
of
integration,
we
have

to
be
selective
about
the
kinds
of
loads
that
we
pick
from
customers.

Our
view
has
been
very
simple,
which
is
that
we
look
for
loads
fundamentally .

Let
me
put
it
this
way.
We
do
not
do
loads
that
are
not
easily
transportable.

So
as
an
example,
we
don't
do
over-dimensional
cargo.

We
don't
do
hazardous
material.

We
don't
do
improperly
packaged
material
or
loosely
packaged

material
in
the
PTL
network
at
all.
It's
a
fairly
tightly
controlled
form
factor .
And
we
don't
do
loads
where
a
single
piece
weight
is
higher
than
400kg.
SHRINIDHI:
But
these
are
more
of
a
specialized
cargo,
right?
The
rest
of
the
market
itself
should
be
very
large,
which
could
be
integrated,
right?
27
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
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5,
2023

SAHIL
BARUA:
Absolutely .
SHRINIDHI:
OK.
And
does
the
load
characteristics
also
matter?
Like,
if
it
is
very
seasonal,
your
network
can't
handle
it?
And
is
the
load
coming
from
smaller
customers,
do
you
have
a
more
of
a
marketing
bandwidth
to
handle
it,
or
it
doesn't
matter
whether
a
customer
is
small
or
the
load
profile
through
the
seasonality
is
very
different?
SAHIL
BARUA:
The
whole

point
of
Delhivery
is
that
essentially
we
are
able
to
service
any
size
of
customer
with
any
form
of
load
that
fits
our
requirements.
As
I
mentioned,
there
are
a
small
set
of
things
that
we
don't
do,
but
outside
of
that,
irrespective
of
a
customer's
seasonal
requirements
or
a
customer's
size,
we
provide
exactly
the
same
service.
In
fact,
it's
not
only
our
ability
to

serve,
our
aim
really
is
to
be
the
lowest
cost
service
provider
for
absolutely
any
size
of
customer
and
to
be
the
highest
quality
service
provider
to
any
size
of
customer .
So
we
do
not
differentiate
in
terms
of
either
saying
we
can't
handle
your
loads
because
of
seaso

nality
or
we
can't
handle
your
loads
because
you're
a
small
customer
or
anything
of
the
sort.

Our
entire
network
is
designed
to
service
everyone.
SHRINIDHI:
Yeah.
Thank
you,
Sahil.
And
one
more
if
I
may.
In
one
of
the
presentation
deck,
you
highlighted
incremental
investment
in
marketing.
Is
it
directed
more
to
adding
SME
customers
in
the
PTL
business
with
your
network
getting
stabilized
and
service
level
back
to
the
level
you
want?
SAHIL
BARUA:
That's
exactly
correct.
We
have
no
particular

need
to
perform
marketing
for
our
e-commerce
business.
We're
already
the
market
leader .
And
I
think
we're
more
or
less
the
default
choice
for
anyone.
And
on
the
PTL
side,
I
think
what
we're
doing
is
expanding
our
local
presence
across
tier
two
and
tier
three
markets
across
the
country .
SHRINIDHI:
28
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
Thank
you,

Sahil.
Those
were
my
questions.

All
the
best.

SAHIL
BARUA:
Thank
you
very
much.

OPERA TOR:
The
next
question
is

from
Aditya
Mongia.

ADITYA
MONGIA:
Hi,
everyone.

The
first
question
that

I
had
was
more
on
the
adjusted
EBITDA
margins
that
you
reported
in
the
first
quarter .

All
right.
Now

I
see
this
is
a
200
basis
points
improvement
over
FY22.

What
I
wanted
to
understand
was

that,
should
we
assume
that
the
FY22
was
a
good
reflection
of
seasonality
across
quarters,
and
thus
the
full
year
FY24
numbers
should
be
200
basis
points
higher
and
probably
even
more
so,
given
the
cost
improvements
that
have
happened
in
this
period?
SAHIL
BARUA:
So
Aditya,
you're
breaking
up
a
little
bit,
but
I
think
I
got
the
gist
of
your
question.
I
think,
far

be
it
for
me
to
suggest
what
you
should
or
should
not
assume,
but
broadly ,
what
I
can
certainly
tell
you
is
that,
yes,
our
margins
in
FY24
are
200
basis
points
better
than
they
were
in
fiscal
'22.
On
a
larger
network,
as
well,
and
on
lower
realizations.
So
that
should
give
you
a
sense
of
the
operating
leverage
in
the
business.
I
do
think

there
are
certain
structural
factors
in
fiscal
'24
which
are
you
know
better
than
fiscal
'22.

ADITYA
MONGIA:
The
second
question
that

I
mentioned
was,
Can
you
hear
me?

SAHIL
BARUA:
Yeah.

I
can
hear
you,
but
I
think
you
missed
my
answer ,
which
is
fine.

So
why
don't
you
go
ahead?

ADITYA
MONGIA:

On
the
recent
announcement
by
Flipkart
to
enter
the
express
B2B
space,

the
question
that
I
had
was,
do
you
think
that
given
the
benefits
of
being
inside
29
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
express
B2B
as
a
syner gistic
step,
along
with
B2C,
these
kind
of
strategic
actions
would
happen
more
and
more
by
almost
all
e-commerce
players?
And
obviously ,
if
that
is
the
case,
does
that
make
us
more
worried

about
us
retaining
this
competitive
market
advantage
over
time?
SAHIL
BARUA:
Aditya,
can
you
hear
me?
Just
checking.
ADITYA
MONGIA:
Yeah.
I
can
hear
you
well.
SAHIL
BARUA:
All
right.
I'll
answer
your
question,
but
I
think
there's
some
background
noise.
Ok.
I
think
Aditya's
question
was
essentially ,
are
we
worried
about
the
fact
that
Flipkart
has
decided
to
get
into
B2B
logistics?
The
short
answer

to
this
is
no
and
fundamentally
for
a
couple
of
reasons.
One,
very,
very
simply ,
is
that
fundamentally ,
the
PTL
model
that
you
require
to
establish,
it
needs
to
have
a
distributed
network
of
our
kind.
Which,
in
our
belief,
certain
networks
do
not
have.
And
so
the
ability
to
scale
up
their
B2B
businesses
is
uncertain.
The
second
is,
I
don't
see
any
strategic
advantage

or
strategic
rationale
for
captives
to
be
in
this
business
at
all.
First
of
all,
it
doesn't
make
any
sense
for
a
captive
whose
job
is
to
provide
theoretically
a
higher
customer
experience
to
the
e-commerce
brand
going
out
and,
let's
say,
delivering
spare
parts
for
Tata
Motors
to
their
dealers.
I
mean,
I
don't
understand
what
the
logic
for
that
is
at
all
and
how

this
is
capital
efficient
whatsoever .
So
there's
a
strategic
misalignment.
There's
an
economic
misalignment.
There's
an
execution
misalignment.
I
think
making
an
an

nouncement
is
the
easiest
part
of
setting
up
a
business.
So
the
rest
of
it,
we'll
see.
But
let's
say,
if
your
question
is,
are
we
worried,
the
short
answer
is
no.
We
have
the
infrastructure.
We
have
the
capability .
We
have
the

team
and
we
have
the
economics
to
continue
to
grow
in
this
market
irrespective
of
individual
strategies
by
the
captives.

ADITYA
MONGIA:

Just
a
last
question
from
my
side.

Your
4Q
adjusted
EBITDA
numbers
for
FY22,
which
were
3.5%

on
the
positive
side,
were
these
stable
numbers
for

a
fourth
quarter ,

or
did
they
have

any
Shopee
scale-up
driven
effect?

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Delhivery
Ltd
Q1
FY24
Earnings

Call-
Hosted
by
Citi
August
5,
2023
SAHIL
BARUA:
Yeah,
if
you
were
to
look
at
quarter
three,
quarter
three
was
also
positive
when
the
influence
of
Shopee
was
not
as
large.
So
yes,
there
was
some
impact
from
Shopee.
But
it
was
not
as
significant,
perhaps,
as
you
think.
Outside
of
which,
as
I
mentioned,
there
are
structural
factors
in
our
business
in
this
financial

year
which
are
different
from
where
we
were
in
financial
'22.
We
have
larger,
higher
scale
hubs,
which
are
more
automated,
higher
productivities.
And
we
also
have
a
significantly
more
developed
trucking
network.
And
we've
also
been
jettisoning
low-mar gin
customers.
So
let
us
see
as
the
business
plays
out.
Financial
'22
was
a
good
indication
of
how
operating
leverage
in
our
business
plays
out.
But
neither

financial
'22
nor
financial
'24
is
going
to
reflect
exactly
what
the
long-term
economics
of
the
business
are
going
to
look
like.

ADITY A
MONGIA:
Well,
thank
you
for
those
answers.
Those
are
my
questions.

SAHIL
BARUA:
Thank
you.

OPERA TOR:
Next
question
we
have
is
from
Rishabh
Parekh.
RISHABH
PAREKH:
Hi.
Can
you
hear
me?
SAHIL
BARUA:
Yes,
please.
Go
ahead,
Rishabh.
RISHABH
PAREKH:
So
I
just

had
one
question,
incrementally ,
we
have
guided
that
our
gross
margin
will
be
50%
odd
of
our
incremental
transport
revenue.
This
quarter
is
about
38%.
31
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
So
what
would
you
attribute
that
to?
And
going
forward,
do
you
think
we
can
hit
the
50%
mark
over
the
next
three,
four
quarters?
Thanks.
SAHIL
BARUA:

Thanks,
Rishabh.
Yeah,
that's
a
good
point.
I
think
we
would
probably
have
ended
up
at
the
50%
mark,
in
any
case.
I
think
there
was
some
volatility
which
came
from
the
weather
towards
the
end.
One
of
the
things
it
does
is
it
reduces
last
mile
productivity
to
some
extent
because
the
number
of
deliveries
per
person
comes
down,
obviously ,
because
of
the
impact
of

the
rains.
That's
one
of
the
reasons
why
incremental
cost
margins
in
this
quarter
look
a
little
softer
than
they
have
in
the
past.
How
much
further
will
the
50%
incremental
GMs
continue?
As
I'd
mentioned,
this
question's
been
asked
quarter
on
quarter .
When
we
began
in
quarter
two
last
year
answering
this
question,
at
that
point,
our
estimation
was
that
it
would
last
three
quarter ,

four.
But
we've
been
pleasantly
surprised
that
incremental
GMs
have
continued
to
remain
high
in
quarter
four
and
in
quarter
one.
And
as
of
now,
I
do
think
that
we
have
capacity
in
the
network.
And
our
engineering
is
strong
enough
to
allow
us
to
continue
to
see
high-incremental
gross
margins
in
the
near
future.
Long-term,
our
expectation,
of
course,
when
capacity
utilization
normalizes
is
that

incremental
gross
margins
will
be
in
the
30%
to
35%
kind
of
range.
But
whether
we'll
be
there
exactly
in
this
quarter ,
or
the
next
quarter ,
or
the
quarter
after
is
not
something
I
can
immediately
comment
on.
RISHABH
PAREKH:
Understood.
Thank
you.
Thank
you
very
much.
OPERA TOR:
Next
question
is
from
Naitik
Mody .
NAITIK
MODY :
Hi.
Thanks
for
the
opportunity .
Can
you
hear
me?
SAHIL

BARUA:

Yes,
absolutely .
Please

go
ahead,
Naitik.

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Delhivery
Ltd
Q1

FY24
Earnings
Call-
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by

Citi
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5,
2023

NAITIK
MODY :

Yeah,
Sahil
again,
my
question
on
the
PTL
business.

So
the
incremental
business
this
quarter ,
quarter
on
quarter ,
has
come
at
a
much
lower
realization.

So
I
just
wanted
s

ome
understanding
on
that.

SAHIL

BARUA:

Yeah,
as

I
mentioned,
I
think
this
is

a
combination.
This
is
a
mix
impact
and
also
an
impact
of
what
lanes
we're
servicing.
As
I
mentioned,
the
three
major
segments
of
the
business
are
major
accounts,
SME,
and
retail.
So
one
is
this
automatically
as
the
mix
of
those
customers
changes,
yield
may
change
a
little
bit.
The
second
is
within
those
customers,
obviously ,
as
they
expand
their
relationships
with
us,
it's
possible

that
they're
shipping
on
some
lanes
which
are
shorter
distance
lanes,
for
instance,
therefore
affecting
yield.
I
wouldn't
look
at
yield
necessarily .
Internally ,
what
we
look
at
is
gross
margin
for
the
PTL
business
and
EBITDA
for
the
PTL
business,
as
long
as
those
are
trending
upwards
on
an
absolute
and
a
relative
basis,
where
we
don't
have
to
worry
about
changes
in
yield.
If
your

question
is,
has
there
been
any
change
in
pricing,
the
answer
is
no.
NAITIK
MODY :
Thanks.
And
on
the
service
EBITDA,
we
have
made
about
Rs
197
Cr.
Of
that,
how
much
losses
would
be
there
in
the
non-transportation
business?
SAHIL
BARUA:
Amit,
do
you
want
to
take
that
question?
AMIT
AGAR WAL:
Could
you
please
repeat
the
question?
NAITIK
MODY :
Sure.
Out
of
the
service
EBITDA

that
we've
reported
of
about
Rs.
197
Cr.
This
consists
of
what
losses
from
the
non-transportation
business?
AMIT
AGAR WAL:
33
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
Yeah.
The
service
EBITDA
of
non-transportation
businesses
would
put
together
be
almost
flat
or
about
to
take
two
percentage
points.
NAITIK
MODY :
Yeah,
oh,
OK.
All
right.
Fine.
Thank
you.
OPERA TOR:
Next
question
is

from
Mayur
Gathani.
MAYUR
GATHANI:
Thank
you
for
the
opportunity .
I
just
wanted
to
check,
you
mentioned
something
on
the
SaaS
in
the
presentation.
And
maybe
I
missed
it.
Can
you
throw
some
more
light
on
what
that
was
and
what
are
you
referring
to?
First
question.
And
second
was,
you've
been
very
confident
on
the
margin
front,
on
the
volume
front.
But
the
margins
have

been
on
the
weaker
side
because
you
have
increments
this
quarter .
You
have
some
one-of f
expenses
for
expansion,
that
you're
expecting
a
lot
of
growth
in
the
second
half.
So
this
will
continue
in
quarter
two?
Or
this
is
what
you
had
to
do
and
now
you
will
see
a
significant
improvement
in
margins
as
volumes
increase?
SAHIL
BARUA:
Sure.
Why ,
let
me
answer
the
second

question
quickly
because
that's
a
much
shorter
answer .
As
you
can
see,
in
every
year,
margins
begin
to
improve
in
quarter
two
and
that
continues
through
the
financial
year.
Our
wage
increments,
obviously ,
hit
us
in
quarter
one.
And
as
I'd
mentioned
during
the
question
from
Mukesh
Saraf,
we
typically
see
about
60%
to
70%
of
our
planned
infrastructure
development
to
happen
in
quarter
one.
So

no,
I
don't
expect
any
significant
increase
in
the
fixed
cost
base
going
forward
in
Q2,
Q3,
Q4.
We
do
expect
volumes
to
grow
through
the
rest
of
the
financial
year.
And
so
the
operating
leverage
should
play
out.
And
margins
should
improve
as
volume
growth
kicks
in.
Obviously ,
bear
in
mind
that
quarter
three,
quarter
four
are
seasonally
high
quarters,
both
for
e-commerce,
as
well

as
for
PTL.
Coming
to
your
first
question
on
platform
and
Dispatch
One,
as
I've
mentioned
multiple
times,
OS1
is
the
platform
that
we've
been
building
for
the
last
three
and
a
half
years.
Think
of
it
as
building
Android
for
logistics,
effectively ,
an
operating
34
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
system
which
allows
logistics
operators,
enterprises
to
essentially

build
their
own
logistics
applications,
and
also
to
integrate
with
the
Delhivery' s
logistics
systems.
It's
aimed
at
small
scale
operators
both
in
India
and
the
rest
of
the
world.
They
have
the
ability
to
use
our
first-party
applications,
which
is
dispatch
one
is
one
example
of
that,
which
we've
launched,
which
allows
last
mile
operators
to
essentially
use
our
dispatch
service.
So
it's
exactly
the
same

as
the
Delhivery's
dispatch
service

.
And
they
also
have
the
ability
to
customize
it
to
their
specific
needs
in
case
they
have
highly
specific
product
requirements.

This
is
aimed
at
companies
both
in
India
and
outside
India.

So
we're
going
to
be
targeting
both
the
Middle
East
and
the
US
as
potential
customers.

We
have
10
potential
customers
that
we're
speaking
to.
It'll
be
monetized

similar
to
a
standard
SaaS
product.
But
that
said,
this
isn't
going
to
be
a
significant
portion
of
our
revenues
at
all
through
this
year,
we're
still
at
an
early
deployment
stage.
So
first-party
software
is
one
part
of
what
we're
doing,
which
is
the
SaaS
product.
The
second
is
also
allowing
other
logistics
applications
to
ride
on
top
of
our
platform.
So
you
will
remember

that
we
acquired
a
company
called
Algorythm,
which
provides
data
services
in
the
supply
chain
services
space.
So
that
will
also
be
deployable
on
top
of
our
platform
stack.
And
similarly ,
other ,
for
example,
routing
applications
or
scheduling
applications
can
also
be
deployed
on
top
of
the
OS1
stack,
which
will
then
be
available
to
all
of
the
customers
who
Delhivery
services.
So
that's
broadly
the

platform
strategy .
This
is
the
first
commercial
deployment
that
we're
doing.
It's
on
schedule
as
of
now.
We
don't
expect
it
to
form
any
significant
portion
of
revenue
profits
in
this
year.
Hopefully ,
we'll
start
seeing
monetization
slightly
more
significantly
in
the
next
financial.
MAYUR
GATHANI:
So
just
to
understand
better ,
you
are
saying
that
you've
developed
a
platform
on
the
Delhivery
basis,
where
third-party
logistics

company
can
take
it
from
you
and
run
their
own
business
in
India,
as
well
as
outside.
SAHIL
BARUA:
That's
right.
They
can
use
both
our
first-party
applications
or
they
can
use
components
of
the
platform
to
build
their
own
logistics
applications
as
well
if
they
happen
to
have
the
resources
to
do
so.
We
provide
them
the
basic
libraries,
35
Delhivery
Ltd
Q1
FY24
Earnings

Call-
Hosted
by
Citi
August
5,
2023
the
basic
toolkits,
that
they
need
to
do
so,
and
also
the
configuration
layers
if
they
need
to
do
so.
So
let's
say
you're
a
large
logistics
company .
You
can
use
the
base
components
of
platform
to
build
your
own
logistics
applications.
Let's
say
you're
a
small
logistics
company
and
you
want
a
first-party
dispatch
application,
we'll
provide
it

to
you.
Let's
say
you're
a
logistics
SaaS
company
which
wants
to
offer
your
services
to
customers
who
are
using
Delhivery' s
logistics
stack,
you
can
do
that
as
well.
So
that's
broadly
what
platform
is.
MAYUR
GATHANI:
Sorry .
Just
to
ponder
a
little
bit
more
on
this.
So
will
it
be--
why
would
someone
use
your
software?
Because
wouldn't
it
be,
you
know
giving
their
information,

their
client
information,
to
you?

SAHIL
BARUA:
No.

The
data
is
similar
to
how
you
would
use,
as
an
example,
AWS.
Data
jurisdiction
is
very
clear .
Delhivery
does
not
have
access
to
proprietary
data.
All
of
the
data
belongs
to
the
specific
company
which
is
utilizing
our
services.

And
we
have
no
access
to
it.
MAYUR
GATHANI:
And
we
see
a
better
monetization
for
numbers
coming

from
FY25
onward.
This
is
just
the
start?
SAHIL
BARUA:
Yes.
MAYUR
GATHANI:
Thank
you.
And
all
the
very
best.
SAHIL
BARUA:
Thank
you.
OPERA TOR:
Next
question
is
from
Keshav
Bagri.
36
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
KESHA V
BAGRI:
Hello.
Hi,
Sahil.
Am
I
audible?
SAHIL
BARUA:
Yes,
Keshav .
Please
go
ahead.
KESHA V
BAGRI:
So
my
question
is
more

from
a
business
perspective.
We
strive
to
offer
the
best
services
at
the
best
price.
But
don't
you
think
that
price
should
command
a
premium
in
the
market?
And
if
we
are
not
focusing
much
on
the
pricing
part
of
the
picture,
then
how
our
cost
efficiency
is
lying?
Because
I
think
that
there's
a
lot
of
infrastructure
integration
which
we
have
done
with
SpotOn.
So

if
you
could
just
explain
me
this.
SAHIL
BARUA:
Certainly ,
Keshav .
It's
not
necessary
that
the
best
product
should
always
be
the
most
expensive
product.
If
that
were
the
case,
as
an
examp
le,
cloud
computing
would
have
died
at
the
start.
The
fact
is
that
certain
businesses
are
the
plumbing
of
how
other
businesses
work.
And
logistics
is
one
of
those.
If
your
payment
gateway

said,
we
are
the
highest
quality
payment
gateway
and,
therefore,
you
should
pay
us
the
highest
charges,
there'd
be
no
electronic
payments.
And
our
view
is
that
logistics
is
more
or
less
exactly
the
same.
You
must
remember
that,
ultimately .
And
we
remember ,
our
stated
strategy
is
that
we
are
a
cost
input
to
all
of
our
customers.
Every
dollar
that
we
save
our
customers
is

a
dollar
that
they
get
to
invest
in
growing
their
businesses.
And
every
dollar
that
they
invest
in
growing
their
businesses
is
ultimately
a
dollar
of
revenue
that
comes
back
to
us
and
allows
us
to
scale
further .
Delhivery' s
stated
strategy
has
always
been
and
will
always
be
to
be
the
most
efficient
and
lowest
cost
provider
of
services
to
all
of
our
customers
and
all

of
our
business
lines.
In
fact,
I
think
the
big
fallacy
in
logistics
has
always
been
the
desire
to
be
a
high-priced
yield
manager .
I
think
there
are
specific
verticals
where
that
makes
sense.
If
you
were
delivering
vaccines,
certainly ,
being
a
premium
player
would
make
sense,
if
you
were
running
cold
chain,
perhaps.
But
what
we
do
fundamentally
is
high
scale.
And
we
are
a

cost
input
to
highly
cost-sensitive
customers.
And
we
therefore
have
to
be
the
lowest
cost
service
provider .
37
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
KESHA V
BAGRI:
That
works.
And
my
second
point
would
be
on
the
warehousing
space,
what
are
we
offering
there?
Because
I
think
Safexpress
has
released
their
annual
statements.
And
they
have
touched
around
Rs
3,000
crore

revenue
in
express
parcels.
And
they
were
very
bullish
about
the
warehousing
space.
So
I
just
wanted
to
understand,
what
is
the
delhivery
proposal
in
that
space?
SAHIL
BARUA:
We
provide
fulfillment
centers
both
for
B2C
commerce,
as
well
as
for
B2B.
It's
essentially
an
integrated
supply
chain
solution.
So
let's
say
you're
an
e-commerce
company
or
D2C
company
which
requires
warehousing
space
for
your
inventory

across
the
country .
We
provide
it
on
a
variable
basis
so
that
you
don't
have
to
invest
upfront
in
the
fixed
costs
of
warehousing.
We
also
allow
you
to
distribute
your
inventory
across
the
country
and
essentially
allow
you
to
create
a
white
label
Amazon
Prime
kind
of
service.
On
the
B2B
side,
it's
an
integrated
supply
chain
solution.
So
essentially ,
we
help
companies
design
and

execute
their
supply
chains.
We
both,
obviously ,
help
them
store
inventory
and
transport
inventory
to
and
from
plants
and
warehouses
across
the
country
and
then
to
dealers
or
to
customers.
And
through
Algorythm
and
through
Vinculum,
we
also
have
the
ability
to
help
them
optimize
inventory
placement,
and
fill
rates,
and
transport
selection.
So
warehousing,
obviously ,
is
knit
into
the
whole
supply
chain
services
and
transportation

ecosystem.
KESHA V
BAGRI:
So
continuing
my
point
on
the
business
ideology ,
I
just
wanted
to
ask,
how
far
are
we
from
volumes
which
would
help
us
realize
EBITDA
level
profitability?
Because
I
think
we
are
doing
good
as
far
as
PTL
volumes
are
concerned.
I
think
we
have
reached
a
significant,
I
would
say,
stage
of
saturation
of
the
service
levels.
So
how
far
are
we

from
the
volumes?
So
could
you
please
just?
SAHIL
BARUA:
Certainly ,
Keshav .
I
think
if
you
look
at
quarter
four,
you
can
see
that
we
had
a
bit
of
break-even
in
quarter
four.
And
so
our
estimation
is
that
this
year,
we
will
have
quarters
where
we
will
break-even.
So
clearly ,
we
are
not
far
from
volumes
being
large
enough
for
us
to
be
break-even
at

an
adjusted
EBITDA
level.
Our
ambition,
38
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
as
I
mentioned
in
the
past,
is
also
to
be
generating
net
profits
by
the
time
we
are
late
financial
'25,
early
financial
'26.
Over
the
next
couple
of
quarters,
though,
do
bear
in
mind
the
market
is
very
large.
India
is
anomalous
a

s
a
market

in
terms
of
the
fact
that
we
don't
have
a
single
large
logistics
company .

As
India's
largest
integrated
service
provider ,
we
are,as
of
last
year,
we
were
less
than
\$1
billion
in
revenue.

I
think
our
focus,
really ,
first
of
all
is
also
to
grow
in
size,
which
is
really
to
be
a
\$5,
\$7,
\$10
billion
company
in
revenue
terms.
And
so
in
the
short-term,

as
we
continue
to
make
capacity
investments
in
any
single
quarter ,
our
adjusted
EBITDA
margins
are
that
margins
may
be
negative
if
we
expand
capacity
heavily .
This
is
based
on
our
assessment
of
future
growth.
But
this
year,
again,
as
we've
seen
in
financial
'22
and
in
financial
'23,
I
think
operating
leverage
will
kick
in.
And
we
will
see
profitable
quarters
this
year
as
well.

KESHA V
BAGRI:
And
my
last
question
would
be,
on
the
competitive
side,
I
think
Maersk
has
also
announced
that
it
is
entering
the
express
parcel
business
with
a
flat
rate
of
some
Rs.
80
per
parcel
in
all.
Plus,
there's
a
lot
of
cash
on
the
balance
sheet.
And
I
know
the
proceeds
have
just
begun,
have
just
come
out
18
months
back.
So
how
are

you
planning
to
use
that?
Is
it
more
on
the
acquisition
side?

Or
are
you
going
to
add
more
trucks
and
more
physical
facilities?

So
could
you
please
just?

SAHIL
BARUA:
Sure.

I
think
for
us,
strategically ,
we've
always
been
clear ,
which
is
we
will
continue
to
build
capacity
to
service
the
market,
which
means
expanding
our
mid-mile
facilities,
which
means
expanding
our
trucking
network,
continuing

to
gain
scale.
And
so
portion
of
the
cash
that
we've
raised
at
the
moment.
We'll
continue
to
be
invested
in
expanding
capacity .
We
obviously
believe
that
we
are
a
natural
consolidator
in
this
market.
And
we
do
look
for
inorganic
opportunities
for
growth
as
well.
And
so
a
certain
amount
of
our
capital,
should
we
find
the
right
asset
at
the
right
price,
will
be

deployed
towards
acquisitions
if
required.
We
made
a
couple
of
bold
acquisitions
on
the
tech
side,
in
any
case,
over
the
last
couple
of
quarters.
And
outside
of
that,
some
of
it
is
also
ultimately
within
a
volatile
and
uncertain
world.
And
so
it
provides
a
buffer
of
safety
to
the
company .
Having
a
strong
balance
sheet,
I
think,
is
also
a
competitive
advantage
to
us.

39
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
About
Maersk,
specifically ,
I
can't
really
comment
too
much
because
I
have
no
idea
why
an
ocean
freight
company
wishes
to
compete
in
an
express
parcel
market.
But
I
doubt
that
it's
likely
to
be
a
very
successful
strategy ,
at
least
in
the
short
to
mid-term.
It's
an
entirely
new
capability
for
them.

And
if
you
ask
me,
the
Rs.
80
price
point
is
higher
than
the
price
point
that
players
in
the
market,
not
just
Delhivery ,
but
other
players
in
the
market
already
offer.
So
I'm
not
really
sure
what
the
value
proposition
is
at
all.

KESHA V

BAGRI:

Thank

you.

That

is

great.

OPERA TOR:

Next

question

is

from

Dheeresh

Pathak.

DHEERESH

PATHAK:

Hello,

am

I

audible?

SAHIL

BARUA:

Yeah,
hi,
Dheeresh.

You
are.
Please
go
ahead.

DHEERESH
PATHAK

Hi,
thank
you
for
taking
my
question.

This
slide,
which

is
there
on

ESOP
charge,
shows
this
year's
comp
cycle,
if

I
heard
correctly ,
you
said
is
already
over.

And
this
year,
gave
two
million
ESOPs,
right?

SAHIL
BARUA:
That's
correct.

DHEERESH
PATHAK:

OK,
and
what
was
this
number
last
year?

SAHIL
BARUA:
Amit.
Can
you

take
this
question,
please?
AMIT
AGAR WAL:
40
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
I'll
just
pull
in
the
last
quarter's
results.
DHEERESH
PATHAK:
So
my
basic
question
was,
where
I
was
getting
to
was,
that
on
a
steady-state
basis,
you
share.
In
a
steady
state,
we'll
have
30,
35%
gross
margin.
So
what
is
the
steady-state
ESOP
charge?
Because
in

this
table,
as
of
now,
FY28,
it
shows
zero,
right?
But
as
time
passes,
you
have
grants
being
done.
So
on
a
steady-state
basis,
what
is
going
to
be
the
ESOP
P&L
charge?
AMIT
AGAR WAL:
Apar ,
can
you
please
jump
to
that
slide?
So
I'll
just
summarize
how
our
ESOPs
are
structure

d.
There
are
two
portions
of
our
stock
options,
performance-based
and
time-based.
Can
you

go
to
the
previous
slide,
please?
Yeah,
the
ESOPs
which
are
ungranted
today
stand
at
a
total
of
about
39
million
stock
options,
out
of
which
time-based
are
24
million
stock
options.
And
performance-based
are
almost
15
million
stock
options.
These
performance-based
stock
options
vest
at
a
share
price
level
of
Rs.
800
a
share,
Rs.
1,000
a
share,
and
Rs.
1,200
a
share.
The
charge

for
the
performance-based
stock
options
granted
has
been
shared
separately
from
the
charge
based
on
the
time-based
stock
options.
The
grant
of
the
two
million
stock
options
that
happened
this
quarter
was
of
the
time-based
stock
options.
And
correspondingly ,
the
charge
will
be
close
to
about
Rs.
80
crore
for
the
full
year.
So
as
you
can
see,
if
we
were
to
use
somewhere
around,
let's

say
three
million
stock
options
a
year
on
time-based,
the
three
to
four
million,
the
pool
would
last
about
six
to
eight
years
for
us.
And
equally ,
if
we
were
to
use
about
two
million
performance-based
stock
options
per
year,
again,
the
pool
would
last
an
average
of
about
seven
years.
DHEERESH
PATHAK:
Understood.
So
on
average,
you're
giving
two
to
three
million
ESOPs
per
year.

And
these
are
given
at
face
value,
right?
AMIT
AGAR WAL:
Yes,
I
mean,
I
said
that,
roughly ,
you
should
assume
that
three
million
odd
are
the
time-based
stock
options
per
year,
and
about
2
and
half,
to
2.5
million
performance-based
stock
options.
The
performance-based
stock
options
costing
41
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
gets
adjusted
downward
because
of
the

probabilistic
event
of
achieving
these
share
prices.
Just
from
an
accounting
standpoint,
this
cost
doesn't
get
reversed
in
accounts
if
the
price
level
is
not
met.
And
equally ,
there
will
be
no
dilution
corresponding
to
these
either .
DHEERESH
PATHAK:
Understood.
And
coming
to
this
slide
11,
which
is
on
the
incremental
adjusted
EBITDA
movement,
now,
some
of
the
costs
are
related
to
capacity
expansion.
But
if

we
take
out
some
of
those,
for
example,
DC
capacity
expansion
was
Rs
2
crores,
then
there
is
a
Rs
13
crore
increase
in
transport
fixed
cost.
Some
of
that
is
mid-mile
capacity
investment.
And
some
of
it
is
business
as
usual
increases
in
salary .
So
my
point
is
that,
even
if
we
take
out
some
of
the
costs
which
are
related
to
capacity
expansion,
then

the
increase
in
transportation
service
EBITDA,
corresponding
to
the
increase
in
transport
revenue,
obviously ,
you
have
not
given
the
breakup.
First
of
all,
if
you
can
give
the
breakup--
so
for
example,
Rs.
2
crore,
I
can
clearly
take
out
and
add
back
to
the
Rs.
-6
crore,
right?
But
out
of
this
Rs.
13
crore,
how
much
is
mid-mile
capacity
expansion?
AMIT
AGAR WAL:
So
I

think
one
other
important
part
to
look
at
is
the
security
and
extreme
weather -related
impact.
This
has
been
estimated
at
a
conservative
level,
where
parts
of
the
country
have
been
completely
shut.
And
our
estimate
is
that
we
would
have
lost,
about
1/2
to
one
million
package
volume
in
this
period
and
we
continue
to
pay
wages
for
all
our
staff
and
ensure
their
security .
So

if
you
were
to
just
add
Rs.
2
Cr
and
Rs.
4
Cr,
this
will
make
the
service
EBITDA
impact
neutral.
And
the
mid-mile
capacity
expansion
would
have
been,
I
think
about
Rs.
8
to
9
crore
out
of
that
Rs.
13
crore
impact
here.
DHEERESH
PATHAK:
So
you
add
another
Rs.
4
crore.
So
basically ,
on
Rs.
44
crores
of
incremental
revenue
adjusted
for
all

these
things,
you
have
a
Rs.
4
crore
increase
in
transport.
AMIT
AGAR WAL:
42
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
No,
you
would
add
Rs.
8
crore.
You
would
add
back
Rs.
2
crore.
You
would
add
back
Rs.
4
crore
from
the
security .
And
you
would
add
back
Rs.
8
crore
from
the
mid-mile
capacity .
DHEERESH
PATHAK:
OK,
OK.

So,
and
then
you
have
these
increase
in
corporate
cost
also.
So
in
this,
the
only
thing
which
is
one-of f
seems
to
be
this
Rs.
5
crore,
one-time
milestone-based
pa

yment.
So
net-net
the
costs
are
also
increasing.

And
the
increase
in
service
EBITDA
is

not
able
to
take
care
of,
at
that
scale
that
we
are
operating
in.

SAHIL
BARUA:

In
this
quarter .

DHEERESH
PATHAK:

Hmm?

In
this
quarter .

SAHIL
BARUA:

In
this
quarter ,
I
think
the
point
that
we've
been
making
consistently
is
that
these
are
in
preparation
for
larger
volumes
going
forward.

I
wouldn't
read
too
much
into
the
numbers
from
any
single
quarter .

DHEERESH
PATHAK:

But
then
the
adjustment
that
we
were
doing
was
to
take
out
those
costs,
right,
which
are
arising
because
of
the
scale
investment.

And
then
after
making
those
adjustments,
we
are
saying
that
increase
in
corporate
costs
are
not
able
to
take
care
of
the
increase
in
transport
service
EBITDA
after
having
made
the
adjustments
for
scale
investments.
SAHIL
BARUA:
I'm
sorry ,
the
increase
in
corporate
costs
of
Rs.
6
crores
in
salaries
is
an
increase
linked
to
our
annual
performance.
We
have
an
incremental
revenue
of
Rs.
44

crores.
Incremental
gross
profit
is
Rs.
17
crores,
which
is
quite
obviously
visible.
There
are
certain
network
investments
that
have
been
made
because
we
expect
significant
incremental
revenues
through
the
rest
of
the
year,
which
will
come
43
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
through.
Our
corporate
costs
are
not
expected
to
rise
through
the
rest
of
the
year.
The

remaining
fixed
costs
are
not
expected
to
rise
through
the
rest
of
the
year.
DHEERESH
PATHAK:
Understood.
OK,
thank
you
for
explaining.
VIJIT
JAIN:
All
right,
we're
at
the
end
of
the
Q&A.
So
Sahil,
Amit,
I'll
just
jump
in
with
a
few
questions
from
my
side,
if
that's
ok.
Yeah,
so
one
of
the
things
you
mentioned
in
your
earlier
presentation
also
is
that
you've

closed
some
of
the
partner
constellation
last
mile
centers,
opened
new
express
delivery
centers
of
your
own
and
you
mentioned
that
the
larger
partner
centers
were
moved
in-house.
So
I'm
just
wondering,
is
this
driven
by,
as
partner
centers
become
larger,
the
scope
for
deployment
of
automation?
And
you
do
prefer
to
do
that
in-house?
Is
that
how
I
should
think
about
it?
Or
is
this

a
one-of f
thing,
or
is
it
a
structural
change,
in
that
sense?
SAHIL
BARUA:
It's
a
tactical
thing
that
we
keep
doing
on
a
regular
basis.
These
are
small
delivery
stations.
The
constellation
program
is
where
somebody
in
a
local
market
can
run
a
delivery
station
for
us.
It's
not
because
there's
scope
to
automate
or
anything
of
the
sort.
I
think
when
volumes
become
large,

typically
there
are
certain
processes
that
need
to
be
built-in,
which
are
done
through
our
own
delivery
centers,
then
through
partner
centers.
Partners
may
continue
with
us.
What
typically
happens
is
that
you
split
the
network.
So
for
example,
if
you
were
running
a
telecom
network
as
traffic
and
a
cell
site
becomes
larger,
you
split
the
cell
site.
Similarly ,
in
logistics,
when
the
volume
in

our
DC
becomes
large
enough,
we
split
the
DC.
It's
a
fairly
tactical
and
sort
of
routine
process.
VIJIT
JAIN:
Got
it,
understood.
And
my
next
questions
are
just
some
housekeeping
questions.
So
first,
if
you
can
explain
what
you
meant,
Amit,
on
some
changes
to
other
expenses
and
other
income
because
I
noticed
that
the
other
expenses
also
went
up,
QoQ,
so
if
you
can

explain
that.
44
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
And
then
finally ,
you
used
to
provide
this
cash
lease
rental
split
between
interest
expense
and
ROU,
so
if
you
can
do
that.
And
finally ,
the
CapEx
and
FCF
for
the
quarter ,
and
related
to
that,
did
working
capital
benefit
from
the
higher
share
of
D2C
in
this
quarter?
AMIT
AGAR WAL:

So
Vijit,
I
won't
have
the
CapEx
and
FCF
number
exactly
with
me.
But
the
working
capital
improvement
was
largely
driven
from
our
B2B
businesses,
primarily
part
truckload
and
supply
chain
services.
The
CapEx
and
FCF
numbers,
we
will
release,
along
with
our
September
balance
sheet.
Coming
to
your
ROU
question,
can
you
please
jump
to
the
adjusted
EBITDA
bridge
slide?

We
do
not
have
the

ROU
absolute
asset
here
because
the
balance
sheet
was
not
being
released
for
quarter
1.
Yeah,
so
the
actual
rent
paid
for
the
quarter
was
Rs.
66
crore.
While
your
amortization
of
the
rentals
would
have
been
part
of
them,
depreciation
and
amortization.
We'll
share
this
exact
number
along,
offline
with
you.
VIJIT
JAIN:
OK,
sure.
And
yeah,
so
just
the
last
question,
the
clarification
on

other
expenses
and
other
income
that
you
mentioned
earlier .

AMIT
AGAR WAL:

Varun,
can
you
take
this
up?
Varun,
can
you
please
take
up
the
adjustment
between
other
expenses
and
other
income
adjustment?

VARUN
BAKSHI:

Can
you
please
repeat
the
question?

AMIT
AGAR WAL:

The
adjustment
that
we
have
done
in
other
expenses
and
other
income,
it
is
a
classification.

What
exactly
was
reclassified?

VARUN
BAKSHI:

Hi,
Vijit.

Can
you
repeat
the
question,
please?
VIJIT
JAIN:
45
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
Yeah,
Varun,
can
you
hear
me?
Hello?
Varun,
I
think
Amit,
Varun
can't
hear
us.
Oh,
OK.
The
question
was,
what
is
the
reclassification
that
has
happened
between
other
expenses
and
other
income?
Because
the
other
expenses
look
like
they've
gone
up
QoQ,
right?
VARUN

BAKSHI:
The
increase
in
other
expenses
is
not
driven
by
the
reclassification.
Some
of
the
expenses
that
drive
this
increase
in
other
expenses
are,
if
you
see
the
notes
that
we
have
disclosed
as
part
of
our
annual
results
earlier ,
you'll
see
that
marketing
expenses
are
a
part
of
our
other
expenses.
Some
of
the
things
like
travel
expenses
are
part
of
our
other
expenses.
Or

things
like
the
technology
costs
are
part
of
our
other
expenses.
So
these
costs,
technology
costs,
would
have
gone
up,
along
with
volumes,
as
well
as
the
fresh
investments
that
we
make.
On
that
bridge
slide,
you
would
have
seen
that
we
have
shown,
as
part
of
our
corporate
cost
increase,
that
we
have
increased
our
spends
on
marketing
starting
this
fiscal.
That
also
explains
the

increase
in
other
expenses.
So
it's
those
kinds
of
multiple
items
that
have
driven
the
increase
in
other
expenses.
A
majority
of
them
would
be
part
of
our
corporate
costs.
VIJIT
JAIN:
Got
it.
Thank
you.
Those
are
my
questions.
Thank
you
so
much.
I
think
we
are
at
the
end
of
this
call
now.
So
I'll
just
give
this
back
to
Sahil
and
team
for

your
closing
remarks.

SAHIL
BARUA:
Thanks,
Vijit.

Thank
you
all
for
joining
the
call.

And
as

I
mentioned,
the
summary
of
the
quarter
is
we're
happy
to
have
our
fourth
consecutive
quarter
of
revenue
growth.

We
made
some
investments
in
capacity
expansion,
which
have
marginally
reduced
margins.

But
overall,
the
economic
performance
of
the
business
continues
to
remain
stable.

And

I
think
we're
pretty
positive
growth

outlook
going
into
quarter
2
and
the
second
half
of
this
year.
And
so
hopefully ,
we'll
see
you
all
at
the
next
earnings
call
in
three
months.
Thank
you
for
hosting
us
Citi
team.
VIJIT
JAIN:
46
Delhivery
Ltd
Q1
FY24
Earnings
Call-
Hosted
by
Citi
August
5,
2023
Thank
you.
Thank
you,
everyone.
47

Call: Nov 2023

Date: November 10, 2023
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
India

Scrip Code: 543529 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
India

Symbol: DELHIVERY

Sub: Transcript of Earnings Conference Call pertaining to the Unaudited Financial Results for the quarter and half year ended September 30, 2023

Dear Sir,

This is in continuation to our earlier letter dated November 05, 2023, regarding audio/video recording of the Earnings Conference Call held on November 04, 2023 at 05:00 P .M. (IST) on the performance of the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended September 30, 2023.

Please find attached herewith the transcript of the above investor and analyst call.

The same is also available on the website of the Company at <https://www.delhivery.com/investor-relations/> .

You are requested to take the same on your record.

Thank you.

Yours sincerely,
For Delhivery Limited

Vivek Kumar
Company Secretary & Compliance Officer
Membership No: A 20938
Place: Gurugram

Encl: As above

“Delhivery Limited Q2 FY24 Earnings Conference Call”
November 4, 2023

Management : MR. SAHIL BARUA, MD & CHIEF EXECUTIVE OFFICER
MR. SANDEEP BARASIA, ED & CHIEF BUSINESS OFFICER
MR. AMIT AGARWAL, CHIEF FINANCIAL OFFICER
MR. VIVEK PABARI, HEAD, INVESTOR RELATIONS
Moderator : MS. KAVYA SHETTY, HEAD, CORPORATE DEVELOPMENT

OPERATOR:

All right. Good afternoon. The meeting has started. All the participants coming in, thank you.

KAVYA SHETTY:

Good day, everyone. Welcome to the Q2 FY24 earnings conference call of Delhivery Limited. I'm Kavya Shetty, head of Corporate Development at Delhivery and the host of today's call. Before we start, Delhivery would like to point out that some of the statements made in today's call may be forward-looking in nature. A disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note this call is meant for investors and analysts only. If there are any representatives of the media, you're requested to drop off this call

immediately. This call will be recorded, and the recording will be made available on the investor relations page on our website.

To discuss the results, I'm pleased to welcome Mr. Sahil Barua, the MD and Chief Executive Officer. Mr. Sandeep Barasia, ED and Chief Business Officer. Mr. Amit Agarwal, Chief Financial Officer, and Mr. Vivek Pabari, Head of Investor Relations. As a reminder, all participants lines will be on listen-only mode.

And participants can use the Raise Hand feature to ask any questions post the opening remarks. Please indicate your name and organization as you ask your questions. I now invite Mr. Sahil Barua to take us through the key highlights of the quarter, post which we'll open up the floor for Q&A. Over to you, Sahil.

SAHIL BARUA:

Thank you, Kavya. Good evening to all of you and welcome to our quarter 2 earnings call. Thank you all for joining on a Saturday evening. As always, I'll begin with a short 15-minute overview of performance through Q2 and a preview of how Q3 has begun to shape up, after which we'll be happy to take questions. Yeah, Apar, if you can start presenting, please. Great.

So the broad summary for quarter 2 is we've had a strong quarter 2 and a strong first half of this financial year, which sets us up very well for H2. As many of you are aware, we make our investments in capacity and expansion during the first half of the financial year and geared up for the festive season period, which has begun this year in quarter 3. And we're beginning to reap the benefits of that as we speak. In terms of a broad summary of how the quarter has gone, in quarter 2 fiscal '24, we've reported Rs. 1,942 crores in revenue

from services, which is broadly flat

compared to the previous quarter. Year on year, we've grown revenues by about 8.1%.

In terms of EBITDA margins, our path to profitability has continued. We are almost at the breakeven point with an adjusted EBITDA margin of negative 0.6% for quarter 2 fiscal '24, which is improved compared to quarter 1.

In terms of volumes, our market share in both the express and the PTL businesses has remained robust. We delivered 181 million packages in our express parcel business in quarter 2 financial '24. And we continued to see growth in our part truckload business, having delivered 348,000 metric tons of PTL freight in Q2 FY24.

We continue to invest in network expansion and capacity. The network now covers 18,655 PIN codes across India, as defined by the India post. And we've expanded our automated sortation and hub capacity, as you can see, to 6.65 million parcels per day, which stood at about 5.4 million parcels per day at the end of fiscal '23.

The biggest improvement, as I've alluded to in the past, has been in the PTL business, where we continue to improve revenue quality alongside improving margins. We've seen a very significant reduction in net working capital days, now at 28 days versus 38 days at the end of financial '23, which is significantly ahead of the guidance we'd originally provided. And cash and cash equivalents stand at Rs. 5,534 crores.

So, in summary, a strong robust start to the first half of the year. We've continued to invest in capacity, which sets us up well for the second half and growth through the festive season – significant improvement in revenue quality and working capital while remaining extremely well capitalized.

In terms of key operating metrics, as you can see PIN code reach has expanded from 17,280 PIN codes in quarter 2 of last year to 18,655 PIN codes as of quarter 2 this year. We continue to service the world through our international partnerships with FedEx and Aramex.

Our total number of active customers has continued to increase as our PTL business and our integration with SpotOn has stabilized completely. We've grown from 22,660 customers in quarter 2 of last year to over 30,000 customers as of quarter 2 in fiscal '24, with this momentum continuing at the start of this quarter as well. So we've added nearly 8,000 customers over the last year and nearly 4,000 customers in quarter 2 alone.

Infrastructure has continued to grow. We were consolidating facilities during our integration phase with SpotOn. As of quarter 2 in this year -- of this year, we've begun to expand capacity in key locations again – total addition of 1 million square feet of infrastructure under management, with key facilities in locations such as Chennai, Hyderabad, and Noida going live in this quarter.

We've expanded the total number of gateways from 101 to 108 as of quarter 2, an increase in automated sortation centers and capacity from 24 to 30, and increase in freight service centers in anticipation of higher PTL volumes from 128 to 140. We

continue to convert more of our partner constellation centers on the delivery operations side to in-house operations, reflected in the increase in total delivery centers from nearly 3,200 to about 3,400, while partner centers have dropped from 1,040 to about 986.

Overall, team size has remained broadly stable. We continue to be about 63,000 people across the country and 35,000 from partner agents, with a fleet size of about 12,400 trucks across the country.

In terms of highlights for the quarter, we've had a strong start to Q3, as I pointed out. We did 181 million packages in Q2 in the express business and 348,000 tons of freight. Q3 has begun well with the festive season sales. We expect October express parcel volumes to be in excess of 70 million packages, with a higher proportion of heavy products, and PTL volumes to stand at 120,000 tons despite the festive season. And hopefully

this sets us up well for the rest of Q3 and beyond.

In terms of key focus areas, one of the key focus areas for us in the first half of the financial year was improving revenue quality, growing margins and yields, and improving our working capital position. We've made significant improvements in net working capital days, as I'd mentioned, with a reduction of 12 days in receivable days and an overall reduction of 10 days in net working capital from 38 to 28 days. We continue to focus on improving customer contracts in PTL, a process that we've begun during quarter 3 of last year, post the operational integration with SpotOn. This quarter, you will see this result in higher realizations per kg in the PTL business. And we continue to build infrastructure in line with our long-term strategy of investing in key locations and building capacity for both the express and the PTL business. As you can see, we've expanded gateways, automated sort centers, service centers, and delivery centers, as I've spoken about earlier.

In our third key business, which is supply chain services, we've seen improved profitability in this quarter and expect to see improved profitability in the quarter going forward as well, with renewal of commercial contracts with the key customer and a change in pricing and also multiple wins in quarter 2 from existing and new clients, including a leading auto player, a leading home furnishings brand, and a cosmetics brand. So, in summary, all businesses have demonstrated improvement in core metrics, setting us up well for the second half.

In terms of financial performance, revenue from services, as I'd mentioned, has grown 8% a year, from Rs. 1,796 crores last year in Q2 to Rs. 1,942 crores as of Q2 of this year. Do bear in mind that last year the festive season coincided with Q2, whereas this year the festive season is in Q3.

Express continues to be the largest driver of our revenues, at 62% of the total. We've grown from Rs. 1,125 crores of revenue in Q2 last year to Rs. 1,210 crores of revenue as of this year, year on year growth of 8%. And growth in volumes has been 12% year on year, from 161 million packages in Q2 last year to 181 million packages in express this year.

In PTL, we've grown revenues by 28% compared to the same quarter last year, from Rs. 293 crores to Rs. 373 crores as of Q2 FY24 and a 7% growth quarter on quarter from Rs. 347 crores to Rs. 373 crores. Freight tonnage has grown 22% between Q2 last year and Q2 this year and 1% versus the last quarter. Growth in revenue has outstripped growth in tonnage, reflective of the improving yields in the PTL business.

Our other businesses also have continued to grow. The truckload business has grown 46% year on year, from Rs. 103 crores of revenue in Q2 of last year and Rs. 131 crores in the previous quarter to Rs. 150 crores as of quarter 2 fiscal '24, so 15% over the last quarter.

Supply chain services has seen a de-growth quarter on quarter from Q1 to Q2, this is in line with seasonal variations in the underlying businesses of our key customers. We expect other key customers to be starting operations in Q3 and Q4 and expect significant growth in this business going forward.

In the cross-border services business line, we continue to see growth in volumes, but yields continue to flatten both in air express and in ocean express. And revenues have remained largely flat at the Rs. 41 crore mark.

In terms of adjusted EBITDA, as mentioned, typically we make our investments in quarter 1 and quarter 2 and see improvements -- significant improvements in EBITDA in quarter 3 and quarter 4, as evidenced by fiscal '22 and fiscal '23. As of quarter 1 fiscal '24, we stood at negative 1.3% in terms of adjusted EBITDA. As of quarter 2 of fiscal this year, we are almost at the breakeven point at negative 0.6%, so an adjusted EBITDA loss of Rs. 13 crores.

This slide lays out the total breakup of adjusted EBITDA. R

venue from customers,

as I discussed in quarter 2 fiscal '24, stood at Rs. 1,942 crores. Service EBITDA margin has expanded from quarter 1 to quarter 2 by 0.2%, from 10.2% to Rs. 196 crores, to 10.4% or Rs. 201 crores.

Corporate overheads have declined on an absolute basis between quarter 1 and quarter 2 and stand nearly at the same levels that they were at the same time last year, at Rs. 214 crores. As a percentage of revenue, corporate overheads have dropped from 12.1% as of Q1 fiscal '23, or 11.7% in the same quarter last year, to 11% as of quarter 2. We mentioned that we do not anticipate any expansion in corporate overheads in this financial year, something that the numbers reflect. And overall, adjusted EBITDA, therefore, has improved from negative 1.3% or negative Rs. 25 crores to negative 0.6% or negative Rs. 13 crores.

In terms of the adjusted EBITDA bridge, our incremental revenue in the transportation business, which is the express and the PTL businesses combined, stood at Rs. 35 crores. Incremental gross profit in the transportation business stood at Rs. 18 crores, or approximately at the 50% incremental GP mark that we've spoken about before.

We made planned investments in the last mile in terms of expansion of delivery center capacity from 3,180-odd centers to 3,400, which has increased DC costs by about Rs. 4 crores. Even adjusting for those Rs. 4 crores, incremental GP stood at close to about 40% in quarter 2.

We also had a one-time impact in terms of a change in our unclaimed goods liquidation process, which has cost us Rs. 7 crores in this quarter. This is not a cost that we expect to see going forward in quarter 3 and quarter 4 and will be reversed. In terms of overall increase in transport gross profit, therefore, it stood at Rs. 7 crores. Transportation fixed costs have expanded as we've expanded hub and gateway capacity at key locations, specifically Chennai, Hyderabad, and Noida, with a total cost of Rs. 10 crores, leading to a total decrease in transport service EBITDA of Rs. 3 crores.

However, the non-transport businesses, which is the supply chain services business, the FTL business, and the cross-border business, have incremental service EBITDA of Rs. 8 crores in quarter 2, both as a combination of higher productivity and process improvements in the supply chain services business and renegotiation of commercial terms with key clients, which we expect to continue in Q3. Corporate costs have overall declined compared to previous quarter by Rs. 7 crores, leading to a total change in adjusted EBITDA from negative Rs. 25 crores to negative Rs. 13 crores, or an improvement of Rs. 12 crores in Q2.

In terms of key cost drivers, nothing much has changed very significantly between quarter 1 and quarter 2, despite increasing our overall capacity. As you can see freight handling and servicing costs stood constant at about 74.3% of revenues in Q2. Line haul expenses as a percentage of revenue have improved from 33.6% to 32.5% in this period. Most of the other costs have remained largely range bound. In terms of the adjusted EBITDA bridge in the third column, as you can see, total revenue from customers stood at Rs. 1,942 crores. Freight handling and servicing costs stood at Rs. 1,442 crores, broadly flat compared to the previous quarter and broadly flat compared to quarter 2 of fiscal '23. Employee benefit expenses have come in at Rs. 367 crores versus Rs. 353 crores in Q1 FY24.

And other expenses have remained broadly flat at Rs. 149 crores, leading to a reported EBITDA of negative Rs. 16 crores. Adding back share-based payment expenses of Rs. 68 crores and a reduction in actual lease rents paid, which is an Ind AS adjustment, leads to the adjusted EBITDA for this quarter at negative 13 crores versus negative Rs. 25 crores previous quarter.

And this is just a quick snapshot of working capital position. As you can see, we've been focused on this for

quite some time and there's a linear downward trend in overall working capital days. The big change from March '23 to September '23 has been a 12-day reduction in receivables from 77 days to 65 days, which is a reduction of 12 days and a reduction of two days in payables from 39 days to 37 days, leading to an overall reduction in net working capital days from 38 to 28.

So that's it. That's a quick summary of quarter 2 overall. Just re-summarizing, it's been a strong start to H1 of this financial year. We've held share in our key business segments, which is Express and PTL. Despite expanding capacity, margins have remained stable or marginally improved compared to the previous quarter.

We've seen a robust start to quarter 3 in terms of festive season volumes and in our PTL business, and continue to improve yield in our PTL business, and continue to improve revenue quality as reflected in the improvement in working capital. So we look ahead with optimism at the rest of the financial year. With that I'll pause and

we're happy to take questions. Over to you, Kavya.

KAVYA SHETTY:

Thank you, Sahil. Just a reminder to the participants, if you have any questions, please raise your hand and the operator will take them up. Thank you. The first question is from the line of Krupashankar. Krupashankar, please go ahead

KRUPASHANKAR:

Yeah. Good evening and thank you for the opportunity. My first question will be on the infrastructure expansion, which you had mentioned. Sahil, I just wanted to check with the pace at which you are planning to expand because last year we had seen that the infrastructure had come down when you were rationalizing your space and removing overlapping facilities.

What has changed right now and what are you trying to, what is it that you see with respect to visibility over the next one year because long term I'm really not sure what is your view on long term.

SAHIL BARUA:

Sure. Thanks Krupashankar. So you're right in the last financial year, you would have seen a reduction in overall space under management. I think we reduced infrastructure under management from about the same 18.3 million square feet, 18.4 million square feet to 17.4 million square feet and it's come back to 18.4 million square feet in this quarter.

The main reduction was because of consolidation of Spoton facilities. I've spoken about this in the past. We had an inefficient number of facilities to begin with and had to wait till lock-ins on the Spoton facilities or the delivery facilities expired through this period. So as an example, we had multiple facilities in Chennai, we had multiple facilities in Pune, we had to consolidate facilities in Bombay, and in Delhi as well. And I think that's why we saw that period of reduction.

In this financial year, a lot of the expansion that we had planned therefore has come in. Last year, we continued to operate with a relatively suboptimal network. So we've expanded in key locations. The key locations for us here are one, as I mentioned in the past is Chennai, which is a significant origin location for our part truckload business.

A second key location where we've expanded is in Hyderabad where we've gone from having one hub in Shamshabad to having two hubs now spread across Shamshabad and Medchal, which support both our air express and our surface business because both Andhra and Telangana distribution happens out of our Hyderabad facilities. It's a big destination location for us.

And the third is an increase in capacity in Noida, which is a reflection of growth in both e-commerce and part truckload volumes out of North India. And secondly, Noida also adds as an extremely important risk mitigation point for our Tauru facility or our Tauru mega gateway. So that's why we've been expanding these three key locations.

As I've mentioned, we will continue to expand capacity at critical locations. One of the other factors that we look at Krupashan

kar is also changing the engineering of

our facilities to make them ready to scale up tractor-trailer operations. So a number of our facilities in secondary locations were not designed with tractor-trailer operations in mind three or four years ago.

But as I've spoken about Tractor Trailer operations are key to our linehaul strategy they are key to our integration of our express and our PTL businesses, and so we have to upgrade this infrastructure as we see volumes expand. Chennai is a good example, Hyderabad is a good example of this need. So it enables us to actually reduce linehaul costs over the long term.

Our belief continues to be that India is under-supplied from a logistics standpoint. Market spends are significantly higher than the size of organized players in this space and the shift from unorganized players to organized players will continue. These investments are crucial for us to be able to gain scale. They're crucial for us to be able to reduce the cost of logistics for our customers, whether it is by running more efficient facilities, whether it is by running more efficient linehaul. And we have to keep investing in this to continue to gain size.

KAVYA SHETTY:

Thank you. Krupashankar, do you have any other questions?

KRUPASHANKAR:

Yes, I have one more. I just wanted to check, what would be the impact on profitability in the near term? Because there is a certain gestation period with respect to scale-up of these facilities as well. So do you see that there can be a relative impact on the margins?

SAHIL BARUA:

I'm glad you asked that question Krupashankar because as I've mentioned in the past, quarter 1 and quarter 2 are typically the periods where our new facilities go live. For obvious reasons, we don't want facilities going live in quarter 3 because that coincides with when the peak season for us begins. As you can see margins have improved in quarter 2 versus quarter 1 despite an expansion in overall capacity, which reflects the underlying quality of the business.

And the fact that when we make these facilities live we have the ability to pull loads into these facilities quite quickly. Of course, every individual facility has a gestation period, which typically takes anywhere between two to six months, depending on the specific location that we're in for it to reach an appropriate utilization level, which typically will be around the 55%, 60% mark.

But obviously, as you can see the expansion as a percentage of the total is not that large. It's 1 million square feet on a total of 17.3 million square feet. So we're really talking about a 6% or 7% increase in overall capacity. I think as we get larger the percentage of additions that we make will continue to decline and so there actually won't be that much of an impact overall on margins.

But your question, first of all, despite the expansion we've already seen an improvement in quarter 2 versus quarter 1. We don't have any significant expansions planned in quarter 3 and quarter 4. And so with revenues increasing in this period obviously margins should expand.

KRUPASHANKAR:

Thank you, Sahil.

KAVYA SHETTY:

Thank you. The next question is from the line of Sachin Salgaonkar.

SACHIN SALGAONKAR:

Thanks, Kavya. This is Sachin Salgaonkar from Bank of America. I have three questions. First question. Sahil, just as a follow-up to some of your comments, you did mention about change in pricing and renegotiation with some of your customers.

When we look at the express yield it just moved 1% QoQ. So would be great to understand or get some color what kind of an impact should we see going ahead on the back of this renegotiation. And if you could give a bit more color in terms of what do you mean by change of pricing that would be helpful.

SAHIL BARUA:

Sure. Most of our renegotiation in terms of pricing and commercial terms Sachin has been focused on our part truckload freight business and our supply

chain

services business, which is on the part truckload business you can see that yields have gone up quite significantly between the last quarter and this one. So we continue to renegotiate this with customers.

As I mentioned in the past, one of the things that we're very focused on is making sure that every account that Delhivery services, meets our target expectations in terms of gross margin and service EBITDA and overall return on capital when you consider via receivable days. So we continue to renegotiate this with customers. Also, obviously, on the basis of which sector they're in, the lanes they're transacting on and so on.

And in the supply chain services space, one of our key contracts was up for renegotiation, which forms a moderately significant portion of our total supply chain services business. I think we've concluded that satisfactorily and we'll start seeing the impact of that in this quarter.

On the express business, you're right. Yields have gone up, but we have not made any significant pricing changes. As I've mentioned in the past, we are not in the yield management business in the express vertical at all. We are the most efficient player in the market by a stretch. We are aware of this. Our numbers show this.

We will continue to make sure that our customers get the benefit of our scale, get the benefit of our unique network model, and we don't see a need for us to increase pricing at this point in time. We have the ability to absorb cost inflation for a period of time into the foreseeable future. So what you're seeing over here is a change in mix.

When our yield has declined I pointed out it's a change in mix. When our yield has gone up, it's a change in mix. This could be a change in distance. It could be a change in the weight of the products. It could be a change in the total clients' volumes that form the 181 million but there are no significant pricing changes.

SACHIN SALGAONKAR:

Thanks, Sahil. Second question would be great to get some color in terms of the

festive season where it's a bit more stronger this year as compared to in the past. And anything in terms of mix change we are seeing between e-commerce, B2C vertical, social commerce, that would be helpful.

SAHIL BARUA:

Sure. I think the festive season has gone well as far as we're concerned. And I think some of these numbers will become clearer as the next two months play out. But from what I understand, peak to peak most of the industry players suggest a peak-to-peak growth of about 15% or so on GMV, which is in line with I think what we would anticipate. Our peak-to-peak growth has obviously been larger.

Last year as we mentioned, we had specific impact which came in from our Tauru facility during the peak period. And so our peak numbers last year to some extent were depressed. This year we've seen absolutely no change in service levels. In fact, network service levels I would argue have remained close to best in class through this entire period. And so that's reflected in our strong performance in October.

Obviously, I think the big platforms have seen fairly robust demand through this October sale period. We've also seen a secular uplift for D2C brands also in general I think because when category spending increases from the market leaders the sort of a high tide that floats the boats even for D2C companies which may not necessarily be themselves spending on category in this period. So it's been a secular uplift in e-commerce and I think that reflects very well for the industry.

SACHIN SALGAONKAR:

Thanks, Sahil. And my last question is on the overall business growth. In Q1 it was 11%, in Q2 this is around 8%. And I do understand barring a few businesses here, the question is, given the fact that you guys have three to four businesses and given that there is this fluctuation what we see, on a consol basis the growth comes in the range of 8% to 11%.

So is this something we

could expect going forward, or there is something which will accelerate the growth to a sustained higher double-digit? So any thoughts on that?

SAHIL BARUA:

Yeah. I think I mentioned this in the past, Sachin. And this is why we're also learning the ropes in terms of forward guidance. The fact is that in our business retooling and restructuring the business is something that takes time. We absorbed Spoton last year and it's the largest acquisition that's been made in logistics for a while. And integrating two networks has obviously been more complex than even we originally thought as our own numbers from the last quarter clearly show.

I don't think that the current rate of growth that we have on revenue is reflective of the long-term growth potential of the company because as I've discussed, India remains a deeply underserved market. From our standpoint, the way we've always looked at it is that you first have to get all of the structural elements of the business right before you start pushing for growth.

And when you look at it quarter on quarter, when you look at it over the last one and a half, two years that we've been public, I think that's exactly what we've been doing. We began by absorbing Spoton. After absorbing Spoton, we began by making sure that the operational integration after our initial challenges was completed satisfactorily, making sure service levels came back to the levels that were our target right from the beginning.

The second was to go back and make sure that we regained all of the customers and confidence of the customers that we serve, which is reflected in the fact that we've gained 8,000 customers in the last year and 4,000 in the last quarter alone. The third was then making sure that the underlying margin structure of the business remains unaffected.

As you can see and as I've discussed, our quarter 1 of this year has been significantly better than quarter 1 of last year and it's the same thing for quarter 2.

So the underlying unit economics of the business continue to remain robust.

And the last piece was making sure that our billing receivables and our collections, our revenue realization remains in line with our expectations and that was the piece we've been working on. It's taken us some time to actually get all of the structural elements of the business together. And despite doing that, I think growing at 8% to 10% in this period, it points to the fact that we have a much larger opportunity once these things come together.

What we're doing specifically for growth? On the PTL business, as an example, we've significantly expanded our sales force, which is now spread across the entire country. We're now confident we have the infrastructure, the operational service levels, the underlying margin structure, and the controls to grow at a significantly

faster rate.

And on the supply chain services business also as we've expanded our overall part truckload capabilities and we continue to build our full truckload capabilities. I think we have a much stronger capability to go out and acquire more customers, which is reflected in the pipeline and the new customers that we've started up. So I don't think 8% to 11% is the normative growth for the business. I think we will grow significantly faster. We were waiting to actually get all of the other metrics in line and I think we're at that point.

SACHIN SALGAONKAR:

Thanks for the color, Sahil, and all the best.

KAVYA SHETTY:

Thank you, Sachin. The next question is from Gaurav Rateria.

GAURAV RATERIA:

Hi. I hope I'm audible.

SAHIL BARUA:

Abundantly so.

GAURAV RATERIA:

Thanks for taking my question. So firstly, Sahil, I just want to get a sense of sustainable volume growth for the express parcel market as a whole. You talked about 18%, 20% and you're pretty much on track to do that this year based on the performance in H1 and the commentary about October. But let's say we look bey

ond FY24, how should one think about sustainable volume growth in this market, and what could be the upside or downside factors to think about?

SAHIL BARUA:

I've spoken about this before. I think as I look at this over the middle term our expectation is that e-commerce volume growth, which drives parcel volume growth will remain in that 15% to 20% range. This year has turned out to be more or less as we expected. Over the long term, it's very clear that e-commerce will become a larger and larger part of consumption.

We have seen that in this festive season. I think there were questions about growth, but it does appear that the appetite from customers to spend online is there. All platforms have seen growth. As I mentioned, 15% GMV growth, volume growth has probably been in the 11% to 12% range in this period. So at least all indicators seem to suggest that this 15% to 20% growth rate is the sustainable growth rate and that's what we see.

I think the heartening fact is that we continue to see a very large number of new participants in the e-commerce space across various different sizes. As an example, I mean, Mamaearth has just gone public. So you see a large number of direct-to-consumer brands growing pretty fast. I think that is one of the drivers for growth going forward.

We're also seeing a growth in other enabling systems in the e-commerce space, which I think will improve the ability for many of these companies to grow. One of them obviously was logistics and our ability to keep costs at a level that it's possible to start and run an e-commerce company. But our value-added services we've seen demand for that also pick up, which enables smaller players to offer services which are relatively on par with the larger marketplaces as well. I think that is also an added factor.

The most interesting thing, though, and the more immediate basis is we've also seen a fairly significant growth in the heavy category after a period of time. And I think continued category growth in consumer durables and electronics, continued category growth in home furnishings, furniture, these categories will also drive both GMV and volume growth going forward.

So in sum, I think nothing fundamentally changes, Gaurav. I think our 15% to 20% outlook remains consistent. And we expect category growth and category expansion to drive this. We expect more D2C players to come into the market, and overall outlook on e-commerce remains positive.

GAURAV RATERIA:

Got it. Second question is around the investments that you talked about made in H1. Is this more specifically for the second half or more for next year? And related question is that if you can share some utilization metrics in the mid-mile sorting side of things with this kind of a capacity upgrade.

SAHIL BARUA:

Sure. Capacity upgrades in Q1, Q2 or in H1 in general are never made just for H2 alone. They are made with the future in mind. As an example, in Chennai, we've doubled the overall space under management after consolidating the previous

facilities, including consolidating actually one of our freight service stations into the new hub.

In Medchal, it's a completely new facility that we had to set up for service operations to expand in the Andhra and Telangana region. And obviously, Noida, as I mentioned, is both a response to demand from customers as well as a de-risking point for our Tauru mega gateway. So as I'd mentioned, all such upgrades typically at the mid-sized facilities are done with a three to four-year horizon in mind. So these investments are with an eye halfway towards let's call it fiscal '27.

We expect these facilities to last us till fiscal '27. The mega gateways, which are Tauru, Bhiwandi, and Bangalore are obviously expected to last much longer. We expect mega gateways to last us for nearly seven years on average or larger. So these aren't investments for H2, these are investments for the future. Capacity utilization

at a network level obviously hasn't changed that much just because we added this 1 million square feet of real estate as is reflected in the margins, which have actually gone up from quarter 1 to quarter 2. My sense is that overall network capacity utilization has remained stable. As an example, we will operate somewhere between the 60% and 65% mark, which is where we operate. Of course, individual facilities operate at significantly higher capacities. That said, one thing I do want to point out, which is called out in our press release as well, is we continue to discover ways of juicing more productivity out of our existing facilities.

Our Tauru mega gateway as an example in this festive peak period achieved an overall throughput of, I think, a peak of about 480,000 bags in and out, bag equivalents, which is a freight terminology that we use whereas when the designed capacity for this facility actually was about 420,000.

So obviously, with the improvement in the automation, the improvement in our operational processes, we've been able to actually expand capacity of this facility, which is also why capacity utilization becomes a slightly difficult metric because we find new ways of expanding capacity overall.

GAURAV RATERIA: Got it. Last question. Any sense of your market share in e-commerce parcel market, and any sense on the mix of your revenue from corporates versus SME in the PTL segment? Thank you.

SAHIL BARUA: Yeah. In the PTL segment, overall, I think we've seen growth across all segments, but as a percentage of the total, I think the biggest expansion has come from SME, which is obviously reflected in the sheer number of customers that we've added. In the last quarter we added 4,000 customers between Q1 and Q2. India ultimately is a large SME market for PTL. And so a core part of our strategy going forward is going to be continuing to increase our penetration of this segment. The other thing, of course, is we now see a larger percentage of our business coming from tier 2, tier 3, and tier 4 cities, both as origins and as destinations across both the PTL and the express business, which is reflective of some of the success of the strategy of expanding the sales force outside of the key metro cities. So that's been the big change on the PTL.

On the express side, as I'd mentioned, market share varies widely through different periods. My sense is looking at our latest numbers our market share remains stable in that 21%, 22% kind of range of overall parcels shipped.

GAURAV RATERIA:

Thank you. All the best.

SAHIL BARUA:

Thank you.

KAVYA SHETTY:

Thank you, Gaurav. May I request Sachin Dixit to ask the next question?

SACHIN DIXIT:

Yeah. Yes, hello. This is Sachin from JM Financial. I had a question on supply chain services. I want to understand what's happening there. Interesting you guys talk about adding a bunch of customers in this business and I know you highlighted that the revenue will come probably in Q3. But still, if I compare the YoY from last year, both the quarters we have done lower numbers this year.

So what's happening there? How should we think of this business? So it's slightly more trickier than your express parcel and PTL.

SAHIL BARUA:

You're right, Sachin. It is trickier than both the express parcel and the PTL businesses. And as I've mentioned before, this is a business where just given the sheer size of every contract that we sign, it's a lot more volatile than express and PTL which are in some senses more dispersed portfolios of customers.

One of the reasons why we've seen a reduction, of course, is again in this business, we've jettisoned some customer accounts which we felt were unprofitable or didn't meet our return on capital targets and expectations. With one of our customers in the quick commerce space, we also have a commercial renegotiation where essentially we've moved from a CapEx model to an OpEx model which has

optically reduced our revenues as well between quarter 1 of this year and quarter 2 of this year and compared to last year.

And there's obviously an inherent seasonality in the customers that we sign. I think we're pretty confident -- the first thing we're pretty confident, first of all, that a number of the new clients that we've been onboarding, revenue from them will lead to an uplift in quarter 3, quarter 4, and beyond. We have an increase in overall accounts. We have an increase in overall fulfillment centers starting up.

There's a period of time that the FCs take to start up as I've spoken about. We had Havells, which was one big customer that's taken us about three months to really start up and that should start reflecting and other similar accounts that are in the pipeline. So it takes some time. I think this is a business where it's best not to look at it purely from a quarter-on-quarter basis but really to look at it over the long arc of time.

The important metric here that we were tracking internally and that I think is a very positive indicator is the Rs. 8 crores of incremental service EBITDA that has come in quarter 2 versus quarter 1 and the commercial renegotiation with existing customers where we are renewing the contract. So it's both a sign of confidence of the customer to renew the contract with us again for the medium term and an improved commercial terms for us.

SACHIN DIXIT:

So this remains a typical unorganized- to-organized story, right? So the steady-state growth should be ideally somewhere in the 15% to 25% range, right?

SAHIL BARUA:

So it's a little more complicated than that Sachin because it's not exactly just an unorganized- to-organized move. See, the reality is that Indian enterprises are really shifting from a mindset of running logistics in a subscale fashion to thinking about supply chains as a source of strategic advantage. So this isn't as simple as they had a bunch of mofussil operators who they are getting rid of and consolidating into a Delhivery or a DHL, whatever it is.

Very often these are also poorly run in-house operations. Companies have run in-house warehouses poorly. I mean, you just need to visit some of these to see. And the fact of the matter is that it takes time for them to re-architect their entire supply chains.

One thing I do want to point out is that we are not in the business of contract logistics where it is significantly easier to grow at a predictable 5%, 6%, 8%, 10% growth annually. We don't do contract logistics at all.

When we take on an engagement, this involves a fundamental redesign of the customer's operations from what warehouses to run, how many to run, what kind of stocking schemes to use, where you should store inventory, how that inventory should be used to service various channels and various forms of demand, what routes to take, what trucking formats to use, and so on.

So it's a consultative sale rather than going to somebody and saying, OK, we'll take over your warehouse, we'll give you the manpower and charge a 4% management margin. That's not the business that we're in. And so I think this will remain somewhat relatively unpredictable in the short term and the medium term.

The minimum size as I've mentioned in the past at which this business starts to gain what looks like its long-term structure will be at the Rs. 2,000- Rs. 2,500 crores of revenue. So we're still some distance away from that.

KAVYA SHETTY:

Thank you, Sachin. The next question is from the line of Hitesh Goyal.

HITESH GOYAL:

Thanks. Thanks for taking my questions. I wanted to touch base on slide 11 in which you have shown the transport gross profit. So first, can you explain this Rs. 4 crores and Rs. 7 crores number, is it one time? I could not follow that. And also what would be the incremental gross profit margin then going forward after the increased capacities? If you can touch base on that.

SAHIL BARUA:

Sure. The Rs. 4 crore that you see is an expansion in our overall delivery center

network. If we can go to one of the early slides, that table. I think slide 4. Yeah. If you look at this one, what you can see is express delivery centers have expanded from 3,170 to 3,412. This is both a shift in strategy as we move from partner centers, which you can see have reduced from 1,039 to 986 where we're replacing these with in-house delivery centers. And also an expansion in the DC network in response to higher volumes and a more optimally placed network. So the additional cost of Rs. 4 crores that you see on DC capacity expansion is because of this expansion of approximately 250 centers. Yes, in a way is it one time in the sense it's one time in response to the volumes that we have. But expanding DCs in general is a normal feature of business. We made a larger than usual expansion in quarter 2 of this year.

Even if you consider it as part of ongoing business expenses, the incremental gross profit is not Rs. 18 crores but Rs. 14 crores. And so incremental GP remains at that 40% mark. In general, our incremental GPs we expect to remain in that 35% to 50% mark. So we're well within that range.

In terms of the short-term measures, those Rs. 7 crores very specifically, this is a change in our liquidation process. So as you're aware logistics companies may generate unclaimed goods through our network. So, for example, goods that reach the last mile but are damaged and not accepted by consignees or, for example, the ones where due to improper packaging the ability to trace the shipment has been compromised. These goods typically go to a central liquidation center.

In quarter 2 of this year, we made a change to how we would liquidate. Earlier we had a relatively manual process of liquidation. We're now moving this to a digital platform where we will essentially liquidate these through a competitive bidding process.

And so we didn't recognize any liquidation proceeds from these goods in quarter 2. We expect that to happen in quarter 3 and quarter 4. And also as we have better tracking and we're moving these through our fulfillment centers, there's a marginal increase in the cost of rent and cost of manpower to process these liquidated goods. So like I mentioned, this is an unusual cost. We don't expect this to continue in quarter 3, quarter 4, or beyond because we will now start liquidating this via our digital platform.

HITESH GOYAL:

Great. Thank you, Sahil. Thank you.

KAVYA SHETTY:

Thank you, Hitesh. May I request Manjeet Buaria to ask the next question?

MANJEET BUARIA:

Yeah. Thanks, Sahil. Sahil, first I wanted to understand if you could share some thoughts on how would the two dedicated freight corridors coming up impact their competitive edge as to being the lowest-cost operator in the industry.

SAHIL BARUA:

Sure, Manjeet. Even today we drive on the same highways as everybody else. So it's not like just because there's a new highway or a new kind of highway our cost advantages are compromised. Even today, as an example, delivery trucks and everybody else's trucks travel on National Highways 8 and 77 and all of the big highways.

Manjeet BUARIA:

Sahil, I meant the railway-dedicated freight corridors.

SAHIL BARUA:

Oh, you mean the railway dedicated freight corridors?

MANJEET BUARIA:

It looks to have a much lower cost of transportation. So I wanted to understand how does that impact us in the long run.

SAHIL BARUA:

Actually, we've mentioned this in the past. The dedicated freight corridor by rail makes a lot of sense for bulk cargo. And I suspect that is where you're going to see the first use case. I don't think that over short and mid-distances the cost differential is very significant. That's number one.

Number two, actually, in our case, if we were to compare the costs that we are delivering at via our tractor-trailer operations and the pilots that we ha

ve planned

in terms of multiple tractors on a trailer and the electrification of the fleet, I think the cost differential will become larger. In fact, our surface network is a highly efficient mode of transportation. And so we don't expect the dedicated rail freight corridor to have any impact overall on demand for our surface network.

So there may be some impact for some bulk cargo categories, but we are not

significant players in those categories. And so we don't expect anything to materially change for us.

MANJEET BUARIA:

OK. My other question Sahil was, would it be possible to share what your peak service EBITDA margin was before we got listed and when we were running only the express parcel segment before we really scaled up the PTL business?

SAHIL BARUA:

The reason why it wouldn't make sense for us to share that is because the extent of sharing in the network between express and the part truckload businesses has changed significantly. That's number one. Number two, the overall movement across our network via tractor-trailer has changed significantly. And so the reality is that we won't be comparing apples to apples in this period.

That said, I think in an express-only world, our expectation as we mentioned in the past and today with an express and LTL combined world, we expect that normative service EBITDAs despite the falling yields, which we are doing ourselves to make sure that we continue to pass benefits to our customers, we expect will stabilize in the 18% to 20% range.

MANJEET BUARIA:

OK. Sahil, one last question. I appreciate this and you have explained in the past about incremental margins. But where I'm confused is we are a fairly sizable player already in terms of scale and I appreciate scale gets you better operating leverage and all of that. But despite being the largest player today, we are nowhere close to that 18-20. So I'm just confused as to what absolute level of revenue do you really think it happens. And if you just help me understand that. Thank you. That's my last question.

SAHIL BARUA:

Sure. I've mentioned this in the past as well. I'm sort of at a loss to provide exact guidance for reasons that we've spoken of before. We do not provide segmental margins at this point in time. I think we see no reason to provide them at this point in time. At an appropriate time in the future, we will break this up.

Suffice to say, both in our express and in our PTL businesses we're quite satisfied with the service EBITDA margins that we see. We have a corporate wage structure and overall corporate costs which are reflective of the breadth of businesses that we perform, which includes supply chain services, the truckload business, and the cross-border business. And our investments in these businesses are driven by the fact that our customers increasingly want their logistics partners to provide them a full bouquet of services.

And so I think we've remained in investment mode through this period. We have absolutely no doubt the underlying unit economics of our express and our PTL businesses are in most cases actually trending towards our expected margins over the long term. So I think you can model this out quite easily. If you model various growth rates you should be able to model using our incremental margins at what point we reach target margins in both businesses.

But suffice to say profitability in either of these businesses, there's nothing that's going to happen in the future that is unpredictable. It's exactly the same trend that we followed for the last six quarters.

MANJEET BUARIA:

OK. I'll come back in the queue. Thank you.

KAVYA SHETTY:

Thank you, Manjeet. The next question is from the line of Aditya Bhartia.

ADITYA BHARTIA:

Hi. Good evening. My first question is on operating leverage that is implicit in the business. If we look at this quarter, we have had around Rs. 10 crore of incremental fixed costs for transportation busi

ness for mid-mile operations. And that to me was

a bit surprising because I thought that we have a surplus capacity in the mid-mile operations and still our volumes are significantly lower than, let's say, what we had achieved in fourth quarter FY22, although Spoton started emerging. So how should we think about it?

SAHIL BARUA:

I've explained this multiple times that ultimately the question is not whether capacity at the overall network is at a particular point in time. Just because we have 17 million square feet of real estate across the rest of the country does not mean that we will not build a facility in Chennai when we need to. So the fact of the matter is that we have to expand capacity in response to volume.

In Chennai, we see an opportunity for us to gain significant scale given that there's

significant manufacturing output and significant PTL demand ex Chennai. And so we've had to build a facility in Chennai. In Hyderabad, as an example, the Medchal facility is important for us to service Andhra and Telangana as destination markets, and Shamshabad which is where we ran the previous hub is an air location. We're seeing an increased demand for LTL delivery into the region and so this was a natural hub to create. And Noida, as I've mentioned, is both in response to an increase in PTL volumes as well as to de-risk the Tauru gateway, which we've learned from last year was affected by a weather event and so it allows us another option.

So our expansion in capacity will continue. That's one. The second is you have to place this in context of the overall economy as well. Unless Indian logistics demand is somehow going to be extinguished over the next year, I think any company that's not investing in capacity building is missing out on the long-term opportunity. And what we've been very clear about is that we will continue to invest in the long-term opportunity.

Somebody is going to build a very large logistics company in India. We're in pole position to do it. Building it demands the creation of capacity and we'll continue to do it.

ADITYA BHARTIA:

Sure. Then the incremental gross margins that we speak about of around 40% to 50% that will always be excluding any expansions that we would be undertaking and any fixed cost increases that would be coming on account of those expansions.

SAHIL BARUA:

Certainly. And as the base network gets larger the incremental investments that are required in the network as a percentage of the existing capacity will decline. Seven years ago when we added 1 million square feet on 4 million square feet the expansion was 25%. When we added 1 million square feet on 17 million square feet the expansion is 6%.

ADITYA BHARTIA:

Sure. Understood. And my second question is on EPD volumes. The way we are seeing it, we are already doing roughly, let's say 60-odd million parcels a month. You've spoken about October being somewhere close to 70 million, so a little over 70 million. I would have imagined that the seasonal uplift in volumes would be far sharper.

So is it that we are no longer seeing the kind of growth that we used to and the kind of slowdown that we saw last year is pretty much persisting in express parcel delivery? And is the seasonal increase only limited to 15-odd percent?

SAHIL BARUA:

You're making the mistake between a seasonal week and a seasonal month.

ADITYA BHARTIA:

Hello. Sorry, I can't hear you.

SAHIL BARUA:

Hi. Just reconfirming. Am I audible?

ADITYA BHARTIA: Yeah. Now you are.

SAHIL BARUA:

Yeah, sorry. Aditya, what I was saying is that the increment in volumes that you're seeing the 60 versus 70 plus that we have is on a monthly basis. The peakiness of the increase obviously is much larger when you look at the seasonal sales that the e-commerce companies announce. These don't last through the entire month but are typically anywhere from 5 to 10 days.

So the overall peakiness that we've seen is sign

ificantly higher than the overall

increase that we're talking about from the 60 million to the 70 million-plus mark.

At our peak day as an example in this period, we have dispatched I think a peak of over 5 million packages compared to 3.6 million packages in the previous month, which is an increase of nearly 35% or 40%.

As I've mentioned, I think e-commerce growth, we are pretty clear, the secular growth trend is between the 15% to 20% mark. I think this festive season also reflects that. And we expect that this growth is not likely to be compromised anytime in the near future because it's coming from increasing frequency, new customers coming into the market, and new categories being launched.

ADITYA BHARTIA:

Sure. And given that this time around we are having Diwali in mid-November, how do typically sales pan out between a couple of weeks before Diwali and a month before Diwali? What I'm trying to understand is that will it be fair to assume that October sales would be higher than November or at best be similar to November?

SAHIL BARUA:

So usually, the festive season sales that the e-commerce companies run come in prior to Diwali and that is the peak period. So the peak period is already over in October starting, I think. Once the peak period is over there is some incremental volume that persists through the next month but not very significant. But the peak period obviously sets the benchmark for the next year.

So we typically don't expect the immediate period after the peak period to remain as elevated. And then in December, January, you start seeing the end-of-year and end-of-season sales come in. And there you see growth coming not just from the key platforms but you also see growth coming from direct- to-consumer brands, omnichannel brands that were sort of offline brands with an online presence, and so on. So December, Jan generally are high watermark months compared to November.

ADITYA BHARTIA:

Sure. Understood. That's very clear. Thanks, Sahil.

KAVYA SHETTY:

Thank you, Aditya. The next question is from the line of Mukesh Saraf.

MUKESH SARAF:

Hi. Just one question from my side on the PTL business. Obviously, I mean, when I look at the volumes we are largely flat sequentially while we've seen our yields go up a bit about 5%, 6%. So really the question is largely relating to our run rate that we were at. We're still about 20% below that run rate about a year back. I mean, the question is that why are we focusing on yields here and not focusing on probably getting back the volumes that we were once at?

SAHIL BARUA:

We are, Mukesh. Although, we're not focused on getting the -- sorry. Am I audible?

MUKESH SARAF:

Yeah.

SAHIL BARUA:

Yeah. I am audible? OK, great. Sorry. OK. It's not that we're not focused on getting the volume back. As I've mentioned in the past going hell for leather for volume without first getting all of the backend service levels, without getting all of the other structural elements in place is not something we wanted to do. There is good volume and bad volume. Even in quarter 2, one of the things that we've continued to do is that accounts that we think would not meet our long-term expectations in terms of return on capital. We've jettisoned them and that's reflected in the massive reduction in receivable days as well of 12 days and the reduction in net working capital. So we continue to be pretty careful about what kind of business we bring in.

We have seen in some cases that some of our competitors in some locations are happy to take on business to grow volumes but at yields and at margins that we are unable to see how they make sense. And this is despite us having a lower mid-mile cost. This is not the volume that we want to support at this point. I think our value proposition is we are the largest network in the country. We are extremely high speed, extremely reliable. And we are pretty confident in our cost structure and

so

we don't necessarily have to take that on. I think there's close to about 10,000 tons of freight, for example, that we have jettisoned in the last quarter because it didn't meet our return expectations. So the idea really is to remain disciplined in terms of how we go out and grow. That was one.

The second is that we needed to put our sales force on the ground to expand our sales force in tier 2, tier 3, tier 4 cities, which we wanted to do only after we had gotten all of the rest of the structural elements in place. And now that the peak is behind us, we have tested our operational service levels compared to last year, they have remained absolutely stable and customers are happy, I think we will go out and attack all of these markets in one go.

The other thing, of course, is we look at daily PTL volumes. In fact, our daily PTL volumes have remained in that 4,600 to 5,000 metric ton range. There have been a couple of circumstances in September which have been unique, which to some extent were un-modelable. As an example, I think volumes were depressed also because of G20, for example. And we took a view of not even shipping into Delhi during that period to make sure service levels remained robust and we didn't have backlogs.

So these are events also. The holiday, G20, adhik-maas, these things have affected volumes to some extent overall and we've taken a conservative view this year. But daily volumes are strong.

Overall, customer mix has improved. As I've mentioned, we've expanded the penetration of SMEs. We have 4,000 new customers that have come on board in Q2. They will scale up in quarter 3 and quarter 4.

The sales force is going live. Our receivables control has improved massively over the last year and a half. So it's not that we're compromising growth or anything of the sort. It's just a question of getting the right pieces in place.

MUKESH SARAF:

I'm sure of that. So is it fair to say that 5,000 on an average that we achieved in 4Q of '22, 5,000 tons, that's not like a benchmark that we should look at because like you said that might include some of the low-yielding business and receivables and all of those. So in that 5,000 tons, do you think we have achieved back to that level from the business that we wanted?

SAHIL BARUA: Yes.

MUKESH SARAF:

OK. We've already got that according to you. OK. And secondly, again, in continuation with this, is there a switching cost for the customer at all in the PTL business who is using, say another organized player? I'm not looking at the unorganized guys. But if somebody is already using an organized player, is there a switching cost if you want to get that business?

SAHIL BARUA:

No. There is no switching from the existing players. That said, and I would say this. So, I mean, if you do your market research, we like to believe that there's a pretty significant switching cost when you switch out of Delhivery.

MUKESH SARAF:

All right. Understood that. Thanks a lot, Sahil.

KAVYA SHETTY:

Thank you, Mukesh. Since we are at the top of the hour, we'll take one last question from the line of Shrinidhi Karlekar. Shrinidhi?

SHRINIDHI KARLEKAR:

Can you guys hear me?

KAVYA SHETTY:

Yes.

SHRINIDHI KARLEKAR:

Yeah. Hi. Thank you for the opportunity. Just, Sahil, I wanted to have your perspective on this. Are you seeing that e-commerce business and the hyperlocal quick commerce business there's increasing overlap? Maybe at this moment it is very small, restricted to probably personal care categories, but do you think it is increasing?

SAHIL BARUA:

No.

SHRINIDHI KARLEKAR:

OK. So it's not a challenge really, yeah?

SAHIL BARUA:

No. It's not.

SHRINIDHI KARLEKAR:

And second one on the D2C business that comes, would you say that structurally it is a higher yielding business compared to big two e-commerce companies?

SAHIL BARUA:

Somewhat. But I do want to be clear about one thing. We've said this in the past

as

well. The traditional logistics wisdom and the traditional logistics strategy of players around the world has always been to make sure that they essentially give bigger customers, you give the discount to Amazon and charge an arm and a leg to everybody else is how people have generally approached this market. That's not what we believe is appropriate for the customer.

And when we have the opportunity to build a network which is the most efficient and the most efficient for everyone. And so in some senses, our structural pricing to D2C is not different from the structural pricing that we provide to a marketplace or to a larger customers of any size. Our aim is to be the most efficient partner to everyone and follow the same structural margin expectations, the same structural return expectations.

Yes, by virtue of the kinds of products that people ship, B2C yields in some cases are larger, but otherwise, a T-shirt shipped by company X versus company Y, a T-shirt is a T-shirt is a T-shirt.

SHRINIDHI KARLEKAR:

But I was wondering more from the origination point and the destination points

where one would imagine smaller D2C companies would have a concentrated supply point and distributed destination points compared to larger companies using e-commerce.

SAHIL BARUA:

Not necessarily. Not necessarily. But you're right. If your broader question is, does the origin of a good and the destination of the good affect the pricing at which logistics happens? The answer is yes. But that's not specific to D2C that's specific to any kind of good. So if it's a marketplace shipping out of Rajkot or a D2C company shipping out of Rajkot or Surat and shipping to, let's say, Ludhiana or somewhere else, the cost is broadly the same.

SRINIDHI KARLEKAR:

All right. OK, Sahil, thank you for answering my questions, and all the very best.

SAHIL BARUA:

Thank you.

KAVYA SHETTY:

Thank you all, we are at the end of the call now. I'd request Sahil for his closing remarks.

SAHIL BARUA:

Thank you, Kavya. And thank you all for joining the call on a Saturday evening. As I've mentioned, I think we're very satisfied with our H1 results. We've seen 8% revenue growth over the same time last year. We continue to maintain a strong position in our core businesses, which is the express and the part truckload business. Overall, financial and operational indicators for both businesses continue to turn North. We've had a strong start to quarter 3, with over 70 million packages expected in express, 120,000 tons of PTL freight, and our supply chain services business profitability and client pipeline continues to be healthy. So we're quite optimistic about the rest of the year.

I look forward to seeing all of you at our next earnings call. Thank you, Kavya, for hosting this.

KAVYA SHETTY:

Thank you, Sahil. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2024

Date: February 08, 2024
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
India

Scrip Code: 543529 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
India

Symbol: DELHIVERY

Sub: Transcript of Earnings Conference Call pertaining to the Unaudited Financial Results for the quarter ended December 31, 2023

Dear Sir,

This is in continuation to our earlier letter dated February 03, 2024, regarding audio/video recording of the Earnings Conference Call held on February 03, 2024 at 11:00 A.M. (IST) on the performance of the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended December 31, 2023.

Please find attached herewith the transcript of the above investor and analyst call.

The same is also available on the website of the Company at <https://www.delhivery.com/investor-relations/>.

You are requested to take the same on your record.

Thank you.

Yours sincerely,
For Delhivery Limited

Vivek Kumar
Company Secretary & Compliance Officer
Membership No: A 20938
Place: Gurugram

Encl: As above

Delhivery Ltd
Q3 FY24 Earnings Call- Hosted by Macquarie
February 03, 2024

"Delhivery Limited Q3 FY24 Earnings Conference Call"
February 3, 2024

Management : MR. SAHIL BARUA, MD & CHIEF EXECUTIVE OFFICER
MR. SANDEEP BARASIA, ED & CHIEF BUSINESS OFFICER
MR. AMIT AGARWAL, CHIEF FINANCIAL OFFICER
MR. VIVEK PABARI, HEAD, INVESTOR RELATIONS
Moderator : MR. BAIJU JOSHI, MACQUARIE CAPITAL

Delhivery Ltd
Q3 FY24 Earnings Call- Hosted by Macquarie
February 03, 2024

MODERATOR:

Good morning, everyone. Good day and welcome to Q3FY24 Earnings Conference Call of Delhivery Limited, hosted by Macquarie. Before we start, Delhivery would like to point out that some of the statements made in today's call may be forward looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this call is meant for investors and analysts only. If there are any representatives from the media, they're requested

to drop off this call immediately. To discuss the results, I am pleased to welcome Mr. Sahil Barua, MD and CEO; Mr. Sandeep Barasia, ED and Chief Business Officer; Mr. Amit Agarwal, Chief Financial Officer; and Mr. Vivek Pabari, the Head of Investor Relations. As a reminder, all participants' lines will be in listen-only mode and participants can use the raise hand feature to ask any question, post the opening remarks. I thank the management team for providing us the opportunity to host this call and I invite Mr. Sahil Barua to take us through the key highlights of the quarter, post which we'll open up for Q&A. Thank you. And over to you, Sahil.

SAHIL BARUA:

Thank you for hosting us, Macquarie team and all of you who've joined. Thank you for being here this Saturday morning. As always, I'll begin with a short presentation and walk you through the numbers and facts from Q3, fiscal '24. This should take me about 10 minutes and then we'll be happy to pause and take questions for the rest of the session.

So overall, in terms of summary for Q3, it's been a positive peak quarter for us. As you're aware, the third quarter of the financial year is typically the high watermark quarter since it's the Diwali Peak season. We've seen significant growth in our core business, which is in the Express Parcel business during this quarter and also satisfactory growth and continued gain in market share in our Part Truckload business. So, our performance this quarter has been driven by outsized performance in the transportation business.

In terms of quick statistics that we always begin with, we continue to be India's largest integrated logistics platform. We did Rs. 2,194 crores of revenue from services in Q3, which is the first time we've crossed

Rs. 2,000 crores in revenue for a quarter. This represents an annual growth of 20% in quarterly revenues and a 13% growth over the previous quarter of the financial year.

As we discussed during the earlier earnings calls this financial year, we expected a turnaround in EBITDA profitability in this quarter and I'm pleased to report that we generated Rs. 92 crores in adjusted EBITDA, which is a 4.2% adjusted EBITDA margin for the quarter, along with for the first time, a Rs. 12 crore positive PAT.

So, breakeven at the PAT level for the first time as a company. We also for the first time crossed 200 million consignments delivered in our Express Parcel business, Delhivery Ltd

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which is a growth of about 18% year-on-year, driven largely by the e-commerce peak season and also continued our trajectory on the LTL business with delivery of 354,000 metric tons of freight, which represents a 37% growth year-on-year and a low single-digit growth over the previous quarter.

In terms of overall network statistics, we have expanded pin code reach marginally. As of the end of Q3, fiscal '24 we service 18,675 pin codes, which is about 100 pin codes more than the same time last year. We continue to service the entire world through our partnerships with FedEx and with Aramex. Our customer base continues to grow satisfactorily. We now service nearly 30,600 customers, up from about 30,400 in the previous quarter. We've expanded key infrastructure. This has been driven largely by the expansion of our facility in Bhiwandi as we've consolidated from multiple smaller transportation facilities to our mega facility in Lonad. Overall number of gateways has remained constant. We are at 110 gateways and sortation centers across the country. The network has remained broadly stable. We continue to operate 30 automated sortation stations, continue to consolidate our overall freight service center network down to 131, and the Express delivery network continues to remain stable with 3,400 direct delivery stations and 993 partner centers. Team size has also remained broadly constant through Q3 at 63,000 employees, and 37,000 partner agents, along with 13,688 trucks and vehicles of various sizes.

In terms of key highlights for Q3, as I had mentioned, this is our highest ever quarterly revenue, our highest ever adjusted EBITDA margin, and the first time the company has turned PAT profitable. Operating leverage has driven our Q3 performance as we've discussed on multiple calls before, while we continue to expand our capacity, our view is that our incremental gross margins will continue to remain in the 50% range. And I'm pleased to report that they've remained in that range through Q3 of this year as well. Adjusted EBITDA therefore has risen to Rs. 92 crores, which is an expansion of 800 basis points year-on-year. Last year at the

same time, we were barely break even and an improvement of 500 basis points from the previous quarter. And the Q3 adjusted EBITDA profitability offsets Q1 and Q2 loss. Our nine-month fiscal '24 adjusted EBITDA now stands at Rs. 55 crores and we've also delivered a Rs. 12 crore profit after tax in Q3.

In the Express Parcel business as I had mentioned, we've seen robust growth both year-on-year and quarter-on-quarter. In terms of volumes, our market share remains consistent. Our expectation is that the e-commerce market grows somewhere between 15% to 20% annually and we've seen an 18% growth in volumes. We've seen growth across all of our key accounts and also in the crucial segments which are growing faster, which are the direct-to-consumer segment, the SME segment within e-commerce and consumer to consumer shipping. In Part Truckload, while it's been a relatively flattish, slowish quarter for the industry as a whole, we've seen volumes rise compared to the previous quarter. There continues to be a steady recovery in tonnage

. As you're aware, over the last seven quarters post our SpotOn
Delhivery Ltd
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February 03, 2024

integration, we've consistently been rationalizing our customer base to move to contracts which we believe are more profitable and which fit the delivery network better. That has continued in Q3. But the recovery in tonnage has also continued and our growth and our expansion of market share has been driven by service levels remaining consistently high even through the e-commerce peak season. So, the benefits of the integrated network in some senses are now accruing both to our e-commerce customers as well as to our Part Truckload customers.

On the supply chain services side, we've commenced our operations finally for a large player in the electrical space. This has been a contract that we won a couple of quarters ago and that we've been busy operationalizing. We've also successfully retained one of our largest key consumer durables accounts with improved pricing which sets us up well for the next three years. And our client acquisition momentum continues both in the auto sector as well as, interestingly, in the direct-to-consumer e-commerce sector, where we essentially have created now a white-labeled prime offering that is available to D2C brands of all sizes.

And we also operationalized our largest trucking terminal at Lonad near Bhiwandi, consolidating all of our other facilities into a single facility of about 670,000 square feet in Bhiwandi which is fully automated. This is our largest trucking terminal in the country.

A quick snapshot of financial performance - the graph on the left represents consolidated revenues which have grown from Rs. 1,822 crores in Q3, fiscal '23 to nearly Rs. 2,200 crores in Q3 of this financial year, which is a year-on-year growth of 20% and from the previous quarter we've grown about 13%. As expected and as is normal in this quarter, the Express business's contribution has expanded. Express is 66% of our revenue with Part Truckload at 17%. This has been driven by growth in e-commerce volumes during the festive season. The Express Parcel business has grown 20% quarter-on-quarter and 21% year-on-year in terms of revenues and 18% and 11% in terms of overall volumes respectively, growing from 170 million shipments in Q3, fiscal '23 to 200 million consignments in Q3 of fiscal '24. And in the Part Truckload business revenues have grown 37% year-on-year from Rs. 277 crores in Q3, fiscal '23 to Rs. 379 crores in this quarter, with tonnage having grown from 258,000 metric tons of freight in Q3 of last year to 354,000 tons of Part Truckload freight in Q3 of fiscal '24.

Our smaller businesses have also continued to demonstrate growth and stability. Our full truckload service, which powers not just our externalized operations but also our internal line haul operations and is an input into our supply chain services business, has actually demonstrated pretty phenomenal growth over the last year. We've grown from Rs. 100 crores of FTL freight transacted in Q3, fiscal '23 to Rs. 153 crores of FTL freight transacted in Q3 fiscal '24. The supply chain services business has remained broadly flat year-on-year. We've gone from Rs. 178 crores of revenue in Q3 fiscal '23 to Rs. 173 crores in Q3 fiscal '24 and the cross-border

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business on a quarter-on-quarter basis continues to remain largely flat. Overall volumes in this business and specifically in our ocean freight business continue to

grow. However, yields have continued to come down in the space. These three businesses continue to form about between 17% and 20% of revenue on a quarterly basis.

The adjusted EBITDA trend which we've been showing to all of you since we've gone public, continues to remain similar, though our profitability year-on-year has improved as you can see. In fiscal '24

, we began at a broadly breakeven level in Q1, breakeven as well in Q2 and as you can see, we've achieved highest ever profitability in Q3, which has been driven by enhanced utilization across the network of our key infrastructure assets and improvement in utilization across our trucking network.

In terms of numbers very quickly, the column that's highlighted with the red dots is Q3 fiscal '24. As you can see, this is our 7th consecutive quarter of revenue growth and a record revenue for the company. We've grown since the time we went public, we've grown from Rs. 1,746 crores of revenue in Q1, fiscal '23 to Rs. 2,200 crores of revenue nearly in Q3 fiscal '24. Service EBITDA for the business, which is the EBITDA generated not accounting for central corporate overheads, stands at Rs. 306 crores, which is at 14% of revenue. Corporate overheads as you can see, we signaled previously that we expected corporate overheads to remain largely stable as the company continued to grow. I'm pleased to report that we continue to keep corporate overheads largely stable. They've dropped from 12% of revenue from the first quarter of fiscal '23 to 9.7% of revenue as of Q3 of this financial year. We expect corporate overheads to remain largely stable going forward. This gives us an adjusted EBITDA of Rs. 92 crores for this quarter versus negative Rs. 13 crores the quarter before and negative Rs. 25 crores in Q1 of fiscal '24, which represents an adjusted EBITDA margin for the last quarter of 4.2% and overall for the nine months of this financial year at 2.3%.

This is a standard bridge that we present on adjusted EBITDA every time. Our total revenue, as you can see in the column highlighted red, is Rs. 2,194 crores. Freight handling and servicing costs expanded by Rs. 130 crores from the previous quarter versus a revenue growth of nearly Rs. 250 crores, which gives you the incremental gross profit of close to 50%. Employee benefit expenses and other expenses remain largely stable, leading to a reported EBITDA of Rs. 109 crores. Adding back share-based payment expenses of Rs. 54 crores and deducting the actual lease rents paid, which is an adjustment under Ind AS 116, leads to the adjusted EBITDA of Rs. 92 crores. In terms of how various cost elements worked in Q3, as you can see, overall freight handling and servicing cost has continued to reduce and has reduced from 74.3% of revenue as of the previous quarter to 71.6%, largely driven by increased utilization across the network and also our opportunity to optimize and improve routing through a line haul network. As you can see, line haul, which is over 40% of our overall freight handling and servicing cost, has consistently reduced and is Delhivery Ltd

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now at 31.7% of overall revenue. Of course, part of this is better utilization and part of this, as we've discussed over several quarters, is fundamentally our strategy on tractor trailers, dynamic line haul allocation and automated facilities playing out together. Vehicle rental expenses have also improved quarter-on-quarter from 20.1% to 19.8%. Contractual manpower expenses remained largely flat at the 12% mark. Rental costs have come down from 3.7% to 3%, driven by increased volumes. And as the network has stabilized post our integration with SpotOn, I think one of the important indicators of quality in the business is that lost shipment expenses or claims from shippers for losses and damages have consistently reduced and now stand at close to about 1.2% of overall revenue, which is what is driving the improvement in profitability.

Well, this is the last slide, just a quick snapshot. I think we've gone over this multiple times. In Q3, as you can see, revenue from services stood at Rs. 2,194 crores. Total income, including other income, stands at Rs. 2,325 crores, which again, as I'd mentioned, represents 14% growth quarter-on-quar

ter and 21% year-on-year. Freight handling and servicing costs in the same period have grown by much less at 9% quarter-on-quarter stands at Rs. 1,572 crores. Most of our other expenses have remained largely constant, leading to total expenses of Rs. 2,290 crores, which leads to a profit before exceptional items in tax of Rs. 31 crores and

a profit after tax of Rs. 12 crores, which is our first profit after tax in our history of the company, and an overall EBITDA of Rs. 109 crores and an EBITDA margin of 5%.

So that concludes the presentation. I think broadly, before we get into Q&A, the summary of the quarters, I think we're very satisfied with how the quarters played out more or less to expectations. The key messages really are we've seen growth in the underlying business. I think e-commerce growth has been sort of within our expectations. We'd forecast 15% to 20% growth and we've seen an 18% growth in volumes. We've grown across all of our key segments. We continue to maintain share with key accounts and grow share in direct-to-consumer SME, C2C, and in the heavy products category. We're also seeing increased demand for our integrated fulfillment service, which is the white labeled prime service for direct-to-consumer brands, and we expect this to continue. Our service quality, the reach of our network, I think, are strong drivers of growth and sets us up well for the next year. On the PTL side, while it's been a relatively slow quarter for the industry, as I pointed out, and despite the fact that there were ten days of Diwali with relatively low ship outs across the country, I think we've seen volumes remain stable. This sets us up well for this quarter and for fiscal '25. We expect to continue to grow our new business development efforts which have started to pay yield for us. Yields have remained broadly constant and profitability has improved across the transportation business as utilization has continued to improve and incremental margins have remained at the 50% mark. And we expect the next financial year to also deliver growth for some of our newer businesses, whether it's supply chain services where we've got new contracts coming in, and the full truckload business

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which has grown about 50% a year. So overall, a satisfactory quarter, which sets us up well for the next fiscal. With that I'll pause and be happy to take questions from all of you.

MODERATOR:

Thank you, Sahil. We'll now start with the Q&A. As a reminder, please use the raise hand feature to ask any questions. We'll take the first question from Vijit Jain.

VIJIT JAIN:

Hi. Thank you. Hi team. Congratulations on a great set of numbers. My first question, just looking at the e-commerce yields, right, pretty strong growth, 8% QoQ. And you've called out the mix of heavies earlier as contributing to that in the festive season. I'm just wondering, in Q4, does yield drop back to Q2 levels, broadly speaking, or are you actually seeing a sustained increase in share of heavies in your e-commerce mix beyond festive?

And related to that question, if you could provide total contribution of those three categories, you called out D2C, SME and C2C in your e-commerce mix, that'd be great. That's my first question.

SAHIL BARUA:

Sure. Thanks Vijit, you're right. The increase in yield by 8% in Q3 is a sort of standard annual affair as overall heavy yields go up. That's one. The second also is that in this quarter, as there's more buying from across the country, typically average distances that we move also tend to go up and yield is also influenced by the distance that is traveled. So, the origin and the destination mix tend to change a little bit during the Q3 period. On Q4, I think it's too early to say, Vijit. I think yields will obviously not remain at Q3 levels because the overall mix will shift back a little more towards light

er weights, and distances typically do tend to go down a little bit in Q4. However, it's a very early sort of point of the quarter for me to comment conclusively as to what will happen. And customer mix also tends to change during Q4 a little bit because there's a different set of players which typically will have their sale periods and volume growth at this time. But suffice to say, I don't think the yield of Q3, where the heavy mix is larger, is representative of overall annual yield. Now, in terms of the other question you were asking, sort of the subtext is are we seeing a larger shift towards heavy overall across our network? I think we said this before. Our ability to deliver odd form factors and heavy products is a key differentiator of our network. Typical light parcel networks are not able to handle heavy products because they require a fundamentally different infrastructure and a fundamentally different delivery mechanism. Our ability to blend parcel and freight is what gives us this unique ability to gain share

in heavy. And we have seen heavy volumes go up secularly, not just in the last quarter, but if you look at it since the inception of the company and when we began Delhivery Ltd

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to integrate freight and parcel, I think we've seen heavy go up. So, continuing to grow heavy volumes is a key strategic focus for the company and it's something we'll continue to do. So, yes, we do see a salience of heavy going up.

In terms of various segments, Vijit, we don't declare it at this point in time, but suffice to say, direct to consumer brands, SME, consumer to consumer and there are a couple of other smaller segments. For example, we do service a number of omnichannel retailers as well. As an overall percentage of our business, this has been growing for us year-on-year. Over the last financial year, in fact, this was a very significant focus for Ajith and his team and we've seen growth in D2C to give you a sense, if I'm not mistaken, we're nearly 30% up year-on-year on D2C volumes. We are nearly, I think, about 45% to 50% up on overall SME volumes year-on-year. And on the consumer side, I think we are somewhere between 25% and 30% up year-on-year. This is both our franchise service where you can apply to be a Delhivery franchise across the country and source all delivery loads for us and our delivery direct application where consumers can download the app and directly ship to us. So, we're seeing growth in both. Suffice to say, these are the fastest growing segments that we have as part of our overall e-commerce portfolio.

VIJIT JAIN:

Got it. Thanks, Sahil. And just two more questions. One is the mix of heavies, in general, across both horizontal as well as D2C. And my last question would be the lost shipment expense. I'm just wondering because this is your peak season, and in that also you've seen a pretty sharp QoQ drop in lost shipment expense. So, I'm wondering if in the non-peak seasons, are you already back to that you know 0.5%, 0.6% of sales band that you used to have maybe before a few quarters?

SAHIL BARUA:

Sure. I think in terms of heavy, we are seeing growth, obviously, with the big horizontals who are obviously the largest principals in the market. But we are also growing our SME base of shippers. So, you know this includes not just categories like durables, which typically are sold more on the larger platforms, but even unstructured categories, for example, like furniture, where we're increasingly becoming a larger shipper. So, it's obviously primarily driven by the larger platforms and some of the larger D2C platforms but also now a larger base of SME customers. In terms of lost shipment expenses, yes, we are down to 1.2%, where we've seen a reduction in loss and claims from shippers not just on the e-commerce side but also on the PTL side. And at least based on what our understanding is of

the industry, unfortunately all of our competitors in parcel, for example, except for Blue Dart, are largely private companies. I think this is where our investments in technology and our investments in data science make a difference. We have, you know, sort of fairly deep capabilities to identify potential fraud, potential losses, potential damages across the network and cut those out earlier than most other networks can. And I think we will continue to work on this. We expect to continue

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to see an overall reduction in loss and damage because this is not just a benefit for us, by the way. This also actually flows back as a benefit to the underlying marketplaces or direct-to-consumer brands. You know, preventing fraudulent sellers from selling on platforms, preventing fraudulent consumers from buying on these platforms. A lot of what we report as loss and damage is not necessarily consignments that are lost in the network or damaged. But they're overall claims. Think of it as loss, damage and sort of fraud protection. So whether we'll get back to 0.5% sort of next quarter or not, you know I can't comment, but I think the reducing trend of L&D as a percentage of revenue will continue.

VIJIT JAIN:

Got it, thanks. Those are my questions. I'll jump back into the queue.

SAHIL BARUA:

Thank you.

MODERATOR:

We'll take the next question from Sachin Salgaokar.

SACHIN SALGAOKAR:

Hi, thank you for the opportunity and congrats on a great set of numbers. I have three questions. First question - I just wanted to understand if it is possible for you guys to directionally help us in terms of understanding the volume uptake, how much is seasonal and how much is, let's say, consistent improvement in the industry. Or in other words, you know we did see a 20% YoY growth on Express Parcel. Is that a range one could look at as a range which could be sustainable more or less in that range going ahead?

SAHIL BARUA:

Yeah, Sachin, I think we've spoken about this before. We expect e-commerce volumes in general to continue to grow at the sort of 15% to 20% range. The 20% uptick that you've seen in Q3, of course, a part of it is driven by the extreme sort of impact of sales in the early part of October. So, 20% growth quarter-on-quarter, obviously is not a regular rate of growth for the industry. I think long term sustainable growth rates for the industry, as we mentioned before, will remain 15% to 20%, or at least that's what we model our capacity planning on. Of course, if the industry surprises us with higher than 20% growth, we're happy either way because we're the only player with the capacity to absorb that increase in volumes and also with the cost structure that we have. But internally our planning is usually done in the 15% to 20% range.

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SACHIN SALGAOKAR:

Got it. Very clear. Second question, perhaps for Amit, wanted to understand how could one look at the depreciation, amortization and finance costs going ahead? Any drivers which we should keep in mind, for instance, on the Supply Chain side, you guys are looking to scale up in the electrical space with one of the new customers. So, could we see an increase in cost sharply on the back of this?

AMIT AGARWAL:

We do not expect significantly higher capex versus what we have guided to. We have brought down our capex as a percentage of revenue down from about 10% four years ago to about 7%-7.5% this year. We would expect to marginally improve it in FY25 as well. So, I could not expect any material change in depreciation next year onwards.

SACHIN SALGAOKAR:

Okay, so no leasing cost?

AMIT AGARWAL:

Leasing costs will increase in line with the contracts. So if we are going to launch new fulfillment centers, those will increase in line with the revenue that comes in from those cont

racts.

SACHIN SALGAOKAR:

Got it. Very clear. And my last question is one of your top customers is also now looking to focus a bit more on insourcing where we are hearing around 20% of their orders are getting insourced. Any general thoughts if this could potentially impact market share and volumes for you guys?

SAHIL BARUA:

I think my views on companies insourcing parcel delivery are fairly well known by now. And I think any company which decides to insource logistics does so at their own risk. That said, if companies do decide to insource, whatever their strategies might be, ultimately, given our cost structure and given our reach, our belief is that it's other participants in the industry who probably should be more worried rather than Delhivery. I think we're very confident about our ability to maintain market share under the fluid strategies of our customers. And outside of which, you must remember that part of the reason that we set up an integrated network is so that we are not particularly susceptible to, as I'd mentioned, the vagaries of the fluid strategies of our customers. And the fact that we have a large PTL business allows us to continue to deliver at the costs, even with the efficiencies that we do today.

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So, we're not dependent on any sort of individual customer choosing a new logistics strategy every year. I can't really comment. I think my view is that self logistics is

not something that scales up and is efficient compared to third party players, not just Delhivery. I don't think it is more effective than outsourcing to Ecom Express or to Xpressbees or to Blue Dart or to anybody else. But that said, different companies have different strategies.

SACHIN SALGAOKAR:

Thank you, Sahil, and all the best.

SAHIL BARUA:

Thank you.

MODERATOR:

Thank you. We'll take the next question from Pulkit Patni. Pulkit, please go ahead with your question.

[no response]

MODERATOR:

Okay, we'll take the next question from Gaurav Rateria. Gaurav, please go ahead.

GAURAV RATERIA:

Hi. I hope I'm audible.

SAHIL BARUA:

Yes, Gaurav. Please go ahead.

GAURAV RATERIA:

Congrats on a good set of numbers. I have a few questions, and this question I think comes kind of, sort of every quarter on your ability to sustain very high incremental gross margins in the transportation business. When you look at some of your operational metrics in the last mile, such as density on a per delivery partner basis, or a mid mile, such as the truck fill rate and sorting utilization, how do we understand where are we versus the optimal levels? Just trying to understand the sustenance of these incremental gross margins in the transportation business on a going forward basis.

SAHIL BARUA:

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Certainly, I think that's a very important question, Gaurav. I'm glad you asked it. See, incremental gross margins, as I've mentioned, in the past, they continue to surprise us. You know Incremental gross margins in this quarter have also been 50%. And I'll explain to you why it's not very easy for us to necessarily give an exact measure of utilization. When we did this spot-on acquisition, which was seven quarters ago, as I've mentioned, we acquired it because it was integral to growing our PTL business, providing integrated benefits to our Parcel and our PTL customers and growing our tractor-trailer and automated gateway strategy. Now at that point we were driving close to about 20% of our overall CFT kilometers, CFT is a cubic foot, or if you take ton-kilometers on the tractor-trailer. And our tractor-trailers were at that point about, if you look at it purely on axle weight of volume, about 51% utilized. Now, our own numbers today suggest that we are driving close to about 63%, 64% of our ton kilometers on the tractor-trailers. So obviously the sm

aller format trucks are the ones which have lost out, which is 32-foot SXL and MXL form factors. And utilization has increased from about 51% to about 62% or 63% in general. Now, our ability to increase utilization continues because, a) we are densifying loads across the network, both with client selection, which is also why we've been jettisoning certain kinds of clients over the last seven quarters and also, we're getting better at route planning and optimization. So, on average, you know our tractor-trailers continue to drive about, if I'm not mistaken about 250,000 kms a year. And so, we find ways to utilize them better. So, it becomes a little bit complicated. But those are some headline statistics if they help.

On the DC network, as you can see, we've held DC network constant at about 3,400 direct delivery stations and we continue to have about 993 partner centers. While there isn't a very scientific way yet for us to determine what the exact delivery capacity of a DC is, the internal metrics are typically taken at somewhere between about 700 and 800 packages per delivery center per day in a non-metro environment and in the metros, we typically take DCs at between about 1,200 and 1,400 packages per DC per day. Does that mean that DCs can't deliver more packages? No, but typically, as an example, in a metro, if you're trying to do 2,200 consignments in a DC, you do end up seeing a certain amount of service degradation. Now, based on those sort of 800 and 1,200 you know thumb rules, I would say that DC capacity utilization stands at an aggregated level somewhere at

about between 45% and 60% state by state across the non-metro network and close to about 75% on the metro network. So, we have sufficient sort of capacity available in the DCs, and I do not anticipate us significantly expanding the DC network in this quarter or in the financial year to come.

On the gateway side, again, it's a little bit of a complex question, because to give you an example, when we started our Tauru gateway, which was the first mega facility that we set up, it was originally set up to handle close to about 350,000 odd freight units, a freight unit in our case is something between 15 to 20 kilograms per box, per day. Now, when we set it up, of course, it was with an initial engineering plan. Over the years we've learned how to engineer better and we've expanded the

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lifecycle of the Tauru facility. And now it's in fact capable of going between 450,000 and 500,000 freight units a day. So, the definition of capacity sort of expands in our network, which may make it difficult to give you an exact capacity utilization figure at any point in time. But I can assure you it is good news because essentially, we're expanding capacity on existing assets, we're learning how to use our existing automation better and expanding the life of our larger facilities. So tough for me to give a number. That said, I think rather than focusing on the exact 50% number, which is what we seem to have hit for the last seven quarters, I can tell you that incremental gross margins in the network will continue to remain high, is our view. They will of course come down at some point in time over the next financial year. And at an overall level, we do not expect that we will have significant expansion of infrastructure or significant expansion of the network in fiscal '25 even if we were to look at normative sort of volume growth, which is in the range of, let's call it 15% to 20% for the parcel network and let's say, even 30% for the PTL network.

GAURAV RATERIA:

This is super helpful, very detailed answer. My next question is, on PTL, can you highlight investments that you have made to ensure that we sustain 2x of the industry growth going forward basis? I know there is some amount of base effect also playing out this year from a YoY numbers perspective

ive, but let's say if we have

to grow sustainably at 2x, what are the investments that we made in the last three or four quarters? And lastly, I also want to place a request that how do we start tracking the ROIC metrics for the transportation business? Maybe at least on an annual basis, if not quarterly, in terms of understanding, it's moving in the right direction. Thank you.

SAHIL BARUA:

Sure. I'll let Amit sort of take the second part of that question. On the first part, which is the investments on the PTL network, I think, Gaurav, what you're really seeing here or let me put it this way, there are no particularly path-breaking investments that we expect to make to continue to maintain market share in the PTL business going forward. Of course, we continue to research what we can do on automation and what we need to do from a technology standpoint. But that's a different problem. At the moment, I don't think there's anything particularly new. The investments that we needed to make in the PTL business to gain market share and to continue to grow over our you know the rest of our organized competitors are investments that have been made long back, which are the decision, for example, to run an integrated network between Part Truckload and Express or the trailerisation strategy which I mentioned seven quarters ago, we drove 72 billion cubic foot kilometers, of which 20% of that came from our TTs. And you know in the last quarter we drove 128 billion Cft kilometers, of which you know something like 63% came from our TTs. And the TTs are core to growing the overall PTL

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business. They just allow us to haul a lot more, load a lot more efficiently than anybody else and we will continue to invest in building up our TT Network. It's not just a question of buying the trucks, it's also a question of learning what goes into the trucks, how to integrate them with your automated mega gateways and then obviously how to make the mega gateways more productive than they are. I think on PTL, as I mentioned, the story in India is one of sort of a long period of

consolidation in the market which will continue. The organized players today put together form, you know, less than 45%. The top three are probably less than 20% and all of us put together less than 45% of overall Express PTL volumes in the entire country. And so, we essentially have to keep doing what we're doing right now, more tractors, more trailers, better automation, better handling capabilities and a larger sales force. The other big investment, of course, will be a larger sales force on the ground. As I have spoken about in Q3, we have started expanding our sales force across the country. We've historically been focused on three markets, which were really, Delhi, Bombay and Bangalore, which in some senses, are the three nodes of the major freight corridors in the country. We've expanded Salesforce now with a large number of state capitals, tier 2 cities, and even other large freight origins. So multiple cities across states, and we will do a little more sort of expansion of the sales force in Q4 and then sort of reap the benefits of that, hopefully in fiscal '25. Outside of that, it's going to be sort of more or less business as usual. So, no very significant investments to continue to gain market share. I think shippers are happy with our service. Justifiably. At the end of our first financial year as a company, when we had our issues with the SpotOn integration, shippers were nervous about whether we would be able to manage a peak season in the integrated network. I think over the last four quarters, we've gone back to customers, we've given them assurances which are not empty assurances but also backed up by network performance, which you ultimately can see reflected in the volumes. So, I think shippers are a lot more confident as well and knowing w

e'll

just continue doing what we do. In terms of ROCE Amit, if you can take that question quickly, please.

AMIT AGARWAL:

So, Gaurav, as Sahil mentioned that we are continuing with our growth in LTL business which couples two things. One is growing the business and second is growing it with the right set of customers. I think once we are done with this cycle, the ROIC or ROCE calculations would make a lot more sense for a business like us. I think also, we'll be significantly ahead in our journey of investments, whether it is in tractor-trailers or in the next mega gateway we'll get in Bangalore in mid-2024. So, post these two things happening, I think it would be a better time for us to track those things on an annual basis. In the short term, I can give you a way to understand the ROIC calculation for the businesses. The base working capital days for Express Parcel business as a whole in industry is about 30 days. In PTL it is an average of about 45 days. In SCS it's about 45 to 60 days. FTL is about 90 days and Cross Border is also about 45 to 60 days. You can prorate our receivable days or Delhivery Ltd

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net working capital days on these ratios and come to approx working capital deployed in each of these businesses. In terms of Capex, FTL and Cross Border businesses do not have any capex. Supply chain services business typically carries a capex of about Rs. 1,200 to Rs. 1,300 per square feet of the fulfillment space that we deploy. The balance of the capex is primarily to the transport business. There is a certain fraction of revenue, about 1.3%, that would be in IT or corporate capex that may be happening if we have set up some office. It could be actually less than 1%. In a peak year it would go to about 1% odd. So that you can prorate it to all the businesses. And that would give you a fair sense of how the capital is deployed across each business.

GAURAV RATERIA:

Thank you very much and all the best.

MODERATOR:

Thank you. And as a reminder, in the interest of time, request all participants to please limit the number of questions to two. We'll take the next question from Krupashankar.

KRUPASHANKAR:

Good morning and thank you for the opportunity. Great set of numbers. My first question is on the recent announcement, which large horizontal platforms has made with respect to roll-out of same day delivery in around 20 cities. Now, these include multiple Tier 1 and Tier 2 cities, right. So, just wanted to understand from your end that are you seeing on the ground that there is a certain level of scale which each of these growing cities have reached? And from here on, there's not going to be substantial delta expected from these cities with respect to orders per user, per

month or with respect to further penetration. And how do you see this as a trend going ahead with respect to the D2C segment as to whether they are expanding their geographies as such?

SAHIL BARUA:

Sure. Thanks, Krupa. Let me answer these in a slightly different order. One is, do we continue to see growth in, let us call it, the top 20 cities of the top metros? I think the short answer to that is, yes, we do continue to see growth in the metros and in the key cities. E-commerce is a funny animal in India in some ways. In the metros, the drivers of growth are not the same as the drivers of growth outside the metros. In the metros, what we're seeing is that the key driver of growth is an increased frequency per user. I think this number has been shared, of course, with limited context in India. But the average number of packages per person per year in India is something in the range of four packages per person per year. And an equivalent number for a country like China, admittedly, with significantly higher

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disposable income stands at something like 70 or 72 o

r thereabouts. So, I think that

is going to continue to be a trend in the Indian market across the metros. I mean, a simple example, on a lighter note would be just look at the number of packages you probably ordered. If I look at my own order history. So, I think order frequency will continue to go up. That's number one. I don't think these cities have plateaued us yet. And I think on the tier 2 and tier 3 side, the driver of growth is a combination of increased frequency, of course, but a lot of it is also people exploring e-commerce for the first time. People make a transition from saying we will search for things on the Internet to saying we will consume things on the Internet, whether it's content or anything else, to then saying we'll go and start trying to buy things on the Internet. And I think a large number of consumers are making that journey. So overall, I think there are different drivers of growth but no, we don't see Metro is slowing down and no, we don't see the top 20 cities slowing down. In terms of same day delivery, I'm not sure what's the big deal about this announcement. Same day delivery has been available since 2012. It continues to be reliably available in 2024 and will continue to be reliably available in 2036. In terms of overall delivery speeds getting marginally faster, that depends on what category of inventory you're speaking about specifically. Is it feasible to deliver Apple iPhones in 3 hours in metro cities? Absolutely. It's structured inventory and it is possible, therefore, to create a fulfillment model which makes sense. Is it possible to deliver apparel, unstructured soft line categories across 20 cities in 3 hours? Of course, it's possible. The question then becomes what the extent of inventory is that you have to carry to make sure you can service those orders to begin with. The problem in logistics is never one of whether you can get to a consumer fast enough. The question is why you want to get to them fast enough and with what inventory in the first place. I think from our perspective, our ability exists to offer any delivery speed. We can offer three-hour or four-hour delivery in a city. We can offer same day delivery; we can offer next day delivery. We can slow it down and offer five-day delivery if there's demand for it. The question is what is the underlying category? The good thing is that from our perspective, the network that delivers it is the same. We don't have to create multiple networks to provide that service. So, I don't think the announcement is particularly path-breaking. It's a service which already exists.

KRUPASHANKAR:

The second question is on the Part Truckload business. So just wanted to get a sense - we are seeing that there is a fair bit of weakness with respect to volume growth in the industry. And of course, there are multiple aspects which are at play this time around. While you pointed out that because the industry is also likely to grow at a much faster pace over the longer run, which is primarily on consumption driven growth, how do you see the impact of near-term challenges on the network? Is it fair to assume that maybe there is pain for the next six months?

SAHIL BARUA:

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Yeah, I think when people focus on a single quarter, and I speak for the industry here, and I'm sure that many of our colleagues in this industry are getting asked this

question in their earnings calls as well, I don't think looking at degrowth or volume being flat in Q3 is an indication of any sort of broad industry trend. The big movement in PTL over not just the short term, but even over the medium and long term is not whether the PTL industry is going to grow 8% a year or whatever percentage point over nominal GDP. The big movement is that India is a rapidly organizing market. As I mentioned, the entire sum of organized players in the PTL industry forms

less than half of what is probably something like 22 million metric tons of PTL freight moved annually. You know as Delhivery, we'll probably move, let's call it, if I take our current run rate, something like 1.6 million metric tons of freight this year. So, is there enough headroom for growth for all of the companies in this space? Absolutely. Is there a dog-eat-dog market, absolutely not. We're all competing to grow the share that organized players have of a deeply unorganized market. And whether the industry in the near term grows at 8% or 9% or 10% or minus 8% makes absolutely no difference, not just to Delhivery, but not to Gati or to VRL or to Safexpress or to anybody else. There's enough room for all of us to continue to execute our strategies comfortably. I think in terms of why specific players have faced specific challenges in any given quarter, that's a combination of where your volumes come from, where they're going to, what kind of network infrastructure you happen to be setting up at that point in time. Now we have different network strategies across the industry. For us, the logic is that since we have a network where we can dynamically route traffic, we are less susceptible to the vagaries of the environment or any sort of disruptions across the country. And so, we tend to see relatively less volatile changes in demand compared to the rest of the industry. I don't think there's any near-term pain overall for freight players. There shouldn't be. Q3 is a little anomalous. I think the underlying story on PTL remains robust. The story is not about whether it grows 5% or 6% or 8% a year in the short term, the story is really about the unorganized sector becoming organized and it's an opportunity not just for us, but if I were a PTL player anywhere in the country, I'd be pretty optimistic right now.

KRUPASHANKAR:

Thank you for answering these questions. All the best.

MODERATOR:

Thank you. We'll take the next question from Lokesh Maru. Lokesh, please go ahead.

[no response]

Okay, we'll take the next question from Hitesh Goyal. Hitesh, please go ahead.

HITESH GOYAL:

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Thanks for taking my question and congratulations on a very good set of results. My question is actually on the gross margin. So let me set the context. Basically, you said that tractor-trailer utilization has gone up. So first, can you help us understand what percentage of your tonnage goes through your own trailer, and how has that number been for this quarter versus, say, last quarter? And last quarter you had talked about, in the middle of the quarter we had an earnings call, you had talked about 30%, 35% as a gross margin going ahead, because you had credit capacities. This quarter you have delivered 50%, right. So, this number is quite volatile for investors to really understand. So, what can be the sustainable gross margin on transport business. So, can you please explain these details?

SAHIL BARUA:

Absolutely, Hitesh. On the first one, the percentage of tonnage that's moving on our own tractor trailers, as I mentioned, seven quarters ago we were driving close to about 72 billion cubic foot kilometers, of which about 20% was being driven on our own tractor-trailer network. The rest of it was being driven on 32-foot single-axle, multi-axle trucks and then smaller formats. In the last quarter we've driven about 125 billion cubic foot kilometers, of which about 63%, 64%, as I mentioned, is being driven on our tractor-trailers. All of these tractor-trailers obviously are captive operations. We're the only player in the industry, really, who's using it for these purposes at this point in time. So, if you look at it, our tractor-trailer percentage has tripled in the last seven quarters and it's tripled off a base which has expanded. We do expect this to continue to expand, however, obviously we cannot go all the way

to 100%, much as we would like to. My sense is that, and again, I could be wrong here and I do apologize and I realize that investors have models that they need to get to, but the fact of the matter is that this is a volatile and large market. My sense is that the 62%-63% that we are at of TT utilization, probably gets to about 70% at most in the next financial year. This isn't because we can't find tractor trailers or we can't figure out how to operate them. It's really because ultimately driving tractor-trailers in the deep northeast of India or in the hills of India is not a feasible operation. And we continue to have volumes in those locations. And there's a gestation period for hubs to become TT capable. We've gone from 43 TT capable hubs in Q1, fiscal '23 to 59 TT capable hubs as of the last quarter. So, we have a cycle with which we continue to expand TT-capable hubs. Sorry, very long answer to your question. Point is percentage of tonnage has gone up from 20% to 63% on TT, while overall ton kilometers has gone up about 50%.

HITESH GOYAL:

Just a follow up there. So, basically, you're saying it's 63%. So, I think in previous Concalls you have said that once you reach 75%, 80% kind of levels in terms of utilization, and I'm assuming tractor-trailer is a big part of that operating leverage that we are talking about, then we should assume say 30%-35% kind of gross

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margin which you are safe with. I understand there's a lot of volatility or will be volatility because you are adding capex but can you give a number?

SAHIL BARUA:

Yeah, I think that's the hard part, because there are really three pieces of utilization in our network. Every logistics company has three core assets that they are driving capacity utilization on. One is infrastructure, two is trucks, and three is people. And in our case, while you're right about the trucks, I think what will happen is that at 75%, 80% tractor-trailerization and let's call it 70% to 75% utilization of the tractor capacity at an individual level, certainly at that point in time, there is no additional marginal utility of the trucks. But that said, on both infrastructure and people, that is where engineering and technology and long-range design makes a difference. As I mentioned on our Tauru facility, if I was having this analyst call three years ago when we set up Tauru, I would have been saying, well, in about 18 to 24 months we should see diminishing marginal utility at Tauru. But we aren't seeing it because our ability to engineer the facility and our ability to bring in new systems has increased over the last three years. But yes, I think long range GMs, as I'd mentioned, when we look at our own numbers for the last, call it, 48 quarters, since we started the business, we think incremental gross margins settle at that 30% mark. This volatility, fortunately so far, and scary as it might be for investors in general, the volatility has been on the upside and not on the downside. So, do I believe that marginal utility will be below 30%? No. But do I think that there are quarters when we're going to expect 30% and get 40%, I think the happy answer is yes.

HITESH GOYAL:

Great. My final question is on PTL. So, I hear you that you are actually now increasing sales force because now you are more confident about the network. Does that mean that we are going to add more SME clients? And how does your strategy of going with the same network as e-commerce, that will be the strategy to get SME clients also on the same route? And so, if you can give some colour, because that will impact the yields also, right? Or are you going to go with large clients only?

SAHIL BARUA:

Both, I think absolutely both. In some senses, the good thing about the way our network has been set up, unfortunately, it's something that we discuss with our private investors and it hasn't really c

ome to the public markets, is, look, traditional

logistics companies have always operated with the idea that there's a little bit of a Robin Hood kind of strategy, right. You go to the major accounts, or let's put it this way, a reverse Robin Hood strategy, right. They rob from the poor to pay the rich. So, you go to SME customers and make 50% gross margins while being very happy to make practically nothing at all on major accounts. And you use them to justify the concept of base scale in the network. That's not how the Delhivery network was set up or was envisioned to begin with. We have the ability to make margin with Delhivery Ltd

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all sizes of customers. We started out off, obviously, in e-commerce where we make healthy margins both with our large marketplace customers, as well as with D2C brands. And we make sure that we're a relatively equitable player. And we will continue to do that on PTL as well. Our network is the lowest cost network, and when you're the lowest cost network, you have the freedom to price aggressively to all sets of customers uniformly, which is what we do. So, we will acquire both major accounts, as well as SME customers.

But to your question, why are we expanding the sales force? We are, of course, expanding the sales force because we want to significantly expand the base of SME customers that we work with. SME and some even smaller than SME, which we classify practically as retail, SME and retail customers across the country. That's where the big LTL movements and the big LTL opportunity are. And in our view, it's a historically underserved segment of the industry.

HITESH GOYAL:

Good. Sorry, I have to ask this follow up related to this only. So, when we acquire the SME customers, we are going to go through our existing network only. We are not going to create a separate channel like others are doing to get those opportunities.

SAHIL BARUA:

No, No existing network. Absolutely Existing.

HITESH GOYAL:

Great. Thanks Sahil, Thanks for answering. Thank you.

MODERATOR:

Thank you. We'll take the next question from Sachin Dixit. Sachin, please go ahead.

SACHIN DIXIT:

Hey. Hi Sahil. Congrats on a great set of results. I had a couple of questions. The first one was comparing Q3 of this year to Q3 of fiscal year '22. Right. And if looking at the pro forma numbers, if we do that roughly, we see that revenue has obviously gone up. SpotOn, which was proforma then and now with our network being completely stable, loss-making customers being culled out and all. Despite that, EBITDA margins have not really improved at company level at least. So, can you tell us where the investments are going in? What is driving this stability of EBITDA margins despite revenue going up?

SAHIL BARUA:

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Sorry, are you comparing Q3 of '24 with Q3 of '23 or Q3 of '22?

SACHIN DIXIT:

'22. which is when we had SpotOn independently but proforma numbers were published.

SAHIL BARUA:

Sorry, just give me a second while I pull the numbers for '22.

Yeah. Adjusted EBITDA margin for Q3, fiscal '22, though I don't have the exact numbers in front of me, but I think stood at about 3.7-odd percent, which is currently at about 4.2%. I think the difference between Q3 of fiscal '22 versus the last Q3, if you look at it, well, I don't have the exact numbers. I'll just pull them in a second. I think our PTL volumes in Q3 of fiscal '22 would have been higher than the volumes that we have done in Q3 of this financial year. In fact, we did 442,000 metric tons of PTL freight in Q3 fiscal '22, which is nearly 90,000 tons of freight or about 25% higher than the freight that we did in Q3 fiscal '24. So one way to look at it, while network size over this one year period has increased, despite the fact that we are still doing 90,000 tons of freight less than w

e did, at that time in

Q3, fiscal '22, adjusted EBITDA margins in this quarter are higher than they were in that quarter. This is driven by higher utilization and the fact that we have a greater percentage of our loads moving on the tractor-trailers. If anything, I wish, of course, that we had done 440,000 tons of freight in the last quarter as well. But if you assume 90,000 tons of freight coming in at a high incremental gross margin, even if you were to conserve it, I'm making these numbers up a little bit. But let's say we did 90,000 additional tons of freight in this quarter at broadly call it a Rs. 10 yield just to keep the math simple, we would have done another Rs. 90 crores of revenue for the quarter. Even at a conservative incremental gross margin of 30%, that's another Rs. 27 crores in earnings for the quarter, which would have happened. So, on the Q3 fiscal '22 numbers, I would say, our profitability was depressed at the

time because the fact of the matter is that we didn't have as much TT utilization and that's why for this quarter, actually, even internally as we look at it, are particularly impressive. We're 90,000 tons smaller on freight and 500 basis points better on EBITDA.

SACHIN DIXIT:

So roughly, in terms of profitability, SpotOn prior to acquisition to today's PTL was operating at a lower margin.

SAHIL BARUA:

SpotOn?

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SACHIN DIKSHIT:

I mean Q3 FY '22 PTL business I am assuming is largely SpotOn.

SAHIL BARUA:

Well, it was about 60% SpotOn, 40% Delhivery, but I don't think that's the point here. I think, yes, the overall PTL business for Delhivery and SpotOn would have been less profitable than the business that we're running right now. And for two reasons that mentioned one is of course we are changing our customer mix itself. So right at the top of the funnel we are deselecting customers who we think don't fit our expected profitability profile. Or alternatively going back to them and saying, look, we need different rates for us to service you. So, there's significant change in the pricing strategy of the company between these two financial years. And the other piece is there's a structural shift from Q3 fiscal '22 to today. When we look at our line haul expenses per kilogram of freight that's moved, there's a very significant delta between Q3 fiscal '22 and Q3 fiscal '24. And as I mentioned, that's driven almost entirely by the shift to tractor trailer. We were at that time in Q3 fiscal '22, we would have been doing 20% of our movement on TT, whereas now that's over 60%. So, if we had been doing 60% TT in Q3 fiscal '22, our Q3 fiscal '22 numbers would have been much higher.

SACHIN DIXIT:

Fair enough. And talking about the gross margin improvement, right. It's done quite well. So, if we try to break it down, the gross margin improvement that would come from higher tonnage happening via tractor-trailers. But there will be an incremental cost that will come below right in depreciation, I'm assuming in TT? So how do you compare that incremental benefit that we getting on gross margin and the cost that is coming in, can you break it down for us a bit?

SAHIL BARUA:

Sure. Well, I think I'll let Amit answer on the exact math, but let me explain sort of on the TTs, why they make a lot of sense. First of all, the difficult part of the decision was establishing the base fleet of the TTs. From this point on, obviously, the incremental TTs that we're adding as a percentage of the base is not particularly large. And so, we don't anticipate violent shifts in the gross margin as we expand the tractor-trailer fleet.

The other thing on the TTs at least, the interesting thing that we have seen, our first set of tractor trailers that we bought four years ago, completed 1 million kilometers of driving on that fleet of tractor-trailers in four years, which is 250,000 kilometers a year, or

approximately 21,000 kilometers a month, which by Indian standards, where an average truck will drive between, call it 7,000 kilometers and 9,000 kilometers a month is pretty significant. So, one is we're just getting more mileage

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out of our trucks. And the second is that these trucks are depreciated in four years. And we expect that the useful life of these trucks is conservatively eight years and aggressively, based on what we can see right now, we might even be able to run these trucks for ten years. So it's actually a hugely accretive asset for the business. But that's it. Amit, if you want to weigh in specifically, I'll take a pause here.

AMIT AGARWAL:

Sure, Sahil. So, there is roughly about mid-teens of depreciation that is accounted for the trucks every quarter. That is the maximum extent you can consider, which is the impact of gross margin going to the depreciation. Something like Rs. 14-15 odd crores a quarter. I think the important part is what Sahil highlighted, that these

trucks are being depreciated at close to about 4.7-4.8 years, while the useful life of this asset could be very well beyond eight years for us. Sahil gave an example of Volvo tractor trailers, but even relatively lower quality trucks, which are 32ft trucks we first bought in 2015-2016 and depreciated them in three years. Most of them continue to run for us even today, which basically means they have already shown a useful life of more than 8 years. So, our assumption on Volvo tractor trailers running for us in excess of eight years is an assumption that we are very comfortable. And also, I want to emphasize that the depreciation methodology that we are using is WDV. And in a capex cycle phase, this is a higher depreciation being accounted for in our books.

SACHIN DIXIT:

Right. Understood. Just one final question, if I can squeeze in. Lease rental cost, the cash rental amount that you guys gave has roughly been flat for the last almost 8-10 quarters. While obviously the network has expanded and other things have expanded as well. So why would that be the case? That's my final question. Thank you.

AMIT AGARWAL:

Lease rentals have fairly remained flat because the network footprint has remained largely flat between 18-19 million square feet of infrastructure. We would expect Q4 of FY24 and then Q1 of FY25 to show some increase when full rent for our expanded Bhiwandi facility is accounted for in Q4. I think the extent of total fixed cost, not just rent, but total fixed cost impact would be close to about Rs. 4 odd crores in Q4. And then we will have some impact coming in from Bangalore facilities consolidation in Q1 FY25. Other than that, we have not expanded the physical capacity or physical footprint of the network.

SACHIN DIXIT:

Understood. Thanks so much.

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MODERATOR:

Thank you. We'll take the next question from Aditya Mongia. Aditya, please go ahead.

[no response].

Okay, we'll take the next question from Pulkit Patni. Pulkit, please go ahead.

PULKIT PATNI:

Sir, thank you for taking my questions and most of them are answered. My one question for Sahil. Sahil, the way you speak about the e-commerce business and that for your business planning purpose, you assume a 15% to 20% growth in that. What is the assumption that you're baking in for the PTL business from the base that you have now?

SAHIL BARUA:

On the PTL business, Pulkit, we don't worry about forecasting market growth in any way because as I mentioned, the big move is not growth of the underlying market but the big move for us is continuing to gain share from unorganized players and even from some sort of the less aggressive organized players to some extent. So, we don't forecast market growth whatsoever. In general, if you look at it, PTL industry across the world, a

nd India is no different, tends to grow at a couple of percentage points higher than nominal GDP growth rate. There's of course another big shift in the Indian market overall, which is a shift from Full Truckload towards Part Truckload in certain kinds of sectors. And as roads get better, as truck formats start getting larger, I think people are discovering that the cost of holding inventory for certain kinds of inventory is higher than the cost of transportation. So, there's a large secular shift towards PTL as well. So, I think if I had to project this for the industry, I would assume that PTL industry growth rates would remain in sort of that high single-digit 9%-10% or low double-digit kind of rates for the foreseeable future.

But from a planning perspective, that's not how we look at designing the network. It's not driven by the market; it's driven by a couple of things. One is we look at where we are seeing significant customer growth. So as an example, we consolidated facilities in Chennai because we realized that we were seeing significant customer demand from Chennai outbound to the rest of the country. And so, we decided to build capacity in the city. Typically, we build capacity with an initial view that we are willing to go to a minimum of sort of 33% kind of utilization

for the facility. But as I mentioned, capacity definitions also change with time. And so, it turns out that we have more capacity very often than we originally planned, as we engineer better. I don't know if that answers your question, but that's how we plan.

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PULKIT PATNI:

But no numbers, no range that you can give for your internal planning for growth for this segment?

SAHIL BARUA:

Not really because of the fact that capacity is relatively a malleable concept, it's not very easy to say exactly what we would plan. I would be very happy if we grew our PTL business 30% next year if it were to happen. Do we have the opportunity to grow above 30%? I think the market certainly supports it. We have the capacity to support it at this point in time, but we'll see there are a number of factors that come into play.

PULKIT PATNI:

Understood. That's helpful. One question for Amit. Amit, after Lonad and the facility in south India, till what time can we expect no significant expansion from us? Or how are we placed in terms of available facility capacity over the next, say, 12 to 24 months?

SAHIL BARUA:

I think I'll take that instead of Amit. The simple answer is, we don't expect any other significant mega facilities to go live anytime in the near future. The three biggest origins in the country are Tauru, or rather Gurgaon in the North, Bhiwandi and Bangalore. These are also geographical node points, and so it makes sense for us to have the megas here, so we don't anticipate any similar sort of large facility coming up in the near future at all. That said, I think there will be minor capacity upgrades that will happen in a couple of key cities. I think a couple of the key cities that we're seeing which are growing larger, one of them for us will be Chandigarh, one of them for us will be Chennai. I think we will see some capacity expansion potentially in the East, but these will all be relatively minor. There's one key decision point which we will take later through the financial year, which is whether we want to expand our facility in Noida or not. But we're not at that stage at this point in time and if you were to ask me, I think we're very well covered across the NCR region, but depending on how volume growth happens over the next couple of quarters, we look at Noida. So, nothing very significant planned. There will be minor capacity upgrades, these are all BAUs. For example, we have two facilities in Pune. We have to combine them into a single facility. In some places like Siliguri, we have to go from being non-TT enable

d to being TT enabled. These are not significant capital outlays.

PULKIT PATNI:

Got it. Thank you so much for those answers.

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MODERATOR:

Thank you. We'll take the next question from Aditya Mongia. Aditya, request you to please unmute your line.

ADITYA MONGIA:

Thank you for the opportunity. The first question that I had, was actually more an observation and wanted to take Sahil's comments on this. Most of your peers in e-commerce logistics typically are seeing a deterioration in profitability with strong growth, whereas you, let's say, in this quarter, have shown the complete opposite. Given where we are in terms of healthy margins, does it make sense for us to get more aggressive on pricing at this point of time?

SAHIL BARUA:

I think the short answer is, to what end? As I've mentioned in the past, pricing is a complex overall strategy and decisions on pricing are taken at a client account level. We have target cost margins and target EBITDA margins for every account. And as I mentioned, shippers like Ecom Express or Xpressbees or whoever else who are relatively dependent on e-commerce have relatively little tactical flexibility when

customers demand unreasonable prices. And also, the inability to sort of cross utilize their network does create certain challenges. If anything, I forecast that for most of the industry, you are going to see an upward sort of pressure on yields for most of our competitors. From our standpoint, the logic is very simple. At the pricing that we provide, we make money. In our view, most of our competitors are incapable of making money at those price points. That is not for any other reason than the fact that their underlying network doesn't support it.

Were we to drop prices further, I don't think it would make a structural difference to the industry just yet. We can continue to wait and hold our prices. Look at how pricing pressure plays out on our competitors over the next year. And I think some of the listed players have already signaled that they intend to pass on generalized price increases through this year. Delhivery strategy is not to do so. And when we have sufficient sort of confidence that we have even higher incremental gross margins that are available to pass on, we'll do so. So as our PTL business grows, and as we continue to gain scale in the overall combined transportation network, we may well go back and say that, look, we'll pass further price benefits to our customers, but there's no generalized strategy that one can make over here. And apart from that, Aditya, since you've covered this in the past, I think the fact of the matter is, I don't believe that people who are running, for example, self logistics operations, if they were rational about price, they wouldn't run their self-logistics operations at all. You wrote a report on this and you can see that the cost of their logistics is significantly higher than the price that we provide to the market.

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So, in that environment, when your principal is not acting as an economically rational agent, it doesn't make sense for you to drop price.

ADITYA MONGIA:

Understood. The second question that I had was more on corporate expenses. Now they've become, I think, sub 10% again, the way they were two years back, when we were doing great on volumes. Are there levers to pull from here on, or should we expect more stable numbers as a percentage of sales from here on?

SAHIL BARUA:

Yeah, I think you have to look at the absolute number rather than the percentage, because the percentage is just the absolute divided by revenue. Overall, corporate expenses have remained stable at that Rs. 210 crore kind of mark on a quarterly basis. I think in Q1, we will anticipate a small amount of wage inflation which will come in, which is sort of

normal for the year. But broadly speaking, I don't anticipate any structural changes to our corporate expenditures. We have no significant hiring that we need to do to expand the business, not even for fiscal '25, and frankly, not for beyond. Obviously, when we had come to the public markets, I think we had come as a fully formed company with the ability to grow fairly fast. So, I don't anticipate that happening. Wage inflation will remain within normal bounds overall, and I think our overall ESOP expenses also, as you can see, have started stabilizing, and I think that will continue.

The only area where we do anticipate a small amount of additional investment through the year will be that you will see a little more spend from us on overall visibility and marketing, which is essentially to enable our field operations teams which are out selling in the additional 80 cities, to get more visibility and sort of as a general boost for them. So, there'll be a minor increase in marketing expenditures. But nothing else. Corporate expenses should broadly remain stable.

ADITYA MONGIA:

Thank you, those were my questions. All the best to the team.

MODERATOR:

Thank you. We'll take the next question from Lokesh Maru. Lokesh, please go ahead.

LOKESH MARU:

Thank you. Sir, my question is more on utilization. Thanks for an elaborate answer before, but just two, three things I wanted to clarify. One is on utilizing the existing fleet better in terms of volume throughput, did you say 60% or 63% is where we

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are in terms of CFTs, and there is more room to grow from here for that, that is possible?

SAHIL BARUA:

Sure. Yeah, Lokesh, there are two kinds of utilization, let me be clear. One is the number of kilometers that you drive and the second is utilization of the individual containers aggregated over all of the trucks. I think the bigger driver for us will come from better utilization of the containers at this point in time. We're already driving a significant percentage of total kilometers using TT as I mentioned, we've gone from 20% to about 63%, 64%. I think there's a limit to how far that can go, we'll probably get to through this financial year we should hope to get to somewhere between, let's call it 70 odd percent, 70%-72% of total CFT kilometers getting driven on TT. But that will also depend on volume mix, hubs getting ready, etc., etc.. So, if you're looking for this as an input to a model, I'd say be a little careful, but it will certainly go up from 62%. The more important thing, of course, is the utilization of the axle load carrying capacity. Two things will influence that. One is just a sheer densification of loads as we do more PTL volumes. PTL volume by nature is denser than Express volume and so with more PTL volume going into the trucks, the average axle load on every truck will increase. The second is a careful client selection towards higher density clients. I think that is something that's been a strategic focus for us over the last seven quarters, that will continue. It's only because you take the higher density clients that you can really effectively service the lower density clients and that's something that's been par for the course for PTL companies for years. We know we're catching up to that, we'll continue to do that. So, client selection is the second and the third is really where Delhivery derives its competitive advantages from, which is the technology that enables you to stuff trucks better. So that is something that we've invested in. We already have systems which guide exactly what loads go on to what trucks and on to what containers. So far those have been time optimized. As the network becomes more stable, we will also utilization- optimize and that's something our systems have the capability to do. So again, very long answer to your question. If your question is - will we c

continue to see improved utilization in the mid-mile network? The answer is that's a key strategic focus for fiscal '25.

LOKESH MARU:

Sir. And just to clarify on mid-mile since we give away the vehicles rental cost, expenses, and contractual manpower separately, so does it mean that line haul cost only includes the diesel prices. And apart from that, what else?

SAHIL BARUA:

No, I'm sorry. The vehicle rental expenses are third party fleet that we contract for intra city operations. The tractor-trailers and all of these are reported as part of freight handling expenses. But Amit, you can provide the exact.

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AMIT AGARWAL:

Yeah, so vehicle rental expenses are for all intra-city vehicles. These are wet leases where we pay for fuel, the vehicle body, driver route expenses, toll charges, everything put together to third parties as a consolidated expense. It also includes payments to third parties who do pickup deliveries for us in our LTL business. That is what primarily is in the vehicle rental expenses. It also includes the payments to last mile deliveries done by the third-party agents on a per-parcel basis for us. That is what is in the vehicle rental expenses. In the line haul expenses are all your payments to third-party vendors for vehicles which are again wet-leased from them. Almost 60% + of the line haul is still operated by third parties, whether they run tractor-trailers for us or they run non-tractor-trailer vehicles for us. It also includes the consumables, bags, bolt seals that are used to lock the trucks, AMCs, repairs for all the trucks that we operate, plus fuel, toll charges, driver expenses, etc, everything included in it for our own trucks as well. Only part which would be in the bottom below that line item is the depreciation of those trucks, which I mentioned is the mid-teens crores per quarter.

LOKESH MARU:

Okay, so for the tractor trailer part, since overall, from fleet size we are at 13,000 already. Given our growth rate this could again go to 18,000-20,000 maybe as we go ahead, three years down the line. So, from demand and supply, since we are the largest company operating in the space and since we require 40ft, sorry, tractor

trailers, which is a specific demand, so is the supply ready on that front and terms of trade, are we prepared to turn it in our favor in a way that there's no shortage and spike in the leasing cost of these. So how are we preparing to expand our fleet economically is my question.

AMIT AGARWAL:

So, we do not operate 13,000 tractor-trailers. 13,000 is the total number of, four or more types of leaner vehicles that operate in our entire network across all lines of businesses. These could include vehicles involved in pickup, delivery or carting between multiple centers within the same city. And the intercity vehicles as well. The total number of vehicles which are deployed in the intercity operations are close to about 2,000 odd vehicles. And out of which we have about 750 to 800 odd tractor-trailers, which are the 43-46 feet vehicles. And out of these 750 to 800 vehicles, slightly more than 50% of them are owned by vendors of the tractor, and the trailers are 100% owned by us, because the trailer is a detachable unit which can be attached to any tractor. From the supply availability standpoint, I think Sahil mentioned this earlier in the call that we are very well placed to acquire the capacity or the supply of these tractors and trailers as and when required in the next fiscal year as well.

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We'll have the next question from Shikhar Gupta. Shikhar, please go ahead.

SHIKHAR GUPTA:

Hi. Thanks for the chance. Congratulations on wonderful numbers. My question is regarding the OS1 platform you've recently onboarded, Akshaya Patra. Can you throw more light on how th

is business is taking shape as a global SaaS business?

And when can we see a significant revenue contribution from this business say 5% to 10%?

SAHIL BARUA:

Sure. Shikhar, thank you for the question on OS1. We're a little ahead of schedule. Our plan was that in Q4 or in the early part of the next financial year, is when we would start really operationalizing the system. Fortunately, we had this fantastic opportunity to work with the Akshay Patra team and really deploy DispatchOne for their kitchen-to-school delivery operations. The reason we chose Akshay Patra was really because they are actually, interestingly enough, a significantly large logistics operation. And so it allows us to test one at scale. The good news is, I think the tests have been hugely positive so far, both for Delhivery and I think more importantly, for Akshay Patra. And so now that we have testing of this at scale, there's a lot more confidence to go out and sell this to external customers. DispatchOne and TransportOne, are the first two services that will be available as part of the OS1 platform. DispatchOne is a last mile delivery application which is fully configurable for any form of shipper. So, for example, if you are a large grocery chain which wants to offer your own delivery, you can use DispatchOne. If you're Akshay Patra, for example, obviously doing kitchen to school delivery, you can use DispatchOne. If you're a FMCG distributor and you actually want to track delivery operations to retail, you can do that using DispatchOne. So the number of applications is pretty significant. We're starting to meet customers across the FMCG pharma space in India already.

The next step for us, of course, will be to look at expanding Salesforce. This is not a significant salesforce, of course, but a small SaaS salesforce in a couple of key international markets. One of them obviously will be the US, since that is the largest market from a SaaS standpoint and also where we think there'll be significant appreciation for the DispatchOne product. And the second will be the Middle East. TransportOne, which is the second application, is essentially a full-fledged transportation management system, which again, is aimed at any enterprise in the country to manage outbound delivery operations, whether that happens through Full Truckload or through Part Truckload. And the value proposition is that it will be fully integrated with Orion, which is our trucking marketplace. And so essentially shippers can simply switch on via TransportOne access to what is one of the largest trucking marketplaces in the country. I think TransportOne

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monetization should begin in Q1 of fiscal '25. Now, in terms of your question, whether 5% to 10% of a logistics company's revenue will be SaaS revenue, if we can build a SaaS business which is 10% of our logistics revenues, I think that would make us the largest SaaS business in the country in five years. So that's not necessarily our immediate aim. I think we do anticipate starting to monetize in Q1 of fiscal '25. And we expect OS1 to slowly ramp up in revenue terms over fiscal '25 and fiscal '26.

SHIKHAR GUPTA:

Alright, Thank you

MODERATOR:

We'll have the next question from Ankit Agarwal. Ankit, please go ahead.

ANKIT AGARWAL:

Yeah, thanks for the opportunity and congratulations on a great set of numbers. I have one question on yield per parcel. So, in the last quarter you mentioned that most of the players in the logistics space have taken some price hikes, while you have not taken any price hikes because of the operational efficiency that you guys are benefiting from. So just wanted to check, is there any price hike that we have taken in this quarter? Just wanted to understand. Trying to understand what is the nature of this increase? Is there any other element apart from the festive impact like the increa

se in distance or so? So just wanted to get your sense on the yield per parcel thing.

SAHIL BARUA:

Sure. Very short answer is that the impact on yield that you can see in Q3 comes from both weight and from an increase in distance. And of course, a change in customer mix underlying. But the broader question strategically, I think we've been very clear about this, and I'll restate it, is that we do not believe that our customers are best served by logistics companies passing on inefficiencies in the form of price hikes. I think the industry will face upward pressure on pricing because of course, the fact of the matter is none of us is immune to the forces of inflation, but our ability to absorb that with improved network engineering and through better technology will ensure that we don't have to pass those price hikes on. We have no desire or any sort of plans of passing on generalized price increases to customers anytime in the near future.

ANKIT AGARWAL:

Got it. Sahil Thanks. And the second question is on the profitability. First of all, many congrats on reaching the PAT profitable number as profitable at a PAT level. Delhivery Ltd

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So just wanted to get your sense as in how we should look at it, as in going forward. Do you see the EBITDA margin number or the adjusted EBITDA margin and profitability at a PAT level to sustain or improve from here onwards, as in for the next quarter and FY'25 perspective. So any guidance or view or color on that front will be great Sahil.

SAHIL BARUA:

I think you should look at the PAT number for this quarter in the same manner as the management team, which is with satisfaction. But I don't actually want to provide any particular guidance going forward into fiscal '25. The reason, as I've mentioned, and I do want to, it's actually in some senses a good, nuanced question, which is we are operating in a gigantic market. In India, as I've mentioned multiple times, the total spend on logistics is \$140 billion in revenue. At this point in time, I think there will continue to be volatility overall in the company's revenue and margin profile in the narrow term. The important thing that this quarter proves is that the model works. As a question was asked earlier. If you can see, despite the fact that we're doing 90,000 tons of freight less than we were doing two years ago, our profitability in this quarter is higher than it was two years ago. And I think there have justifiably been questions about whether the integrated network works, whether the tractor-trailer strategy works, and I think this quarter provides fairly resounding proof that it does. Of course, our incremental gross margins have done that for the last seven quarters. But in terms of PAT also, I think this provides sufficient relief.

I wouldn't use this quarter necessarily to go ahead and forecast sort of a linear and upward swing in margins forever. I think there will be quarters where we will

expand capacity. There will be quarters where demand will be affected by factors that are beyond our control. And at that point in time, there may be swings that will happen in profitability, there may be swings that happen in revenue as well. But I'm fairly certain that if you were to look at delivery over the long arc of time, I think you will find that we will achieve our overall revenue and our profitability targets. I have mentioned in the past that we believe that stable transportation margins sit in the range of 16% to 18%. I see no reason to believe that will be any different. And as our engineering capacities grow more formidable, I think we'll have the ability to generate excess margins as well. But please don't use this quarter as sort of an immediate way to model the rest of the next near-term quarter, six quarters, or whatever it is. I think the market will evolve. There are many forces that are beyond Delhivery's con

trol and we will respond to them appropriately as they come up.

ANKIT AGARWAL:

Got it, Sahil. Thanks a lot for the answers.

MODERATOR:

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We'll take the next question from Shrinidhi Karlekar. Shrinidhi, please go ahead.

SHRINIDHI KARLEKAR:

Yeah, hi. Thank you for the opportunity. Sahil, just one question from my end. You highlighted that the dynamic routing is one of the reasons for reduction in our line haul cost, particularly in this quarter. Wondering, would it be possible to give some color on how this benefit scales up as the size of the business goes up? If you assume a hypothetical situation like, the scale of the business becomes like 2x over the next three to four years, how much more savings is possible because of dynamic routing?

SAHIL BARUA:

Yeah, I think it's a little more complicated than that. The dynamic routing capability is one of the various integrated processes which allows us to generate excess efficiencies in the mid mile operation. It's not just dynamic routing by itself. It is a combination of how we rotate tractor-trailers. It's a combination of, of course, the engineering within the hubs and the automation within the hubs when coupled with dynamic routing, I think there is value that is delivered.

To give you a simple example of why dynamic routing makes a difference, let's say, in a universe where there are only two trailers, if you were to have 1.3 trailers of load, you could either run your aggregated trailer network at 65% utilization or you would have to make a minimum of 30% of your loads wait until they end up filling up completely. And this is if you run a classic hub and spoke direct point to point network. The advantage of the Delhivery network, because we do not run a direct point to point network and we run a mesh network, is that we can afford to route through alternate paths that offer us higher utilization without necessarily compromising on delivery time. Even if we can't go from 1.3 truckloads to a full two truckloads, we can certainly go from 1.3, for instance, call it to 1.6 or 1.7 or 1.8. The impact on forward lanes very often is not as significant because the directionality of traffic. Let's say you're going from Delhi to Bombay. You'll always have a very large amount of load that's moving direct from Delhi, Bombay, and you'll have reasonably high utilization. So, you might have even full tractor loads, and the second tractor load being, let's call it 50%, but that's still a very high aggregate utilization.

Where this starts becoming interesting is the number of secondary routes that we can make viable at constant speeds. And of course, on the return routing, where traditionally people might be routing a truck, or essentially deadheading, as it's called. Deadheading kilometers for people might be a very significant percentage of total route length. For us, deadheading kilometers will typically be much lower, and reducing deadheading kilometers across the network, or reducing deadheading CFT kilometers across the network is sort of the objective function of the optimization algorithm. So very hard for me to give you a specific answer saying if

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tractor trailer grows 10%, line haul cost comes down 6%. I think it's a little more

complicated than that. But as I mentioned, if you look at the last seven quarters, you get a very clear picture of how a combination of tractor trailer automation in the hubs and dynamic routing has made a difference to line haul costs.

SHRINIDHI KARLEKAR:

Right. But is it fair to say, like the deadweight kilometer, just thinking from a scale point of view, ability to reduce, that goes down as scale goes up further?

SAHIL BARUA:

Incrementally, it will. As with all things, there is a diminishing marginal utility as you get larger that will continue.

But I think the important thing is not whether our ability comes down over time, but whether that ability can be replicated at all. And in the absence of the investments that we have made, it cannot be replicated at all.

SHRINIDHI KARLEKAR:

Thank you for answering my questions and all the very best.

MODERATOR:

We'll have the next question from Nilesh Saha. Nilesh, please go ahead.

NILESH SAHA:

Thanks a lot for just giving very deep and detailed answers. Right. It really helps us to both understand and appreciate what you guys are building. But more important than that, your thought process, right. Just to further extend on that I wanted your perspective on two things. First, some comments on what is your sort of Adjusted EBITDA Margin for the PTL side, right, you can comment on how it has moved over the last few quarters as you have stabilized PTL, first? And second, and perhaps a bit more important than that, than the margin, because margin is also a function of the realization, which is a function of the customer mix, which you are trying to change to an extent, is what's your cost structure on PTL on a per ton basis? The perspective I want to understand from you is that as you put your PTL volumes on the tractor-trailers where you have a sort of base load from Express, obviously that cost is lower. But than your other peers who are not using tractor-trailers, but beyond that sort of mid mile cost where you are clearly a leader, what are the other costs in PTL and how would you rate yourself versus some of the other industry players on the PTL side? That's all from my end. Thank you.

SAHIL BARUA:

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Sure. Understood. Thank you, Nilesh. This is going to take a little bit of time. So the first question is, what is the adjusted EBITDA for the PTL business over quarters? And sort of how that has been trending. While we do not release adjusted EBITDA by business line, one of the reasons, of course, is that at this point in time, I think a certain amount of, how shall we put it, confidentiality around our segmental margins is something that we deem as strategically important. But more importantly, there is an element of allocation between the two businesses, which of course, remain consistent over time, but it makes it a little difficult to compare, therefore, our PTL margins versus our competitors, who might be either Express only or PTL only.

But let me begin with some concrete statistics. I think, first of all, without getting into the details of the gross margin level in our PTL business, if I look at the last seven quarters, we were at our trough during the first quarter of fiscal '23 when we began the integration of SpotOn with Delhivery. Over that period of time, our PTL gross margins have expanded by, if I'm not mistaken, nearly about 15% from Q1, fiscal '23 to where we are today. And I think our EBITDA margins would have expanded by a similar amount since there hasn't been that much network expansion. Amit is just pointing to me that the service EBITDA margins in PTL have increased by more than the gross margin increase. The incremental margins in the PTL business, fortunately for us, and atypically for the industry, are similar to the incremental margins that we have in the Express business. So, we do continue to see 40% plus incremental margins in the PTL business, and that will continue. The reason that continues is because our network over a period of time has gone from an Express denominated network to a PTL denominated network. The extent of tonnage that we carry on the PTL business is significantly higher than the overall tonnage that we carry in the Express and heavy networks put together. And therefore, that really is the determining design feature. And so, as PTL volumes go up, we expect incremental margins to continue to go up. Which brings me to your second question around c

ost structure per metric ton. I think our cost structure per metric ton in the mid-mile is lower than our listed competitors, for sure. We do track this on a quarterly basis.

The second part of your question was how will we find efficiencies elsewhere? We will continue to find efficiencies elsewhere. They're relatively simple efficiencies, which are around better utilization of space and higher productivity of the manpower that we employ. That is largely being done essentially through more automation and better technology. So, to give you an example, our freight handling cost has come down significantly with the use of our automation systems. And as we continue to bring in more technology across all of our hubs, we expect handling to come down, which is the second big component of cost. And the third piece will, of course, be, as we generate more load, mere throughput will ultimately increase, which will be a generalized scale benefit for Delhivery, as for anyone else.

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But the big focus, Nilesh, in mid-mile, especially for PTL, is, and why we keep harping on it, is because mid mile is half of the cost of a PTL network. And so that's really where you want to attack to begin with. Of course, over a period of time, as we get larger, we will find opportunities to continue to engineer at the first and the last mile. But when we look at where there is the maximum point of leverage for the company, that is in the mid mile. And so that's why our focus will remain there in terms of comparison to our competitors. While we do have a lower cost on the PTL side in the mid mile, I think it's also dependent on industries people service. There are customers in specific industries that Delhivery doesn't service, which our competitors do service. We don't carry certain kinds of form factors. And so, our mid-mile costs, in some senses, won't be very comparable because it really depends on what they carry. If you're delivering, as an example, at a certain point in time, we used to carry ATM machines and decided not to, people who carry ATM machines will have very different mid mile structure compared to ours.

NILESH SAHA:

Right. Okay, great. Yeah. Just simple follow up. Just clarifying what you said. You said that you are confident that your mid-mile cost is certainly better than other listed or other larger express PTL players, right. That's a fact, as per your understanding. But on an overall basis, is your cost still not there? So then to that, that's where my question is that what are then the other cost, rights. So I've actually been to your warehouse, right, and what I saw there is a lot of this automation is primarily oriented towards sortation of Express parcels which are smaller, right. But as you yourself explained, PTL parcels have different form factors and may not be amenable to such easy sortations. So that's precisely my question, that beyond the mid-mile, where are the other cost gaps versus the general PTL industry?

SAHIL BARUA:

I think the incremental gross margin does answer that question. The simple fact is the additional cost improvements for us will come with greater throughput if we are capable at this point in time of handling significantly higher tonnages than the 360,000 metric tons of freight that we did in Q3 of fiscal '24. Now, if we were to handle 450,000 tons of freight, as I'd mentioned, that's 90,000 additional tons at even a not very great yield of, let's call it Rs. 10 is Rs. 90 crores of additional revenue at an incremental gross margin of 40% is Rs. 36 crores. That goes to the bottom line. And the overall profitability of the business looks very different. So, there isn't anything significantly different in the cost structure at the first and the last mile.

And also on the sortation, since you brought it up, I think that actually isn't correct. Over a period of time, a larger p

ercentage of our focus is on automation, and

remember, automation is not just a question of buying conveyor belts, it's a question of what you do with the conveyor belts. When you see 240,000 packages which are small, flying around on a conveyor belt, it of course looks like it's more complicated Delhivery Ltd

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than freight moving on relatively slow-moving conveyor belts. But I can assure you that the automation investments are not so much on the parcel sorters and more on actually the freight sortation, which is harder, as you pointed out, because you're dealing with a hard factor. So that's where there is a difference. When handling

comes down, it's not just the utilization of people. The other thing, of course, is consequently losses and damages also come down because you don't have people chucking freight around. It's all moving on. That's why we get the efficiencies.

NILESH SAHA:

Great. Thanks a lot.

MODERATOR:

Thank you. We'll take that as the last question. Request the participants to take any further questions with the investor relations team. Before we end, on behalf of Macquarie, I would like to thank Delhivery for the opportunity to host its earnings call. Over to you, Sahil, for any closing remarks.

SAHIL BARUA:

Thank you, Macquarie team, and thank you, all of you, for joining the earnings call. As I'd mentioned, it's been a good quarter for us. Overall, very satisfactory as a management team. We're glad that we've had our first PAT profitable quarter and our highest adjusted EBITDA margin on our highest revenue in Q3. And satisfactory while it is, and we do anticipate that we will continue to do well as a business, I think the broad message is that we do expect also that the market will continue to remain, for lack of a better word, interesting over the next couple of quarters and hopefully we'll be able to continue to provide this kind of detailed guidance as things evolve going forward. So great, thank you. Thank you all for joining.

Call: May 2024

Date: May 24, 2024
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
India

Scrip Code: 543529 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
India

Symbol: DELHIVERY

Sub: Transcript of Earnings Conference Call pertaining to the Audited Financial Results for the quarter and financial year ended March 31, 2024

Dear Sir,

This is in continuation to our earlier letter dated May 17, 2024, regarding audio/video recording of the Earnings Conference Call held on May 17, 2024, at 06:00 P.M. (IST) on the performance of the audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year ended March 31, 2024.

Please find attached herewith the transcript of the above investor and analyst call.

The above disclosure is also being uploaded on the website of the Company at www.delhivery.com

You are requested to take the same on your record.

Thank you.

Yours sincerely,
For Delhivery Limited

Madhulika Rawat
Company Secretary & Compliance Officer
Membership No: F 8765

Encl: As above

Delhivery Ltd
Q4 FY24 Earnings Call- Hosted by Macquarie
May 17, 2024

"Delhivery Limited Q4 & FY24 Earnings Conference
Call"
May 17, 2024

Management : MR. SAHIL BARUA, MD & CHIEF EXECUTIVE OFFICER
MR. SANDEEP BARASIA, ED & CHIEF BUSINESS OFFICER
MR. AMIT AGARWAL, CHIEF FINANCIAL OFFICER
MR. VIVEK PABARI, HEAD - INVESTOR RELATIONS
Moderator : MR. BAIJU JOSHI, MACQUARIE CAPITAL

Delhivery Ltd
Q4 FY24 Earnings Call- Hosted by Macquarie
May 17, 2024

MODERATOR:

Good evening, everyone. Welcome to the Q4 & FY24 Earnings Conference Call of Delhivery Limited, hosted by Macquarie. Before we start, Delhivery would like to point out that some of the statements made in today's call may be forward-looking in nature, and

a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this call is meant for investors and analysts only. If there are any representatives from the media, they are requested to drop off this call immediately.

To discuss the results, I'm pleased to welcome Mr. Sahil Barua, MD and Chief Executive Officer, Mr. Sandeep Barasia, ED and Chief Business Officer, Mr. Amit Agarwal, Chief Financial Officer, and Mr. Vivek Pabari, Head of Investor Relations. As a reminder, all participants' lines will be on listen only mode and participants can use the raise hand feature to ask any questions post the opening remarks. I thank the management team for providing us the opportunity to host this call. I now invite Mr. Sahil Barua to take us through the key highlights of the quarter, post which we will open up for Q&A. Thank you, and over to you, Mr. Sahil.

SAHIL BARUA:

Thank you, Baiju, and thank you to the Macquarie team for hosting us. To all of you who have joined, thank you for joining on this Friday evening as we go through our results for the quarter and the financial year. As always, I'll begin with a short presentation on our annual and quarterly results and then we'll open for questions. Before we begin, a short announcement from us. Mr. Sandeep Barasia has announced his decision to move on from Delhivery to pursue personal interests. On behalf of the employees, the Board of Directors and the shareholders of Delhivery, I'd like to place on record our gratitude to Mr. Barasia for his service as an Executive Director and Chief Business Officer of Delhivery for 9 years.

So, moving on, the broad highlight for the financial year is that we've announced EBITDA profitability for fiscal '24 at an aggregate level as compared to last year when we were integrating SpotOn, which was the year in which we had EBITDA losses. Moving on, in terms of key highlights, for fiscal '24. We've seen significant improvement in profitability through

the financial year. Full year EBITDA profitability has been achieved. Fiscal '24 EBITDA increased by Rs. 578 crores versus fiscal '23, from a loss of Rs. 452 crores in the previous financial year to a profit of Rs. 127 crores this year. PAT losses have also reduced significantly. We were PAT profitable, as you would remember, in Q3FY24 and compared to fiscal '23, PAT losses have reduced by 75% from PAT loss of Rs. 1,000 crores to PAT loss of nearly Rs. 250 crores. This is the first time we will also be talking about service level margins.

Our Express Parcel business continues to show robust growth in key growth segments which are in the direct-to-consumer space, the SME space and heavy capability. We have achieved an overall service EBITDA of 18% for FY24, which is in line with our long-term projections for the margins of this business.

Delhivery Ltd

Q4 FY24 Earnings Call- Hosted by Macquarie

May 17, 2024

Our Part Truckload business, post the integration of SpotOn in fiscal '23 has registered significant growth in fiscal '24. We've delivered over 30% year-on-year growth with significant improvement in profitability and market share, despite Q4 generally being a somewhat muted quarter for the PTL industry at large.

Our supply chain services business has remained broadly flat in revenue terms year-on-year but has doubled service EBITDA profitability over fiscal '23. A number of our new customers who were expected to start in Q3 and scale through Q4 and beyond have done so. And we've had a strong end to the financial year and a strong Q4, which we hope will continue through the next financial year.

Our Truckload business has grown 40% year-on-year with improvement in service EBITDA profitability. And in terms of net cash position, we've seen a sharp reduction in net working capital days from 38 to 31 days.

In terms of quick statistics, we continue to be India's largest integrated logistics platform. We've delivered Rs. 8,142 crores of revenue in fiscal '24, which is a growth of 12.7% compared to fiscal '23 with an EBITDA profit of Rs. 127 crores and an adjusted EBITDA profit of Rs. 76 crores as opposed to an EBITDA loss of Rs. 452 crores and an adjusted EBITDA loss of Rs. 404 crores. This is our first year as a company where we are fully profitable at the EBITDA level.

We delivered 740 million Express Parcels in our Express Parcel business in fiscal '24, which is a growth of nearly 12% year-on-year and 1.4 million metric tons of Part Truckload freight, which is a growth of nearly 30% year-on-year.

In terms of numbers for Q4, we've delivered Rs. 2,076 crores of revenue from services, which is a growth of 11.6% year-on-year and a sequential decline from the peak quarter, Q3, of 5.4%. In terms of EBITDA margin, we've delivered Rs. 46 crores of EBITDA in Q4 and Rs. 21 crores of adjusted EBITDA which is a growth over the previous financial

year and a decline sequentially.

We delivered 176 million parcels in the Express Parcel business in Q4 fiscal '24 and 384,000 metric tons of freight in the PTL business, which respectively represents a 12.8% decline in the Express Parcel business compared to the peak quarter and an 8.6% growth quarter-on-quarter in the PTL business.

In terms of key operating metrics, our network remains largely stable as we've indicated before. Pincode reach continues to be high at 18,793 pin codes as of Q4. We continue to service over 220 countries through our partnership with FedEx. We have expanded the overall number of active customers who access multiple services of Delhivery with 33,278 customers as of the end of Q4.

In terms of infrastructure, consolidation of key gateways continues. Total infrastructure under management has reduced to 18.8 million square feet with 111 gateways, 29 automated sort centers, 129 freight service centers, and we continue to operate about 4,400 Delhivery Ltd

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ile delivery centers. In terms of overall performance for FY24, as I mentioned earlier, the graph on the left, revenue from services has increased by 13% compared to fiscal '23 from Rs. 7,224 crores to Rs. 8,142 crores. The composition of the business remains broadly similar. Express Parcel continues to be the largest part of our business overall at 62% of revenue. The PTL business has grown significantly between fiscal '23 and fiscal '24 from 16% of revenue to 19% of revenue and our other businesses continue to form about 20% of total revenues.

Express Parcel revenues, which is the graph on the right, have grown by 12% year-on-year from Rs. 4,552 crores in fiscal '23 to Rs. 5,077 crores in fiscal '24, with a growth of 11% in shipment volumes from 663 million shipments in fiscal '23 to 740 million shipments in fiscal '24.

PTL freight revenues have significantly grown year-on-year by 31% from Rs. 1,157 crores in fiscal '23 to Rs. 1,517 crores in fiscal '24 backed by similar growth in freight tonnage from 1.1 million metric tons of freight in fiscal '23 to 1.4 million metric tons of freight in fiscal '24.

The Truckload business continues to show rapid growth. We've grown from Rs. 436 crores of Truckload freight revenues to Rs. 609 crores in fiscal '24. And the Supply Chain Services business that I mentioned remains broadly flat between fiscal '23 and fiscal '24 at about Rs. 780 crores of revenue. The Cross Border services revenue has declined as we continue to focus on ocean freight as opposed to air freight and have launched a new product less than container freight.

In terms of Q4 performance, Express Parcel revenues have declined sequentially 16% from Q3 to Q4 from Rs. 1,448 crores to Rs. 1,217 crores. This has been driven by a decline in volumes as compared to the peak quarter, which is Q3 from 200 million consignments in Q3 to 176 million consignments in Q4.

PTL freight revenues have grown 10% in the same period from Rs. 379 crores in Q3 to Rs. 417 crores of revenue in Q4 driven by growth in PTL freight volumes from 354 million metric tons last year to 384,000 metric tons of freight.

Truckload revenues have grown sequentially from Q3 to Q4 by 14% from Rs. 153 crores of revenue to Rs. 174 crores of revenue. Supply Chain services have seen an extremely strong Q4 as a number of new contracts, which went live in Q3 have begun to scale up and driven by a strong peak season for some of our core customers. Quarter-on-quarter revenue growth has been 36% from Rs. 173 crores of revenue in Q3 fiscal '24 to Rs. 234 crores of revenue in Q4. We've seen a sequential decline in the Cross Border services revenue, largely also driven by Chinese New Year in February. Revenues have declined from Rs. 39 crores in Q3 fiscal '24 to Rs. 31 crores of revenue in Q4.

In terms of adjusted EBITDA, overall adjusted EBITDA in the second half of the year has been positive at Rs. 113 crores and overall, for the year as well. As you can see in the graph on the extreme right, there's been an overall turnaround in adjusted EBITDA from an Delhivery Ltd

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adjusted EBITDA loss of Rs. 404 crores in fiscal '23, which was a negative 5.6% to Rs. 76 crores in this financial year, which represents 1% of revenues.

This is a breakup of the adjusted EBITDA over the last 2 years. As you can see, Q4 revenue from customers stands at Rs. 2,076 crores versus Rs. 2,194 crores of revenue in Q3, which was the peak quarter. Service EBITDA has come in at Rs. 238 crores or at 11.5% of

revenue, which is a sequential decline versus Q3, but 50 basis points higher in the same quarter last year. Corporate overheads have remained broadly constant over the last 2 years at Rs. 217 crores, and corporate overheads as a percentage of revenue have declined from nearly 12% at the start of fiscal '23 to 10.5% at the end of Q4. And in terms of overall adjusted EBITDA, we stand at Rs. 21 crore

of adjusted EBITDA for Q4, which represents 1% of revenue.

This is the first time we're presenting this slide, which is in terms of our overall service line-wise profitability. This breaks up the overall service EBITDA for the company into 4 key service lines, which is Express Parcel or the core business, Part Truckload, Supply Chain services and our other businesses, which are smaller businesses that include Truckload and Cross Border. Express Parcel service EBITDA, as you can see, has remained robust throughout from Q1 to Q4 of fiscal '24, between 18.1% in Q1 to 17.6% in Q4. So despite a decline in volumes, we continue to see a robust service EBITDA for the core business.

Total service EBITDA from the Express Parcel business has grown from Rs. 636 crores in fiscal '23 to Rs. 934 crores in fiscal '24, which represents 18.4% of revenue and is in line with our long-term targets for this business. The Part Truckload business has shown sequential improvement quarter-on-quarter for the last 8 quarters. As you would remember, we began our integration with SpotOn at the start of fiscal '23, at which point the Part Truckload business stood at a negative 42.8% service EBITDA margin. Q4 fiscal '24 represents the first quarter of service EBITDA profitability for the Part Truckload business. So as volumes have grown, incremental margins in this business have remained in the range of 40% to 50%, and we generated Rs. 9 crores of service EBITDA in this business in Q4. We expect long-term margins in the Part Truckload service to mirror the Express Parcel business over time.

The Supply Chain Services business has doubled service EBITDA between fiscal '23 and fiscal '24, driven both by commercial renegotiations and operational optimization of several of our facilities. We've grown from Rs. 25 crores of service EBITDA in fiscal '23 at a 3.2% service EBITDA margin to Rs. 53 crores of service EBITDA in fiscal '24, which is close to 7% of revenues.

In terms of corporate overheads, corporate overheads have remained broadly range bound in the last 2 financial years. Detailed breakup follows. In terms of overall wages, wage costs have remained constant between fiscal '23 and fiscal '24, tailing off a little by Q4 and have grown essentially from Rs. 450 crores in fiscal '23 to Rs. 462 crores in fiscal '24. We've invested a little more in marketing to drive awareness and recall of the Delhivery brand this year, with marketing expenses going from Rs. 22 crores in fiscal '23 to Rs. 35

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crores in fiscal '24. Technology costs have remained constant between fiscal '23 and '24 at around Rs. 170 crores and G&A expenses have remained more or less constant between fiscal '23 and fiscal '24, growing by Rs. 7 crores from Rs. 185 crores to Rs. 192 crores. Essentially, this robust growth of margins in the Express Parcel business and a significant improvement in the Part Truckload business is what has driven improvement of about Rs. 500 crores in the overall adjusted EBITDA for the company.

Working capital position continues to improve year-on-year as well. As you can see, we are now closing fiscal '24 with a net working capital position of 31 days. Receivable days have declined consistently over the last 5 financial years and especially between '23 and '24 from 77 days to 66 days, and we expect to see further improvements to this financial year. Payable days have also declined from 39 to 35 with net working capital changing from 38 days to 31.

So, it's a quick summary overall of quarterly and full year financial performance. As I mentioned, Q4 fiscal '24, Rs. 276 crores of revenue, Rs. 1,519 crores of freight handling and servicing costs. Employee benefit expenses have remained largely constant. There's been a reduction from Rs. 54 crores to Rs. 49 crores in share-based payments. Other operating expenses, finance costs have remained large

ly constant. Total expenses have

declined from Rs. 2,290 crores to Rs. 2,257 crores leading finally to a loss after tax of Rs. 69 crores and an EBITDA of positive Rs. 46 crores or 2.2% of revenue. For fiscal '24, we've closed at Rs. 8,142 crores of revenue and a net EBITDA of Rs. 127 crores or 1.6%. So overall, in summary, I think despite headwinds in Q4 facing the e-commerce industry as a whole and a generally slow environment for Part Truckload freight, I think post the peak quarter, we're satisfied with where the business stands. Service EBITDA profitability

of the core business, the Express Parcel business remains at its long-term range. Part Truckload business continues to show significant improvement in profitability as volumes grow. The Supply Chain Services business has doubled profitability between fiscal '23 and '24. And our plan is to continue on this path for fiscal '25. So, with that, I'll pause, we are happy to take questions.

MODERATOR:

Thank you Sahil. We will now start with the Q&A. As a reminder please use the raise hand feature to ask any questions. We'll take the first question from Gaurav Rateria.

GAURAV RATERIA:

So my first question is with respect to the Express Parcel business on industry growth. When we started the year, the expectation at that time was that the industry could grow 15% to 20%. We have ended the year with a volume growth of 11%-12%. So, I just want to understand that has the industry growth disappointed and hence, the overall growth turned out lower or is it also the issue of not every customer growing at the same pace? And hence, that is what is reflected based on our portfolio of customers. And how should one think about growth going forward from at least the next 12 to 18-month point of view?

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SAHIL BARUA:

Sure. I think it's a combination of multiple factors Gaurav. Some of these numbers are yet to come, and we'll see. There has been softness overall in online consumption in Q4 for sure. I think Q3 was a big peak and if you'll remember from my previous earnings call, I had pointed out that we do expect there to be certain volatility in volumes overall. So, I do think there's been softness in Q4 overall in online consumption. Going forward, we don't anticipate any reason to believe that the 15% to 20% sort of numbers that we put out in the past are at risk. When we speak to participants in the industry, I think the expectation is that this sort of growth rate will persist. There have been certain factors sort of in these last 4 or 5 months also, which have affected online consumption. In our case, this is the period when we negotiate terms with a number of our key customers. And at this point, that's always a case when customers and us are sort of realigning priorities and realigning volumes. And I think some of that is reflected especially in the middle of that quarter. But I think we've concluded those satisfactorily. And towards the end of the quarter, I think we were sort of back to more or less business as usual. So, I don't think it's a persistent softness per se. There has been some softness overall. But I don't anticipate that this damages long-term growth for e-commerce or our prospects in any way.

GAURAV RATERIA:

Got it, Sahil. Second question is on margins. You said that we have already reached closer to what we have been calling out as a steady-state margin in Express Parcel. So where do we go from here? As a strategy, we want to keep our margins in line with what we have already achieved and incremental savings, which may still be there as the network has continued to surprise us positively in operating leverage and redeploy that back in the business in the form of further investment. So just your philosophy on how to think about margins.

And last question, just a data point on what was the Capex number for this year? And how should one think

about Capex going forward from FY '25 perspective? Thank you!

SAHIL BARUA:

Sure. In terms of margins, Gaurav, I think if you look at it, the first step after the SpotOn integration for us was really to return the Express Parcel business to what its normative margins are. I've referred to this at several points in previous analyst calls that we expect the Express Parcel business to be in that 18% to 20% margin range. And that's also driven, of course, by philosophically, our view that as we start generating higher cost efficiencies, we will pass some of those back to customers.

I think going forward, we'll see how that continues. We haven't seen any significant sort of pricing movements being necessary in the market so far, and we don't anticipate that there will be significant pricing movements at this point going forward. That said, I think I've mentioned this before, we are an input cost to our customers, and ultimately, online consumption in India can only grow if the cost of logistics is sort of managed carefully. I

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think Kalyan has spoken about this in the past as well, saying logistics is one of the key impediments to the growth of e-commerce in India. As the largest player in this space, I

think we have a responsibility, as we generate more and more efficiencies, to pass some of those benefits back to customers. And it's not just to our largest customers but equivalently, as we mentioned in the past, it is to also pass this to smaller direct-to-consumer brands, SMEs, various kinds of sellers in online commerce. So, I think let me put it this way. We're glad that we are at the 18% mark for the financial year. As you can see, the network has the ability to deliver higher margins, we have delivered 20.6% service EBITDA in Q3 as well. Now whether we will pass or how we will pass some of the cost efficiencies that we'll inevitably discover in fiscal '25, and that's going to be a customer-by-customer discussion overall.

And if necessary, I mean, let me anticipate questions that will come further down. Should we feel the necessity to defend market share at any point in time? As you can see, we have the margins to do so. And that's a call that we will take with every customer and in every segment individually.

In terms of Capex. Overall Capex intensity, as I mentioned, is expected to reduce with time. Our overall Capex for fiscal '24 stands, I think, at about Rs. 600 crores, which is close to 7.4% of revenue. We expect this to decline in fiscal '25 to somewhere between 6.6% and 6.9% of revenue overall. The only sort of major capital investment that we have planned for fiscal '25, as I mentioned before, is starting off our mega facility in Bangalore.

GAURAV RATERIA:

Thank you.

MODERATOR:

We'll take the next question from Vijit Jain.

VIJIT JAIN:

Sahil, my first question is just in the Express Parcel business, the yields in 4Q are up 6% Y-o-Y and they're also up versus the 1H levels, maybe about 2%-3%. Is that a function of what the customer mix was like in March '24 in this current quarter?

SAHIL BARUA:

Vijit, we had discussed this before. Yield is a complex piece. It obviously has to do with mix shifts. Outside of that, obviously, the very pricing structure that we have with a variety of customers based on the volume that they give us, the yields are different. So that also had an impact overall. And we've also, over time, been growing our share in the market of heavier parcels where yields are naturally somewhat larger. And in some accounts, we've also had upward pricing revision in some key accounts where we believe it was necessary. And so that's one of the reasons why yield has gone up. Overall, small parcel average
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weight has also increased from about 700 grams to 780 grams and heavy parcel average weights have increased

from about 19.9 Kgs to about 21.4 Kgs. And so that's also driven a yield increase Y-o-Y. Let me put it this way, at an individual customer level, we don't anticipate violent yield changes through this financial year. What the specific yield in any given quarter will be will sort of depend on customer mix, distance, weights and so on.

VIJIT JAIN:

Sure, Sahil. Second question, in the quick commerce segment, I would just like to get your sense on how you can participate in that opportunity in the quick commerce opportunity that it is and I mean, I'm assuming that if at all, that would be in the non-Express Parcel verticals, right? And is there any sense of what the size of the opportunity is where you guys are concerned?

SAHIL BARUA:

Sure. I think quick commerce is interesting. We already do service the quick commerce industry. In fact, one of the largest players in the space is a customer in our Supply Chain Services business. Our role will really, as I see it, remain sort of similar to what we do right now, which is running sort of the deep reserve kind of warehouses, which are supplying the dark stores. We have also, in the past evaluated whether or not we would run dark store infrastructure and delivery infrastructure for players. But I do want to point out that I think while there's a lot of excitement about quick-commerce and justifiably so perhaps from a consumer value proposition standpoint, I think there's still a lot to be evaluated in terms of the overall model. I mentioned this in the past, will we be doing 15-minute or 10-minute delivery of groceries, it might be famous last words but I don't think so. But there are other categories where I think our services will be more relevant. And I also think there's a sub-segment of quick commerce, which is yet to be evaluated. There's a long distance between 15-minute delivery and same-day or next-day delivery. I think there will be a segment which will emerge for certain kinds of products, which will be sort of 2-hour to 4-hour kind of deliveries. We already perform this in all of the cities that we are present in.

I also anticipate that certain categories within e-commerce which are more amenable to being in quick commerce, such as maybe structured categories like mobile phones as an example or certain kinds of appliances, I think the existing players, the large players in e-commerce will eventually gear up. Flipkart and Amazon, both made public announcements to this effect that they will be expanding their operations for these categories, I think we'll have a role to play there in the overall supply chain.

Vijit Jain:

Great. Sahil, my last question. In the Supply Chain Services business, I think in your opening remarks, you mentioned that the new customers that got onboarded over 3Q, 4Q reflects the 4Q strength here. Two questions related to that. So, should we, going forward, expect some of the seasonality that has been typical in this to reduce and is 4Q the right revenue numbers to look at from a going-forward perspective here?

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And lastly, related to it, thanks for breaking up the service level-wise service EBITDA margin from this quarter. My quick question is, do you expect all 3 verticals to remain somewhere above zero going forward?

SAHIL BARUA:

It is significantly above zero not somewhere. I mean the Express business is at 18%.

VIJIT JAIN:

Yes. I mean Supply Chain Services really, yes.

SAHIL BARUA:

Yes, absolutely. The Supply Chain Services business, I think profitability will improve going forward. In terms of seasonality, look, we have a couple of clients who obviously have highly seasonal businesses. And as I mentioned, that's partly why we've seen significant growth in Q4. I think we will see a pretty solid base in Q1 as well. That's said, we're diversifying the total set of customers that we work with. But to be perfectly honest, I

think this is a business where when we go and sign a new customer, that customer spend could be anywhere from the smaller end Rs. 50 crores a year toward the upper end about Rs. 200 crores to Rs. 300 crores a year. So, as I mentioned before, this business starts taking a more or rather less choppy form once it gets passed sort of Rs. 2,000 - Rs. 2,500 crores in revenue size. That said, we will expect growth this year in the SCS business. We will expect improvement in profitability. Yes, it will remain materially above zero. And our aim, obviously, is to grow the 6.3% service EBITDA significantly through this year.

And on PTL, just very clearly, I mean, we've given out 8 quarters of data. You can now see how the incremental margins in the PTL business play. Our ambition, obviously, is to keep growing volumes as we've done in this quarter.

MODERATOR::

We'll take the next question from Sachin Salgaonkar.

SACHIN SALGAONKAR:

Hi, thanks for the opportunity. I have 3 questions. Let me ask them one by one. Sahil, can you help us quantify the impact? I presume it's basically Meesho, who is using Valmo for its in-source deliveries, and that's the reason why the impact is out there. And I think in one of the questions you did answer that this impact happened somewhere in the middle of the quarter. So, should we assume a full impact on shipments next quarter?

SAHIL BARUA:

I think in terms of Meesho's growth of Valmo, I think over the last year they've grown it significantly. But at least from what we understand, it seems to have reached a stable-ish

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state within their own sort of universe. I think they were also realigning their expectations with multiple logistics partners. And I think we've come now to an agreement. So far, I think we continue to have an excellent working relationship with Meesho. We are very satisfied with where we finally sort of agreed on plans for this financial year. And so far, with the start of this financial year at least, we are satisfied with where we are.

SACHIN SALGAONKAR:

Okay. Second related question, I presume the way this entire contract with Meesho worked is given the fact that now Meesho is giving lower volumes, they do have to pay a bit of a penalty which, in a way, perhaps gets reflected into your EBITDA. Going ahead, I just want to understand as these contracts get renegotiated, should we have some impact on your EBITDA margin in the near term given the fact that the scale will now be different

with the in-sourcing coming from Meesho?

SAHIL BARUA:

Sachin, I think you've seen that volumes have gone from 200 million consignments to 176 million consignments and EBITDA margins have remained at 17.6%. I think one of the reasons why we've also decided to release segmental margins is to point out that the margins in the business are not particularly volatile to these swings in Parcel volumes. Of course, if we were doing 100 million consignments, life would be very different, but we're not. And we don't anticipate that, that will be the case.

Also, I think it's worth bearing in mind that starting a logistics company is harder than sort of growing it beyond a point. And I think there are severe questions that various self-logistics players, especially ones who are working on a relatively loose model, will have to face as they continue to grow, which is how do you build the physical infrastructure that's necessary. And then is it really as cost-efficient as you think it is. So, neither do I anticipate significant volatility coming any further from here from various players deciding to experiment with various logistics models in terms of volume nor do I anticipate it having a material impact on our EBITDA.

The other reason, of course, which I should point out, and this is core, we've been talking about it for a while, this is precisely why we run an integrated network. The ability

to run

a Part Truckload network, the integrated network allows us to have lower costs even in the Express Parcel business, which is partly what allows us to deliver the margins that we do. I mean, if we were a parcel only player right now dependent on a single company who forms a large percentage of our volumes and is launching self-logistics and putting price pressure, sure, I mean, life would be pretty hard. But fortunately, for us, that's not the case.

SACHIN SALGAONKAR:

Got it. And my last question, clearly, you are #1 player in the 3PL space and your volumes got impacted. So, I presume some of your smaller competitors will have a much more pronounced impact with what Meesho has done. So, on the back of it, should we see some Delhivery Ltd

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material change in market shares in the industry in favor of you or perhaps in a scenario of further consolidation in the industry?

SAHIL BARUA:

I am the wrong person to ask to comment on this because I mentioned this in the past, we are fairly certain that if you take the third-party players put together and our Express business, we are materially over 100% of the profit pool of this industry. Now the reality is in most normal markets, one would assume that this would be a significantly consolidating force but as I mentioned before, I think this depends on how much money private investors have and are willing to continue to put into companies which are monoline players dependent on single or 2 customers. So, I can't comment on that. I think consolidation would be good. I'm not sure what form it would take because in this particular situation, I firmly doubt how we would be the consolidator. So I'm not entirely sure where anyone goes from here, but I can speak for Delhivery, which is that we are happy with the volumes and the margins that we have.

MODERATOR::

We'll take the next question from Krupashankar.

KRUPASHANKAR:

Thank you for the opportunity. Congrats on the PTL business breaking even at service EBITDA level. So, questions on PTL predominantly. How are you finding the competitive intensity in this space? And given that you had deployed a significant portion of your capital towards expanding infrastructure and deploying workforce to boost volume, so are you seeing that we are growing well ahead of the industry, primarily on the back of these efforts? Or is it more of a pricing-led shift, which is visible and are you seeing any change with respect to your end customer mix with a higher MSME in the second half of FY '24?

SAHIL BARUA:

Yes. I think, look, we've seen growth across all of our segments within PTL, more or less throughout the financial year. We have, of course, seen significant growth in our SME segment, but to be clear, we've also seen growth in our major accounts segment. We've also seen growth in the aggregator segment that works with us. So we are seeing growth at least across all of these.

In terms of competitive intensity, I think competitive intensity remains what it is and what it has always been. I think the other listed players have declared the results, I'm sure you've seen them. I think in general, our approach has been very simple, and I've spoken about this before. Globally, in every single market Part Truckload has been large and

consolidated. In India, this is not the case. I believe that over a period of time as the economy and logistics formalizes, India will be no different. And in that environment, I think it would be financially irresponsible for us to not build capacity to service this market.

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I don't believe that's in the best interest of our shareholders. And as long as we're able to do it while improving margins, which we have in the last 8 quarters sequentially, I think these investments are clearly paying off.

Now why we are being chosen is not because we ha

ve a lower price. If you look at our

yield, our yield is broadly in line with all other players in the market. We don't intend to charge a premium. That's not the core of Delhivery's philosophy in any case. It is to drive further efficiencies and then derive margins out of that and hopefully pass some of those benefits to customers. But I do want to be clear, it's also driven by the fact that we are a faster network. We are a more direct network as a mesh and our service reliability clearly stands up to scrutiny. So our growth is driven by a combination of high service quality, high reliability, high reach, a lower cost structure and our margins continue to improve. And I think that will remain the story.

KRUPASHANKAR:

Right. And with respect to profitability, I've noticed that the incremental gross margin on transportation was not given out this time around. But are they still higher than 50%? Or are you seeing that tapering off as well?

SAHIL BARUA:

Well, we didn't give out the incremental margins this time because we have given you the actual margin, so you can actually simply calculate the delta and revenue and the delta and service EBITDA and do it yourself.

KRUPASHANKAR:

So, it was more on gross margins. That's why I was just wondering if that is on an upward trend. You have given us the service EBITDA. That's true. But it will also have other costs involved in that. That's why I'm just confirming that part.

SAHIL BARUA:

Incremental margins continue to remain in the 40% to 50% range.

KRUPASHANKAR:

And second question would be on the Capex side of things. So, I noticed that there has been good amount of spends on your on vehicle addition in your entire breakup which you have shared. So next year, is it going to be more focused on the infrastructure addition and other aspects and less on vehicles or broadly the mix remain the same?

SAHIL BARUA:

In fact, I think infrastructure will come down, as we've mentioned, because the last 2 years have been atypical with both the SpotOn integration and the need to build high-quality

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capacity and we had our Bombay mega facility going live. In terms of infrastructure, the only major addition that I foresee through the financial year will be the addition of the Bangalore mega facility that I've spoken about. Outside of which then we don't have any further mega facilities that at this point seem necessary. I think we have sufficient capacity across the network and we just allow the network to fill up.

As I've mentioned in the past, we also continue to engineer ways to generate more capacity out of the existing facilities. So that's also partly why you're seeing a fairly rapid improvement in margins, especially in PTL. So I don't think infrastructure will necessarily be a very large expansion next year. It's not planned for. In terms of vehicles, I think it remains somewhat opportunistic. The vehicles are core, as I mentioned in the past, to our overall strategy. And we will continue to expand our tractor-trailer fleet through the year. That said, I mentioned this before, the incremental growth, I think, will start tapering off because ultimately, the fact of the matter is that there's a limit to how many hubs we can create also over the next financial year. So I think Vehicle Capex will remain broadly sort of in range, infrastructure Capex, I think, will come down.

MODERATOR::

We will take the next question from Sachin Dixit.

SACHIN DIXIT:

Congrats on turning profitable on EBITDA basis for the year. My first question was in line with the fact that we are seeing some marketing popping up, right? As you highlighted,

like it has gone up. Obviously, it's a very small number. But this was the first time I saw that Delhivery was sponsoring RCB in IPL, and there were also some minor ads that popped up here and there. So, is it a strategic move where you are trying

to sort of gain

some B2C business and that's why you are showing up on TV and brand marketing?

SAHIL BARUA:

I think the aim of the marketing really is to drive more awareness and recall of the Delhivery brand. If you remember, one of the things that I had referred to in the past, in the last financial year, was expanding our sales presence and our feet-on-street presence across cities outside the major 3 or 4 cities where we were present. Now when we're sending a sales force out into smaller towns around the country, obviously, that has to be backed by a marketing effort.

Think of it as sending the air force over the infantry, we do need to do that. And that's the role that the marketing campaign is really playing. It's creating awareness and recall for Delhivery as a brand. Outside of which we obviously continue to do the marketing that we do on our physical assets which is our trucks and our facilities and our riders. And we continue to invest a small amount of money, relatively speaking, on performance marketing and digital marketing for both the consumer side of the business and on the small business side. I don't anticipate any significant sort of breakout spend on marketing. We'll remain Delhivery Ltd

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sort of more or less range-bound overall. But yes, it is an attempt to increase overall awareness and recall of the Delhivery brand.

SACHIN DIXIT:

Second question is on Supply Chain Services basically. So, we finally saw that revenue in that segment popped up. And I think there is some seasonality where you see Q4 and Q1 being the stronger ones, so do we expect this trend to continue on a Q-o-Q basis going forward? I mean Q1 obviously could be strong because of the seasonality, as I alluded. But on a Y-o-Y basis as well, do we see this strength to continue.

SAHIL BARUA:

Yes, we have a number of active conversations, which are on. The pipeline continues to remain strong. It, of course, depends a little bit on when exactly some of these things will become operational. Some of the conversations that we're having. For example, we have a conversation ongoing with the large auto player for the spare parts division. Now it depends on when exactly we go out and start this. We continue to see momentum even on the e-commerce side, a number of direct-to-consumer brands are now utilizing our fulfillment services for an integrated prime-like offering. But that said, as I mentioned before, we expect to see growth this year in the Supply Chain Services business, exactly what path it will follow through the financial year. I think it's difficult to predict at exactly this moment. Our focus for the first 2 quarters at least will remain, and I do want to be clear about this, on continuing to improve the profitability of this business. We have a solid base of customers. We do Rs. 800 crores of supply chain services business with them. And I want to grow that 6.8% service EBITDA that we have in that business to its full potential.

MODERATOR::

We'll take the next question from Lavanya. Lavanya please go ahead.

LAVANYA:

Thank you for the opportunity. Congrats on EBITDA numbers for full year. So just one question from my side. So just like how you had mentioned the stable margins per Express Parcel of around 18% to 20%. Would you see the stable levels for Part Truckload and Supply Chain Services?

SAHIL BARUA:

Part Truckload, is a similar sort of aggregation, disaggregation business as the Express Parcel business and subject to more or less the same forces. PTL is, philosophically, just bigger boxes and more moving together. It's not fundamentally different from Express Parcel. So, our view is that long-term margins in that business will be similar to the Express Parcel business.

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On Supply Chain services, Lavanya, it depends on every account, each account

has a fairly

different profitability profile. And that's because it depends on the mix of transportation,

as an example, at the moment, we have e-commerce companies who work with us on supply chain services where we're doing parcel delivery for them. We have our big accounts on the B2B side, where we're doing both for part truck and full truck freight. And the overall margin for the account sort of is dependent on what our margin individually in warehousing and then in transportation is and what the mix of transportation is. The way we look at it, though, is that the IRR that we expect on all of the customers that we sign in the Supply Chain Services business will be north of 20%.

LAVANYA:

Okay. Got it. And also on the infrastructure part, you mentioned that we won't need a lot of infra side investments going ahead. So, the current investments of the current infrastructure, what's the view that until how much will that be able to serve the current capacity? How many circles, I mean, asset turns or utilization; however, you look at it. So, what's the view in terms of the next investment, when would it be required?

SAHIL BARUA:

Yes, it's a difficult question. I've referred to this in multiple earnings calls in the past. I don't think we anticipate any very significant increase in facility infrastructure other than, as I mentioned, the Bangalore mega facility, which also, by the way, I should have clarified earlier, will be a consolidation of the facilities that we have in Bangalore. Overall, I think we don't anticipate for at least the near term and even perhaps the early midterm any significant change or any sort of massive expansion in infrastructure. So we do have sufficient capacity. Now the reason why I'm not putting a numerical thing saying that we have 63% capacity utilization of the network or whatever is because we do continue to engineer processes and increase the capacity of the existing facilities we have.

As I mentioned at our mega gateway at Tauru, our belief is that over the last few years, as we've improved processes, we've expanded the available capacity in that facility in the last 3 years by anywhere from about 10% to 15%. So it's difficult to say exactly what our capacity utilization is. Suffice to say, we have sufficient capacity available to grow through fiscal '25. We will need to build our Bangalore mega facility. And there may be some smaller hubs that are planned here and there, but there's nothing major outside of this.

MODERATOR::

We'll take the next question from Anshul Agrawal.

ANSHUL AGRAWAL:

Sahil, would you be able to break up contributions from horizontal players or D2C players in our Express Parcel volumes?

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SAHIL BARUA:

No.

ANSHUL AGRAWAL:

Some range, at least?

SAHIL BARUA:

No.

ANSHUL AGRAWAL:

Okay. And while I understand we don't differentiate between customers, would inherently the margin profile of these 2 customer bases be different or slightly different?

SAHIL BARUA:

You're asking me the same question. So unfortunately, we do not disclose customer-level margins.

ANSHUL AGRAWAL:

Thanks a lot, Sahil

MODERATOR::

We'll take the next question from Manish Gupta. Okay. Manish seems to have dropped off.

We'll take the next question from Sriram.

SRIRAM:

Yes. First of all, thanks for providing service level wise profitability that really helps. So, I have 2 questions. Now with Rs. 1,500 crores in PTL, are we the #2 player in the PTL business behind Safexpress?

My second question is on the margins of PTL, like with Rs. 1,500 crores, we are still in low single digits. And whereas the listed player is reporting double-digit margins with Rs. 1,200 crores. So I just want to understand what is the difference? And if there is any form of discounting being offered in that segment versus your competition?

SAHIL BARUA:

Sure. That's a good question. The simpl

e answer on the second one, Sriram, is that our capacity utilization differs from the listed players. I mentioned this before, I think what you can also see and what is important to compare is the relative growth rates that we've all
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seen. To the best of my knowledge, at least the results that have come out, the listed players in Q4 have been flat at best or actually have declined in size from Q3 to Q4, whereas we've grown volumes by 10%.

I've discussed this in the past, I think India deserves a large PTL player. I think there will be multiple large PTL players over time. And if we are to bring down the overall logistics cost in the economy, companies like Delhivery are going to have to invest aggressively in building capacity. So our base network size is larger than others, which is why at the moment, our margins are below the margins that others are reporting. As the network continues to fill up, margins in the PTL business will continue to go up. If you look at our numbers for the last 8 quarters, you can see a fairly consistent trend. As volumes have increased our margins have improved. Incremental margins have remained in that 40% to 50% range. And as capacity continues to get utilized, our margins will continue to go up. The important thing is as we continue to grow, we anticipate that the long-range profitability of our PTL business will at worst be equivalent to other players in this market and at best will be significantly better. So we will continue to grow. That's our priority. We've done 1.4 million metric tons of freight in this financial year, which is 30% over the previous year. We'd like to keep that kind of growth rate going forward from here. And we expect margins will continue to improve.

But fundamentally, when you're comparing us to listed players who don't wish to expand capacity, I think you're comparing apples to oranges. In terms of size, are we the #2 player, I think so. Safexpress is certainly larger than us. And we are probably the second-largest player after them. But that said, in this market being #1 and #2 is meaningless. None of us is competing at the moment. Let's put it this way, with a large portion of the market being unorganized, all these #1, #2, #3 comparisons don't matter. We are all in this to grow versus the unorganized market and to keep gaining scale.

SHRIRAM:

Yes. And my last one on the discounting part. Can you just elaborate?

SAHIL BARUA:

Yes. Sorry, I thought I already addressed this earlier. No, we do not discount. We don't need to. So there's no discounting that we have done and our pricing is comparable to the market.

MODERATOR::

We'll take the next question from Abhishek Maheshwari. Abhishek please go ahead and ask your question.

ABHISHEK:

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So firstly, what we gauge from your financial statements, the operating leverage has really started to kick in, now you are EBITDA positive and if sales continue to grow as they are, you will probably turn PAT positive next year. So just wanted to gauge your confidence level if the demand is growing linearly from the empirical data that you have or the talks you're having with your clients, are you feeling confident that this 14% to 15% kind of growth will continue sustainably for the next few years?

SAHIL BARUA:

On the spot, Abhishek, because while I certainly feel confident history has sort of been unkind when I've been confident in general. But look, I certainly think there's nothing that damages e-commerce growth over the mid- to long term. As you've seen, while share shifts may happen occasionally in a single quarter, over the long arc of time Delhivery's position is very secure. So, I think we will either grow with the market at worst or we grow market share. So, I'm not too concerned on that front.

On PTL, as you can see, we've h

ad a quarter where while the industry has struggled, our value proposition to our customers has been sorted. I think there's no reason to believe we will not continue to grow. And whether it will be exactly linear or sort of more hockey stick over the next year or 2, we'll see. It also depends on our ability to put more sales teams on the ground, grow our sales and customer service capabilities, which we continue to do. So yes, I think the operating leverage plays out. I think volumes will continue to grow. I think we will continue to grow. What the exact trajectory will be quarter-on-quarter, I think

is difficult for me to say. We're very happy where we are at the end of fiscal '24 despite a somewhat softish end, but I think I'm fairly confident that I'll be even happier in fiscal '25.

ABHISHEK:

I would like to emphasize on this because you see PAT is very, very sensitive right now. So, let's say, if you continue to grow your volumes by maybe say 12%-13%, at the same time, competitive intensity is also really shooting up, so do you think realizations are something that you can control, you have some pricing power or we are just following the market.

SAHIL BARUA:

That's a good question, and I'm glad you brought it up, I will bring this up. On the Express Parcel business, I mentioned this before, for the best of our knowledge across the Express Parcel business, if you don't count the captives, which are generally cost inefficient, fairly certain, we are more than 100% of the profit pool of the industry. Now if our competitors decide to commit harakiri, which is to lose even more money than they already do, I can't legislate for that. But that said, I don't anticipate pricing pressure at all. I mean if somebody decides that they want to make no money, then obviously, everybody in the industry is at risk, there's no doubt. But the question is how long can you continue to sustain that? My view is not very long. So, we don't have pricing pressure in that regard. And I should also

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point out, if you look at our trajectory of yield, the important thing to see really is that while we have brought yield down, we have maintained service EBITDA margins in the range that we specified and we will continue to do that. And we have grown the overall service EBITDA for the business by 50% from fiscal '23 to fiscal '24. We've grown from about Rs. 600 crores of service EBITDA in the Express Parcel business in '23 to Rs. 940 crores of service EBITDA in fiscal '24. So, what you're calling competitive intensity is competitive existence, they exist. But in that regard, I don't particularly feel like we are under any intense pressure.

ABHISHEK:

Understood. That was helpful. So, second question is regarding your new subsidiary Delhivery Robotics. So, from what we went through in the press release, it's about drone manufacturing and air freight transport. So, do you want to throw some light on your plans in this?

SAHIL BARUA:

It's very early. We have drone manufacturing capabilities, and we have the ability to support a variety of use cases, which include surveillance and delivery up to a certain payload. But that said, it's a capability at this point in time, and fortunately not a very expensive one for us to build. But I've mentioned this before, I think the commercial applications for drones at least in India, frankly, around the rest of the world as well, but at least let's stay focused on India, I don't think there are any particularly great commercial applications for drone delivery in India right now. I mean, T-shirts and pizzas are really not expensive enough for you to want to deliver by drone in India at this point. So, it's a capability. We've established this because we are required to establish this in order to continue our research into these areas. And if this becomes large, let's put it this way, we will be well

positioned. And that's about it.

ABHISHEK:

So, you do not have any significant plans in this subsidiaries so far? I ask this because this seems to be a long gestation project where you might have to expense a lot before you start seeing revenues. So just wanted to understand if it might impact your PAT generation capability, turning to PAT profitability in next 2, 3 years.

SAHIL BARUA:

It won't. I can assure you that it won't. I mean engineering students are producing drones these days.

MODERATOR::

We'll take the next question from Pulkit Patni.

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PULKIT PATNI:

As I look through your quarterly service line-wise profitability, which you've shared this time. For the first 3 quarters, I clearly see the impact of operating leverage where Express Parcel service EBITDA has increased. Any reason by this quarter despite volume being up,

I think, slightly the service EBITDA has actually fallen for the Express Parcel business. And why it's important Sahil is just from an operating leverage perspective, as we look at volumes in the future, obviously, this is something that should help the margin line.

SAHIL BARUA:

Yes, man. I assume you're referring to the delta between fourth quarter fiscal '23 versus fourth quarter fiscal '24 for the Express Parcel business.

PULKIT PATNI:

That's right.

SAHIL BARUA:

Yes. The 18.6% versus 17.6% it's largely the impact among other things of the large Bombay sort of going live. So, it's a slightly less capacity utilized sorter than the one that we had in the past.

PULKIT PATNI:

Okay. And what is the status in the first quarter for the same?

SAHIL BARUA:

As volumes have gone up in the first quarter, capacity utilization has increased. But broadly speaking, like I mentioned, we expect that the service EBITDA in this business will remain sort of in this 18% to 20% kind of range.

MODERATOR::

We'll take the next question from Lokesh Maru.

LOKESH MARU:

Congratulations on excellent set of numbers in all the services this quarter again. Just on the Express Parcel segment, so like you mentioned that there has been some kind of a settlement under shape up, which has happened in Q4, right? So, now everything like larger volumes being in the base of FY '24, for FY '25, what kind of volume growth are you anticipating, in this new equilibrium kind of a situation?

SAHIL BARUA:

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See, I think industry growth, at least as far as we've been able to gather from our clients as well and their appetite, remains in that 15% to 20% range. If anything, actually, to be honest, most of our clients do believe that this will be a pretty solid year for them overall. We're being conservative and assuming that 15% to 20% growth is kind of what we will see and that's what we've also planned our internal operations and capacities for. Obviously, if volume growth is higher, I'm very happy to be pleasantly surprised by this. So I think in the fourth quarter, we had some negotiations that we had to conclude. Those are concluded. And I think looking forward, no reason to particularly believe that the 15% to 20% number is sort of at threat.

MODERATOR::

We'll take the next question from Harshal Mehta.

HARSHAL:

Actually, given this good growth in the B2B segment, what kind of truck utilization we saw in Q4?

SAHIL BARUA:

Broadly across the trailer network, if I break it in half, I think truck utilization on the trailer network would have been in the range of about 65% or thereabouts. Broadly speaking, on the secondary line haul, we would have been closer to about 55% to 60% utilized on secondary line haul, which is not the tractor trailers, but the smaller trucks. So, I guess if your question is, is there further sort of improvement possible on cost or utilization, I think we still have some distance to go.

HARSHAL:

Like it

will be visible next year? I mean utilization improvement.

SAHIL BARUA:

It should be. Unless, of course, the pattern of load changes vary dramatically. That is the only thing which can, for a short period of time, throw off the overall network capacity utilizations a little bit. To give you an example, let's say, we start generating a lot of load out of a location which is not a tractor-enabled hub at this point in time, that kind of overall network utilization. But as of now, I don't see any such wild swings.

HARSHAL:

And what kind of growth in the B2B segment are we projecting into FY '25?

SAHIL BARUA:

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Look, we've grown 30% this year, right? I think the market is large. We have the opportunity to grow into this market. We have established a sales team in tier 1, tier 2, tier 3 locations. We continue to sort of go into new industries that we weren't servicing in the past. So to give you an example, we didn't particularly service, for instance, the batteries industry or the chemicals industry in the past. These are industries that we're going into. We intend to go to FMCG in a larger way. These are all large buyers of PTL. So I think the growth outlook is pretty solid.

HARSHAL:

And can you bifurcate based on your customers as in SME corporates or retail?

SAHIL BARUA:

We don't do that.

HARSHAL:

Is it like corporate heavy currently?

SAHIL BARUA:

Well, I don't know what heavy means.

HARSHAL:

And currently, your margin suggest that.

SAHIL BARUA:

Margin suggest low-capacity utilization, which, as I mentioned, will continue to increase.

MODERATOR::

We'll take the next question from Vipin Gupta.

VIPIN:

Can you give us some guidance regarding 3 years for the top line and the bottom line?

SAHIL BARUA:

No, Vipin. As I mentioned, we expect e-commerce growth to be in that 15% to 20% range broadly. On PTL, as I've described, I think the market is large, we have the opportunity to grow. We've just grown 30% this year. Competitive intensity is generally not very high, I think you can build various cases. And in Supply Chain Services, I mentioned that the focus in the very near term, of course, is to continue to improve margins. But going

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forward, it depends on how the pipeline converts. So, I don't necessarily want to put out a 3 to 5 year sort of thing. And many things can happen in 3 to 5 years.

MODERATOR::

Thank you. We will take that as a last question. Request all the participants to take any further questions with the Investor Relations team. Before we end, on behalf of Macquarie, I would like to thank Delhivery for the opportunity to host this earnings call. Over to you, Sahil, for any closing remarks.

SAHIL BARUA:

Thank you, Baiju and the Macquarie team. Thank you for hosting us. Thank you to all of you who joined on this Friday evening. In summary, again, I think our main objective for fiscal '24, which was to stabilize the business after the integration and achieve EBITDA profitability has been achieved. We're happy to also share our service level wise results. And I mentioned the Express Parcel business is a good place. We are at our long-range margins. We'll see how these margins progress going forward. The PTL business continues to grow and improve margins. The Supply Chain Services businesses doubled profitability. So, I think we look forward to fiscal '25 with a lot of confidence and enthusiasm. So, we look forward to seeing you all in our Q1 call. Thank you.

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Management : MR. SAHIL BARUA, MD & CHIEF EXECUTIVE OFFICER
MR. AMIT AGARWAL, CHIEF FINANCIAL OFFICER
MR. VIVEK PABARI, HEAD - INVESTOR RELATIONS
Moderators : MR. ADITYA SURESH, MR. BAIJU JOSHI, MACQUARIE CAPITAL

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MODERATOR:

Good evening, everyone. Welcome to the Q1FY25 Earnings Call of Delhivery Limited, hosted by Macquarie. Before we start, Delhivery would like to point out that some of the statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this call is meant for investors and analysts only. If there are representatives from the media, they're requested to kindly drop off this call immediately.

To discuss the results, I'm pleased to welcome Mr. Sahil Barua, Managing Director and Chief Executive Officer; Mr. Amit Agarwal, Chief Financial Officer; and Mr. Vivek Pabari, Head of Investor Relations at Delhivery. As a reminder, all participant lines will be in listen-only mode and participants can use the raise-hand feature to ask any questions post the opening remarks. I thank the management team for providing Macquarie the opportunity to host the call. I now invite Mr. Sahil Barua to take us through the key highlights of the quarter, post which we'll open up for Q&A. Thank you, and over to you, Sahil.

SAHIL BARUA:

Thank you, Aditya. Thank you, Macquarie team. Thank you to all of you who've joined our earnings call this Friday evening. As always, we'll begin with a short presentation on financial and operational highlights from the quarter that's passed and then we'll be happy to take questions. The broad summary for the quarter is we've seen a quarter of growth from Q4 last year. Significant growth in our B2B businesses, both in the PTL space and the Supply Chain Services space, and steady volume growth as a business, with an improvement in profitability across all of our core businesses. At this time, I'll invite our CFO and my colleague Mr. Amit Agarwal to actually walk us through the presentation, and then I'll be happy to take questions after that. Over to you Amit.

AMIT AGARWAL:

Hi. Good evening, everyone. We had a fairly steady and profitable start to the fiscal year, where our top-line grew by about 13% on a Y-o-Y basis and our EBITDA for the quarter was at 4.5% and the adjusted EBITDA was at 1.7% for the quarter. Express Parcel service EBITDA remained stable at 18% while there was continued improvement in Part Truckload business Service EBITDA to 3.2%. Express Parcel business grew across all non-large marketplace segments and within that, we also grew significantly within the heavy goods category, about which we'll talk more later in the call.

Part Truckload business grew 25% Y-o-Y on back of both volume increases and yield improvements. SCS business growth was 26% Y-o-Y due to a seasonally strong quarter for air conditioning customers and we have a robust pipeline of customers across several sectors like auto, electricals, and FMCG. Overall revenue grew to 12.6% Y-o-Y basis and 4.7% Q-o-Q basis. We did 183 million parcels in Express Parcel, which represented a growth of 0.6% Y-o-Y and 4.1% Q-o-Q. Part Truckload business was just short of 400,000

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metric tons of load on the back of 16% Y-o-Y volume increase and 3.9% Q-o-Q volume increase.

EBITDA was at Rs. 97 crores or 4.5%, while the adjusted EBITDA was at Rs. 37 crores or 1.7%. Both these metrics have improved in a range of low to mid-single digits on both Y-o-Y and Q-o-Q basis. PAT was Rs. 54 crores for the quarter or 2.4%. This includes a

positive impact of about Rs. 39 crores, while we have moved from WDV depreciation method to a straight

line method and Rs. ~20 crores reversal on ESOP cost for employees who left the company in the past quarter. There was a Rs. 5 crores exceptional cost item as well. Excluding all these items, the PAT was breakeven for the quarter on a like-to-like basis compared with previous quarter.

We continue to operate our business on a steady network and infrastructure, with no material capacity additions. While growing the business, we have expanded our customer base importantly from 33,000 customers to nearly 35,000 customers this quarter. All other infrastructure metrics have remained stable or have slightly been geared for efficiency, while the team size and partner size and fleet size have improved in line with the business. In Express Parcel, we have grown our revenues Y-o-Y 6%, while Q-o-Q 5%. The volume increase Y-o-Y is 1% and Q-o-Q is 4%. As I mentioned earlier, this is due to a higher mix of heavy goods in our business on a Y-o-Y basis due to which yield has expanded. Part Truckload saw a revenue increase of 25% Y-o-Y and a freight tonnage of 16% Y-o-Y, coupled with 8% yield improvements, which has resulted in 1% improvement in our service EBITDA margin in this business to 3.2%. Yield improvement has been an outcome of efforts on pricing and mix improvement in this business. Truckload services witnessed a 19% growth Y-o-Y basis and a 10% de-growth Q-o-Q due to selective bidding in RFQs. Supply Chain Services grew 26% Y-o-Y basis due to seasonally strong quarter for air conditioning customers. And Cross-Border has grown 2% Y-o-Y and 39% Q-o-Q. Most of the increase Q-o-Q in Cross-Border is on the back of both volume and yield increases in the ocean freight market that we have witnessed.

The overall service EBITDA for the business is at Rs. 258 crores or 11.9%, which represents a 1.7% improvement on a Y-o-Y basis and 40 bps improvement on a Q-o-Q basis. The Express Parcel service EBITDA margin has held constant on a Y-o-Y basis, while it has expanded by about 60 bps on a Q-o-Q basis. Part truckload service EBITDA margin continues to improve as we improve our customer mix and efficiency in operations and it is at 3.2%. In Supply Chain Services, our service EBITDA margins were 4.4%, which were slightly below 6% last quarter, primarily due to increase in trucking and manpower cost due to sudden spikes in demand for services in the quarter. Our corporate overheads have remained consistent in a range of about Rs. 215 crores to Rs. 220 crores, and they are at about Rs. 221 crores. This is after the impact of wage inflation that we passed to the employees at a company level. And as a result, the adjusted EBITDA margin for the company is at Rs. 37 crores, or 1.7%, which is 3% higher than the same period last year.

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Adjusted EBITDA increased to Rs. 37 crores in Q1 FY25, which was negative Rs. 25 crores same period last year, and represents roughly about 3 percentage point improvement on a Y-o-Y basis, and Rs. 16 crores improvement or 0.7% improvement on a Q-o-Q basis. So overall, revenue from services increased from Rs. 2,076 crores last quarter, or Rs. 1,930 crores a year ago in the same quarter, to Rs. 2,172 crores, which is 4.7% increase Q-o-Q or 12.6% increase Y-o-Y basis. Most costs increased in line with the volume increases in the business, with minor efficiencies coming in on freight handling and other expenses for the business. There are two-three critical items I would like to point out here, that share-based expense, dropped from Rs. 49 crores to Rs. 21 crores from previous quarter to this quarter due to Rs. ~20 crores reversal for ESOP charge on account of employees leaving in the last quarter. We have both performance and time-based stock options, so this was a contribution coming in from both performance and time-based options, which were lapsed and added back to the pool. And there is a property, plant, and

equipment depreciation

change in the quarter, where it was Rs. 83 crores a year ago to Rs. 44 crores this quarter due to movement in depreciation policy from WDV to straight line method. We have given more details in annexures on what is a like-to-like comparable for change in depreciation policy and how this affects this year, rest of the quarters, and the future years. Broadly, there is roughly about Rs. 180 crores positive impact expected in depreciation from prior period CapEx into FY25, and then there is about a Rs. 40 crores improvement next year, after which it is a slightly negative impact. This, as a result, has led to overall profit after tax of Rs. 54 crores for the company in Q1 of FY25.

SAHIL BARUA:

Thank you. Aditya, happy to start taking questions.

MODERATOR:

Sure. Thank you, Sahil. We'll now begin the Q&A. I request all participants to use the

raise-hand function to ask questions. We'll take the first question from Sachin Salgaonkar. Sachin, please go ahead.

SAHIL BARUA:

Yes Sachin, if you are saying something, we can't hear you.

SACHIN SALGAONKAR:

Yes. So, Sahil, I just got an option of unmuting myself, so I did unmute myself. Thanks again. I have three questions. First question, Amit, I wanted to understand any specific reason for the change of D&A methodology from WDV to straight-line.

AMIT AGARWAL:

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Sure, Sachin. There are a number of reasons why we chose to move to the straight-line method from the WDV method. Number one is to be in line with our industry comparables. When we looked at most of our competitors, they are on a straight-line method. Number two, when we adopted the WDV method many years ago, Delhivery was entering into a CapEx cycle where we were not 100% sure of how the asset quality would turn out over its life, how the performance would evolve over the life of an asset. And hence, we thought that it would be appropriate for us to more aggressively depreciate these assets in our books. However, given we have operated our first generation of sorters, which were much lighter in quality versus what we deploy now, those assets have lasted well over 9 years for us. And the higher quality equipment that we are now buying and putting in our facilities is expected to last much longer than the useful life of assets that we have assumed in our books.

I also want to point out that we have not made any change to the useful life or the residual value of any asset type in our books for any of the assets. This reason coupled with the fact that our maintenance costs for these assets is within what our AMC costs agreed with the vendors is for the useful life of assets, we do not see a reason for WDV being the right method. Also, the disadvantage of WDV method is that, when you have a bit of a lumpy CapEx, it tends to distort the profitability of the business on the face value. None of this changes frankly on a cash flow basis, whether we choose WDV or SLM.

SACHIN SALGAONKAR:

Got it. Thanks, Amit. Pretty clear. Second question was mainly on the Express volume shipments. Is it fair to see that the worst is over and we should see normalization of volumes going ahead and perhaps a move back to a strong Y-o-Y growth in terms of shipments out here?

SAHIL BARUA:

It's always a difficult question, given how volatile this market is. I think though we had indicated that we expected to see growth in this quarter and we have delivered that despite the quarter being fairly volatile for the industry at large. The next quarter, as you're aware, Sachin, is also going to contain the peak period, and at least indications so far are that the peak period is likely to be a period of fairly decent growth for the industry. So, I do think that our volumes leading into this quarter and beyond should be strong.

That said, I think, at the platform level the strategy is fluid and as it changes

over the next

couple of quarters, I think, we'll wait and watch. But let me put it this way. I anticipate that our steady state volumes will continue in line with what we forecasted, which is sort of annual growth rates in the e-commerce market of between 15% and 20%. And our numbers should be broadly range bound as well.

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Got it, Sahil. Pretty clear. And my last question is, one of the companies yesterday, when they reported numbers stated that quick commerce is gaining market share also at the expense of e-commerce. And they had some pretty aggressive targets in terms of the number of dark stores they are opening. So, the question to you guys is, is Delhivery doing something to piggyback on the last-mile logistics from the quick commerce perspective? I do know that certain warehouses are being leased from you guys, but anything we could do to capitalize on the quick commerce growth opportunity.

SAHIL BARUA:

Yes. I'm glad you asked that question. I think on quick commerce or rather, let me put it this way, on rapid in-city delivery for e-commerce companies, we've launched a new

product. We've run the mother warehouses in the past for quick commerce firms, but the intention is also to launch a network of shared dark store warehousing, which will be available to e-commerce companies to use on a multi-tenant basis and then to provide a rapid local delivery basis that fulfillment architecture. That said, I think the consumer need for quick commerce, especially on the grocery side, while is fairly established, I think on the e-commerce side, as we look at the market, we still view it as being relatively sort of narrow in terms of its category penetration and its geographical penetration.

To give an example, Sachin, first of all, certain categories, for example, like apparel, categories like heavies, don't necessarily lend themselves to a quick commerce model at all. One of the fundamental tenets of quick commerce is that the inventory underlying quick commerce has to be fast-moving inventory. The reality of e-commerce is that a lot of the inventory is not fast-moving inventory. So, to give you an example, Meesho as a marketplace platform doesn't necessarily lend itself to a quick commerce format. And when you add that up across categories, marketplaces, the long tail that's available online, our view is that the actual volume that's at risk on e-commerce actually is likely to be pretty small. And so, I don't think 30-minute or one-hour sort of delivery timelines are going to massively disrupt the broader swath of e-commerce. I think there are a set of narrow categories, and even within that, a set of narrow SKUs within those categories, where the model makes sense. We will provide dark stores. We will also provide a delivery service out of those dark stores. And to the extent that e-commerce companies want to use it on a multi-

a very significant driver of revenue for us in the short or the medium-term.

SACHIN SALGAONKAR:

Noted. Pretty clear, Sahil. One last small follow-up out here is, in the past, from what I understand, the unit economics were not fitting in this last-mile logistics. In the new model, what you guys are looking to do, presume the unit economics will be better, or is it something similar in terms of what we had thought in the past?

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Well, unit economics of trying to deliver a kaju in 20 minutes by itself to a consumer in Bombay are never going to be very good. And so, that's not what we're aiming for either. I think we have to distinguish between sort of quick commerce and allow me to create a sort of magical category here, which is rapid commerce, which is something like maybe four-hour delivery or two-hour delivery in the metros. The unit economics for that, which allow a certain amount

of consolidation and a certain amount of route optimization are still positive. I don't believe that the unit economics for sub-one-hour or sub-30-minute delivery for low-value products with no significant sort of value density and distances higher than three or four kilometers in an urban environment, like India, are going to work out.

SACHIN SALGAONKAR:

Got it. Pretty clear. Thanks a lot.

MODERATOR:

We'll take the next question from Vijit Jain. Vijit, please go ahead.

VIJIT JAIN:

Yes. Hi. Thanks. Just following up on that question from Sachin, so basically if I understood this right, you're going to offer a network of warehouses and dark stores to multiple companies and you would do fulfillment from warehouses to dark stores, or are we talking about last-mile delivery as well here?

SAHIL BARUA:

We already do fulfillments from warehouses to dark stores, but also as an example into retail and into distributors, this is going to be a service, which also connects the last-mile.

VIJIT JAIN:

Okay. Got it. And Sahil, just a little bit more color would be helpful on how this works in providing warehouse and dark stores to multiple companies? What are we talking about here in general, can multiple companies use the same dark store?

SAHIL BARUA:

So, it's essentially the process of creating micro fulfillment for most direct-to-consumer brands and creating a network of standalone dark stores is going to be too expensive. The simple reason is that capacity utilizations are very difficult to manage, so you could either end up with a situation, where you over-inventorize the dark store at the last-mile, which is going to lead to the weight of the real estate cost and the storage cost of a fulfillment center in city, which will be at the bare minimum 2.5x the cost of a larger fulfillment center, which is outside the city. Alternatively, you will end up with a location, where you are

paying rent for a large amount of space, while stocking a very small amount of inventory.
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idea behind our fulfillment center network is to allow companies to variablize that cost. If we've got six customers, for example, in a location, who are filling up a dark store, they can all sort of share that infrastructure, variablize their operating expenses, without having to bear the risk of either underutilization or capacity management.

VIJIT JAIN:

Got it, Sahil. And Sahil, do you anticipate some of the largest of these quick commerce companies to participate in this as well? Or, do you think this is something that will see a more reception from some of the smaller guys, which are trying to catch up?

SAHIL BARUA:

Largest of the quick commerce companies in the sense? Sorry, can you just specify?

VIJIT JAIN:

The top two, three most well-known companies, do you think will use multiple tenant dark store model with you is what I am trying to understand?

SAHIL BARUA:

You mean Blinkit, Zomato etc. No, I don't anticipate that they will be immediate consumers of our dark store infrastructure. In fact, I'd argue, for them the problem that exists, and a little bit of a digression from our strategy is, ultimately with limited shelf space. Their problem is not how do we bring more people into the dark store, it's really selecting what to put in a dark store, which is probably already full. So, I don't anticipate them being customers. And also, it's a very different kind of inventory. Moving as an example, rice and sugar, with let's say 400 SKUs, which belong to a cosmetics company, are going to be pretty different sort of from an engineering and delivery standpoint. Ours is designed very specifically for direct-to-consumer companies and potentially some product lines at the larger marketplaces side.

VIJIT JAIN:

Just one last question, if I can? Because I think Amit mentioned some reference to heavy goods that you would talk about la

ter on the ecommerce side, I just wanted to make sure that's covered. Thank you. I'll jump back into the queue.

AMIT AGARWAL:

So, Vijit, as I mentioned our yield in e-commerce parcel has gone up on a Y-o-Y basis by about 5.5%. This yield has primarily increased on back of a higher mix of heavy goods category. There are certain initiatives that we are undertaking, which could potentially further increase the mix of heavy goods in our business.

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I also want to point out that this is one category, which is very unique to Delhivery amongst the 3PL that we service, while our competitors are either not there or insignificant, because of the LTL capability that we have. So, the first-mile and last-mile capability between the two are shared.

VIJIT JAIN:

Got it. Great. Thanks, Amit. Those are my questions. I'll jump back into the queue.

MODERATOR:

We'll take the next question from Gaurav Rateria. Gaurav, please go ahead.

GAURAV RATERIA:

Hi. Thanks for taking my question. The first question is on Express Parcel. You did talk about growth coming from non-marketplaces. Could you elaborate on how broad based this growth was across different categories within the e-commerce vertical? And also, I know that you started certain initiatives around C2C and other things, which are also part of the Express Parcel. Just want to understand how big those initiatives have become as percentage of the revenue or as percentage of the total volume for the segment?

SAHIL BARUA:

Sure. In terms of overall growth and volumes from the longer tail of e-commerce, which is essentially anybody, who is not in a marketplace, I think we've seen growth across all categories and across all client segments. In fact, to be fair, we've also seen growth with the marketplace segments, but the growth across the non-marketplace segments is fairly secular. Vertical-wise there's not that much of a split, to be honest, because we've seen growth across all categories, both from direct-to-consumer, where they're more vertical and even from the absolute long-tail or our SME business, where we have probably close to

about 10,000 different customers on the SME side. So, it's been overall fairly good to see, because it's been spread across categories, across customer sizes, across customer types, wherever there are non-marketplace.

In terms of the consumer-to-consumer shipping, I think, there are two parts to what we do. One part is obviously via the Delhivery Direct application, which is where consumers can book packages or freight. We're also launching another service, where they can also book mini trucks, as an example, in some locations directly using the application. That continues to see sort of fairly steady growth Q-o-Q. It's a bigger driver, to be honest, of our brand perception. It's a driver of our yield and it's also a driver of profits. The other thing that we're doing, of course, is also essentially creating offline resellers. So, think of it as similar to a franchise program, Pan India, where a local entrepreneur or a local courier shop can effectively direct volumes into the Delhivery network. This today has been growing for us, we don't break out the numbers exactly, so unfortunately, I can't reveal those, but this has been growing for us Y-o-Y. The plan is to expand the penetration of our franchise network
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and to deepen it across states in India, which is all of the locations, where we don't have direct business development reach, but our franchise partners have the ability to create SME volumes and to direct consumer volumes into us. Both of these are fairly solid drivers of profitability and revenue for us.

GAURAV RATERIA:

Got it. Second question, any sense if you could give us on how our market share has trended this quarter or last quarter or last six months with

in the 3PL segment? Have you been gaining market share or it's been pretty steady?

And a bookkeeping question for Amit, the depreciation, amortization has fallen quite significantly Q-o-Q. Even if you adjust for the Rs. 39 crores that you talked about because of the change in the methodology, the fall appears much sharper. So, what would have been the reason for the fall? Thank you.

SAHIL BARUA:

Sure Gaurav. Very quickly on market share, I think, the big move in the market or the big structural change in the market over the last several quarters, which you're aware of and we've discussed earlier, has obviously been, Meesho internalizing a certain percentage of logistics themselves. I think that's led to a bigger rearrangement of the overall market. Inter se across the third-party logistics companies, there hasn't been any significant inter se movement of market share. So, our position as the largest 3PL continues.

Book-keeping question, I'll let Amit answer.

AMIT AGARWAL:

Gaurav, we have a bit of seasonality in our CapEx cycle within the year. You'll note that Q1 and Q2 are the periods, when we basically start commissioning CapEx, and Q3 and Q4 are the periods when that CapEx is completed on our books, when its depreciation starts. So, that seasonality you should expect to see this year as well. To put this in perspective of numbers, the CapEx in the Q1 was about Rs. 80 crores, the fresh CapEx that was done. And while last year, I think, we would have done CapEx of close to about Rs. ~550 crores for the full year. So, as the CapEx catches up in the second half, you will see a rise in it in the second half.

MODERATOR:

We'll take the next question from Abhishek Banerjee. Abhishek, please go ahead.

ABHISEK BANERJEE:

Hi. This is Abhishek Banerjee. Quickly on the question of quick commerce stores, I mean of entering the quick commerce market. Zomato is now talking about 2000 dark stores by
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the end of FY26 right And you yourself spoke about the kind of density that you need of your store network in order to make the unit metrics kind of work. So, if I think that you will build as dense a network as, say, one of these people, then you are basically having to build about a minimum of 1000 dark stores over the next couple of years. And even if I

SAHIL BARUA:

Abhishek, let me cut in. The answer to that is, no. Because the delivery radii of the dark stores that you're talking about for 15-minute delivery of groceries, and as I'd mentioned, two to four-hour delivery of e-commerce products is not the same. So, we are not going to

have to build out a 1000 dark stores to service a city with two-hour delivery. That's one. The second is, do bear-in-mind that we already operate 3,450-odd delivery stations across the country. So, we do not anticipate that we're going to have to build out anywhere near 1000 dark stores, nor will we have to incur significant CapEx to do so.

ABHISEK BANERJEE:

Understood. That's helpful. Second is on the market share question. From what I understand is, of course, the part about insourcing has been hurting the overall revenue growth in Express Parcel for you. That is understandable. But any timelines as to how long you think this will continue?

SAHIL BARUA:

I think the big move, Abhishek, has really been the growth of Meesho's self-logistics, in terms of the other marketplaces, they've insourced previously as well. And per se, I think, their insourcing versus outsourcing strategies are fairly stable, and we are materially important and large partners to both of the other marketplaces. In Meesho's case, I can't really comment for how long or what the exact strategy with their delivery network is going to be. But I can tell you that we are a large and fairly high-quality partner to the firm, and they require high-quality logistics to be delivered to their consumers. And as their

cons
umers mature and consumers trade-up and demand fulfillment experiences, which they are able to receive on other marketplace platforms, Delhivery is a natural choice.

ABHISEK BANERJEE:

Fair. So, is there any data, which shows the difference in SLAs between you and, say, something like Valmo?

SAHIL BARUA:

Unfortunately, I am not aware of what Valmo's published service levels are. I am aware of our service levels. And I think the fact that they are pretty robust and are in line with Delhivery Ltd

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consumer expectations is reflected in our market share of the third-party market and our share with the other two large marketplaces.

ABHISEK BANERJEE:

Sir, just the last question on the employee expenses, generally there's a bump-up in this quarter, this time it didn't show through. So, are you changing the increment cycle or what's happening there?

SAHIL BARUA:

No, there's no change in the increment cycle. It's the standard increment cycle, Delhivery's increment cycle ends in March, and Q1 is when we essentially take the cost of wage inflation.

So, we had mentioned earlier to the market as well that when we went public also, we said that we don't anticipate a significant increase in our wage costs overall. We are built out to deliver a much larger business, a much larger revenue, and we don't anticipate the need for us to hire additional people and to inflate the wage cost.

MODERATOR:

We'll take the next question from Sachin Dixit. Sachin, you may please go ahead.

SACHIN DIXIT:

Hi. Thanks. Congrats, Sahil and Amit, on a great set of results. I had two quick questions.

The first one was with regards to, you mentioned that there was a contract with this large customer in the last earnings call. Can you talk a bit about this contract, like, were there any price cuts involved as part of getting this contract? And post that, have you seen their insourcing stabilize at those levels, or is it still continuing to rise?

SAHIL BARUA:

In terms of the contract, I obviously can't get into specifics about the contract. But suffice to say, you've seen our yield, you've seen that the margins overall have improved between Q4 and Q1. So obviously, it's not a reductive contract as far as Delhivery is concerned. I think the important thing in any contract that we negotiate with any customer is, how to link pricing that we give them, which as I mentioned before, our objective is to reduce the cost of logistics for all of our customers linked to the volume that they provide to us, and that's the contract that we negotiate, not just with any single marketplace, with every one of our 35,000 customers. And, as we negotiate contracts, of course, the additional thing that we negotiate with all of our customers is also equivalently, should there be an adverse mix that they provide to us then we're protected against that and that's sort of the standard contract that we've signed. So, you can see that reflected in our unit economics in any case.

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SACHIN DIXIT:

Fair enough. So, have you seen any changes in the insourcing trajectory of Meesho, or you're not aware of those changes?

SAHIL BARUA:

I think we're satisfied with the volumes that we're getting and they're in line with our expectations, but if they've been reducing the share that they're providing to other third-party partners I would be unaware of that.

SACHIN DIXIT:

Understood. Second question, more like a housekeeping question. So, all this ESOP reversal that was taken this quarter, wasn't this being done in earlier quarters as well or this was the first time that we did that?

AMIT AGARWAL:

This was done every quarter. There was a KMP exit last quarter due to which this was affected.

SACHIN DIXIT:

Understood. Thanks so much. Just my final question on the Rs. 80 crores CapEx that you mentioned for thi

s Q1, can you roughly provide a breakup of that as well?

AMIT AGARWAL:

Sure. Just a minute. We've got vehicles worth about Rs. 29 crores. These are Volvo tractors. Automation of Rs. 4 crores, plant and machinery of Rs. 26 crores, furniture & fixtures and office equipment of Rs. 20 crores.

MODERATOR:

We'll take the next question from Aditya Bhartia. Aditya, please go ahead.

ADITYA BHARTIA:

You spoke about market share in 3PL market remaining the same and given that Meesho has been insourcing a fair bit, is it fair to assume that market shares of the overall online sales would have gone down in the last year or so? Not only for you, but pretty much for everybody else as well.

SAHIL BARUA:

Yeah, I could suggest that.

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ADITYA BHARTIA:

And in the conversations that you've been having with Meesho, are you getting some sense about how exactly their strategy about insourcing is going to play out from a slightly longer-term perspective? Especially because while planning your capacity, I guess at least some of your larger customers would be giving you some indications?

SAHIL BARUA:

No, I think, among the many things that we discussed with our customers, as I mentioned their strategies are fluid, their strategy on insourcing, I think, is also changing. So, it's something that doesn't seem to be stable. The way we look at it is pretty simple. We provide a high-quality service at a cost that is extremely attractive to all of our customers including the ones who insource and not just limited to any single market place. Our objective is to meet our growth objectives and to meet our economic objectives and to protect those. Outside of which, in our case, do bear in mind that, while we certainly provide an extremely important service to the e-commerce industry, it's not the only business that we do. And our ability to provide that high quality service to e-commerce companies is also bolstered by the other businesses that we run. So, we are pretty confident about our competitive advantages overall, irrespective of what the change in strategy for any single customer of ours might be, and we don't have a very high degree of dependence on any single customer anyway.

MODERATOR:

We'll take the next question from Mukesh Saraf. Mukesh, please go ahead.

MUKESH SARAF:

Yes. Hi. Good Evening and thank you for the opportunity. My first question is on Meesho insourcing itself. So, is it fair to assume that Meesho would be insourcing most of the high-density locations, initially at least? And, apart from us getting the remainder, does it also affect the quality of business we get from Meesho right now, low density locations, etc.?

SAHIL BARUA:

No, that would not be the case. We receive volumes across all of our locations. Well, there

are two things to bear in mind. One is capacitating a network for what you might think of as a high-density location is also not a trivial exercise. The reality is that e-commerce volumes are fairly volatile at the last-mile. It's really just the law of standard deviations. I might be able to predict that my volumes in the city of Bombay will vary by only about 15% on any given day, but that doesn't mean that my volumes, for example, in the micro locality of Chembur will not vary by 600%. And therefore the ability to capacitate at the extreme last-mile is extremely difficult. So, either you have to run networks which are under-capacitated and higher cost, which as you're aware of, some of the other insource players have discovered over the last decade or so. Or alternatively, if you're capacitating

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to meet a cost objective, which if you're selling low AOV products, you have to do, then ultimately you have to outsource a lot more. It's unfortunately not possible to escape that math, so, really merely take high density l

ocations and outsource the others.

MUKESH SARAF:

Got that. Got that. Thank you for that. The second question is, again, related to this. I mean, now that we'll see the volumes from Meesho come off and obviously the D2C share for us goes up, we're also seeing in the market that some of the traditional logistic players in the D2C segment are pricing very aggressively. Do you see this kind of impacting us going ahead on the D2C side of it? Aggressive pricing from the traditional competitors?

SAHIL BARUA:

I am not sure about traditional, so I'm going to assume that you're speaking of perhaps DHL, DTDC and so on.

MUKESH SARAF:

Yeah Bluedart kind of names.

SAHIL BARUA:

Yes. Sure. So, look at the end of the day, the fact that somebody is offering you a lower price, if it's not backed up by a high-quality reliable service, the lower price is not enough. I mean no customer is going to say that I am happy to take more delays or I am happy to have to work with higher returns as long as you give me a lower price. Ultimately, e-commerce companies want to deliver reliably to customers. Where what we index on and what we've always indexed on is the quality of our service and the quality of our delivery, and also the reliability of our delivery, and the ability to absorb the inherent volatility that e-commerce contains at this point in time. So, we have not actually faced any particular headwinds from any traditional or other competitors in terms of pricing.

The other thing also to remember and we mentioned this before, we are very confident about the fact that we are the lowest cost operator in this space. Not only are we the lowest cost operator in this space, over a period of time as we have discovered cost efficiencies in our network, we have passed those benefits on to our customers with time. And as a consequence of that, we are very confident that the pricing that we provide to customers, where we are able to make the margins that we declared, most of our competitors if they are pricing at those levels or below that, will be unable to make money. So, even if they are sort of in a zone where they are pricing below us, the fact of the matter is they won't be able to sustain it for very long if at all.

MUKESH SARAF:

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Sure. And just quickly on the PTL business. I mean you have obviously recorded very strong growth, while the industry doesn't seem to be growing that strong on PTL. So, could you kind of give some sense on how we have expanded, say probably pin codes or collection centers, any data you can provide on where we were say last year, first quarter to now in terms of reach or like I said collection centers?

SAHIL BARUA:

Apar/Vivek, can you just go to that slide please? The slide with all the statistics on the network please. So, as you can see Mukesh, there's been no change in the network. We still service more or less exactly the same number of pin codes and we service through the same.

MUKESH SARAF:

No. So, I meant specifically for the PTL. So, in this obviously there will be certain pin codes that you'll only be servicing PTL.

SAHIL BARUA:

No. No. No. So, Mukesh, that's why our network is unique, because it's integrated across our PTL and our Express services. So, serviceability for PTL is exactly the same as serviceability for Express.

MUKESH SARAF:

Okay. It's not just the mid-mile that you're able to integrate, you're able to integrate even the last-mile as well. It's what you're saying?

SAHIL BARUA:

Correct. Now, the difference is, if you look at freight service centers, which we have 120 off, the highest density PTL locations are serviced by a format called a freight service center, which is uniquely designed to handle freight and uniquely designed to handle heavy products. I imagine that there is a location, which we are servicing, I'm making this up, but let's say 15 tons of load a d

ay. 15 tons of load a day will go to a freight service station. But that doesn't mean that we won't have a customer, who, for example, wants to send 300 kilos of load to a location that is not viable to service by our freight service station. In that case, what happens is, this will get directed into our Express delivery network, where we have 3,567 of these centers. So, in fact, the Express delivery network is a humongous advantage, when it comes to serviceability for us versus traditional industry, which tends to think of a lot of these pin codes as ODA pin codes.

MUKESH SARAF:

Okay. Interesting. Got that. Thank you so much. I'll get back in the queue.

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MODERATOR:

Thank you. We'll take the next question from Manjeet Buaria. Manjeet, please go ahead.

MANJEET BUARIA:

Yes. Thank you. Sahil, in the past, you had mentioned that even if we sort of disintermediate our first, mid and last-mile, we'll actually still be the lowest cost player in the industry. So, in that case, shouldn't we be winners on Valmo as well? Because we should be the most competitive to bid on that platform. I just wanted your thoughts on that.

SAHIL BARUA:

But why would we do that? I mean, we already provide a fully integrated service that the principal in question can utilize at an extremely competitive cost with an extremely high service level. The incentive for us to unbundle ourselves to participate in a platform is essentially zero. So, a better answer is actually for the platform in question to outsource the volumes to us entirely. So, I don't anticipate that we will unbundle ourselves to participate piecemeal.

The second thing to bear in mind is that the quality of service of a disintermediated network is by definition lower than the quality of an integrated network. Because I have the ability today to make decisions all the way from the moment a parcel is picked up to the moment a parcel is delivered through a single stream, which is Delhivery. If you have to pass-on packages continuously across multiple different partners, there's an inherent loss of service and inherent loss of traceability, and an inherent overcapacity that has to be built at every node. So, there is a reason why logistics companies across the world historically for a hundred years have provided integrated services. It is because there's a certain power that comes from integration. So, we don't believe it's in the best interest of our customers for us to disintermediate ourselves.

MANJEET BUARIA:

Very clear. And the second question, Sahil was, whatever Meesho is trying to do, my understanding and I could be wrong, is that other 3PL players are even more reliant on Meesho than we ever have been. So, just your thoughts on industry consolidation, because they should be getting hit way worse than we are. So, from an industry perspective, you have some thoughts on when do we see probably the less competitive capacity go out of the system? Thank you.

SAHIL BARUA:

Sure. I've spoken about this before. I think, as I mentioned, for any customer of ours, the reality is that the mechanism through which you manage your risk across multiple carriers is not by launching a carrier yourself, but essentially by working closely with the existing carriers. In this situation, whether you call it self-logistics or not, effectively, another carrier

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has been launched into what already was a fairly sort of shallow pool. It has, of course,

affected people who had extremely high dependence on the platform in question and potentially at pricing that also is most likely to be unviable. I think consolidation is inevitable in this situation. The question, of course, that I can't answer is, how long people will continue to fund businesses in this state.

Also, the reason why this is necessary, I believe, is tha

t over a period of time, India will produce integrated logistics companies. For a variety of reasons that I mentioned in the past, the economics of running parcel-only networks that are non-integrated are significantly worse than the economics of running integrated networks. The cost curve flattens out too quickly, when you're running a parcel-only network. And so, I do believe that it's important for industry consolidation to happen. As to the timelines, I think, to be perfectly honest, your guess is as good as mine. But on a lighter note, today is as good a day as any other.

MODERATOR:

We'll take the next question from Achal Lohade. Achal, please go ahead.

ACHAL LOHADE:

Yes. Good evening. Thank you for the opportunity. My question was on Supply Chain Services. If you could talk about where are we in the journey? What kind of growth can we see here? What kind of customer addition we have seen? And in terms of the offering, compared to the other supply chain players, where do we stand in terms of the offering? Have we covered most of it or do we have a significant element to catch up?

SAHIL BARUA:

Sure. Broadly, on the Supply Chain Services business I mentioned a lot of the new starts that we had, which were to come in, both from traditional sort of the B2B industry, there are specific verticals, for example, in the auto and auto spare parts world, in the wires and cables world, the FMEG world, we had contracts that were starting up. Those are obviously scaled up in this quarter. And obviously, for our customers in the consumer durables space, this is a seasonally high quarter. So, a combination of those factors obviously has delivered solid growth to us. In terms of our pipeline, I think, the pipeline is extremely robust, both from the B2B world, where we continue to make inroads into our focus categories, which are, as I mentioned again, auto, auto spare parts, industrial goods, wires and cables, consumer durables, FMCG and FMEG. But outside of that, the other area that's seen significant growth for us is integrated fulfillment for e-commerce, where we have the ability to provide effectively, as I mentioned before, think of it as a white-label prime service, which is a combination of variable cost fulfillment coupled with extremely high-speed delivery in the city, and we've seen demand for this sort of rise quite significantly in the last quarter.

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In terms of the breadth of the offering itself, I think, Supply Chain Services, whether we offer it or somebody else offers it, is fundamentally a combination of warehousing and transportation operations spread across primary logistics and secondary distribution or delivery to customers, and we provide a comprehensive set. Typically, traditional players have not done the B2C element of this, they've largely focused on the B2B element of it, so the differentiation or the increased breadth of our service is the ability to knit B2C and B2B both.

The other, of course, differentiator between our service and traditional services is our ability to support multiple tenants in the same fulfillment centers, which essentially, like I'd mentioned on the dark store side earlier, allows us to enable companies to variabilize their operating costs with the supply chain quite a lot, as opposed to sort of making heavy investments in capacity. And that's sort of a pretty big differentiator, apart from which, from a technology standpoint, we have the ability to enable companies to virtualize their inventory across all of the fulfillment centers that we serve for them. And an order management system that essentially enables them to direct the right set of orders to the right fulfillment centers, and therefore, achieve an optimal mix of inventory and the lowest cost of transportation.

So, it's a fairly comprehensive set of services that encompasses not just the physical aspects

of storage and transportation, but also all of the information systems that are crucial to supply chain decisions. And then, of course, there's the added advantage of visibility, the tracking, and the reporting services that we provide. Traditional players also provide contract logistics, which is the one area I should point out we do not provide. So, we do not do a service, where we're simply providing manpower effectively, while the systems

and the management are being run by the principal themselves. So, that's what we don't do.

ACHAL LOHADE:

Understood. That's very helpful. Thank you. Those were my questions. Thank you.

ADITYA SURESH:

Sahil, before we conclude the call. This is Aditya from Macquarie, maybe I'll just ask you two questions, please. The first is, on the Part Truckload business, you've been constructive on the formalization opportunities, you've spoken about impressive growth rates here. Maybe if you can just run through your thesis here again?

SAHIL BARUA:

Sure. So, Aditya, on Part Truckload, there are sort of two or three big things to point out. The industry, obviously, while exact statistics are a little hard to come by, because of sort of the express, non-express, PTL, FTL, hazy boundary, broadly our view is, the total spend on Express PTL is easily over \$10 billion. If you look at the market, India is a hugely atypical market, which is highly fragmented. Whereas when you look at Part Truckload markets around the rest of the world, they tend to be highly consolidated markets. And the

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reason is very simple, which is that, similar to Express, Part Truckload is essentially a network business of consolidation and deconsolidation, which lends itself to large economies of scale. And that's obviously a technology and engineering intensive business. So, our view is that the market will formalize in India. In the U.S., for example, the top five players I suspect will be, I don't have the absolute latest numbers, but will be, let's say, 65%, 70% of the Part Truckload market. I think India will go down that path, because scale leads to efficiency, which reduces cost for everyone.

And secondly, obviously, in India, there's a big shift from unorganized players towards organized players, largely because quality of service improves with large integrated national networks. So, that's broadly our thesis. We don't anticipate any challenges in terms of our ability to grow into this market, as you can see, even in what has been a seasonally extremely weak quarter overall for the Part Truckload industry, we've had fairly solid growth this quarter, which reflects both the quality of the service and our ability to generate and service demand.

For us, the basic challenge that I've spoken about is to slowly increase sort of our top of the funnel activities, both to make more and more customers across the country aware of the fact that Delhivery provides PTL services. I mean, one of the interesting things is despite us being one of the largest PTL players in the country, most people still think of us as an Express denominated business, whereas the reality is we're an extremely large freight network. And the second, obviously, as I mentioned, is to increase our direct sales capabilities and direct sales outreach into Tier 1, Tier 2 and Tier 3 markets. As an Express only player, our business development was really in the beginning, largely focused on places like Delhi, Bombay and Bangalore. But increasingly, as our sales teams have spread, as an example, in the PTL industry, cities like Chennai, cities like Vapi are fairly large markets, and we're expanding our presence into all of those with physical sales. And logically, along with physical sales, we're also building a network of resellers and third-party partners, who can sign up with us. And similar to the C2C franchise business that I spoke about, can sig

n up and essentially direct freight loads into Delhivery, where it's unfeasible for us to have a direct business development presence.

ADITYA SURESH:

And the related question, Sahil, was that, on freight costs and the fact that you're running this integrated network, freight costs have declined about 180 basis points, 190 basis points Y-o-Y, it's down again about 50 basis points sequentially as measured against revenue. As you scale your PTL business, we'll see how the Express Parcel business shapes up, but should we expect further scale benefits here as you kind of ramp Part Truckload up?

SAHIL BARUA:

Yes, absolutely. As I mentioned before, Aditya, the reality is that our PTL business at the moment, we're very happy that it's now profitable at a service EBITDA level and profitability continues to improve Q-o-Q. But as I mentioned our PTL network is designed to handle significantly more tonnage than we continue to handle at this stage. And so, as

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volumes go up through this network, utilization of the network will continue to rise, whether it's the freight service stations, which are designed to handle higher volumes or

the hubs which are designed to handle higher volumes. And also trucking, aggregate trucking utilization will increase. Our trailer network will densify a little further from this point on.

And the other thing is, as we are bringing in more PTL business into the network, the densification of loads or essentially the higher weights that we are carrying, themselves have a positive impact on overall costs. And interestingly, Aditya, this has a positive network effect on the Express business as well. It's one of the things that enables us to derive a fairly competitive advantage on Express cost as well, so both the networks feed into each other.

ADITYA SURESH:

Fantastic. And are you able to kind of provide any guidance here, whether on Service EBITDA margin level or any of the margin lines?

SAHIL BARUA:

On Express, as you've seen the margins we are stable at this 18% kind of mark. And as I mentioned before one of the things that Delhivery is committed to doing is to bring down the overall cost of logistics for the industry. And as our margins expand, I think, wherever we have customers, where we believe that offering them a lower price is going to lead to higher volumes for them and consequently for us, we will continue to offer that pricing benefit to them, and we're very happy in the short to medium term with these customers to remain in that 18% to 20% kind of margin range on Express. The PTL business as I mentioned is exactly the same as the Express business but nearly with larger boxes. And so, we do expect that the PTL business will deliver margins, which are in line with the Express business. And potentially as our cost advantages are discovered, we'll see how it goes potentially even higher and that's the trajectory we're shooting for.

ADITYA SURESH:

Fantastic. Sahil, I don't see any other questions in the queue. If you have any closing remarks, please.

SAHIL BARUA:

Great. Well, nothing that hasn't already been said, I think Q1 is historically always one of those difficult quarters for logistics companies and I think we're very satisfied with the overall performance we've had for Q1. There's been pretty significant revenue growth even in what has been a seasonally difficult quarter for the rest of the industry and also obviously the impact of rains, the impact of the elections. So, a very satisfactory quarter. And from a profitability standpoint, as we'd mentioned, our focus has always been to improve the unit economics of our businesses.

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Broad summary is that Express continues to grow stably, margins remain stable in that 18% range, the PTL business continues to grow very fast, the profitability trend continues.

So, we're also seeing significant sort of improvement in the Supply Chain Services business, and have a robust pipeline from here on. And we anticipate pretty solid growth in SCS business as well. So, overall, a good start to the year. And going into the peak season, I think, we're feeling quite confident and well set for the rest of the year. So, thank you.

Thank you, Macquarie team for hosting us. Thank you all for joining.

Call: Nov 2024

Date: November 22, 2024
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
India

Scrip Code: 543529 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
India

Symbol: DELHIVERY

Sub: Transcript of Earnings Conference Call pertaining to the Unaudited Financial Results for the quarter and half year ended September 30, 2024

Dear Sir,

This is in continuation to our earlier letter dated November 14, 2024, regarding audio recording of the Earnings Conference Call held on November 14, 2024, at 06:00 P.M. (IST) on the performance of the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended September 30, 2024.

Please find attached herewith the transcript of the above investor and analyst call.

The above disclosure is also being uploaded on the website of the Company at www.delhivery.com

You are requested to take the same on your record.

Thank you.

Yours sincerely,

For Delhivery Limited

Madhulika Rawat
Company Secretary & Compliance Officer
Membership No: F 8765

Encl: As above

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Nov 14, 2024

Delhivery Limited Q2 FY25 Earnings Conference
Call
Nov 14, 2024

Management : MR. SAHIL BARUA, MD & CHIEF EXECUTIVE OFFICER
MR. AMIT AGARWAL, CHIEF FINANCIAL OFFICER
MR. VIVEK PABARI, HEAD - INVESTOR RELATIONS
Moderators : MR. BAIJU JOSHI, MACQUARIE CAPITAL

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MODERATOR:

Hi, good evening, everyone. Welcome to Q2 FY25 Earnings Call of Delhivery Limited, hosted by Macquarie. Before we start, Delhivery would like to point out that some of the statements made in today's call may be forward-looking in nature and a

disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this call is meant for investors and analysts only. If there are representatives from the media, they are requested to kindly drop off this call immediately.

To discuss the results, I am pleased to welcome Mr. Sahil Barua, MD and CEO, Mr. Amit Agarwal, CFO, and Mr. Vivek Pabari, Head of Investor Relations at Delhivery. As a reminder, all participant lines will be in listen-only mode and participants can use the raise hand feature to ask any questions post the opening remarks. I thank the management team for providing Macquarie the opportunity to host the call. And now invite Mr. Sahil Barua to take us to the key highlights of the quarter, post which we'll open up for Q&A. Thank you and over to you, Sahil.

SAHIL BARUA:

Thank you, Baiju. Thank you, Sheryl, for hosting us. Very good evening to all of you who've joined our earnings call this evening. As always, I'll begin with a short presentation on financial and operational performance for Q2. We'll keep this short and then happy to take your questions.

Broadly as a headline before we begin, Q2 is when Delhivery sets up for the festive season. As many of you are aware, Q3 is the peak season for online commerce, and typically, this is the quarter in which we expand capacities across real estate, people and vehicles in preparation for the peak season.

Overall, before we get into the numbers as a broad summary, this is our second consecutive quarter of PAT profitability overall as a business. Our Express Parcel business continued to be stable and well set up and our Part Truckload business has continued to show robust growth Q-o-Q into Q2 as well. Quick snapshot of numbers for Q2. Revenues came in at Rs. 2,190 crores, which is a year-on-year growth of about 13% and broadly flatish quarter-on-quarter. We delivered 185 million consignments in our core e-commerce Express Parcel business. Industry standards on this, of course, vary. Some play

ers also declare return shipments separately. Including returns, our total volumes stand at 216 million consignments for Q2 FY25, which is a year-on-year growth of about 3% and quarter-on-quarter of about 2%.

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In terms of overall freight tonnage, we delivered 427,000 tons of part truck freight in Q2. This continues to be industry-leading growth. Year-on-year, our volumes have grown by about 23% and quarter-on-quarter PTL volumes have grown 7%. Overall EBITDA came in at Rs. 57 crores, which is a positive EBITDA margin of 3% as compared to a negative EBITDA of Rs. 16 crores for the same quarter in the last financial year, and as opposed to Rs. 97 crores in Q1 FY25. PAT for Q2 came in at Rs. 10 crores, broadly breakeven, as compared to a PAT loss of Rs. 103 crores in the same quarter in the last financial year, and a PAT of Rs. 54 crores in Q1. Overall, the company continues to be highly well capitalized. We continue to have Rs. 5,488 crores of cash and cash equivalents on the balance sheet.

Quick snapshot of overall operating metrics as usual. Pin code reach continues to be at 18,775 pin codes. Please note this is on the base of 19,300 pin codes as defined by the Indian Post. When orders are received for pin codes outside of what is defined by the Indian Post, we convert them into India Post-compatible pin codes. We continue to service 220+ countries through our partnerships with FedEx and Aramex. We've had a significant growth overall in terms of number of active customers. Across all of our business lines, we continue to grow strongly in the SME and D2C segments in e-commerce, and obviously continue to add new customers in the PTL business. Total customer base stands at 38,000 customers as of Q2, as compared to 35,000 customers in Q1, and 30,000 customers from a year ago, a year-on-year growth of nearly 30%. Overall infrastructure grew from 18.73 million square feet of real estate to 19.49 million square feet of real estate as of the end of Q2. This includes, by the way, 0.5 million square feet of real estate that's on extremely short-term leases, essentially purely for the e-commerce peak season. Adjusting for that, infrastructure across the network remained broadly stable between Q1 and Q2. Total number of gateways, including processing centers, have stood broadly constant between Q2 FY24 and Q2 FY25 at a sum of about 278. So I'm adding the row for gateways and the row for processing centers. Automated sortation centers grew marginally from 42 ASCs as of Q1 FY25 to 45 ASCs as of Q2. Total number of parcel sorters increased from 61 to 66. There was a marginal increase in freight service centers from 120 to 124, including a couple of freight centers that were commissioned purely for the peak season. Express

delivery centers and partner centers continue to remain broadly constant from 4,400 to about 4,450. There was a mild amount of increase in the team size, partner agents, and fleet size towards the end of Q2 specifically. Team size grew from 67,900 to about 73,800 in preparation for the peak season. And overall, fleet size grew from 15,800 to about 16,400 on average in preparation for the peak season.

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In terms of overall financial performance, year-on-year, we've seen revenue growth of 13% from Rs. 1,942 crores in Q2 FY24 to Rs. 2,190 crores in Q2 FY25, with the quarter-on-quarter growth being broadly flat. Express continues to remain obviously the core business and forms about 59% of total revenues. The PTL business continues to grow as a percentage of total revenues, and in volume terms, and now forms 22% of revenues as of Q2 FY25. 7% of the business comes from the truckload business and 9% from the supply chain services business.

In terms of individual business lines, the Express parcel business

has grown 7% in

revenue terms year-on-year from Rs. 1,210 crores in Q2 FY24 to Rs. 1,298 crores in Q2 FY25. Overall volumes have remained broadly flat in the 180 million range.

Q2 FY25 closed at 185 million packages delivered. Including RTOs, overall volumes have stood at about 216 million for Q2 FY25. The part truckload business continues to show robust growth. We continue to have industry leading growth in this business and our investments in building the sales team that we began about five quarters ago continues to reap dividends. PTL freight revenues have actually grown 27% year-on-year from Rs. 373 crores in Q2 FY24 to Rs. 474 crores in Q2 FY25, which also represents a 9% growth quarter-on-quarter. Overall part truck freight tonnage grew 23% between Q2 FY24 and Q2 FY25 and 7% quarter-on-quarter. Yield growth, therefore, has also happened year-on-year. The truckload business has remained broadly flat at Rs. 150 crores of externalized freight. Year-on-year growth is about 5% and quarter-on-quarter at 2%. The supply chain services business has grown 21% year-on-year, from Rs. 164 crores in Q2 FY24 to Rs. 197 crores in Q2 FY25. As you're aware, Q2 is typically a seasonal down quarter for our consumer durables clients. Despite that, we've seen very significant growth in this business. We continue to have a highly robust pipeline of clients who we expect will begin operations in Q3 and Q4. So well positioned in this business overall. The cross-border services business has grown 43% between Q2 FY24 and Q2 FY25, from Rs. 41 crores to Rs. 59 crores. In terms of service line profitability, the overall revenue from services stood at Rs. 2,190 crores. Overall service EBITDA came in at 9.3% in Q2 FY25, which is about Rs. 203 crores of service EBITDA, versus 11.9% in Q1 FY25 or Rs. 258 crores, largely due to investments in capacity that are due just before the peak season and also as a consequence of some infrastructure going live in Q2. The Express Parcel business service EBITDA margins stood at 15.1% for Q2 FY25 at Rs. 196 crores, as compared to 18.2% in Q1, again, largely driven by expansion of capacity in preparation for the peak season. Part Truckload remained broadly stable at Rs. 14 crores of service EBITDA in Q2 FY25, or at about 3% and supply chain services declined from Rs. 11 crores of service EBITDA in Q1 to negative Rs. 9 crores in Q2 FY25, largely due to a one-time provision as part of a contractual agreement with one of our clients. Overall

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corporate overheads declined from Rs. 221 crores to Rs. 193 crores, again owing largely to a one-time adjustment, which is a reversal of a provision taken in a prior period, and stood at 8.8% of overall revenues, while other corporate overheads remained broadly stable. In terms of adjusted EBITDA, adjusted EBITDA stood at Rs. 10 crores versus Rs. 37 crores in Q1 FY25, a change of 1.2 percentage points. And overall PAT at Rs. 10 crores as opposed to Rs. 54 crores in Q1 FY25.

A quick snapshot of PAT evolution over the last 10 quarters. As you can see, overall PAT has continued to improve year-on-year. Q2 FY25 is our second consecutive positive PAT quarter coming in at Rs. 10 crores, as opposed to Rs. 54 crores in Q1 FY25, but a huge improvement versus Q2 FY24, which had an overall PAT loss of Rs. 103 crores. We anticipate that the rest of the year will continue in the same vein.

In terms of overall quarterly financial performance as a summary, revenue from services, as I mentioned, came in at Rs. 2,190 crores. Including other income, total income came in at Rs. 2,309 crores, which is a growth of 13% year-on-year compared

to Rs. 2,043 crores in Q2, and a quarter-on-quarter growth of 1.2%. Overall expenses lagged growth in revenue, total expenses stood at Rs. 2,294 crores, which is a year-on-year growth of 6.8%, and a quarter

on-quarter growth of 3.2%, leading to a net

PAT of Rs. 10 crores in Q2 FY25 versus negative Rs. 103 crores in the same quarter last year and Rs. 54 crores in Q1. And a total EBITDA of Rs. 57 crores or 2.6% for Q2 versus negative Rs. 16 crores for Q2 FY24 and Rs. 97 crores for Q1 FY25.

The working capital position continues to improve across the board. As you can see, net working capital days as of the end of September '24 stood at 22 days versus 27 days as of March '24. Receivable days continued to reduce from 62 days as of March '24 to 59 days, and payable days increased from 35 days to 37 days.

So in summary, Q2 has been a fairly stable quarter, set us up well for the peak season in October and November, continued to be PAT profitable for us overall, despite one-time adjustments that had to be made in the supply chain services business, and overall, the PTL business continued to grow at an industry-leading growth of 27%, Express Parcel broadly flat. With that, I'm happy to take questions.

MODERATOR:

Thank you, Sahil. We'll now start with the Q&A. As a reminder, please use the raise hand feature to ask any questions. We'll take the first question from Sachin Salgaonkar. Sachin, please go ahead.

SACHIN SALGAONKAR:

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Hi. Thank you for the opportunity. I have three questions. First question, Sahil, is on Express Parcel margins. Even when we look from Q2 to Q2, margins have gone down from 18% to 15%. Can you help us understand what has happened and how should one look at a steady-state margin going ahead?

SAHIL BARUA:

Sure, do you want to ask all the 3 questions?

SACHIN SALGAONKAR:

My second question is, we are hearing mixed feedback on the festive season in terms of how it is picking up. So, would love to understand how you guys are seeing an impact on the festive season.

And lastly, is on the Express Parcel growth. I mean, it may not be easy for you guys, but it would be great if you could take a stab at this. How much of the weakness is perhaps on the back of consumption slowdown and how much because of an insourcing by operator? And I'm asking that question because I want to get a sense in terms of what could be a growth for 3PL industry going ahead when things normalize.

SAHIL BARUA:

Sure, let me try and answer each of them. First, quickly on margins, Sachin, if you look at the service EBITDA margins for the Express Parcel business, Q2 has come in at 15.1% versus 18.2% in Q1, but if you look at the previous financial year, Q1 to Q2 was 18.1% versus 16.8%. So there is typically a decline in the service EBITDA margins in Q2 in the Express Parcel business. Last year, the peak season was slightly delayed compared to this financial year, and so some of the capacity commitments would have come slightly later. So they would have come between the end of Q2 and the start of Q3, whereas this time, a larger percentage of the capacity investments have happened in Q2, because the peak season actually began in the last week of September. So I think September 26th, if I'm not mistaken, was exactly when the peak season began. So that's part of the reason why there's a delta. Overall, if I look at our capacity investments, broadly speaking, about between Rs. 10 and Rs. 12 crores would have been the impact in September alone of the capacity investments between the two financial years. And so when you add that back, broadly the Q2 FY25 margins for the Express Parcel business would be in line, more or less, with what we saw in FY24 overall. So, no structural change to the margins in the Express Parcel business overall. I think we expect to continue to make service EBITDA margins overall in the range of 17% - 18% in Express Parcel even going forward.

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The second question was in terms of the festive season

n. I think overall, if I look at our

October numbers, our closure for the October period has stood at about 78 million consignments which is about, if I take an average, just as an average of 185 by 3, so let's say 61 million. So October alone, we've seen a growth of 30% in shipment closures in the peak period, and obviously, there'll be some spillover effect that goes into November as well. So overall, I think we're pretty satisfied with the way peak season has played out. Obviously, we are the largest network in Express, and typically, we're the largest and highest quality network, so volume does tend to flow a little differentially into the largest and highest quality network at this time. So our growth at 30%, I think, is broadly pretty solid, and in line, if I'm not mistaken, with what at least our clients seem to have projected.

In terms of Express Parcel growth across the industry, I think that's a complicated question. I think if you look at it, the bulk of the insourcing related growth pang, and obviously here you're referring to Valmo, I think a large bulk of that has already been experienced in terms of the growth of Valmo, because I think in the last financial year, there was fairly significant growth in Valmo's overall contribution to meesho volumes. So I think outsourcing has a relatively smaller sort of impact this year as compared to what it did last year. I think broadly on e-commerce, as we see it, there is an overhang from just consumption being softer overall. But so far, if I look at our numbers for October and the early part of November, I think we seem pretty satisfied.

SACHIN SALGAONKAR:

Got it. So when consumption recovers, we should see growth normalizing to 13% to 15% for industry, right?

SAHIL BARUA:

I think that's one, but I'll also take this opportunity for a minute. See, I think the other thing from our standpoint, as I mentioned before, is that we will now start accelerating efforts to increase our share even if the market does continue to remain slightly sluggish. There were a couple of things that I've referred to in past earnings calls, which we are starting to amp up now that the peak season is over. So one of them for example is obviously, this will take a little longer to play out, but we will for instance launch a third-party shared quick commerce network for e-commerce brands, and we do expect that to increase volumes in the major cities, that's one.

The second is we're in the process of launching a faster product for regional surface shipping and national air shipping. So as both of these kick off, I think we again will have the ability to drive incremental share. Some of this has taken time for us to

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negotiate, but with our overall buying scale and our overall network scale, I think we're very confident that this also leads to incremental volumes.

The third is as our PTL business has grown, I've mentioned in the past, we see opportunities in specific lanes to significantly pass on efficiency benefits to some of our customers which we'll be more than rewarded for by the yields, because these will typically be long distance orders. And so we will grow the overall share even in these sub-segments.

And the fourth is I think as we expand from a product standpoint, Delhivery One, which is the panel that we use for D2C customers and for SME customers, there's a whole bunch of value added services that also will go live in this quarter, which include three things, really. One of them is the address disambiguation service, the other is the RTO reduction service and the third will be insurance. All three of which we also anticipate will increase yields on the Express Parcel business. And the fourth is we're also in the process of figuring out how to launch a much larger aggregator reseller franchise business, physical franchi

se business across the country. So think of

what DTDC has historically done. I think we've discovered that large numbers of customers want to ship with Delhivery, but don't have access to a physical point, especially SMEs. So as we expand that, I think irrespective of the market remaining sluggish, we're going to be pushing the pedal on growth.

SACHIN SALGAONKAR:

Thanks, Sahil. Very clear. Thank you.

MODERATOR:

We'll take the next question from Sachin Dixit. Sachin, please go ahead. Okay, I don't see Sachin in the queue. We'll take the next question from Aditya Bhartia. Aditya, please go ahead.

ADITYA BHARTIA:

Hi, Sahil. Am I audible?

SAHIL BARUA:

Yes, Aditya. Please go ahead.

ADITYA BHARTIA:

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Perfect. Sahil, my first question is on volume growth that we have seen in the Express Parcel business. This time around, we had an earlier Diwali, and despite that, we are looking at a 3% kind of revenue growth, while the numbers that you're sharing for October are looking fairly encouraging. So how is it that the growth has been so muted, entirely on account of consumption slowdown? Because you're saying that insourcing has also not really contributed much this year.

SAHIL BARUA:

So, I think, first of all, the Diwali (peak sale season), this time, comes on the 26th of September overall, which is why a bulk of the growth that we see in volumes is sitting in October and not in the previous quarter. I think in the previous quarter, even historically, if you go back, ever since we've been running Delhivery, the reality is that Q2 has generally been fairly flattish as compared to Q1. The real growth really comes in Q3. So even overall industry volumes between Q1 and Q2, my sense is, have not increased dramatically when you take the industry as a whole. In fact, I believe one of the captives has also declared their financial results for the previous financial year for FY24. And you can see that overall growth in revenue and overall growth in volume, consequently, is unlikely to be very significant. I think the Q2-to-Q2 growth in e-commerce overall has not been sort of as significant. Q3, of course, as I mentioned, October, we've grown 30%, and I think that's a very positive sign.

I also think in Q1 and Q2, given the fact that we've had challenging weather conditions and so on, the impact of quick commerce on some of the volumes in certain categories may also have been slightly larger. So, overall, not a very big surprise that Q2 versus Q1 has remained broadly flattish. On insourcing, I think our point is very simple that the two largest players, obviously, which are Flipkart and Amazon, there hasn't been a very significant change in terms of their insourcing strategy. In any case, they've been insourcing a fairly significant percentage. My point is mainly that on the third player, in the case of bulk of the action that would have affected the third-party industry would have happened in the previous financial year. I think we've said this in the past, in this kind of a network, scaling the initial period is not very difficult but incremental scale becomes more difficult. The bulk of the impact would really have been in the Jan, Feb, March period, or Q4 of the last financial year. We don't think that it will have as significant an impact going forward.

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Sure. And Sahil, this 30% growth that we have had versus pre-festive period, how has this number generally been in the past few years? And post-Diwali, do we see a bit of a slowdown, a bit of a lull in volumes?

SAHIL BARUA:

It's been very variable over the last several years, to be honest. Last year would have been broadly almost in the same sort of range, 30% peak to non-peak period. But to be honest, when the e-commerce market was in

its infancy, these numbers used to be

as high as 50%, 60%. But we've also seen a couple of years where this has been lower than that. So I think 30%, the way I would look at it, is broadly par for the course. Has there been a slowdown after the peak period? Compared to the peak period, obviously. But broadly speaking, no, I think so far we're okay even in November. One of the things that we are obviously benefited by a little bit, and where we are seeing an improvement in our position in the market is that our overall volumes on heavier packages have actually increased even more. As I've brought up multiple times in the past, we are more or less the only carrier who can handle heavy consignments, especially among third-party carriers. It's a unique specialty of Delhivery, and that's obviously because we run the PTL business. And our heavy volumes actually have improved fairly significantly, both through right at the end of September, but also in October and November. And actually, this is a strategic capability that we're going to be pushing even more. Obviously, a large part of this in the Diwali period is for things like consumer durables, refrigerators, air conditioners, furniture, et cetera. But post

the peak, what we will continue to push on is really growth in everything that weighs more than 3 kilograms, which is really a very large sort of overall market sub-segment.

ADITYA BHARTIA:

Understood. And sorry, just one clarification. You mentioned that post-Diwali, our volumes are roughly similar to how they typically are in the pre-festive period. So, assuming roughly, let's say, 60 million of monthly sales in November, December, if I add 78 million for October, we are speaking about almost 200 million-odd volumes, which is again going to be kind of flattish year-on-year. So, are those the kind of trends that you're currently seeing, that the growth is somewhat missing because of weak consumer sentiment?

SAHIL BARUA:

I don't know, hard to say, because right now, if I look at our numbers, we're well-positioned. I think we will grow compared to the same quarter last year. Like I said, there are also a number of other conversations which have been ongoing with our Delhivery Ltd

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clients, where a lot of these conversations get consummated in this two-month period, because this is the moment when e-commerce companies really start thinking about the next calendar year, next financial year as well. Like I said, we have, our objectives are cut out, we're going to increase our share overall on heavies, we're going to increase our overall share on regional surface, we're going to increase our overall share on national air as well. So as we do these things, let's see how they play out in November, December, but if those play out well, then there is no reason why we shouldn't see growth compared to the same quarter last year.

But overall, I think, more in the e-commerce industry, you've heard this commentary from FMCG companies now already that there has been a softness in consumption. And I think we'd be foolish to think that it wouldn't affect e-commerce as well over a period of time. So I think the consumption slowdown is real, I think its impact on the e-commerce industry is real. From a Delhivery standpoint, though, I think we've been bidding our time stabilizing our operations, making sure margins are stable, capacity investments coming in line, increasing the share of PTL. And now that we have many of these factors in place, we will push the pedal on e-commerce growth as well, even if the market doesn't grow. We have that ability.

ADITYA BHARTIA:

Sure, that's helpful, Sahil. Thanks.

MODERATOR:

Thank you. In the interest of time, request all participants to please limit the number of questions to two. We'll take the next question from Gaurav Rateria. Gaurav, please go ahead.

GAURAV RATERIA:

Hey, hi. Thanks for taking my question and great execution on PTL. I have actually a couple of questions. I will just maybe state all my questions, and in respect of time, whatever you can answer, you please. The first question is on PTL margins. So I understand that capacity creation would have impacted margins in Express Parcel in 2Q, but why despite a good Q-on-Q growth rate, PTL margins have remained stable quarter-on-quarter.

The second question is on Express margins on a year-on-year basis. Is that decline primarily because last year the capacity creation investments were more around 3Q Delhivery Ltd

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and this time, it is more around 2Q? Is that a reason why the margins on a Y-o-Y basis look down for Express Parcel?

The third question is around the customer-specific impact. You sounded very confident that this has stabilized. What drives that confidence?

And the last question is that, theoretically, if Express parcel volume were to remain in sub-double-digit like a 8%-10% growth, do you think that our corporate overheads are geared to kind of handle that kind of growth? Because I understand that our corporate overheads are geared to handle much higher revenue growth. So is there a room to kind of relook at our corporate overheads, if that continues for a little bit longer? Thank you.

SAHIL BARUA:

Sure. Thanks. I'll try and do this as quickly as I can. On the PTL margins very quickly, PTL shares the network with Express Parcel and heavy as well. And so in that sense, there isn't sort of an isolated PTL margin that we report overall. So when capacity is expanded for the network, capacity is expanded overall for the entire network as a whole. And so PTL has to bear some of the costs of expanding the network for Express and heavy, right? So that's broadly the reason why PTL margins on their own have not increased. So when we expand, for example, a gateway or when we expand fleet capacity, part of that cost also gets attributed to the PTL network, given that we run a totally integrated network. Because part of this network also services heavy.

On Express Parcel margins, year-on-year, the largest impact is fundamentally, because of the capacity expansion for the peak period. Between any given set of quarters, there's always a little bit of variation that comes from client mix. But other than that, broadly speaking, the impact is largely because of this. There is also one smaller factor. It's not a very, very large factor but again, a couple of basis points it makes a difference is, if you remember, airlines had introduced a specific surcharge in the period of September and October for air freight. So that would also have had a small impact on September this year which is somewhat new, some of this we've obviously passed on to our customers downstream as well. That'll reflect in October as well. In terms of customer-specific impact, look, I think like I mentioned in the past, specifically with the third player in the space. I think the reality is Delhivery is the lowest cost player in the space and our delivery outcomes are better. That's reflected not just in our overall volumes, that's reflected in the share of the market that we command outside of the top three players as well. And we have an extremely large share of the market that is not the top three marketplaces. And so Delhivery's quality

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of service and Delhivery's cost in that sense are very, very clearly established. Given that, whether it's the two big marketplaces or Meesho in that regard, I think having Delhivery as a strong third strategic partner is in the interest of every platform. And it's not inimical to the interests of any of the three marketplaces to have a large, stable, diversified, low cost, high quality logistics

company as a partner. And so I think the

reality is nobody benefits by reducing our overall share. The second thing is that we don't have the client concentration that the other three peers in this space have. Most of them are dependent precisely on one or two clients. And so when you're dependent on only one or two clients, managing peaks becomes much harder, and especially when you only run an Express Parcel business. One of the reasons why the peaks affect us a little less than they do any other 3PL in this space is because we have the ballast of the PTL business, and the heavy business, both of which allow us to establish more stable capacities and more stable service levels. And so in that regard, like I said, there's absolutely no benefit to any of the players to really not having Delhivery as the dominant partner that they need to have outside of self-logistics. So that's what gives me confidence that there's no reason for any of them to shift out of Delhivery.

In terms of Express Parcel, if the industry remains at 8% to 10% growth, is there an opportunity to cut some amount of corporate overheads? I think that'll certainly be the case. In any case, corporate overheads are something that, if you look at it, have remained stable for nearly two years. The wages are about nearly half of that overall corporate overhead. So even with wage inflation being what it is, the reality is we've kept corporate overheads absolutely stable for two years. So we will continue to exercise the same judiciousness on corporate overheads. And of course, if it turns out that we believe that the e-commerce industry is not going to grow at all and not just the e-commerce industry, if there's any part of our business which we believe is not going to grow at the rates that we expect, we will evaluate the corporate overheads. But that's what I want to be clear, our aim is not to optimize the corporate overheads for a given size of business, it is to grow the business. So we would rather use the people that we have to go and aggressively build out the products that I'd spoken about earlier, which is the new products we're building on Express Parcel, which is expanding the reach of our PTL business, which is expanding the quality of our supply chain services business. So I think that it's not an immediate step, but it is something that we evaluate in any case on an ongoing basis.

GAURAV RATERIA:

Thank you so much for the comprehensive answer. All the best.

SAHIL BARUA:

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Thank you.

MODERATOR:

We'll take the next question from Achal Lohade. Achal, please go ahead and ask your question.

ACHAL LOHADE:

Good evening, team. Thank you for the opportunity. First, in terms of the one-time provisions, if you could elaborate a little bit in supply chain as well as the corporate overheads, the reversal what you kind of hinted.

Number two, the CapEx, how do we look at for FY25 and '26 and which areas of the business? And number three, if we exclude the insourcing part, what is the like-to-like growth year to date, if you could have that number handy? Thank you.

SAHIL BARUA:

Sure. So let me quickly just answer question number two and also answer number three and then Amit, CFO, will take over. Very quickly on like-for-like growth in, if you exclude the chaps who have captives, the interesting thing is that our SME and D2C business, in fact, the SME business volumes year-on-year are up nearly 50%. And the D2C business will be up close to about, nearly about 20% on volume, right? As I mentioned several times before, one of the other things is we also choose fairly selectively which clients we work with. So there are some clients, for example, where, Delhivery performance is 20%, 30%, where effectively we are required to act as extended sales arms, where we don't work with them. So we exclude those en-

tirely.

But in the core segments that we are bothered about, which is high quality e-commerce companies, SME, D2C, et cetera, our growth has been pretty robust, and I think we've actually gained share in this period.

On CapEx, very quickly, I'll let Amit provide you a detailed answer. But in fact, I think on CapEx overall, we are ahead of where we had expected to be in terms of CapEx as a percentage of revenue. There's been a very sharp drop in H1 overall. I think CapEx for H1 would have come in at close to about 6.6% of revenue. We expect the entire year to come in at broadly about 6.5% to 6.6%, 6.7%. And so overall, reducing the CapEx intensity of the business, we're ahead on plan overall, and we expect this to continue pretty aggressively. But I'll really let Amit talk you through more detail on both the first question and the second. Amit, please go ahead.

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AMIT AGARWAL:

Thanks. Continuing on the CapEx part, our CapEx investments continue to primarily go into the areas of tractor trailers and automation and furniture fixture, leasehold improvement inside the facilities. As we have indicated that trucking CapEx remains right now at about 2%, 2.1% of revenue, as we are in a catch-up phase to the steady state tractor trailer penetration in our network. Once that's completed by the end of this year, we should start tapering towards 1% to 1.1% of revenue as trucking CapEx in the FY26 period.

You will again see improvement in automation, plant and machinery, furniture fixtures in the next fiscal year as well. So we should be in the sub-6% range for FY26 on the CapEx. Going to the provisions aspect of Q4, there are two specific one-offs. One was in supply chain services business, where we took inventory adjustment of about Rs. 10 crores. It's a provision right now as we continue to audit our fulfillment centers and some of it we may expect to reverse in the subsequent quarters. The other part is the Rs. 21 crores reversal on account of oxygen concentrators that we had purchased during COVID time. These were imported from a foreign vendor who had entered into a contractual dispute with his back-to-back vendor, because of which we had to provision this amount. However, over the period, we were able to make progress through negotiation and legal processes and we have recovered Rs. 21 crores out of the Rs. 28 crores they owed us in October 2024. So, for the same Rs. 21 crores, provision has been reversed in Q2 of FY25. There is a Rs. 7 crores additional payment that we expect over next four to six quarters, as per our agreed plan with them.

ACHAL LOHADE:

Sure, thank you. Just a clarification, you said you received the money in October. Have I understood right?

AMIT AGARWAL:

Yes.

ACHAL LOHADE:

And that's already reflected in September quarter number, right?

AMIT AGARWAL:

Yes, the provision has been reversed, because it was only a provision.

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ACHAL LOHADE:

Understood. Thank you so much. Wish you all the best.

MODERATOR:

Thank you. We'll take the next question from Jainam Shah. Jainam, please go ahead.

JAINAM SHAH:

So, this question is firstly related to the PTL segment. We are almost second or third largest company in terms of PTL in terms of volumes, whereas our margins are still at 3% or something. So, what differentiates us in terms of margin from other players who are making, let's say, 10% plus margin? And what kind of margin we can make, let's say, 10%, 13%, 14% going forward? What volume number we can be making those margins? So, this is what related to the PTL, like it has, of course, progressed well from a negative 20% to positive 3%. But going forward, what could be the trajectory? And second question would be on the e-commerce slowdown. What could be your view? Is this quick commerce imp

acting the e-commerce or is it overall consumption

slowdown? Or going forward also, let's take it from next two to three years angle, is it quick commerce becoming, you can say, a substitute for the e-commerce and which can eventually impact us going forward as well?

SAHIL BARUA:

Sure. On PTL margin trajectory, I think, look, first of all, I think you've already pointed it out. There's been an absolutely sequential and continuous improvement in the overall margins of the PTL business from negative 20% to positive 3%, which is where we are right now. As I mentioned in the past, the difference between us and other players in this industry is our appetite for growth. We've grown 27% year-on-year in revenue terms and 23% in terms of volumes. I think if you added up the rest of the listed players in the PTL space, broadly speaking, while I don't remember the exact numbers, but growth would be fairly close to zero overall for everyone put together. And I think that's the difference. So were we to absolutely constrain the PTL network to say we don't wish to do any tonnage larger than 425,000 tons, reflecting the margins would not necessarily be very difficult. We would just have to downsize freight service stations, downside hubs, and so on. That said, as I mentioned this before, I think India is a market where there's massive amount of spends by enterprises across the board on freight. And as markets mature, the reality is that a part of the market does shift towards Express part truckload freight. Our belief is that any company that's not

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investing in building capacity for India's growth in freight volumes is actually not making the right decision. It is the only way for costs to ultimately reduce for overall supply chains in India to be optimized correctly. So we will continue to invest for growth in the PTL business. The margins in the PTL business will continue to expand as overall volumes go up, obviously, because the incremental growth in capacity is not that large. We do think that PTL margins will mirror the Express Parcel margins as the business continues to mature. We've already gone from minus 20% to plus 3% in a fairly short period of time. And we think as volumes go up, we will go from plus 3% to the plus 16%, plus 17% sort of range that we have in Express Parcel as well. The other interesting thing, of course, in PTL, unlike in Express Parcel, is that the dynamics of the market are fundamentally different. In the Express industry, the reality is that part of the reason why, if you look at the overall profitability for the Express industry, it's negative. Delhivery, while we are profitable, and significantly so on the Express Parcel side, even if you include the captives, as I mentioned, one of the captives has released their financial results for FY 24, which shows a 5x increase in loss. And when you include all of the captives and you include even the other third-party players, the net profitability is likely to be barely zero or negative for all of them put together. The reality in the Express industry is that there are too many players. In the PTL space, of course, the difference is that there are too few players. The market

remains highly unorganized. The total organized players in this space, Safexpress, Delhivery, VRL, Gati, we all have the ability to grow into this market while continuing to increase margins, all of us, not just Delhivery alone. So I think that's going to be our strategy. I think we will get to the Express level margins as the business grows. Now, whether it takes us exactly three quarters or four or five quarters, that will depend on how volumes come in.

In terms of quick commerce and its impact on e-commerce, I've said this in the past. I know this isn't necessarily the most popular opinion. But the reality is that quick commerce

is impacting kirana. The reality is that its impact on e-commerce is not as large as its impact is broadly on the larger retail ecosystem. When somebody is buying vegetables or fruits or buying a pack of cigarettes online using a quick commerce app, that's not something they're buying on Flipkart or on Amazon, or on for that matter, Meesho, where they're buying plastic products and home improvement products and so on. So fundamental SKUs are also different to a large extent across the broader world of e-commerce and quick commerce. I think there will be in a few cases, there will be marginal impact on e-commerce. Certainly, in the beauty and personal care space, there will be a demand for some products, certainly. Contact-lens solution, for example, is that something that should come to you via quick commerce application? Why not? But if you say 20,000 SKUs of BPC, can you reliably do it through quick Delhivery Ltd

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commerce? The answer is no. And I think the reality is it's also getting slowly recognized by the quick commerce firms. Because if you go from 15-minute delivery to four-hour delivery, saying that we want to do a bigger range of SKUs and larger warehouses, you are essentially reverse engineering a warehouse. So it's not quick commerce anymore. One more step and you're reinventing an Amazon fulfillment center, which already exists and is highly efficient. So I'm not sure that the impact of quick commerce on e-commerce will be as significant. I think even as quick commerce expands its total number of SKUs, it's going to look a lot like e-commerce. And in e-commerce, the advantage is that the existing players have large entrenched advantages as well. So I think it will be interesting to see how that plays out. We're not particularly worried. And from our standpoint, look, irrespective of what happens, we will launch a third-party quick commerce service in any case. Obviously, not to do something like 15 and 20-minute delivery, because we don't believe that that's necessary for all categories of products, but we will launch a third-party service. We are in the process of piloting the launch of this in Bangalore with one of our key BPC partners. And the advantage with us, obviously, is that we not only service their quick commerce requirements, we service their overall requirements, pan-India. And not just for B2C, but in this case, even for B2B. And so there's a lot of logic for companies in this space to partner with Delhivery to solve their problems for national e-commerce shipping, national B2B shipping, air shipping and quick commerce. And so irrespective of this, we will launch our service. The only part that we will not play in, obviously, is 15-minute deliveries of cigarettes or 15-minute deliveries of food and so on, the highly low AOV kind of segment in this market.

JAINAM SHAH:

Got it, sir. Thanks for the elaborate answer. Just a follow-up on the first question. Of course, we are having a very strong growth in the PTL segment, where the rest of the players have struggled. Wanted your view on the pricing of ours as compared to the competitors, and there have been few price increases taken by the competitors. Is it eventually leading to our volume growth, or we are also planning some price increase in terms of like while reaching from 3% to 15%-16%? Are we factoring any pricing, or it is just, you can say, more of a capacity utilization and eventually leading to better margins?

SAHIL BARUA:

So Jainam, it's interesting that you point it out. So yes, some of our competitors have passed price increases in the PTL space. We also have passed some price increases in some parts of the PTL space where we felt that we were underpriced. But broadly Delhivery Ltd

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speaking, we price at the same levels as the market

. So, Safexpress obviously is larger than us, they are an excellent benchmark in this industry and large, well known and stable competitor. And so we typically, we'll benchmark ourselves versus them or versus other players in the market. If you look at it, our yield has also gone up over a period of time. In fact, I think our Q2 yield will be nearly Rs. 11 overall. And when we began this journey, our PTL yields were closer to the Rs. 10 sort of benchmark. So over a period of time, our commercial discipline has improved. Over a period of time, the quality of our service has allowed us to go to clients and essentially have a slightly higher premium price compared to the other players, especially the unorganized players who they work with. But the interesting thing is when I was talking about the 15%, 16% service EBITDA margins that we think PTL can make, that does not include yield improvements. So, if we were to improve yields going forward, and we will continue to do it tactically, that will be in addition to the 15%, 16% that I've already forecast.

JAINAM SHAH:

Got it, sir. Thank you very much, sir.

MODERATOR:

Thank you. We'll take the next question from Sachin Dixit. Sachin, please go ahead.

SACHIN DIXIT:

Yeah. Hi, Sahil. Thanks for the opportunity. My first question is with regards to the plans for third-party quick commerce services. I remember a couple of quarters back, you did highlight that you will be opening shared warehouses for people to ship quickly. Is this on top of it? Can you elaborate a bit more on this plan?

SAHIL BARUA:

Yes, so the plan is very simple. We are going to open these third-party warehouses. This will be powered by Delhivery's warehouse management system, which we use already in our fulfillment centers that we run for e-commerce and B2B. And this will be linked directly to our transportation network. Our WMS is already synced with our transportation network. So these will be smaller in-city warehouses. Typically, we expect the sizes of these warehouses to be somewhere between about 2,500 square feet at the smallest end to about 5,000 square feet at the upper end. Broadly speaking, this will, to begin with, be probably about a six to seven city operation. We are beginning with the city of Bangalore, because that's obviously the mecca of quick Delhivery Ltd

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commerce in some senses. And then we will launch obviously NCR region as well, but even selectively within NCR. The idea is very simple. If you're an e-commerce company that wants to provide a rapid commerce service to your customers, essentially Delhivery's WMS is giving you, first of all, real-time visibility of your inventory and its location, which allows you to display this on your website, pointing out which SKUs are available for a rapid commerce or a quick commerce delivery option in real time. Consumers can obviously then choose to buy this on your website, and then we will facilitate the delivery. Our anticipation given the radii that we have currently planned is that even with reasonable order aggregation, which will allow us to keep the costs of delivery fairly low, we should be able to deliver all of these orders within the fastest end, probably about an hour, and at the slowest end, the plan will be to deliver within four hours, which I think meets the requirements of all of our clients. And the idea is that you share this inventory. I don't think any e-commerce company in India has sort of the order density or even the necessity really to go and set up a fully self-owned quick commerce network. It doesn't make sense. Also, this is a very dynamic space, so, selecting which SKUs, the quantities of the SKUs to place in a variety of locations, managing that versus your B2B, versus your traditional e-commerce operations, et cetera, is fairly complicated. So the idea is that we go to

absolutely everybody and say, look, you can share this in-city infrastructure. Let me be honest, it's not vastly different from what we do in any case with our e-commerce fulfillment services. We have a number of e-commerce companies for whom we provide essentially a white-labeled Amazon Prime kind of service, where effectively they can store inventory with us in deep reserve fulfillment centers, and then from there, we do local and national delivery for them. This is just a scaled-down version of that at a city level.

SACHIN DIXIT:

Fair enough. My second question is on the line of basically what we saw in terms of service EBITDA margin dip in Express Parcel. My question largely is basically, we have been obviously investing into automation, into building capacity across the board

since inception, but largely over the last four quarters, we have expanded capacity. But if you look at H1, our volume growths are only 1%-odd. Is it the reason for this dip could be a lack of capacity utilization or basically de-utilization?

SAHIL BARUA:

No, and I think if you look at it, the incremental investments that we have made from a capacity standpoint have been indexed more to the growth of the PTL business and to some extent the growth of our volumes in heavies. Actually speaking, the

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incremental investments on the parcel side have been very small, because the reality is we already have these mega gateways and our sortation centers have been there. So we've been able to sort of not have to invest huge amounts of capital in retooling or expanding the parcel network. But we are at this point supporting already 27% revenue growth year-on-year in the PTL business. And we have seen significant growth in the heavy business also year-on-year, which is where we need to make these capacity investments. And that's sort of where the investment has gone, not so much on the parcel side. On the parcel side, the change in margin between Q1 and Q2, as I'd mentioned, one is obviously because of the fact that the peak season this time is closer to the end of Q2. In fact, the peak season began on September 26th, which means we had to start taking up capacities a little earlier. And this is anyway typically the season in which not just Delhivery, but every 3PL and even the captives typically will invest and bring a reasonable amount of capacity online. So some amount of dip from Q1 to Q2 is anticipated, it is expected. In this case, the delta Q2-on-Q2 year-on-year is largely because of the fact that the peak this time is closer to, has started in September. But structurally, I just want to re-emphasize, there is no change in the structural expected margins of the Express Parcel business. Last year, we made between I think at the lowest end 16% and at the higher end 20.6% service EBITDA. We don't think that structurally those margins will change in this year. For the first two quarters, they already haven't. Q3, we have a reasonable line of sight in any case. So we don't see any reason for that to structurally change. And like I mentioned, we do this in a world where blended yields are at Rs. 70 and parcel yields are what they are. So despite an environment which is price competitive, despite an environment which is challenging for most 3PLs, Delhivery continues to make 17% service EBITDA margins on the Express business.

SACHIN DIXIT:

Right. The reason why I asked that question, right, obviously, we have been highlighting since IPO that 50% to 60% incremental gross margins we see on transport business. This is probably the first quarter that we are seeing that not happening, right? If I look at Y-o-Y, our revenues have improved, but our incremental gross margins looks much lower. That's why I was asking the question.

SAHIL BARUA:

Understood. Thank you.

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We'll take the next question from Manjeet Buaria. Manjeet, please go ahead.

MANJEET BUARIA:

Thank you. Sahil, I had three questions all on Part Truckload business. First was if you could just explain if our Part Truckload business is different in any way, fundamentally from what a Gati or a TCI Express or a Safex does. And where I'm coming from is I think these guys have lot of branches in many cities. I'm not sure whether we operate on the same model. So, just a basic question there.

Second question on PTL was how much of our PTL volume is mandated to be on an express sort of mandate versus how much of our PTL volume is just normal PTL today, where the customer doesn't really care about the timeline to be express?

And the final one was, our PTL business, can we start giving service level data on on-time delivery and cargo claim ratio? So, just helps us appreciate the point you have been making. Thank you.

SAHIL BARUA:

Got it. Understood. All very good questions. On the PTL business, your first question is how are we different from most of the other players in this space? I think the

business, and there's no shame in admitting this, I think the business that we look up to the most in India as sort of an absolutely gold standard PTL business is Safexpress. And our first ambition as Delhivery is at the bare minimum to be able to do what Safexpress does. When you have a competitor which is so high quality, why would you not want to do exactly what they do? And therefore, in that sense, if your question is, are we different from Safexpress fundamentally? Yes, we have operational differences in terms of how we orchestrate the network, our infrastructure may look different, but we are both high quality service providers to the PTL industry. We are both high quality Express service providers to the PTL industry. And we would certainly love to, I mean, who wouldn't want to build Safexpress? But in terms of how we're different from the rest of the industry, my only simple answer would be, Safexpress and Delhivery are high quality players in the space. We are fundamentally different because we are invested in delivering a high quality express experience to all of our customers. And I think that's just a fundamental philosophical difference, and therefore, a fundamental operational difference and a fundamental execution difference between us and everybody else in this space. The branch models vary widely, even among the players that you'd mentioned, actually. Our branch model, of course, is different from Safexpress as well, but also different

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from Gati, different from VRL, and so on. Fundamentally, we operate fewer branches. Our total number of freight service stations is only 120 across the country. For everything that doesn't go through a freight service station, the advantage is that we are able to utilize our DC network, which we use for e-commerce. And so that allows us to have a significantly more expanded reach on a directly served network versus a franchise served network. And we are able to cross-utilize resources between our PTL and our Express Parcel networks. So that's at a very high level, the difference. And of course, there are a number of differences in terms of sort of how we orchestrate and route within the network, the overall interfaces, the fact that we're integrated with the heavy network. But I won't get into that today. Let me put it this way, your question, are we different from other players in this industry? Operationally, yes. From a technology standpoint, yes. Obviously, from a growth standpoint, it's quite visible. From a margin standpoint, I don't think over a period of time, we will be lagging the industry. We expect to be differentiated in a positive fashion with higher margins. We would love to be

Safexpress as the first ambition, and then hopefully, everything going well, outgrowing them. The rest of the industry, frankly, I don't think you can compare. These are apples and oranges.

On PTL volume, you said, how many customers choose Express versus normal. On a very light note, I've never met a customer who wants their product slower. So, all customers want their products to be treated as Express products, really. And that's part of the reason why Delhivery has grown 27% a year, which is that increasingly companies are coming to players like us and saying, we want inventory to reach its destination faster. It doesn't matter what you make. In what world would you want it to reach its destination slower? And especially if Delhivery, and Safexpress, for that matter, are able to deliver it for you at a faster speed and at a lower cost, which is broadly comparable to what you pay for slower delivery, why would you not want it? The fact in India is very simple, which is it is possible to deliver higher quality of service at the same cost that low quality players operate at. And that's really the market that Delhivery, and not just Delhivery, Delhivery and Safexpress are both clearly going after. And obviously, in our case, it's reflected in the numbers and the growth which is 27%. And apart from that, also in the fact that our yield has also gone up over this period. So over a period of time, I don't think a market for poor quality, cheap logistics in India is going to remain at all. So all customers are going to say, we want express delivery effectively. And because the only way to deliver slower delivery is to drive your truck more slowly. But it's not clear why you would do that. The last piece is on service level data, as well as on cargo claims. I think this is a fair point. We will look at whether we can actually provide cargo claim data. Overall, what I can tell you is that claim ratios for us have reduced consistently. We had peaked in terms

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of claim ratios during the Spoton integration, which was a long time back, two years

back. We continue to see quarter-on-quarter improvements in overall claims. We'll see if we can start publishing that data.

In terms of service levels, while I'm always very happy to provide service levels, our on-time delivery performance on freight typically tends to be in the sort 89% to 93% range on Delhivery's defined speeds. So, I do want to be clear that Delhivery's defined speeds are often, across the industry, faster than the defined speeds that other players provide between two points. And so, in some senses, even if we were to provide the data, it wouldn't be exactly comparable. On our internal expectations that we provide to clients, we typically are in the 89% to 93% range. There's a significant variation, of course, that happens week-on-week, because typically in the PTL industry, volumes are highest in the fourth week or the last week of the month. And so service levels tend to dip right at the end of the last week and at the start of the first week. But otherwise, we remain broadly in this range.

MANJEET BUARIA:

Got it. Sir, just one follow-up question was, when you say you and Safex do high-quality experience for the customers, what are the quantitative KPIs you track for that?

SAHIL BARUA:

Well, one you've already referred to, I mean, I've referred to both, really. One is obviously delivery speed, and the other is defects or claims, effectively delivering on-time and in-full.

And the other one, of course, that I tangentially refer to, but is important for customers is reach. See, a lot of PTL networks, the reality is that the core reach of their network on the self-managed network is fairly small. The core reach will typically be 3,000 pin codes, 4,000 pin codes, 5,000 pin codes. And everything else will be classified as

what

is in the industry parlance called ODA, which is an out-of-delivery area sort of delivery and then you charge a premium for it. Whereas in Delhivery's case, because we have the DC network, practically all of the 18,775 pin codes that we serve for Express Parcel are a direct serve non-ODA network. So customers look at reach as well. So reach, speed, and quality.

MANJEET BUARIA:

Got it. Thank you so much.

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MODERATOR.

Thank you. We'll take the next question from Vineet Manek. Vineet, please go ahead.

VINEET MANEK:

Yes. Hi, Sahil. Thank you for the opportunity. Just two questions from my side. One is on the Express Parcel segment. So the way we look at the industry currently, especially from the captive perspective is the 90:10 ratio versus the insourcing and the outsourcing. So over the next two years, do you feel that this ratio can materially start changing because of the cost per parcel to them versus us, especially on the e-commerce parcel side? Or they have built a capacity and they would not like to change this insourcing versus outsourcing ratio?

And largely, my second question is on the last-mile side of the delivery. So just like the models of the quick commerce evolving very fast for many of the players, do you think that this can be one of the challenges in terms of the availability of the labor or maybe the cost per parcel of the labor going forward over the next few quarters or maybe in the next one or two years?

SAHIL BARUA

Yes, let me start with the second. Obviously, there's no question that the labor market in India is challenging. There's no question that the labor market in India has tightened over the last couple of years. It's become harder to find people to deliver not just e-commerce packages, but pretty much anything. And obviously, road conditions being what they are, weather conditions being more variable, this is a job that over a period of time has become more difficult. I think from our standpoint, we have long taken this view. We do not treat the workers who work with us as gig workers. We pay more than a fair wage, which is indexed very clearly to the cost of living in every city that we operate in. And our aim is to make sure that we have a certain minimum base of full-time employees as well who deliver on our behalf. It's the best way to make sure that you have a really steady, reliable capacity at all times. So despite labor conditions being challenging, you can see that overall our economics are quite favorable. I do anticipate, though, that the labor situation will continue to remain challenging. The good thing for us, as I've mentioned, is that whether there's a regulatory change on gig

worker rights, et cetera, those things are going to have very limited impact on Delhivery, if any at all, because we're already ahead of the curve on this. In terms of the captive ratio, it's hard for me to comment on whether they will change the 90:10 ratio to anything, because well, one, obviously, I can't comment on what Delhivery Ltd

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somebody else's strategy is or should be. But what I can tell you is that, look, like I mentioned, the financial results are out for one of them. The burn is significantly higher than it was in the previous financial year. Now, it's hard for me to say anything. At the end of the day, if a company is not going to be financially motivated, it's hard to prescribe exactly what its future path is going to be. All I can tell you overall is that I don't think things will get much worse in the 90:10 as far as third-party logistics is concerned, because I think you do need to have a strong partner, given variabilities in your own network. It's inevitable. At any point in time, your network could be affected by weather. It could be affected by local issues.

It could be just a pure operational mismanagement issue. And therefore, having a strong partner who can work with you on a reliable basis is important. And I think no matter what their individual strategies, all of the players within captive logistics have realized that Delhivery is that partner. And they reward us for our high quality service and also for the benefits we have in terms of pricing. My view, of course, personally, is that the right ratio is not 90:10, but significantly different. I think everybody in the industry, especially the two biggest marketplaces, save very, very large amounts of money by outsourcing. Even relatively speaking, even if you go from 90:10 to even 80:20, I think the reality is that both of the large marketplaces in India will save very, very significant amounts of money that is ultimately in the best interest of both of their shareholders, right? But until such time as they're not completely financially motivated, I don't know whether things will change or not. I think it's a good idea. It saves everybody money. It makes the entire Indian logistics ecosystem significantly more efficient. We are the lowest cost player. We are the highest quality player in this space. And I think at some point, sense will prevail. What point that is, it's hard for me to predict. And at that point, I think we'll do very well.

VINEET MANEK:

Got it. And for the heavy goods, as we have highlighted that we have a significant share with the top two e-commerce players. So is the ratio very different, especially in terms of the heavy goods supply, or even that stays the same, like a 90:10 kind of a ratio for the largest two e-commerce companies?

SAHIL BARUA:

No, it's very different, actually. It's not the same 90:10 ratio that is there. This, you have to break up actually by subcategory also, because it varies a lot. Everything heavy, for example, is everything that weighs over 5 kgs. Now, something that weighs 5 kg, as an example, the ratio of outsourcing instead of 90:10, maybe something like 80:20. But by the time you're getting to the really heavy stuff, bicycles, gym kits, Delhivery Ltd

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ladders, mattresses, home appliances like refrigerators or washing machines, and so on, that ratio could be vastly different there. And it's also very geography-specific. The ratio, for example, in the metros for some of these heaviest categories may be, let's say, 60:40, 70:30. But by the time you're getting out of the metros, those ratios may be where actually the third-party player, which is us in this case, will actually have a higher share than the in-house logistics arm. And that's where the integration of the PTL and the heavy network makes a very, very big difference overall. We're the only player who has the ability to offer that service, reliably pan-India.

VINEET MANEK:

Got it, got it. Thank you for patiently answering the question.

MODERATOR:

Thank you. We'll take the next question from Anshul Agarwal. Anshul, please go ahead.

ANSHUL AGARWAL:

Hi, thank you for the opportunity. Sahil, my question is with regards to the explanation that you gave for the third-party service that we'll be providing, that we are currently in the pilot mode. Do you think that structurally, the distance traveled for a parcel on

our network will sort of reduce, given the fact that our customers would want their customers to get everything quicker?

SAHIL BARUA:

Are you asking about the entire Delhivery network aggregated?

ANSHUL AGARWAL:

Yes, generally, e-commerce guys also wanting to get their products delivered quicker. Would supply chain sort of build out a network in such a kind that the transport aspect of the whole parcel ecosystem reduces, the kilometers that a parcel travel reduces?

SAHIL BARUA:

That is a hugely complicated question. Let me do my best to try to answer this a

s

simply as I can. You'll have to, again, break this into subsegments of users. Certainly, what will happen, as an example, for the biggest metro cities is that there will be an overall reduction in distance. There's no question, because in-city warehouses will

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reduce the distance traveled by packages for a small fraction of them, compared to delivering from a distant fulfillment center.

So if I take the city of Bombay as an example, instead of delivering from Bhiwandi to somebody who lives, let's say, in Mahim, you may actually deliver it from a smaller warehouse which is, I don't know, let's say it's in Khar or in Andheri or somewhere. So obviously, that change will happen. But that said, I do want you to bear in mind that supply and demand both have to be influenced for distance to reduce. If you want to buy a sari which is made by a guy in Surat, and you happen to live in Agartala, quick commerce is not going to reduce the distance that parcel has to travel. The second thing also is that you have to look at where incremental consumer growth is going to happen. The reality is that the largest cities in India already are fairly penetrated from a consumer standpoint. The reality is that if Indian e-commerce is to accelerate its growth, e-commerce has to penetrate far beyond the top 8 or 10 cities. You have to be in the next 1,000 cities. And as consumer growth in all of those cities goes up, the only way to really reduce distance traveled per shipment is to actually go back to the classic e-commerce model of forward fulfillment with deep reserve warehouses, which is something that Delhivery already offers. So, if you're an e-commerce company, as an example today, you can warehouse with us on a variable cost basis in four different regions instead of actually servicing everything out of, let's say, a Delhi or a Bombay or a Bangalore. And that's how you reduce distance. So I don't think structurally quick commerce on its own is vastly going to reduce the distance traveled by a package. For some categories in some cities, it might. But the real reduction in distance will come as demand in Tier 1, Tier 2, Tier 3 cities, semi-urban, even parts of rural, starts increasing, and as the fulfillment network goes forward into all of these locations.

ANSHUL AGARWAL:

Clear, Sahil. Just a follow-up on this. So if demand for e-commerce becomes more democratized, maybe because of quick commerce or just generally otherwise, distance traveled for a parcel might reduce on our network. Would that be a correct conclusion?

SAHIL BARUA:

Overall, over the long arc of time, distance traveled per parcel will reduce anyway.

ANSHUL AGARWAL:

Got it. Thank you so much.

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MODERATOR:

Thank you. We'll take the next question from Shrinidhi Karlekar. Shrinidhi, please go ahead.

SHRINIDHI KARLEKAR.

Okay. Yes, Sahil. Yes. Thank you for the opportunity. So, Sahil, you alluded to four or five very company-specific initiatives to drive up growth, particularly with the aim of gaining some shares. Would it be possible to elaborate a couple of them, which will you think are material and can have a higher impact on the growth? And also exactly what services you are offering and what are opportunities out there? Yeah.

SAHIL BARUA:

Yes. So fundamentally, these are, like I said, a couple of things. One is we will be

expanding our regional surface NDD product with better cut-offs, which means, let's say you want to deliver out of Delhi and you want to deliver to, let's say, Hisar or you want to deliver to somewhere just outside Jaipur or so on. Today, we will be increasing the speed of that delivery operation.

And the second is, so far, we have been a smaller participant overall pan-India on the air express segment. So we will, to

a small degree, expand our air express product.

We've largely been flying, for instance, mainly on non-prime flights. We will also expand to flying on prime flights, because I think there's a certain amount of demand for certain categories where people want products between, let's say, Delhi and Bombay next day, ordered in the evening, delivered in the day and the next day and so on. So that's the product that we will launch. That's one. The second is I've already spoken about is the product that we're piloting in Bangalore, which is the third-party intra-city rapid delivery product.

The third, obviously, is fundamentally the data products that sit on Delhivery One, which is a way for e-commerce companies, obviously, the ones which care about these metrics to reduce return rates, for example, or to disambiguate addresses, and therefore, improve chances of delivery, thereby preventing reattempts. And the advantage is that these are services that Delhivery has built out for internal use. So we're really just externalizing them. And obviously, on the freight side, as well as on the parcel side, launching what is effectively a secure product or think of it as an insurance product.

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And the fourth, as I mentioned, is really expanding Delhivery's offline reach as well, which is really expanding the Delhivery franchise program. So far, our approach has always been really that e-commerce companies will discover us and will ship via Delhivery One and so on. And we have an online product, but we've discovered that there are very large numbers of small businesses across the country, who don't necessarily want to interact with the logistics company via this form of an interface. While we do have the Delhivery direct app, and there are many ways for them to approach Delhivery, some of them really want to have the neighborhood store, which has the ability to route into the country's largest courier, which is us. And so we will open up this program as well. So hopefully, you'll start seeing Delhivery around your neighborhood a lot more than you have so far. And we've pretty high hopes that that will enable SMEs and even individual consumers, to a large extent, to route their shipping needs and even some of the freight needs into the delivery network.

SHRINIDHI KARLEKAR:

Right. And also, you said something on the 3PL side as well, right, passing on some efficiencies, what you are exactly referring to there?

SAHIL BARUA:

3PL side? Apologies.

SHRINIDHI KARLEKAR:

Yes. So one of the initiatives you highlighted in earlier comments was like, some of the efficiency that you are gaining, you aim to pass on to some of your customers for a higher growth.

SAHIL BARUA:

No, no, sorry. I meant that in the PTL business, first of all, even without doing any of these things, we anticipate that the margins in the PTL business will continue to improve and we'll eventually get to the margins that we have in the Express Parcel business. But the advantage that we have is because we use more efficient form factors for delivery and because of the automation that we have in our key hubs, over a period of time at that stage, we anticipate that we should have a lower cost structure than other players in this industry. And if we discover those advantages, then we will have the ability to pass on some of those benefits back to our customers in the PTL space.

SHRINIDHI KARLEKAR:

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Understood. And Sahil, last question, if I may, so you do talk about some of the inefficiencies having own captive network for e-commerce companies, but are you seeing in some of the cases where the realization, like for example, in heavy, are these guys realizing that maybe it's best to be outsourced on a selective product category or

route basis? Is that k

ind of realization coming through or they 're still looking at overall picture only?

SAHIL BARUA:

Oh, it is starting to come th rough. And by the way, it's an in teresting question that you ask. It is not just in heavy a nd not just in specific categor ies in heavy. So we are having this conversation, not just w ith obviously the two large marketplaces, but in general, even players who have historically relied on other unorganized thir d-party players to do the heavy category, we're disc overing that these categories they want to outsource to us entirely. One good example, for exam ple, is furniture, where we have a disproportionate share overall of the amount of furniture delivered across the country. The other interesting one is a lot of bicycles were bought in this period, mattresses, the heavy form of home category, again, is something that comes to us a lot. And interestingly, once we enter this category, th e interesting thing is that we not only have the ability to provide huge efficiency and service to the marketplaces, but even to existing offline players in this space, whic h is where it starts becoming interesting. We're suddenly the logistics partner of choice, and we can go and have an unreasonable right to win with all mattress co mpanies in India, because of the service that we provide. So yes, we are seeing th at this sense is dawning. And I think over a period of time, for the captives to really rea lize cost benefits, this is the approach that we think they will take and they should take, which is to slowly identify which categories really do not fit within the captiv e network properly a nd to start outsourcing those en masse to Delhivery a nd to other players, perhaps.

SHRINIDHI KARLEKAR:

Okay.

MODERATOR:

We'll take the last question from Abhise k Banerjee. Abhishek, please go ahead.

ABHISEK BANERJEE:

Yeah, Sahil, just one questi on. With regards to, say, the ra pid logistics, intra-city logistics that you spoke about, that there is a competitor wh ich kind of claims that it Delhivery Ltd

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was, the network was built to handle that kind of a business, right? So what do you see as your right to win in that space?

SAHIL BARUA:

Sorry, I'm not sure I understand. You're sa ying that somebody has told you that their network is purpose-built to deliver four-hour delivery?

ABHISEK BANERJEE:

No, as in, they started off with quicker deliveries. Yes, one of your competitors.

SAHIL BARUA:

But what does that mean? We've always done same-day deliv ery. If you have a delivery station in Dwarka, and you have a customer in Dwarka today, even Delhivery will likely deliver that order in 15 minutes.

ABHISEK BANERJEE:

Okay.

SAHIL BARUA:

I think that claim is bogus. Th ere's absolutely no sort of difference. There's no specific sort of network design that is required to make sure that you can do a more rapid delivery. It's an absolutely outlandish claim.

ABHISEK BANERJEE:

Okay. Fair.

SAHIL BARUA:

Delhivery's right to win, to be very clear, is that we are the largest logistics company in the country. We have delivery stations wh ich are within two a nd a half kilometers of every consumer in every urban area in the country. A nd we have 50,000 bikers. So it's not a question of a speci fic network. I think this is, yes, there's no way.

ABHISEK BANERJEE:

Okay, fair enough. Also, to Amit, why have you taken the reversal into the other expenses and not as an exceptional item?

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AMIT AGARWAL:

Because it was charged to the other expenses when we made the provision. That is where we have reversed it from.

ABHISEK BANERJEE:

Got it. And the working capital reduction that we have seen in this quarter, is that something you believe will continue, the 22 days odd which we are seeing now? Or do you expect it to revert back to a higher

level?

AMIT AGARWAL:

So, I think exactly about a year ago, I had indicated that we will be able to reduce the working capital day by one to two days every year for the next two-three years, and we have been able to achieve that. The difference that you see in March that it increased, is due to seasonally high quarter-end for one of our consumer durable clients, where we ended up inbounding a lot of stuff and outbounding as well. So there is a very large revenue buildup that happens within the 15 days of March, because of which the receivables increase and payables decrease, because FTL placements are done as prepaid. So that's the primary reason. We expect to see this number to continue to improve by a day to two days every year. In both Express and PTL, we are very close to our steady-state working capital. There is not much room to improve. But in other businesses, supply chain services, FTL and cross-border, there is room to improve for us, which should result in one to two days reduction per year.

ABHISEK BANERJEE:

Understood, sir. And just one final question to Sahil again. So during the earlier part of the call, you kind of mentioned that most probably most of the disruption with regards to insourcing is behind us. In that case, is it fair to assume that your earlier guidance of 15% to 20% kind of revenue growth in Express Parcel can be achieved from H2 onwards or would you rather not go back to that?

SAHIL BARUA:

I think, look, it's hard to comment, because it will also depend on what happens to the market overall, et cetera. So I don't really know. And while certainly, I think that the bulk of the insourcing sort of problem is behind us, people make jerky moves. I don't think that it makes sense. I don't think it will happen. I think there's a nice equilibrium

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that we have all reached. So let's see. I'll have more information every quarter as we do these calls.

ABHISEK BANERJEE:

Fair enough. Thank you so much. Thanks.

SAHIL BARUA:

Thank you.

MODERATOR:

Thank you, everyone. That was the last question. Before we end, on behalf of Macquarie, I would like to thank Delhivery for the opportunity to host this earnings call. Over to you, Sahil, for any closing remarks.

SAHIL BARUA:

Thank you, Baiju. Thank you, Sheryl. Thank you to Macquarie for hosting us this evening. And thank you all for joining the call.

Call: Feb 2025

Date: February 13, 2025
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
India

Scrip Code: 543529 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
India

Symbol: DELHIVERY

Sub: Transcript of Earnings Conference Call pertaining to the Unaudited Financial Results for the quarter and nine months ended December 31, 2024

Dear Sir,

This is in continuation to our earlier letter dated February 07, 2025, regarding audio recording of the Earnings Conference Call held on February 07, 2025, at 06:00 P.M. (IST) on the performance of the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended December 31, 2024.

Please find attached herewith the transcript of the above investor and analyst call.

The above disclosure is also being uploaded on the website of the Company at www.delhivery.com

You are requested to take the same on your record.

Thank you.

Yours sincerely,
For Delhivery Limited

Madhulika Rawat
Company Secretary & Compliance Officer
Membership No: F 8765

Encl: As above

Delhivery Ltd
Q3 FY25 Earnings Call- Hosted by Macquarie
Feb 7, 2025

Delhivery Limited Q3 FY25 Earnings Conference
Call
Feb 7, 2025

Management : MR. SAHIL BARUA, MD & CHIEF EXECUTIVE OFFICER
MR. AMIT AGARWAL, CHIEF FINANCIAL OFFICER
MR. AJITH PAI, CHIEF OPERATING OFFICER
MR. VIVEK PABARI, HEAD - INVESTOR RELATIONS
Moderators : MR. BAIJU JOSHI, MACQUARIE CAPITAL

Delhivery Ltd
Q3 FY25 Earnings Call- Hosted by Macquarie
Feb 7, 2025

MODERATOR:

Hi. Good evening, everyone. Welcome to Q3 FY25 Earnings Call of Delhivery

Limited hosted by Macquarie. Before we start, Delhivery would like to point out that some of the statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this call is meant for investors and analysts only. If there are representatives from the media, they are requested to kindly drop off this call immediately.

To discuss the results, I am pleased to welcome Mr. Sahil Barua, MD and CEO; Mr. Amit Agarwal, CFO; Mr. Ajith Pai, COO; and Mr. Vivek Pabari, Head of Investor Relations at Delhivery. As a reminder all participants line will be in listen only mode and participants can use the raise hand feature to ask any question post the opening remarks. And now I invite Mr. Sahil Barua to take us through the key highlights of the quarter post which we'll open up for Q&A. Thank you and over to you, Sahil.

SAHIL BARUA

Thank you, Baiju. Thank you, Macquarie team for hosting us this evening and thank you all for joining us on this Friday evening for discussion on our Q3 results. Before I begin, you must have seen the news already. I'd like to place on record a warm welcome to the two new independent directors on the Board of Delhivery, Mr. Sameer Mehta from Boat and Ms. Namita Thapar from Emcure Pharmaceuticals. And an announcement that Ms. Mani Venkatesh will be joining us as Chief Business Officer of Delhivery from the 1st of March. We're very excited to have all of them onboard.

With that getting into results for Q3. Broadly speaking, as you're aware, this is the peak quarter for e-commerce given the festive season. It's been a good quarter for us overall. The trend of profitability for the company which we began in Q1 and Q2 has continued into Q3 despite some headwinds in the industry overall and continued muted growth in online commerce volumes.

In terms of a quick snapshot of numbers, we closed Q3 FY25 at Rs. 2,378 crores of revenue from the services, which represents a growth of 8.6% quarter-on-quarter and a growth of 8.4% from the same quarter last year. We delivered 206 million packages in our Express e-commerce parcel delivery business and 242 million

including return parcels, which represents a quarter-on-quarter growth of 11.2% and year-on-year growth of 2.4%.

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Our Part Truckload business continued to be strong through Q3 which typically is not a peak quarter for the PTL business. We delivered 412,000 tons of freight in Q3 FY25, which represents nearly a 17% growth YoY and a slight decline of 3% quarter-on-quarter. Overall EBITDA for the company stood at Rs. 102 crores or at 4.3% in Q3 FY25, broadly flat versus Q3 FY24. PAT margin came in at Rs. 25 crores in Q3 FY25 at about 1% broadly breakeven, doubling from PAT profit of Rs. 12 crores or 0.5% from the same quarter last year. The company continues to be well-capitalized. We hold Rs. 5,488 crores of cash and cash equivalents on the balance sheet.

A quick snapshot of our key operating metrics. Pin code reach continues to stay stable. We delivered to 18,780 pin codes across the country as defined by the Indian Post. We continue to deliver to 220 countries around the world via partnerships with FedEx and Aramex. Total number of active customers for the Company increased in Q3 with deeper penetration within the D2C segment, the SME segment within e-commerce and the SME segment within the Part Truckload business. We now serve close to about 39,775 customers.

Infrastructure in Q3 had grown to 20.6 million square feet. However, this includes close to about 0.5 million square feet of temporary infrastructure that's built up for the peak season and is then let go off in Q4. We continue to operate 112 major gateways and hubs across the country, including 45 automated sort centers equipped with 65 sorters. Total number of freight service centers have remained broadly stable at 130 freight SCs across the country, and our total number of delivery points stood at close to 4,350, broadly stable from Q2 with a slight shift in mix between self-owned and partner centers, with a larger focus on self-owned centers across the country. We continue to operate 160 processing centers across the country as well. Overall team size in Q3 stood at 67,600 with about 40,000 partner agents across last-mile operations and a daily fleet size of close to about 16,700 vehicles.

In terms of overall financial performance, total revenue from services stood at Rs. 2,378 crores, a growth of 9% QoQ and 8% YoY compared to Rs. 2,190 crores of revenue in Q2 FY25. This is the peak season for the Express Parcel business and its contribution to our overall revenue stood at 63% versus 59% in the previous quarter. The Part Truckload business is at 19% of total revenues in Q3 FY25. Compared to the same quarter in the last financial year, you can see the impact of growth in the PTL business where it was 17% in Q3 in the previous year and 19% this year. We continue to see growth in both the Supply Chain Services business and some growth in the Truckload business as well.

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The Express Parcel business grew 15% quarter-on-quarter from a revenue of Rs. 1,298 crores in Q2 FY25 to Rs. 1,488 crores of revenue in Q3 FY25, with a year-on-year growth of about 3%. Total shipments grew by 11% between Q2 and Q3 from 185 million shipments to 206 million shipments in Q3 FY25, broadly flattish growth of about 2% compared to Q3 FY24.

In terms of Part Truckload revenues, we've grown revenues YoY by 22% from Rs. 379 crores of revenue in Q3 FY24 to Rs. 462 crores of revenue in Q3 FY25, broadly flattish between Q2 and Q3. Freight tonnage has grown 17% in the same period YoY from 354,000 metric tons of freight in Q3 FY24 to 412,000 tons of billable freight in Q3 FY25, broadly flattish from 427,000 tons to 412,000 between Q2 and Q3.

Truckload business remains broadly flat. We've been at that Rs. 155 crores to Rs. 160 crores mark since the same time last year. The Supply Chain Services business continu

es to show robust growth. We've grown from Rs. 173 crores of revenue in Q3 FY24. Revenues have grown by nearly 30% to Rs. 222 crores in Q3 FY25, driven by both growth in existing accounts as well as signing on new accounts, and a quarter-on-quarter growth of 12% between Q2 and Q3 as well. The Cross Border services business has grown YoY from Rs. 39 crores to Rs. 43 crores. However, there's a sequential decline from Rs. 59 crores to Rs. 43 crores between Q2 and Q3.

This is a quick snapshot of overall service line-wise profitability. As I mentioned, at the top revenue from services has grown from Rs. 2,172 crores in Q1 FY25 to Rs. 2,378 crores of revenue in Q3 FY25. Total service EBITDA between these quarters has remained broadly flat. Service EBITDA margins are range bound in the close to 11% range overall.

The Express Parcel business saw marginal growth in service EBITDA between Q2 and Q3 with growth from Rs. 196 crores of service EBITDA in Q2 to Rs. 232 crores of service EBITDA in Q3. Improvement in the overall service EBITDA margin from 15.1% to 15.6%. Margins were slightly depressed compared to the same quarter last year owing to a buildup in fixed costs and a certain inflation and fleet costs which we typically see in this Q3 period.

The Part Truckload business' service EBITDA margin has improved from 2.9% to 3.8%, which is the highest service EBITDA margin that this business has generated in the last 11 quarters, sequential improvement will continue. We generated Rs. 18 crores of service EBITDA for this business in Q3 FY25. Supply Chain services business has returned to service EBITDA profitability after Q2

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from a loss of Rs. 9 crores in Q2 FY25 to a profit of Rs. 5 crores in Q3 FY25.

Overall, corporate overheads have remained broadly flat for the last 11 quarters. They are currently at Rs. 211 crores, which represents 8.9% of total revenue versus 10.2% at the start of the year, and the broad glide path down towards 6% of revenues continues.

Wages have remained broadly flat. Marketing expenditures have remained flat.

Technology investments remain flat. And G&A expenditures remain flat as well.

On a net basis, therefore, adjusted EBITDA has come in at Rs. 45 crores, so close to 2% of revenue for Q3 FY25, a growth of Rs. 35 crores versus Q2 FY25, and broadly flat versus Q1. Overall, PAT has improved to Rs. 25 crores for Q3 FY25, or 1%.

A quick snapshot of overall PAT growth for the Company. As you can see on the

right, we've had three consecutive quarters of positive PAT from Rs. 54 crores in Q1, Rs. 10 crores in Q2, and Rs. 25 crores in Q3, as opposed to only one quarter of PAT profitability in the previous financial year, which was Q3.

In terms of overall quarterly financial performance, as I've mentioned, Q3 FY25 revenue from services came in at Rs. 2,378 crores, a growth of about 8.4% versus the same quarter last year. Total freight handling and servicing costs have come in at Rs. 1,751 crores versus Rs. 1,572 crores, a growth of about 11.4% YoY, largely driven by increases in fleet expenses. Other costs have remained broadly flat or declined in this period.

Total expenses came in at Rs. 2,451 crores versus Rs. 2,290 crores in the same quarter last year, and in Q2, a growth of 7%, less than the growth in revenue, which leads to a net PAT of Rs. 25 crores for Q3 FY25, a growth of Rs. 15 crores versus Q2 FY25, and a similar growth versus Q3 FY24 with overall EBITDA at Rs. 102 crores, or 4.3% of revenue versus Rs. 109 crores in the same quarter last year, and Rs. 57 crores versus Q2 of this financial year.

It's a quick snapshot of our results. With that, I'd like to pause and very happy as usual to take questions from all of you.

MODERATOR

Thank you, Sahil. We'll now start with the Q&A. As a reminder to all the participants, please use the raise hand feature to ask any questions. We'll ta

ke the

first question from Sachin Salgaonkar. Sachin, please go ahead.

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SACHIN SALGAONKAR

Hi. Thank you for the opportunity. I have three questions. First question, Sahil, more on the margins for the core Express Parcel business. What should we think about the steady state margins for this business, and how far are we from that number? And does anything change with one of the top operators in sourcing in terms of how you guys look at a steady state margin?

SAHIL BARUA

Sure. Sachin, do you want to go through all three questions, and then I will take all of them together?

SACHIN SALGAONKAR

Yeah. Sure, sure. My second question again is on margin, but on more on the PTL side. Last two years, if you see we have some solid improvement in the margin but versus that last three quarters, we have not seen a sharp improvement. So just wanted to understand the trend of margin improvement going ahead, i.e., it should be gradual or we should see a good bump up out there. And lastly, just wanted to know a bit of an update in terms of how rapid commerce is scaling and your general thoughts in terms of how big the D2C operator contribution could be in the medium term to volumes for Delhivery.

SAHIL BARUA

Sure. Great. Thanks, Sachin. So let me address them one by one. In terms of margins, the overall steady-state margins for the business we think will remain in the range that we've spoken about before. I think for the Express Parcel business, service EBITDA margins will remain in the 17% to 20% range. As I've mentioned, obviously assumes that there will continue to be pricing efficiencies that are passed on by Delhivery, but the reality is I think we're reaching an industry structure where potentially further price discounts do not have to continue to be passed onto customers. So, the reality is this could evolve to a world where margins are slightly higher as well. So, nothing changes on overall steady state margins for the Express Parcel business.

I think the Q3 numbers obviously are a little lower than they were at the same time last year. And partly the reason is, one is a slight expansion in the fixed cost. We had our Bangalore mega facility which went live, which has contributed rent expenses in this Q3. But the other reason, equivalently, I think in this Q3 was a slight bump up in overall fleet sourcing costs, which was a little unanticipated for Delhivery Ltd

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us at the start of the quarter, but those have normalized since. And so, I don't think

there'll be any structural change to the Express Parcel margins. In terms of the insourcing impact, I think, let me answer this two ways. One is obviously there's been more insourcing. I think from a Flipkart and Amazon perspective, the extent that they've insourced has remained steady through the year because they've already sort of reached the logical conclusion of their insourcing. The reality in the last two years has obviously been the increased insourcing by Meesho towards its Valmo platform. I think that's now reached a fairly large percentage of their total volumes. And so, I'm not sure that that will continue to have too much impact. But I think what it has done over a period of time is that it's essentially eroded the profit pool for the Express Parcel industry as a whole. And even if you include the first-party players, when you sum up, as I mentioned before, the total profitability of this industry, Delhivery is more than 100% of the profit pool. I said this in Q2, and the reality in Q3 is that our share of that profit pool has actually increased as opposed to Q2. So, our belief is that cumulative losses in this industry outside of Delhivery have increased between Q2 and Q3. So, I suspect, it stands to reason that we should see correction in this, either in the form of increased pricing from other 3P

Ls who are finding current pricing unsustainable, which is good for Delhivery because either it manifests as increased volumes or increased price. And so actually, I think the reality is the insourcing impact on profitability should disappear in a couple of quarters.

On PTL margins, I think the reason why you're not seeing a more sharper uplift is because, as I'd mentioned, one of the benefits and one of the disbenefits perhaps in some senses of running the integrated network is that when investments are made to essentially boost Express Parcel capacity, the PTL network shares a certain percentage of that cost because we run PTL on the same trucks, we run in the same hubs. And in Q3, which is the Express Parcel peak season, we obviously have to invest towards the Express business. So, the PTL network has taken some of those costs. I think if you were to eliminate those, the PTL margin uptick would be even higher. I think what we're very happy about is that despite the investments in Express Parcel, as we look at the PTL margins, there's been an expansion of margins, our yields also have gone up YoY. And we expect that this trend will continue. The PTL business will continue to grow. In fact, December was our highest month ever since the integration with Spoton at close to, if I'm not mistaken, about 147,000 tons of freight. And January has continued more or less in the same way. So overall I think PTL margins are in good shape and we'll continue.

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In terms of the two-hour rapid commerce business, we've launched and are currently live in three cities. We're live in Bangalore. We're live in Hyderabad. We're live in Chennai. We have gone live with two core customers with another 15 scheduled to start at some point over this quarter or in the early part of the next. Volume uptick in most of the dark stores actually has been pretty reasonable given that we started barely about 45 days ago. I think the first set of dark stores are already approaching close to about 500 orders per day which is actually pretty impressive given that these are from standalone D2C brands. And I think the breakeven point for these dark stores obviously, is much lower than the breakeven point for the broader quick commerce industry. Broadly speaking, I think we break even at close to about 700 to 800 orders per dark store per day, and so we're nearly there. That said, as I mentioned before, I think rapid commerce is more of a feature. It's an add-on product for the top eight cities for specific SKUs, to specific customers. I think broadly if I look at it, I expect that this business will add maybe somewhere between Rs. 80 crores and Rs. 100 crores of revenue to Delhivery through the financial year and the margin structure will broadly be similar to the Express Parcel business as a whole. So, it's an interesting business. It's a good capability for Delhivery to build. It helps us serve our D2C customers and their customers much better, but it is ultimately, relative to the broader scale of e-commerce, still a fairly small opportunity.

In terms of contribution of D2C, overall, I think one of the things in our Express volumes is that, obviously we don't break up but the three segments that we track very carefully. One is obviously, direct to consumer brands, whether they ship through us directly or whether they ship through us via the form of an aggregator of some shape or form. And the other, obviously, is we track our direct SME

business. The heartening sort of piece of our volumes has been that our direct-to-consumer business has grown close to about 30% YoY, and our SME business has actually grown over 50% YoY, so we continue to have a pretty compelling proposition to that group of customers. And our belief is, as we give them sort of the right kind of pricing, the right kind of reach and the right kind of service quality, there's no

reason to believe that these segments within e-commerce won't be a more material portion in the medium term.

SACHIN SALGAONKAR

Thank you, Sahil, for the detailed answers. One quick follow up. This is regarding your comment in terms of boosting the Express Parcel capacity. We've seen investments into the capacity on Express every year to a certain extent. And I

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presume that should continue going ahead as well. So, does that also mean that the PTL margin improvement should also be at the similar pace going ahead as well?

SAHIL BARUA

No, I think PTL margins actually will improve at a faster rate. So, a couple of things will happen. One is as I mentioned that we've continued to improve overall yield. If you look at it, yield, I think over a six, seven quarter period has gone from about Rs. 10.3 per kilogram to nearly about Rs. 11.1 per kilogram. So, I think that is part of what will continue to drive growth in margins.

The second, of course, is the heavier loads that are coming into the network are improving utilization of the core tractor-trailer network as well as outside the tractor-trailer network and so that margin uplift will come. And the third thing, of course, as I mentioned in the past, our reseller program is becoming larger. We are starting to target retail markets and smaller PTL markets which sit on reverse line haul routes where essentially the incremental margins are much higher because these loads will typically flow in on half empty trucks. So, for instance, in markets like Kanpur, in markets like Nagpur, markets like Guwahati, et cetera. And so actually margin uplift will become higher. So, the PTL margin uptick will be faster than Express.

SACHIN SALGAONKAR

Great. Thank you.

MODERATOR

Thank you. We'll take the next question from Gaurav Rateria. Gaurav, please go ahead.

GAURAV RATERIA

Yeah, thanks for giving me the opportunity. I have four questions for you Sahil.

The first one, Express Parcel service EBITDA margin not just being lower for this quarter, but also on a nine-month basis, it seems that the operating leverage has played negatively given the volume growth has been muted in low single digit. Is this also driven by we becoming more heavier on our own share of the vehicles in the network and which is why it kind of played negatively? And this can kind of reverse very sharply as volume growth kind of improves. That's question number one.

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Question number two is on infra edition. Has that been in line with our overall volume growth in the system or we have built more spare capacity in the last nine months compared to the last year, which kind of allows us to go slower on capacity building for the next year as we grow revenues? The third is that on PTL, what we can do to further accelerate growth in this business or we should look at this as a 15%-20% volume growth business when the industry is barely growing at high single digit?

And lastly on the competition, you kind of gave some color on the competition, that they are bleeding a lot more and we are more than 100% of the profit pool. But what makes us believe that they would be required to take some pricing action which could favor us in terms of volume share in the near term. I mean, this can go on for like maybe one or two more years right before anything of that sort happens. So, this could be a low burn period or slower move to kind of benefit Delhivery from a medium-term perspective. So, these are the four questions.

Thank you.

SAHIL BARUA

Sure, thank you. I'll address each of them in order. I think the Express Parcel service EBITDA in Q2, Q3 were muted. And you're right, for the nine months as well have been slightly muted compared to the previous year largely because some of our fixed investments, especially one of them being the Bangalor

e Hoskote

facility coming live and redundant facilities being there.

So that's one of the higher overhangs on service EBITDA margins. And in Q3 specifically, as I've mentioned, at the start of Q3 with the volume surge in the first week of October, I think fleet costs went up a little more than we expected in the key metro cities. And I think the learning for us really is from the next quarter on, one option is to see whether we get into better-fixed contracts as opposed to doing spot vehicle placements in that week.

So, I think that's ultimately caused an overall drag of about Rs. 12 crores to Rs. 15 crores on the earnings. But otherwise, as I'd mentioned, structurally nothing changes on the Express Parcel service EBITDA margins. We see no reason to believe that we will not be in the 18% to 20% range overall.

In terms of infra-addition, I think broadly infra addition has been in line with capacity. In fact, if you look at our CapEx as a percentage of revenue, we are in fact ahead of the guidance that we've previously provided to analysts and investors. I think this year we will end up with CapEx as a percentage of revenue being 5.6%

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or lower. And this has been declining YoY. We've indicated that over the long term we expect CapEx to settle at between 3.5% and 4% of revenue, which is largely going to be maintenance CapEx, upgrade CapEx as we need. I don't think we have any very significant CapEx that's planned for next year. There'll be some routine hub upgrades, but outside of that, nothing very major coming up. We have sufficient capacity in the network. So, in that sense, I think you'll see capacity utilizations also going up in the next financial year.

On PTL, absolutely not. The business is not expected to grow at just the 16% to 20% range, despite the fact, of course, that the rest of the industry in the last quarter has been flattish or sort of very low single-digit sort of growth numbers. I think our ambitions are much larger.

The PTL market, as I mentioned, is a deeply unorganized market, and Delhivery is really going into that unorganized market. And our ability to grow, therefore, is not constrained by other players in this market. Our own ambition internally is certainly to grow the business overall at nearly 25% to 30% in the next financial year. And I don't see any reason for not being able to achieve that. I think as I'd mentioned in the past, picking the right markets to grow and picking the right clients, picking the right pricing is important. And that's something that, as you can see, we've been getting better at quarter-on-quarter. So, there's no reason for our growth to not be at that 25% to 30% benchmark for the next year.

In terms of competition, your question is valid. That said, I think in this industry we are reaching in some senses, a reckoning. The reality is that last year we had the same discussion in terms of how long these losses can sustain, and I think the reality is that incremental capital flow into this industry is now going to be severely constrained. And I think in the interest of sustaining themselves as going concerns, I think competition is going to have to look at their business models. So, I don't think that additional capital will be available. So, I'm not very confident that the industry structure that we currently have will continue. I think the industry structure from here should become more favorable towards Delhivery.

We were over 100% in any case, but whatever percentage of the overall profit pool we were in Q2, that's increased in Q3. And our view is that structurally there's no reason to believe that that won't increase. Also, the reality is that with a lot of the networks having shifted towards variable cost models, the fact is that there is no operating leverage in a lot of the underlying models. And as a consequence, as volumes grow, many of our compe

titors do not have the ability to actually improve

their margins with time. Their only approach at this point has to be an increase in

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yields, which will eventually either lead to Delhivery also increasing yields or will lead to lower volumes for them. So, either way it's accretive to Delhivery. So, I actually think that we're getting closer and closer to a reckoning in this industry. I think we've said it in the past, there are too many players in the Express Parcel business and this industry has to consolidate. And I think the consolidating forces are becoming tighter and tighter.

GAURAV RATERIA

Thank you so much. I'll get back in the queue.

MODERATOR

Thank you. We'll take the next question from Lokesh Maru. Lokesh, please go ahead.

LOKESH MARU

Thanks for the opportunity. Sahil, one fundamental question on our model which is integrated in nature, right? So, in last one year what has also happened is Valmo has challenged that one way of working, right, their model would be more variablized in nature, let's say, but then the ramp up you have seen in last two years has been significant, right? So, in your opinion like what an integrated model took which was capital and time both, right? So, going forward, one is, let's say, Valmo serves Meesho, but if it is externalized, how do you see that scenario panning out? And also, it raises a question on the entry barriers in this industry, right, so your thoughts on the same?

SAHIL BARUA

Sure. I've said this in the past, the entry barriers in logistics, if you consider entry to merely be the ability to deliver a package are zero. If you own a bike, you're a logistics company. So, in that sense, I don't think that the entry barriers to logistics to start off are high. I think the last mile, as I mentioned multiple times, is the most commoditized part of logistics. And therefore, setting up a last-mile-heavy network is not always very difficult to do. Signing up franchise partners who work for, let's say, the other self-logistics arms is a valid way to quickly and rapidly set up a last-mile delivery network. And the advantage of course is that the self logistics arms don't necessarily have exclusive tie-ups with the franchise partners that they work with. And so, they are free to work with Valmo or somebody else.

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That said, there are significant barriers to scale in logistics, even if there aren't significant barriers to entry. Reliably delivering 800 million packages a year on time and with the speed that is required for customer satisfaction is a fairly difficult task. I think we've done our benchmarking and we're pretty confident that Delhivery's service metrics outstrip any of our third-party competitors and first-party competitors with variablized networks. Variablized networks unfortunately don't work as well. A network which comprises of one entity performing sortation, a second entity performing line haul, a third entity performing last mile only loosely connected is by definition going to have very significant speed problems and very significant coordination problems.

The other thing of course is that the cost of running these networks is higher than the cost of running Delhivery. I mean we've done the benchmarking and our belief is that our cost of delivery is anywhere between 8% and 10% lower than even the in-house variablized networks. So, I think the in-house logistics networks scaling up, as I've mentioned before, I had called this out last year and I've called this out on multiple quarterly calls, the impact of these networks was always going to be significantly detrimental to our competitors much more than Delhivery because they were also running variablized networks. And I think that's going to be a problem.

The second thing of course that will have to be contended with i

s that third-party

players in this market who were servicing the player in question prior to their self-logistics adventure have been loss-making. And so, the reality is when you internalize those volumes, those costs accrue to you, whereas those costs were previously being paid by the private equity investors in those third-party businesses. And so, it'll be interesting to see what happens. I think there are interesting challenges ahead, but I don't fundamentally believe that it changes our answer on an integrated network being better and being the right network. Our

speed metrics suggest that, our quality metrics suggest that. Our return rates are lower. Our cost per shipment is lower.

LOKESH MARU

Sahil, one more thing. On externalization of, say, Valmo or ATS or Instakart, how do you see that? I'm just calling out these names because they are the ones who have that backing internally and then again, the scale, right. So, in any way, do you see that disrupting some bit of volumes going forward?

SAHIL BARUA

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Not in the least. For very simple reasons, let's ignore Valmo for a second. If you take the other first party players, I think one of them has released its financial results as well. And as I've mentioned in the past, their losses quintupled between FY23 and FY24, which is problem number one.

Problem number two is if you are, let us say, a first party logistics arm for Flipkart and for Amazon and peak season rolls around, how much additional volume are you going to get as a percentage of your total? Let's say you're delivering 500 packages in a delivery center for Flipkart or 500 for Amazon and you got another 30 D2C parcels. Your customer service is obviously going to take precedence over anyone else's. And I think this adventure has been tried in the past and it has failed. I would argue that externalization is more or less a dead on arrival proposition which has been tested and hasn't worked. Talking about something doesn't make it viable. And over two or three years, these companies have repeatedly said that they are going to externalize services without necessarily being able to break into anything of consequence because the service metrics don't hold up, the cost metrics don't hold up.

And as far as the variabilized model goes, the reality is why would you, if you're a high quality D2C brand or an SME, trust your packages, which have much higher relative value to you than in a marketplace environment, to a third-party network where you can't even identify if the parcel is damaged or lost, who has damaged or lost it. There is a value to running an integrated network and I don't see that this is a threat at all.

LOKESH MARU

Understood. Last question from me. The fleet size number which you mentioned, if you could just elaborate on that piece. That's it. Thanks a lot.

SAHIL BARUA

Increase in the fleet size costs, you mean?

LOKESH MARU

Yeah, fleet size cost number, which we saw this quarter.

SAHIL BARUA

Yeah, I think essentially what happened in the first seven days of the festive season is that our heavy volumes actually were much higher. Heavy volumes across e-commerce, in fact, were much higher. The platforms have also reported this. And Delhivery Ltd

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so, the overall demand for vehicles of a specific kind, intra-city fleet in the major cities, so if you take Delhi, Bombay, Bangalore, et cetera, increased quite a lot. And as a consequence of that, supply was limited and overall pricing of the fleet went up compared to what we'd expected.

I think we had been operating so far with a completely third-party fleet. And our decision is that we will sign more long-term contracts with our fleet partners, locking in these rates for next year a lot better. So far, we've been able to always persist with spot contracts. Those will shift to f

ixed contracts next year.

MODERATOR

Thank you. We'll take the next question from Mukesh Saraf. Mukesh, please go ahead.

MUKESH SARAF

Yeah. Good evening and thank you for the opportunity. Sahil, sorry to kind of go back to the Express segment margins. If I look at your overall line haul expenses that you have on Slide 18, it has come off YoY as a percentage of revenue. But you do mention that that's one of the major reasons why your margin in this

segment is down like 500 bps YoY. So, I'm just wondering if you've been able to kind of manage these higher line haul expenses in other segments ex of this Express segment, but you haven't been kind of able to manage that in this Express segment. So, I'm still not able to understand that. If you could kind of explain.

SAHIL BARUA

Sorry. Are you talking about the fleet costs that went up YoY were the vehicle rental expenses. This is the intra-city fleet.

MUKESH SARAF

So, the vehicle rental that you have on the same Slide 18 is that only the last mile fleet.

SAHIL BARUA

That is the intra-city fleet. So, Mukesh, the line haul vehicles are vehicles that go from one city to the other, then the same city vehicles from a hub to a delivery center, there is what is called a carting run. And then there is of course the last-mile fleet. So, the expenses that went up were the intra-city fleet. So to give you an example, there's a warehouse which has for instance dispersing a lot of sofa sets Delhivery Ltd

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or call it gym kits or whatever it is. When they are consigned stock in let's say Gurgaon to our sorting facility in Tauru, those vehicles are the ones where we saw a shortage of supply, and as a consequence of that we saw an inflation in the cost which you can see. So vehicle rental expenses went from 19.8%, or Rs. 434 crores in Q3 FY24 to 20.5% in Q3 FY25. Now ideally speaking this number with scale should have been lower than the 19.8% that we saw in Q3 FY24.

MUKESH SARAF

Right. So even if I look at this Rs. 43 crores going to say Rs. 49 crores, it still doesn't explain the 500 bps hit. I mean that that hit is like more than say Rs. 40 crores, Rs. 50 crores for us YoY in this segment.

SAHIL BARUA

This Rs. 434 crores going to Rs. 488 crores.

MUKESH SARAF

Yeah, yeah. Sorry, yeah. Rs. 434 crores going to Rs. 488 crores.

SAHIL BARUA

We should broadly have been at about Rs. 430 crores, Rs. 435 crores. So, if you take that, call it Rs. ~30-40 crores on revenues of the transportation segment.

MUKESH SARAF

Okay. That's entirely in the segment largely.

SAHIL BARUA

Yeah. So, the main impact is there, and there's some impact, as I mentioned, from the coming in of the Bangalore Hoskote facility, which has also increased fixed costs a little bit, but that will normalize for the next year. But the biggest impact is from the vehicle.

MUKESH SARAF

Okay. Got that. And secondly, on the PTL segment, I think after like six, seven quarters, we've seen first time a sequential decline in volumes. And I mean when I look at some of your other peers, listed peers, they've also seen some kind of a pressure on volumes this quarter. Are you seeing some signs of difficulty there, especially in the SME segment in terms of the PTL?

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SAHIL BARUA

No, Mukesh. So, as I'd mentioned, actually December we closed very strongly. So, we were at about 147,000 tons of billable freight in December and we've continued very strongly into January. And we also announced, of course, that we have a big partnership which is starting with HPCL, which is going to be a significant volume into the PTL network. So, we are not seeing that. One of the things obviously is that Q3 typically tends to be a slightly flattish quarter versus Q2 because a lot of ship-out happens before the festive season.

MUKESH SARAF

Right.

SAHIL BARUA

So t

hat's one of the things. The other is that at our end also one of the things that we do in the first part of October, the first two weeks or so is that we tactically moderate PTL volumes in a couple of origins where we believe that heavy volumes are going to be very high. So, in that sense, we could have seen a Q-o-Q increase also, but in defense of the Express business and just to make sure service levels were not in any way affected, we tactically tweaked a little bit of volume on the PTL business, but that was recovered in December and has continued into Jan. So, no structural shift.

MUKESH SARAF

Okay, no shift there. All right. Great. Thanks. That's it from my side. I'll get back in the queue.

SAHIL BARUA

Thank you.

MODERATOR

Thank you. We'll take the next question from Abhisek Banerjee. Abhisek, please go ahead.

ABHISEK BANERJEE

Hey. Hi, thanks for the opportunity. Sahil, the first question is on the customer profile for the Express Parcel business. You mentioned how the contribution of D2C has gone up, right. So, what would the breakup be around now? And given Delhivery Ltd

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you believe that most of the headwinds from Meesho insourcing is now out, right. So, what is kind of a number to kind of build in, in terms of revenue growth? Because if you're saying D2C is growing by 30% and if it is a certain percentage of your contribution though, how do you look at the revenue growth number for FY26 now?

SAHIL BARUA

Yeah, we don't break up our Express Parcel volumes by customer segment. That said, I can tell you that the non marketplace portion of Delhivery's total volumes is fairly meaningful and that continues to grow. From a revenue guidance standpoint, I think a couple of things. One is overall, as I mentioned, the e-commerce industry continues to sort of have headwinds. We continue to gain share. The market situation is a little complicated because as I'd mentioned, I think last year the reality is that some of the other 3PLs in this space chose to take price actions to boost volumes for a short period. I don't believe that is something that will continue into the next financial year given sort of the capital position and general situation in the market.

So, there is potentially a revenue upside opportunity for us which I think we'll see how it plays out over the next 30, 40 days because this is sort of the period when most people are renegotiating contracts with key customers. We don't have full insight into that just yet, but I think broadly, whatever market growth is, we will more or less be able to maintain our growth in line with market growth.

ABHISEK BANERJEE

Are there any signs of the say Flipkart's internal captives losing some share, and are you seeing any incremental share coming from these guys as they try to focus on quick commerce and all?

SAHIL BARUA

Yeah, I think things are pretty dynamic overall there are quarters where outsourcing does increase. There are quarters where outsourcing reduces a little bit. I think there is still a lack of a coherent strategy on the first-party logistics side. What's very clear though is that the first-party logistics operations are a drag on the overall earnings of the principals. And so, the question is at what point do you make the rational financial decision because outsourcing another 10% to third-party logistics will be net accretive to the principals and does not significantly alter the illusion of control over one's own logistics. So, it would be a great decision for themselves and for the industry at large.

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That said, I'm not entirely sure just yet. These things will play out over the next couple of quarters. Yeah, I think there are many pressures to bear on each of these companies and we'll see what decisions they take.

ABHISEK BANERJEE

Got it. So, in terms of the rapid

intra-city deliveries that you spoke about, so why do you think only Rs. 80 crores to Rs. 100 crores is where you can go in the next one year? I mean, what would be the rough idea in terms of number of warehouses that you believe you can set up, and how is it that you charge customers? Is it per delivery, or do you take a warehousing fee, or how does that model work?

SAHIL BARUA

It's a per delivery fee and there's also a warehousing fee included in this typical pricing is in the range of between Rs. 80 and Rs. 100 per order that is serviced. We expect to set up 50 dark stores in the top eight cities. The good thing is, on a lighter note, unlike requiring thousands of dark stores, if you have a two-hour delivery network, you can service the top eight metros with just 50 dark stores which are not too expensive to set up. So that's going to be the extent to which we will set up. And then depending on what the demand pattern looks like, we may add a couple of dark stores here and there. But I don't anticipate that it will be significantly different from that 50.

Now, why it will not be materially much larger is because I think you have to look at e-commerce as a whole. First of all, metros as a total percentage of the volume within e-commerce and specifically if I take what is called Zone A volume which is sourced in the metro and delivered in the metro is close to only about 8% or 9% of total volumes within e-commerce. This is material which is, for example, sourced in Delhi, warehoused in Delhi and delivered in Delhi.

Now you're talking about therefore the addressable market being limited to that 8%. Then on top of that the question is what kind of goods lend themselves to that kind of delivery to begin with? Half of e-commerce is soft lines, which are long-range items which don't lend themselves to quick commerce. Somebody wants to buy a specific T-shirt or wants to buy some specific kurta, for example, that doesn't lend itself very easily to this quick commerce kind of model. So that's half the market nearly gone out of the 8%, which are down to about 4%.

Then on top of that you say how much inventory will the brands themselves realistically want to stock in quick commerce. Even if you're a cosmetics brand and you have, let us say 100 SKUs, all 100 of them don't lend themselves to quick delivery.

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commerce. At best, maybe about 10 or 15 of them will lend themselves to quick commerce.

You're really talking about a small percentage of a small percentage of a small percentage lending itself to the rapid commerce kind of model. Any further than that, of course, you can make the argument that I would like to make 75,000 items available to a customer within two hours. The problem then, of course, is that you have to set up gigantic pods. And the ability to set up a gigantic pod, for example, in Bombay is not going to come at a rental cost of Rs. 30 a square foot. It's going to come at Rs. 300 a square foot, which will obviate the profitability instantly. And if you go any further back in the supply chain, which is to say that I will set up gigantic pods, then you're essentially reinventing Amazon. So, I think that's why the market is broadly limited.

ABHISEK BANERJEE

Understood. That's very clear. And just one last question --

MODERATOR

Sorry to interrupt Abhisek, request you to please join in the queue.

ABHISEK BANERJEE

Sure. I will go back in the queue. Thanks.

MODERATOR

Thank you. We'll take the next question from Vineet Prasad. Vineet, please go ahead. Since Vineet is unresponsive, we'll take the next question from Sachin Dixit. Sachin, please go ahead.

SACHIN DIXIT

Yes, Sahil. Thanks for the opportunity. My first question is on Express Parcel basically. So, during the last earnings call, you mentioned that roughly 78 million odd shipments happened in October. November and December seem tepid from that

at perspective, right. We were on a good trend in October, but it dipped quite sharply. Can you elaborate more on that? What happened? Was it just the overall

e-commerce demand evaporating or was there something else that turned around?

SAHIL BARUA

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No. In fact, if I go back to my quarterly call at that time, when we'd spoken about it, I said that, you know, the 30% uptick that we had seen from broadly the 60- 61 million kind of benchmark to the 78 million, in fact, I believe my exact quote at that point was this is par for the course. It's similar to what we saw last year. Of course, this has been volatile in e-commerce over sort of a 10-year period. There have been occasions where the season has been 50% higher than the average and there have been seasons where it's been significantly less than 30%. But I think that 30% was par for the course.

If you look at that 78 million to 206 million shipments, after that we've added about 128 million odd shipments in the remaining two months. There's always a step down after the peak season. I think there's also buying fatigue. People have bought whatever they want to buy online in October and so volumes do sort of take a dip in November and December. And there's been a broader softness in consumption. You can see it for example in the food delivery numbers for instance, and that's of course affected e-commerce as well. I think broadly the consumption slowdown does affect e-commerce and that's what we saw.

SACHIN DIXIT

Understood. And it's just like at 59 odd million run rate for the remaining two months, it just feels it's probably even lower than what we saw last year during the same non-festive season. So that's why I was hopping on that.

SAHIL BARUA

We did 206 million for the quarter. 78 million in October, which gives you I think 128 million for the remaining two. So, 128 million by 2 is not 59 million.

SACHIN DIXIT

Understood, understood. Okay, sorry. My bad, bad math. My next question is on gross margin side. So basically, largely, maybe driven by the less operating leverage that we got, expansion has been slightly muted compared to what we have seen in previous years. I understand there was a Bangalore facility which came on board and could have resulted in some hit. I wanted to understand how this shape up going forward in the coming quarter, right, because generally, your gross margins tended to dip QoQ in Q4. Do you see that trend reversing this year, or is it likely to sustain?

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SAHIL BARUA

I think broadly Q4 will be normative to Q4s that we have had in the past. Some of the expenses were one-time expenses or in the sense we built up some capacity during the peak season and we shed that capacity after the peak season. So that capacity we've obviously shed in January, and the second thing is, as I mentioned, as the PTL business grows, it does have a knock-on positive effect on the express business as well. And January volumes in PTL have been solid. February so far has been pretty good.

And so, as the PTL volumes grow, there'll be a knock-on positive impact on the express business because line haul expenses, for instance, will come down. And some of the overheating that we saw on the fleet cost side in the first week of October, which dented margins for Q3, obviously, that impact is not there in Q4, so that will also, to some extent, reverse. So overall, I don't think we'll see anything structurally very different in Q4.

SACHIN DIXIT

Got it. All right. Thanks so much.

MODERATOR

Thank you. We'll take the next question from Aditya Mongia. Aditya, please go ahead.

ADITYA MONGIA

Hi, Sahil and team, I had only one question. I just wanted to get a sense from you that at an overall Express Parcel level, if the growth for the company is what it is, is it safe to infer t

hat the overall market otherwise is actually starting to grow less than 10%?

SAHIL BARUA

I think overall e-commerce growth has certainly moderated, Aditya. There's no question in this financial year. I think there's no question. The larger marketplaces obviously are private, so I don't know exactly what their numbers are going to turn out to be. But every indicator that we have from them is that volume growth has been fairly muted for all of them. And I know Meesho had a pretty blazing start

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when they set up as a company, but the reality is that your base catches up with you over a period of time.

So, I think even their growth rate will come back to what is normative and similar to what Flipkart and Amazon are also experiencing, which to the best of our knowledge has been muted. Where we have seen growth is in the D2C segment, in the SME segment overall as a category even though individual players as I've mentioned may go up and down in any given quarter, but those segments of e-commerce I think continue to have reasonable growth.

ADITYA MONGIA

And just a follow up question, do you see levers that your customers can pull to make this number go back into the mid teens or as a conservative estimate as you plan incrementally?

SAHIL BARUA

I think I've said this in the past. If our customers shut down self-logistics arms, they would be able to inject \$0.5 billion back into marketing and growing the market. That's the biggest lever they have. And on behalf of the industry, we warmly encourage them to do that.

ADITYA MONGIA

Got it. Those are my questions, Sahil. Thank you for the response. Thank you.

MODERATOR

Thank you. We'll take the next question from Vineet Prasad. Vineet, please unmute your line and go ahead. Vineet, we can't hear you. Okay, in that case we can take a follow up question from Gaurav Rateria. Gaurav, would you like to go ahead with your question

GAURAV RATERIA

Hey, thanks for taking me again. I again have a couple of questions. First, assuming that volume growth in the overall Express business remains subdued, do we have levers to get back to 17% to 20% margin range, or will it be a function of growth and thereby operating leverage in that?

Second question is why wait for price action from competition, and why we don't act as leaders and try to force consolidation? Is it not a good strategy?

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And lastly, just a data point to understand better the cost per parcel metrics. Should it be looked upon more in terms of cost per ton, or cost per kg in order to better understand the cost structure for Delhivery as a whole? Thank you.

SAHIL BARUA

On express to get to the 17% to 20% margin, can we get there without significant volume growth, I think the answer is yes, we can. One is obviously, as I've mentioned, the PTL business continuing to grow will improve line haul costs for both the express and the PTL business. So, we should be able to get to that. And I don't anticipate that there will be very significant price movements downwards in any way. So, no reason to believe that we can't get to those EBITDA margins. I think as the PTL volumes grow, that should happen to some extent naturally. And the second, obviously, as I mentioned, is that the fleet costs in Q3 were a little abnormal which are starting to reverse. So, they've already reversed in Jan-Feb. So, as we negotiate these fixed contracts, I think we will get back to those 17% to 20% margin kind of range.

Why not force consolidation? I think the issue obviously is, in what sense. The reality is within the M&A opportunities for Delhivery, there's not much that we would be able to acquire in this case because the fact of the matter is that the volumes are highly concentrated for most of our competitors and so it's not clear

what value we should ascribe

to those volumes. I think the reality is it's better to let discipline enforce itself. So, we'll wait and watch. If the right consolidation opportunity becomes available at the right price, then obviously, Delhivery is a natural consolidator in the market. But I don't believe it's necessary for us to try to force anything at this point in time.

In terms of cost per parcel, a slightly different answer for e-commerce versus PTL. On PTL, you should absolutely look at cost per kilogram or cost per ton because internally we look at it at a large cost per ton, but also distance traveled overall. But cost per kg, cost per ton is an absolutely valid metric. On the parcel business, you can choose to look at it either as cost per kilogram, billable kilogram or cost per parcel as a whole. Of course, the problem is that the cost per parcel as a whole for Delhivery is very different for different package types, and so the composition matters a lot. So, we look at it as cost per parcel delivered, say sub 50 grams, cost per parcel delivered sub 500 grams, and so on in those slabs, and cost per parcel delivered in different zones, Zone A, Zone B, Zone C, Zone D, Zone E, and so on. So, it's a little more complicated than that, but as a broad sort of indicator, cost per parcel for the e-commerce parcel business is also a reasonable metric.

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GAURAV RATERIA

Got it. I was asking more because it may not be comparable for competition because competition may have a very different composition of the volumes in terms of the weight they carry, average weight per parcel, or the distance that they travel.

SAHIL BARUA

You're right. And that's why we look at it when we talk of cost per parcel, we also compare versus competition at every price slab, at every zone slab. So, when I talk about Delhivery's cost per parcel being lower, it's not just at an aggregated level. We know, for example, that our cost is competitive. It's lower at Zone A sub 250 gram, Zone A sub 500 gram, Zone A up to 1 kg, and so on and so forth. So, it's across all slabs and all weight categories.

GAURAV RATERIA

Thank you.

MODERATOR

Thank you. We'll take the next question from Koundinya Nimmagadda.

Koundinya, please go ahead.

KOUNDINYA NIMMAGADDA

Thank you. Sir, I'm just trying to add up the growth numbers. I mean our volumes rose at only 2%, but if I were to compare that with the growth in say a D2C or vertical players, I mean that stuff at around 20%, 30%. And when you say that non-marketplace volumes are fairly meaningful for us, I'm just trying to bridge this gap, I mean 20%, 30% growth for these players and then our total volumes being only 2%. So where is the gap? Like what would be the mix of e-commerce volumes or rather online commerce ex non-marketplace in total share, and will that add up to this 2% growth? If you can provide some color over here.

SAHIL BARUA

See, we don't share client-level overall volume so we can't reveal individual clients and segments. That said, you're right, the overall growth in the D2C and SME aggregator segments has been higher in the range of minimum 30% for D2C, 50% plus for SME. Put together as I mentioned is a meaningful percentage of our business. Of course, a larger percentage than this comes from the marketplaces

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that we serve. And obviously, not just the marketplaces, even the likes of verticals like for instance, Nykaa, AJIO and so on.

Some of these accounts as example, where Reliance has had a year where volumes have been lower in this financial year than in the previous year. So, there are also clients that we've had where their overall volumes have de-grown. Similarly, we used to service a customer called AEPL, which was acquired by Amazon, which now has been folded into Amazon, and I believe volumes from there are zero because that

effectively has been shut down. And so we have some clients which also churn out. We have some clients where their volume declined. And the marketplace volumes grow by less than obviously by what the D2C SME and aggregator volumes grow.

KOUNDINYA NIMMAGADDA

Sir if I were to ask, I mean, I understand that you don't want to give client level data, but on an approximate level basis would Valmo still contribute, I mean, Meesho would still be around 20%, 30% of your volumes or is this lower number and therefore the impact of insourcing should not be meaningful from you for here? In that case, what is the kind of tentative range of volume growth that you're looking at for FY26? Should it be in double digits or do you think that it's going to be in single digits? Any color that you can put over here, please?

SAHIL BARUA

Yeah, so we don't reveal individual client volumes and I would prefer not to reveal sort of what individual client makeup is. Our top clients, as I've mentioned, our top three or four clients put together, top five customers will form close to less than half of the overall revenue of Delhivery. So, we don't have a very significant client concentration as a whole.

In terms of volume growth guidance for next year, I think, look, it's hard to say because there are a couple of compelling factors. One is obviously headwinds facing e-commerce as a whole. I think it remains to be seen how these companies continue to drive growth next year. I think more investments in marketing, more investments in consumer acquisition driving more category growth. If those continue at a pace, then there's no reason to believe that volume growth in e-commerce will not come back. I think there is demand and going into Tier 2, Tier 3, Tier 4 cities a bit more localizing, a bit more will help because that's really where a bulk of the growth has to come from.

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So, we'll see. Our anticipation is that hopefully these measures will come in and we will get our fair share of that. I think there are also cost pressures that, as I mentioned, first party logistics companies face. Third party logistics companies, of course, face it as well. And as people look at their mix, I do believe that a more financially prudent decision would be to outsource a little more to third party players and we'll see how that plays out. These are active conversations that we are having with all of our customers. And if there's even minor shifts in their strategy, the upside to Delhivery could be large. But it's hard to say at this point I think because these strategies are still relatively fluid.

But I think the reality is that overall, from an insourcing standpoint, most of the sort of insourcing that could be done by the three platforms is already evident. And so, the impact of additional insourcing per se will not be as large as it's been in the past. So, I don't anticipate there is going to be a very big headwind. But again, this industry is pretty dynamic. Things change on a weekly basis. So, we'll know more as we go along.

KOUNDINYA NIMMAGADDA

Sure. Sahil, thanks for answering that question. Hope things get better in future.

Thank you.

MODERATOR

Thank you, everyone. That was the last question. Please reach out to the IR team for any further questions. And before we end, on behalf of Macquarie, I would like to thank Delhivery for the opportunity to host this earnings call. Over to you, Sahil, for any closing remarks.

SAHIL BARUA

Thank you all for joining the earnings call. Thank you to the Macquarie team for hosting us this evening and look forward to speaking with all of you after our Q4 results. Thank you.

Call: May 2025

Date: May 22, 2025
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
India

Scrip Code: 543529 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
India

Symbol: DELHIVERY

Sub: Transcript of Earnings Conference Call pertaining to the Audited Financial Results for the quarter and financial year ended March 31, 2025

Dear Sir,

This is in continuation to our earlier letter dated May 17, 2025, regarding audio recording of the Earnings Conference Call held on May 16, 2025, at 06:00 P.M. (IST) on the performance of the audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year ended March 31, 2025.

Please find attached herewith the transcript of the above investor and analyst call.

The above disclosure is also being uploaded on the website of the Company at www.delhivery.com

You are requested to take the same on your record.

Thank you.

Yours sincerely,

For Delhivery Limited

Madhulika Rawat
Company Secretary & Compliance Officer
Membership No: F 8765

Encl: As above

Delhivery Ltd
Q4 FY25 Earnings Call- Hosted by Macquarie
May 16, 2025

Delhivery Limited Q4 FY25 Earnings Conference Call
May 16, 2025

Management : MR. SAHIL BARUA, MD & CHIEF EXECUTIVE OFFICER
MR. AMIT AGARWAL, CHIEF FINANCIAL OFFICER
MR. AJITH PAI, CHIEF OPERATING OFFICER
MS. VANI VENKATESH, CHIEF BUSINESS OFFICER
MR. VIVEK PABARI, HEAD - INVESTOR RELATIONS
Moderators : MR. BAIJU JOSHI, MACQUARIE CAPITAL

Delhivery Ltd
Q4 FY25 Earnings Call - Hosted by Macquarie
May 16, 2025
Moderator:

Hi. Good evening, everyone. Welcome to the Q4 and full year FY25 Earnings Call of Delhivery Limited hosted by Macquarie. Before we start, Delhivery would like to point out that some of the statements made in today's call may be forward- looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this call is meant for investors and analysts only. If there are representatives from the media, they are requested to kindly drop off this call immediately.

To discuss the results, I am pleased to welcome Mr. Sahil Barua, MD and CEO; Mr. Amit Agarwal,

CFO; Mr. Ajith Pai, COO; Ms. Vani Venkatesh, Chief Business Officer and Mr. Vivek Pabari, Head of Investor Relations at Delhivery. As a reminder all participants' lines will be in listen only mode and participants can use the raise hand feature to ask any question, post the opening remarks. Now I invite Mr. Sahil Barua to take us through the key highlights of the quarter post which we'll open up for Q&A. Thank you and over to you, Sahil.

Sahil Barua:

Thank you, Baiju. Good evening to all of you and thank you for joining us this evening on Friday. I'd like to begin by just placing officially on record on behalf of the entire Delhivery management and the entire Delhivery team, our deepest gratitude to the men and women of the armed forces of India and also specifically to all of the veterans who serve at Delhivery, we are grateful to you.

I'd also like to welcome Vani. As the Chief Business Officer this is her first earnings call, so welcome to Vani on behalf of the Delhivery team.

As usual, I'll begin with a short 15- to 20-minute presentation, which summarizes results for Q4, and post that summary, we'll open up for questions.

So a broad summary of Q4 - our expansion and profitability has continued into Q4 despite headwinds in the industry overall. So a very satisfying quarter. This is the highest profitability that the company has declared, and possibly one of the first times that Q4 margins have expanded compared to the Q3 period as well. All in all, a very strong end to the financial year and puts us in a very good

position for the next FY.

In terms of a quick snapshot of numbers, in Q4, we delivered revenues of Rs. 2,192 crores, up about 6% year-on-year and a sequential decline of 8% compared to the peak quarter, which was Q3. EBITDA came in at Rs. 119 crores and 5.4% EBITDA margin. This is an expansion of about 320 basis points compared to the same quarter last year and a sequential expansion of 110 basis points compared to Q3 of FY25.

PAT came in at Rs. 73 crores. PAT margin of 3.1% compared to a loss of Rs. 69 crores in the same quarter last financial year. So, an overall swing of close to Rs. 140 crores YoY. PAT has also tripled from Q3, where we reported an overall PAT of Rs. 25 crores.

We delivered 177 million packages in our Express Parcel business, year-on-year largely flat and about 460,000 tons of freight in our Part Truckload business, which is a year-on-year growth of about 19.4% and a sequential quarter-on-quarter growth of 11%. For FY25 as a whole, revenue from services stood at Rs. 8,932 crores, and total income stood at Rs. 9,372 crores, a growth of nearly about 10% YoY. EBITDA came in at Rs. 376 crores, with an overall EBITDA margin of 4.2%. That is an expansion of nearly Rs. 250 crores compared to FY24 and a margin expansion of 260 basis points YoY. Overall PAT for the

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year, this is our first profitable year overall, we came in at Rs. 162 crores of PAT, 1.7% margin compared to a PAT loss of Rs. 249 crores in FY24. For the full year, we delivered 752 million parcels in the Express Parcel business, broadly flat YoY, and about Rs. 1.7 million tons of Part Truckload freight YoY growth of 18.7%.

The company continues to be extremely well capitalized. We have about Rs. 5,493 crores of cash and cash equivalents on the balance sheet. Obviously, this is prior to the consideration that will be paid out once we receive confirmation from CCI on our deal with Ecom Express. In terms of key operating metrics, PIN Code reach for the company continues to remain broadly flat. We serviced about 18,833 pin codes as of the close of Q4 FY25. We continue to serve 220 countries through our partnerships with FedEx. The total active customer base of the company has continued to expand rapidly. We had 33,000 customers at the same time last year. We ended Q4 FY25 with an overall customer count of about 44,000. Overall infrastructure has remained broadly constant, a mild reduction from Q3 as we've jettisoned a little bit of peak infrastructure. We operate close to about 20 million square feet of real estate across the country. The total number of gateways remains constant at 111. Automated sort centers remain constant at 45. Sorters remain constant at 65. There's been some consolidation in the last mile network. Freight service stations have reduced from 130 as of Q3 to 118 as of Q4 FY25. The broad DC network remains largely constant at close to about 4,550 delivery centers, pan India. And team size remains broadly constant at the 62,000- person range.

Spoke about this before, in terms of revenue from services, in Q4 revenues came in at Rs. 2,192 crores which is a growth of 6% YoY and a sequential decline quarter-on-quarter. Of course, Q3 is the peak quarter for our Express Parcel business. For the full year, FY25, we've delivered about 10% growth in revenues. Revenues have grown from about Rs. 7,200 crores in FY23 to nearly Rs. 9,000 crores in FY25.

The Express Parcel business obviously continues to be the largest part of our business. For the full year, it came in at about 60% of revenues. As you can see, the contribution of our PTL business continues to increase year-on-year. The business was 16% of revenues in FY23 and has now grown to 21% of total revenues as of the end of FY25. Supply Chain Services, Truckload services, and other businesses contribute about 19% to total revenues.

In terms of individual business lines, the Express

Parcel business has grown to Rs. 1,256 crores of revenue in Q4 FY25, with about 177 million packages delivered, broadly flat YoY. The PTL business has seen significant growth, in revenue terms we've grown to Rs. 517 crores in Q4 FY25, which is a 24%

growth YoY in revenue and a 12% growth QoQ, representing massive share gain through this period. Tonnage has also

followed the same trend. Overall tonnage has grown from 384,000 tons of freight to nearly 460,000 tons of freight in Q4 FY25, which is a 19% growth YoY and an 11% growth QoQ. Supply Chain Services, the business continues to remain broadly stable. We delivered about Rs. 230 crores of revenue in Q4 FY25, which is largely flat both compared to the same quarter last year as well as the previous quarter. Truckload revenues have also remained broadly flattish from Rs. 160 crores in Q3 to Rs. 151 crores in Q4. Cross Border Services revenues have also remained largely flattish.

In terms of overall FY25 performance. Express parcel revenues have grown to Rs. 5,320 crores of revenue in FY25, which is a growth of about Rs. 300 crores compared to last year and a growth of about Rs. 800 crores compared to FY23. Total Express Parcel shipments came in at 752 million, broadly flattish compared to last year and a growth of about 90 million shipments compared to FY23. PTL revenues continue to grow strongly. FY25 revenues came in at Rs. 1,889 crores, 25% growth YoY, about Rs. 800 crores larger than we were in FY23 and tonnage came in at nearly 1.7 million tons of freight, which is a YoY growth in tonnage of about 20%. Supply Chain Services, while Q4 was relatively flat, FY25 has been a good year from a growth standpoint. Overall, revenues have grown by about 17% from about Rs. Delhivery Ltd

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776 crores of revenue in FY24 to a little over Rs. 900 crores in FY25. The Truckload and Cross Border Services have remained broadly flattish. Truckload came in at Rs. 626 crores versus Rs. 609 crores in the previous fiscal, and Cross Border Services came in at Rs. 179 crores versus Rs. 153 crores in the previous financial year.

In terms of overall profitability, first of all for FY25 as a whole, in the column on the extreme right, revenue from services came in at Rs. 8,932 crores. Overall service EBITDA for the business on an absolute basis has grown by Rs. 43 crores from Rs. 941 crores to Rs. 984 crores. Broadly flattish service EBITDA margin, a mild decline of about 60 basis points from 11.6% in FY24 to 11% in FY25. The Express Parcel business obviously had a headwind in terms of extreme pricing actions from competitors at the end of last financial year, which is reflected in FY25 numbers. Margins for this business came in marginally lower at 16.2% for FY25 versus 18.4% in FY24. There's been a massive expansion of service EBITDA YoY in the Part Truckload business. The Part Truckload business lost Rs. 46 crores in FY24

and has generated service profits of Rs. 101 crores, an overall swing of 8.5% in service EBITDA margin as a whole in FY25. Supply Chain Services was obviously affected by our participation in the quick commerce segment, which as we've discussed before, we've exited. Overall business came in at 2.2%

service EBITDA margin with a service EBITDA of Rs. 20 crores versus Rs. 53 crores for FY24. In terms of quarterly trends, the big change obviously is in the Part Truckload business where service EBITDA margins have grown from 3.8% in Q3 FY25 to 10.8% in Q4 FY25, an expansion of 700 basis points. This has been driven by a combination of both improvements in yield. As we've discussed in previous earnings calls, pricing revisions were underway all through FY25, and these have started to play out. This quarter and the first quarter of the financial year are typically when contracts are renegotiated, and we anticipate that this will continue. In addition, with increasing volumes, there's also been improvement

in productivity levels across the entire network and improvements in fleet utilization, which have led to the significant expansion in overall service EBITDA.

Similar story for Supply Chain Services as well, which is a direct beneficiary of improvement in transportation margins. As you can see, while the overall annual margin has dropped from 6.8% to 2.2% as of Q4 FY25, we are nearly back at run rate levels at about 5.4% service EBITDA margins. The Express Parcel business came in at 15.9% in Q4 in terms of service EBITDA versus 15.6% in Q3. Overall, there continues to be an overhang from Q3 and from some of the pricing actions that we saw last financial

year. We do anticipate, however, that margins will expand in FY26 and beyond.

Corporate overheads, as discussed, have remained flattish throughout FY25. As a percentage of revenue from services, corporate overheads stood at about 9.7% of revenues overall. Wages have remained largely flat. Marketing expenditures have remained largely flat. Technology expenditures have also remained largely flat.

Adjusted EBITDA, therefore, for Q4 came in at Rs. 55 crores, which is a margin of 2.5% compared to Rs. 45 crores in Q3 FY25, which was at 1.9%. And PAT overall has expanded to Rs. 73 crores for Q4 FY25, a PAT margin of 3.1% compared to Rs. 25 crores in Q3 FY25. Overall PAT for the financial year came in at Rs. 162 crores, which is an expansion of Rs. 400 crores or an expansion of about 460 basis points compared to FY24. A quick snapshot of what we've been talking about. As you can see, there has been a consistent trend in improvement in profitability. FY25 is the first year where all four quarters of

the year have been PAT profitable for Delhivery, and Q4 FY25 is the highest PAT that Delhivery has declared in its history.

Overall as you can see, the trend from FY23 to FY25 as well, we declared a Rs.

1,000 crore PAT loss in FY23, PAT has increased by Rs. 1,170 crores from FY23 to FY25 with a Rs.

162 crore profit and 1.7% margin in FY25.

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The other heartening thing and a question that's often brought up, is also Capex intensity. As you can see, and as we've discussed in prior analyst calls, Capex intensity across the business continues to decline sharply. From FY19 to FY25 if you can see the trend, we've come down from 9% in FY19 and were close to the 6.8% to 7.5% range through FY20 to FY24 as the network was being built out. In FY25, Capex as a percentage of revenue has dropped to 5.2%. We anticipate going forward that Capex intensity in the business will continue to remain largely stable and slowly taper its way towards our

long-term

targets of between 3.5% and 4%. That's a quick summary of the financial performance of the company and the operational performance for Q4.

As you're aware, we've also announced the proposed acquisition of Ecom Express, which is currently under discussion with the Competition Commission of India and we await approval. We had put out a detailed note on the Delhivery website and filed with the exchanges a document on the frequently asked

questions about the acquisition. We'll cover it briefly through this call as well. So in terms of questions around integration, our belief is that the integration of Ecom Express is materially different from our prior integration with Spoton, which we had acquired in 2022. The risks of the integration are also materially lower. As we've discussed in the note that we've put up, there are a couple of key reasons why

this is the case. I'll just quickly recap them. In terms of customers, we have a nearly 100% overlap of customers with Ecom Express. All of the customers that work with Ecom Express and with Delhivery are already deeply integrated and familiar with Delhivery systems, and all of our customer-facing business processes, right from the operational processes to billing processes, collections, and reconcili-

ation are equivalent or similar.

In terms of relative scale, Ecom Express' volumes are about 40% of Delhivery's Express Parcel volumes. In terms of overall tonnage or freight carried, the network tonnage of Ecom Express' network is less than 20% of Delhivery's total tonnage. By way of comparison, at the time of our acquisition of Spoton, Spoton's PTL volumes were close to two times that of Delhivery's PTL volumes. And so the overall delta in tonnage between Ecom Express and Delhivery significantly reduces the complexity of this acquisition. In terms of network, we expect that limited facilities will be retained, and the facilities that we retain will seamlessly be configured as Delhivery nodes. Facility retention will largely be limited to locations either where Delhivery is capacity constrained or where repurposing an existing transportation facility into a

Delhivery fulfillment center or service center is feasible. No additional technology, no new technology will be required for integration of these facilities into Delhivery's network. In terms of people, Ecom Express is a high-quality network, and the Ecom Express employees are sufficiently familiar with e-commerce logistics. They've been in this industry for a long time. The regular attrition in Delhivery's network itself will provide us sufficient room to absorb all of the qualified staff from Ecom Express across our operations around the country. Needless to say, at the time of their onboarding into the Delhivery network, they will also undergo rigorous training via the Delhivery Academy. Our purchase consideration already includes or factors in about Rs. 300 crores of integration costs. These have been considered, and we anticipate that we should be well within this envelope.

In terms of volumes and retained volumes, our assumptions on retained volumes were fairly conservative to begin with. Our assumption was that we would retain close to about 30% of the volumes of the Ecom Express standalone network. From the time that the deal was under consideration up to now in May, we've already seen an organic uptick in the volumes of Delhivery's standalone Express Parcel network. As you can see, our Jan. Feb. daily average volumes are represented by the black dotted line on the left. From there going into March, we saw an uptick in overall volumes as customers began to shift some of

their volumes into the Delhivery network. On formal announcement of the deal, this has continued and has been solidified.

The trend in April was marginally higher than the trend in March, which in itself is

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a new phenomenon. Generally speaking, Q1 volumes are soft, and April volumes tend to come in below March volumes. So this is a positive sign. And May volumes on average have been higher than both April and March volumes as well. So overall, I think from a volume retention standpoint, we remain highly satisfied.

The Ecom Express P&L is here, we've put out a detailed note on this. The important consideration, of course, is that the PAT number that was reported, which was a PAT loss of Rs. 398 crores for the nine months of FY25, consisted of also a net loss on fair valuation of CCPS of Rs. 215 crores. Adjusted for that, the overall PAT loss for Ecom Express stood at Rs. 184 crores for nine months of FY25 and an adjusted EBITDA loss of Rs. 104 crores for the nine months of FY25. This was already factored into Delhivery's consideration for the network. In terms of balance sheet, I think the key factor over here is

on property, plant, and equipment. As of December '24, overall PPE, including capital work in progress, stands at Rs. 464 crores, of which plant and machinery, office equipment, computer and IT equipment stands at Rs. 370 crores. The company has about Rs. 200 crores of automation assets, which are available for Delhivery's use. A reasonable portion of these are also from Falcon Autotec

h, which is a Delhivery portfolio company. We do not anticipate any complexities in redeploying this automation equipment across the Delhivery network. And our belief is that this will sharply influence our own Capex plans in FY27 and beyond.

So with that, that's a quick summary of overall performance. We're quite satisfied with overall profitability improvements through this financial year. And I think it sets us up very well for FY26 and beyond. I'll pause here, and be very happy to take all of your questions. Thank you.

Moderator:

Thank you. We'll now start with the Q&A and we will take the first question from Krupa Shankar. Krupa Shankar, please go ahead.

Krupa Shankar:

Yeah, thank you for taking my question, and congratulations on great achievement with respect to profitability in the PTL segment as well as overall PAT for FY25. The first question is on the PTL piece - just wanted to get a sense that you have significantly outperformed the underlying industry growth in PTL and by far, we would be the second largest player in the ecosystem based on tonnage. I want to get your sense, Sahil on what is the growth runway you are expecting, given that we have reached certain economies of scale. And the second piece is, while yield management, of course, has played a crucial role, can you talk a little bit more about the operating efficiencies which you achieved beyond operating leverage this quarter? Because, just on the QoQ tonnages, is that what is entirely driving the margins, something on those lines.

Sahil Barua:

Sure. So yes, our PTL business has obviously been a great story for the last two financial years, especially after the Spoton integration, we've outgrown the industry quite comprehensively. I think it's a testament to the overall quality of the network. It's testament to the overall investments that we've made in capacity, in automation. And I think we see no reason to believe that our growth runway in PTL is going to be

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significantly different from what we've seen so far. You know the market in India is heavily unorganized, as we've discussed several times. The reality is that Delhivery is effectively organizing this industry. And as long as, whatever, nearly 80% of this industry continues to remain unorganized, there's very, very large headroom for growth for Delhivery in this space. We will continue to exploit that. I think from our standpoint, as you can see and I've mentioned in FY24 throughout my analyst calls and in FY25, we had a responsibility not just to deliver growth, but also to demonstrate that this growth would come with the operating leverage and the margins that we've always signaled. As I've always said before, we expect that PTL margins will be similar to the margins that we see in our Express Parcel business. And while of course, we've had a consecutive, you know, eight consecutive quarters of improvements in our service EBITDA margins, I think the reality is that at 3.8%, there were obviously questions being asked about whether we would ever get to those numbers. Hopefully, as you can see, the Q4 numbers, which have come in at 10.8%, and we brought up several times that as the business gets closer to about 175,000 to 200,000 tons of freight, we hit nearly full potential margins. That's quite visible. I do want to be clear that Delhivery's aim always, to begin with, is to make sure that we can deliver the profits we say we do on the revenues that we say we do because generating revenue, by itself, is not very hard in logistics. The difficult part is delivering it with profitability. I think we'll continue to take that approach. Our approach to building capacity will also remain similar.

So our anticipation is that as long as we can continue to profitably get accounts, as long as we can continue to build capacity in a safe fashion, the growth runway is not affected, and neither

is the margin trajectory.

In terms of yield management, no, yield is not the only driver of the improvement in margins. Yes, yield is one part of the story. Overall, yields have gone up, I think to about Rs. 11.3 per kilo of freight delivered compared to, I think, Rs. 10.9 in Q4 of FY24. Do bear in mind that in Q4 FY25, we also onboarded a very large customer in HPCL where the yields are significantly lower actually than the Rs. 11.3 yields. So the like-for-like comparison YoY will be even stronger. I think this reflects two things. One is, as I mentioned, it reflects the success we've had in renegotiating poor rates that were signed in the Spoton era and that we had to reset, our team has been doing that for the last two years. And second, to be honest, it also reflects customers' confidence in the Delhivery business because we have both delivered 20% YoY growth as well as delivered improvements in yield through this period. That's one part of the story, however. The second part of the story has also been sheer operating leverage, which, of course, has come from increased tonnage flowing through the network. But remember saying operating leverage is easy, actually generating it and engineering it is much harder. So, what you're seeing here is, what is finally coming to fruition is the investments in automation, is the investments in software, in operating systems and in training that we've been making over the years. We are the only network which is capable of delivering these massive jumps in growth. And at the same time, also delivering profitability at the same time.

To give you a sense, between FY23 and FY25, Delhivery's PTL revenues have grown by nearly Rs. 800 crores. There aren't too many PTL businesses in India, which do Rs. 800 crores of revenue at all. So that should give you a sense of how our operating leverage has improved. And the third driver apart from operating leverage on just the pure facility and fixed cost has been a massive improvement in fleet utilization as well. As I've brought up several times in the past, one of the hardest problems in trucking is figuring out how to optimize your yield management at a truck level. Software systems have been maturing over the years, and we've gotten much better at figuring out what loads go on to what trucks. As we've been able to increase the density of loads that are going on to trucks, that's obviously improving profitability as well. And obviously, the other piece is, as we've expanded our sales force, which is something that I've spoken about as an impediment to growth in the past, as that has slowly started getting

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solved, what we're seeing is that we're also able to generate business in locations which previously were considered to be sort of smaller locations or reverse locations. And as we are able to generate more loads coming out of these reverse locations, they obviously bring up aggregate utilization across the network. So, it's a combination of yield improvement, pricing discipline, investments in automation, sheer operating leverage coming from scale, improved fleet utilization coming out of software improvements, better training of the staff on the ground. So, it's a lot of things coming together.

Krupa Shankar:

Got it. One follow-up on that, Sahil, what would be the fleet utilization levels at the moment in 4Q?

Sahil Barua:

Krupa, you know, you guys ask us questions about utilization in every quarter, and every quarter, I come back and say the same thing, which is our job as engineers of the network is to make sure that no matter what we think the base is, we can actually improve utilization. So my own estimations of what the available capacity of the fleet is have changed over time. I think, look, we've always said that our utilization prior to Q3 was in the sort of 65% kind of range. Q4 on a similar comparable basis would have

gone beyond 70%. But the reality is, as we get better at engineering our truck routes as we get better at engineering our facilities, as we get better at designing software that tells us what to load on the trucks, the definition of the capacity itself is changing. So, you'll have to excuse me for not giving you a highly specific point estimate. All I can tell you is that fleet utilization has improved quite significantly between Q3 and Q4.

Krupa Shankar:

Sure. Thanks for that. One more question on the e-commerce piece. Express Parcel, the margin profile is hovering around 16%. Last year, we were close to about 18% or so. I just wanted to understand if this is going to be the new normal, at least over the near term and probably you would see that the margin expansion would kick in when Ecom Express gets integrated. Is that the right way to think about it?

Sahil Barua:

Yes, our primary reason for acquiring Ecom Express obviously was because we have extremely high incremental margins, as we've discussed in the past. Even with pricing pressure, Delhivery's incremental margins tend to be in the 27% to 30% range. And as you've seen in the past, without the pricing pressure our incremental margins can sometimes be as high as 50%, depending again, of course, on where the volume comes from and where it's going to. As our network continues to fill up with the volumes that we retain, we do anticipate that there will be some expansion in overall margins. The good thing in our network because of the operating leverage is that even if the gross margins remain broadly constant as volumes increase with the network, the service EBITDA margins will continue to rise. So yes, as volumes come in, once we finish with the integration, we do anticipate that normative margins will go up. Now, what percentage of that we may continue to pass to some of our deserving customers in terms of what share of wallet they reward us with or if we want them to actually drive further growth, remains to be Delhivery Ltd
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seen, but I think also as you will see pricing pressure in this industry will significantly be reduced going forward.

Moderator:

Thank you. We will take the next question from Sachin Dixit. Sachin, please go ahead.

Sachin Dixit:

Hey, Hi Sahil and team, congrats on a decent set of results. My first question is with regards to the acquisition, basically. So with Delhivery acquiring Ecom Express and some sort of market chatter being that Xpressbees piece is also not in a very good shape. How do you think 3PL industry structure evolves going forward, right? So effectively, it looks like it's Delhivery and maybe someone like a ShadowFax and some other smaller players who will rule the roost. Is it how you see it?

Sahil Barua:

Sachin, I'll answer this question the way I always have. Delhivery has always been more than 100% of the profit pool of this industry. That position has only been strengthened over the last financial year. As we mentioned before, at the pricing that currently prevails in the market, Delhivery is the only profitable player in this industry and to the best of our understanding our remaining competitors with model similar to Ecom Express have also seen an expansion in their losses in Q4, which means our competitive positioning continues to be better. I have been public about this. There were too many players in this market in the previous quarter. Our acquisition of Ecom Express has not changed that dynamic. There are still too many players in this market. And in terms of what exactly will happen as I've mentioned, you

know, how long can unprofitable players continue to survive in this market is a question that I am not best placed to answer. I think the reality is it depends on how much capital they have left. But I think what this deal has done is it does signal that if you are a loss-making network in

Express Parcel with no path to profitability, consolidation or exit is an inevitable outcome. So I think we're very happy. Our position will continue to improve. As you can see from our cost advantages, they are not theoretical, they are material. Our service advantages are material because customers don't reward you merely for having the lowest cost. And at the end of the day, we will continue to grind our way through these advantages and make sure there is very limited, if any breathing room for any competitors in this space.

Sachin Dixit:

Got it. Got it. My second question in regard to the rapid commerce foray that we had. Any updates on that? How is it shaping up, how many dark stores, orders per dark store, et cetera?

Sahil Barua:

I think Ajith Pai is on this call, why don't I ask Ajith to take that?

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Ajith Pai:

Yeah, I think it's satisfactory in terms of what we had planned. We are in three cities as of this quarter and about 18 dark stores. In terms of orders per dark stores, the older dark stores are now clocking at about 350 to 400 orders per day, while the newer ones, of course, have a certain ramp up time. But it's early days. We had, I think, pointed out that this is something which will take some time, and we're planning an overall number of 50 dark stores over the entire fiscal.

Amit Agarwal:

Just to add that these dark stores are nowhere comparable to the size of the typical common dark stores. They are significantly smaller.

Sachin Dixit. Got it, Amit. Just a quick follow-up on the orders per day, right? So we obviously mentioned like roughly at 700 to 800 orders per day is when this breakeven. How much time do you anticipate that to be for the older dark stores to reach?

Amit Agarwal:

So our expectation is that it will take about four months to five months for an individual dark store to get to that point.

Sachin Dixit:

Got it, Got it. Thanks Ajith. Thanks Amit. Sahil Barua:

Sachin, I'll just add one more thing on top of that. When we think about our rapid commerce business, one of the things we've realized is that this is not just an exciting form factor for B2C clients alone. In fact, when we started the thesis was around B2C, but what is becoming particularly interesting is that we now have B2B customers who are saying that they would actually like to participate in a faster form of commerce. So for example, there are players who want to deliver spare parts to various parts of their supply chain or time-critical machinery to various parts of their supply chain within three, four hours and so on. And in fact, one of the things that we are evaluating now is, how do we open up our shared dark store network to B2B as well. And I think over the long-term, as I look at it, the reality is that's possibly the more interesting part than the B2C part.

Sachin Dixit:

That makes sense. Sahil, thanks a lot and all the best.

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Moderator:

Thank you. We'll take the next question from Vijit Jain. Vijit, please go ahead.

Vijit Jain:

Yeah, Hi. Thank you. And congratulations on a pretty good performance on the OpEx front here. My first question is on the Rs. 300 crore integration costs comment that you made, Sahil. So just trying to double-click into that, is this mostly payouts related to the locations you would shut down, et cetera, and those things? Or does it include the operating losses that the business will incur while you integrate?

Sahil Barua:

It's a combination of two things, Vijit. One of them is going to be the lease liabilities, which contain lock-ins. We had anticipated that, the extent of time it would take for us to shut down. That said, we'll make every effort to either repurpose facilities within the Delhivery network as fast as we can or alternatively negotiate with

landlords for a slightly shortened lock-in period. We've taken the full cost obviously. The second is, yes, you're right. As the core part of this network, which cannot be shut down, continues to survive and some volumes flow through. There will be some operating losses that we had factored in. I think we've been pretty conservative about the roll back of the Ecom Express network. And as things stand, I think once we have approval, we'll be able to fully roll back much faster than that. So it does include a certain amount of operating losses as well. Amit, you have a more detailed answer, feel free to come in.

Amit Agarwal:

Sahil, these are the two broad categories in which we have accounted for this Rs. 300 crores.

Vijit Jain:

Got it. Thanks. And my second question is, so Sahil, to your earlier comment on when you were showcasing the March, April, May, weekly order inflows. So you said some clients have already started to move and April and May have had, despite the seasonality being weak, some uptick in volumes. So in general, just wanted to understand that because most of these clients are already on Delhivery, what exactly is happening here? And to what extent do you believe this is them actually moving from Ecom Express to you? I'm just trying to understand how that comment was arrived at.

Sahil Barua:

Yeah, so I think what exactly is happening is clients are moving their volumes into Delhivery's network. And as expected, it has been a very seamless transfer, it appears to be. Customers can just manifest whatever volumes they want to, into Delhivery in any case. I think customers are obviously looking to balance out their volumes between Ecom Express and Delhivery. And you know in some cases, they are shifting certain kinds of PIN codes into Delhivery preemptively. I think it's a very positive sign that the

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Delhivery network has been able to handle these volumes without any concerns whatsoever. In terms of how they are balancing across various logistics companies, I think the reality is most of them are moving volumes into Delhivery. And our overall share of the market is going up pretty rapidly.

Vijit Jain:

Got it. Thanks. Sahil, just on that, your current assessment of what volume share – what percentage of the volume would you be able to retain?

Sahil Barua:

Our estimation when we did the calculation of our consideration was that we would retain about 30% of the volumes within the core Ecom Express network. While I think it's been two months right now, Vijit, one and half months really, since we've announced. And you know, it's best to make more definitive statements once we have the CCI approval and things play out a little more. But let me put it this way - as of now, we are very happy.

Vijit Jain:

Got it. Thank you so much. Those are my questions.

Moderator:

Thank you. We'll take the next question from Abhishek Banerjee. Abhishek, please go ahead.

Abhishek Banerjee:

Hey, congratulations guys on a great set of numbers. So first, with regards to your Express Parcel business, right. So how are you kind of looking at the in-sourcing trend right now? And I think last quarter also you mentioned that it is probably the worst is behind us. So how to kind of look at it as we go ahead. And I mean by you, you know, buying out Ecom Express, some of the capacity will be vanquished here, right? So would that not mean that a disproportionate kind of share has to come to you because otherwise you wouldn't have the capacity. If you could just explain this part, it will be great.

Sahil Barua :

I don't really need to, Abhishek you answered your question. So the reality is we do anticipate that we will accrue share. That obviously was the basis of the acquisition itself. As I have mentioned in the past, this industry was plagued with excess unproductive and loss-making capacity. Not just

within Ecom Express

but other players as well. And I think as the capacity in this industry becomes normalized and the interesting thing with Delhivery, and Delhivery is the only player in the industry who can do this, while we normalize capacity

and reduce it in this industry, pricing of shipping will not go up. In any other industry, if you were to normalize capacity, you would imagine that pricing of logistics would go up.

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Given our inherent advantages in our cost structure, this will not happen. And hopefully, what that will mean over time is that customers will choose the right service for themselves, which is the highest quality service, the one with the highest reach and the one with the most efficient pricing.

In terms of self logistics, you know, I've said this several times in the past, when looked at purely from a dispassionate lens of cost and service performance, self logistics businesses do not compare favorably with third-party logistics and certainly not with Delhivery's network. I've gone into this in extreme detail over the last two years. The fundamental logic hasn't changed. Wherever these self logistics arms are being run for non-financial reasons, in that situation, I suppose they can continue for any length of time. So nothing is fundamentally altered. I think the worst from a self logistics standpoint is behind us. I think the industry will continue to consolidate. I think Delhivery will get its share and we will solidify our position in this market.

Abhisek Banerjee:

Got it. Now if I look at your Capex outlook, Amit, always guided for about 5% odd number. Now given you are talking about almost Rs. 170 crores of automation Capex in line with e-comm. How do you kind of see the Capex number for the next couple of years?

Sahil Barua:

Amit, do you want to come in?

Amit Agarwal:

Abhisek, first of all, I think what we have said and Sahil reiterated earlier in the call is that our long-term guidance for the Capex is in the range of 3.5% to 4%. And what we expect is, over the next two years to three years, the Capex on automation equipment should be minimal. Now this, of course, is a bit dependent on how much growth we see organically in the market for us post the acquisition, but to put certain numbers in perspective, when we look at e-comm's DRHP, I think they filed that they have capacity to do about 120 million shipment sorts per month, whereas the volume retention that we have factored in our valuation would basically mean that we are retaining roughly only about 15 million per month. And let's assume there are two sorts. There are 30 million sorts per month. So in a sense, about 35 million shipments per month additional parcel sorting capacity. That's a broad number. Now over a period of two or three years as this growth adds on to the business, we should not require to buy parcel sortation systems, we will require to buy bag sortation systems for our PTL and integrated PTL and B2C bag sorting at that point.

Abhisek Banerjee:

Understood. In terms of the integration cost of Rs. 300 crores that you spoke about, so the cash outgo for the acquisition will be only about Rs. 1400 crores and the rest passes through P&L. And finally, just one more question on the outlook on PTL growth going ahead, given you already are sitting on a very high base this year.

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Sahil Barua :

I think we've already answered the question on the integration costs, Amit. Is there anything else that you want to recap?

Amit Agarwal:

No. That Rs. 300 crores will pass through the P&L of Ecom Express, you're right. Sahil Barua . And in terms of the outlook for growth, again, I have discussed this already. I think our outlook for growth continues to remain positive in the PTL industry. As I mentioned, we've add

ed nearly

Rs. 800 crores plus in revenues between FY23 and FY25. That's the size of a reasonable number of PTL companies in India as a whole. So we will continue to go after this market. I think our belief is that there is a strong trend of movement from unorganized PTL towards organized PTL. I think there are a large number of origins that continue to remain highly under-served by organized high quality players like ourselves. And as you can see, we again have very large cost advantages that flow through and are visible not just in our Express Parcel P&L, but also in our PTL P&L. And those cost advantages allow us to service PTL customers across the country with a higher quality network, faster speeds, lower damages and highly competitive rates. So I see no reason for us to have any change in our growth expectations of the PTL business.

Abhisek Banerjee:

Superb, thanks. Best of luck for FY '26.

Moderator:

Thank you. We'll take the next question from Dhruv Jain. Dhruv please go ahead.

Dhruv Jain:

Hi team, thanks for the opportunity. My first question was on the Express Parcel business. So in FY'25, the 3PL market was obviously facing challenges with respect to insourcing and weaker demand. Sahil, what's your take on FY'26? Do you think that the industry can go back to get growth? Or do you think that there could be certain headwinds that still come in the way?

Sahil Barua :

I mean, very bluntly, I don't care where the industry goes. I care about where Delhivery's volumes go. And our anticipation, of course, is that through the acquisition of Ecom Express, we will be able to grow faster. As I mentioned, there are two kinds of industry scenarios. One is an industry which is growing, let's call it, 18%, 20% a year or higher. In that situation, Delhivery will obviously get at least market Delhivery Ltd

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growth, if not more, because one of the challenges in this industry, of course, is creating capacity and managing capacity, and Delhivery is the only player which has the ability to manufacture productivity and capacity across the country. What also helps us, given that we're a freight denominated network, incremental volumes in Express Parcel are actually a very small fraction of overall tonnage carried in the network. And so the amount of extra capacity that we need to create pan India is very small. So that's the case where the market does very well.

In the case where the market doesn't do very well and has sluggish growth, as you've seen in the last financial year and the year before, the reality is that it becomes highly unsustainable for other players to survive. The reality is while the market was growing, several errors in network design and pricing went relatively unnoticed for our competitors in this space. As we mentioned, the parcel only network model built around either franchise models or built around highly specific parcel origins is a poor model, and it doesn't deliver profitability, it doesn't work in a country like India. Delhivery is the model that works. And so in a world where parcel volumes remain sluggish, counterintuitively, perhaps Delhivery's competitive position is strengthened further. So the reality is the last two years of sluggish growth have accelerated our share of the overall profit pool of the industry, while maintaining market share. So

irrespective of what happens to the market. I think from a Delhivery standpoint, we are very satisfied with where we are, and we anticipate that with this acquisition and consolidation, there will be additional growth in our parcel volumes.

Dhruv Jain:

So the second question that I had was on the customer additions, we've seen a very sharp customer addition for Delhivery over the last year or so. Just wanted to clarify, is this largely the PTL SME push that we're doing? Or is this also a lot of addition in the e-commerce business?

Sahil Barua

a :

It's both, Dhruv. So in the SME space, the gateway to Delhivery is effectively Delhivery One, which is where clients can access all of Delhivery services both Express Parcel as well as PTL, it's a self onboarding platform. And as more and more customers discover Delhivery services, they self sign on and we service them both on PTL and on Express Parcel. I don't have the exact numbers in terms of what number out of this extra growth has come from Express Parcel versus PTL, but it's both. And some are also coming in through our new service, which is an expansion of Delhivery Direct, which is our local service, which is essentially an on-demand three-wheeler, two-wheeler service that we've launched in the city of Ahmedabad and we've just gone live in Delhi. We also intend to go live in Bangalore and in Bombay over the next 45 days. So some of these are also SMEs coming into that platform.

Dhruv Jain:

Got it. Thanks. And all the best.

Moderator:

Thank you. We'll take the next question from Gaurav Rateria. Gaurav, please go ahead.

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Gaurav Rateria:

Hey, congrats on good execution on profitability. I have a couple of questions. My first question is just a little bit of a bridge to understand this quarter's profitability, as I think last quarter had a certain one-off cost on freight cost, which would have normalized. Also, there might have been some actions to rationalize the capacity which you mentioned in your remarks on service centers, et cetera, when you're talking about this quarter? The second question is on Express Parcel. You alluded to certain pricing actions. Historically, Delhivery has led any price action. Was it different this time? The third question is

on working capital and Capex. A great job done. Going forward, do you think that we have achieved the level of working capital days that we've intended to in the past or is there a further room for improvement. And this Capex of 3.5 to 4%, is this something that you tend to achieve over the next two years? Just trying to understand the timeline is one year, two years or more like a medium-term outlook? Thank you.

Sahil Barua :

Sure. Amit, do you want to quickly start with Capex, and then I'll move on to the other items.

Amit Agarwal:

Sure. So Gaurav, coming first to the working capital, I think on Express Parcel and Part Truckload businesses, while we don't disclose each business line wise working capital days, we are fairly close to our target number of days. I think there is still room to reduce working capital days in these two businesses by two to three days for each of them. However, in our Supply Chain Services business, we have a significant room for improvement. Hence, I would expect that over the next two, three years, you can expect one to two days improvement on an overall business basis for working capital. On Capex, I think there is a fair bit of chance that in FY27, we will be able to start hitting our long-term Capex targets on the back of excess automation equipment that we will acquire in Ecom acquisition. So yeah, it's fairly possible that FY27 onwards, our Capex would be in that 4% range rather than 5% range and will strive to maintain around that.

Sahil Barua :

In terms of pricing, I think, yes, historically, Delhivery has led pricing in this industry, as I've discussed several times every three years or so, we typically tend to make a big pricing move. I think last year was the one year where we did not lead the pricing move in the market. As I've mentioned, we did see that competition in this industry, in order to wrest short-term market share, took certain pricing calls, which at that time and perhaps in hindsight, we judged correctly. Our anticipation was that this pricing was suicidal and was untenable because the pricing appeared to be at a negative gross margin. So we waited it out, and that obviously refl

ected in our numbers in Q4 of the last financial year, and that overhang continued through this year, obviously.

I think going forward, the way Delhivery will look at pricing is as we always have, which is when we discover systemic engineered efficiencies, that are sensible for us to pass on to our customers in a neatly sliced form, which means in a complex form that is dependent on origin, destination, the kinds of products

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they're shipping, the quality of their customers, the weight of their packages and so on, we will continue to do so because our interest ultimately is in making our clients' businesses more viable. Fundamentally, in e-commerce, the reality is that logistics is a large input cost. And especially if you look at the three large marketplaces and even perhaps one level below them, one of the problems in this industry historically, and why there has been client-led pricing pressure, especially for our competitors, is that we essentially service customers who can't afford our services. And so we effectively have to continue to find efficiencies. Unlike competition in this industry, Delhivery has engineered those efficiencies rather than merely attempted to reduce price. So we'll take those calls on a case-by-case basis, on an origin-by-origin basis, on a product-by-product basis. All our clients, of course, are eligible and we like to give them volume linked discounts and share of wallet linked discounts as we grow. That's a carefully chosen decision, however. So hard for me to comment on exactly what path it will take. But let me put it this way, suicidal price, I think, in this industry, more or less at this point in time has ended because I assume most players have seen the consequences of that kind of pricing.

Gaurav Rateria:

Thank you. And the first question that I had on the bridge on this quarter profitability with various elements such as normalization of freight costs, some reduction in excess capacity, et cetera? Thank you.

Sahil Barua :

We don't have an exact bridge at this point. But suffice to say, even if freight efficiencies had been discovered in Q3, you're right, we did have excess freight costs that we had carried right at the start of the quarter when volumes went up. But I think even adjusting for that, net-net, there has been an improvement in profitability QoQ. And if you look at it just in terms of reduction of excess freight centers or excess real estate, if you go back to the statistics slide at the start, the reduction in real estate is actually not that significant. I think it's from about 20.5 million square feet to about 20.1 million square feet or thereabouts. So yes, there is some impact, but it's not as significant. I think the big improvements have come really from organic improvements and fleet utilization, which have been driven both by an improvement because of automation and improvement because of software led loading of trucks, better routing of the trucks as well and obviously, much better and targeted business development. And of course, some of it is down to the sheer operating leverage because of the PTL business.

Gaurav Rateria:

Thank you. Very helpful. All the best.

Moderator:

Thank you. We'll take the next question from Koundinya Nimmagadda. Koundinya, please go ahead.

Koundinya Nimmagadda:

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Yeah Hi, Sahil, thanks for the opportunity. Three quick questions. Firstly, a book-keeping one. What would be the percentage of your largest customer today, it was about 16.5% or so number last year, what would that number be today? Book-keeping question on that. And the second one is on the Express Parcel realization versus margins. So we see the realizations going up, but margin per parcel has been trending down. Now the thing I was trying to understand is, is this re

alization going up due to the change in customer mix? And is that also the reason for a reduction in your margins over here? And the last question

on the Ecom Express integration side. What was the reason why you assumed only 30% retention on the customer side? What was the fear out there in being so conservative?

Sahil Barua :

So I think the third question is the easiest. I think an optimist can never be pleasantly surprised. So the reality is it made sense for us to have a conservative basis for the valuation of the asset. And we are pleasantly surprised. So that's the short answer on Ecom Express.

In terms of realization versus margin, yes, realizations have gone up, margins have trended down a little bit. You're right. It is entirely down to parcel mix. It's not just the mix in terms of clients, it's also the mix in terms of weight and distances, both of which also have an impact on overall profitability. That said, I do want to point out that I know it feels like there's been a systemic downtrend in margins from whatever 18-odd percent to 16%. But that said, do bear in mind that as a lot of this pricing overhang in this market clears up, there's no reason for us to believe that we won't be able to get back to our 18% margin level. So I wouldn't read too much into this 18% versus 16% at this point.

There's no structural change to the business. There's no structural change to our margin profile either, at this point in time. And in terms of the percentage of business from our largest customer, I think there's no major swing in terms of percentage of our business coming from the largest customer. In fact, as the PTL has grown the contribution of the largest customer would, in fact, have reduced. Amit, I don't have the exact numbers, would you happen to have that?

Amit Agarwal:

Sahil, last year we disclosed that our largest customer was about 16% of our revenues, 16%, I don't think there is a material change to this number. There will be some decimal point change here or there.

Koundinya Nimmagadda:

Understood. So just on that realization versus margin. As the industry opportunity moves away from the horizontal or the marketplace players, do you see a potential opportunity for Delhivery now being the largest player after the consolidation, perhaps having a significant share being able to take on price hikes and also drive margins. And also because here, you don't get volumes from a single concentrated customer, the volume aggregation risk also lies with Express Parcel players. So do you think that will also add like a competitive advantage for you?

Sahil Barua :

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Competitive advantages have not been determined by this acquisition. Our competitive advantages have been built over 14 years. So they will persist. In terms of taking price hikes, as I've mentioned in the past, there will be a time in this industry when pricing will begin to float up. As far as Delhivery is concerned, that will be the day that our productivity gains can no longer outpace inflation. As things stand, we continue to have fairly formidable engineering and software capabilities, which allow us to manufacture productivity ahead of inflation. As long as we continue to do that, I think the right answer for our customers and the right answer for all of India's manufacturers and traders, whether it's in B2C, e-commerce or in B2B is for us to bring down the input cost of logistics. As we've mentioned, this is essential for our customers to be able to grow their businesses. And so as long as we're able to manufacture these efficiencies, we will continue to question our pricing and see whether there are ways for us to make it more affordable for our customers. So we're not at that point yet. That said, as I mentioned, all of this will be subject to absolute margins in our business as it continues to grow.

Koundinya Nimmagadda:

Underst

ood. Thank you. And all the best.

Moderator:

Thank you. We'll take the next question from Aditya Mongia. Aditya, please go ahead.

Aditya Mongia:

Thank you for the opportunity. I'll go ahead with my questions. The first question would be on this comment you made of new services and related Rs. 6 crore loss that you have booked in the adjusted EBITDA for the quarter gone by. Are these related to your quick commerce endeavors and if so, how to think through this loss -making number becoming profitable over a period of time.

Sahil Barua :

Yes, it is linked to the quick commerce, rapid commerce business because a number of the dark stores as they were set up, there's about a one month to one and half month period where these are tooled up and where customers begin to consign inventory into the dark stores. So they're essentially not generating any revenue at that point. It's not particularly dissimilar to how the fulfillment center in the Supply Chain Service business also operates. The only difference in the larger fulfillment centers, of course, is that we were able to negotiate rent -free periods for fit out and for consignment of inventory whereas in the dark store business, it takes a little bit of time. The dark stores are also at different stages of evolution. The ones that we currently have in Bangalore, Chennai and Hyderabad, I'd ask Ajith to come in just a minute. The way we are looking at it is the oldest cohort of dark stores starting to turn close to breakeven in Q2. And then sequentially, as other dark stores get there, this loss should come down. Ajith, do you want to comment on this in some more detail?

Ajith Pai:

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I think that's more or less what the situation is, Sahil. I think the only other point I would mention is that it does take some time for client onboarding due to integration with inventory systems. And that's the other variable, which decides how fast the orders ramp up.

Sahil Barua:

The other thing, Aditya, just to note, is that a part of this is also linked to the launch of our Delhivery, local Delhivery Direct business, which is the on-demand availability of three-wheeler and two-wheeler forms. We had launched in Ahmedabad and there's a supply creation phase where there are a certain amount of losses that we bear. We've also launched Delhi and Bombay, so there will be some amount of burn that will come from those two locations. And as those start scaling up, I think our anticipation is once we get to perhaps a couple of thousand orders a day in these cities that burn also starts dropping very significantly. We're already seeing an improvement in profitability in Ahmedabad. Now we've launched in Delhi, so that will negate some of the gains that we've had in Ahmedabad. But those are the two sources of the burn overall.

Aditya Mongia:

Understood. The second question that I had was on the Part Truckload segment. I just wanted to kind of check that as you incrementally want to improve margins from there on. Would improving yields have a bigger role to play from here on or an improving cost structure. In some ways also to understand what is the sophistication of the customers' needs and whether yields can be a fairly good way of us adding value and getting good value in return?

Sahil Barua:

It's a good question, Aditya. I think both things will happen going forward. There'll be improvements in yields as well as improvements in underlying productivity and operating leverage and scale as the volumes go up, I think the yield story is not done fully yet. We've gone from about Rs. 10.8 to Rs. 11.3. And as I mentioned, the Rs. 11.3 in Q4 includes HPCL, which is a shorter distance and hence a lower yield customer. So actual yield inflation has been more than that. I think yields will continue to go up. Most of the new business that Delhivery is developing on a monthly basis

actually is coming in at very healthy yields. I think that's reflective of customers paying additionally for the express service that we provide. Customers are willing to pay an extra, whatever, Rs. 1 to Rs. 2 per kilogram for highly reliable express services pan India. So it's difficult for me to give an exact forecast about how the yield will look every quarter because as HPCL grows and as we get more customers like this, the short distance customers, the yield will sort of bounce around a little bit. But net-net, I do think that the yield story is not complete yet. In terms of cost structure, obviously, one of the big things is just straight-out operating leverage. As volumes go up, margins have continued to go up. But as I mentioned, there are very serious advantages that are now starting to show both because of the automation as well as because of our ability to yield-manage the trucks, which is effectively to manage what goes into what trailers. The other thing, obviously, is as our trailer form factors evolve going forward, which is still something which is in very early stages, we should see other additional benefits accruing to the PTL business.

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So let me put it this way. The important question at the start was can the PTL business turn profitable. I think that's been answered. Can we get to a 10% -plus kind of margin. That's also been answered. Will we get to our normative margins? I think we're very confident. Can margins float above even what the normative margins are that we've said in the past, I think even that's now looking like a real possibility.

Aditya Mongia:

Understood. Maybe one more question from my side. Sahil, this is on the Express Parcel segment. Now as you said, the last two sluggish years have made you even more competitive. You're now adding another acquisition that makes the scale also go up. As thinking what more needs to be done to kind of increase the share of pie with the captives. Is there something different that Delhivery needs to do? Or is it just a kind of wait and watch game, how should one think through it? Because from a cost perspective, that was the only reason why outsourcing and insourcing decisions have to be taken as it's becoming a little bit clearer how the captives should be thinking about it? And part B of this question is, as at some level, the fact that Delhivery may be the only large surviving third- party kind of option for captives, would there be other reasons why captives may think very differently about insourcing, outsourcing, and how to tackle that situation?

Sahil Barua:

So I think in terms of what Delhivery will have to do differently, I think there are a few things in our discussions with our key strategic customers and we've had several over the last couple of months, I think everyone is looking for kind of, for lack of a better way to put it, an off -ramp from captive towards third-party logistics and are trying to find the right engagement model, I think there are areas where captive players have realized that they are particularly uncompetitive. And so rather than taking a one size fits all reduction in captive share of wallet, they're taking a more nuanced approach saying there are certain categories that it makes more sense for a third party to operate, for example, heavy goods or certain kinds of destinations or certain kinds of distances or certain kinds of origins or certain times of the year. So I think those are discussions that are ongoing. And as I mentioned, I think rather than a wholesale shift from captives, I think this kind of piecemeal shift quarter -on-quarter for the next several quarters is how we will go about it. It's also more easily digestible than deconstructing an already built -out network. So what Delhivery will have to do is to build all these capabilities.

See we already have pretty solid capabilities on h

andling heavy, which is unique to us because of the PTL network. So we'll continue to ramp that up. Some of the marketplaces also are expanding their own service offerings. Some of them, for example, have gone out and retail players have launched into marketplaces. Now marketplaces are a specific area of competitive advantage for Delhivery. So as those grow, our advantages multiply. The second is some of them, for example, are now trying to do more B2B, now as they do B2B, that also is something that naturally comes to Delhivery better. So heavy B2B marketplace volume, certain destinations, those are the capabilities that we'll have to build. Fortunately, none of them is radically different from what we do today. We just have to identify these opportunities and have these discussions.

In terms of how the captives are thinking, see, it's the same story. Financially, I've said this before, the captive model is more expensive and a franchise based captive model also delivers less reliable service than the Delhivery model. I think Delhivery being the only player or being a major player is not in and

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of itself something that I think the large marketplaces should worry about. We have a 14- year track record of being a reliable partner and of being able to build capacity when they need it most. E -commerce is still a highly peaky business. As an example, May is a peak month, August will be a peak month, September and October will be peak months, December and January are peak months for D2C. And it's difficult to build a network which has the capability to take all of that and really process it reliably. So I think the worries over time should fade. The second is we have a historical track record of aligning our pricing with their long term objectives. And so I do believe that what you will see from here on, if you ask me, is a closer, tighter and a more fruitful relationship between Delhivery and our largest marketplace clients.

Aditya Mongia:

Got that. Those are my questions, and all the very best. Thank you so much.

Moderator:

Thank you, everyone. That last question. Please reach out to the IR team for any further questions. Before we end on behalf of Macquarie, I'd like to thank Delhivery for the opportunity to host this earnings call. Over to you Sahil, for any closing remarks .

Sahil Barua:

Thank you, Bajju, for hosting us. As I mentioned before, it is a strong end to the financial year. We're

very happy with where we've ended up, especially Express Parcel margins have remained constant despite headwinds in the industry and in the PTL business, we've seen significant improvement in overall margins and also significant growth YoY. I think the last two years have really been about consolidation. It's been a slow grind in an industry that's faced a tough phase. We believe that as this industry consolidates, Delhivery is in a very solid position. And the foundation has been built. We've had a good start to FY26, and hopefully, this will continue. So thank you all for joining us again. Baiju, thanks for hosting us, and see you on the next analyst call.

Call: Aug 2025

Date: August 07, 2025
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
India

Scrip Code: 543529 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
India

Symbol: DELHIVERY

Sub: Transcript of Earnings Conference Call pertaining to the Unaudited Financial Results for the quarter ended June 30, 2025

Dear Sir,

This is in continuation to our earlier letter dated August 01, 2025, regarding audio recording of the Earnings Conference Call held on August 01, 2025, at 06:00 P.M. (IST) on the performance of the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended June 30, 2025.

Please find attached herewith the transcript of the above Earnings Conference Call.

The above disclosure is also being uploaded on the website of the Company at www.delhivery.com

You are requested to take the same on your record.

Thank you.

Yours sincerely,

For Delhivery Limited

Madhulika Rawat
Company Secretary & Compliance Officer
Membership No: F 8765

Encl: As above

Delhivery Ltd
Q1 FY26 Earnings Call
Aug 1, 2025

Delhivery Limited Q1 FY26 Earnings Conference Call
Aug 1, 2025

Management : MR. SAHIL BARUA, MD & CHIEF EXECUTIVE OFFICER
MR. AMIT AGARWAL, CHIEF FINANCIAL OFFICER
MR. AJITH PAI, CHIEF OPERATING OFFICER
MS. VANI VENKATESH, CHIEF BUSINESS OFFICER
MR. VARUN BAKSHI, HEAD - PART TRUCKLOAD
MR. VIVEK PABARI, HEAD - INVESTOR RELATIONS
Moderator: MR. APAR SARASWAT, SR. DIRECTOR - INVESTOR RELATIONS

Delhivery Ltd
Q1 FY26 Earnings Call
Aug 1, 2025
Moderator:

Good evening everyone, welcome to the Q1 earnings call of Delhivery Limited. I am Apar from the Investor Relations team of Delhivery. Before we start, we would like to point out that some of the statements made on today's call will be forward-looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

To discuss the Q1FY26 results, I am pleased to welcome Mr. Sahil Barua, MD and Chief Executive Officer; Mr. Amit Agarwal, Chief Financial Officer; Mr. Ajit Pai, Chief Operating Officer; Ms. Vani Venkatesh, Chief Business Officer; Mr. Varun Bakshi,

SVP and Head of Part TruckLoad and Mr. Vivek Pabari, SVP and Head of Investor Relations at Delhivery. As a reminder, all participants' lines will be in listen -only mode and participants can use the raise hand feature to ask any question post the opening remarks.

Now I invite Mr. Sahil Barua to take us through the key highlights of the quarter, post which we will open up for the Q&A. Thank you and over to you, Sahil.

Sahil Barua:

Thank you all of you for joining our earnings call this evening on Friday. As always, we will begin with a short presentation for about 15 minutes and then I will be happy to take questions. Before we begin, I would like to place on record on behalf of the entire team of Delhivery our deepest gratitude to one of our directors, Mr. Srivatsan Rajan, who has served as a director on the Board of Delhivery for the last 10 years and will be stepping down in September. I would also like to extend a very warm welcome to two new directors on the Delhivery Board. Professor Padmini Srinivasan from the Indian Institute of Management Bangalore and Mr. Yashish Dahiya, MD and Group CEO of Policy Bazaar, will be joining the Delhivery Board from today. So welcome on behalf of the Delhivery team to them. Great.

Moving on to summary of results for Q1. We have had an excellent start to FY26 with strong revenue growth in our core transportation businesses and significantly improved profitability. I will walk through the numbers.

As of Q1, we delivered Rs. 2,294 crores of revenue from services which is about 6% higher year on year and about 5% higher quarter on quarter. Total income stood at Rs. 2,424 crores, a growth of 6% YoY and 5% QoQ. EBITDA margins came in at Rs. 149 crores or 6.5% compared to Rs. 97 crores in the same quarter last year and compared to Rs. 119 crores or 5.4%. So an expansion of nearly 200 basis points YoY and about 110 basis points QoQ. PAT came in at Rs. 91 crores, nearly 4%, which is an expansion of 140 basis points from 54 crores in Q1 of FY25 and 70 basis points compared to Q4FY25 when PAT stood at Rs. 73 crores.

We registered strong growth in the Express Parcel business. As we discussed earlier, this is also post our acquisition of Ecom Express for which we recently received approval from the Competition Commission of India. The full impact of the acquisition of course will begin to show more in Q2. However, we did see significant improvement in volumes even towards the tail end of Q1. Parcel volumes reached 208 million shipments for Q1, which represents a year on year growth of nearly 14% and a quarter on quarter growth of 17%.

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Our PTL business continued to show stable performance. We closed at 458,000 tonnes of freight in Q1, which represents a year on year growth of 15% and broadly flat quarter on quarter. Do bear in mind that Q1 typically is the lowest quarter of the year from a PTL standpoint and Q4 typically is the high watermark quarter for a fiscal year.

Quick snapshot of operational metrics.

PIN code reach continues to stay consistent. We are present across 18,857 PIN codes pan India as defined by the Indian postal services. We continue to serve the entire world through our partnerships with FedEx and Aramex.

Total number of active customers have

expanded significantly from 35,000 in Q1FY25 to nearly 8,000 customers. As of this quarter, we closed with 43,000 active customers. Infrastructure continues to remain at about 20.4 million square feet of gateways and fulfilment centres, as opposed to 20.1 million square feet in Q4. Continue to operate 119 gateways. This includes a few new gateways that have been integrated from the Ecom Express network into the Delhivery network, 45 automated sort centres, 64 sorters. There's a mild expansion in the footprint of the entire freight business. We have 125 freight service centres as opposed to 118 in Q4, 161 processing centres. And we continue to expand the express delivery network in response to significantly higher volumes anticipated in Q2 and Q3. The total number of express delivery centres stands at about 4,500. Team size has expanded to 65,849 people with 52,000 partner agents and 17,000 vehicles on a daily basis.

Quick snapshot of financial performance. As I'd mentioned, overall revenue from services grew to Rs.

2,294 crores in Q1FY26 as compared to Rs. 2,172 crores a year ago and Rs. 2,192 crores in Q4FY25.

The Express Parcel business has grown as a percentage of our total revenues on the back of increased volumes towards the tail end of Q1 and stands at 61% of total revenues. The PTL business continues to form 22% of total revenues. Express Parcel revenues have grown 10% YoY and 12% QoQ.

We closed

with Rs. 1,403 crores of revenue in Q1FY26 through 208 million packages delivered, which represents a 14% growth in volume and a 17% growth QoQ compared to the previous quarter.

PTL freight revenues have grown 17% from Rs. 435 crores in the same quarter last year compared to Rs. 508 crores in this quarter and broadly flat between Q4 and Q1. Freight tonnage has grown 15% YoY from 399,000 metric tonnes of freight in Q1FY25 versus about 458,000 tonnes of freight in Q1FY26.

Revenue growth being higher than volume growth implies that yield improvements have continued in this business as well. Supply Chain services business has de-grown QoQ and YoY. This is driven by two factors. One is, as mentioned previously, our exit from providing mother warehousing services to the quick commerce in
dustry. And the second impact from seasonality with one of our major electronics and durables clients. FTL services revenues have remained broadly flat at about Rs. 150 crores a quarter and Cross Border services brought in Rs. 24 crores of revenue in Q1FY26.

In terms of profitability, profitability continues to expand. The highlighted column on the right refers to Q1FY26. As discussed, revenue from services stands at Rs. 2,290 crores. Total service EBITDA came in at Rs. 298 crores or 13%, which is an expansion of 60 basis points versus Q4FY25 and an expansion of 190 basis points compared to FY25 on the whole. Express Parcel came in at Rs. 228 crores of service EBITDA at a 16.3% margin. As discussed previously, we expected continued expansion in parcel margins from Q2 of last year, which was a low point at 15.1%. And we expect margins to continue to improve going forward. We will remain broadly within the normative range of 16 to 18% in the Express Parcel business as guided previously.

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Part Truckload margins continue to remain stable. We brought in Rs. 54 crores of service EBITDA margin in the Part Truckload business in Q1 at 10.7%. This is to some extent affected by IndAs adjustments as well. Broadly, we anticipate that margins in the Part Truckload business will continue to rise with improvements in utilisation of the network. The big change, of course, is in the Supply Chain services business. We've continued to renegotiate commercial terms with several customers, and as discussed previously, shut down certain unprofitable accounts. As a consequence, margins in this business have improved significantly from 2.2% as of FY25 to 7.2% in Q1FY26, the business brought in Rs. 15 crores of service EBITDA this quarter.

In terms of corporate overheads, corporate overheads continue to remain flat as guided previously.

In terms of broad percentage of revenue, corporate overheads have declined from 9.3% of revenue in FY25 to 9.1% of revenue in quarter Q1FY26. Do bear in mind that Q1FY26 also contains the impact of inflation on wages as this is our increment cycle. Wages have remained broadly constant at Rs. 114 crores.

Technology expenses and General Administrative expenses have broadly remained constant as well. We've invested Rs. 14 crores in new services. These are two new services as discussed previously. One of them is our rapid commerce initiative, which is a sub two-hour same day delivery service currently present through 20 dark stores in three cities. And the second is Delhivery Direct, which is an on demand intracity service launched at the moment in the cities of Ahmedabad, Delhi NCR and Bengaluru. Both of these businesses continue to scale and investments continue to be made both on the demand side as well as on building up supply.

The investment levels are currently at Rs. 14 crores a quarter. This has led to an overall adjusted EBITDA margin of Rs. 75 crores or 3.3% of revenue and expansion of 80 basis points compared to Q4FY25 when we generated an adjusted EBITDA of Rs. 55 crores and more than double of the adjusted EBITDA from the same quarter last year. PAT stood at Rs. 91 crores or a PAT margin of nearly 4%, an expansion of Rs. 18 crores compared to Q4FY25 and an expansion of nearly 60% compared to the same quarter last year.

PAT trend continues to be heartening. As discussed, PAT came in at Rs. 91 crores in Q1, which is significantly higher than the PAT in the same quarter of last year. And the overall trend of improvement of Q1 is from negative 4.4% in Q1FY24 to 2.4% in Q1FY25 to nearly 4% in Q1FY26. We believe that the PAT margin will continue to expand through the rest of the year as well.

A short update on the Ecom Express acquisition. We received formal approval from the Competition Commission of India on June 17

th, 2025. The acquisition was formally completed on July 18th and financial consolidation of Ecom Express into D

elhivery will be effective from this date. The final purchase consideration as guided previously after the adjustments will be at Rs. 1,369 crores. From an

integration standpoint, the volume and client side integration of Ecom Express is complete. No further volumes flow through the Ecom Express network and we are in the process of reconciling and shutting down the last few shipments which continue to be open within the network.

All other volumes have been

moved successfully to the Delhivery network and will reflect in Delhivery standalone volumes in Q2. The network rationalisation plan is also under execution. On a final basis, we expect to retain seven facilities in a combination of transportation and fulfilment operations.

A significant portion of the

network of Ecom Express has been rationalised and shut down and we anticipate that the entire network shutdown will follow the plan previously discussed. We have also begun the process to exit the non-

express businesses of Ecom Express and anticipate that we will complete the se exits by Q3 of this financial year.

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Just a quick snapshot of Express Parcel volume growth. As you can see, volumes have consistently been on an uptrend throughout this calendar year. The deal with Ecom Express was announced towards the end of March. We presented a version of this chart previously. We have begun to see an upside to volumes in April and May. I'm pleased to announce that that has continued through June and has gone up significantly into July. Our belief is that this trend will continue through the rest of this quarter. Do bear in mind that this is an unusual year. The peak season this year is expected to be in the middle of September. Unlike last year, the impact of a large portion of the peak will be seen in Q2 and the early part of Q3.

That's a quick summary of our results. Broadly speaking, a highly positive quarter. We're very satisfied with where we've landed.

I think big questions last time were really around the integration of Ecom

Express. As mentioned, I think we've completed that integration quite successfully. Overall, very happy with where volumes have ended as well and obviously the expanded profitability. So very well set up for the rest of FY26. With that, I will pause. Happy to take questions.

Moderator:

Thank you, Sahil. We will now start the Q&A. Those who wish to ask any questions can use the raise hand feature. The first question is from Sachin Salgaonkar. Sachin, please go ahead.

Sachin Salgaonkar:

Thanks, Apar. Congratulations on a good set of numbers. I have a few questions. Let me go through the questions all at one time and then I'll hand it over to you guys.

Number one, Express Parcel volumes have increased this quarter, but we did see the yield coming down. So is there a way to look at it that the incremental shipments which have come, have come largely at a lower yield or there's something else which is going out here?

Number two, after your Ecom Express consolidation, what impact should we see on the overall volumes of Delhivery? And I'm saying that because the follow-up question out here is, have all volumes moved in Q1 or are there incremental volumes which could be moved in Q2? And if any, could you help us quantify or understand what range that could be?

And a similar question is, what could be the impact on yields and margins from current levels after the Ecom Express consolidation? And lastly, Sahil and team, thank you so much for sharing the Shareholder Letter and your views across businesses. One sentence you guys mentioned was, Quick Commerce has created a material opportunity for our PTL division in the immediate term.

Again, would love to

understand what you guys mean by that. Anyways, you could quantify the upside opportunity out here. Thanks.

Sahil Barua:

Sure. Thank you, Sachin. So I'll go one by one on Express volume vers

us yield.

So fundamentally, yield is a function of volume mix, which is a function of clients, which is a function of the weights of packages and the distances that they travel. When I look at the overall weight per package across our Express Parcel business, consolidating both small parcels as well as heavy, there is a double digit decline in the average weight per parcel, which is not surprising because obviously, there's

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been growth in the small parcel business. And so as a consequence of that, yield has shrunk. So it's just an organic shrinkage in yield and has nothing to do with pricing. The yield, as we've discussed previously, does vary quarter to quarter based on these inputs. As an example, during the peak season, we typically see yields go up, because there's a larger percentage of heavy packages that come through the network.

And I think that trend will continue in Q2 and Q3 as well. So nothing alarming on yield. Pricing remains consistent. If anything, I believe, as I've discussed previously, that irrational pricing led compression of yield that previously was a risk factor in the last two years is a materially lower risk going forward. One, obviously, is as we've consolidated Ecom Express, I think that gives us a certain amount of pricing stability in the market. And the second, as I've mentioned previously, I think independent 3PLs in this space need to cut burn rapidly, and especially in the face of inflating costs.

So we do believe that there'll

be no further compression on yields.

In terms of Ecom Express consolidation and impact on volumes, what you're seeing in Q1 is actually a very minimal impact of volume transition from Ecom Express to Delhivery. Really, most of it was only towards the end of Q1, in the last parts of June.

The real impact, as you can see in the chart, the real

impact actually is in July, which you can see there's a very materially higher trend for July than there has been for June. And our view is that that's a more representative level of volume that we will be at going forward. So there's a very large uptake that you should see in Q2.

With the new volumes coming in from Ecom Express, I think there's no reason to believe there'll be any negative impact on margins. I think, again, as I mentioned, depending on client mix in any given quarter, there may be some impact on yields and there may be a marginal impact on margins here and there.

But

broadly speaking, we anticipate that margins will actually expand as volumes go up. And so we'll easily be in the 16 to 18% range.

In terms of Quick Commerce's impact on PTL and the opportunity it creates, I think the main opportunity that it creates is brands who work with Quick Commerce companies, whether it's FMCG companies, packaged food companies, whether it's grocery, whatever it is.

There's a large amount of B2B

consignments that get shipped to both the mother warehouses of Quick Commerce companies as well as the dark stores of Quick Commerce companies. This is a complex delivery process because it involves, for example, taking appointments with the mother warehouse, making sure goods are delivered within that appointment on time and in full. This is a service that Delhivery already provides outside of Quick Commerce.

It's not particularly different from what we would do for a seller trying to consign stock, for example, to an FBA warehouse or to a Reliance warehouse or a Flipkart warehouse. So it's fundamentally a similar kind of service. Now, what's interesting, of course, is that it's now a new channel that has been created and a new opportunity for us.

What makes this obviously a complex delivery is the process of coordinating with large number of Quick Commerce mother warehouses and ensuring on time delivery, integrating with their systems to make sure that appointments are delivered on time, managing proofs of delivery electronically, making

sure that POs are properly reconciled between the brand, the logistics partner, which is us in this case, and the mother warehouse or the dark store.

And potentially, it also opens up an opportunity for returns from mother warehouses and dark stores back to brands. So that's the large opportunity that we see. And it's actually been a pretty exciting part of the PTL business over the last two or three quarters.

Sachin Salgaonkar:

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Thank you, Sahil. Just a quick follow up out here. Since the acquisition of Ecom Express, are you seeing any change in terms of competitive intensity? And I'm saying that because one of the statements in your Shareholder Letter was for the last couple of years, there was poor pricing discipline amongst multiple 3PLs. Anything changed in the near term since your acquisition or that continues to be an issue?

Sahil Barua:

So, the irrational pricing that I've spoken about did exist and logistics is really not one of those spaces where, pricing below cost is a good strategy as obviously evidenced by our acquisition. But as I mentioned, I think what we've seen is a reduction in the intensity of price competition. I wouldn't like to necessarily take credit for us having driven sense into the market.

I think it's the financial constraints that

companies which price irrationally face in the first place. So obviously, with the acquisition of Ecom Express, all of the contracts that we've negotiated with clients are at Delhivery pricing. Of course, clients get volume discounts for giving us larger volumes, but on Delhivery terms.

So the irrational pricing has

been cleaned out at least out of what was the erstwhile Ecom Express network. But I do believe that other 3PLs in this space have also signed contracts in the past, which are below cost. And as I've mentioned, logistics costs inflate in a very predictable manner.

So wages in logistics, for example, will typically inflate 7% to 8% a year. You know, rentals will inflate anywhere between 5% and 8% a year. And fleet costs also inflate at a fairly predictable rate.

So the reality

is that I think, whether Delhivery does anything or not, balance sheet constraints will force independent 3PLs in this space to make sure that they're disciplined about pricing.

Sachin Salgaonkar:

Very clear. Thank you and all the best. Thank you.

Moderator:

Thank you, Sachin. The next question is from Vijit Jain.

Vijit Jain:

Yeah, thank you for the question. Congratulations on a good Q1. My first question is, in the last quarter, I think you said you

were aiming to retain 30% of the volumes of Ecom Express.

That was what you were budgeting in your acquisition price. Do you have a sense of what was the volume of Ecom Express as it existed in April, for example, that you've retained? Yeah, that's my first question.

Sahil Barua:

You want to ask all of them in a go?

Vijit Jain:

Yeah, sure. The second question is, you also, last quarter talked about, your sense that self-sourcing at some of the other horizontal players was peaking. You expect that to continue to play through. Has that progressed along expected lines, as you see players ramping up for the festive season ahead?

That's second.

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The third question I had was, if you can give a broad sense of the category mix that you see on your network in, in categories that you mentioned are not amenable to quick commerce. So, apparel, consumer electronics, home and lifestyle goods, heavy, etc.

So those were, those are my questions. And if possible, if you could talk about, what will be your recurring costs apart from the integration costs that you will incur, the recurring costs from Ecom Express from Q2 onwards?

Sahil Barua:

Yeah, sure. So in terms of volume retention, our assessment of the deal at that time was based on a 30% volume retention of Ecom's volumes. What I can tell

you, without disclosing specifics, is that we have retained significantly more than the 30% that was planned originally, which is reflected in the chart that

Apar had shown previously. I think, broadly speaking, we will be close to perhaps somewhere in the 55% to 65% retained volume already. And this continues to rise month on month.

Part of the reason, as I mentioned, is that this has been a tough quarter from a logistics standpoint for other players in the space, owing to obvious profitability constraints. And also, the reality is the operating environment in Q1 has been pretty complicated with rain and a number of other kinds of disruptions.

And so we have seen a flight towards quality.

So that's been a positive for us. In terms of change in

insourcing strategies, I think clearly we've retained more volume than we anticipated. So as you can imagine, we have gained share across all client types.

Earlier, of course, we always used to talk about the

fact that we were growing share rapidly with direct -to-consumer and SME segments of the market. But as I look at our volumes, across an absolutely broad swath of clients, we have gained a significant amount of share, including the marketplaces. I think, of the three key marketplaces, at two of them, we do see an increased interest in outsourcing to Delhivery. They obviously continue to maintain in-house arms.

There's no question. But equivalently, the consolidation towards a quality partner who is reliable, that trend is also visible.

At the third marketplace, also, we have seen an expansion of our share of wallet. But I think the reality is that until the marketplaces with completely captive arms, and I'm not counting Valmo here, are able to account properly for the cost of doing in-house logistics, the true comparison internally to them also will not be perfectly clear. I think costs are still, relatively speaking, for lack of a better word, hidden between retail arms and logistics arms.

So it's too early to comment on whether there's a very material shift.

That said, I will point out that the same inflationary pressures that I've spoken about that apply to third-party logistics companies apply exactly as much to first-party logistics companies as well. They aren't exempt from wage inflation and rental inflation.

And so we're very confident that our ability to

manufacture productivity gains and efficiencies in our network significantly outstrip other players in this market, whether they are first-party or third-party players. And so the reality is that our cost advantages expand every year. You know, we've been talking about this since the time that Delhivery has gone public.

And I realise that for the first year or so, that may not have shown up in our numbers. But as you can see, with the acquisition of Ecom Express and what you see in July and August, I think reality does catch up. And so it's a matter of time.

In terms of the broad category mix, I won't be able to provide you a break-up of our volumes by category, but if I take some very, very broad numbers, my sense is maybe softline is probably about half our volumes. You know, FMCG, BPC kind of categories are maybe about a quarter. And the rest of it is just

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a very broad mix. Grocery is practically zero, unsurprisingly. It's not a category that we intend to play in. And in terms of recurring costs, the integration costs, as we've mentioned, our envelope was about Rs. 300 crores that we anticipated. And we will report that separately in Q2 and Q3, calling out quite clearly what the specific integration costs from the Ecom Express acquisition will be. Those will largely be limited to certain people-related costs that will persist through Q2 and Q3. And certain costs in terms of winding down leases and certain fixed contracts that they've had. As of now, we don't anticipate that we will breach that Rs. 300 crore limit.

t. But in terms of recurring costs, there will be none, no further recurring costs. Because as the volumes go up, it's as if we were expanding the Delhivery network itself.

Vijit Jain:

So if I can just follow up, so there is no cost associated with anyone who comes on board, any cost at all, that's what you're referring to as none, right?

Sahil Barua:

Yeah, because if we were to do, whatever x million number of packages compared to, let's say, the 60 million average that we were doing in Q4, we would need to hire people ourselves, right? So it's not classified as a recurring Ecom Express cost. Got it.

Perfect. Thank you so much. Those were my questions.

Moderator:

The next question is from Sachin Dixit. Sachin, please go ahead.

Sachin Dixit:

Hi Sahil and team, congrats on a decent set of results. My first question is on supply chain services, right? That's a business which seems to have a good moat, but it's like hit and miss. It does well for a few quarters while it doesn't for the next few quarters. Obviously you have highlighted multiple times it's slightly lumpy in nature, it's not linear but in your Shareholder Letter you are talking about roughly Rs. 1,800 to Rs. 2,000 crore of revenue in three years which I'm guessing is FY29. So can you talk about what is giving you the confidence that finally that business will see a sustained growth trajectory?

Sahil Barua:

Sure, do you have more questions?

Sachin Dixit:

Sure, the second question was on the volume piece on Ecom, right? So you have already highlighted that the volume retention is happening at a much faster clip. So the point being that when we are talking about 30% volume retention we are expecting the Valmo impact being there and a lot of volume going out.

So

what has really changed there? Is it that your one of the largest customers is struggling to ramp up capacity or anything which is why you are in such a better situation compared to what you were anticipating?

That's my second question and those are the two questions.

Sahil Barua:

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Sure, I'll start with the second one in terms of why volume retention is higher than expected. As I discussed I think when we were evaluating the deal it was our fiduciary responsibility to take a conservative view of the world. You know we've been doing this for a while, we are a conservative team and we've been pleasantly surprised is perhaps the simplest way to put it.

The reality of the market however is different from the past. I don't think it's a fundamental shift in the strategy that Meesho has with respect to Valmo or Flipkart has with respect to Ekart logistics. But I think the reality is as the operating environment becomes tougher and as e-commerce principals realise that third-party logistics firms who price below cost merely to get a share of volume cannot survive.

There's

a flight to quality and over a long period of time quality players will get rewarded and that's what you're seeing. Fundamentally, Delhivery is a large network which is highly reliable and very fast. You know the other advantage that obviously is inbuilt within the Delhivery network is that the volatility of tonnage within our network owing to Express Parcel is now increasingly very small and so our ability to handle large swings in Express volumes obviously has significantly improved by running a PTL business and the benefits of that flow to our Express customers as well. And so it's not surprising that clients are choosing to allocate volumes away from lower quality players. I've mentioned this in the past I do think over a long period of time Delhivery and Blue Dart are the two highest quality networks in the country and for us, for the specific businesses that we run - in our case a large surface Express network and in their case an air network, you will see volumes accumulate towards the two highest quality networks. You know pricing

can only get you so far but the reality is that no customer is willing to pay a lower logistics cost for packages just to not get delivered and that's effectively what you're seeing.

In terms of Supply Chain services I think the fundamental shift in Supply Chain service over the last year has been as I've mentioned, as we have done in PTL in the past, as we have done at Express Parcel in the past, I have discussed this as a management team we've been very clear that the ability to make money comes before chasing growth. You know that's exactly the trajectory that we followed in PTL as well. If you go back about eight quarters you'll remember that we went through a U-shaped curve for PTL as well. The logic was that we would first fix the business and then start growing it rapidly.

On Supply Chain services we had a number of things that we needed to do. One was really fundamentally renegotiating contracts that had not been priced the way they should have been. Get out of sectors that we wanted to explore but fundamentally have now reached a conclusion that we don't want to participate in and that's really the impact that you're seeing in the last financial year. We experimented with getting into fulfillment for Quick Commerce and then realised that the inventory issues in that business are fundamentally too large for a third-party logistics company to bear and we've exited that sector. So, I think what you're seeing now is a business which is starting to resemble what it will look like from a profitability standpoint. I think there's still margin expansion that will happen in the SCS business as we scale. That's a story that will still play out over the next couple of quarters but what we're getting better at is pricing contracts correctly.

The second thing obviously is improving the quality of our underlying software whether it's our warehouse management systems or transportation management system and driving efficiencies through those. So I think that's matured as well. As I look at our pipeline, at this stage our pipeline is healthier than it's ever been before. At this stage, we've got probably close to about Rs. 300 crores of broad supply chain mandates which are in various stages of conversion. Now conversion in this business can take three to four months because it's a long sales cycle but given our visibility of the pipeline we're very confident. Frankly speaking, at this stage

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from a pure pipeline standpoint, we probably have more than Rs. 1,000 crores in the pipeline. Now over a three-year period we can convert six-seven hundred crores of that. I am pretty confident that we'll be able to do that. So fairly confident that we'll get to the Rs. 1,800 - 2,000 crores in SCS.

Sachin Dixit:

Got it. Just one final confirmation if I may have the numbers or the guidance that you've given in the Shareholder Letter, these are inclusive of Ecom Express impact right?

Sahil Barua:

Yeah.

SCS, Ecom Express, no?

Sachin Dixit:

No, not SCS. I'm talking about generally. You have given the service EBITDA margins for PTL, Express Parcel. All those are inclusive right?

Sahil Barua:

Yes yes.

Sachin Dixit:

Thank you and all the best.

Moderator:

Thank you Sachin. The next question is from Aditya Suresh. Please go ahead.

Aditya Suresh:

Hi Sahil and team thank you for the opportunity. I have three questions if I may. So Sahil first is if I can take you back to slide six on your key KPIs.

If you can just give us a glimpse in terms of what are the changes we'd expect with the Ecom consolidation, the key changes which you'd like to call out. That's one. Second is in the market structure itself within the Express Parcel. What is your sense about within 3PL your market share here today, even if it's a broad range that'll be great and where do you think this could settle at in say the next 12- 24 months. Third is on PTL. Is there

a broader theme about value or volume this quarter? Is that a fair kind of read into what happened this quarter and then within this margin at 11%, would it be a fair conclusion to say that if volumes expand sequentially then margins can only expand towards your guided 16 -18%?

Thank you.

Sahil Barua:

Sure, thanks Aditya. Apart, if you just go to slide six. Yeah, so broadly speaking, with the Ecom Express acquisition and the July volumes and continuing from here on I think the big change will really be one in

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the number of express delivery centres and partner centres which we are currently at about 4,500. My sense is you should see this number at probably close to about 4,750 to 4,800 by the end of the year. The team size obviously it'll go up during the season, it will come down after the season, hard to say exactly what it will be but it'll follow broad trends in line with volumes. From an infrastructure gateway standpoint you will not see any major change and that's part of the reason why we wanted to acquire

Ecom Express. In the first place we don't believe that we need to significantly increase our Express Parcel infrastructure or our gateways or our automated sortation centres to absorb the additional volumes that will come in from the Ecom network. As mentioned there are no volumes in the Ecom network at this

stage. All of them are coming into the Delhivery network and our network has absorbed these fairly seamlessly, so absolutely no change there. I think there'll be some expansion of pin code reach. We are at some 18,857. Ecom obviously had a wider reach than Delhivery, so some of those will get activated over the next quarter.

I don't know exactly what it'll reach but let's call it maybe 19,200 or thereabouts.

In terms of market structure, we've obviously gained market share in the last quarter. Hard to put an exact number to it but my senses and different people have different interpretations of this but I would expect that our market share would have expanded. Ecom Express was probably about 50- 60 percent of our size so our market share has probably expanded by about 25 percent or so. Possibly higher but I'm not entirely sure. I think that I'll give you a much better answer maybe at the end of Q2, Q3 when things stabilize a bit more. Right now things are in flux, volumes continue to increase.

And where does it settle in the long term, that's a nuanced question. It really depends on what happens to the rest of the third party market. As I mentioned previously, the unit economics of other third party players are unsustainable and we've seen how that plays out once already. Now how that plays out with

the other players in the market I can't say but there is no road to better unit economics in their cases and so the reality is that market share should continue to consolidate towards more disciplined players and higher quality players and again as I mentioned who those players are, is pretty clear.

I think the only risk

that one could think of is what would happen if first party players were to try to expand into the third party market to which my response as ever remains the same. It is a tried strategy that has failed and so we don't anticipate that's a major risk.

In terms of PTL, it's not so much value over volume actually. If you look at the rest of the industry also, broadly speaking, I think most PTL players have seen sequential declines from Q4 to Q1. Minor decline or broadly has stayed flatish. That's largely because Q4 is the peak quarter so Q2 and Q4 tend to be larger quarters in PTL.

Q1 and Q3 tend to be slightly lower. Q1 also has this artificial impact of two 30-day months and there were also disruptions in Q1 for a variety of reasons. One of them obviously was a significant amount of rain.

There was a certain amount of disruption from Operation Sindoor as well in this period and there have been some festive

disruptions so no particular change in the PTL strategy. I think it's just overall that's what the market is like. We anticipate that we'll be back to business as usual in this quarter and beyond.

Aditya Suresh:

Thanks. May I just ask for a follow-up if that's okay?

Sahil Barua:

Sure, please.

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Aditya Suresh:

So just on PTL right. So the guidance is 16 to 18 percent. Is there a broad tonnage which you think about which you need to hit to achieve that level of margins?

Sahil Barua:

Yeah, I think I just have a number and then I think Amit should just quickly come in on this. My sense is at about one and a half times this size we should be at those numbers.

But Amit, please come in here.

Amit Agarwal:

So, thanks. Roughly at close to about 600,000 to 640,000 tonnes of quarterly load which translates to about 200,000 to 215,000 tonnes of monthly load whereas currently we are posting an average of about 150,000 tonnes of monthly load, three things will kick in. One is that fixed cost utilisation will go up.

We will get significant benefits of operating leverage on that. The second aspect is that the utilisation of our trucking will continue to improve on reverse lanes and a bit of it on forward lanes as well. Tractor trailer penetration will also increase.

And lastly pricing discipline and churning out of low margin

customers will continue to happen. So these three things should comfortably give us a 7 percent uptick on margin.

Aditya Suresh:

Thank you. Thank you for the clear answers as always.

Moderator:

Thank you, Aditya. The next question is from Gaurav Rateria. Gaurav, please go ahead.

Gaurav Rateria:

Hi, thanks for taking my question and congratulations on a good set of numbers. I have a couple of questions. I will read it out all and then pass it on to you guys.

The first is how much of the benefit of volume from Ecom has already come in the financials in Q1 as the network was unstable and the volumes were coming through to strong players like us. Second, your comment that you made on incremental Ecom volumes coming at the Delhivery rates, which my understanding is that could be higher, but then there would have been some volume discount. So is it fair to say on a net basis there would have been some pricing gains as those volumes now pass through the Delhivery's network?

Third question is on your comment that you made on PTL on 20 percent plus annual tonnage growth while Q1 was slightly short of this number. So what drives your confidence to hit 20 percent on an annual basis, which means that your ask rate for Q2 to Q4 will be materially higher than 20 percent. So any anecdotes that help us to understand what drives that incremental gain.

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And last question is on, you mentioned about a couple of new value added services on the FTL segment.

So just trying to understand, are these material TAM opportunities or are these material gross margin opportunities from company's point of view? Thank you.

Sahil Barua:

Yeah, sure. I'll probably bring in some of my colleagues also since these are good questions. In terms of the benefit of volume from Ecom Express, I think I answered this earlier in the call, the impact on Q1 is not that high.

It's only towards the end of June that you see some of the impact. So you can see the liftoff begin. We've obviously gotten to 208 million packages in Q1, but July obviously has been significantly higher and we expect that it will continue.

So the real impact will be visible in Q2. And I think network businesses have one other advantage. Like Delhivery's, which is, given the kind of network that we are, the more the volume that flows through our network, the more stable the network actually becomes.

Most

other networks, which are not constructed like ours, tend to have a reverse problem, which is that the more volume that goes within, the less stable they become. But the advantage of a mesh, as we've discussed, is that actually stability is an outcome of higher volumes. And so potentially, while the obvious immediate impact of the Ecom acquisition will be clear in the Q2 numbers, over the long term, I think the reality is the opportunity for us is potentially even larger.

In terms of the volume discounts to customers, I think my colleagues are on the call who deal with customers on a more regular ongoing basis. So maybe Ajith or Vani, if you guys want to comment, please go ahead.

Ajit Pai:

Yeah, I'll take that and Vani, you can add to that. I think most of our relationships with customers are based on a pricing volume chart, which is how we've always conducted business. We are not seeing any material changes to that. In some cases, of course, there are adjustments that we do during the year to reflect any change in the client's business in terms of mix, etc.. And hence, our desire or their desire to change the mix for us or to introduce new products at some points, I think, like Sahil mentioned, that has been broadly very, very stable.

With the Ecom acquisition, again, like it was mentioned by Sahil, we expect that scenario to remain stable going forward as well.

Sahil Barua:

Yeah. I think the third question is confidence in PTL at 20%. I mean, see, I'm very confident, better that you hear it from the horse's mouth.

So Varun Bakshi runs this business, I'll ask him to comment.

Gaurav Rateria:

Yeah.

Varun Bakshi:

Hi, Gaurav. Am I audible?

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Yes, Varun, you are audible. Please continue.

Varun Bakshi:

Yeah. So first of all, the year on year growth of this business is 17% on revenue terms. So the growth in terms of getting about a 20% growth for the year, it's not going to be linear, first of all. So there will be quarters with slightly lesser, there will be quarters with slightly more growth. Number two, I think, as Sahil mentioned, when he was going through the presentation, this quarter's revenue got slightly impacted by the accounting adjustments, the IndAS adjustments that we need to do to follow the statutory requirements. So adjusted for that, the 17% growth would be slightly higher. In fact, our yields quarter on quarter have increased over Q4 as well. So that is a result of a certain churn of customers which we were voluntarily doing as well. So adjusted for that, I think the business gives us confidence that it would be able to meet the 20% revenue growth expectations that we have for the business.

No reason to say anything otherwise at this point.

Sahil Barua :

Yeah. Gaurav, the other thing, there was a material impact because of Operation Sindoor, there was some impact because of the rains in certain places. And it is getting worse, obviously, year on year, but here on at least the monsoon appears to have died down to a significant extent.

And so we should see less

impact from that. I think so far numbers in Q2 are good. July has been fine. So fairly confident. I know it is obviously a question saying if you grew 15% in the last quarter, why do you believe we will grow 20% for the year? I think let our Q2 numbers come out. And I think at that stage, things would be a little clearer.

In terms of FTL, VAS, I think it is too early to comment. These are important services that bind high quality supply of trucking into the FTL marketplace.

So, these are value added services, for example, the simplest one that we can do almost on an immediate basis is fuel procurement support to some of our trucking partners. And the other one, obviously, is on- road assistance and control tower services for our clients, which are things that we anyway do internally for Delhivery's own operations. So, both of those we will do.

These are theoretically large TAMs. But just to be perfectly clear, Delhivery's ambition is not to become the largest retailer of fuel to trucks. So, it should not be viewed in that fashion either. We have very specific strategic objectives for our FTL business, which is fundamentally, first of all, to bring down the cost of trucking procurement for Delhivery's own transportation operations.

The second is to be a large input and a very efficient procurement mechanism for our Supply Chain services division, which is what it is. And then the third, obviously, is to be an extremely capital light way for our clients to discover trucking services and especially spot trucking services via our trucking marketplace. So, as long as this allows us to make sure that high- quality suppliers of this service are bound into the Delhivery network, we will provide these.

But we have no desire to come and start banging about metrics like we have 4 billion trucks on our platform or whatever, and we sell fuel to some 75% of them. That's really not the aim.

Gaurav Rateria:

Thank you for the detailed answers and all the very best.

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Moderator:

Thank you. Thank you, Gaurav. The next question is from Achal Lohade. Achal, please go ahead.

Achal Lohade:

Yeah, thank you for the opportunity. Congratulations for a great set of earnings. Sahil, a couple of questions. First, if you could talk a little bit about the utilisation of the network, where are we in terms of the efficiency? I know it has got partially answered in piecemeal, but just on a top- down basis. The second question I had was, when we are looking at incremental volumes coming through month on month, it's improving. Why would the margins be between 16 to 18%? Why not more expansion? If you could elaborate a little bit.

And number three, for the quarter, we have seen the other income has gone up to about Rs. 1.3 billion. So, if you could talk about that as well in terms of whether it is sustainable, or is there any one -off we need to note? Thank you.

Sahil Barua:

Sure. In terms of utilisation of the network, we've discussed this in the past as well, much as I would love to tell you that the utilisation of the network is 42%, there's no way for me to really say that, because the reality is the utilisation of the network differs at various points.

Line haul utilisation is different, sort centre utilisation is different, DC utilisation is different. And obviously, the numbers for

July are going to look very different from the numbers for April, May, and June, because the volume trajectory has meaningfully changed. But fundamentally, one way to think about it, Achal, is that we did 208 million consignments versus, let's call it 180 million consignments in Q4.

And if you look at the spread of distribution centres, we had broadly, I think, 4,450 distribution centres, including partner centres in Q4. We have 4,500 in Q1. So, for whatever 1% increase in delivery centres, we have had a 14% increase in volumes. All those volumes are delivered through distribution centres. And so, therefore, the utilisation of the distribution centres has gone up to that exact mathematical extent. And by the way, you can do exactly the same math for sortation centres, you can do exactly the same math for hubs and gateways. We have a constant set of sortation centres.

And so, if the volumes

have gone up 14%, and we haven't increased the total number of sortation centres, the utilisation of the sortation centres it follows must have gone up by 14%.

Line haul is obviously the hardest one to talk about, which is the trucking network. Trucking utilizations, because they also depend on the directionality of the loads that one is creating,

I think broadly speaking,

as I mentioned, have been in that 60% to 65% kind of range. One of the things that has changed a little bit in Q1 is that there was a marginal expansion of our tractor trailer fleet, while PTL volumes were flattish. So, there may be a marginal decline in trucking u

tilisation between Q4 and Q1.

The second is

that we have also begun experiments as I mentioned in the past with double trailers on a tractor. And so, there may be a marginal decline in utilisation on reverse lanes associated with that to some extent. But it's very hard to put a very scientific number to it.

The question on should margins go beyond 18% given that there is no adverse movement expected on pricing and the network filling up, as I mentioned, we have guided to the 16% to 18% previously, not because that is what we believe is the theoretical limit of the network. We have operated a network at

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higher than 18% service EBITDA margins in peak months. But it is a conscious call to share a certain amount of efficiency with clients. Now, whether we will share all of the efficiencies that we create going forward or not, I think it is a strategic choice that we make looking at every single customer. Technically speaking you are correct, our current margins as volumes expand could expand beyond 18% range as well in the express business.

The other thing I have spoken about in the past is that the larger the PTL

business gets, the better the margins for everybody. And therefore, when PTL business reaches whatever, let us call it 200,000 to 250,000 tonnes of freight on a monthly basis, the reality is the Express Parcel margins have scope to expand further. We also obviously continue to look at new ways of automating our operations, which again have a positive impact on margins.

So the way I would look at it is to say, if you must model this, feel free to conservatively model our margins at 16% to 18%. There are opportunities for us to expand it beyond the 18%. So you will either see that as incremental margins in the business, or you will see it as an incremental share of wallet if we choose to pass those benefits forward, but either way the absolute service EBITDA will continue to expand.

On your last question, in terms of other income, I think, again, I will just ask Amit to comment.

Amit Agarwal:

Yeah, the increase in other income is primarily due to increase in value of mark to market securities due to interest rates going down in Q1 of the current fiscal year. In the subsequent quarters, we expect this to normalise to our earlier level and maybe slightly go down because the yield curves have gone down. However, as you are aware, we have paid close to Rs. 1,400 crores to acquire Ecom Express on 18th of July.

And hence, no further interest income is going to accrue on it. So that will be one change to the other income going forward.

Achal Lohade:

Yeah, thank you so much. And those were my questions.

Moderator:

Thank you, Achal. The next question is from Mukesh Saraf. Mukesh, please go ahead.

Mukesh Saraf:

Yeah, good evening, and thank you for the opportunity. My first question is, could you give some sense on the volumes that Ecom has done in the first quarter? I think you had provided some indication on what it had done in the fourth quarter.

So it would help if you could tell us the volumes of the first quarter.

Sahil Barua:

I think broadly speaking, in Q1, Ecom Express would have done something like 30 million packages.

Mukesh Saraf:

30 million. All right. And you had mentioned that we're probably retaining, say, around 50 -55% of the

volumes higher than what you had thought earlier. So my question is that probably, based on this high

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retention, your wallet shares with some of the marketplaces would have kind of gone higher. And typically, the understanding that we had is that marketplaces would not want a particular service provider to kind of get too large with themselves.

So is this like a temporary phenomenon until the marketplaces kind of figure out and redistribute these volumes out and hence you might lose some volumes later on? Or do you think

this could be sticky going forward as well?

Sahil Barua:

I think I've answered this. First of all, you don't always get what you want. But on a more serious note, the reality is that where will the volume go?

The volume ultimately has to be delivered, not merely handed off to the lowest cost service provider.

Mukesh Saraf:

Right.

Sahil Barua:

There's no marketplace or direct -to-consumer brand or SME or aggregator, international shipper who's merely going to say, as long as I get a 4 rupee discount on shipping, I don't care whether the package gets delivered or not. So what you're seeing is not just the impact, as I mentioned, of our cost efficiencies, which obviously also reflect in the fact that we were able to complete the acquisition of Ecom in the first place. But this is a movement of volume towards higher quality players.

And increasingly, as marketplaces get larger, they will look for a reliable partner. I mean, I would struggle to think of why Walmart, Amazon or Meesho for that matter would say we're happy to have an unreliable partner just because we happen to have in-house logistics. So I don't believe that unless we commit operational harakiri, there is any reason for our volumes to not be sticky.

Mukesh Saraf:

Got that. Got that. Understood.

The second question is on the Rs. 14 crore investment basically, that you're talking about on the new businesses. Could you, kind of, help us understand, probably in the next year or so, how this could, how the business itself, the revenues here and how the profitability here could materialise? Because as of now, it's literally wiping out the service margins that we're making on the Supply Chain business.

So first of all, how much could this go upto in terms of losses? And secondly, how do we see that turning profitable, say, over the next year or so?

Sahil Barua:

These businesses are very small. To give you an example, the on-demand intracity logistics market, you read the Red Seer reports, is estimated at some 10 billion dollars. I don't know whether it's 10 billion or whatever, but suffice to say it's very large.

Our entry into this market is approximately 100 days old. So

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it's a bit too early to comment on what the size of the business for Delhivery will be and what the exact investment levels will be. I think it's a capability that we think is a significant growth driver.

The second thing is that it's a service that's valuable to existing customers of Delhivery. As an example, Delhivery Direct also allows you to perform on-demand intercity shipping. So that's an extension to also allow customers to do on-demand intracity shipping.

So I think the investment levels will vary a little bit. It's the first quarter. Let's go through another one or two quarters. Let the operations for Direct, for example, in Ahmedabad, Delhi and Bengaluru, stabilise. What I can tell you as an example is Ahmedabad is the first city that we launched in Delhivery Direct and we are at contribution margin break even in about four months.

Hopefully, we will follow a similar trend in Delhi and Bengaluru. But the reality is that Delhi and Bengaluru are four times the size of Ahmedabad. So some things are still to be discovered but I think the opportunity is large.

Mukesh Saraf:

Sure. Understood. Thank you.

Moderator:

Thank you, Mukesh. The next question is from Aditya Mongia. Aditya, please go ahead.

Aditya Mongia:

Thank you team for the opportunity. Three parts to the first question. First, Sahil, you were for the first time talking about this flight to quality. Obviously, there were some factors in the first quarter that were transitory in nature, but could you speak a little bit more on what is something that can structurally drive a trend towards flight to quality? That's the first part.

The second part of the question is for you and your peers to be kind of giving good service i

n this kind

of an environment,

is it essential to have a Part Truckload service to balance things out? And if the answer

to part B is yes, do you see other players in a manner to kind of survive and grow, attacking the Part Truckload market from here on quite aggressively?

Sahil Barua:

Sure. Yes and no.

Is it essential to have a Part Truckload service to deliver high quality service? I think in a world in which you have volatile volumes, it helps, obviously, but it is not the sole factor that enables you to deliver high quality service. High quality service is delivered by 14 years of investments in automation, software, teams, training, which is a lot more than just merely running a PTL network. So yes, it does help to some extent, of course.

And that's largely because the math is pretty simple. When you do, let's call it 60 million

packages a month, and on average, they weigh whatever, let's call it a kilogramme, you're only moving about 60,000 tonnes of freight. Whereas the reality is the PTL business is moving 150,000 tonnes of freight.

And so the delta variations, when the parcel business spikes on the overall tonnage of the network are pretty small. Whereas if you were running a parcel only network, obviously, the delta variations

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would be larger. But it's not just a consequence of having the ballast of the PTL business. It is the underlying network structure, it is the automation, it is the software. And these are investments, as we pointed out, that have been in the making for a long time.

Can other players attack the PTL business? You know, I think one of our competitors has been trying to do that for a couple of years now with hardly any success. Anybody can run a PTL network, anybody can take PTL loads, that's hardly complicated. And the answer to that is the markets are unorganised and everybody from one truck to 1000 trucks runs a PTL network. But integrating it with a parcel network is really very hard. Even other players who've tried to experiment by putting a PTL business together, Express Parcel players, by that I mean, fundamentally run the Express Parcel and PTL networks on different rails. And therefore, they are not an integrated network.

Now, the reason why building an integrated network is hard, is because you have to figure out complex things like how do you match cutoffs? How do you manage multi piece shipments versus express loads? How do you make sure that the right kinds of goods get onto the trucks? And in a dynamic environment, that is a materially difficult problem to solve. So will people try to do a PTL business, I think various people will look at Delhivery strategically and possibly think of it as a silver bullet. But the problem is that the investments in software, automation, technology and the team that are required to make this work are highly non-trivial.

And I actually don't think that most of those attempts are going to be successful.

And they actually have not been successful for a couple of years already. So you can try. And even if we, for example, were to give out our entire technical back end, all our people were hired by some competitor, it will still take you years to actually construct the facilities, still take years to actually train the teams and make it executionally possible.

So in theory, yes, obviously, over a long period of time, any competitive advantage can be replicated. But in practice, I think it's going to be very hard. And then you have to factor in that for existing 3PLs the attempt to try and do this while the balance sheet is shrinking pretty rapidly. So I think the number of real strategic options here are for all practical purposes zero.

In terms of flight to quality, can you just help me out? I didn't fully understand your question. You said what will it take to structurally drive flight to quality?

Aditya Mongia:

That was not the question. T

he question was that obviously, there are some transitory factors, like whatever, weather, Operation Sindoor and so on, so forth. And beyond that, are you really seeing some structural factors that are here to stay that are making customers more conscious and starting to think through vendors in a different light than earlier?

Sahil Barua:

No, who will this really affect, because in direct -to-consumer and SME anyway, our share of wallet to begin with was very high. And so fundamentally there, I don't think there's been that much change. I think it's for the marketplaces really, where things have become a little bit different.

I think Meesho has specifically started doing logistics on their own. And they discovered that logistics is hard to do. I think there's a greater appreciation for what it means to create quality in a transportation network.

And they're obviously improving the operations in Valmo as well. But at the same time, I think

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what they want is a highly reliable partner. The second, obviously, is that the volatility in these businesses also seems to have increased. If we look at Q1, the inherent volatility in the marketplace volume seems to have increased. Now, that could be just a factor of Q1 being the way it was. But again, you'll have a peak season, there will be more volatility.

And so I think as the volatility goes up, they are finding that other networks don't have the ability to take that on. And, in some senses, I guess, the more variable the weather becomes, the more festive seasons have an impact, and the more these guys go after growth, the more they will have to rely on high quality partners.

Aditya Mongia:

My second question was more on, let's say, as in the context is that it seems that your existing businesses, until and unless the team commits some operational harakiri, some operations are going in autopilot mode. How are you thinking of investing your time and the company's financial resources into newer ventures? I'm unsure if this is the right time or not, but more time on acquisitions or more time on air cargo, how are you thinking through investing time and resources of the company from here on?

Sahil Barua:

Yeah, I wish an operational business could ever be on autopilot. But it's really not, I think, to create the impression of a business running smoothly, a lot of hard work does need to go in. And so I think a large portion of our senior teams' focus, whether it's mine, or Kapil, who's our CTO, or Suraj, who's our CHRO, or our corporate finance team, Amit or Vivek, etc, still obviously does go towards making sure that the existing businesses continue to run as smoothly as they need to.

There are long term operational challenges that we need to solve even for these businesses. But in terms of new services that we do need to launch, I think there are a few that we continue to evaluate. Two of those we've launched as an example are Rapid Commerce and Delhivery Direct, which is the on-demand intracity business.

I think on Rapid Commerce, the story is yet to be played out. We have so far launched as a B2C Rapid Commerce player. Our view is that the B2B market for Rapid Commerce actually is very large as well. Think for example, auto spare parts, durables spare parts, tyres, and so on. These are the kinds of categories that we do want to bring in. And our view is that actually the B2C business over a long period of time will be much smaller than the B2B business in Rapid Commerce. And in some senses, the economics of B2C will be determined by Delhivery's ability to create a large B2B Rapid Commerce business. So we will do that.

We will continue to expand our Cross Border Express Parcel business.

I think there's a growing demand

from direct -to-consumer brands and SMEs for us to open up an economy product for them that allows them to ship across the world. Currently, we only provide an exp

ress product through FedEx and Aramex.

So we will expand and build that. I think these are the more direct adjacencies. But we do continue to evaluate air freight. We do have a material amount of load that now moves on air freight. We're obviously not as large as Blue Dart yet, but we're a very large shipper on an aircraft belly. So that's something that Ajith and his team continue to evaluate. There may be a moment in time that it'll make sense for us to make a more decisive move on the air freight side as well.

Aditya Mongia:

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Can I ask one more question, Sahil?

Sahil Barua:

Sure. Aditya Mongia:

Your guidance that is there over the medium term about, let's say, close to high-teens margins in the Part Truckload business, does that take into account any material change in yields?

And I ask so because until last quarter, and I'm assuming that's continuing, your incremental customers saw great value and were actually giving you higher yields than your existing customers. That's the final question from my side. Any upside risks?

Or what is the assumption essentially inside when you think to a certain margin number against the yield assumptions that you have?

Varun Bakshi:

So Aditya, yes, yields will play a role. Yields and the customer mix. So basically, as we have pointed out earlier, our customer mix is still a little less indexed to a lot of retail customers that are there in this industry.

We do less of that. So as we increase that, which is a higher yielding business, more profitable even for us, whatever lesser we do at this point in time, as we increase that share, the profitability and the yields will continue to go up. What we have been doing over the last year is setting up teams geographically at the right place to tap this opportunity.

Well, we have done that. We have started seeing results of that. You are seeing those in yields as well.

But we are far from where we want to be in that. So the answer to that is yes, partly because of this. And even I think in the existing customers, what we have seen over the last one and a half years, the customers, most of the customers, not all I would say, but most of the customers seem to be more quality conscious than chasing that last 20, 30 paise off pricing that someone can give them better.

So in that sense, the market is less price sensitive than probably it's perceived. So we do think even in our existing customers, there is a yield play as one becomes a better PTL player.

Aditya Mongia:

Thank you. That will be all from my side. All the very best.

Moderator:

Thank you, Aditya. The next question is from Ankit Agarwal. Ankit, please go ahead.

Ankit Agarwal:

Hi, team. Thanks for the opportunity and congrats on a great set of numbers. I just have one question.

Sorry to go back again on the insourcing strategy, because you have already commented here. My question is that given that there are some signs of consolidation in the market with you taking over Ecom

Express, and there is a sequential pickup in e-commerce volumes in Q1, which we normally don't tend to see, given that this is a seasonally weak quarter. And you are also saying that volume for Ecom Express

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has not materially flown to your network in this quarter. So my question here is that, has there been any material change in the strategy around insourcing for one of your largest clients? I'm basically talking about Meesho, because they were the ones who were aggressively increasing insourcing levels since last year. So can you provide some comments on that?

Has there been any stabilisation on their insourcing mix? Any colour on that would be great.

Sahil Barua:

Yeah, I think their insourcing strategy is consistent with what they have said in the past. It is at a level that they seem to be comfortable with. The important thing is that of the s

ignificant percentage that they outsource, a larger percentage of that is now accruing to Delhivery.

Ankit Agarwal:

Got it. And similarly, can you comment on anything around Amazon Transport Services and E-Kart on the same line? Has there been any change on that front for these clients?

Sahil Barua:

I think our volumes, as I mentioned, with all marketplaces have increased in Q1 and so far in Q2 as well. I don't think that represents a fundamental shift in how they think about in-house logistics. I think that will take some more time to materialise.

But fundamentally, since our volumes are going up, I think, as I mentioned, the shift in their thinking appears to be that instead of merely trying to go to the lowest cost provider, they are going to a highly efficient provider with the highest quality.

Ankit Agarwal:

Got it. Got it, Sahil. Thanks for the answer.

Moderator:

Thank you. The next question is from Mr. Kamlesh Ratadia. Kamlesh, please go ahead.

Kamlesh Ratadia:

Yeah. So, Sahil, historically, you've been mentioning that in Ecom Express, the incremental margin should be between 35% and 40%. Now that a majority of this revenue, which will come from Ecom Express, will flow through the Delhivery network, how should we think about incremental margins

excluding the integration costs? So, on a recurring basis, should we think this would be materially better than the 35% to 40%

that you mentioned earlier?

Sahil Barua:

So, the incremental margins that we've spoken about in the past are obviously based on a target service EBITDA margin of 16% to 18%, I think, here in this call, we were discussing this, as volumes go up, we will evaluate client by client, what kind of potential opportunities we have for share of wallet gain. And there is a possibility that service EBITDA may expand beyond as well.

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So, really too early to say, I think the easiest way to think about this is that in the absence of any further adverse pricing, as long as that does not continue, and we don't believe it will continue, the reality is that the network's utilisation will continue to go up. As I mentioned, by the end of the year, as opposed to 4,500 Delhivery centres, as a simplest example, we will be maybe 4,850 - 4,900 Delhivery centres, which will be an expansion of maybe 6% or so. Now, if volumes in the network go up 30% -40% in this period, that obviously is going to present a massive increase in utilisation.

Our last mile delivery costs, as an

example, just the fixed costs that are about 10% of total costs. And so, you will see a pretty significant reduction there. The same math will apply to sortation centres, the same math will apply to gateways and hubs.

You know, even if you assume that there are no linehaul benefits that are generated, the incremental margins could be higher as well. But as I mentioned, I think the Q2 numbers so far are looking great.

Let's go ahead. When the Q2 numbers come out it will be much clearer.

Kamlesh Ratadia:

Understood. Great. Thank you so much.

Moderator:

Thank you, Kamlesh. The next question is from Jainam Shah. Jainam, please go ahead.

Jainam Shah:

Yeah. Hi, thanks for the opportunity. Just wanted to confirm one thing, the Ecom Express volume you told about 30 million is for this Q1 or is it for a particular month?

Sahil Barua:

Q1.

Jainam Shah:

So, I just wanted to get your sense on this.

Of course, our volume has increased to around 208 million. If

we add on our Ecom Express volumes, it is 238 million. And if we see the trend of Ecom Express, they have been doing around 500 plus million volumes in a year.

If we just take it on a quarterly basis, they

have been doing 120- 130 million kind of volumes, which has dropped to around 75% in this quarter. So,

just wanted to get your sense out of 208 volume, as you commented in the last call that some of the customers have already started shifting

g volumes after the formal announcement of the Ecom Express

acquisition. Out of 208 volume, what could be the volume that has eventually come from the Ecom Express with the customer shifting?

And what has been the organic growth that we have seen through

this particular quarter? If I just add back 208 plus 30, it is 238 versus something like 300 million orders that we have done combining Ecom Express plus Delhivery Q1 last year. That has been a drop of around 20%.

So, just confirming these numbers.

Sahil Barua:

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So, I think let the Q2 numbers also come out. That's when this will become a lot clearer because the full impact will become visible. As I mentioned, the full impact will take some more time as well to play out because the reality is volumes continue to accrue into the Delhivery network.

As I mentioned, our original assumption was that 30% of the volumes would accrue to Delhivery and we are already beyond that and that continues to grow. So, the reality is the full impact of the Ecom acquisition is a positive surprise so far and we will have more clear information as we go along.

Just a very narrow point on the 500 million.

Do bear in mind that Ecom Express and Delhivery don't

count shipments the same way. Delhivery counts forward and return consignments and RTO effectively as the same as a forward consignment, whereas Ecom Express's accounting policy was to count them as two separate consignments. And so,

the 500 million number was inflated to the extent of the RTO rate.

So, the actual number was significantly lower than that.

Jainam Shah:

Got it. And so, this retention of whatever we are talking about 50% or more, will it be coming to the Delhivery standalone and is it safe to assume that at the end of the probably few quarters the Ecom Express will be having eventually zero revenue as a subsidiary?

Sahil Barua:

Ecom Express as of Q2 itself will have more or less zero revenue as a subsidiary.

Jainam Shah:

Got it, sir. That's it from us. Thank you so much.

Moderator:

Thank you, Jainam. In the interest of time, we will take the last question from Sonal Minhas. Sonal, please go ahead.

Sonal Minhas:

Hi, team. A great set of numbers.

We wanted to understand more from a two -three year out perspective. What are the asset turns we look at or we internally evaluate in our finance team? And what are the margins that we see doing, that this is the asset turn we expect when we compare our balance sheet to our topline our business should be heading to? And tentatively, what margins should we be at?

So what I'm basically trying to get to is that is this fundamentally a 12- 14% return on capital business two, three years out as the consolidation has happened as the thesis that Sahil you're talking about that plays out?

Amit Agarwal:

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So, Sonal, we right now do asset turns of about 2x net of cash basis. We have close to Rs. 5,000 crore deployed in hard assets, working capital, all of it put together I think closer to Rs. 4,500 crore. And we do about Rs. 9,000 crore as revenue from services annualised. The target would be to get to roughly about 3x of asset turns for us in Express Parcel and PTL business, both of them, which form close to 85% of our revenues.

The service EBITDA margin, as Sahil spoke about, is in the range of 16 to 18% while there is a potential to be higher. But if we were to assume it at 17 odd percent, you just have to deduct the corporate overheads, which are right now at about 8.5%. And we have guided it towards 6- 6.5% and that will bring to an adjusted EBITDA of close to about 11 odd percent for us to do an asset turn of about 3x on that 11% odd adjusted EBITDA. So, the aspirational return on capital for Express Parcel and PTL business is well above 24% which we aspire to do.

With the acquisition of Ecom Express, nothing in this chang

es except the fact that we have front -loaded

Capex by roughly about Rs. 300 crores. Now, this Rs. 300 crore rupee Capex is essentially not something we are going to put into active use from day one . Many of the sorting equipment will be warehoused and will be put into use as and when the long- term capacities need to be built in.

So, nothing with regard to Ecom Express acquisition will change the way we have budgeted the economics of the business.

Sonal Minhas:

Thanks for this explanation and just understanding the Ecom integration with the business. We mentioned that we need to up the infrastructure by around 6- 8% from here to maybe 2 -3 quarters out. And secondly, Ecom Express volumes, we possibly want to capture 30-50%.

Is it a fair assumption that whatever flows

basically, a net of that should be margin- accretive, should be straightaway be flowing to our EBITDA or we would need to add more overheads and there will be more costs involved once these one -time Rs. 300 crore overheads are taken care of?

Sahil Barua:

No, there will be no overheads required to service this additional volume because it is coming from the same customers. So, there is nothing additional to be done. As I mentioned, the 6% increase also just to be clear is in the distribution centre network.

The last mile delivery centres, which out of the 20.3 million

odd square feet of real estate that we operate, are a very minor fraction of that. Most of the other infrastructure is absolutely perfectly fine for us to absorb the volumes that increase. In fact, as you can see, we have not expanded the network and have absorbed the volume.

Sonal Minhas:

Yes, yes. I just wanted to imply that. Thanks for explaining that.

Sahil Barua:

But just to be clear, it will be less variable costs of delivery, obviously. What will flow through the margin will be revenue less variable costs.

Sonal Minhas:

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Understand that. And I think last question, if I may ask, I think somebody previously was asking, you have seen a volume growth of around 14% in your Express Parcel. Has the volume growth with the Ecom players been higher or it's roughly the same levels as this number?

Sahil Barua:

No, I think we've gained share. And we'll see that we've gained share further.

Sonal Minhas:

All right. Okay. That's it for myself.

Moderator:

That was the last question. Thank you everyone for joining us on the call. Please reach out to the Investor Relations team for any further questions.

Before we end, I'd like to request Mr. Sahil Barua to conclude this discussion with his closing remarks.

Over to you, Sahil.

Sahil Barua:

Thank you, Apar. I don't really have any insightful closing remarks. I think, thank you all for joining on Friday evening at 7.30PM. Hopefully, this was useful. And like I said, we've got a good start. Q1FY26 has been great. And hopefully, this continues into Q2 and beyond.

Call: Nov 2025

Date: November 11, 2025
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
India

Scrip Code: 543529 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
India

Symbol: DELHIVERY

Sub: Transcript of Earnings Conference Call pertaining to the Unaudited Financial Results for the quarter and half year ended September 30, 2025

Dear Sir,

This is in continuation to our earlier letter dated November 05, 2025, regarding audio recording of the Earnings Conference Call held on November 05, 2025, at 06:00 P.M. (IST) on the performance of the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended September 30, 2025.

Please find attached herewith the transcript of the above Earnings Conference Call.

The above disclosure is also being uploaded on the website of the Company at www.delhivery.com

You are requested to take the same on your record.

Thank you.

Yours sincerely,
For Delhivery Limited

Madhulika Rawat
Company Secretary & Compliance Officer
Membership No: F 8765

Encl: As above

Delhivery Limited Q2 FY26 Earnings Conference Call
Nov 5, 2025

Management: MR. SAHIL BARUA, MD & CHIEF EXECUTIVE OFFICER
MR. AMIT AGARWAL, CHIEF FINANCIAL OFFICER
MR. AJITH PAI, CHIEF OPERATING OFFICER
MS. VANI VENKATESH, CHIEF BUSINESS OFFICER
MR. VARUN BAKSHI, HEAD - PART TRUCKLOAD
MR. NAVNEET KUMAR, HEAD – SUPPLY CHAIN SERVICES
MR. VIVEK PABARI, HEAD - INVESTOR RELATIONS
Moderator: DHRUV JAIN, AMBIT CAPITAL

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Dhruv Jain:

Hello everyone, good evening. Welcome to the 2QFY26 earnings call of Delhivery Limited, hosted by Ambit Capital. Before we start, Delhivery would like to point out that some of the statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

Kindly note that this call is meant only for investors and analysts. If there are representatives from the media, they are requested to kindly drop off this call immediately. To discuss the results, I am pleased to welcome Mr. Sahil Barua, MD and Chief Executive Officer, Mr. Amit Agarwal, Chief Financial Officer, Mr. Ajith Pai, Chief Operating Officer, Ms. Vani Venkatesh, Chief Business Officer, Mr. Varun Bakshi, SVP and Head of Part Truck Load, Mr. Navneet Kumar, SVP and Head of Supply Chain Services and Mr. Vivek Pabari, SVP and Head of Corporate Finance at Delhivery. As a reminder, all participants' lines will be in listen-only mode and participants can use the raise hand feature to ask any questions after the opening remarks.

Now, I invite Mr. Sahil Barua to take us through the key highlights of this quarter, post which we will open up for Q&A.

Sahil Barua:

Thank you, Dhruv, thank you, Ambit team. Welcome to all of you who have joined and thank you for joining this evening. As always, we will begin with a short presentation and then take questions.

But, before we begin, as some of you are aware, we have been in the process over the last couple of quarters of rejuvenating the Delhivery Board. As part of this, Mr. Yashish Dahiya from Policy Bazaar and Professor Padmini Srinivasan joined our board last quarter. In this quarter, you will be aware that Mrs. Aruna Sundararajan will be stepping down from the Board of Delhivery. On behalf of the entire management team and the Board of Delhivery, I would like to extend our deepest gratitude. Mrs. Sundararajan has been on the Delhivery Board for the last three years and we have benefited immensely from her guidance. Also, I would like to formally congratulate Mr. Vivek Pabari, who will be taking over from Amit Agarwal as Chief Financial Officer of

the company, and also place on record our gratitude to Amit. Amit has been one of the longest serving members of the Delhivery Team, having joined us on the 4th of August in 2012 and playing the role of CFO with great distinction, and also the key architect of Delhivery going public. Going forward, Mr. Pabari will be leading the Finance Function. He is already the Head of Corporate Finance and Investor Relations.

As a brief summary of the quarter before we begin, this has been a quarter of tremendous growth for the company. As you can see, we completed the acquisition of Ecom Express in Q2 Delhivery Ltd.

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and Express volumes have grown 32% year on year. We broke several records along the way, crossing over 100 million transportation orders in September, which continued in October and also reached our peak dispatch of 7.2 million orders in a single day during this festive peak

period. The particularly heartening part is that these records were achieved also with complete operational stability, which has essentially given us an excellent base for Q3 in both the Express and the PTL businesses. The profitability of the core business has also remained absolutely stable, despite a shift in volumes during the GST period. Overall, from an integration standpoint with Ecom Express, we will recognize approximately Rs. 90 crores of integration costs in this quarter and a re well within our overall envelope of Rs. 300 crores, as we had guided at the time of the acquisition.

To take you through the presentation, I will invite Vani, our Chief Business Officer, to go through the highlights of the quarter. Vani, over to you.

Vani Venkatesh:

Thank you, Sahil. Thank you, Dhruv. I will quickly run us through the numbers.

Our revenue from services was approximately Rs. 2,546 crores this quarter. That is a significant YoY growth of about 16% and a quarter growth of about 11%. This came in with an EBITDA of Rs. 150 crores.

Again, a massive jump. Bear in mind that this quarter also takes in the peak -related costs. So, compared to Q2 last year where we had about Rs. 57 crores, this has jumped up to Rs. 150 crores.

So, that is 5.9% on EBITDA margin. Our express parcel shipments showed significant growth. We ended the quarter at about 246 million express parcel shipments.

That is a huge 32.5% growth YoY and 18% growth quarter on quarter. PTL continued to demonstrate stable, steady growth at about 477K tons. Overall, we ended the quarter with a PAT of about Rs. 59 crores, which is 2.2% compared to the same quarter last year where we were at about 0.4%. That is a significant jump in the number of basis points in the profit expansion agenda that we had. The same reflects in H1 as well —Rs. 4,840 crores of revenue, which is 11% YoY growth. We had Rs. 299 crores of EBITDA.

Again, a 6.2% EBITDA percentage, 453 million express parcel shipments, 935K tons of PTL freight tonnage and Rs. 150 crores of PAT. Our cash and cash equivalents keep us in a comfortable position. We are at about Rs. 4,200 crores of cash and cash equivalents as we end the quarter.

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Coming to our key operational metrics, our PIN code reach has been consistent at 18,830. We have significantly increased the number of active customers. At the same time, last quarter we were at about 38,000. That is a 10,000 increase from there. At the same time, in Q1, we were at 43,000. Again, a 5,000 increase from last quarter.

We have expanded our infrastructure to approximately 22.05 million square feet. A small part of it is related to peak, but overall, it has shown some growth. We have about 123 gateways, 50 automated centers, and a slight increase in each of these counts.

Sorters count has slightly increased to about 74. Freight service centers have increased to about 141. Processing centers have been largely constant at about 160.

Our express delivery centers and partner centers together are at about 4,600, 4,700 odd. So that's shown a slight increase, including a little bit for the peak. We've had a team size of 75,000.

Again, you see some increase, which is peak -related and partner agents of about 64,000, managing a fleet size of about 18,600 odd fleets. So that's roughly the operational metrics that we are at.

If we can move forward, from a performance point of view, our revenue from services, as I mentioned earlier, is about Rs. 2,546 crores. It's a healthy 16% YoY and 11% QoQ growth. You'll see that the contribution of express has scaled up to about 63%. PTL has been largely stable in the 21 -22% range, and the rest of the businesses continue to grow profitably.

Our express parcel revenue grew about 24% YoY, and the tonnage grew about 32%. So, we ended up delivering about Rs. 1,611 crores in express parcel via 246 million shipments. Again, this was a very healthy all-round growth. We obviously benefited from the acquisition that we had. In addition to that, there's been organic growth as well. And we've seen growth across segments, be it the e-commerce players, be it the D2C players, or be it parcels from small businesses.

We've seen all-round growth in this segment. PTL, again, freight revenue grew 15%, to about Rs. 546 crores, and the tonnage has grown about 12%. So PTL freight revenue continues to trump tonnage, which means it's coming in at a very healthy yield. So, the team has diligently been expanding the margins here and making sure that it's a profitable growth. We can move forward.

Coming to supply chain services, supply chain services will find a blip in the revenue. The revenue is at about Rs. 170 crores. This is a very calibrated, conscious blip, as we explained during the last analyst call also. We've been careful about what contracts to be in and what segments and what industry sectors to be in. And as a consequence of that, you will see in the Delhivery Ltd.

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subsequent section that the profitability has grown quite substantially. So, our idea is to make sure that we have a very healthy, profitable mix, a profitable construct which we can scale this business up to. So, supply chain services, from a revenue point of view, you will see that it's a calibrated drop of about 14% YoY, and you'll see a significant increase in the margins in the subsequent page.

FTL service ended at about Rs. 150 crores in Q2, and our cross-border services ended at about Rs. 38 crores in this quarter, if we can move down. If you look at it from a service line profitability point of view, I call your attention to the box which is shaded Q2 FY26. So, overall revenue from services, as you see, is about Rs. 2,536 crores.

Our margin percentage has been at 13.2%. Bear in mind that again, Q2 is a quarter where we have made peak-related investments. So compared to Q2 FY25 9.3%, there's a significant expansion in margin of bringing it to about 13.2%. Again, express parcel margins are at about Rs. 246 crores, which is a good 15.3%. A stable to a slight increase from Q2 of about 15.1%. Last year's Q2 of about 15.1%. If you look at part truck load, again, it's an 8.5% margin. And notice that in part truck load in the first half of FY26, we've clocked in about Rs. 100 crores of margin, which is equivalent to the full year last year.

So very much in the right direction with yield increasing, and we're looking forward to significant more expansion in the coming quarters as well. Similarly, supply chain services, it's been a solid story from a profit orientation point of view. The business has been pivoted to good profitability.

You will find that it's scaled up from 7.2% to about 12.8%. And if you look at the same time last year, same quarter last year, it was at a negative 4.4%. So, it's been a significant focus and concert

ed effort to take it from a negative 4.4% to a 2.1% to a 5.4% to a 12.8% this time. So again, if you look at the absolute margins, which are at about Rs. 22 crores and Rs. 15 crores in the last quarter, this half itself, this business has done about Rs. 36 crores of margin, which is almost twice all of last year. So overall, if you look at the core businesses, we are in a very healthy state.

Our core businesses are growing healthily. The orientation towards profit has been solid. All the metrics are in the right direction as far as the core businesses are concerned.

Coming to corporate overheads, our corporate overheads have been at about 9.3% as a percentage of revenue. It's largely in the same ballpark range 9.1% to 9.3%. We've seen some increase in wages, and we've put in some investments in technology, which also sees a little bit of uptake on account of peak and the volumes related to peak. But overall, it's still at 9.3% and in the right direction.

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As far as investments in new services are concerned, as we discussed last time during the analyst call, we've invested in two new businesses. One is the rapid commerce business, where we do a sub two-hour same-day delivery. Currently, we are present in three cities through 20 dark stores, and that business continues to scale up well. The other one is an on-demand intracity service where we have initiated operations in Ahmedabad, Bangalore and NCR. Both of these businesses continue to scale well and our investment this quarter has been about Rs. 15 crores in these businesses in line with our plan. All in all, our adjusted EBITDA ends at about Rs. 83 crores for this quarter compared to Rs. 10 crores in Q2 FY25.

So, we've scaled it up from the same time last year from about 0.5% to 3.3% and we've good line of sight for similar expansion to continue. Also to be borne in mind is that this has been a unique year where some of the peak-related benefits will actually flow in October, given that the peak festive season actually started at the tail end of September. If we look at the profit after tax trajectory, our profit after tax has again shown consistent expansion.

Overall, for Q2 FY26, we've clocked Rs. 59 crores of PAT compared to Rs. 10 crores in Q2 last year. So again, a significant movement. If you look at the overall trajectory from about minus 4.4% in Q1 FY24 and minus 5% in Q2 FY24, it has jumped last year to about 0.4% and again it has jumped this year to about 2.2%. So, the focus on profit expansion and the focus on scaling up business with the right levers have played well for us, and we are very well positioned for the upcoming quarters.

Quick update on Ecom Express acquisition. As you know, acquisition was completed on July 18, 2025. We paid a final purchase consideration of about Rs. 1369 crores. Business-wise, the volume manifestation at Ecom ceased during the first quarter with non-express businesses exit being underway. Now the revenue transition largely completed, net Ecom revenue for this quarter was about Rs. 13 crores. Network rationalization plan has been completed. We've retained seven facilities with about 1.3 million square feet of area. There are unabsorbed facilities still leased at Ecom totaling to an area of just 1.1 million square feet, and they are primarily servicing Ecom's non-express businesses being exited. Financially, monthly corporate overheads at Ecom have reduced by 85% from deal announcement time till end of Q2 FY26. Assets worth Rs. 100 crores have been retained on Delhivery consolidated books for long-term usage and integration cost were about Rs. 90 crores in Q2 FY26. It's well within the original estimate. So overall on Ecom, we are quite happy on multiple counts. One is from a customer retention and a revenue retention point of view. We had indicated last time that our business case was based on having a

about 30% retention. We are well, well, well over that. So that's one. The integration has been seamless. We haven't had any issues from a service or a customer integration point of view, and the integration costs are also well within our original estimate. So, all in all, it's been a good seamless transition.

Coming to the working capital, we've demonstrated continued improvement in working capital. In particular, there has been very disciplined management of collections. There has been Delhivery Ltd.

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increased tech usage in claims and dispute resolution, all of which is reflected in the numbers you see on the page. As of now, we are actually under 20 days, which has been the best ever in terms of net working capital days.

And we've also been calibrated in our Capex spend and in our Capex intensity. So, if you look at H1FY26, we spent about 5.1% compared to 6.6% same time last year. And typically, we've seen that the investments are heavier in H1 compared to H2. So, we expect to end the year even better. And we are directionally trending in the right direction with our long-term goal of getting to about 4% capex intensity. So that's on the capital expenditure.

Overall, it has been a highly positive quarter for us. The integration has been successful. The volumes have trended up very positively. And most importantly, we are well-positioned for the subsequent quarters. Some of the conscious calls we've taken in terms of pivoting businesses to profitability have set us up well for the subsequent quarters. And largely, we like where we have landed and how we are set up.

With that, I'll hand this over for any questions and answers.

Dhruv Jain:

Thanks, Vani. We'll open the session for Q&A. Anyone who wishes to ask a question can raise their hand.

The first question is from the line of Sachin Salgaonkar. Sachin, if you could just also speak about your organization name. Thanks.

Sachin Salgaonkar:

Thank you. This is Sachin Salgaonkar from Bank of America. Three questions.

First question, again, I wanted to understand a bit more on express parcel margins. Last quarter, before the acquisition of Ecom Express, your margins were 16%. Your shareholder letter does indicate that service EBITDA margins are expected to be in the range of 16 to 18% by the end of 2026.

So how should we think about it? You know, at the low end, are there no benefits from the potential acquisition of Ecom Express? And at the high end, it's more like a two percentage point benefit in terms of acquisition of Ecom.

Because one would have ideally thought, given the fact that synergies are high, margins could have, you know, further inched up. Let me pause here, and then I'll move on to other questions. Delhivery Ltd.

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Sahil Barua:

Sachin, why don't you go ahead and ask all three questions? I'll answer them together.

Sachin Salgaonkar:

Got it. And, you know, of course, a small follow-up on this question is what you guys are seeing from a next 24-month kind of a margin perspective. Is that a conservative way in terms of, you know, Sahil, how you guys are looking at it? Or, you know, one should think about the upside to that. So that's the first question.

Second question, I wanted to better understand the Rs. 300 crore kind of envelope in terms of integration costs you guys talked about. Ideally, in acquisitions, we see these costs being front-end loaded versus distributed over a few quarters. So, any broad understanding or color in terms of how we could think about this entire distribution of a Rs. 300 crore cost, because this quarter we did see a Rs. 90 crore cost. So, I want to understand: will it be more back-end loaded or spread across the board?

And third, supply chain margin. And while the opening remarks in your shareholder letter mentioned margins, what I wanted

to understand is what has changed to cause margins to move so drastically up, let's say, from 7.2% to 12.8%. Anything structural that has happened out here is where the margins have moved. Yeah, those are three questions.

Thank you.

Sahil Barua:

Super. Thank you, Sachin. Let me begin with the first one.

In terms of margins, normative margins 16% to 18% in the express business, you know, we've maintained this for a while, which has always been based on the idea that beyond 18%, if the company feels it is necessary, and if basis our client conversations, we believe there is additional share of wallet for us to be gained, we typically tend to pass a certain amount of pricing benefits back. As I mentioned in the past, as the competitive intensity in this sector has reduced, number one, and number two, as sort of inflation has caught up with other players in the market, the necessity for us to pass on these benefits has reduced year on year. And, obviously, with the acquisition of Ecom Express, the need for us to pass this on is obviously

lower than before in a more stable industry structure.

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So, there's no structural reason why margins cap out at the 18% mark. Incremental margins are significantly higher than 18% as we start gaining volume scale. And so, realistically, yes, in the express business over time, if we don't fully pass these benefits on, margins can inch up beyond the 18% range as well.

Why you're not seeing the uptick in Q2 is for two reasons. One reason is that a reasonable portion of the volume has actually shifted into October, as we pointed out in the shareholder note, the announcement on the change in GST rates pushed out volumes by about seven days. As a result, we incurred an additional cost of approximately Rs. 7 crores, which was incurred as we built capacity in September. However, when we examine the profitability over the September and October timeframe, the profitability for the express business is well in line with our overall expectations.

Over the next 24 months, I believe we hold a couple of key assumptions. One is I think you can see, you know, and this is a discussion we've had in multiple analyst calls in the past two and a half, three years, that as industry structure consolidates, obviously we believe as a market leader, it consolidates favorably towards us.

Our overall volume growth, as you can see, has been 32% year on year, the e-commerce industry has not grown 32% year on year, obviously. So, this is a market share gain. We expect our competitive position to improve in the years ahead.

And so, as a consequence, I think, you know, as we continue to gain volume scale in the express business, and we continue to grow our heavies business, there is a possibility for margins in this business to grow, first of all, easily, obviously, to the 18% point. And then from there, you know, depending on sort of what we can gain in terms of share of wallet, possibly even beyond the 18%.

In terms of the integration cost, the Rs. 300 crores was our estimate at the time we made the deal. This was obviously based on our assessment of lock-ins on the real estate and facilities, the integration costs of people, and specific contracts that Ecom Express had signed that we needed to wind down. Rs. 90 crores of the integration cost have already been incurred. We will have approximately Rs. 100 to Rs. 110 crores of integration costs over the next two quarters.

But as things currently stand, we believe that the total integration costs will be materially lower than the Rs. 300 crores that we had originally forecasted. We have been able to consolidate the Ecom Express network more quickly than we originally anticipated. We have also obviously benefited from increased volumes, which have allowed us to repurpose some facilities and bring them into the Delhivery network productively.

actively.

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So, in fact, I think the bulk of the integration costs, or rather, for all practical purposes, almost all of the integration costs will be within fiscal 26. You've seen the impact in Q2; there will be some in Q3 and Q4 as well. However, beyond that, there will be no material integration costs, and it will be materially lower than what we originally planned.

Regarding the supply chain services business, we've previously discussed this. And the approach is in some senses no different from what we've taken, even to the PTL business, as we were sort of restructuring it over the last few years, which is to first get the profitability of the business right and then to push for growth. So, the change indeed is structural.

This has resulted from significant improvements in operational processes and the warehouse management systems. Our technology and product advantages are now starting to show. Also, the launch of our transport management systems, tighter integration with our express transportation, PTL transportation, and FTL transportation businesses have led to improved transportation margins for the SCS business as well.

So, it is sort of essentially just think of it as significantly improved engineering, operations, technology, and product capabilities leading to incremental margins. So, that is a structural shift. Now, going forward, I think there are a few growth levers that we have.

One, from an e-commerce standpoint, is that we offer a guaranteed next-day delivery product, which is now linked to our fulfillment center network. This is essentially aimed at direct-to-consumer brands and e-commerce platforms. We're already seeing a pretty decent uptick.

Number two, we have expansion of existing relationships, specifically with players who work with us in the automotive and automotive ancillary space, for example. We are in advanced discussions with potential clients in spaces that we already serve pretty well, which is consumer durables, industrial goods, and some in the automotive space as well. Therefore, this change will be structural, and we do anticipate that margins in this space will continue to go up.

Last year, our margins in Q2 were particularly affected, and I believe we reported a loss of 4.4%, largely owing to our entry into quick commerce at that time, which is a segment we have exited.

Sachin Salgaonkar:

Superb. Thank you so much. Very clear on that.

Sahil, in terms of GST, again, we saw your comments in terms of what you mentioned in the shareholder letter. The question is more from a demand perspective. Are we seeing any increase Delhivery Ltd.

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in demand or pent-up demand, where consumers are buying a bit more due to these GST cuts, particularly on the e-commerce side?

Sahil Barua:

There has been some positive impact of the GST cut on the consumer side. We're seeing it, by the way, not just in e-commerce alone, but we are even seeing this in certain parts of our freight business.

Overall, there has been some uptick in overall volumes. But it's not sort of, I think it is a festive period in general and so there's sort of high volumes in the September-October period anyway. Also, some of these were, as you know, a part of the increase in demand was also because when the GST rates were changed, I think people consciously postponed consumption for a period of time.

So, that is why that middle sort of 10 days in September, there was a dip actually in consumption. In some categories, clearly, we saw very, very strong growth during the festive period. For example, consumer durables is a sector which grew very fast.

You know, specific brands, which can't be disclosed here, obviously, but specific brands, we did see significant uptick immediately after. So, there has been an overall, a net uptick. We see this

even in our part truck business to some extent.

Sachin Salgaonkar:

Thank you and all the best.

Dhruv Jain:

Thank you, Sachin. The next question is from the line of Gaurav Rateria. Gaurav, please unmute yourself and just mention your organization name as well.

Gaurav Rateria:

Hi, this is Gaurav Rateria from Morgan Stanley. Hi, Sahil. I have two questions on express parcel. Beyond this year of integration and the market share gain and the benefit that we saw

because of consolidation, how should one think about the normalized growth in this industry? Is this going to be 10%, 15%? Any sense that you can talk about at least more from not like a very medium term, but more like 12 months, you know, kind of a period?

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And the second question is that when you look at PTL, we were very confident about hitting 20% on volume growth. The first half is around 15%. And I understand there could have been GST issues that you talked about in the shareholder letter. But do you still expect it to be around 20% in pent up demand to kind of show that in the second half? Thank you.

Sahil Barua:

Sure. On the first one, very quickly on market growth and express growth. Obviously, this year, there is the outsized impact of the Ecom Express acquisition.

Our anticipation is that the market, as I mentioned in the past, grows at sort of, you know, 15% to 18%, 20% kind of growth rates. And earlier, of course, our point was that Delhivery would grow at the bare minimum in line with market growth. That said, I think there are some structural factors which are, you know, fairly significant upsides for Delhivery.

The first, of course, is the fact that with the growth we have already seen both in the express business and in the PTL business, our cost structure has improved even further. And so, our ability to drive efficiency and our ability therefore to differentially gain share of wallet where we would like to have improved. And we will flex that muscle.

So, we will gain share beyond, you know, just the basic market growth. The second thing is, you know, historically, so far, one of the drags on this sector has been companies sort of thinking about doing logistics in house. And obviously, competitors who have priced below cost, I think with the acquisition of Ecom Express, one of the things that certainly has become clear is that pricing below cost is not a viable logistics strategy.

And so other competitors in this space, of course, I think have sort of become more disciplined, which changes competitive intensity for us. Also, I think weaker balance sheets for some of our competitors affect their ability to invest in capacity building aggressively. Also, players who have largely variable cost models, I think when you study their financials, what you can see is that there's no operating leverage at all.

You know, even if companies in this space have been able to generate incremental revenue, they've been able to generate no incremental margins out of it. And so, I think at some point that also strengthens Delhivery's overall competitive positioning a lot. So net net, that's one big tailwind for us.

The other, of course, is that when you look at self logistics itself, you know, the historical argument from self logistics players has always been that as they grow, they become more efficient and their costs come down. I think one of the self logistics arms has declared the same
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absolute loss that they declared last year. And so, I think at some point, the reality is that these costs are going to catch up with all logistics arms.

I think you can clearly see from one of the international marketplaces that profitability is one of their core focus areas. And what is very clear is that self-logistics is not the most efficient answer to get there. So I

do think that over the next couple of years, you will also see, you know, sort of a more judicious use of capital and sort of a decision to outsource certain parts, which are certainly loss making, to 3PL companies of which there aren't too many.

So, you know, there's already one fewer than there was last year. And so, in that sense, I think that's again a big tailwind for Delhivery. So, I think market growth, like I said, 15% to 20% Delhivery's own competitive positioning, you know, evidently stronger than it was last year, we should be able to grow beyond that market growth as well.

In terms of PTL, yeah, 15% is where we are for H1. You're right, there's a significant impact actually of GST over here, because shipouts were delayed and pushed out towards the end September. This year, at least so far, we have seen a reasonably, you know, sort of strong October.

And the January -February -March quarter is usually the high watermark for PTL. I think we'll be very close; we'll probably get to a 20% growth rate overall. From our standpoint, the other focus of the PTL business has also been to continue improving our yields.

So, you can see, I think our yields are up again 3% quarter on quarter. And overall, I think we've gained nearly 1 rupee in yield over the last year or so, which is very significant. So, we will continue to push that, I think what's more important outside of just the volume growth is for us to get to that 16% to 18% kind of Service EBITDA margins. And once we get there, for us to push growth on the PTL business is not particularly hard. So, no structural change even from a PTL growth standpoint.

Gaurav Rateria:

Thank you, all the best.

Dhruv Jain:

Thanks, Gaurav. The next question is from the line of Aditya Suresh. Aditya, please go ahead and request you to limit your questions to two.

Aditya Suresh:

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Thank you. This is Aditya Suresh from Macquarie. So, I'll have two questions for you.

So first is a theoretical question. So, in your press releases in the past couple of months, you referred to this peak volume metric on a daily basis. I mean, I look at that and compare that with the express parcel volumes which you've seen.

So, while we're up over 30%, the daily run rate, if I may, is 2.6 million parcels. So, could you help square that in terms of how I should think about what you report as a peak volume versus what you report on a quarterly basis? Because effectively, what I was reading was that this implies a lot of slack in your existing system.

Is that the correct way to think about this?

Sahil Barua:

No, not really, Aditya. So, for two reasons, one is there's a big gap between Mondays and Sundays, right? You deliver a lot more consignments on Monday than you do by the time you're getting down to a Sunday.

So, the average of approximately 91 million or 100 million, divided by 30 days, which works out to around 3 million a day, is not exactly correct. Because Saturdays and Sundays will be very, very low, Mondays will be very, very high.

Also, that's just the way more sellers will ship out in a fashion that goods are reaching zone D, zone E, zone C kind of locations on Saturdays and Sundays. And so, the available volumes for dispatch on Mondays are significantly higher. So that's one of the reasons why there's an outsized Monday.

In fact, the interesting thing is that I would look at it as saying this, it's not a question of slack, it's the ability of the network to capacitate correctly for different dispatches, dispatch levels across different days. Without a significant increase in our costs, we are actually able to deliver 7.2 million shipments on a Monday and call it 1.2 million shipments on a Sunday. Because were we actually, if we had as much slack as the average would suggest, the reality is that the express business would be nowhere

ear at 16% kind of margins overall.

So, this is the way we plan capacity. This is essentially the way that we roster capacity. This is the way our systems orchestrate the movement of goods to the last mile.

Aditya Suresh:

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Interesting. And just in terms then, so obviously from a market perspective, just on express parcel, we've seen quite a few movements clearly. But if you had to frame what the market looks like today and kind of your market share, could you help us with what your current understanding is?

Sahil Barua:

I think market share, very hard to put exact numbers to it. But let me put it this way. First of all, if you look at it outside of, in terms of the overall market, including all of the marketplaces and excluding groceries, I think prior to the Ecom Express acquisition, we were close to about 20%.

Post the Ecom Express acquisition, we're probably closer to somewhere between 27% and 30% or so. And in terms of whatever is not outsourced, if I exclude Amazon self-logistics and Flipkart self-logistics, and if you sort of, it depends on how you choose to take Valmo. But if you exclude Valmo, for example, our market share will be well over half of the market.

Aditya Suresh:

Interesting. Can I ask one more, Sahil?

Sahil Barua:

Sure. I mean, I have no problem. Please go ahead.

Aditya Suresh:

So, just then, on the PTL business, this is more specific. I was confused that you saw better volumes both year-over-year and sequentially. You saw better yield, but the margin was down, right? So, like, why was that the case?

Sahil Barua:

Just two things. There are two reasons for this.

One is obviously, like I said, there's that Rs. 6-7 crore s additional cost that we had to take during the month of September, because volumes got pushed out. We built capacity a little earlier. The second thing is by virtue of being an integrated network, what happens is that when you're building up capacity for Express and Heavies, a certain amount of that cost gets allocated to the PTL business as well.

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Right. Okay. So that's part of the reason.

But structurally, there's no change to the PTL margins. So, these will just rebound once all of this washes out.

Aditya Suresh:

Great. Thank you.

Dhruv Jain:

Thanks. The next question is from Sachin Dixit. Sachin, please go ahead.

Sachin Dixit:

Hi, Sahil. Thanks for the opportunity. My first question is about how we should read the Rs. 13 crore incremental revenue from Ecom Express.

I mean, you have obviously stopped manifesting volume there. How are you coming up with this number? And if you really try to do like to like how much of your revenue would actually be coming from the acquisition benefit rather than just Rs. 13 crore?

It seems too low.

Sahil Barua:

It's just that Rs. 13 crore is just standalone revenue for some contracts, which need to be exited. So Ecom was in certain businesses that Delhivery doesn't want to service. That will also just wash out and go to zero.

Sachin Dixit:

Understood. So whatever express parcel benefit is there, it's already there in the P&L.

Sahil Barua:

Yeah. Sorry, I didn't understand that fully. This is not express parcel revenue.

This Rs. 13 crore is there. This is another contract that they had. There's a lock -in in that contract. We're servicing it, and it'll wash out.

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Sachin Dixit:

Sure. Understood. Secondly, on the margins is something that my prior participant has already asked. You mentioned that the 15.3% service EBITDA that we delivered in Express for the quarter will be more or less normalized as we proceed to October. But thanks to a press release, we know that only 3 million extra shipments are happening, largely, whi

ch includes freight as well, in October versus September.

How sharp a jump can the 3 million drive through? Can you give some color to what is happening?

Sahil Barua:

It's very significant, as I can tell you, between September and October. We do have, obviously, our October provisional financials, but they're not public. What I can tell you is that September plus October, when looked at together, we are well within the margin range that we would have forecasted internally.

The reason why September is slightly lower, I think your question is good, is that October volumes are similar to the September volumes. The point is two things. One is that a lot of the costs in September are in the early part of the month, and the 101 million and 107 million that we picked up in September and October, respectively, are pickup volumes.

A lot of the delivery has happened in the first week of October as well, and beyond. So, there's a certain amount of impact because of that, as the closures in October will be higher. And also, what's happened is by the time we're entering the tail end of October, some of the additional capacities that were built into September are also going to start tailing off a little bit.

So, the October margins will be better than the September margins as a consequence. And net - net, when you look at September -October, the margins will be higher than 15.3%.

Sachin Dixit:

Understood. Sure. Thank you and all the best.

Dhruv Jain:

Thanks, Sachin. The next question is from Abhishek Banerjee. Abhishek, I request you to unmute your line.

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Abhishek Banerjee:

Yeah. Am I audible?

Sahil Barua:

Yeah, go ahead, please, Abhishek.

Abhishek Banerjee:

Yeah. So, I was just trying to understand the jump up in employee expenses. Is that going to stay, or will it normalize?

I mean, are there any one-offs yet?

Sahil Barua:

The jump in employee expenses is directly linked to the growth in volumes during the peak period. So, we did nearly some 35 million more consignments in the express business and 20,000 more tons of freight. So, we have more, you know, delivery riders.

We also opened a few more centers across the country. So, we expect volumes, as I mentioned, October volumes have remained very strong. Our forecast going forward, at least at the moment, continues to be pretty aggressive.

But manpower levels, staffing levels across the company, and the operations teams are modulated to whatever the overall volume that we expect to have. At a unit economics level, there's actually an improvement.

Abhishek Banerjee:

Okay. But I was trying to understand that, see, the estimate that you have given for employee expenses without the impact of Ecom Express is about 386 crores of a quarter, whereas that number is 426 crores actual, right? So, this Rs. 40 crores, is it going to go down? Are those one-off payments? That is what I'm trying to understand.

And also, in the shareholders' letter, you've written about certain facilities where you have to continue paying the rent because there is a lock-in.

By when will that get sorted?
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Sahil Barua:

I think Vivek will just provide the specifics.

Vivek Pabari:

You're referring to the P&L column, right? The management estimate, and you're subtracting the 426 minus 386, the 40 crores? Yes.

Yeah. So, that corresponds to the integration cost. So, that cost will go down. It's not a permanent cost.

Dhruv Jain:

Abhishek, we can't hear you.

Abhishek Banerjee:

Yeah, your voice trailed off.

Sahil Barua:

Sorry, I think we couldn't hear you for a second, Abhishek. I'll just button while Vivek comes back. Yeah, go ahead, Vivek.

Abhishek Banerjee:

Yeah, your voice trailed off. So, you were answering that the 40 crore cost would go away, and then Vivek was saying something when the voice trailed off.

Vivek Pabari:

What was the question around facilities?

Abhishek Banerjee:

Oh, so that was, you mentioned that you are continuing to pay rent for some of the facilities which you have decided to shut down. I was trying to understand by when that will get sorted? How long are those contracts?
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Vivek Pabari:

Different facilities will exit at different points in time. I think there are about three facilities which have a longer lock-in, which will continue beyond FY26 as well. The rest of the facilities should largely exit by the end of this financial year.

Abhishek Banerjee:

Got it. So, the Rs. 110 crores of additional impact that you spoke about over the next couple of quarters, that already factors in these points, right?

Vivek Pabari:

Yeah, it factors all of these points. It factors the cost of facilities, people, discontinuing businesses, overheads, all of those points.

Abhishek Banerjee:

I understand. And what would be if one were to try to model the margin going ahead? So, is it reasonable to think of material improvement in adjusted EBITDA margin in H2?

Vivek Pabari:

Material improvement in adjusted EBITDA margins? Sorry, your question was not clear to me.

Abhishek Banerjee:

I'm saying that generally every year there is a material movement in the Adjusted EBITDA margin in the second half vis-a-vis the first half. Would you think something similar should

play out given the timing of the festive season and all of that?

Vivek Pabari:

Yeah, that typically is the nature of the business. All the fixed capacity additions in the network do happen during the first part of the year and then they get sweated better during the second half of the year. The volume momentum so far in October, as you would have seen our release, has continued to remain strong.

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So, if the volume momentum continues for the rest of the months of this quarter, and anyway, the fourth quarter is a peak quarter for PTL. The combination of these two, if it plays out as it has in previous years as well, should ideally lead to better sweating of the fixed assets, and it should lead to improvement in margins.

Abhishek Banerjee:

And the parcel yield, there's no reason to think that the express parcel yield will fall further from current levels?

Vivek Pabari:

Abhishek, we have explained this in our letter as well. It's entirely a function of parcel mix. So, it's always hard for us to predict what the parcel mix will be going forward.

What we can safely say is that any movement in yields that you see for the coming quarters will be a function of parcel mix. Whether it will go up or go down, it's hard to say.

Abhishek Banerjee:

I understood. My question was just given the fact that Ecom Express did not have too much heavies. So, that step jump in the increase of lower weight parcels would have happened.

So, I was coming from that point of view, but I understand. Thanks.

Dhruv Jain:

Thanks, Abhishek. The next question is from Achal Lohade. Achal, you can unmute your line and go ahead, please.

Achal Lohade:

Yeah, good evening, team. Thank you for the opportunity. Two clarifications.

One, there is a line of Rs. 20 crore in the other services' EBITDA. If you could clarify what that pertains to and how sustainable it is.

Sahil Barua:

Achal, you said you have two questions. Do you want to ask both?
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Achal Lohade:

Yeah. The second, just a clarification on this Rs. 90 crore, you know, you kind of explained Rs. 48 crores is part of the employee cost, and Rs. 42 crores is part of other expenses? Is that the way we should look at it?

Sahil Barua:

Yeah, just a seco

nd. Vivek, you want to go ahead and give a breakup of the Rs. 90 crore integration cost?

Vivek Pabari:

Sure, Sahil. Just give me a minute. So, the breakup would roughly be, there would be about Rs. 15 to Rs. 20 crores of cost corresponding to facilities which are being exited.

Achal Lohade:

Hello. Sorry, I am not able to hear.

Dhruv Jain

We are not able to hear you.

Achal Lohade:

Vivek, we are not able to hear you.

Vivek Pabari:

Am I audible now?

Dhruv Jain:

Yes, you are.

Achal Lohade:

Now, yes.

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Sahil Barua:

Sorry, we seem to have lost Vivek. Am I audible?

Dhruv Jain:

Yes.

Sahil Barua:

Alright, let me take this. So, of the Rs. 90 crores overall Ecom integration cost that we have, the breakup is about Rs. 31 crores come from exiting facilities, exiting offices, dismantling of infrastructure, and so on. About Rs. 17 crores are also from facilities, but it is in the exit of fulfillment center businesses that Ecom Express was running.

About Rs. 21 crores are essentially the separation of employees, and the remaining is shut down, for example, AWS costs. So, there are no further computational requirements and so on.

Achal Lohade:

You mean the employee -related charge in the employee cost item is just Rs. 21 crores ?

Sahil Barua:

Out of the Rs. 90 crores, out of the Rs. 90 crores for the previous quarter, and as discussed earlier, the additional Rs. 40 crores that is there will also again wash out over the next two quarters. And that is already factored into the Rs. 100 crore integration costs that we are expecting to have over the next two quarters.

Achal Lohade:

Yeah, fair point. And what about the Rs. 20 crore other EBITDA in the services, service EBITDA line item?

Sahil Barua:

That is related to our cross -border business. That is a commercial arrangement between us and FedEx. So, there is a change to the commercial structure of our arrangement with FedEx.

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Our five -year contract is due for renegotiation in the early part of next year, and we are sort of re-evaluating commercials. There are certain zones that Delhivery intends to service non - exclusively going forward with FedEx. And we also intend to launch o ur own product for economy cross -border shipping.

But this is a one -time charge, this Rs. 20 crore charge.

Achal Lohade:

Okay, understood. Just, you know, clarification. So, in the corporate overhead line item, Rs. 209 has become Rs. 235 crores, quarter on quarter, right?

Sahil Barua:

That is right.

Achal Lohade:

Is that a new normal? Does that include this Rs. 21 crore s or is it without including Rs. 21 crores?

Sahil Barua:

Some of this will also reduce. Of this overall increase of Rs. 26 crores , Rs. 2 crores are due to higher gratuity provisioning. About Rs. 2 crores are due to provisioning for end -of-year bonuses, which are part of the variable pay structure of the sales teams and operations teams in the company. That is as it is provisioned currently.

About Rs. 15 crores is an increase due to tech costs. This is between AWS and GCP. The AWS costs are because we provision servers in advance of the peak season in order to ensure reliability of the systems. And some of this is related to AI initiatives, wh ich are currently on within the company. So, of these, the AWS cost levels will certainly come down as we decommission excess capacity, for example, this will come down.

So, this is not the new normal. And overall, from a wage standpoint, which is the sticky part of this, the overall increment in wages through this period, I think, is only close to about Rs. 4.5 crores or so.

Achal Lohade:

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Understood, understood. And if you could give any update on th

e new business, what you are investing in, what kind of visibility you could offer for the next, say, three to four quarters, what kind of investments we are looking at or targets?

Sahil Barua:

So, the two businesses are Rapid Commerce and Delhivery Direct. I will sort of break them up separately. The Rapid Commerce business is essentially aimed at direct -to-consumer brands and e -commerce with sort of two -hour delivery timelines.

We are currently live with about 20 dark stores in three cities, which are Bangalore, Hyderabad, and Chennai. We have just launched our first dark store in Delhi NCR as well. And I think we will launch Mumbai by the time we reach quarter four.

So, we will be in five cities. As we have discussed previously, basis the current cost that this sort of form of Rapid Commerce entails we believe that this is about an Rs. 80 to 100 crore kind of niche capability that will get added on to the core business over the sort of more immediate term.

However, we do have, you know, we have been working on the network design and sort of from a technology and product standpoint, how to integrate this business better with the overall Delhivery network. And we do believe that over the next four or five months, we will be able to engineer a material reduction in the cost of delivery for sub -two-hour delivery, at which point the size of the market becomes interesting. As of now, it's an untested proposition.

The question is if a company has the ability to drop the cost of two -hour delivery to sort of sub -45 rupees, sub -50 rupees, the market suddenly opens up a lot more. So, that's the lens with which we are looking at it right now. I think it will be safer for me to provide a sort of more enduring estimate of the science and economics of this business, sort of at the end of the financial year.

But safe to say this will be an Rs. 80 to 100 crore business at the bare minimum. The economics of this business will change quite significantly depending on how our experiments with the network go over the next sort of four or five months. Investment levels in this business are not particularly large. As I mentioned, I think between the two businesses put together, our total investment levels are about Rs. 15 crores at this point in time.

On Delhivery Direct, we are currently live in three cities, which are Ahmedabad, Delhi NCR, and Bangalore. This is an on -demand inter -city service.

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We will be expanding to another five cities between now and the end of the financial year. So, this will obviously be some of the major cities that are missing. And then we'll also launch, I think, Jaipur and Surat sometime over the next four or five months.

Again, our focus right now is more on the three -wheeler and four -wheeler segment. Part of the reason is also that I think if you look at the two -wheeler segment specifically, there is a certain amount of ambiguity around the GST in this sector. And obviously, from our standpoint, our competitive advantages on three -wheeler and four -wheeler are fairly high.

So, again, this is early days. This business is right now at a run rate of about Rs. 25 -30 crores overall annually. It could be a very large business for us going forward . This is easily a Rs. 1,000-1,500 crore business in the next couple of years.

But once again, I think it's too early to comment. I think let's let the financial year play out. And then we'll be in a better position to sort of comment on this.

Dhruv Jain:

Thanks, Sachin. The next question is from Aditya Mongia. Aditya, please unmute your line and go ahead.

Aditya Mongia:

Thanks for the opportunity. The first question that I had was linked to the comments you made on Delhivery not now having to kind of share cost benefits with their customers. As the annual price resets happen in the month of Jan, Feb, March, n

ext calendar year, could we expect that kind of benefit to start flowing through into our margins?

Sahil Barua:

Probably, Aditya. It's too early because right now, I think we don't know what the shape of those negotiations will be exactly. And I'll explain why.

Because some of the negotiations that are ongoing with some of our bigger customers also involve a shift of heavier volumes, for example, into the Delhivery network. Because I think, you know, heavy volumes have grown, and this year, of course, the growth again has been pretty sharp. I think people are reevaluating, sort of doing this through their existing self logistics networks.

So, it will depend a little bit on that. But broadly speaking, you are right, which is that I think given the absence of irrational pricing from other competitors in this market, at the bare Delhivery Ltd.
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minimum, it's unlikely that we will see very significant reductions in pricing. If at all there will be, if there will be any, they will only be in response to an extremely high sort of gains in share of wallet with these customers, which then, of course, will still be margin accretive for us.

Aditya Mongia:

Noted. Sahil, the second question is on the self-logistics part of your thought process. Now, we've discussed Amazon, Flipkart, and their financials maybe in the past, but Valmo has become, let's say, 60% of Meesho's pie, which is a significant number.

Now, would you have done any kind of benchmarking of your cost structures across the first, middle, and last mile? And if so, any conclusion that you can draw as to how that part of the business for us can become more competitive, and thus we can gain market share? Specifically, on the last mile, is there a thought process emerging that it may be best for certain clients to focus on the mid-mile part of it, wherein the requirements of the last mile may be very different for those kinds of customers?

Sahil Barua:

Not really. I think on these sorts of stitched together networks, first of all, we have done the benchmarking of our first mile, mid-mile, and last mile costs broken up, and then bundled versus the cost of the stitched network. We are more efficient both at an unbundled level as well as at a bundled level compared to the pricing that we have seen in the market.

There are, of course, places where stitched together networks enforce sort of artificially low rates on partners, which then result, and you can, I think you can see this in publicly declared numbers that the growth of Valmo has come with a consequent increase in return rates as well. And logistics costs as a percentage of revenue have not reduced for Meesho as well. So, for an equivalent profile of goods, the costs of delivering via the Valmo network are not lower than delivering through Delhivery.

In fact, they are higher than Delhivery, and also when you adjust for loss and damages, our sense is that actually Delhivery is significantly more efficient. I think the other question also is, you know, and again, let me be clear, I think, you know, they have built Valmo, there's a certain amount that will continue to go through that network. But the reality is that I think the stability of the network has been tested during the peak period.

And we, you know, our service levels have held up. We also track our service levels, not just for individual clients, but we get service levels published at an industry level. And we have seen that through the months of September and October, aggregate service levels and speed for the Delhivery network were materially differentiated.
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And that obviously results in lower returns, which results in lower customer complaints overall, and so on. So, we do keep benchmarking. We do believe that we have material cost advantages.

There may be very, very spe

cific sorts of areas, of course, where somebody may be highly sort of, you know, localized and better than us in the last mile, it is always possible. But that difference usually Aditya will not be more than a rupee here and there. And it's just not material enough to sort of, you know, justify doing the last mile yourself and everything else through Delhivery.

I think, overall, what you will see is a consolidation towards Valmo plus, you know, sort of a high-quality player like Delhivery, and, you know, partitioning of the total Meesho volume between these two.

Dhruv Jain:

Thanks, Aditya. The next question is from Jainam Shah. Jainam, you may unmute your line and go ahead.

Jainam Shah:

Yeah, thanks for the opportunity. So, just one question, the announcement that we have made about the incorporation of a subsidiary in India related to the Delhivery Financial Services Private Limited. So, how are we thinking about this subsidiary over the next few years?

Is it going to be something big and we are probably competing against one of the leading listed players in this particular space or is it just a start point and we might think about it probably after a few years?

Sahil Barua:

So, obviously, our desire is for this to be large. I can share our thinking behind this. There are three distinct pieces that we intend to sort of power through this.

First up, of course, is the fact that we already have a large network of truckers who work with us as part of our express network, our PTL network in Line haul. They work with us as part of our supply chain services business as well and also as part of our FTL network. The objective will be to provide services to these truckers via the financial services arm.

This will include, for example, things like Fastag and Fuel. The second, of course, is we have a large number of partners who work with us and wish to grow their fleets with Delhivery. We Delhivery Ltd.

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will look for partners who can work with us and essentially enable our partners to expand their fleet through lending for commercial vehicles, for our partners to do both small commercial vehicles for sort of intracity distribution and short haul vehicles, but also long-haul vehicles as part of Delhivery's FTL and SCS network.

And the third, obviously, that we already offer to our customers is a form of assurance or protection essentially against loss and damage, delays and so on within the Delhivery network. So, that's sort of how it will come together under Delhivery Financial Services. The business plan is something that Mukul Sachan, who joined us recently, Mukul was the CEO of LendingKart, has come in and he's putting that together and we'll have more details to share in quarter four and towards the end of the financial year .

Jainam Shah:

Got it. Thank you so much.

Dhruv Jain:

Thanks, Jainam. The next question is from Krupashankar. Krupashankar, please unmute your line and go ahead, please.

Krupashankar:

Yeah, good evening and thank you for the opportunity. The first question was on the PTL side. While we have seen that the underlying industry growth has been between about 10 to 12 percent and we have been consistently outperforming the industry and become more or less the

second largest player.

At what stage do you believe that our growth will be similar to the underlying sector, and do you see that there is a logical consolidation which will happen in this sector over the next few years? I'm specifically talking about the express part truck load sector. Do you see a chance of consolidation over there?

Sahil Barua:

Sure. Actually, Varun is on this call. I'll ask Varun to weigh in. Varun, go ahead.

Varun Bakshi:

So, on the first question, basically at what stage do we think our growth will be in line with let's say the growth in the economy or let's say other part

icipants in the industry? I think how

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PTL is different versus let's say express business is probably we have extremely low market share at this point in time versus the organized market as a whole. And then there is a big unorganized market where there is a lot of share with the local players, which is basically getting more and more formalized with every passing month.

So, I think that stage is far. What also gives us another lever versus competitors, which may be older than us in terms of the time they have been doing PTL, is our presence versus them relatively is geographically constrained still, although we have worked on that a lot over the last couple of years. And that's why you see the growth that's transforming. So, as we do more and more, we go to deeper parts of the country, we generate more loads. Practically in some areas, we probably still have zero market share. So, these two things coupled, I think there is at least this is not something over which we lose sleep right now.

That is one. What was the second question? Sorry.

So, consolidation. Again, on consolidation opportunities, we do get to see various assets at various points in time. But to be very honest, we are yet to see something which we think will really, really benefit us in the longer run.

Anyways, I think on this point, Sahil might want to add something.

Sahil Barua:

Yeah. So, very briefly on consolidation, I think choosing what to buy in this space is very, very important. There are assets which have been available in this space.

In fact, I believe there is one which is currently sort of being looked at by various players. We are not part of that. But the reason is because, you know, as an example, it's easy to build, let's call it a Rs. 300-400 crore PTL business, which is doing volumetric cargo and losing money.

Now, Delhivery is not particularly interested in buying those kinds of assets. There's sort of no price at which that asset makes sense for us. Because I think buying a sort of forward moving PTL network with volumetric assets is the easy part.

Making money is very hard. And if we can't, then we're pretty certain that nobody else can. So, that's number one.

And I think number two, the reality is the more our scale relative to other players in the space increases, the less the relative value for us to go out and pay a very high multiple to buy, you know, another player. So, at least from our standpoint, I don't think that's the shape and form

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that consolidation in this industry will take. I think more likely over a period of time, these other players who are not investing in building capacity will remain flat.

They will continue to have the ability to sort of make money but not capture growth and our relative growth will be significantly larger.

Krupashankar:

Got it. One more question from my side was, there are two other subsidiaries that have come up in the UK and UAE. Is it related to the FedEx point you were mentioning earlier?

Sahil Barua:

Yes, very narrowly. These will essentially just be outposts for Delhivery in both of these markets. I think with the UK, India FTA, this is an interesting market from a cross-border express standpoint.

This is, you know, we're very excited about the economy product that we're going to launch now. We were not able to launch this while we had an exclusive partnership with FedEx, but now we can. And the one that is planned in Dubai is fundamentally because we essentially intend to use multiple carriers for our mid-mile.

We use Air India today. We also intend to use Emirates. And so, the advantage is that we have the ability to consolidate and deconsolidate cargo in Dubai.

Dhruv Jain:

Thanks, Krupashankar. The next question is from Koundinya Nimmagadda. Please go ahead.

K

oundinya Nimmagadda:

Yeah. Hi sir. Thanks for the opportunity.

A couple of questions. One on express parcel and then on the second one is on the financial arm, which is incorporated. So first, let me just get a second one first.

So, the financial arm, which is incorporated, is it going to be something very similar to what BlackBuck does, where you become an aggregator? Or are you also going to have some skin in that game? I mean, are you just going to be an aggregator for financial institutions or are you also going to take some lending on your books?

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If you can provide some clarity on that front, please.

Sahil Barua:

I think too early to say and, you know, I think BlackBuck has built a great business when it comes to doing fast tag and fuel and so on. So that is something that we intend to provide as a value-added service to trucking partners in the Delhivery freight exchange and within the Delhivery network. Commercial vehicle lending, I think they also have a pretty small book at this stage.

And our approach is actually more geared towards small and mid-sized commercial vehicle lending at this point, because that is where we feel that our ability to underwrite demand obviously is significantly better. These vehicles, you know, vendors plying with us give us a very, very significant competitive advantage, both in terms of capacity and in terms of cost. So, the intention from our standpoint obviously will be to bring in partners who are interested in funding, you know, fleet owners.

So, it's still early, I think, too early to comment on exact details, but our approach will be, you know, somewhat dissimilar from BlackBuck overall.

Koundinya Nimmagadda:

Okay, just to get that understanding on the last part correct, you're not going to take the risk of financial risk on your books, it's not, you'll just be an arranger collecting service fees, is that a fair understanding?

Sahil Barua:

Yes, more likely than not, that is correct.

Koundinya Nimmagadda:

Okay, then, moving on to the other question on express parcel. So just trying to understand this aspect, I mean, Ecom Express, in your estimate, what would their volumes be in the base quarter, that's 2QFY25 last year?

Sahil Barua:

I don't have the data offhand immediately, but broadly, from what I remember, Ecom Express must have been doing about 85 to 90 million orders a quarter in steady state.

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Koundinya Nimmagadda:

I mean, last year, it was a bit higher. So, at 50%. So, is it fair to understand?

Sahil Barua:

You have to correct for the fact that there's a reporting difference between Delhivery and Ecom Express in terms of the RTO rates. So, you have to adjust the volumes by about, I think, 14% or 16% or thereabouts. The forward volumes how Delhivery recognizes it would have been about 90 million orders for the quarter.

Q2FY25 may have been a peak quarter, so it may have been slightly higher.

Koundinya Nimmagadda:

Yeah, so 90 million per quarter, and the retention rate broadly is around 60%. Is that fair understanding?

Sahil Barua:

What's your question?

Koundinya Nimmagadda:

So, the question is, I'm trying to figure out the organic growth in this quarter, because it appears that at 55-60 odd million parcels that Ecom has done at 50% retention rate, the organic growth is only 4-5%. So just trying to understand that math part correctly.

Sahil Barua:

Broadly speaking, the organic growth in Delhivery volumes, if I look at, let's look at it slightly differently, because you have to exclude the likes of our Meesho growth and so on. When you exclude that, our direct-to-consumer and SME volumes, as an example, have grown 40% YoY. Now with the marketplaces, obviously the growth rates are significantly different.

Our volume

s of the marketplaces have also grown pretty significantly. So, our organic growth rate, it's very difficult to sort of comment exactly what it would have been. It would have been north of 15% for sure.

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And that would mean that our overall, as far as I can make out, our overall volume retention from Ecom Express would have been north of 45 -50%.

Koundinya Nimmagadda:

Sahil, I mean, that's where the problem is. Somehow the math is not adding up. So that's the reason I was trying to understand the basis for it before I asked the question.

Because north of 15% organic growth plus then a 50% retention rate, the volume should have been 270 odd number.

Sahil Barua:

No, that's not correct. We did 185 million odd consignments or 180 million on which if you add about 15%, you get to about 207. We've added close to about 36 million consignments after that on a base of about 85 -90, which will be about 40%.

You can take this up with Vivek and team after this and they can give you details.

Vivek Pabari:

Sure. Koundinya we can speak in detail on this.

Koundinya Nimmagadda :

Sure, sure. Thank you.

Dhruv Jain:

Thanks. Sahil, I'll just use this opportunity to ask you one clarification. So, you know, you've been talking about a 16 to 18% service EBITDA margin for the PTL business in the next 24 months.

Just want to understand, is that predicated on the 20% growth assumption or the growth guidance that you've been talking about in that business? Or, you know, even if the growth is slightly lower, do you believe that you'll be able to hit that number?

Sahil Barua:

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We will be able to hit those numbers even if the growth is slightly lower. We have a number of other sort of margin improvement measures that are underway in any case. As you can see, we've been consistently improving yield in this business as well.

So, we expect that those yield improvements will continue. Overall, the second is capacity utilization across the network is anyway going up. And the third is that a lot of our BD is also focused on improving the directionality, which is another way of saying increasing utilization of the overall network.

So, irrespective, you know, let me put it this way. We are not predicating reaching the 16 to 18% margins in the PTL business only on the 20% growth.

Dhruv Jain:

Sure, that helps. Thanks a lot, Sahil. I'll leave the floor to you for any closing remarks.

Sahil Barua:

No, thank you to the Ambit team, first of all, for hosting us. And thank you to all of you who joined on this Wednesday evening and participated in the analyst call. As discussed, I think we're pretty satisfied with overall performance in Q2, fairly significant growth, especially in the Express business, and improvement in overall revenue in the PTL business, both with 11%

growth in volume and 3% growth in yield.

Also, very happy with the improved profitability of the supply chain services business. Most importantly, I think the integration of Ecom Express, particularly, has been smoother than even we originally expected. I know there were questions and doubts after the SpotOn integration, but I think this time around, it's been a very smooth experience overall.

We expect that compared to the Rs. 300 core envelope that we had originally thought, we will be significantly below that. So set up very well for Q3 and Q4. And look forward to speaking to all of you in three months.

Thank you.

Dhruv Jain:

Thanks, Sahil. All of you may now log off.

Disclaimer: This transcript has been edited to remove any grammatical inaccuracies or other inconsistencies that might have occurred inadvertently while speaking.

Call: Feb 2026

Date: February 05, 2026
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
India

Scrip Code: 543529 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
India

Symbol: DELHIVERY

Sub: Transcript of Earnings Conference Call pertaining to the Unaudited Financial Results for the quarter and nine months ended December 31 , 2025

Dear Sir,

This is in continuation to our earlier letter dated January 31 , 2026, regarding audio recording of the Earnings Conference Call held on January 31 , 2026, at 06:00 P.M. (IST) on the performance of the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended December 31 , 2025.

Please find attached herewith the transcript of the above Earnings Conference Call.

The above disclosure is also being uploaded on the website of the Company at www.delhivery.com

You are requested to take the same on your record.

Thank you.

Yours sincerely,

For Delhivery Limited

Madhulika Rawat
Company Secretary & Compliance Officer
Membership No: F 8765

Encl: As above

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January 31, 2026

Delhivery Limited - Q3FY26 Earnings Conference Call
January 31, 2026

Management: MR. SAHIL BARUA, MD & CHIEF EXECUTIVE OFFICER
MR. VIVEK PABARI, CHIEF FINANCIAL OFFICER
MS. VANI VENKATESH, CHIEF BUSINESS OFFICER
MR. VARUN BAKSHI, HEAD - PART TRUCKLOAD
MR. NAVNEET KUMAR, HEAD – SUPPLY CHAIN SERVICES

Moderator: YASH JAIN, AMBIT CAPITAL

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January 31, 2026

Yash Jain

Hi, good evening everyone. Welcome to the Q3FY26 earnings call of Delhivery Limited hosted by Ambit Capital. Before we start, Delhivery would like to point out that some of the statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

To discuss the results, I am pleased to welcome Mr. Sahil Barua, MD and Chief Executive Officer, Mr. Vivek Pabari, Chief Financial Officer, Ms. Vani Venkatesh, Chief Business Officer, Mr. Varun Bakshi, SVP and Head of Part Truck Load, Mr. Navneet Kumar, SVP and Head of Supply Chain Solutions, Mr. Naman Jain, Head Investor Relations and Corporate Development. As a reminder, all participant lines will be in listen-only mode and participants can use the raise hand feature to ask any questions post the opening remarks. Now, I invite Mr. Sahil Barua to take us through the key highlights of the quarter post which we will open up for Q&A. Thank you and over to you, Sahil.

Sahil Barua

Thank you, Yash. Thank you, Ambit, for hosting us this evening. Welcome to all of you and thank you for joining us on a Saturday evening.

Before we begin, as you are aware, we have been in the process of reconstituting our Board of Directors for the last year and I would like to place on record on behalf of Delhivery's Management Team, Board and shareholders, our deepest gratitude to Mr. Deepak Kapoor and Mr. Saugata Gupta, who will be stepping away from their roles on the Board of Delhivery. Deepak joined us as Chairman of our Board in 2018 and has been on the Delhivery Board for 8 years and his contribution through these 8 years has been instrumental towards shaping our governance, setting in place internal financial controls and also taking the company public. And Saugata's experience with running a public company has been instrumental to building Delhivery from a startup to an institution, which is where we are today.

So, thank you to both of them. Moving on to Quarter 3, I will start with a quick summary and then hand it over to my colleague, Vani. Quarter 3 has been an excellent quarter overall.

The quick summary of it is that we saw record volumes across our transportati

on businesses and

significant improvements in profitability. Overall revenue from services grew 18% YoY to nearly 2,800 crores. Quarter 3 profits, which Vani will talk about in more detail, came in at nearly as much as we did in the entire FY25.

And I'm very pleased to note that in the 9 months of FY26 so far, we've reached a milestone of crossing over 1,000 crores in service EBITDA profits. So, Vani will begin with the presentation and then once we're done, I'll come back and take questions. Vani, over to you.

Vani Venkatesh

Thank you, Sahil. Thank you, Yash. I appreciate all of you joining us on a Saturday evening.

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I'll start off with the highlights in Q3. Overall, it's been a very satisfying, strong quarter. All around profitable growth.

If you look at the business highlights, it's been a record festive season with about 295 million express parcel shipments. Driven by strong share-of-wallet gains across clients. PTL has also crossed 500k metric tons, another record. Consistent sales efforts and service levels have been seamless this time. So, that's been fantastic for PTL.

SCS, we've got some key contract wins in SCS. SCS, as you know, is a long sales cycle and we are seeing traction on that now. We are very happy about it. We are starting off with one of India's largest engineering companies and a flagship luxury home and lifestyle brand in SCS.

So, overall, all our core businesses are doing very, very well. Coming to margins, again, all around improvement. As Sahil just mentioned, it culminated in a 1,000 crore Service EBITDA. It's a first ever for us.

The Adjusted EBITDA came in at about 147 crores. It's been a very efficient quarter. We've clogged in this much EBITDA all of last year. And in this quarter alone, we've gotten about 147 crores. PAT profitability is at 110 crores before Ecom integration costs. And even after the integration costs, it's about 40 crores. So, overall, our focus on margin and the improvement initiatives have started to yield very good results for us.

On new launches, we are very much on track. Delhivery Direct, we've extended our on-demand intra-city service to two new cities, Mumbai and Hyderabad. And we've launched an air economy product, which our SME customers can benefit from, which is Delhivery International. So, some of our growth engines are also starting to give benefits.

Tech, data and engineering side, we've scaled our SaaS footprint with TransportOne. We've launched Freight Index One, which is an industry first for us. And we've successfully completed our first field mission with autonomous VTOL drones. We performed a 12-kilometer test medical

Delhivery in UP in about 12 minutes.

So, all in all, great top line. We are very happy with the margins. New launches are on track. Tech data product firing well.

If you come down one page. Translating all of this to numbers, volumes, both the transportation businesses, which are Express and PTL, have clocked their highest ever. So, 295 million Express parcel shipments and 507k metric tons of PTL, both are their highest ever. Express is a who pping 43% almost YoY growth. PTL is also a handsome 23% YoY growth. So, both of these have really fired in volumes. All of this translates to 2,798 crores revenue for us.

And this is about 18% higher than the same time last year. It's about 10% of sequential growth.

And this growth has come in with significant margin expansion. So, we are happy about the profitable growth.

Service EBITDA is at about 421 crores. EBITDA has come in at 233 crores. That's about 8.4%.

That's more than 2x of what we got in the same quarter last year. PAT is at 110 crores or 3.8%.

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Again, more than 4x of what we got in the same quarter last year. So, all the numbers that you look on the left -hand side, the Q3 numbers, all of this are

the highest ever. So, both in terms of volumes,

revenue, margin, it's been a very, very good quarter for us. If you look to the right side, as we add all of these numbers and the first half results, it comes to 748 million express parcel shipments in 9 months to date. And about 1,442,000 metric tons of PTL freight. All of this is adding to more than 7,600 crores of service revenue. And the highest ever Service EBITDA we've seen of 1,053 crores and a PAT of about 260 crores. So, again, a good quarter and culminating into a good 9 months.

Moving to the operational metrics, here's a quick snapshot of the operational metrics. From a coverage point of view, we continue to cover the length and breadth of India's 18,838 pincodes. We serve the world through our existing partnerships as also our new air economy product that we are launching. We have more than 51,000 customers. We've crossed the 50,000 mark here. All of whom we serve through our 21.9 million square feet of infrastructure. Our 123 hubs and gateways that keep ticking around the clock to keep our shipments moving. 49 automated sort centers and 74 sorters.

We serve our freight business through our 140 freight service centers. We have 163 processing centers now. And we've been serving our express business through 4,730 centers between our own and partner -led centers.

Again, all of this massive operation runs with our 71,000 strong team with 67,000 partner agents and 21,000 strong fleet. So that's on the operations metrics.

Just double -clicking onto the revenue and the performance by business line, we start with Express.

So overall revenue from services is about 2,798 crores. That's 18% YoY growth and a 10% sequential quarter growth. Two -thirds of this is from express as you can see. And that's about 1,839 crores of revenue from Express. It's been a very good quarter, 24% YoY growth and 14% sequential revenue growth on Express. In volume terms, that translates to a 43% YoY volume growth and a 20% sequential quarter growth.

The great part of Express is while October's been the festive peak, we've actually sustained the high volumes well beyond. So November and December have also been very good months for us.

And all segments have fired.

So D2C, SME, the channel partners across the board, all segments have fired extremely well. And they've fired in a very profitable way. So Express seems to be going good and is very, very well set for the coming quarters.

Coming to PTL, again, 21% of revenue from PTL. Revenue growth is at 25% YoY. Volume growth is at 23% YoY.

So revenue growth surpasses volume growth, which is indicative of the continued yield improvement efforts of the team. The PTL team has also invested in the salesforce and continues to invest in sales personnel to reach cities that we were not directly reaching earlier. So in the last

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quarter, as well as in the upcoming quarter, we see a fair amount of potential in terms of continuing the growth trajectory and the profitable growth trajectory on PTL.

I'll move to supply chain services next. Revenue has been maintained at 171 crores in supply chain services. As we had shared last time, related to last year, we took an informed call to exit some of the unprofitable portfolios here. So, we exited a mother warehouse for quick commerce. There was some seasonality in electronics and durables and so on. But as we enter this quarter, the good news is that with all the profit actions in place, we now have new mandates as well that we are starting

to implement this quarter. And we have a very healthy pipeline to convert. So SCS business also is looking good. Margins are set and we have a healthy pipeline and a clear plan of action to get the top line firing as well, just like the other businesses in the past.

Coming to cross-border services revenue, we clocked in about 33 crores of cross-border services revenue.

On the profitability side, I'll call your attention to the highlighted box. Total service EBITDA is at about 421 crores, which translates to about 15.1%. In transportation, we've maintained that we want to get to a 16% to 18% goal. You'll see that in Express, we've gotten to 18.1%. And in PTL, we've expanded our margins to about 11%. So all in all, the transport margin overall crossed the 16% mark, at about 16.4%. This is a good 3.6% over the same time last year. Again, if you look at SCS, it's been a massive improvement. Same time last year was 2.1% and we've moved it to about 13% now. So a bunch of disciplined measures, foundation very well set to scale now. When we pull all of this together, it's a 1,000 crore service EBITDA for the first time.

Express is comfortably at the range of 16% to 18%. PTL is in good double digits and diligently marching to the 16+% goal that we spoke about. Overall corporate overheads came in at about 9.1% and we invested 20 crores in our new businesses. Notably Delhi, Hyderabad for our intra-city services and expansion of rapid stores. And all of this led to an Adjusted EBITDA of about 147 crores this quarter. As I mentioned earlier, this is almost the same amount as all of last year in just this quarter.

And PAT comes in at about 110 crores. So all in all, it's been a very, very profitable growth quarter. If we move down one page.

In summary, we've prudently focused on profitable growth. PAT and PAT expansion speak the story. If you look at the trend for the last three years from about negative 3%, negative 2.9% two years back, we've moved to 1.7% and now in the nine months ending, we are at about 3.3%.

All in all, it's been a quarter of several firsts for us. We are very satisfied with the volumes, with the revenue, with the margins on transportation. Well set for profitable growth in SCS. We are very well geared for the future, both in terms of the plans that we have on salesforce expansion and the other investments to grow both the core businesses as well as new businesses.

We've been disciplined in investments in new businesses and comfortable on working capital and cash reserves. So, with this, we are looking forward to growing on this momentum and taking this forward. So, this is a brief overview we wanted to share before opening it up for any questions.

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Sahil, if you would like to round up, you could.

Sahil Barua

Yeah. So thanks, Vani. So as summarized, everyone, I think a very satisfactory quarter overall. I think ahead of even our expectations to some extent. Largely driven by sort of extremely high quality service throughout this period. You know, as you've seen in quarters in the past, in the peak period, sometimes when the express volumes and the heavy volumes are significantly higher, we have previously tended to have, you know, somewhat shaky service levels on the truckload freight side.

So a lot of work has gone in from a technology and product standpoint, which we've spoken about in the shareholder letter as well. Sort of revamping our systems, bringing in more automation. And a lot of this is really cutting edge technology for logistics globally and certainly in India. And I think what you're seeing is really the results of that.

The second, you know, I've been speaking about on multiple analyst calls, of course, is also the expansion of our sales teams to new geographies. And I think what we're seeing in terms of growth in PTL specifically is also, you know, sort of early signs of that strategy paying off.

And the sales team is still being built up. And I think we'll sort of be, you know, fully built out by the time we're hitting quarter one of the next FY. So, you know, a very exciting quarter, great base for quarter four.

Bear in mind, quarter four is the high watermark quarter usually for PTL. So it's another busy quarter for us. And

, you know, it's an excellent base for Fiscal 27.

So, you know, very proud of our results, very proud of the team. And, you know, happy to take questions.

Yash Jain

Sahil, we'll open the session for Q&A. Anyone who wishes to ask a question can raise their hand.

The first question is from the line of Sachin. Sachin, if you could just also speak about your organization name. Thanks.

Sachin Salgaonkar

Can you hear me?

Sahil Barua
Yeah, Sachin, go ahead.
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Hi, this is Sachin Salgaonkar from Bank of America. Sahil and team, congrats on a great set of numbers. I have three questions.

The first question is on your margins for Express parcel. Clearly, it's already at 18%. And, you know, your outlook suggests volumes are expected to increase.

There's a lot of investment going into technology. And I understand the total transport margin guidance of 16% to 18%. But specifically from an express point of view, any color you could go in terms of how high this margin could go from a steady state point of view.

And let me know if I should say the other two questions.

Sahil Barua

Why don't you go ahead with all three and then I'll answer them together.

Sachin Salgaonkar

Got it. The second question is on the pricing power in the Express industry. Clearly, Express consolidation is done.

We do understand some of the smaller players appear to be struggling in the market. So do want to understand, you know, where we are from a pricing point of view. And should we continue to see a yield increase in the market going ahead?

And a related question is also the outlook for 2026. Yesterday, an e-commerce entity in their call did mention that their outsourcing mix is changing. Clearly, you guys are one of the bigger beneficiaries of it.

So, I would love to understand, you know, how that adds into the industry outlook for 3PL industry and specifically for your market share going ahead. And the last question is, how long should we see investments into new services like rapid commerce? And any number you could give in terms of the kind of investments you guys are looking to make out here?

Thank you.

Sahil Barua

Thanks, Sachin. Let me try and get to all of them one by one. In terms of margins for the Express business, I think we're at about 18.1% for Q3. Now, this has come without actually any increases in any significant or meaningful increases in yield. So a lot of this has just come from as volumes have gone up, you know, sort of higher utilization of the network. I know somebody on this call will eventually ask me what the utilization of the network is.

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And I'll just pre-empt that by saying that I couldn't put an exact number to it. But it is overall higher utilization, higher productivity across all facilities, you know, higher haulage on the trucks, which has expanded margins. And the second thing, of course, is a lot of cost discipline from our operations teams, which have been driven by a lot of the improvements we've made on the technology side.

To give you one example of how technology makes a difference. You know, one of the features that one of our senior product leaders had released earlier before we hit quarter three was something that seems quite innocuous. It's as simple as sort of figuring out how to auto dock, you know, trucks at all of our facilities. It's a complex mathematical problem, but the impact it has is, you know, something like 20 minutes to 30 minutes per truck that shows up. But when you're transacting, you know, thousands of trucks across the entire network, you're saving several man hours of time. And a lot of this has sort of translated into real savings on the ground.

So how far can margins expand? You know, I've said this before. The network has stably operated up to, you know, 22-23% margin

as well in the past.

Beyond that, of course, we can expand margins, but that usually comes at the cost of some service quality in some locations. So I don't see any reason as long as pricing remains where it is for us to not be able to raise margins.

Now, that brings me to the second question that you asked, which was around pricing power in Express. You know, I have stated this before. Pricing power comes from two different sorts - there are two different streams of thought here. One is the ability to take pricing up.

The second is the ability to make money at a price where no other competitors can make money at all. And we believe that it's the second pricing power that is more important than the first, especially in industries which are commodity industries, which we are. Logistics is a commodity

industry, you know, unlike, you know, where you choose which phone you want to buy. I don't really want any of our clients to sort of think about differentiated logistics. They need to move things from point A to point B. They need the highest reliability. They need the widest reach. They need the fastest speed and they need the lowest cost. And this is one of the few industries in the world where it is possible to deliver all of these.

So we are the pricing pressure in this market and we will continue to maintain pricing pressure on competition in this market, as we've said in the past. You know, we will retain yields where they are. Specific yield mix in any given quarter, of course, is dependent on the weights that we haul and the distances that we haul.

Typically, in the peak period, prior to the Ecom Express acquisition, we would haul a larger proportion of heavy weights through the network during the festive period. This year, obviously, because of the consolidation, we've hauled a larger proportion of smaller parcels, which is why our yield may optically look a little compressed compared to where it's been. But there's no fundamental difference in pricing.

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As we've mentioned before, our competitors do not make money at this price. You know, all of our competitors, there are two ways to look at this. One, of course, is that we acquired Ecom. The other private and public competitors in this space have no incremental margins. And that itself, I think, is testament to the comparative position that we've established. So, from a pricing standpoint, I think Delhivery will continue to maintain, you know, a strategic course as we have. Will you see deep cuts in yield? No, not necessarily. One of the areas that we're, of course, working on, and it is a complex problem again, is thinking about dynamic pricing or yield indexed pricing. When we have the ability to do, sorry, when we do utilization indexed pricing, we have the ability to provide discounts to customers on very specific lanes while actually improving profitability of Delhivery. And that is going to be one of the major areas that we will pick up. So it could be utilization based on route.

It could be utilization based on time. It could be utilization based on weight or client category. This is a hugely complex technical problem, of course, but one that we fully anticipate we will be able to solve over the next couple of quarters.

In terms of outlook for 2026, I think, yes, you're right. I think, you know, it's good to see that e-commerce companies have gone public in India. I think what that does is it sort of brings a certain transparency to, you know, strategic choices.

As we mentioned in the past, Delhivery's cost structure is not achievable by standalone parcel networks. And so we are not just likely to be the largest beneficiary whenever there is a sort of cost pressure. We are, in fact, the only beneficiary because, as you've seen in the past, volumes from large e-commerce marketplaces when outsourced to third party players who are parcel only

players actually don't improve their profitability meaningfully at all.

In fact, in the case of Ecom Express, prior to our acquisition, the more volumes they did, the more money they burned. And, you know, that continues to be the case for several private players already. And incremental margins are really what you need to look at in logistics.

So, I think our outlook remains as confident as it was. You know, we've always said that our cost structure is what gives us the unique advantage. Our model is what gives us the unique advantage. It's perhaps taken three years for that to really sort of for the penny to drop and for people to be able to see those numbers in action. But that's effectively what you're seeing. And so as long as cost pressures continue, you know, I'm fairly confident that we will continue to gain share.

As you can see, our margins remain unaffected by these cost pressures. And do bear in mind that this is in the face of inflating costs. You know, labor costs inflate fairly reliably, real estate costs inflate fairly reliably.

And despite that, Delhivery's margins have actually been increasing, whereas you can't see the same for either captive players of any form. It doesn't matter what model they use or, you know, third-party standalone players.

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Your last question in terms of how long will investments in rapid commerce and other areas continue?

It's quite interesting, actually, rapid commerce. You know, at the start when we did the planning, you know, I came on a call and I said, look, I think this is probably a 100crore kind of opportunity for Delhivery and it's a good capability for us to have. Now, what's interesting is the B2B opportunity in rapid commerce actually also turns out to be quite significant.

It's a pleasant surprise. And so, you know, the build-out, while we haven't accelerated the build -

out of our dark store or dark fulfillment network yet, you know, I think you'll see some expansion over quarter one and quarter two of the next fiscal. But the important thing to note and what we track internally is we look at the gross margins of this business.

In quarter three, which was the previous quarter, actually, this business was also a gross margin positive business. So, again, like all of our other businesses, you know, and the kinds of businesses we like running, these are utilization indexed businesses. And so as our volumes grow, once again, this business sort of just accretes cash to the Delhivery bottom line.

So some of the investments in rapid commerce, for example, will depend on how fast our business development scales up. It's a team that was quite small until we began Q3, but now we have more aggressive designs on the space. And what we're also doing, again, a fairly complicated technical challenge, is really figuring out how to merge our non-express and express networks, in the sense of non-rapid and rapid networks. I'm sorry. And when we have the ability to do that, we have the ability to sort of have this fuzzy serviceability, which allows us to improve the profitability of rapid commerce by moving regular orders through the rapid network and taking advantage of the underutilization of the rapid network. So you will sort of start seeing that also play out by, let's call it Q1 of next FY.

So at least as far as rapid goes, I think, you know, the investments are neither very large nor will they, you know, continue for a very long period of time. It's a business that accretes money. It's the same clients. It's a faster service and it'll get integrated with a larger network over time. Delhivery Direct is an area, of course, where we continue to invest in the intricacy on demand space. When looked at as a combination of intercity and intracity, of course, this business makes money.

But on the intricacy on demand space, we continue to invest. My sense is t

hat at this stage, our

annual investments will be in the range of 60, 70 crores a year or so. But that really depends on what our expansion plan is going to be.

So far, we are in Delhi and Ahmedabad and in Bangalore, where we've launched and we've recently launched Hyderabad and Mumbai as well. So, our plan is to obviously expand this. You know, one is obviously for our own users internally, but also for external SME customers and then to integrate this with Delhivery One.

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So I think that will take us at least the next FY in terms of our other businesses. Just to be clear, Delhivery International is a profitable business from the get go. So, there's no investment required in that business. It's an add-on service to the express service we already provided through FedEx and Aramex.

So net net in terms of new businesses, I think it's safe to assume somewhere in our sort of 60 to 80 crore kind of range that we will invest next fiscal.

Sachin Salgaonkar

Thanks for the detailed answers, just one follow up. This is on express margins where you did mention a 24 -25% was the peak margin in the past. But this was before we saw acquisition of Ecom Express. Now, even the volumes are incrementally increasing. So should we see the crossing of that peak at some point and room to increase beyond 24 -25% as well?

Sahil Barua

See, as long as we can continue to drive up utilization, what you're saying is, of course, accurate. And when I said that 24 -25% is where I have seen the network stably perform, you know, that's the important indicator. Just to be clear, you know, in 15 years, I've seen the network also perform at 30% plus EBITDA margins at various points.

But those have usually come at the cost of some instability in service level somewhere. You know, a rapid surge of utilization in some part of the network may be profitable in the short term. We might make, you know, a quarter of very heavy profits out of it.

But usually, in my experience, we've ended up paying, you know, a service cost as a result. Given the fact that our network is much larger than it was in those days, our operational capabilities are significantly more sophisticated. You know, and the competitive environment, of course, is increasingly becoming more benign.

It's a very difficult question for me to answer. Could the network operate stably at sort of margins above that range? Yes, it could actually.

But at what point exactly will service taxes sort of, you know, come in? It's hard to predict because it depends on where the volume comes in specifically and how demand shifts around. So, I'd suggest let's just play it by the ear.

Can the network perform at 22%, 23%, 24% margins? Absolutely. We don't intend to drop the price.

Utilization should go up. Dynamic pricing may bring our yields down optically, but our profitability will remain intact. You know, outside of that, you know, can we go beyond that?

I think let's see. We're already, as Express networks go, you know, are a fairly profitable Express Network. So maybe we'll see a couple of quarters down the line.
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Sachin Salgaonkar
Thanks, Sahil and all the best.

Sahil Barua

Thank you.

Yash Jain

Thanks, Sachin. I'll again request participants to limit their questions to two. And in case of any follow-ups, please rejoin the queue.

The next question is from the line of Sachin Dixit. Sachin, please, could you also mention the organization name?

Sahil Barua

Hey, Sachin, if you're speaking, we can't hear you. I think you're on mute.

Sachin Dixit

Yeah, I think you should be able to hear me.

Sahil Barua

Yeah, we can, we can. Sachin, you'll have to unmute yourself again.

Sachin Dixit

Oh, I hope you can hear me again.

Sahil Barua

Yes, now I can.

Sachin Dixit

Yeah, sure. So my first question is on basically so

me of the sustainability of numbers delivered this quarter, right? So because one of the largest customers did allude that they had some issues with their own captive logistics arm and they expect recovery there. So do you see some of the retracing of the outperformance we saw this quarter? I mean, obviously, we expected good numbers, but some extra outperformance you would have seen, could we see is recovering some retracing of that happening?

Sahil Barua

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Do you have more questions? You want to ask all of them first?

Sachin Dixit

Sure, sure. My second question is on the Ecom integration side, right? Obviously, we did highlight 300 crore of potential cost on that side.

Looks like now we are going to wind up at roughly half of that number. If you can also highlight where all were you positively surprised in terms of seeing the lower integration cost? The third question is on supply chain services.

Now, this business, we have seen you onboarding clients. Some of them are marquee clients as well. But if you look at growth for this business, it's mostly flat, even if you look at Q3FY26 numbers.

So do we finally see that the bottoming out has happened and we have a sustainable path to growth in this business? I do understand a bit the margins have been improved. But on the top line side as well, if you can give some strength to whether the sustainability is there.

Sahil Barua

Absolutely. Great questions. Let me start with the sustainability of numbers of this quarter.

Look, I have said this many, many, many times over the years. Our margins are sustainable. They do not depend on variations in volume.

You can go back from the day that we went public to today. We have maintained that express margins will remain in the 16-18% range. We've been at the lower ends of that range when we were doing 57 million packages a month.

We are at the upper end of that range or beyond it a little bit when we are doing nearly 100 million shipments a month. And yields, of course, over a three year period have compressed a little bit. So

I think what we are always concerned about, and this is linked also to the third question on SCS.

And my primary focus has always been, and we have stated this, has been that we have to generate profits. At the end of the day, discounting led growth in logistics or low cost growth in logistics is suicidal, as you've seen by the industry getting consolidated towards us and by other players struggling in terms of whether it's incremental margins or being able to raise capital. So I think that's the more important question around sustainability, if you ask me.

Now, let's come to the matter of growth. As I mentioned in the past, Delhivery's advantage is in its cost structure and its model. It is not in a tactical decision to price lower for any given quarter. Now, individual companies may change their outsourcing strategies in any given quarter. Sometimes they do more, sometimes they do less. But if you look at the long arc of time, you know, and here I mean long arc as even maybe three years, you know, we've had captives declaring publicly that they are profitable only to post 2,000 crore losses when they file their results.

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So there's no truth to any of this. And so the question is merely how long will people continue to sustain losses in the logistics entities? You know, and I don't believe that there's an infinite lifetime for that.

The good news is for us, there is an infinite lifetime for a profitable logistics company, which we are. And so I'm not very worried about things from a sustainability standpoint. The other question worth asking actually is not to Delhivery, but to the e-commerce companies themselves, right? Which is if your own logistics fail to perform at the time when you needed it the most, why do you run it? You know

, you might as well work with third party partners who've been stable. So I actually think Delhivery's responsibility is to provide a large stable base for e-commerce companies of all shapes and sizes to ship reliably, pan India at the lowest possible cost, the highest possible speed.

Now, outside of that, if they should choose to run experiments on their own in specific geographies or for specific kinds of products, you know, that's up to them. But our advantage is our cost structure. Is our margin structure sustainable? 100%. And it doesn't depend on any individual changes made by anybody.

The other thing to remember is that compared to everybody else in this industry, we have an extraordinarily low client concentration of any kind. Most logistics companies in India will have, you know, sort of a 60-70% concentration towards a single customer. We, first of all, by virtue of not having just an Express business, are hugely protected.

And within our Express business, actually, we have a very sort of spread out set of volumes. And so our ability to grow, our ability to perform as a business is not dependent on any customer's individual strategy.

Now, coming to the second question on Ecom Express integration, you know, you asked me a question, where are we positively surprised?

You know, I'd have to say when you estimated 300 crores and are likely to end up at 150, you've been positively surprised all along the way. So, I suppose we are positively surprised by everything. You know, we did say when we started out that we took a conservative view. Which is our approach. Fortunately, we have been able to shut down facilities earlier than originally thought. We have been able to also because we've sustained volumes, be able to integrate some facilities into our network, you know, more quickly than we'd originally anticipated.

And as a consequence of that, the integration costs have been much lower. I think we learned from our Spoton integration, which wasn't something that went to plan. And this time, you know, we had a very, very sharp integration plan and a full integration team working on this.

And, you know, they've done a fantastic job and it reflects that. So it's not a question of being a positive surprise alone. I think it is down to extremely disciplined execution.

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The third question on supply chain services, you know, you're right. While we have been onboarding clients, growth has been flat. Again, as I mentioned, there's no point driving fast if you don't know where you're going.

You know, and in our case, the clear steer to the team was that earnings over growth. And as you can see, we've gone from 2.1% margin to 13% in this quarter. And that was something that was strategically very important to us.

There's no point to us, you know, sort of accelerating warehousing space and accelerating, you know, client onboarding while not making enough money to justify being in the business. I think where we are today is, again, with a far more secure base than we had at the same time last year. There are some industries that we've learned, you know, perhaps the hard way that we shouldn't be participants in. Quick Commerce obviously being one of them, doing mother warehousing for Quick Commerce is unfortunately for logistics companies seems to be a loss making proposition. It took us some time to exit that. And there's some natural seasonality as well.

But the question is, is this sort of the bottom of the SCS business from a growth standpoint? I'd like to think so. As you heard from Vani earlier, you know, we have a couple of big mandates coming up.

One, obviously, is a Pan India redesign for a large engineering goods company. And the other one is a supply chain redesign for a leading home and fashion player. Outside of this, we continue to gain share with existing accounts as well in auto, consumer durables

les, you know, consumer electronics.

And interestingly, one of the big growth drivers here has also been e-commerce, where, again, our sort of big network advantages and ability to cut down cost have been moving, you know, more and more e-commerce companies are moving fulfillment towards us as well. So, yes, I do think this is perhaps sort of the low end of supply chain services from a growth standpoint. But again, more importantly, I think the focus has to be on the margins.

Sachin Dixit

All right. Thanks for the detailed answers, Sahil and all the best.

Yash Jain

Thank you. Thank you, Sachin. The next question is from the line of Vijit Jain.

Vijit, could you please unmute yourself and also mention the organization name?

Vijit Jain

Yeah. Hi. Can you hear me?

Sahil Barua

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Absolutely, Vijit. Please go ahead.

Vijit Jain

Yeah. Hi, Sahil. Congratulations on a great set of numbers. This is Vijit Jain from Citi. My first question is, you know, now you are in a high.

Sahil Barua

Vijit, sorry, I lost you just as you started your question. If you don't mind, could you please repeat?

Vijit Jain

Yeah, sure. So what I was saying is you said in the letter that you're currently in a high growth operating environment and you've kind of raised guidance on Capex in the near term. So my question is, is a comment on Capex also towards mid-mile infrastructure, specifically in e-commerce?

And my second question is, you know, related to the PTL business where there's a comment inside which says you're integrating capacity management with key clients and there are other comments on capability improvements there. Should we expect meaningful wallet share gains with existing customers here as well? And in general, how would you split your revenue growth in PTL between new and existing customers?

Sahil Barua

Sure. Great questions again. Thanks.

Just before I answer both questions, that integration of capacity management actually was on the e-commerce side, not so much on the PTL side, because e-commerce is where you have significantly higher volatility in daily demand. So that's sort of where the technical systems play a fairly large role. But anyway, coming back to questions.

High growth operating environment. We haven't raised our guidance on Capex in the sense that we expect to spend more as a % of revenue than we have in the past, just to be very clear. We continue to expect that Capex will decline down to the sort of, you know, 4% to 4.3%, 4.4% of revenue over the not so medium term. Perhaps maybe even seven, eight quarters out, ten quarters out, we should be starting to hit those kinds of ranges. All we're saying is that there may be certain Capex investments that depending on volume growth, where we had anticipated that we might do them, for example, in Q2 of FY27, we might end up doing some in Q1 and some from Q1 may get pulled in, you know, a little bit into Q4. Just to be clear, this will not be related largely to, for example, sortation equipment capex and so on.

There will be obviously some sorters which will need to be added. Those, fortunately, were part of the acquisition of Ecom Express. So if there's a certain amount of opex involved, we're just moving them to a new location and installing them, but it's not very significant.

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And in the mid-mile facilities, e-commerce growth doesn't really compute, you know, in terms of tonnage handled. So if you think about it, let's say we handle, you know, call it 3 million shipments a day. An average shipment weight is whatever, you know, let's call it 700 grams.

So effectively, you're hauling 21,000 tons of freight. Sorry, 2,100 tons of freight, which in the large scheme of things is not very significant. You know, when you look at it, we're doing, call it 6,000 tons of freight on PTL.

So really, the mid-mile Capex gets determined by PTL as opposed to, you know, anything to do with e-commerce. There'll be some minor sortation Capex here and there, but nothing very much large overall. In terms of PTL and heavies, there will be some amount of Capex.

Again, this will not be in terms of sortation infrastructure that you're thinking. So this is not necessarily in terms of sort of more, you know, large scale mega gateways. We already have five mega gateways which are live.

There may be a sixth in Noida, which we're evaluating, but it's not any time soon at this point in time. So nothing to sort of, you know, guide towards on that front. Where it will be is we are, there are two big changes happening that we're seeing from a mid-mile standpoint.

One is that our truck form factors are changing again. Two things are happening. One is the fuel form is changing.

So we have had experiments with LNG and that's done very well for us. So we, in fact, it's sort of in our network, what we've seen is that it tends to be at par or slightly cheaper than diesel vehicles. So we continue to induct LNG vehicles into our fleet, especially as we're retiring some of the older vehicles.

And the second thing is that we will continue to add tractor trains in certain parts of our network, which essentially allow us to haul, you know, an additional container compared to the single container that we're hauling. We are live on a couple of routes already and, you know, we continue to get approval from time to time. So it's largely vehicle related capex that will come in.

But again, it's not significant enough that it will alter our capex trajectory as a % of revenue at all.

Now, in terms of the PTL business, the significant capability improvements are overall. One is the PTL business has benefited hugely from the capacity management being integrated with e-commerce customers.

You know, it's a very - I'm going to be a little geeky over here - a very complex network problem to be able to identify, you know, what the capacity of a node is, what expected load patterns of that node are going to look like over, you know, sort of a short period of time. And then basis what you're seeing getting manifested in real time, diverting that load into different parts of the network. So it's quite interesting in a way where today you might deliver, you know, a refrigerator from location A. And because you anticipate that three days from now, location A is not going to have Delhivery Ltd.

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the capacity that it had today. You kind of divert that load away to an underutilized node, which is node B.

Now, where this becomes complex is optimizing the network in real time is very hard. But the advantage of this, when you optimize loads away from, you know, sort of heavily utilized locations, is that PTL service levels go up as a consequence and become more reliable. And so that's the biggest capability that we're building.

It's a non-trivial sort of, you know, it's a very, very difficult problem to solve and one that we're starting to see huge benefits of. There are certain investments we're making on the agent side, for example, to improve, you know, performance and document management, which is important in PTL. The second is around appointment management and delivery on time.

These are all pretty new capabilities that we're also experimenting with. The early results are good.

So, you know, PTL volumes, therefore, I think will improve as service quality gets better.

Now, just quickly, in terms of new client growth versus existing client growth. See, we've grown revenue by whatever, 25% a year. And volume, I think, is whatever, 23% a year or something like that.

Now, that kind of growth only comes when you have very significant growth, both from a new client standpoint and from an existing client standpoint. See, the economy is not growing at 23%.

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o obviously our existing client base has not grown, not contributed all of the 23%.

My sense is share of wallet gain plus, you know, sort of to some extent, you know, organic client growth would have contributed a little over half of the total growth that we've seen. And the rest of it would have come from new client acquisition. But do anticipate, we anticipate the new client acquisition actually is going to accelerate in this quarter and beyond because our sales teams that we have been building for the last four or five months are now on the ground, fully trained, you know, and we are now in, I think, whatever, about 60 odd locations compared to, you know, maybe six big locations that we were in two quarters ago.

Vijit Jain

So just to follow up on that capacity management comment with e-commerce. So does that mean that you have better predictability into loads that you're going to see, much better than what you would have seen before? And that informs what you said about the PTL business?

Sahil Barua

It does not improve forecasting. It improves our ability to deal with volatility in forecasts. So just to be clear, it does not in any way enable us to forecast what our volumes will look like.

Long ago, we gave up the ghost of trying to forecast any better. In any case, forecast accuracy in all industries is terrible. Logistics is really no different.

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And in fact, if anything, you know, by sheer law of numbers, the problem is the smaller the node, the higher the volatility, right? The volatility at a city level is higher than the volatility at a district level is sort of higher than the volatility at a state level is higher than the volatility at a national level. I can pretty confidently tell you that, you know, we'll do (making this up), whatever, you know, 95 million shipments in January.

But if you ask me to tell you exactly how many shipments I was going to do in sector 44, that would be a significantly harder problem. So forecast accuracy obviously is not something that improves with this system. What improves is the ability of the systems in real time, which is the hard part to understand where our capacities are and to divert loads away or to block loads from coming in at bad times.

So that's sort of what the system is doing.

Vijit Jain

Thank you so much. Those are the questions.

Yash Jain

Thank you, Vijit. Requesting participants to limit to two questions and rejoin the queue in case of follow-ups. The next question is from the line of Gaurav Rateria.

Gaurav, will you unmute yourself and mention the organization name?

Gaurav Rateria

Hi. Am I audible?

Yash Jain

Yes, Gaurav, please go ahead.

Gaurav Rateria

Yeah, I have a couple of questions. I'll list them down all. The first is on express parcel.

Would it be possible to segregate your volume growth into organic, inorganic and within organic, how much is because of market growth and how much is because of market share gain? My second question is on the bridge for PTL margins from 11% to 16 -18% range .

I know you have been talking about network utilization and incremental gross margins of 30%, 40%. But if you look at incremental gross margins have now been coming off from very, very high levels in FY24 to FY25 and FY25 to nine months of FY26. So just trying to list down the levers that will take you there with the network reaching closer towards optimal utilization.

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And the last question is at what Adjusted EBITDA margins you turn into free cash flow from operations at the consolidated company level in the medium term? Thank you.

Sahil Barua

Thanks, Gaurav. In terms of parcel growth, segregating between organic and inorganic, etc. You know, to be perfectly honest, this is something we stopped bothering about in Q3.

It's safe enough to assume that at this point in time,

all of that growth in some senses is organic to

Delhivery. It is, you know, sure. Did we gain share at the instant that we acquired Ecom Express? The answer is yes. But the hard part is in retaining it because, in some senses, inorganic volumes acquired can also deplete, which hasn't happened. So, you know, I don't think it's very material to think of it as either organic or inorganic.

I think the significant fact is that our volumes are up 43% a year. Now, has the market grown 43%? Certainly not.

You know, the e-commerce market, I think now there's a listed e-commerce company, plus there are other players whose numbers are out there. Best estimates are that e-commerce volume growth, you know, GMV growth obviously may have been slightly higher if Flipkart sold more mobile phones. But other than that, you know, broadly speaking, volume growth would have been in that 15-18% kind of range.

And so when we've grown volumes 43%, 15 -18% has come from organic growth in the market.

You know, all the rest of it has obviously come from share gain. Over a period of time, as long as Delhivery continues to grow at sort of 15 -18% plus in terms of volumes in e-commerce, it's safe to assume that a large portion of that is coming from share of wallet gains.

And as I mentioned in the previous three questions or two, three questions, whatever it is, the share of wallet gains are because fundamentally Delhivery is the highest quality network, which gets to 18,800 odd pin codes at the lowest possible cost. And more specifically is the most reliable when things are spiky and difficult, which in India increasingly is all of the time. So, you know, not very

instructive.

And we don't particularly bother about whether, you know, growth is organic or inorganic or anything else.

In terms of the bridge of PTL margins from 11% to 16% will continue to go up as utilization of the network goes up. Service centers sort of will fill up, trucks will fill up increasingly and margins will continue to go up.

The second piece, of course, is that we do continue to reprice certain accounts. As we've mentioned, since we started the analyst calls in PTL, you review your contracts every year. You look at which lanes, which contracts don't make you enough money and sort of renegotiate that pricing.

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There's a certain cadence to the renegotiations. You know, some contracts come up once a year.

Some contracts come up, once a quarter.

So I think yield will also continue to get better. And by yield getting better, I don't necessarily mean that yield will take, you know, the kind of trajectory where it keeps going up. What I mean is that it will keep getting more profitable because as we may also, for example, do more reverse lanes or we may do more short haul lanes where the yield will optically look lower but will be more profitable.

So we're a long way from the point where, you know, PTL margins will not improve with increasing loads. I think that will continue to happen. And you should see that.

Some of the sort of, you know, the expansion in the margins in Q3 in PTL actually could have been even larger. But the reality is that in this quarter, as we'd mentioned, we did carry extra infrastructure because it was an e-commerce peak. I'd mentioned this in the call that we'd done at the end of Q2, that by virtue of the GST sort of, you know, shock, the e-commerce peak got pushed out a little bit.

But we had built capacity a little earlier than originally planned. So in some senses, PTL margin could actually have been slightly higher in this quarter, you know, if it had been timed to perfection, which it wasn't. But nothing changes, you know, as we've said in the past, more volumes equals more profitability.

We track the gross margins, you know, and the EBITDA margins at a client level. And that's how we make our decisions on pricing.

In ter

ms of Adjusted EBITDA and when we turn FCF positive, I think, Vivek, do you want to come in?

You'd be best placed to answer this question.

Vivek Pabari

Yeah, Gaurav, at about 6% we will be free cash flow breakeven. The math is simple. The CapEx will be in the 5% zip code area.

So maybe 4.5% is what we have said in the steady state. Our working capital is already down to 15 days. So that would roughly mean that about 1% of working capital increase for the 15 to 20% kind of revenue growth rate.

So that 5 plus 1 is broadly the 6% and at 6% Adjusted EBITDA, we will be free cash flow breakeven. That's the pre-tax free cash flow is what I'm referring to.

Yash Jain

OK, I think the next question is from the line of Krupa Shankar. Krupa Shankar, could you please unmute yourself?

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Krupa Shankar

Hey, hi. Good evening and thank you for the opportunity. Great set of numbers. So my first question would be on the PTL part. Just wanted to get a sense that while I do appreciate that you're adding a lot of sales team to drive volume growth, I just wanted to get a sense if you are adding any ancillary services in the PTL network, which can further improve the network utilization and employment?

Basically, in CY26, are you looking to add more services to the existing network? And the second question would be on the supply chain piece. Now, historically, we have observed that the supply chain segment has a cap on the margins.

And typically, because of the nature of contracts, you are not able to go beyond that threshold. So is there any number like what you mentioned on the transportation business of 16-18% service EBITDA? Is there such a number for supply chain business as well?

Sahil Barua

Sorry, before I answer question number one, when you say that historically you have seen that supply chain services contracts have a cap, are you referring to Delhivery or is this experience based on some other company?

Krupa Shankar

Based on industry.

Sahil Barua

Who do you define as the industry?

Krupa Shankar

The existing contract logistics companies in the ecosystem, we have typically seen that their reported EBITDA margins range between 5 -10%. And typically, it is quite difficult to break that threshold given the fact that the mix of transportation is also quite high and the contracts are negotiated quite stringently. So something on those lines probably was what I was referring to.

Sahil Barua

Understood. Well, I think you have a definitional problem. There's a reason we don't call our business contract logistics and we call it supply chain services because they're fundamentally different.

We are not a manpower outsourcing vendor where a client comes to us and says, here's a piece of land that we have a warehouse on. We'll put our supervisor here and our warehouse management system and our racks. You provide us the manpower who does the picking and packing operation and we'll pay you 4% for that.

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So we're not in that business. Overall, I know there are other players who are in that business and obviously some of them come from legacy operations where they have a parent which required that service. So whether it's Mahindra Logistics or TVS or whoever it is, ultimately remember that their supply chain services businesses come out of having a captive which provides a large amount of business to them and has no incentive to pay them full margins.

Delhivery does not provide that service in any part to any client. We only take on mandates where it is a fundamental supply chain redesign. And in fact, it is now proven and we've shown this to our clients that by not doing contract logistics and by allowing us to determine the infrastructure and transportation mix requirements that they have for their specific problems, we save them money compared to a contract logistics player.

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We service the auto industry including players who, for example, have previously been serviced by the 4% margin players that you're talking about and Delhivery has come out cheaper and more profitable. So our approach to SCS is going to be no different. I don't know what the cap on SCS margins is.

We have accounts which, for example, deliver 30% plus EBITDA as well. Obviously, our dog accounts were things like Quick Commerce where we lost money rather than making any. And we occasionally run into clients where service quality is not a priority for them and they're effectively looking for a contract logistics solution in the guise of a supply chain services discussion largely because they want to seem like they're having a forward-looking discussion while sort of sticking to the past.

But we don't participate in those kinds of RFQs any longer and that's sort of what we've been shedding. So is there a cap? No, I don't think so.

Will margins continue to improve? We're already at 13%. We are nowhere near the full potential margins of this business.

What will they be exactly? I'm not really sure. It depends on how much inefficiency we can strip out of various people's supply chains.

So far the benefits that we have been bringing to our customers are the benefits of scale, obviously. There are the inherent benefits of our warehouse management system which allow us to run more productive under-the-roof operations. The integration with our transportation network which allows us to deliver a faster service and also to take certain advantage of underutilization in some parts of our network, specifically with respect to time.

But outside of that, we haven't even gotten to the more exciting parts of delivering value to industry, which is really, for example, cutting inventory holding. Only some of our most long-term customers have started engaging in that discussion, which is where we start saving them not just operating expenses but also taking inventory off their balance sheets and saying you can run a much leaner operation. So we will get there.

But please don't confuse us with a contract logistics business. It's sort of like apples and oranges.

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Now, coming back to your question on PTL, are we adding ancillary services to the PTL network? I'll just start and maybe my colleague Varun is on the call. Maybe he can step in for a couple of minutes. But I think, first of all, just the pure express PTL business.

One of the things that's happening in the industry is clients want as fast as possible part -truck freight delivery services as they can get. There's no customer who says, yes, I'd like slower freight. So there's a general move towards express.

The second is there's a general move towards organized players where, and we've discussed this in the past, for a variety of different reasons related to quality, related to the ability to serve pan - India, the ability to serve on a direct network, and so on. And there are really, strictly speaking, only two very large high -quality PTL players in India, which are Safexpress and Delhivery. And so in some senses, we don't really need to offer ancillary services to continue to grow or to improve network utilization.

That said, I think I know what direction you're going in, which is are we also going to do non - express part -truck, which does continue to exist as a service at this point in time. There are certain services, for example, like hub -to-hub delivery, which we already do a fairly large amount of, as opposed to sort of door -to-door. Are we going to do some of those?

Maybe Varun is the right person to come in and sort of briefly talk about this.

Varun Bakshi

Thanks, Sahil. So, yeah, so a couple of things. So first of all, the additional services could be, as Sahil said, it could be hub -to-hub.

It could actually be, air PTL as well. Th

ere is something which goes by air PTL, which do we have capability? Yes, to start immediately.

But will we be starting? Yes, sometime in the near future. Again, yes.

So that's a short answer. Hub -to-hub, again, we know the industry, we know the customers. Can we start?

We can start almost immediately. But again, there is so much to do with the current setup, with the current set of people in the express PTL industry where we are seeing a lot of traction going to every customer we approach that we will take this up, but at the right time. So in the near future, yes, but probably not. It's not tomorrow morning.

Krupa Shankar

Got it. Thanks for answering the questions.

Yash Jain

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Thank you, Krupa Shankar. The next question is from the line of Aditya Bhartia. Aditya, could you please unmute yourself? Hi, Aditya.

Sahil Barua

I think, yes, you want to move on to whoever's next?

Yash Jain

Yeah, we'll move on to the next participant. The next question is from the line of Alok Deora.

Alok, could you please unmute yourself?

Alok Deora

Yeah, hi. Good evening and congratulations on the really good numbers. So most of the questions were answered.

Just one question I had. If you look at the last three, four quarters, the PTL margin has been in the 10% to 11% range, even despite the increase in the volumes. So when we were doing around 450KT, the margins had reached around 11%, and even at 500KT, we are at around that number. So just going by the trend, is it like a hurdle to generate incremental margins now, or would it be increasingly difficult to generate more margins now? I just wanted some color on that.

Sahil Barua

Yeah, that's a good question, Alok. So a quick answer is no, it will not be hard to generate incremental margins. I'll take a slightly circuitous route to answer this question.

One is we look at the EBITDA margins of clients at an account level, and then sort of take appropriate either pricing actions or decide what to do from a contracting standpoint. Now, therefore, because a larger proportion of our clients increasingly are at gross margins, which will eventually lead to a much higher than 11% service EBITDA margin, I'm pretty confident that overall EBITDA margins will continue to rise. One of the reasons why margins have been choppy in this sort of, let's call it, last year Q4 to this year Q3 kind of period is because of a couple of things.

One is because the express network suddenly sort of exploded with Ecom Express and so on. So what's happened is that express capacities have increased in the last two quarters to some extent, and as a consequence of that, and also heavies typically increase in Q3. As I'd mentioned on the previous question, also the one before that, in Q3 were we not carrying excess infrastructure to

some extent for the express business, some of which was just timed earlier than it should have been as a consequence of sort of GST and sales getting pushed out and so on, PTL margins normatively actually would have been a little higher than the 11% that you're seeing over here. So there's no particular reason that I can see for us to worry about whether PTL margins can expand past 11%. Of course, there are still some accounts where we need to redo pricing.

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That % obviously today is much smaller than it was when the PTL business was, you know, breakeven or loss-making. But there are still a few accounts where we do need to renegotiate and we need to sort of expand, you know, pricing. And the other is obviously there continue to still be some underutilized lanes that we have across the country.

So I'll give you just one example because of the way our routing works. You know, one example is that loads from Kanpur going back into North India, typically those trucks tend to be emptier than trucks going the

other way. So, we need to generate more loads coming out of UP as a consequence of that, you know, we've expanded teams in UP.

Our sales team has been significantly expanded. So as that kicks in, you know, you should sort of see margins going up. But again, you know, just to top this up, I'm sure Varun will have a perspective.

Varun, do you want to come in for a couple of minutes?

Varun Bakshi

Yeah, sure, Sahil. So just to add to this, let's say, let's take an example. Once we set up a sales team, let's say in a new retail market, which is slightly off from where we already do pickups, where we already do business.

We need to set up a facility. We need to set up a truck that goes, picks up from there and comes back. And when we start on day zero, a new market or a new place, then let's say in a longer run, in six months time, we think on a daily basis we'll be picking 20 tons from that place.

But on day one, we don't get 20 tons. We probably get one ton. We probably get two tons.

We can't plan a facility for one ton or two tons. We need to think six months forward and plan a facility for probably 20 tons or 30 tons to account for that growth. So when you go to new places, when you go deeper into the country, you plan for capacities, which are slightly forward in nature, rather than just suiting that one ton on that day.

So as these things get better utilized, again, profitability would go up. I think that was one point which I wanted to add.

Alok Deora

Thank you so much. Just one follow-up question on PTL only. So, we have seen quite phenomenal growth, especially in 3Q.

Also, we saw pretty robust volumes, which was, I believe, much better than your expectation as well. So was it also related to some sort of increase because of the GST rate cut where we saw some kind of volume getting shifted from 2Q to 3Q? And now the run rate would kind of stabilize at around 17% to 18%.

That would be my last question. Thanks.

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Varun Bakshi

I'll take that Sahil. So, was there some extra tailwind because of the GST action by the government?

Probably yes. But having said that, I think we'll continue to stick to our guidance wherein in a longer run, you can expect a ballpark 20% growth to play out. Now, for a few quarters, it might go down to 17%, 18%, 19%.

For a few quarters, you'll see 21%, 22%, 23%. Last quarter, it was lower because there was a GST impact. This quarter, probably we have covered up for that.

The revenue growth is 25%. So again, it's not going to be linear, but it's ballpark going to average out probably at this level in a longer term.

Alok Deora

Thank you so much for that answer. Thank you. All the best.

Sahil Barua

Thanks. Yash, I think we have Aditya back.

Yash Jain

Hi, Aditya, are you... Aditya, go ahead with your question. Yeah, okay.

Aditya Bhartia

Am I audible? Yes, you are. Please go ahead.

Okay, perfect. So, my first question was on corporate overheads, wherein if we look at corporate

overheads as a % of revenues, they are pretty sticky at around 9%. So with increasing volumes, we are also seeing corporate overheads, especially on the wages side, increasing. So how should we think about it going forward? That's my first question. My second question is that one of your customers who kind of held the conference call yesterday spoke about increasing capacity and better utilizing the capacity that they have expanded in the last quarter going forward. So in that scenario, how are the conversations that you've been having with them? What is really the roadmap? How should we think about that customer scaling up or down in the next year? And my last question is, anything that you want to be commenting on the health of your competitors? Is there something that looks a little kind of scary?

Sahil Barua

You mean for us or for them?

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Aditya Bhartia

For them.

Sahil Barua

Okay, got it. All right. Naman, can you just pull up the slide which has corporate overheads as a % of revenue, please?

Naman Jain

Sure, Sahil.

Sahil Barua

It's a margin slide. Yeah, so you can see it here. I mean, to be perfectly honest, it's come down from 11.4% in Q1 FY24 to 9.1% in Q3FY26, which is a fairly significant reduction. So I appreciate that you're looking at this YoY and it's 9% last year and 9.1% at this point in time. But I don't think business tends to behave in a way where every single quarter you see a unidirectional movement of anything. Broadly speaking, corporate overheads have come down from 11.5%. They were actually 12% or so in FY 23. We are sitting here in FY26 and we're at 9%, which is a % of revenue, you know, in reduction terms, 25% reduction as a % of revenue over a three-year period. And we expect that to continue. We have said we expect this to settle in the 6, 6.5%, you know, maybe up to in the sort of more short term, 6-7% kind of range. And I see no reason for that to change. One of the reasons why the wages are higher, as you can see over here, is obviously because of the sales team build-out that we had, you know, which we alluded to in the previous quarter. And some of this is also provisioning at this point in time.

And I think some of this is also, Vivek, just correct me if I'm wrong. Some of this is also because of the implementation of the new labor code, right?

Vivek Pabari

Yes, the recurring impact has been taken here.

Sahil Barua

The recurring impact also has been taken. So I think let's not give it an adjective as sticky just yet. You know, maybe if we're at 9% or higher than 9% next year, calling it sticky would be fair.

Now, coming to our customers expanding capacity, you know, I guess if the question is they had underutilized capacity, why did the network fail? You know, I think that question is better directed at the people who establish capacity than the people who provide reliable service. But that said, you know, again, I've answered this question a couple of different ways on this call already.

I will repeat it. Putting a couple of people on a bike and having a distribution center does not make a logistics company. Buying a sorter does not make a logistics company.

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You know, there is a non-trivial difficulty to building, setting up, and maintaining a large-scale logistics company as is evident. It's taken us 15 years, you know, and I don't think you can kind of MacGyver your way to a logistics company and say, okay, you know, we had underutilization in one quarter and two quarters from now, magically everything's going to be awesome. That's just not how things work in this industry.

Delhivery's competitive position has been established through 15 years of investments in deep engineering and technology capabilities, a vast amount of training. You know, a real team size of 110,000 people, many of whom are not independent contractors who show up on any given day and then don't show up for six days. These are ingrained behaviors supported by, you know, very, very deep investments in capabilities that are hugely important to deliver cost, service, and reliability.

Now, the only world in which Delhivery loses, there is a world where Delhivery loses, that is if somehow tomorrow all of Indian e-commerce becomes, you know, sort of low-quality e-commerce

where nobody cares about delivery times and nobody cares about, you know, whether the products reach them on time or not. But if that is to come to pass, then Delhivery is not going to be the only company which has a problem. Failing that, in every other state of the world I don't think you should worry about Delhivery's competitive positioning.

In any given quarter, any customer can change their strategy if they need to. You know, i

t depends

on what they think at that point in time is best for them. We appreciate that.

Our relationship with our customers is always very simple. It's the easiest possible relationship.

We show up to customers. We say, you spend too much on logistics. We are more reliable. We are lower cost. Please use us.

And in general, outside of, you know, people who make extremely sort of, you know, silly decisions, the answer is yes. Now, whether we get a 40% share of wallet to begin with or a 10% share of wallet to begin with or a 90% share of wallet to begin with depends on what the client's individual strategy is.

As Delhivery, the steps that we have taken are very simple. We are not dependent on any single customer. We do not have a 60%, 70%, 80% client concentration with one or two customers.

And so in some senses, what they do individually in any quarter is irrelevant to us. So we actually don't listen into the earnings calls, you know, unless we need to for any of our clients. It's just not germane to what we decide to do.

To your third question, anything we want to comment about the health of our competitors, you know, I don't really, I don't run, you know, our competitors. And so for me to comment would not be fair. But I will sort of make a generic statement which I've made in the past and which has borne out, you know, three years ago when we went public.

Now, I said, look, express only models and models which have high client concentration and models which are not built the way ours are, which have the wrong network structure, will never Delhivery Ltd.

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achieve network efficiencies, will never have operating leverage and will never be able to generate incremental margin no matter how much revenue they grow. Now, you can deliver 40% revenue growth, but if you generate nothing in the way of earnings, that revenue growth is meaningless. It's sort of empty calories for a business as far as it goes.

So I guess I would not, like, let me put it this way. If I was running a business which had no fundamental underlying network advantages, whose advantages were built largely on having people, you know, which is essentially, everybody seems to in India for some reason talk about how last mile capacity is very important and how they all have riders at the last mile. That's the easiest, you know, problem in the world.

In India, hiring people with bikes is not a particularly difficult challenge. So would I be nervous if I was running those kinds of businesses? 100%.

I also think capital is increasingly going to become difficult if you're a private company. You know, why should you get any more capital? After 10, 15 years of running a business, if at the end of the day, you've got nothing to show for it, there's no reason for the business to persist.

And I think the public markets will also ask tough questions of all logistics companies, including Delhivery, like you're doing right now, asking me, you know, how our profitability is going to persist and expand and sustain. So I think capital is going to be difficult to come by. I think service levels are going to get increasingly difficult to manage because the environment we operate in has become more challenging.

There's more volatility in volumes. The climate is more difficult to deal with. Regulations are changing across the country.

You know, and outside of that, costs are also escalating. You know, we're very glad to hear that the Indian government has decided to have a labor code for gig workforce, which places certain compliance burdens on everybody in this industry that for the longest time, Delhivery was one of the few players bearing it. So I think from here on, the logistics world gets even more complex.

I think the space for error has shrunk dramatically. I think the private equity strategy of sort of saying we don't mind funding the number four player in this space

because somebody has got to

be number four is also going to eventually die. You know, once upon a time, there were 10 telecom companies in India and there aren't anymore.

And I think the same thing's going to play out in logistics.

Aditya Bhatta

Sure, that's very helpful.

Yash Jain

Thanks, Aditya. The next question is from Ankita Shah.

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Ankita, could you please unmute yourself? Ankita? Okay, I think we can move to the next participant.

The next question is from Aditya Mongia. Aditya, could you please unmute yourself? Okay, next participant.

The next question is from Abhishek Banerjee. Abhishek, could you please unmute yourself?

Sahil Barua

Yes, I have a feeling I answered most of the questions already. So maybe that's what's happening.

Yash Jain

Maybe I'll just take the last participant in the queue before I ask a question from my side. The next question is from Achal Lohade. Achal, do you have any questions?

Okay, I think most of the questions are answered. So I'll just... One question from my side, Sahil.

Achal is here, okay. Yes, Achal.

Achal Lohade

Yeah, thank you for the opportunity. Sorry, I think you answered quite a bit. Just a couple of bookkeeping questions.

You know, the first is, you know, if I just look at the realization and the EBITDA per shipment for express parcel business, you know, we see that with the Ecom Express consolidation, the realization and the cost has also come off, right? So I just wanted to check, you know, in terms of the yield, as in the realization and the cost per shipment, is the 3Q number the new normal or is there a very large seasonality at play? You know, because if I look at the realization, the QOQ as well, it has dropped about 5%.

And so is the cost. So if you could just give us some sense about, you know, the new normal in terms of realized yield and the EBITDA per shipment.

Sahil Barua

Sure. Do you have any other questions? You want to ask them all?

Achal Lohade

Yeah, I do. I do. I do.

The second is, you know, you did mention a couple of times about the extra cost, you know, in the entire network buildup, which impacted PTL margins. Is it possible to quantify? Was that a 40 -50 basis point or was that 100 basis point plus kind of impact?

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And the third is the corporate overheads. While broadly you had answered, but just a specific, if I look at the technology, you know, line, you know, in the corporate overheads, the earlier run rate used to be 43 -45 crores on a quarterly basis. That has become 59 -60 for the last two quarters. Is this the new normal or is this largely driven by the consolidation? Yeah, those are my three quick questions, please. Thank you.

Sahil Barua

Got it. On yield, just very quickly, there is no new normal or old normal. The yield in any given quarter is dependent on the mix of volumes that we carry, which is dependent on the client mix, which is dependent on the weights of packages that we are hauling, the distances that we are hauling them, whether they are COD or prepaid consignments, what their return rate is and what category they belong to.

Now, in the Diwali peak quarter, actually over the last two quarters, obviously since our acquisition of Ecom Express, our relative share of small parcels as opposed to heavy parcels has gone up, which is why optically it looks like the yield has come down. But again, as I had mentioned, the margin % that we expect and effectively, I mean, if you could boil down the return on capital on every shipment that we expect, therefore is constant, or rather, let me put it that way, has a minimum floor that we have to cross. And so in some senses, the normality that we look for is in the margin and not the yield.

In any given quarter, anything could happen. As an example, let's say, for whatever reason, there's a bump

in sale of juicer -mixer grinders in this quarter or whatever, some ACs or something, yield might go up. But is that going to be a new normal in Express? It's very hard to say. So, you know, I can't really answer that question any which way. Yields normally in the peak period, when we had not acquired Ecom, would go up in Q3.

This year, as a consequence of hauling a large, you know, much, much larger volume of small parcel, yields actually came down optically. So really nothing very, you know, important to read into it. In terms of the extra cost, whether it's, you know, sort of leading to 50 basis point or 100 basis point increases, etc, you know, unfortunately for me, that's sort of, that's almost, you know, a philosophical question because at the end of the day, we're sort of, you know, allocating costs to

some extent between the parcel and the PTL businesses.

Now, realistically, what we could have done but didn't do because we follow a consistent accounting methodology is to preempt these questions by saying, okay, let's take the express margin down to 17.7% and PTL up to 11.9 and make, you know, life easier for ourselves. But basis, the consistent, you know, mechanism of cost accounting that we have followed for many years, it appears that the PTL margins are about 11%. Now, would the margins, had we not carried some of the excess capacity been, 11.5 or 11.7 or 12?

It's very hard for me to say. Could we break it down? Yes, of course.

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But, you know, you sort of, for me to answer that question on this call would be impossible. You'd sort of have to come over to our office and then we'd have to spend a whole day going through all kinds of numbers, which I'm happy to do. But, you know, let me just say that it's not a very important activity.

I think what's more important is as our volumes grow, do our margins continue to grow? I think somebody's asked that question. That's a good and fair question to ask.

I think, you know, let's go another one or two quarters and see what happens to margins as loads go up. And the last one is on corporate overheads on tech costs. Vivek, do you want to just come in quickly over here?

I think some of this has to do, obviously, with higher volume.

Vivek Pabari

Yeah, there is a, given the sharp increase in the network volumes, we have added server capacity. So that's playing a role. But the point to note is that from second quarter to third quarter, despite the 20% increase in volumes, the cost has actually not gone up.

The rest of the cost has moved up because we have actually meaningfully stepped up our investments related to AI in our network. We are actually, in a very interesting way, deploying agentic AI across different components of our network. But that does come at some sort of an increase in our tech cost.

Both of these factors have played a role.

Sahil Barua

I've got Aditya's questions, Yash. So let me just take them up. The first question is, what is required for the margins in the express parcel business to go towards 20% and beyond pricing?

What other levers are there to flex? It's a good question. So Aditya, one of them, let me try and stack up a couple of them in terms of how we're thinking about this.

One, obviously, will come from just higher volumes and higher scale. When you look at it, let's say we do 95 million shipments a month, call it 3 million shipments or 3.2 million shipments a day or something like that. That spread, give or take, across about 4,000 -odd distribution centers, which is giving you sort of average volume per distribution center of 800 packages, 780 to 800 packages per DC per day.

Now, our DCs theoretically have a capacity to go a little beyond that. They can probably get to about 1,100 or so. We used to be in sort of the 550 -600 kind of range. Now we're at about 800. We can get to about 1,100. So there's a certain amount

of goodness that will come from there.

There's a certain amount of goodness that will come from capacity utilization or sorters, etc. That'll add, call it, some amount of margin to this whole thing.

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The second is there are places where we do need to consolidate infrastructure. I brought this up in the past. For example, we don't run an efficient operation in Pune, and we know it because we were locked into two different facilities. We need to move to one. That will bring down our costs. We need to reorganize Delhi NCR where we need to get out of the city limits essentially to avoid the no-entry problem to essentially reduce our costs at the Delhi Gateway that we have. That'll, I think, happen through the years.

So there are some of these sort of organic infrastructure changes which also should lead to a certain amount of goodness. The reason I bring up cities like Delhi and Pune is that these are big centers, so they do have a material impact on cost.

The other interesting one that doesn't get asked a lot because in general our claim rates are very low is actually reducing claim rates even more. Our claim rates are whatever, in the range of maybe 120, 130 basis points. That claim rate is the % of revenue. I think we can go much lower.

Very often disputes and claims in logistics come out because the customer thought he was going to get a pink T-shirt and then he got a black T-shirt and he tried to return it and then the seller said, no, no, no, I shipped a pink T-shirt and eventually the logistics company foots the bill. You'll see

this on the P&Ls of every logistics company. Typical claim rates in the industry can be pretty high. Ours are generally quite low to begin with because sort of our data products enable us to keep them low, but I think we can get lower. I do think there's probably 30, 40 basis points that we can eke out of claims as well. As a consequence, bring down our losses and that goes straight to the margin. There are these maybe three, four different steps that inch the margin up from wherever with 18.2, 18.3% that we're at towards the 20%. The other, of course, is not pricing related per se, but I feel like when you look at the heavy market, while we have a large share from the large organized marketplaces in some senses, I still feel there's a pretty large market out there that is shipping heavy in various sort of unstructured ways and that's a market that I think we need to grow our share in. I don't have a number for what our share is, but what I can tell you as an example is when I look at our D2C business and the heavy volumes, we've grown, I think, something like 40, 50% a year, which is much faster than anywhere else. It's not a pricing change, but it's a step change in terms of yield for the network, step change in terms of profitability.

And then, of course, there's pricing, but on pricing, as I mentioned, dynamic pricing is what we're really going to try and shoot for, but outside of the cost side, I'm fairly certain about. I do think we can grow the % of our business from D2C heavies and so on. I'm not so sure on pricing that we will take any sort of steps in the immediate near term.

To your next question, is there an opportunity for pricing more specific routes? Yes, there is. There, of course, is.

That's a good question, and that is what I was alluding to when I was talking about dynamic pricing, which is not just route -based, but which is one way of doing it, which is utilization indexed pricing, but you can also do time indexed pricing and so on. You can do destination indexed pricing. There's Delhivery Ltd.

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a whole bunch of weight indexed pricing that you can do, and we are starting to develop those systems.

Why they are not live as yet is because these systems are fairly complicated to run in almost real time, and i

f you don't do it in real time, then it has no meaning. You sort of have to be able to ping back what the price of every single package is going to be. Otherwise, utilizations swing around too much.

So we're in the process of developing that. I think there is an opportunity, and what that will allow us to do is to really expose very, very high -quality pricing information to customers at a lane, parcel level and eventually increase our margins as well.

The next question is from Shriram.

Any thoughts on entering the cold chain market? The short answer is no. I think if you look at everything that we do right now, this is sort of what we are capable of doing.

Cold chain is a step perhaps too far for us, and the second problem, of course, in cold chain is my understanding could be dated, but from what I remember, the storage market in cold chain is significantly larger than the transportation market. It's not a market where people are looking for an optimized solution. So there's very real, there's very, very limited value that we can add to that industry right now.

So no immediate thoughts of entering the cold chain at all. Thanks. Sorry, the last question.

Oh, sorry. I believe Naman's just pinged me on the side saying Abhishek from ICICI has a question.

Yash Jain

Yes. Abhishek, could you please unmute yourself?

Abhishek Banerjee

Yeah. Hi. Can you hear me now?

Sahil Barua

Yes. Please go ahead.

Abhishek Banerjee

So, Sahil, first of all, congratulations to the team for hitting the ball out of the park.

Extremely, extremely, you know, happy to see this kind of performance. A few questions from me. So given we are now delivering in margins, right now would be a good time to kind of start thinking about what kind of an ROIC profile do we envisage for ourselves at a steady state?

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Any thoughts about that?

Sahil Barua

Sure. Do you have any more questions that you want to just sort of front -load?

Abhishek Banerjee

Yes. Yes. So then one more thing is you've spoken about 15 to 20% volume growth for Express

parcel.

Now, does that basically assume that insourcing remains at current levels or do you think it can go up again? Also, what is now the outlook on the overall integration costs? Also, I saw some of the assets that were acquired from Ecom Express, which would help in lowering capex outflow.

So why are we in the letter guiding that it could go up a little bit from here. So if you could give some color around that.

And finally, any concrete plans on acquiring XpressBees?

Sahil Barua

I don't know. Let's leave that one aside for the moment.

Some of the assets acquired from Ecom Express would help in lowering capex outflow. Just to be very clear, as I'd spoken about the Express capex, we do not anticipate it is going to be significant at all.

The Ecom Express sorters will get deployed across our network. In fact, some of them are already deployed across our network and some others will also go live over the course of the next couple of quarters. So Express capex will not be significant.

In fact, even for PTL, we don't really anticipate a very large amount of facility capex. There are some facilities that we need to relocate. Those will happen.

But nothing that's sort of wildly out of course for the business. The only reason we've raised our capex sort of, and just again to be very, very specific and clear, we have not raised capex guidance as a % of revenue. We continue to believe that capex will get down to the levels that we'd spoken about.

We're not saying that we're going to go from, you know, 5% of revenue to 6% of revenue next year. That's not going to happen. All that we're saying is that the decline that you might expect to see may be sort of a little slower than you might expect otherwise, largely because we might have to build out some vehicular capex a little earlier than we

would have done otherwise in anticipation of higher volumes.

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And that will largely be linked to LNG trucks or tractor trains. That's about it. But there is no sharp deviation that you should expect from a capex standpoint at all.

Capex as a % of revenue is not going to go up. So just be very, very clear about capex. So that's one.

I think I did the best I could with your XpressBees question as well. I think the other question is what is the, does the 15 to 20% volume growth call out for Express parcel insourcing stabilizing at current levels? Yes.

So in the sense that, let me put it this way. If insourcing goes up, you know, as you've seen insourcing went down in the last two quarters. Now, as we have been saying, that makes sense. You know, networks are becoming more complex. They're becoming more difficult to run. They do not have cost advantages.

So continuing to insource, whoever does it doesn't matter. You know, whichever e-commerce company does it. I've said this many, many times.

I'm happy to say it, as many times as needed, is a fool's errand. It's losing money and it adds no value. Our view is that even if people continue to insource more and some of the clients cannot insource anymore, they've already insourced as much as they could, you know, we'd still be able to grow at 15 to 20%.

As far as Delhivery is concerned, that shouldn't be a problem. And like I said, you know, in cases where customers decide to insource more, they are insourcing to a higher cost option. And when they're doing that, that's going to show up in their P&Ls and eventually they're going to have to account for it.

You know, that's visible in the P&Ls of companies which have gone public. And in companies which are private, that's visible in the filings that they've made to the ROC, you know, as in the registrar of companies. So eventually I think you have to direct the questions to them saying, hey, why do you lose 2,500 crores a year on logistics when you don't need to?

So I guess, let me put it this way. Worst case, hopefully we continue to grow at this 15, 17%, which is a lower end of the scale. If people continue to make bad decisions on insourcing.

And if people make good decisions on insourcing and outsource to the largest and highest quality and cheapest logistics company in India, our growth should be 20% or higher. And in any case, the reality is that competitive intensity in this industry is reducing. The other thing also, I think after the Ecom Express acquisition, and I know, you know, one of our competitors has gone public.

I'm sure the question that everybody's asking them is why does one client make up 70% of your revenues? And so everybody at the end of the day also does want to reduce dependence. And that's going to create an interesting environment.

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Either way, I think, you know, we have to maintain our course, which we have always maintained. So 15 -20% seems perfectly okay. You know, to us.

To your question on the outlook on integration costs? Like I mentioned, you know, we expect them to be significantly lower than the 300 crores we'd originally forecast. I think we had 90 crores in integration costs last quarter.

We are at 35 in this quarter. And I think the guidance that Vivek has put out for the next quarter, maybe about 25 to 30 crores of residual costs. So net net looks like it'll end up at that sort of 150, 160 kind of range, which is significantly lower than we'd originally forecast.

So yeah, you know, that's where we are. In terms of the ROIC profile, Vivek, do you want to take that?

Vivek Pabari

Sure, Sahil. Abhishek, the short answer, we think our business can generate 25 to 30% kind of ROICs.

First, one important clarification. When I talk about ROICs, I talk about ROICs on our tangible assets. This does not include

cash or ROU assets. The point on ROU assets is quite important to bear because ROU assets is an accounting entry or our long-term leases, we actually do not have any capital tied up on our ROU assets. We can exit any of those leases anytime. So for ROICs, using ROU assets in the denominator for calculating our ROICs would not be very accurate.

The 25 to 30% is on our tangible assets. The drivers of that are both the expansion of our profitability, as well as improvement of our asset turns and the tightening of our working capital. We have always maintained that our business can generate about 16 to 18% kind of service EBITDA margin over the next three years. Alongside that, our corporate costs are expected to also come down to about 7% kind of levels. So that gives us about 10 to 11% types of overall Adjusted EBITDA margins.

As our capex intensity in the business is coming down and our business scale is increasing, our asset turns are also improving. We think we can generate about 3x asset turns in the steady state. This coupled with further tightening of our working capital, it's already down to 15 days, will likely give us about 33% of revenue as our gross block and about 6 -7% as our working capital. So about 40% of revenue as capital employed in our business.

That with a 10 to 11% type of Adjusted EBITDA margin gives us about 25 to 30% kind of ROIC. So those are the levers which we are solving for. We are fairly confident that we can achieve these levers.

But again, emphasizing that this 25 to 30% is on our tangible assets. It excludes cash and it excludes ROU assets.

Abhishek Banerjee

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All right. Super. Thank you so much, Vivek.

Yash Jain

Thanks, Sahil and Vivek. I'll squeeze in one last question from my end. On international business, how will the economics and operations work here and how should we think about the scalability and profitability in this business?

Sahil Barua

This is profitable from day one. We've already been carrying packages in December. All of the packages that we've carried are profitable.

So this, as I'd mentioned earlier, there's no, you know, capital earmarked towards investing in this business. It's an add on sort of to what we were already doing, you know, in terms of express air parcel. So in express air parcel, we have a partnership with FedEx and with Aramex.

In the economy product, we have stitched together a network which includes carriers. So for example, we fly Air India. And then we also, and then we inject into the US and then hand off to partners in the US.

It's a sort of, it's a light technology integration as opposed to sort of a formal partnership, like what we have with FedEx or UPS. And the rates that we have for each of these legs are added to Delhivery's cost and Delhivery's margin expectations, and then presented to clients. And it's obviously, it's still a compelling proposition.

The reason it's a compelling proposition, obviously one is the reach of Delhivery's network in India. So let's say you're an SME who wants to export out of Moradabad, you know, Delhivery has the best service from Moradabad to Delhi. And so as a consequence, your goods are hitting the airport, you know, earlier than they would with any other network.

And obviously from an integration standpoint, you get a single airway bill you can track. Well,

you know, there's a bunch of features that are still under development as well because cross-border shipping is a complex process and it's sort of a nerve wracking process for SMEs. And so, you know, our tools will help you with that process.

And that's how we end up gaining share. So it will be profitable from day one. It will not require any further capital investments.

It's a process of just stitching together a bunch of networks around the world.

Yash Jain

Got it. Thanks. We take that as the last question.

Participants

, in case of any questions, please reach out to the IR team. Sahil, any closing remarks from your end?

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Sahil Barua

You know, first of all, just thank you, Yash. Thank you Ambit for hosting us this evening. Thank you to all of you who've joined and, you know, stayed with us all the way through.

There were about 180 -odd participants. I know it's 7.30 in India on a Saturday. So I really appreciate you staying with us.

I think, broad summary, it's a very satisfactory quarter. I think what you're seeing over the last couple of quarters is really the culmination of, you know, steps that have been taken over many, many years. You know, there have been times when obviously there have been questions about Delhivery's long-term strategy and what we're sticking to.

I will reiterate that our strategy is to be the lowest cost, highest reliability, highest quality logistics company with the widest range of services across the widest network in India. And as long as we continue to do that, I think Delhivery's competitive positioning is secure, irrespective of what happens to the market in the short term or the medium term. And that's sort of what you're seeing play out.

We will continue to invest in these areas. We will continue to invest in reducing the cost of logistics. We will continue to invest in improving service quality and, you know, maintaining and recruiting a high-quality team.

You know, that's the cornerstone of what we do. And, you know, hopefully like you've seen in the last couple of quarters, you'll see this continue to play out. So a very satisfactory quarter.

I think it sets us up well for Q4, but more importantly for FY27. And, you know, look forward to seeing you all at our next earnings call. So, thank you very much.

Yash Jain

Thanks, Sahil. Thanks, everyone. All of you may log off now.

Disclaimer: This transcript has been edited to remove any grammatical inaccuracies or other inconsistencies that might have occurred inadvertently while speaking.

Call: May 2026

Date: May 22 , 2026
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
India

Scrip Code: 543529 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
India

Symbol: DELHIVERY

Sub: Transcript of Earnings Conference Call pertaining to the Financial Results for the quarter and financial year ended March 31, 2026

Dear Sir,

This is in continuation to our earlier letter dated May 16, 2026, regarding audio recording of the Earnings Conference Call held on May 16, 2026, at 06:00 P.M. (IST) on the performance of the Financial Results of the Company for the quarter and financial year ended March 31, 2026.

Please find attached herewith the transcript of the above Earnings Conference Call.

The above disclosure is also being uploaded on the website of the Company at www.delhivery.com

You are requested to take the same on your record.

Thank you.

Yours sincerely,
For Delhivery Limited

Madhulika Rawat
Company Secretary & Compliance Officer
Membership No: F 8765

Encl: As above

Delhivery Limited - Q4FY26 Earnings Conference Call
May 16, 2026

Management: MR. SAHIL BARUA, MD & CHIEF EXECUTIVE OFFICER
MR. VIVEK PABARI, CHIEF FINANCIAL OFFICER
MS. VANI VENKATESH, CHIEF BUSINESS OFFICER
MR. VARUN BAKSHI, HEAD - PART TRUCKLOAD
MR. NAVNEET KUMAR, HEAD - SUPPLY CHAIN SERVICES

Moderator: DHRUV JAIN, AMBIT CAPITAL

Delhivery Ltd.
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May 16, 2026

1 Dhruv Jain

Hello everyone, welcome to the fourth quarter and FY26 earnings call of Delhivery Limited hosted by Ambit Capital. Before we start, Delhivery would like to point out that some of the statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this call is meant for investors and analysts only.

If there are representatives from the media, they are requested to kindly drop off this call immediately. To discuss the results, I am pleased to welcome Mr. Sahil Barua, MD and Chief Executive Officer, Ms. Vani Venkatesh, Chief Business Officer, Mr. Vivek Pabari, Chief Financial Officer, Mr. Varun Bakshi, SVP and Head of Part Truck Load, Mr. Navneet Kumar, SVP and Head of Supply Chain Solutions. Thank you and over to you, sir, for your opening comments.

Sahil Barua

Thank you, Dhruv. Thank you, Ambit team for hosting us this evening. Thank you all for joining our earnings call for Q4 FY26 and FY26 consolidated this evening on a Saturday.

Before I begin, I'd like to formally welcome Mrs. Neelam Dhawan as Chairperson of the Delhivery Board. Her long career in technology and technology services, of course, is unparalleled and we expect that under her leadership, Delhivery will go from strength to strength. I'd also like to welcome Mr. Kabir Ahmed Shakir to the Board of Directors of Delhivery. Kabir served as the CFO of Tata Communications prior to which he had a long stint at Unilever and then at Microsoft. With this, the exercise of reconstituting the Delhivery Board is now formally complete. I'd also like to place on record on behalf of the entire Management and Board of Delhivery, our thanks to Mr. Romesh Sobti, who will be stepping down from the Board of Delhivery after five years, having joined us in 2021 and having played an enormous role in helping us take Delhivery public and shaping our strategy over the last five years. Before we begin, as usual, my colleague Vani Venkatesh will take us through the presentation after which we will take questions. But just quickly, in summary, FY26 has been a bellwether year for Delhivery in many ways. Of course, the headline was our completion of the acquisition of Ecom Express earlier in this financial year.

But just in terms of a quick headline summary,

we closed the year with over 10,400 crores in revenue, delivered over a billion packages in the financial year. By way of context, it took us nearly 10 years to deliver our first billion packages since our inception. Also reached about 2 million metric tons of freight in our part truck load business.

Margins continue to expand. The express business remains firmly at the upper end of our normative margin guidance of 16 to 18%. PTL margins expanded again successively and have reached... [inaudible] ...on the back of a reduction in capital intensity to less than 5% of revenue and a massive reduction in net working capital days.

So, all in all, a very strong quarter, a very strong end to fiscal 26. The company continues to be extremely well capitalized with over 4,500 crores of cash on the balance sheet. And so, without further ado, Vani, please take us through the presentation.

Vani Venkatesh

Thank you, Sahil. And thank you, Dhruv. I'll just run you through the presentation now.

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2 So, in summary, FY26 was a very good record year, in fact, in volume, in profitability, in strategic progress. And let me just take you through what moved the needle. So firstly, on the core transportation side, we delivered a billion plus shipments this year.

It's been a year with about 40% growth. On PTL also, we've done about 2 million metric tons this year. And together, the two businesses expanded our service EBITDA by about 220 basis points to take us to 15.6% and this with an ROIC of 16%. These are, in fact, the returns that will be funding what comes next. Coming to supply chain solutions, supply chain solutions again turned the corner pretty decisively this year. We expanded our service EBITDA about four times to 79 crores.

The margin model here is established. The pipeline is healthy. We've signed and activated two mandates in the last quarter.

So that's on the supply chain, which is pretty much at an inflection point. This paves the way for new verticals to scale up. So, the cash flows from core transport are now being deployed with discipline into our next growth pillars.

So, as we mentioned last time, we've been investing in local, cross-border, rapid and financial services. These are, of course, long cycle bets we can now invest from in a position of strength. And underpinning all of this is, of course, our tech and engineering moat we've been building for years, leveraging AI across the network, facilities, automation, new trucking form factors and active R&D and robotics.

So, we continue to invest heavily so we can stay ahead as we scale. I'll quickly run through the financial highlights. Our revenue from services stood at about 10,486 crores, generating an EBITDA of 7.3%, that's 764 crores. PAT came in at 347 crores. That's a 3.2% margin. And this profitable growth helped us turn free cash flow positive this year at about 89 crores.

The quarter's revenue again came in at about 2,848 crores. PAT at about 3%, that translates to 87 crores. Core transport yielded 16% ROIC.

And our balance sheet continues to stay strong with over 4,500 crores of cash and cash equivalents. So, all in all, it's been a profitable quarter and a profitable year. I'll take you through a quick view of our segments.

Transport revenue for the quarter was at about 2,453 crores and that comes in at a 7.9% adjusted EBITDA, giving us about 194 crores of adjusted EBITDA. If you were to break this into the two segments, express revenue came in at about two thirds of this at 1,832 crores. That's a massive 46% YoY revenue growth and that's a 72-73% volume growth.

Note that the volumes this quarter were 306 million, pretty encouraging. In fact, it's been a sequential quarter increase even compared to the last quarter, which was a peak quarter. Likewise, PTL clocked in 20% growth in both revenue and volume terms, came in at 54

9 metric tons and giving us 622 crores of revenue.

Coming down to the supply chain. Let me just go back one page and also run you through the full year. I ran you through the quarter numbers.

So, if you look at it from a full year point of view, the revenue for transport has been 8,939 crores that came in with a margin of 561 crores at 6.3%. Express gave us about a billion parcels, Delhivery Ltd.

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3 again a record this year, revenue of 6,685 crores. PTL was again record breaking this year. So, 2 million metric tons giving us a revenue of 2,254 crores.

So, both these segments, both Express and PTL have really delivered solid and strong, robust growth this year. A ton of structural cost advantages and operating leverage also driving the performance for these businesses. Coming back to the supply chain.

Supply chain, as I mentioned earlier, we decisively pivoted to profitability this year. Very sharp calls on businesses to stay in, businesses to see, to make sure we have a viable model that we can scale. As you can see, our revenue is at 729 crores.

The highlight is the turnaround in the service EBITDA from 2.2% last year, we've scaled it to 10.9% this year. So, the expanded service EBITDA gave us 79 crores of margin, which is four times last year. We also have a healthy pipeline here and we feel pretty ready to scale, given that we've established a viable, profitable model here.

As we bundle all of this performance into our segment P&L, you'll find that the transport adjusted EBITDA has expanded 260 basis points to 6.3%. I call your attention to the box on the extreme right. So that's about 6.3%. Again, if you were to look at supply chain services, that's gotten to breakeven levels. All of this translates to an overall percentage margin of about 4.4%. That gives us 457 crores of adjusted EBITDA on a revenue base of 10,486 crores. If you

look at the box, that is the quarter box, again, the overall adjusted EBITDA percentage is....[inaudible].. a revenue of 2,848 crores, giving us an adjusted EBITDA of 151 crores. In addition to the profitable growth, our teams have focused with a sharp eye on capital efficiency. On the left side,[in audible].. that's come down to 11 days, a very sharp drop in receivables.

This has been brought on with very disciplined and timely collections, including leveraging AI and automation on these. If you look at the page to the right, again, from a CapEx intensity point of view, CapEx as a percentage of revenue has been brought down diligently. We were at about 7.8% in FY23. That's come down all the way to 4.7% now. So, all of this capital efficiency has actually helped us from a ROIC point of view. And if you look at this, the margin expansion along with the reduction in capital intensity has really resulted in a sharp ROIC.

So, we're at 16%. This is up from 5.2% earlier. So, all the goodness in the transport businesses and other businesses that have generated margins, in addition to the disciplined manner in which capital spends have been made and working capital has been optimized, has resulted in this ROIC of about 16%.

And the margin expansion and the discipline and execution that we saw in the previous slides, it has helped us turn free cash flow positive. We have 89 crores of free cash flow this year and we're really happy about this. A couple of things, this is one year ahead of plan.

We'd given guidance of this coming up in the next year. So, this is one year ahead of plan and this despite all the integration expenses being factored in. So that again augurs well for how the business is positioned.

So, we continue to invest in our tech and AI that has been our moat and will continue to be ours. So, our tech and AI teams have actually deployed LLMs and multimodal AI across all dimensions of operations. So be it voice, be it vision, be it local intelligence, be it real

-time

transaction processing right across the board.

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4 So, it's underpinned in all our processes from right from order manifestation to mid-mile to last-mile to post-delivery. I think embedding AI across a product development process, reducing the time and cost to deploy new tech has really benefited us as we scaled our operations significantly. And equally, we have dialed up our investments in robotics and industrial automation.

So, in -facility automation, be it autonomous mobile robots or automated storage and retrieval systems, 3D sorters. So be it in -facility or deliveries, be it drones. Being the first to get a road train in India after our last successful 46 feet tractor trailer launch.

So, we've been in the forefront of this, both in terms of infrastructure as well as engineering. We also continue to invest in Delhivery Labs to make sure we stay ahead and to make sure that we are able to continue to use our tech moat to differentiate and stay ahead. Investing in employee benefits and safety has always been paramount to us.

So, our philosophy is that we do well when our people do well, our packages are happy when our people are happy. So, from an employee benefits point of view, we've continued to accelerate our coverage, in terms of medical needs, medical incidents or any financial support during specific life events that our employees need. In addition, for some of our partners, an attractive vehicle ownership program for our riders or meals and accommodation provided at large facilities. We continue to make sure that our employee benefits keep our employees comfortable. From a fleet and rider safety point of view, again, we've been taking on a bunch of initiatives, be it fully GPS-enabled fleet, which ensures real-time visibility or structured driver training program, initiatives to reduce driver fatigue, etc. So again, we've been continuing to make sure that fleet and rider safety is of paramount importance and likewise under the roof safety.

So, certification in 100 plus gateways, AI-based camera sensing at mega gateways for real-time notifications. And then that is complemented with Delhivery academy training for making sure that all the safe practices are being used, early adoption of a Li battery. So, we've been doing all of that.

So, investing in employee benefits and safety, we continue to place utmost importance on this. I think in summary, before we get to the questions, we'd like to state that overall, if you look at the year, it's been a satisfying year. We've reinforced market leadership in core transport business, both Express and PTL, as you saw the profitable growth.

This has paved the way for new service build-out for deeper differentiation. We continue to focus on service to make sure that service excellence through targeted network and infrastructure investments continue. We continue to solidify our proprietary technology and engineering moat so that we always stay ahead from a cost and service leadership point of view.

Financially, all of these, the profitable growth and the capital optimization has helped us make sure that this diligent cash flow accretion is driven by margin expansion and capital efficiency. We have a strong balance sheet, which enables disciplined organic and inorganic investments. And we continue to make sure that we have best-in-class welfare programs for our workforce and partner network.

So, in effect, we are signing off FY26 with strong fundamentals across every line of business. The core is profitable. The core is cash generative. SCS is pivoted. We have the balance sheet

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5 and the conviction to build our next chapter. With that, I'll hand it over back to you, Dhruv, for questions and answers.

Dhruv Jain

Thanks, Vani. Anyone who wishes to ask a question may use the raise hand button

on Zoom

and I'll put you through. We'll wait for a moment till the queue assembles.

We have our first question from the line of Sachin Salgaonkar. Sachin, please state your organization name and request you to restrict your questions to two.

Sachin Salgaonkar

Thanks, Dhruv. This is Sachin Salgaonkar from Bank of America. Hi, Sahil and team, congrats on a great set of numbers.

I have a couple of questions. First question - would be great to understand what kind of an impact we could expect from an increase in fuel prices, both on consumption as well as cost. And we did see the comments from your shareholder letter.

But, Sahil, the question out here is, on the ground, we are picking up in certain areas, in certain pockets, Delhivery has increased pricing by rupees 1 to 2. So, I would love to get your thoughts on that. And the second question is, there are media articles about Amazon opening up its 3PL to get new customers.

We know Flipkart did that a few years back. So, I just wanted to understand what kind of an impact we could expect from this. Understand, these are not direct and big competitors at some level, but should we see an increased competitive intensity, especially with smaller customers like D2C brands and others, as in how Amazon and Flipkart look to scale up their 3PL business?

Thanks.

Sahil Barua

Thanks, Sachin. On the first one, on the impact of fuel prices on consumption and cost, first let's get to the price question. We have a natural pass-through process, where our prices are indexed to diesel prices at the pumps, especially in the PTL businesses.

This is an industry standard. And so, with the increase in the fuel prices, diesel price link contracts, obviously, we will see an inflation of price to our customers as well. This is a very standard mechanism.

It existed, you know, more or less since we began the PTL business, where the sensitivity to the increase in fuel price is higher than in the express business. In the e-commerce or express business, the relative sensitivity to increase in fuel prices is actually not as high. That said, we

still are covered with DPH clauses, which are diesel price hike clauses with customers.

Those are evaluated on a customer -by-customer basis, really, looking at what our margins are, the volume share that we have with customers and so on. Where there are more direct pass-throughs, for example, our airlines had introduced a surcharge, obviously, with the cost of ATF going up. And those surcharges obviously got passed forward to customers.

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6 So, I suspect the 1 to 2 rupees increase that you're seeing would have been immediately on our air shipping network. So, we continue to monitor this. There will be some impact, as pump prices have obviously gone up right now by about 3 rupees.

Those will get passed on to all of our customers. But there's no broad pricing increase that we have planned at the moment. The other is if you look at our margins in Q4, some of the increase in fuel prices had already begun to show up in Q4.

What we were able to do was to also organize further cost improvements in other areas of the network, which is why when you look at margins in Q4, overall margins in Q4 went up over Q3, which otherwise is sort of fairly unusual to see. So, we'll continue to find other areas to improve productivity, and continue to improve utilization of the network. And in cases where we're already covered, those prices will get passed on and all the others, we look at on a contract -by-contract basis.

In terms of the impact on consumption, it's too early for me to really comment here. There's been a 3 rupee increase in prices of the pumps. Obviously, there will be some headwinds on consumption.

But generally, the way I would look at it is that a more volatile, expensive environment is generally better for the market leader and generally better for Delhivery. Because what happens

is that our relative cost advantages are larger. And so, as an example, when customers want to reduce their overall shipping bills, we've seen in the past that they would transition more volumes towards Delhivery.

So, hopefully, that will play out. But I think in terms of impact on consumption, etc., let things play out a little more over this quarter, and then I'll have a better answer for you. In terms of the second question, Amazon opening up 3PL, you've answered the question yourself, which is that this is old news, in a way, this has been tried before.

And I'm not really certain what strategic value it serves for anybody at all. Because the relative scale of Amazon's in-house operations compared to any client who onboards themselves onto Amazon Logistics is going to be absolutely minuscule, which is problem number one. So, how exactly do you get customer service at all?

The second is when it finally comes down to a process of deciding at the absolute last mile, which order has to be delivered when a rider has to make a choice and is running out of time. You know, the first party order is obviously going to get prioritized over any third-party order. That's the way first party logistics is designed.

And so, given the relative scale, it's never going to make any sense. And the other piece, of course, is that we mentioned this before. We've even published or we even put this out in the past, first party logistics is more expensive than third party logistics.

This is after factoring in the margins that we make. So, for most customers, I'm not entirely clear why they would willingly ship with any captive network, which is higher cost and does not have an ability to prioritize their interests. So, per se, I'm not really sure that this will make any difference.

I think this is just an old product in a new wrapper.

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7 Sachin Salgaonkar

Got it, Sahil. Very clear. Just squeezing in a short question out here.

We heard a lot of comments in terms of AI, robotics, automation investments, what you guys are looking to make. Wanted to understand any impact on OpEx, either led by high inference cost on CapEx, we should expect on the back of this?

Sahil Barua

Not significant enough for us to have to report anything unusual. On the AI front, look, there's been a lot of, you know, people have been experimenting left, right and center across, variety of industries, even within logistics, but our approach has been more focused. One is our approach has been focused on making our technology teams themselves more productive outside of certain use cases within our operations.

So, the idea is that we can develop and deploy features internally faster than we ever used to in the past or something which would take, maybe three or four sprint cycles or five sprint cycles to do today can get done in one or two sprint cycles. Instead, that makes us more agile. So, that's been one key focus area from an AI standpoint specifically.

The other is we've used it very strategically in, for instance, in two areas. One is in reducing documentation. So, especially in PTL, when you want to manifest a consignment, there's a lot of paperwork that we need to go through and that's a productivity loss.

Now, that's an area where today most of it has become automated. Similarly, even communicating with end consignees, when you have scheduled deliveries to make or purchase orders that need to be relayed between the carrier and the consignee, all of those are now technology-led. And the other piece, of course, is in claims handling, where our overall claims handling process has become a lot more efficient.

We don't have to rely on human beings anymore to go through every claim that we receive. So, our productivity on claims handling, our accuracy of claims

handling have both improved overall. So, that's been our focus from an AI standpoint.

No change in terms of the size of our, it's not like we need to increase the size of our technology team or our inference costs have gone up massively or anything of the sort. And what's happened is we've also been able to reduce the sizes of the teams that were earlier doing, for example, claims handling or certain parts of customer service and so on. On the industrial automation and robotics front, the key area that we are investing in, you know, there are several, but the one that I'd highlight the most is really AGVs within our mega gateways.

One of the reasons is, obviously, we've brought this up in the past. I think, you know, the labor situation in India continues to tighten. And our anticipation is that this will tighten further in the future.

And as a consequence of that, to maintain service reliability, the only option really for logistics companies, it doesn't matter whether it's Delhivery or anybody else, is really going to be the ability to have access to, high-grade industrial automation. And one of the areas where this is going to become particularly painful is in facility movement. I don't think we're getting to driverless vehicles or anything just yet.

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8 So, it really is going to be in how you handle loads within hubs and how you load and unload large trailers. And that's where our investment focus has been. This has been done by an in-house team.

We launched Delhivery Labs about a year back. And we've gone from prototype to now being ready to scale up our AGV pilots. We have been doing this in Bombay so far.

This is going to be expanded to other mega gateways within this year. But again, it's not going to materially alter our overall guidance on CapEx. So, we've come down to 4.7% or thereabouts. We will get to our 4% target. At the moment, we're motoring a little ahead of the

original plan. But neither the AI initiatives nor the robotics initiatives are going to materially alter our CapEx trajectory.

Sachin Salgaonkar

Super clear. Thank you and all the best. Thank you.

Dhruv Jain

Thanks. The next question is from Aditya Suresh. Aditya, please unmute your line and go ahead with your question.

Aditya Suresh

Hey, Sahil and team. Congratulations. So, the first one is on market share, right?

So, clearly, the sands have shifted compared to, say, 12, 18 months back. So, Sahil, I'd love to hear your thoughts and just zoom out, right? Like, one is broader market share, 1P versus 3P.

And then within 3P, kind of your own sense of where you stand at, even a broad range of how you think the market has evolved would be really interesting. That's the first question. The second is on your net working capital.

You've seen a really meaningful reduction there over the past, say, four years, and particularly in the past 12 months. What's been driving this, right? And particularly more recently, and what sort of impact is that having on your business?

Thank you.

Sahil Barua

Yeah, thanks, Aditya. Let me start at 30,000 feet and then see if I can work my way into the weeds. In terms of the overall market, after the Ecom acquisition, we had said at the time that the Ecom acquisition was happening that there were too many players in the express space.

So, the first thing I think is that overall, I think the markets are in a better place. It's more settled. What you're seeing is more stable, long-term competitive dynamics as opposed to short-term price gouging, which we were seeing, for a two-year period prior to this financial year.

So, definitely a better market structure for Delhivery overall. In terms of the shift from 3P to 1P, one of the large marketplaces which is now listed has anyway spoken about this publicly on their earnings call. I think the share of 1P has declined a lit

t le bit over the last year.

I have said this before, and I do maintain this, costs in 1P networks are higher than costs in 3P networks when fully loaded up. There's absolutely no question about that. The other thing to bear in mind in India is that we're seeing a raft of regulatory c hange.

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You are seeing minimum wages going up. You are seeing gig worker laws coming into effect. We are seeing an interesting sort of moment in time when labor shortages and productivity-adjusted labor costs are inflating pretty fast.

And I don't think 1P networks are immune from that either. Earlier a lot of 1P networks would also get by outsourcing or outsourcing in inverted commas and therefore, regulatory being in a gray area. I think that also now disappears overall.

So, again, the cost pressures being what they are and with increasing fuel costs, the reality is that we should see a more benign structure for third-party logistics. Whether it's us or Shadowfax or Blue Dart or whoever, overall, we'll see a gradual shift towards 3P, which is what I've maintained for quite some time. In terms of the 3P market, I think we look at it two ways.

One is the key accounts or the three large marketplaces and then everybody else, which is the long tail of the market. Overall, as we look at the long tail of the market, our share of the market continues to be stable or actually probably has grown a littl e bit YoY. We are a dominant player in that segment and continue to be there.

And similarly, in different kinds of categories, which are important to us, for example, heavy shipping, which is something where, again, we have a fairly dominant market share. Within the three marketplaces, our share continues to be more or less stable. I know Shadowfax has declared pretty good numbers Q4 over Q4.

And I think that's down to large growth in a single account where we have certain caps. So, one of the things we do actively is to manage our relative client concentrations across the network for two reasons. One, obviously, is to make sure that we can deliver an absolutely consistent service level to all of our customers, because I've mentioned in the past that the big marketplaces tend to be pretty choppy in their volume profiles.

And therefore, we have certain mechanisms which allow us to meter their demand across our network so that we can maintain service quality not just for them, but also for our other customers. And that's something that has been very effective in Q3 and Q4, as a consequence of which our PTL volumes have grown very heavily. Because the more stable you maintain service levels across the entire network, the more your PTL and heavy and smaller customers reward you.

So, in terms of market share that really matters to us, I think we're absolutely fine. Overall market share, there may be minor shifts here and there, but nothing very significant. In terms of net working capital, I've spoken about this since the time Delhivery has gone public.

Our ambition has always been overall to reach free cash breakeven as soon as we can. I think original projections even internally suggested that we would be able to do this towards the end of fiscal 27. But this has been a key focus area for us across all our lines of business, Express, PTL, supply chain services and FTL.

There are multiple things that have driven this. One is again, the earlier question was around what we're doing from an AI standpoint. What we're doing, of course, is being able to bill extremely fast and extremely accurately, which we're able to do now, because our counter really begins, from the moment that a parcel is delivered.

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So, all the way from billing efficiency to proper client selection over a period of time, the larger we've got, the more careful we've been with the clients we on

board. There are sometimes large

RFQs that we don't participate in. For instance, in PTL or certain customers, we don't work with in Express, because we don't believe that their payment philosophies match Delhivery's requirements.

We've been more selective with that, and that has crunched working capital as well, overall. And with clients, we've also been able to work out arrangements where we bill them more than once a month in exchange, for either certain preferential pricing, which is net accretive to Delhivery. And so, all of these have contributed to the overall decline in NWC.

It's obviously very sharp. We're very happy with it, quite proud of it overall. And hopefully, we'll continue this into the next FY.

Aditya Suresh

Great. Thank you.

Dhruv Jain

Thanks.

The next question is from Vijit Jain. Please go ahead and unmute your line.

Vijit Jain

Yeah, thanks for the opportunity. So, first question, Sahil, just to build on the previous answer you gave on the D2C long tail side in Express Parcel. You said broadly stable market share here.

Would that be across, you know, your own direct efforts as well as the aggregator business that

you get? And in general, you know, with all the investments that you're talking about making in product and everything, is there a path here for you to take your market share even higher than where it is right now?

Sahil Barua

Yeah, so it's across not just direct customers, but also aggregators. There's no question. We've gained a lot of share.

Growth in both those segments has actually been very high, whether customers come to us directly as SMEs or D2C brands or whether it's come via aggregators. And is there an opportunity for us to continue to gain market share within that segment? Absolutely .

One of the other ways that we have also gained market share with the SME segment specifically is with the Delhivery Direct application, where extremely small SMEs are shipping via Delhivery directly. So, this isn't even via the Delhivery One panel or via any direct integrations or so on.

Vijit Jain

Got it. And Sahil, second question on, you know, the working capital comment that you made. So, you know, as I think the slide mentions, when you get prepaid orders, when you get cash on delivery on them, that adjusts in your accounts receivable, right?

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11 So, how much of the benefit this year has also been because, you know, the mix of prepaid orders that you may have been processing went up? And second, also because, you know, your supply chain services business obviously also has seen a lot of improvement . You've talked about shedding a lot of clients that were not accretive there.

So, how much of a role did these two things, you know, the client mix in supply chain and the client mix in Express played into this working capital improvement? And from a long -term point of view, is this 11 days broadly sustainable? That's my second question.

Sahil Barua

Yeah, I think 11 days is sustainable. I mean, it would be very difficult to crunch it precisely for one quarter, right? So, we are confident that it's quite sustainable.

Overall, net working capital improvements arise out of systemic investments in improving your billing, improving your collections processes, improving your relationships with your clients and your customers. It's not something that you can conjure up out of thin air. What you're seeing today is 11 days and it looks very impressive.

But I should, I'm duty bound to remind you that three years ago, this was 38 days. So it's been a long and arduous journey that our teams have been on over the last year.

It is something that we were pretty confident we would get to and here we are. Will it get better from here on? Hopefully, we continue to figure out ways of reducing NWC, which is billing faster, moving customers to prepaid.

But of course, there are limits to that because customers also want credit cycles. One of the things that we can, of course, do is potentially shift to weekly billing cycles with certain customers. But then at some point, the administrative costs of managing that become higher than the benefits that you can generate out of it.

So, we'll see. There are further benefits to be had overall for Delhivery as a business, of course, because our supply chain services business, even within our PTL business and our FTL businesses, total NWC days will continue to crunch over a period of time. We will do that.

In SCS, of course, it has been down to customer selection. But to be perfectly honest, the only big call that we took really was to not participate in mother warehousing for quick commerce. It's not like there were any other sort of major calls that we had to take.

We renegotiated contracts with a couple of existing clients, which has helped improve

profitability as well. And also, in SCS, what's happened is as the business has matured, our own ability to bill accurately via our systems has improved. There's a period of time it takes while we integrate with a customer's billing processes.

When you go and do a hundred crore supply chain services contract with a customer, the reality is that integrating with their backend systems, their billing systems and so on takes a certain amount of time. So, what we're seeing really is the benefits of a lot of that accruing to the Delhivery now.

Vijit Jain

Thanks, Sahil. One last question, if we can squeeze in. So, you know, good to see supply chain services achieved breakeven in FY26.

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And you've talked about the pipeline going forward. So, this pipeline and the growth that you see from here, it would continue to be, would it continue to be service EBITDA margin accretive? And a related question, you know, in your new initiatives, you've talked about an investment of 130 to 160 crores over the next year.

Is this going to be all OpEx? And do you have a certain burn rate in mind for, you know, all of these initiatives outside of transportation and SCS? That's my last question.

Thank you.

Sahil Barua

Sure. I'll, you know, tee off the answer on SCS and then invite two of my colleagues to provide more color, which is Vani and Navneet who runs the SCS business. But the short answer to your question is the SCS pipeline margin accretive?

The answer is yes. There is an internal hurdle rate that every SCS project needs to pass. We do not pick up projects which do not meet that hurdle rate.

And we're now pretty accurate with our assessment of what the profitability of each SCS account is going to be. There may be a short-term impact on profitability when we start a customer up. Just a fundamental detail as an example, let's say for a customer, we need to create an 80,000 sqft site in some place, we may end up creating a 140,000 sqft site, because we anticipate another conversion from our pipeline.

And so, for a short period of time, that cost will appear on the SCS P&L. But individually, every client will meet their hurdle rate. That we're absolutely confident about.

And our pricing also, you have to understand as we've gained experience in sectors like consumer durables, auto, e-commerce and lifestyle, our ability to price accurately has also improved over time. And our ability to source transportation at the right prices has improved over time. So yes, the SCS business will continue to be margin accretive, which is one.

But Vani, Navneet, both of you are on this call. You know, Navneet, I think you're on this call. If you are, why don't you talk through the pipeline very briefly?

Navneet Kumar

Sure. Thanks, Sahil. So, as you pointed out, we've taken that journey to obviously improve our margins to where they are.

We will continue to

maintain a disciplined approach in client selection and to make sure we manage our internal hurdles. And if you look at the pipeline as well, it's broadly in line with our focus sectors as well. So, we do expect and we will maintain that the pipeline and the sectors that we look at are going to be margin accretive.

Vijit Jain

Thanks. And if you can just talk about the new initiatives.

Dhruv Jain

Vijit, I'll request you to re-join the queue, please. Our next question is from Mukesh Saraf.

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13 Yeah. Hi. Good evening.

Congratulations on the good numbers, Sahil and team. Sahil, my first question is on the comment you made about 1P to 3P. I mean, you've been telling this for quite some time that costs for 1Ps will be higher and probably we'll see, you know, 3Ps back or gaining back some wallet share.

I think in the fourth quarter we did see that happening. The question here is, you know, will you kind of continue to do, you know, what you're doing in terms of efficiencies and costs and wait for, you know, this phenomenon to continue to play out? Or will you try to kind of, you know, try and aggressively do this so that 3Ps continue to gain share, say, within Meesho, for example?

So, you know, will you just kind of wait for it to play out or will you look to try and get more there from, say, Valmo?

Sahil Barua
Mukesh, you know, I think this question has been going on for a bit of time. Let me try and take a different tack to this. I think the problem is that when people look at the third-party logistics industry, I think Delhivery needs to be looked at a little differently, right?

First of all, there is no customer on whom we have a very significant dependence and therefore, we don't view our relationships with our customers as zero-sum games. And, you know, that doesn't matter whether it's Meesho or Flipkart or Amazon or whoever it is. I think they have their own reasons for ultimately continuing to persist with first-party logistics and their strategies change in response to the circumstances they face as they should, as does Delhivery's and everybody else's.

I think the reality is that first-party logistics does tend to be more expensive than third-party logistics. And over a period of time, one believes that if rational financial decision making is to be believed, people will move a certain amount of volume towards third-party logistics. Our job as Delhivery is merely to continue to do the best possible job that we can, which is reflected in our operating service levels, which is reflected in our operating efficiencies that we create over time.

And as we do that, customers reward us with their business. So, in some senses, I guess the question is sort of moot, there's no question of Delhivery either doing something violent to try and change a customer's mind or anything of this sort. I don't think that's possible.

I think customers make the right calls for their business. We are obviously very happy to be rewarded with the volume growth that we have seen. And with the additional volume that has shifted to us from the marketplace customers who run in-house logistics, we believe that it's a win-win for them as well, because we bring down their logistics costs, we provide a high-quality service to them and their customers, allow them to scale.

And not everything is about immediately just how do you pass a cost back, right? For if you're an e-commerce retailer, in fact, the reality is you're in a significantly more competitive environment than the third-party logistics industry, because you're all competing with each other for the same customer. And so, the person who delivers the best and highest quality experience at the lowest cost is the one who wins.

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14 And so, in some senses, working with Delhivery is a win-win. And I think our big customers recognize that as well. So, we will continue to do what we are doing.

It doesn't make a very big difference to us, even if there are changes in their policies internally, quarter on quarter or, every six months or so. I think over the long arc of time, more volume will shift towards the third-party industry. It makes sense for that to happen organically over a period of time.

And also, you have to remember that at some point, all of our customers have to also think about where their capital is best put to use. The reality is that Delhivery is demonstrating that we have the ability to generate super normative returns on our investments in building hubs and building a line-haul network and integrating part-truck and express and so on. Now, I think our customers will over a period of time realize that it makes sense for them to reward us with that.

But I'll be honest, Mukesh, I've been saying this for three years now. I don't lose a lot of sleep over this and I don't think our customers do either.

Mukesh Saraf

Sure, sure, sure. Absolutely. I'll get that.

So, the second question is kind of related. You also kind of made a comment that the market is more settled right now. So, would we also kind of assume that further consolidation in the industry?

I mean, we did acquire Ecom Express, but if it's more settled, do you kind of, you know, kind of feel that now each of the players also now have strong, I mean, a decent footing and you'll probably not see any more consolidation in the industry? It will be more like an organic kind of an industry now, say, in the next couple of years or so.

Sahil Barua

I mean, I'm fairly sure you have a more specific question that you're trying to ask me, so might as well.

Mukesh Saraf

No, I mean, I mean, I mean, they're not too many other players. There's Xpressbees and there's maybe a couple of other smaller players. But just trying to understand, is there any more consolidation left in the industry, especially, you know, with your customers like Meesho, you know, looking at it more objectively between 1P and 3P.

So, then there will also be enough volumes for other 3Ps is what I'm trying to understand.

Sahil Barua

Yeah, look, the reality is that there are now three listed players in the express logistics space across ourselves, Blue Dart and ShadowFax. And we have maintained that that market structure seems sensible and appropriate. And we all also perform, for what it is worth. We are all inhabitants of the Express industry; we perform slightly different roles within that industry as well. But is there space for other players in this market? I've said this before, I don't think so.

I don't think Xpressbees has any structural advantages compared to the three listed players, and I don't see a reason for them to exist.

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Mukesh Saraf

Got it. Got it. I got the answer.

Thanks a lot, Sahil. I'll get back in the queue.

Dhruv Jain

Thanks, Mukesh. The next question is from Aditya Mongia. Aditya, please go ahead.

Aditya Mongia

Hi, I hope I'm audible to you all.

Sahil Barua

Yeah, you are.

Aditya Mongia

Thanks, Sahil, for that.

So, Sahil, the first question I had was, as you've been talking on the call about there being room and the largest player, there's no concentration risk. Just want to kind of double click on that, as in last year, for the folio, it was about 16%, the single largest account for you in terms of revenues. Till what level is it okay for this number to go to? My sense is that this number would have crossed 20% in this year?

Sahil Barua

Yeah, I think it's a good question. Blunt answer, I think if any single customer were to cross 35% of revenues, and I don't really have a very scientific basis for that, to be honest, Aditya, but I think, let me put it t

his way, at the moment, while it's higher than the 16% that we were at last year, we are absolutely nowhere close to even my made up 35% threshold at this point in time. Okay.

So, it's not particularly worrying for us.

Aditya Mongia

And that's the right way to think about it, right? At the overall level and not at a segmented level, right? Or do you have a different view?

Sahil Barua

Yeah, the overall level is how we would look at it.

Aditya Mongia

Sure. So, the second question that I had was, on slide 8, wherein you talk about the ROICs, as in two parts to it. One is that there are different components beyond working capital.

So, are all of them kind of aligned to sales or how to think through them and related question if the 16%, as in, does it have a chance to go beyond 20% or not?

Sahil Barua

Yes, is the short answer. But Vivek, you're on the call. Do you want to go through this in some detail?

Vivek Pabari

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16 Yes. Aditya, so, in terms of the other assets. So, the first is, the tax receivables will be a big amount here.

It is linked to sales. The security deposits are indirectly linked to sales because they correspond to our network facilities. And so, and then there will be a few large items which are more linked to corporate overheads.

So, they are, again, linked to sales. Everything is linked to sales at the end of the day, but not as directly linked as what say receivables is, payables is, or tax receivables is. Now, I think that was a factual question you asked, but did you have anything specific in mind when you said that they are linked to sales?

Aditya Mongia

One could see the working capital line items move fairly ferociously from 324 to 135. So, that's the question.

Vivek Pabari

Yeah. So, the things which are, say something like a security deposit, will also over a period of time improve as days of sales because as the network utilization increases, that number also goes down as a percentage of sales. The items which are linked to corporate overheads will certainly go down as a percentage of sales because corporate overhead themselves go down as a percentage of sales.

So, in a way, the capital intensity as a percentage of sales will go down for our transport business. Today, that capital invested is about 21.5% of revenue. I would think that this easily at least has a 2-3% points improvement potential on working capital as well as other line items.

The steady state ROICs, currently we are at 16%, but in a steady state, this number for our transport business can certainly go to 25% plus. A small contribution in that journey from 16 to 25% will come from this capital intensity improvement, which I said that 21.5% can go down by a couple of percentage points. But a big factor will be our overall profitability improvement.

The adjusted EBITDA, which is today at 6.3%, has a potential to go all the way up to at least 10%. And the drivers we have spoken about multiple times in the past, the Express and PTL service EBITDA getting closer to 18%. Express is already there, but PTL getting closer to 18%.

And the corporate overheads going down to, say, 7% of revenue, that takes the adjusted EBITDA to about 11% of revenue from the current 6%. So that will be the biggest driver of taking the ROICs from 16% currently to 25% plus for our transport business.

Aditya Mongia

Great to hear, those were my questions. Thanks for your response, Vivek.

Dhruv Jain

Thank you. The next question is from Abhishek Banerjee. Abhishek, please go ahead.

Abhishek Banerjee

Yeah, hi. Thanks for the opportunity and congratulations on a great set of numbers. So, first question is, sorry, I joined a bit late.

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17 So, in case somebody else has asked it, please excuse me. But just wanted to understand, we are seeing th

is kind of growth in the industry. So, hello.

Dhruv Jain

Yes, Abhishek, we can hear you.

Sahil Barua

Please go ahead, Abhishek. We can hear you.

Abhishek Banerjee

Yeah, I'm saying we are seeing this kind of growth in the industry after a very long time, and the last time this kind of growth kind of happened, everybody kind of went into full CapEx mode, etc. And we saw what happened after that. Now, is there a chance of the CapEx intensity again increasing for the industry?

And how are you thinking about it going ahead?

Sahil Barua

I'm not sure what exactly you mean by everybody in the industry went into a CapEx intense mode.

Abhishek Banerjee

I am talking about, say, Ecom Express and XpressBees. We started really investing in CapEx. And I'm talking about FY23 or...

Sahil Barua

No, no, I don't think that's correct. I think they voluntarily set the balance sheets on fire, entirely separate circumstances. So that's a different issue.

I don't think anybody is going to get into an operating burn environment, which is what they did the last time around, and which is why one of them is no longer here with us. But if your question is broadly, because we are seeing growth in our Express network, is our capital intensity going to change? The short answer is no.

And the reason for that is that fundamentally, if you look at our CapEx, not that much of it is indexed to the Express business any longer. Our growth in tonnage from the PTL business and the heavy part of our Express network has been high. And that's been driving overall capital intensity.

And despite that, you can see that the trend of CapEx as a percentage of revenue has floated down from, I think, about, if I'm not mistaken, Vivek just help me out, 7.2% of revenue about three years ago to about 4.7% today.

Vivek Pabari
7.8 to 4.7

Sahil Barua
Sorry, 7.8 to 4.7. So absolutely no, we do not anticipate that because we are seeing larger volumes, there'll be a very big change in our capital intensity. I think we've learned how to improve our network utilizations.

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18 That will continue, you know, and will we have to launch more mega gateways over a period of time? The answer is probably yes, but as a percentage of our base capacity, that's going to be now smaller and smaller than it was at the start. So that's one.

And in terms of whether other players in the industry will dial up their capital intensity,, I don't think that's very likely because most of them don't run integrated networks in the first place. I think there's some CapEx that will be required by players who want to enter the heavy space or who want to quickly ramp up overall sortation operations or so on. I'm not very sure.

But if your question is, are we going to see irrational pricing the way we saw three years ago or four years ago? I think the short answer to that is no, because everybody's seen that movie and knows how it ends.

Abhisek Banerjee
And you don't expect, say, Amazon also to get aggressive. I mean, given, you know, they did kind of do some press announcements, etc. You don't see any renewed threat from there, right?

Sahil Barua
You know, if only businesses could be built off press releases, but I don't think so.

Abhisek Banerjee
Got it. And just one last question. What do you think, you know, one should be building in for, you know, express growth over the next couple of years?

Because there seems to be some sort of bounce back in e-commerce, in the business overall, even, you know, if we net off the effect of insourcing going down. So, what is the right number two kind of thing from a medium-term perspective?

Sahil Barua
You know, on a much lighter note, I'm thrilled about the fact that we finally have a listed e-commerce company in India, who is much better positioned to answer what industry growth for e-comm

merce will look like over the short and medium term compared to the downstream beneficiaries of it like Delhivery. But, on behalf of our customers, I can tell you that we anticipate that they should see nothing less than 20% kind of growth rate, 15 to 20% growth rates for the industry as a whole. That's at least what our numbers seem to suggest.

You know, inter-se share of different customers keeps changing basis, whatever their objectives are for the financial year. But I think e-commerce as a whole growing at 15 to 20%, we've consistently maintained that we think that that in India is, is the likely growth rate into the medium term.

Abhisek Banerjee
Well, thank you so much. Thanks so much, Sahil.

Dhruv Jain

The next question is from Ankita Shah. Ankita, please go ahead.

Ankita Shah

Yeah, thanks for the opportunity. My question is on your planned investments on new businesses like Delhivery Direct, Delhivery Rapid, you know, how are you looking at the scale Delhivery Ltd.

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19 up on those businesses and what kind of investment can we expect in the next couple of years? And how do you see it panning out in future?

Sahil Barua

Well, I mean, very optimistically, Delhivery Direct is our intracity on demand logistics service. Via the Delhivery application, we provide not just the intercity service, but also the intra-city service. The intra-city service is now live in six cities.

The intercity service has been live for a while. The intercity service, of course, is really no different from our parcel service, except it's targeted at very small businesses and consumers and is margin accretive. The reality is when combined with our intracity business Delhivery Direct actually, as a whole, is probably profitable.

But we report the intercity segment within our express vertical as a whole and intracity separately. Why we're doing intracity is pretty simple. It's the same logic as what we have used for all the businesses that we have built over time, which is that we look at whether Delhivery itself, first of all, is a large consumer of the service that we intend to launch.

And the answer over here is yes. Because we ourselves require on-demand logistics across our distribution centers, our service centers, our fulfillment centers when we're delivering, for example, for our SCS customers and so on. And so, it made sense for us to build the on-demand intracity logistics capability, which is what we're in the process of doing.

And then, of course, as we've done in the case of PTL in the past, in the case of FTL in the past, the idea is when a service reaches a certain amount of critical demand that we're convinced we can generate ourselves, we also externalize it and open it to external customers, which is what we're in the process of doing. At this point in time, I think in fiscal 26, we have invested about 76 crores, a large portion of which has been towards the on-demand intracity service. Our anticipation of the investment for fiscal 27 is broadly between about 130 and 160 crores that we've guided to in our shareholder letter as well.

I think this gets us to north of about a 200-crore run rate in terms of on-demand intracity logistics. This will, of course, not include the services that this division provides to Delhivery internally as well. So, this is purely the external GMV that we anticipate we will be able to generate.

So pretty optimistic. I think on-demand intracity is a very large space and it's a very underserved space. There are a few players in this.

Porter has obviously done a very good job servicing this space and there's room for Delhivery as well to play.

Ankita Shah

Would you be able to quantify how big would be the TAMs in this segment?

Sahil Barua

No, and I think as with all things in India, nobody really knows what all these TAMs actually are. I can just tell you

that it's very, very large. There are millions of commercial vehicles that fly across all of these cities.

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20 You can multiply them, whatever number you think is appropriate for the number of LCVs that

are there in India multiplied by maybe 2000 rupees a day and that's going to end up being the TAM. But suffice to say, it's a very large, you know, sort of single, if not low double digit billion -dollar market.

Ankita Shah

Got it. Thank you so much. Thanks, and all the best.

Sahil Barua

Thank you very much.

Dhruv Jain

Thanks. The next question is from Atul Borse. Atul, please go ahead.

Atul Borse

Hi, team. Congrats on a good set of numbers. So, I have two questions specifically.

First, on the FCF positivity, I just wanted to know that while in OCF, there will be a benefit from Ecom acquisition. So just wanted to get a sense that if we exclude the benefit from this, will we still be FCF positive in FY26? That's my first question.

And the second question is on your fleet size, which has seen a drop on a Q&Q basis as well, despite we're doing a higher PTL tonnage. Is there like an increase in our tractor -trailer efficiency or is this deliberate like right sizing after the integration ? Those are my two questions.

Sahil Barua

I'm not sure I understood your first question. Your first question is if Ecom Express acquisition, sorry, what impact does Ecom Express have on our platform?

Atul Borse

After consolidation, there will be a benefit from, let's say, the volume flowing and integration. If that would have not been there in the OCF, will we still be FCF positive that I wanted to know.

Sahil Barua

So, if I understand your question right, you're saying if we had done lesser volumes than we had done today, would we still be free cash positive? I mean, that has nothing to do with Ecom Express, right?

Atul Borse

Okay.

Sahil Barua

I mean, if we had done significantly lower volumes with significantly higher CapEx, we would not have been free cash positive. The important thing over here is that we are free cash positive.

Atul Borse

All right. And on the second...

Vivek Pabari

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21 Sahil, if I may add here, Atul, actually the reality is the other way around. Ecom Express related cost we have incurred, the integration cost, the OCF has actually been brought down by those costs. Had there not been those costs, our actual core business free cash flow would have been meaningfully higher than the 89 cr ores number.

Atul Borse

Yeah, that's what I wanted to know actually, that the acquisition has been breaking down the cost or not. And thanks for that. And on the second question, like are you seeing any efficiency in tractor tailors or this is the like fleet size on a steady state basis?

Vivek Pabari

I'll take that. I think you are referring to the KPI slides in the appendix and you are referring to

the fleet size daily average number going down from 21 to 20,000. This is just the vendor fleet that we use on a daily basis.

And we use two kinds of fleet. One is actually the contracted monthly fleet and then the other is a variablized fleet where the partners bring their own vehicles and we pay them on a per kilo basis. This number includes only the first type of a fleet.

The mix between the two kinds of fleet keeps changing quarter on quarter depending on the geographical mix of volumes or depending on the client mix of volumes. And so, the only reason you see this fleet is going down is because the share of that per kilo fleet has actually gone up. It has nothing to do with our tractor trailers.

That's not included here. Our tractor trailer count has actually gone up QoQ.

Atul Borse

All right. Thank you. Thank you for the answer.

Dhruv Jain

Thanks. I'll ask a question, Sahil. So, you know, wi

th, you know, crossing 10,000 crores in revenue now in this year and over the last three or four years, what we've seen is that you've really dominated the roadside of things.

Do you think the organization is, you know, or thinking about getting into other modes of transportation? We've seen that you made a, you know, entry into air, but is it the right time to get into maybe something beyond road in a big way? Or do you think t hat road still offers a very large opportunity?

Sahil Barua

It's a good question, Dhruv. I think road still offers a very large and untapped opportunity for Delhivery. You know, no matter which economy you look at around the world, road is the predominant sort of, you know, transportation option.

And specifically in India, the relative advantages of road are, let me put it this way, there's a general belief that as you sort of start getting to mid and long distances, for instance, that rail and air can become more competitive. The one of the advant ages of India is that our distances are not large enough for alternate modes of transport, whether it's rail or whether it's air, to be very significant, you know, the trucking times themselves are actually not that long, you can truck from Delhi to Bombay , for example, on our tractor trailers within about sub 20 hours. And so relatively speaking, there's no massive incentive to move towards rail.

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The other problem when you look at rail in India, and I'll go, I know you didn't ask the question specifically about rail, but I'll break it up as road, rail and air. So, when you come to rail, the other problem in India, of course, is the railway system a nd when you look at where railheads are, for the most part, they're not designed around a cargo carrying capacity. They're really designed to ferry passengers.

Of course, if you were doing things like commodities, or if you were doing agri, you know, a captive rail network is an entirely different proposition. But that's not a business that Delhivery is in. So, the business that we are in, you know, I think road is predominantly sort of going to continue to remain the focus.

In terms of air, it's an interesting question. I think Delhivery certainly does have the baseloads across our entire network to make a larger air network viable. We continue to fly commercial passenger belly.

And at the moment that continues to suit our overall requirements. Also, the problem in air, of course, is that running a subscale fleet of air freight doesn't make any sense. So, Delhivery by itself entering air freight would not be very sensible because, you know, the cost of running a four-plane network or whatever, or a six -plane network would be too high.

I think over a period of time, we will look at partnerships with airline companies and see if we

can get them to work with us on strategic ventures in air cargo. And that's something that we continue to explore. Of course, in India, choices are relatively limited.

And of course, the reality is that right now, the airline industry has a lot to think about. So, it's not an immediate priority. We'll continue to do passenger belly.

And we continue to expand the routes that we operate in.

Dhruv Jain

Okay. And my second question is, you know, is on the PTL side of things. So, over the last two or three years, we've seen that you've done extremely well in terms of gaining market share.

But there's still some gap between you and the number one player. So, you know, I just want to understand in terms of capability, in terms of positioning, do you think that now you have all the ingredients in place to kind of chase that? Or do you think that there are certain things that you'd still want to add?

Sahil Barua

Well, I think, you know, the answer is in your question itself, right? The fact that we have everything that we need to achieve a leadership

position in PTL is something that we've demonstrated over the last three years, both in terms of being the fastest growing player in our business. Again, Varun's on this call, so he'll talk through specifics.

But we've gone from about two and a half years back or two years back, maybe sub 300,000 tons of freight, something like 280,000 -290,000 tons of freight to something like 550,000 tons of freight in this quarter. And our gross margins have gone from 14% to 28%. So, you know, we've doubled margins and grown the business 1.8 times over the last two and a half, three years. So obviously, the capabilities that we have are valuable to the market. We're pretty

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23 confident that we will continue to be the fastest growing player in this space. But Varun's on this call, and this is an important business, and it's a good question.

So, he should certainly weigh in.

Varun Bakshi

So, I think Sahil, you have answered it. I think, Dhruv, on this, the playbook is there, right? The playbook, it's not a one or two quarter affair.

It's been two, two and a half, three years of us consistently doing that. We just have to keep on repeating that, get the BD guys at the right place, reach out to the right customer, keep on having those conversations, make sure a customer who, let's say, has 500 units of business to offer starts with 2, 3, 4, 5 units, whatever it is, increase your wallet there and get into that cycle with every possible customer who's out there. So, I think, in terms of product or service, whatever you want to call PTL as, I think there, we have a fair bit of control on what's happening.

We are able to gain share of wallet and do the right thing in terms of margins. At the same time, we just have to keep on doing what we have been doing over and over again at multiple geographical locations.

Dhruv Jain

Great. Thanks a lot, Varun and Sahil. That brings us to the end of the call.

So, Sahil, any closing comments?

Sahil Barua

No, thank you, Dhruv and the Ambit team for hosting us this evening. And thank you to everybody who's joined the earnings call. I know it's a Saturday evening.

So really appreciate everyone joining and for your questions. Overall, very satisfied with the closing to FY26. Getting past 10,000 crores is obviously one milestone.

The second was a billion orders in e-commerce. The other was 2 million tons of freight in PTL. And the biggest one that we're very happy about is having turned free cash positive.

So, several of the themes that we've been talking about over the last three years, hopefully, this is a culmination of all of those moves. And you can see that they've played out. So, we're well set up for fiscal 27.

I know it's been a volatile start. So, we'll see how it goes. Thank you.

Dhruv Jain

Thanks, Sahil. Everyone, you may now disconnect the call.

Disclaimer: This transcript has been edited to remove any grammatical inaccuracies or other inconsistencies that might have occurred inadvertently while speaking.